



FEDERAL REGISTER

Vol. 89

Wednesday,

No. 181

September 18, 2024

Pages 76389–76708

OFFICE OF THE FEDERAL REGISTER



The **FEDERAL REGISTER** (ISSN 0097-6326) is published daily, Monday through Friday, except official holidays, by the Office of the Federal Register, National Archives and Records Administration, under the Federal Register Act (44 U.S.C. Ch. 15) and the regulations of the Administrative Committee of the Federal Register (1 CFR Ch. I). The Superintendent of Documents, U.S. Government Publishing Office, is the exclusive distributor of the official edition. Periodicals postage is paid at Washington, DC.

The **FEDERAL REGISTER** provides a uniform system for making available to the public regulations and legal notices issued by Federal agencies. These include Presidential proclamations and Executive Orders, Federal agency documents having general applicability and legal effect, documents required to be published by act of Congress, and other Federal agency documents of public interest.

Documents are on file for public inspection in the Office of the Federal Register the day before they are published, unless the issuing agency requests earlier filing. For a list of documents currently on file for public inspection, see www.federalregister.gov.

The seal of the National Archives and Records Administration authenticates the **Federal Register** as the official serial publication established under the Federal Register Act. Under 44 U.S.C. 1507, the contents of the **Federal Register** shall be judicially noticed.

The **Federal Register** is published in paper and on 24x microfiche. It is also available online at no charge at www.govinfo.gov, a service of the U.S. Government Publishing Office.

The online edition of the **Federal Register** is issued under the authority of the Administrative Committee of the Federal Register as the official legal equivalent of the paper and microfiche editions (44 U.S.C. 4101 and 1 CFR 5.10). It is updated by 6:00 a.m. each day the **Federal Register** is published and includes both text and graphics from Volume 1, 1 (March 14, 1936) forward. For more information, contact the GPO Customer Contact Center, U.S. Government Publishing Office. Phone 202-512-1800 or 866-512-1800 (toll free). E-mail, gpocusthelp.com.

The annual subscription price for the **Federal Register** paper edition is \$860 plus postage, or \$929, for a combined **Federal Register**, **Federal Register** Index and List of CFR Sections Affected (LSA) subscription; the microfiche edition of the **Federal Register** including the **Federal Register** Index and LSA is \$330, plus postage. Six month subscriptions are available for one-half the annual rate. The prevailing postal rates will be applied to orders according to the delivery method requested. The price of a single copy of the daily **Federal Register**, including postage, is based on the number of pages: \$11 for an issue containing less than 200 pages; \$22 for an issue containing 200 to 400 pages; and \$33 for an issue containing more than 400 pages. Single issues of the microfiche edition may be purchased for \$3 per copy, including postage. Remit check or money order, made payable to the Superintendent of Documents, or charge to your GPO Deposit Account, VISA, MasterCard, American Express, or Discover. Mail to: U.S. Government Publishing Office—New Orders, P.O. Box 979050, St. Louis, MO 63197-9000; or call toll free 1-866-512-1800, DC area 202-512-1800; or go to the U.S. Government Online Bookstore site, see bookstore.gpo.gov.

There are no restrictions on the republication of material appearing in the **Federal Register**.

How To Cite This Publication: Use the volume number and the page number. Example: 89 FR 12345.

Postmaster: Send address changes to the Superintendent of Documents, Federal Register, U.S. Government Publishing Office, Washington, DC 20402, along with the entire mailing label from the last issue received.

SUBSCRIPTIONS AND COPIES

PUBLIC

Subscriptions:

Paper or fiche 202-512-1800
Assistance with public subscriptions 202-512-1806

General online information 202-512-1530; 1-888-293-6498

Single copies/back copies:

Paper or fiche 202-512-1800
Assistance with public single copies 1-866-512-1800
(Toll-Free)

FEDERAL AGENCIES

Subscriptions:

Assistance with Federal agency subscriptions:

Email FRSubscriptions@nara.gov
Phone 202-741-6000

The Federal Register Printing Savings Act of 2017 (Pub. L. 115-120) placed restrictions on distribution of official printed copies of the daily **Federal Register** to members of Congress and Federal offices. Under this Act, the Director of the Government Publishing Office may not provide printed copies of the daily **Federal Register** unless a Member or other Federal office requests a specific issue or a subscription to the print edition. For more information on how to subscribe use the following website link: <https://www.gpo.gov/frsubs>.



Contents

Federal Register

Vol. 89, No. 181

Wednesday, September 18, 2024

Agriculture Department

See Forest Service

Centers for Medicare & Medicaid Services

NOTICES

Medicare Program:

Application by the Community Health Accreditation Partner for Continued Approval of Its Home Infusion Therapy Accreditation Program, 76475–76477

Children and Families Administration

NOTICES

Agency Information Collection Activities; Proposals, Submissions, and Approvals:

2024 National Survey of Early Care and Education Longitudinal Follow-Ups, 76477–76478

Civil Rights Commission

NOTICES

Hearings, Meetings, Proceedings, etc.:

Indiana Advisory Committee, 76444–76445

North Carolina Advisory Committee, 76444–76446

Utah Advisory Committee, 76446

Coast Guard

RULES

Marine Equipment on Board Vessels and Offshore Units or Facilities, 76676–76707

Safety Zone:

Chelsea Day Fireworks, Boston Inner Harbor, Mystic River, Chelsea MA, 76419–76421

Christina River, Delaware River, Wilmington, DE, 76417–76419

Special Local Regulations:

Clearwater Offshore Nationals; Gulf of Mexico;

Clearwater, FL, 76416–76417

NOTICES

Agency Information Collection Activities; Proposals, Submissions, and Approvals, 76486–76487

Commerce Department

See International Trade Administration

See National Oceanic and Atmospheric Administration

See Patent and Trademark Office

NOTICES

Strategic Plan to Advance Environmental Justice, 76446–76448

Commodity Futures Trading Commission

NOTICES

Meetings; Sunshine Act, 76458

Defense Department

NOTICES

Hearings, Meetings, Proceedings, etc.:

Board of Visitors, National Defense University, 76458–76459

Education Department

NOTICES

2024–2025 Award Year Deadline Dates:

Free Application for Federal Student Aid, the Federal Supplemental Educational Opportunity Grant Program, the Federal Work-Study Program, the Federal Pell Grant Program, the William D. Ford Federal Direct Loan Program, and the Teacher Education Assistance for College and Higher Education Grant Program, 76459–76464

Agency Information Collection Activities; Proposals, Submissions, and Approvals:

Student Assistance General Provisions—Subpart K—Cash Management, 76464

Performance Review Board Members, 76464–76465

Employee Benefits Security Administration

NOTICES

Hearings, Meetings, Proceedings, etc.:

Advisory Council on Employee Welfare and Pension Benefit Plans, 76511

Energy Department

See Federal Energy Regulatory Commission

Environmental Protection Agency

PROPOSED RULES

Air Quality State Implementation Plans; Approvals and Promulgations:

Ohio; Regional Haze Plan for the Second Implementation Period, 76442

NOTICES

Agency Information Collection Activities; Proposals, Submissions, and Approvals:

Toxic Chemical Release Reporting, 76470–76471

Charter Amendments, Establishments, Renewals and Terminations:

Clean Air Act Advisory Committee, 76467

Request of Nominations:

1,3-Butadiene; Draft Risk Evaluation under the Toxic Substances Control Act (TSCA); Science Advisory Committee on Chemicals (SACC) Peer Review, 76467–76469

Export-Import Bank

NOTICES

Agency Information Collection Activities; Proposals, Submissions, and Approvals:

Application for Issuing Bank Credit Limit under Lender or Exporter-Held Policies, 76471–76472

Application for Short-Term Multi-Buyer Export Credit Insurance Policy, 76471

Federal Aviation Administration

RULES

Airworthiness Directives:

ATR–GIE Avions de Transport Regional Airplanes, 76411–76413

Bombardier, Inc. Airplanes, 76408–76411

Dassault Aviation Airplanes, 76401–76403

Embraer S.A. Airplanes, 76403–76406

MHI RJ Aviation ULC (Type Certificate Previously Held by Bombardier, Inc.) Airplanes, 76399–76401

Saab AB, (Formerly Known as Saab AB, Support and Services) Airplanes, 76406–76408
The Boeing Company Airplanes, 76413–76416

NOTICES

Agency Information Collection Activities; Proposals, Submissions, and Approvals:
Runway Slot Administration and Schedule Analysis, 76620–76621
Unmanned Aircraft Systems BEYOND and Partnership for Safety Plan Programs, 76614–76615
Airport Property:
Malden Regional Airport and Industrial Park, Malden, MO, 76619–76620
Rantoul National Aviation Center—Frank Elliott Field, Rantoul, IL, 76616–76619
Hearings, Meetings, Proceedings, etc.:
NextGen Advisory Committee, 76621

Federal Communications Commission**NOTICES**

Agency Information Collection Activities; Proposals, Submissions, and Approvals, 76472–76475

Federal Emergency Management Agency**NOTICES**

Disaster or Emergency Declaration and Related Determination:
Alaska; Amendment No. 1, 76493
Alaska; Amendment No. 3, 76495
Alaska; Amendment No. 6, 76492–76493
Florida, 76494
Hawaii, 76493
Iowa, 76490–76491
Iowa; Amendment No. 1, 76487
Iowa; Amendment No. 3, 76494–76495
Iowa; Amendment No. 4, 76492
Iowa; Amendment No. 5, 76487
Kansas; Amendment No. 1, 76488–76489
Minnesota, 76488
Minnesota; Amendment No. 2, 76495
Mississippi, 76489
New Hampshire, 76493–76494
New Hampshire; Amendment No. 1, 76492
New Mexico, 76491
Oklahoma, 76489–76490
Tennessee, 76496–76497
Texas, 76496
Texas; Amendment No. 16, 76487–76488
Washington; Amendment No. 1, 76491
Washington; Amendment No. 3, 76489
Wrangell Cooperative Association; Amendment No. 1, 76495–76496

Federal Energy Regulatory Commission**NOTICES**

Meetings; Sunshine Act, 76465–76467
Reasonable Period of Time for Water Quality Certification Application:
Village of Enosburg Falls, Vermont, 76467

Federal Highway Administration**NOTICES**

Agency Information Collection Activities; Proposals, Submissions, and Approvals, 76621–76623

Federal Reserve System**NOTICES**

Change in Bank Control:
Acquisitions of Shares of a Bank or Bank Holding Company, 76475

Food and Drug Administration**NOTICES**

Guidance:
Conducting Clinical Trials with Decentralized Elements, 76481–76482
Integrating Randomized Controlled Trials for Drug and Biological Products into Routine Clinical Practice, 76482–76484
Hearings, Meetings, Proceedings, etc.:
Pharmacy Compounding Advisory Committee, 76478–76481

Forest Service**NOTICES**

Hearings, Meetings, Proceedings, etc.:
Alpine County Resource Advisory Committee, 76443

Health and Human Services Department

See Centers for Medicare & Medicaid Services
See Children and Families Administration
See Food and Drug Administration
See Inspector General Office, Health and Human Services Department
See National Institutes of Health

Homeland Security Department

See Coast Guard
See Federal Emergency Management Agency
See U.S. Citizenship and Immigration Services
See U.S. Immigration and Customs Enforcement

Housing and Urban Development Department**NOTICES**

Agency Information Collection Activities; Proposals, Submissions, and Approvals:
Public Housing: Contracting with Resident-Owned Businesses, 76500–76501
Requirements for Designating Housing Projects, 76498–76500

Inspector General Office, Health and Human Services Department**RULES**

Performance Standards:
Medicaid Fraud Control Units, 76431–76434

Institute of Museum and Library Services**NOTICES**

Agency Information Collection Activities; Proposals, Submissions, and Approvals:
Study to Support Learning Agenda for Equity in Grantmaking, 76513–76514

Interior Department

See Land Management Bureau

International Trade Administration**NOTICES**

Antidumping or Countervailing Duty Investigations, Orders, or Reviews:
Barium Chloride from the People's Republic of China and India, 76448–76450

Ferrosilicon from the Russian Federation, 76454–76456
Wood Mouldings and Millwork Products from the
People's Republic of China, 76452–76454
Sales at Less Than Fair Value; Determinations,
Investigations, etc.:
Ferrosilicon from the Russian Federation, 76450–76452

International Trade Commission

NOTICES

Complaint, 76506–76507
Investigations; Determinations, Modifications, and Rulings,
etc.:
Glycine from China, India, Japan, and Thailand, 76507–
76508
Paper Plates from China, Thailand, and Vietnam, 76508–
76510

Justice Department

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Notice of Appeal to the Board of Immigration Appeals
from a Decision of a DHS Officer, 76510–76511

Labor Department

See Employee Benefits Security Administration

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Quarterly Interview and Diary, 76511–76512

Land Management Bureau

NOTICES

Environmental Assessments; Availability, etc.:
Proposed Recreation and Public Purposes Act Land
Conveyance to the City of Redmond in Deschutes
County, OR; Intent to Amend the Upper Deschutes
Resource Management Plan, 76504–76506
Plats of Survey:
Nevada, 76503–76504
Realty Action:
Recreation and Public Purposes Act Classification and
Segregation for the City of Redmond's Wastewater
Expansion Project, 76502–76503
Requests for Nominations:
Bears Ears National Monument, Grand Staircase-Escalante
National Monument Advisory Committees and San
Rafael Swell Recreation Area and Utah Resource
Advisory Councils, 76501–76502

National Aeronautics and Space Administration

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Crew Health and Performance Exploration Analog Crew
Application, 76512
Hearings, Meetings, Proceedings, etc.:
Advisory Council; Science Committee, 76512–76513

National Foundation on the Arts and the Humanities

See Institute of Museum and Library Services

National Institutes of Health

NOTICES

Charter Amendments, Establishments, Renewals and
Terminations:
National Cancer Institute, 76486
Hearings, Meetings, Proceedings, etc.:
Center for Scientific Review, 76484–76485

National Institute of Environmental Health Sciences,
76485–76486
National Institute on Drug Abuse, 76484

National Oceanic and Atmospheric Administration

RULES

Fisheries of the Caribbean, Gulf of Mexico, and South
Atlantic; Reef Fish Fishery of the Gulf of Mexico:
Lane Snapper Catch Limits, 76438–76441

NOTICES

Hearings, Meetings, Proceedings, etc.:
Mid-Atlantic Fishery Management Council, 76456–76457

Nuclear Regulatory Commission

NOTICES

Exemption:
Security Notifications, Reports, and Recordkeeping,
76514–76515
Licenses; Exemptions, Applications, Amendments, etc.:
Vistra Operations Co. LLC; Comanche Peak Nuclear
Power Plant, Unit Nos. 1 and 2; Exemption, 76515–
76517

Patent and Trademark Office

RULES

Motion to Amend Practice and Procedures in Trial
Proceedings under the America Invents Act before the
Patent Trial and Appeal Board, 76421–76431

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Generic Clearance for the Collection of Qualitative
Feedback on Agency Service Delivery, 76457–76458

Postal Regulatory Commission

NOTICES

New Postal Products, 76517–76518

Presidential Documents

PROCLAMATIONS

Special Observances:
National Farm Safety and Health Week (Proc. 10810),
76391–76392
National Hispanic Heritage Month (Proc. 10809), 76389–
76390
National Historically Black Colleges and Universities
Week (Proc. 10811), 76393–76395

ADMINISTRATIVE ORDERS

Trading With the Enemy Act; Continuation of Exercise of
Certain Authorities (Presidential Determination No.
2024–11 of September 13, 2024), 76397

Securities and Exchange Commission

NOTICES

Application:
Russell Investments New Economy Infrastructure Fund,
Russell Investments Strategic Credit Fund and
Russell Investment Management, LLC, 76559–76560
Self-Regulatory Organizations; Proposed Rule Changes:
BOX Exchange LLC, 76574–76578
Cboe BYX Exchange, Inc., 76545–76552
Cboe BZX Exchange, Inc., 76537–76544, 76560–76567
Cboe C2 Exchange, Inc., 76567–76574
Cboe EDGA Exchange, Inc., 76552–76559
Cboe EDGX Exchange, Inc., 76518–76526, 76530–76537
Financial Industry Regulatory Authority, Inc., 76626–
76673
Investors Exchange LLC, 76526–76530

New York Stock Exchange LLC, 76578

Small Business Administration

NOTICES

Disaster Declaration:

Pennsylvania, 76579–76580

Texas, 76578–76579

Vermont; Public Assistance Only, 76579

Hearings, Meetings, Proceedings, etc.:

National Women's Business Council, 76579

State Department

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:

Advance Notification Form: Tourist and Other Non-
Governmental Activities in the Antarctic Treaty Area,
76580–76581

Surface Transportation Board

RULES

Fees for Services Performed in Connection with Licensing
and Related Services, 76434–76438

Tennessee Valley Authority

NOTICES

Hearings, Meetings, Proceedings, etc.:

Regional Energy Resource Council, 76581

Trade Representative, Office of United States

NOTICES

China's Acts, Policies and Practices Related to Technology
Transfer, Intellectual Property and Innovation;
Modification, 76581–76614

Transportation Department

See Federal Aviation Administration

See Federal Highway Administration

U.S. Citizenship and Immigration Services

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Application for Entrepreneur Parole, 76498

U.S. Immigration and Customs Enforcement

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Obligor Change of Address, 76497

Veterans Affairs Department

NOTICES

Agency Information Collection Activities; Proposals,
Submissions, and Approvals:
Veteran/Beneficiary Claim for Reimbursement of Travel
Expenses, 76623

Separate Parts In This Issue

Part II

Securities and Exchange Commission, 76626–76673

Part III

Homeland Security Department, Coast Guard, 76676–76707

Reader Aids

Consult the Reader Aids section at the end of this issue for
phone numbers, online resources, finding aids, and notice
of recently enacted public laws.

To subscribe to the Federal Register Table of Contents
electronic mailing list, go to [https://public.govdelivery.com/
accounts/USGPOOFR/subscriber/new](https://public.govdelivery.com/accounts/USGPOOFR/subscriber/new), enter your e-mail
address, then follow the instructions to join, leave, or
manage your subscription.

CFR PARTS AFFECTED IN THIS ISSUE

A cumulative list of the parts affected this month can be found in the Reader Aids section at the end of this issue.

3 CFR**Proclamations:**

10809.....76389
10810.....76391
10811.....76393

Administrative Orders:

Presidential

Determinations:

No. 2024-11 of
September 13,
202476397

14 CFR

39 (7 documents)76399,
76401, 76403, 76406, 76408,
76411, 76413

33 CFR

100.....76416
149.....76676
165 (2 documents)76417,
76419

37 CFR

42.....76421

40 CFR**Proposed Rules:**

52.....76442

42 CFR

1007.....76431

46 CFR

2.....76676
31.....76676
32.....76676
34.....76676
35.....76676
39.....76676
56.....76676
76.....76676
77.....76676
95.....76676
96.....76676
105.....76676
107.....76676
108.....76676
109.....76676
115.....76676
116.....76676
118.....76676
132.....76676
147.....76676
159.....76676
160.....76676
161.....76676
162.....76676
163.....76676
164.....76676
167.....76676
169.....76676
181.....76676
195.....76676
199.....76676

49 CFR

1002.....76434

50 CFR

622.....76438

Presidential Documents

Title 3—

Proclamation 10809 of September 13, 2024

The President

National Hispanic Heritage Month, 2024

By the President of the United States of America

A Proclamation

During National Hispanic Heritage Month, we honor and celebrate the culture, history, and contributions of the Latino community.

In our country, Latino leaders are striving for the American Dream and helping those around them reach it too. From those who have been here for generations to those who have recently arrived, Latinos have pushed our great American experiment forward. They are the community, faith, and union leaders who advocate and stand up for all of us. They are the first responders, who put themselves in harm's way to keep the rest of us safe. And they represent the best of who we are as a Nation—the teachers and doctors, athletes and artists, business leaders, public servants, and so much more. They embody the possibilities of our Nation and the dreams of those who work every day to build a better future for their children, grandchildren, and beyond. I am proud to work with incredible Latino leaders, who are dedicated to bettering our Nation every day—like Secretary of Health and Human Services Xavier Becerra, Secretary of Homeland Security Alejandro Mayorkas, Secretary of Education Miguel Cardona, Administrator of the Small Business Administration Isabel Guzman, Director of the White House Office of Intergovernmental Affairs Tom Perez, and White House Director of Political Strategy and Outreach Emmy Ruiz.

My Administration is committed to putting the American Dream within reach of every person, and it is working. We have created nearly 16 million jobs since we took office and have seen record-low unemployment among Latinos, and Latino entrepreneurs have started new businesses at the fastest rate in over 25 years. We have more than doubled Small Business Administration loans to Latino-owned businesses. We have invested a record more than \$15 billion in Hispanic-serving colleges and universities, and we approved the cancellation of student debt—a burden that disproportionately falls on Latino borrowers—for almost five million people through various actions. We also cracked down on bias in the home appraisal process so homes owned by Latinos and those in majority Latino neighborhoods can be valued fairly. And we are making health care a right, not a privilege—doubling Latino enrollment in coverage under the Affordable Care Act and giving Medicare the power to negotiate lower prescription drug prices, while capping insulin at \$35 per month for people on Medicare, including for the five million Latinos on Medicare. And across the Federal Government, we are implementing my Administration's National HIV/AIDS Strategy, prioritizing the expansion of HIV services to reach all Americans—especially Latino gay men, who now represent the highest incidence of new HIV cases in the country.

At the same time, I am working to build an immigration system that is fair, orderly, and humane. On my first day in office, I sent a comprehensive immigration reform bill to the Congress. It includes more resources for a strong border and expands permanent visas for families and employers. It also includes a pathway to citizenship for Dreamers, whose contributions have made this country better and stronger. While the Congress has failed to take up this legislation, my Administration is taking action to protect

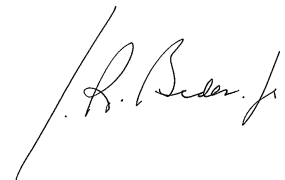
and support Dreamers and others. We issued a rule that will, for the first time, finally provide Deferred Action for Childhood Arrivals (DACA) recipients with access to health insurance through the Affordable Care Act. Additionally, we proposed a rule that would give Dreamers, among others from underserved backgrounds, the support and resources they need to successfully transition from high school to college—providing access to everything from college campus visits to tutoring and help with financial aid applications. And I am proud that my Administration has reunited nearly 800 families that were shamefully separated at the border under the prior administration. My Administration also implemented a process to help the noncitizen spouses of United States citizens who have been here for 10 years or more, along with their children, to apply for lawful permanent residence without leaving the country. And we have taken steps to help young people who have been educated in the United States, including DACA recipients and other Dreamers, receive work visas more quickly.

In the Oval Office, I keep a bust of Cesar Chavez, one of my heroes, who once said: “Our ambitions must be broad enough to include the aspirations and needs of others, for their sakes and for our own.” Together, I know that we will continue to build a future that generations of Latinos can be proud of—one founded on honesty, respect, and faith and where everyone has an opportunity to pursue their talents and ambitions.

In recognition of the achievements of the Hispanic and Latino community, the Congress, by Public Law 100–402, as amended, has authorized and requested the President to issue annually a proclamation designating September 15 through October 15 as “National Hispanic Heritage Month.”

NOW, THEREFORE, I, JOSEPH R. BIDEN JR., President of the United States of America, by virtue of the authority vested in me by the Constitution and the laws of the United States, do hereby proclaim September 15 through October 15, 2024, as National Hispanic Heritage Month. I call upon all Americans to observe this month with appropriate ceremonies, activities, and programs that celebrate Hispanic heritage and recognize the impact Hispanic peoples have had on our Nation.

IN WITNESS WHEREOF, I have hereunto set my hand this thirteenth day of September, in the year of our Lord two thousand twenty-four, and of the Independence of the United States of America the two hundred and forty-ninth.

A handwritten signature in black ink, appearing to read "Joe Biden", with a long, sweeping horizontal line extending to the left.

Presidential Documents

Proclamation 10810 of September 13, 2024

National Farm Safety and Health Week, 2024

By the President of the United States of America

A Proclamation

America's farmers, farmworkers, and ranchers work around the clock to nourish our Nation and power our economy, allowing us to feed our communities and compete in markets worldwide. They also steward lands and provide meaningful jobs in our rural and Tribal communities. During National Farm Safety and Health Week, we recognize the incredible contributions of everyone working on farms, and we recommit to improving their safety and well-being.

Our Nation's farms are a source of prosperity, but working on them can be exhausting and hazardous. The agriculture sector is one of America's most dangerous industries. Climate change and intensifying extreme heat puts the lives of agricultural workers at risk and decrease productivity and profits. Uncertainty in the industry heightens stress and takes a toll on our farmworkers' mental health. And unfortunately, many rural communities lack accessible health care, as nearly 200 rural hospitals have closed in the past 20 years.

I believe health care should be a right, not a privilege. To that end, my Administration is investing in rural health care services, training the next generation of rural health care providers, and expanding mental health resources in rural communities. We established the Rural Emergency Hospital Designation to make it easier for struggling hospitals to stay open and help ensure that rural communities have access to emergency services. With \$500 million from my American Rescue Plan and \$65 billion from my Bipartisan Infrastructure Law, we are making it easier for people in rural areas to access health care, including telehealth services and affordable mental health care. We launched 988—the Suicide and Crisis Lifeline—so that anyone dealing with a crisis can connect to trained counselors by phone, text, or chat. We also finalized a rule that strengthens mental health parity by requiring health insurers to cover mental health care just as they do physical health care. And we added more than 140 Certified Community Behavioral Health Clinics across the Nation, which provide mental health and crisis services to anyone in need, regardless of their ability to pay.

I have maintained my commitment to be the most pro-labor and pro-worker President in history by making sure our workers are safe and secure. Under my leadership and the leadership of Vice President Kamala Harris, the Department of Labor proposed the Nation's first-ever Federal safety standard for excessive heat in the workplace, which would require employers to implement rest breaks, provide access to shade and water, and develop a plan to respond to heat illness. The Department of Labor also finalized a Farmworker Protection Rule to strengthen protections for temporary agricultural workers to ensure all farmworkers in the United States are treated fairly and have safe work environments.

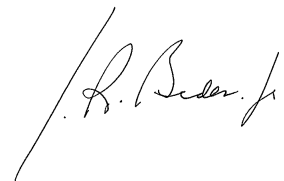
My Administration is providing farms with the resources they need to grow and thrive. Through the Farm Labor Stabilization and Protection Pilot Program, the Department of Agriculture awarded \$50 million from my American Rescue Plan to agricultural employers, many of which were small and mid-

sized farms, helping ensure they can hire and retain the workers they need to be competitive while improving labor standards for workers. We are working to extend crop insurance coverage to give financial security to farmers who practice double cropping. We have made \$900 million available to boost fertilizer production for farms, and I signed an Executive Order to increase competition and make sure that family farms are on a level playing field with corporate farms.

During National Farm Safety and Health Week, we honor farmers, farmworkers, and ranchers for putting food on our tables, powering our economy, and supporting our communities. And we recommit to ensuring they have the resources they need to continue this work and live full, healthy lives.

NOW, THEREFORE, I, JOSEPH R. BIDEN JR., President of the United States of America, by virtue of the authority vested in me by the Constitution and the laws of the United States, do hereby proclaim September 15 through September 21, 2024, as National Farm Safety and Health Week. I call upon the people of the United States—including America's farmers; ranchers; and agriculture-related institutions, organizations, and businesses—to reaffirm a dedication to farm safety and health. I also urge all Americans to express appreciation and gratitude to our farmers, farmworkers, and ranchers for their tireless service to our Nation.

IN WITNESS WHEREOF, I have hereunto set my hand this thirteenth day of September, in the year of our Lord two thousand twenty-four, and of the Independence of the United States of America the two hundred and forty-ninth.

A handwritten signature in black ink, appearing to read "Joe Biden", is written over a diagonal line that extends from the bottom left towards the top right.

Presidential Documents

Proclamation 10811 of September 13, 2024

National Historically Black Colleges and Universities Week, 2024

By the President of the United States of America

A Proclamation

For more than 180 years, Historically Black Colleges and Universities (HBCUs) have delivered a quality education to Black students across our Nation. Over 100 HBCUs serve as engines of economic opportunity and make America more prosperous and equitable. Although they make up less than 3 percent of all postsecondary institutions in the United States, HBCUs account for 8 percent of Black undergraduate enrollment and 13 percent of all bachelor's degrees earned by Black students. During National Historically Black Colleges and Universities Week, we celebrate the incredible legacy of these institutions, we honor the quality education, economic mobility, and opportunity they bring to so many students—particularly students from low-income backgrounds and those who are the first in their families to go to college—and we recommit to supporting and investing in their success.

HBCUs are centers of academic excellence, shaping the dreamers and doers who push our Nation forward. Within my Administration, I have seen firsthand just how an HBCU education shapes leaders and alumni—including Vice President Kamala Harris and the Administrator of the Environmental Protection Agency, Michael Regan. Eighty percent of our Nation's Black judges, 50 percent of all Black lawyers, and nearly 40 percent of Congressional Black Caucus members went to an HBCU. HBCUs produce 40 percent of all Black engineers and 70 percent of Black doctors. Some of our Nation's greatest visionaries, scholars, artists, athletes, and leaders of every sector have credited their success to their time at an HBCU. And HBCUs educate twice as many Pell Grant-eligible students as other institutions.

I have always supported our Nation's HBCUs, which tap into the full talent and diversity of our country. HBCUs are incredible institutions, but they unfairly face historic funding gaps and do not have the same endowments as other universities. My Administration has delivered record investments in HBCUs—totaling more than \$16 billion. That funding has helped support students, student-veterans, and staff; improve campus infrastructure; expand Science, Technology, Engineering, and Math (STEM) research programs; and so much more. My Administration also secured first-time funding for the Augustus F. Hawkins Centers of Excellence Grant Program, providing more than \$23 million in grants to HBCUs and Minority Serving Institutions to prepare our next generation of teachers and increase the diversity of the profession.

Additionally, I re-established the White House Initiative on Advancing Educational Equity, Excellence, and Economic Opportunity through HBCUs to ensure they have greater access to Federal funding opportunities. Furthermore, as Americans, we have to ensure that hate and hate-fueled violence are given no safe harbor in this country. When more than one-third of our country's HBCUs were targeted by dozens of bomb threats in 2022, my Administration worked to quickly expand the accessibility of a broad spectrum of Federal security services, resources, and expertise to support them. We also deployed over \$2.4 million in Project School Emergency

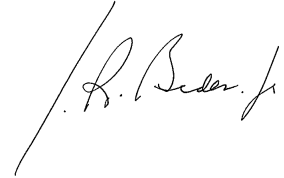
Response to Violence grants that have helped restore safe learning environments and investments in mental health and well-being for students. I strongly condemn any threats made by domestic extremists on HBCUs, and I will continue to do everything I can to protect all Americans from the threat of violence.

My Administration is also working to make sure college is more affordable for every American. We secured a \$900 increase to the maximum Pell Grant award—the largest increase in over a decade—putting funding directly in students' hands. And we are working on relieving the crushing burden of student loan debt. To date, nearly 5 million Americans have received student loan debt relief, totaling almost \$170 billion through various actions taken by my Administration. We also fixed the Public Service Loan Forgiveness program (PSLF) so that public servants get the relief they are entitled to under the law. My Administration has already provided relief to 947,000 borrowers through PSLF. Before I took office, only 7,000 public servants had received debt relief through this program. And earlier this year, I announced new plans that would provide debt relief for more than 30 million Americans when combined with everything my Administration has done so far.

This year, as I delivered the commencement address at Morehouse College, I felt honored to stand alongside these incredible students, whose legacies will surely lift our Nation up. These students, like so many others before them, launched their boundless futures at an HBCU. During National Historically Black Colleges and Universities Week, may we celebrate these critical institutions for all the doors of opportunity they open. May we honor their dedication to seeing their students thrive. And may we recommit to supporting HBCUs, which continue to prove that the American Dream is big enough for everyone to succeed.

NOW, THEREFORE, I, JOSEPH R. BIDEN JR., President of the United States of America, by virtue of the authority vested in me by the Constitution and the laws of the United States, do hereby proclaim September 15 through September 21, 2024, as National Historically Black Colleges and Universities Week. I call upon educators, students, public officials, professional organizations, corporations, and all Americans to observe this week with appropriate programs, ceremonies, and activities that acknowledge the countless contributions these institutions and their alumni have made to our country.

IN WITNESS WHEREOF, I have hereunto set my hand this thirteenth day of September, in the year of our Lord two thousand twenty-four, and of the Independence of the United States of America the two hundred and forty-ninth.

A handwritten signature in black ink, appearing to read "Joe Biden", is written over a diagonal line that extends from the bottom left towards the top right.

Presidential Documents

Presidential Determination No. 2024–11 of September 13, 2024

Continuation of the Exercise of Certain Authorities Under the Trading With the Enemy Act

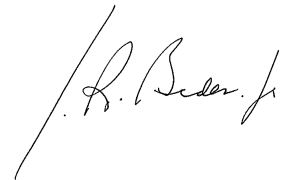
Memorandum for the Secretary of State [and] the Secretary of the Treasury

Under section 101(b) of Public Law 95–223 (91 Stat. 1625; 50 U.S.C. 4305 note), and a previous determination on September 13, 2023 (88 *FR* 64347, September 18, 2023), the exercise of certain authorities under the Trading With the Enemy Act is scheduled to expire on September 14, 2024.

I hereby determine that the continuation of the exercise of those authorities with respect to Cuba for 1 year is in the national interest of the United States.

Therefore, consistent with the authority vested in me by section 101(b) of Public Law 95–223, I continue for 1 year, until September 14, 2025, the exercise of those authorities with respect to Cuba, as implemented by the Cuban Assets Control Regulations, 31 CFR part 515.

The Secretary of the Treasury is authorized and directed to publish this determination in the *Federal Register*.



THE WHITE HOUSE,
Washington, September 13, 2024

Rules and Regulations

Federal Register

Vol. 89, No. 181

Wednesday, September 18, 2024

This section of the FEDERAL REGISTER contains regulatory documents having general applicability and legal effect, most of which are keyed to and codified in the Code of Federal Regulations, which is published under 50 titles pursuant to 44 U.S.C. 1510.

The Code of Federal Regulations is sold by the Superintendent of Documents.

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. FAA–2024–1470; Project Identifier MCAI–2023–01284–T; Amendment 39–22814; AD 2024–16–08]

RIN 2120–AA64

Airworthiness Directives; MHI RJ Aviation ULC (Type Certificate Previously Held by Bombardier, Inc.) Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is adopting a new airworthiness directive (AD) for certain MHI RJ Aviation ULC Model CL–600–2C10 (Regional Jet Series 700, 701 & 702), CL–600–2D15 (Regional Jet Series 705), and CL–600–2D24 (Regional Jet Series 900) airplanes. This AD was prompted by a report that the electrical harnesses in the overhead bin above the class divider may have insufficient or no separation with the class divider mounting plate. This AD requires inspecting the overhead bin electrical harnesses at the class dividers and modifying the class divider mounting plate assembly or accomplishing a temporary repair if necessary; and, eventually modifying the class divider mounting plate assembly if a modification was not done after accomplishing the inspection, as specified in a Transport Canada AD, which is incorporated by reference. The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain publication listed in this AD as of October 23, 2024.

ADDRESSES:

AD Docket: You may examine the AD docket at [regulations.gov](https://www.regulations.gov) under Docket

No. FAA–2024–1470; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, the mandatory continuing airworthiness information (MCAI), any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M–30, West Building Ground Floor, Room W12–140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For Transport Canada material identified in this AD, contact Transport Canada, Transport Canada National Aircraft Certification, 159 Cleopatra Drive, Nepean, Ontario K1A 0N5, Canada; telephone 888–663–3639; email TC.AirworthinessDirectives-Consignesdenavigabilite.TC@tc.gc.ca. You may find this material on the Transport Canada website at tc.canada.ca/en/aviation.

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195. It is also available at [regulations.gov](https://www.regulations.gov) under Docket No. FAA–2024–1470.

FOR FURTHER INFORMATION CONTACT:

Fatin Saumik, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; telephone 516–228–7300; email 9-avs-nyaco-cos@faa.gov.

SUPPLEMENTARY INFORMATION:

Background

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 by adding an AD that would apply to certain MHI RJ Aviation ULC Model CL–600–2C10 (Regional Jet Series 700, 701 & 702), CL–600–2D15 (Regional Jet Series 705), and CL–600–2D24 (Regional Jet Series 900) airplanes. The NPRM published in the **Federal Register** on May 29, 2024 (89 FR 46336). The NPRM was prompted by AD CF–2023–79, dated December 21, 2023, issued by Transport Canada, which is the aviation authority for Canada (Transport Canada AD CF–2023–79) (also referred to as the MCAI). The MCAI states that the electrical harnesses in the overhead bin above the class divider may have insufficient or no separation with the class divider

mounting plate. This condition, if not corrected, could result in the electrical harnesses becoming chafed, which could affect the following aircraft systems: ordinance signs, emergency lights/signs, passenger oxygen, and passenger address and air conditioning systems.

In the NPRM, the FAA proposed to require inspecting the overhead bin electrical harnesses at the class dividers and modifying the class divider mounting plate assembly or accomplishing a temporary repair if necessary; and, eventually modifying the class divider mounting plate assembly if a modification was not done after accomplishing the inspection, as specified in Transport Canada AD CF–2023–79. The FAA is issuing this AD to address the unsafe condition on these products.

You may examine the MCAI in the AD docket at [regulations.gov](https://www.regulations.gov) under Docket No. FAA–2024–1470.

Discussion of Final Airworthiness Directive

Comments

The FAA received no comments on the NPRM or on the determination of the cost to the public.

Conclusion

This product has been approved by the aviation authority of another country and is approved for operation in the United States. Pursuant to the FAA's bilateral agreement with this State of Design Authority, it has notified the FAA of the unsafe condition described in the MCAI referenced above. The FAA reviewed the relevant data and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on this product. Except for minor editorial changes, this AD is adopted as proposed in the NPRM. None of the changes will increase the economic burden on any operator.

Material Incorporated by Reference Under 1 CFR Part 51

Transport Canada AD CF–2023–79 specifies procedures for inspecting the left-hand and right-hand overhead bin electrical harnesses at the class divider for damage (*e.g.*, chafing), and if damage is found, modifying the class divider mounting plate assembly to improve the

overhead bin harnesses protection or accomplishing a temporary repair. Transport Canada AD CF-2023-79 also specifies procedures for eventually modifying the class divider mounting plate assembly if a modification was not done after accomplishing the inspection (i.e., if a temporary repair was done or

if no damage was found after accomplishing the inspection). This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the ADDRESSES section.

Costs of Compliance

The FAA estimates that this AD affects 246 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

ESTIMATED COSTS FOR REQUIRED ACTIONS

Labor cost	Parts cost	Cost per product	Cost on U.S. operators
3 work-hours × \$85 per hour = \$255	\$0	\$255	\$62,730.
Up to 9 work-hours × \$85 per hour = \$765	\$366	Up to \$1,131	Up to \$278,226.

The FAA estimates the following costs to do any necessary on-condition actions that would be required based on

the results of any required actions. The FAA has no way of determining the

number of aircraft that might need these on-condition actions:

ESTIMATED COSTS OF ON-CONDITION ACTIONS *

Labor cost	Parts cost	Cost per product
Up to 9 work-hours × \$85 per hour = \$765	\$366	Up to \$1,131.

* The FAA has received no definitive data on which to base the cost estimates for the on-condition optional temporary repair specified in this AD.

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA’s authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency’s authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce. This regulation is within the scope of that authority because it addresses an unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

(1) Is not a “significant regulatory action” under Executive Order 12866,

(2) Will not affect intrastate aviation in Alaska, and

(3) Will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

■ 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

■ 2. The FAA amends § 39.13 by adding the following new airworthiness directive:

2024-16-08 MHI RJ Aviation ULC (Type Certificate Previously Held by Bombardier, Inc.): Amendment 39-22814; Docket No. FAA-2024-1470; Project Identifier MCAI-2023-01284-T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected ADs

None.

(c) Applicability

This AD applies to MHI RJ Aviation ULC (type certificate previously held by Bombardier, Inc.) Model CL-600-2C10 (Regional Jet Series 700, 701 & 702), CL-600-2D15 (Regional Jet Series 705), and CL-600-2D24 (Regional Jet Series 900) airplanes, certificated in any category, as identified in Transport Canada AD CF-2023-79, dated December 21, 2023 (Transport Canada AD CF-2023-79), except for Group 3 and Group 5 airplanes identified Transport Canada AD CF-2023-79.

Note 1 to paragraph (c): Group 3 airplanes that are modified as specified in Service Bulletin 670BA-25-110 become Group 2 airplanes as identified in Transport Canada AD CF-2023-79.

Note 2 to paragraph (c): Group 5 airplanes that are modified as specified in Service Bulletin 670BA-25-057 become Group 4 airplanes as identified in Transport Canada AD CF-2023-79.

(d) Subject

Air Transport Association (ATA) of America Code 25, Equipment/furnishings.

(e) Unsafe Condition

This AD was prompted by a report that the electrical harnesses in the overhead bin above the class divider may have insufficient or no separation with the class divider mounting plate. The FAA is issuing this AD to address possible chafing of the electrical harness with the class divider mounting plate. The unsafe condition, if not addressed, could result in the electrical harnesses becoming chafed, which could affect the following aircraft systems: ordinance signs,

emergency lights/signs, passenger oxygen, and passenger address and air conditioning systems.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Requirements

Except as specified in paragraph (h) of this AD: Comply with all required actions and compliance times specified in, and in accordance with, Transport Canada AD CF-2023-79.

(h) Exception to Transport Canada AD CF-2023-79

(1) Where Transport Canada AD CF-2023-79 refers to its effective date or August 7, 2023 (the effective date of Transport Canada AD CF-2023-56, dated July 24, 2023), this AD requires using the effective date of this AD.

(2) Where Transport Canada AD CF-2023-79 refers to hours air time, this AD requires using flight hours.

(3) Where paragraph A. of Part I of Transport Canada AD CF-2023-79, specifies “and, modify as required,” for this AD, replace that text with “and, before further flight, modify as required.”

(4) Where any MHIRJ service information referenced in Transport Canada AD CF-2023-79 differs from any Safran service information referenced in Transport Canada AD CF-2023-79, the MHIRJ service information takes precedence over the Safran service information because the initial revision of the Safran service information does not list all affected part numbers.

(i) Additional AD Provisions

The following provisions also apply to this AD:

(1) *Alternative Methods of Compliance (AMOCs)*: The Manager, International Validation Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the International Validation Branch, mail it to the address identified in paragraph (j) of this AD. Information may be emailed to: 9-AVS-NYACO-COS@faa.gov. Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(2) *Contacting the Manufacturer*: For any requirement in this AD to obtain instructions from a manufacturer, the instructions must be accomplished using a method approved by the Manager, International Validation Branch, FAA; or Transport Canada; or MHIRJ Aviation ULC's Transport Canada Design Approval Organization (DAO). If approved by the DAO, the approval must include the DAO-authorized signature.

(j) Additional Information

For more information about this AD, contact Fatin Saumik, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite

410, Westbury, NY 11590; telephone 516-228-7300; email 9-avs-nyaco-cos@faa.gov.

(k) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this service information as applicable to do the actions required by this AD, unless this AD specifies otherwise.

(i) Transport Canada AD CF-2023-79, dated December 21, 2023.

(ii) [Reserved]

(3) For Transport Canada AD CF-2023-79, contact Transport Canada, Transport Canada National Aircraft Certification, 159 Cleopatra Drive, Nepean, Ontario K1A 0N5, Canada; telephone 888-663-3639; email TC.AirworthinessDirectives-Consignesdenavigabilite.TC@tc.gc.ca. You may find this Transport Canada AD on the Transport Canada website tc.canada.ca/en/aviation.

(4) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206-231-3195.

(5) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations, or email fr.inspection@nara.gov.

Issued on September 12, 2024.

Victor Wicklund,

Deputy Director, Compliance & Airworthiness Division, Aircraft Certification Service.

[FR Doc. 2024-21176 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-13-P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. FAA-2024-1473; Project Identifier MCAI-2024-00195-T; Amendment 39-22817; AD 2024-16-11]

RIN 2120-AA64

Airworthiness Directives; Dassault Aviation Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is adopting a new airworthiness directive (AD) for all Dassault Aviation Model FALCON 7X airplanes. This AD was prompted by reports of excessive thickness of the trailing edge of certain ailerons, which may affect the assembly of the rear spar with the lower and upper skins. This AD requires a one-time ultrasonic or visual inspection of the aileron rear spar

and trailing edge areas, and applicable corrective actions, as specified in a European Union Aviation Safety Agency (EASA) AD, which is incorporated by reference. The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain publication listed in this AD as of October 23, 2024.

ADDRESSES:

AD Docket: You may examine the AD docket at regulations.gov under Docket No. FAA-2024-1473; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, the mandatory continuing airworthiness information (MCAI), any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M-30, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For EASA material identified in this AD, contact EASA, Konrad-Adenauer-Ufer 3, 50668 Cologne, Germany; telephone +49 221 8999 000; email ADs@easa.europa.eu; website easa.europa.eu. You may find this material on the EASA website at ad.easa.europa.eu.

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206-231-3195. It is also available at regulations.gov under Docket No. FAA-2024-1473.

FOR FURTHER INFORMATION CONTACT: Tom Rodriguez, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; telephone 206-231-3226; email Tom.Rodriguez@faa.gov.

SUPPLEMENTARY INFORMATION:

Background

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 by adding an AD that would apply on all Dassault Aviation Model FALCON 7X airplanes. The NPRM published in the **Federal Register** on May 23, 2024 (89 FR 45612). The NPRM was prompted by AD 2024-0076, dated March 19, 2024, issued by EASA, which is the Technical Agent for the Member States of the European Union (EASA AD 2024-0076) (also referred to as the MCAI). The MCAI states that excessive

thickness was found on the trailing edge of certain ailerons, which may affect the assembly of the rear spar with the lower and upper skins. The unsafe condition, if not addressed, could result in reduced structural integrity of the aileron.

In the NPRM, the FAA proposed to require a one-time ultrasonic or visual inspection of the aileron rear spar and trailing edge areas, and applicable corrective actions, as specified in EASA AD 2024–0076. The FAA is issuing this AD to address the unsafe condition on these products.

You may examine the MCAI in the AD docket at *regulations.gov* under Docket No. FAA–2024–1473.

Discussion of Final Airworthiness Directive

Comments

The FAA received no comments on the NPRM or on the determination of the cost to the public.

Conclusion

This product has been approved by the aviation authority of another country and is approved for operation in the United States. Pursuant to the FAA’s bilateral agreement with this State of Design Authority, it has notified the FAA of the unsafe condition described in the MCAI referenced above. The FAA reviewed the relevant data and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on this product. Except for minor editorial changes, this AD is adopted as proposed

in the NPRM. None of the changes will increase the economic burden on any operator.

Material Incorporated by Reference Under 1 CFR Part 51

EASA AD 2024–0076 specifies procedures for one-time ultrasonic and visual inspections for discrepancies (excessive paint thickness) of the aileron rear spar and trailing edge areas, and repair of discrepant parts. This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the **ADDRESSES** section.

Costs of Compliance

The FAA estimates that this AD affects 160 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

ESTIMATED COSTS FOR REQUIRED ACTIONS

Labor cost	Parts cost	Cost per product	Cost on U.S. operators
21 work-hours × \$85 per hour = \$1,785	\$324	\$2,109	\$337,440

The FAA estimates the following costs to do any necessary on-condition action that would be required based on

the results of any required actions. The FAA has no way of determining the

number of aircraft that might need this on-condition action:

ESTIMATED COSTS OF ON-CONDITION ACTIONS

Labor cost	Parts cost	Cost per product
11 work-hours × \$85 per hour = \$935	\$296	\$1,231

The FAA has included all known costs in its cost estimate. According to the manufacturer, however, some or all of the costs of this AD may be covered under warranty, thereby reducing the cost impact on affected operators.

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA’s authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency’s authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce.

This regulation is within the scope of that authority because it addresses an unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

- (1) Is not a “significant regulatory action” under Executive Order 12866,
- (2) Will not affect intrastate aviation in Alaska, and
- (3) Will not have a significant economic impact, positive or negative, on a substantial number of small entities

under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

- 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

- 2. The FAA amends § 39.13 by adding the following new airworthiness directive:

2024–16–11 Dassault Aviation:

Amendment 39–22817; Docket No. FAA–2024–1473; Project Identifier MCAI–2024–00195–T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected ADs

None.

(c) Applicability

This AD applies to all Dassault Aviation Model FALCON 7X airplanes, certificated in any category.

Note 1 to paragraph (c): Model FALCON 7X airplanes with modification M1000 incorporated are commonly referred to as “Model FALCON 8X” airplanes as a marketing designation.

(d) Subject

Air Transport Association (ATA) of America Code: 57, Wings.

(e) Unsafe Condition

This AD was prompted by reports of excessive thickness of the trailing edge of certain ailerons, which may affect the assembly of the rear spar with the lower and upper skins. The FAA is issuing this AD to address the thickness of the trailing edge of certain ailerons. The unsafe condition, if not addressed, could result in reduced structural integrity of the aileron.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Requirements

Except as specified in paragraphs (h) and (i) of this AD: Comply with all required actions and compliance times specified in, and in accordance with, European Union Aviation Safety Agency (EASA) AD 2024–0076, dated March 19, 2024 (EASA AD 2024–0076).

(h) Exceptions to EASA AD 2024–0076

(1) Where paragraph (3) of EASA AD 2024–0076 specifies to “contact Dassault for approved corrective action(s) instructions and accomplish those instructions accordingly,” this AD requires replacing that text with “repair the discrepancy using a method approved by the Manager, International Validation Branch, FAA; or EASA; or Dassault’s EASA Design Organization Approval (DOA). If approved by the DOA, the approval must include the DOA-authorized signature.”

(2) This AD does not adopt the “Remarks” section of EASA AD 2024–0076.

(i) No Reporting Requirement

Although the service information referenced in EASA AD 2024–0076 specifies to submit certain information to the manufacturer, this AD does not include that requirement.

(j) Additional AD Provisions

The following provisions also apply to this AD:

(1) *Alternative Methods of Compliance (AMOCs):* The Manager, International Validation Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the International Validation Branch, mail it to the address identified in paragraph (k) of this AD. Information may be emailed to: 9-AVS-AIR-730-AMOC@faa.gov. Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(2) *Contacting the Manufacturer:* For any requirement in this AD to obtain instructions from a manufacturer, the instructions must be accomplished using a method approved by the Manager, International Validation Branch, FAA; or EASA; or Dassault Aviation’s EASA DOA. If approved by the DOA, the approval must include the DOA-authorized signature.

(k) Additional Information

For more information about this AD, contact Tom Rodriguez, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; telephone 206–231–3226; email Tom.Rodriguez@faa.gov.

(l) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this material as applicable to do the actions required by this AD, unless this AD specifies otherwise.

(i) European Union Aviation Safety Agency (EASA) AD 2024–0076, dated March 19, 2024.

(ii) [Reserved]

(3) For EASA AD 2024–0076, contact EASA, Konrad-Adenauer-Ufer 3, 50668 Cologne, Germany; telephone +49 221 8999 000; email ADS@easa.europa.eu; website easa.europa.eu. You may find this EASA AD on the EASA website ad.easa.europa.eu.

(4) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195.

(5) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations, or email fr.inspection@nara.gov.

Issued on September 12, 2024.

Victor Wicklund,

Deputy Director, Compliance & Airworthiness Division, Aircraft Certification Service.

[FR Doc. 2024–21179 Filed 9–17–24; 8:45 am]

BILLING CODE 4910–13–P

DEPARTMENT OF TRANSPORTATION**Federal Aviation Administration****14 CFR Part 39**

[Docket No. FAA–2024–0455; Project Identifier MCAI–2023–00997–T; Amendment 39–22805; AD 2024–15–13]

RIN 2120–AA64

Airworthiness Directives; Embraer S.A. Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is adopting a new airworthiness directive (AD) for certain Embraer S.A. Model EMB–545 and EMB–550 airplanes. This AD was prompted by occurrences of premature cracks in the outer layer of certain flight deck side windows caused by interference due to manufacturing tolerances. This AD requires initial and repetitive inspections of the flight deck side windows and applicable corrective actions, and prohibits the installation of affected flight deck side windows, as specified in an Agência Nacional de Aviação Civil (ANAC) AD, which is incorporated by reference. The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain publication listed in this AD as of October 23, 2024.

ADDRESSES:

AD Docket: You may examine the AD docket at regulations.gov under Docket No. FAA–2024–0455; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, the mandatory continuing airworthiness information (MCAI), any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M–30, West Building Ground Floor, Room W12–140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For ANAC material identified in this AD, contact National Civil Aviation Agency (ANAC), Aeronautical Products Certification Branch (GGCP), Rua Dr. Orlando Feirabend Filho, 230—Centro Empresarial Aquarius—Torre B—Andares 14 a 18, Parque Residencial Aquarius, CEP 12.246–190—São José dos Campos—SP, Brazil; telephone 55 (12) 3203–6600; email pac@anac.gov.br;

website anac.gov.br/en/. You may find this material on the ANAC website at sistemas.anac.gov.br/certificacao/DA/DAE.asp. It is also available at regulations.gov under Docket No. FAA–2024–0455.

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th St., Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195. It is also available at regulations.gov under Docket No. FAA–2024–0455.

FOR FURTHER INFORMATION CONTACT: Hassan Ibrahim, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; phone: 206–231–3653; email: hassan.m.ibrahim@faa.gov.

SUPPLEMENTARY INFORMATION:

Background

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 by adding an AD that would apply to certain Embraer S.A. Model EMB–545 and EMB–550 airplanes. The NPRM published in the **Federal Register** on March 7, 2024 (89 FR 16489). The NPRM was prompted by ANAC AD 2023–08–03R01, effective November 2, 2023 (ANAC AD 2023–08–03R01) (also referred to as the MCAI). The MCAI stated that premature cracks have occurred in the outer layer of left-hand and right-hand flight deck side windows with part number (P/N) NP–200402–7 or P/N NP–200402–8, caused by interference due to manufacturing tolerances.

In the NPRM, the FAA proposed to require initial and repetitive inspections of the flight deck side windows and applicable corrective actions, and to prohibit the installation of affected flight deck side windows, as specified in ANAC AD 2023–08–03R01. The FAA is issuing this AD to address cracks, delamination, scratches, erosion, and any other damage with the affected left-hand and right-hand flight deck side windows, which may subject the inner layer of the window to unpredicted loads for several flights, which could result in window failure and subsequent in-flight depressurization events.

You may examine the MCAI in the AD docket at regulations.gov under Docket No. FAA–2024–0455.

Discussion of Final Airworthiness Directive

Comments

The FAA received one comment, from Embraer S.A. The following presents the

comment received on the NPRM and the FAA’s response to the comment.

Request for Change to Exceptions Paragraph

Paragraph (b)(1)(i) of ANAC AD 2023–08–03R01 specified replacement of a window if “any crack in the outer layer” is detected. Paragraph (h)(2) of the proposed AD, however, specified replacement of a window if “any crack, delamination, or any other damage” is found. Embraer stated that delamination is commonly defined as a reduced adhesion or separation of the interlayer between the acrylic plies. Embraer claimed that delamination is found with some frequency in airplane windows and may be present during the inspection. Embraer added that delamination, as well as other typical damage (scratches, crazing, etc.) is not a structural concern, but would require the immediate window replacement according to the proposed AD. Embraer was concerned that the text of the proposed AD would require actions beyond the original intent of the ANAC AD, which is to provide instructions if a crack is identified. Embraer claimed that a crack in the window outer ply caused by the interference with its aluminum strap is the condition that may develop into the unsafe condition.

Since the commenter submitted the comment, ANAC has revised the MCAI. ANAC AD 2023–08–03R02, effective May 10, 2024 (ANAC AD 2023–08–03R02), clarifies the corrective actions for damages other than cracks, although it does not change the intent: If any crack in the outer layer is found, the revised MCAI requires replacing the window, and if delamination, scratches, erosion, or any damage other than a crack is found, the revised MCAI requires corrective actions that depend on the extent of the findings, as specified in Task 56–12–00–200–802–A, “Cockpit Side Window—Allowable limits,” Revision 50, dated May 12, 2023, as published in Aircraft Maintenance Manual AMM–5613, Part II (Maintenance Practices and Procedures-MPP), or further revisions of this task approved by ANAC.

The FAA affirms that maintenance procedures exist with limits defined by the window manufacturer in case of delamination, scratches, erosion, or any other damage. With the updated procedures, the FAA therefore agrees that the exception specified in paragraph (h)(2) of the proposed AD is unnecessary. The FAA has made the following changes to this AD:

- Paragraph (g) of this AD requires the actions specified in ANAC AD 2023–08–03R02 (instead of ANAC AD 2023–08–03R01).

- Paragraph (h)(2) of the proposed AD has been removed from this AD.

- Paragraph (i) has been added to this AD to provide credit if the actions in ANAC AD 2023–08–03R01 were accomplished before the effective date of this AD.

Conclusion

This product has been approved by the aviation authority of another country and is approved for operation in the United States. Pursuant to the FAA’s bilateral agreement with this State of Design Authority, it has notified the FAA of the unsafe condition described in the MCAI referenced above. The FAA reviewed the relevant data, considered the comments received, and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on this product. Except for minor editorial changes, and any other changes described previously, this AD is adopted as proposed in the NPRM. None of the changes will increase the economic burden on any operator.

Material Incorporated by Reference Under 1 CFR Part 51

The FAA reviewed ANAC AD 2023–08–03R02, effective May 10, 2024. This material specifies procedures for initial and repetitive general visual inspections of the left-hand and right-hand flight deck side windows with P/N NP–200402–7 or P/N NP–200402–8 to detect cracks, delamination, scratches, erosion, and any other damage (such as chipping and crazing). Corrective actions include window replacement and other maintenance procedures depending on the extent of the findings. ANAC AD 2023–08–03R02 also prohibits the installation of flight deck side windows with P/N NP–200402–7 or P/N NP–200402–8, on any airplane.

This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the **ADDRESSES** section.

Costs of Compliance

The FAA estimates this AD affects 44 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

ESTIMATED COSTS FOR REQUIRED ACTIONS

Labor cost	Parts cost	Cost per product	Cost on U.S. operators
1 work-hour × \$85 per hour = \$85	\$0	\$85	\$3,740

The FAA estimates the following costs to do any on-condition actions that would be required based on the results

of any required actions. The FAA has no way of determining the number of

aircraft that might need these on-condition actions:

ESTIMATED COSTS OF ON-CONDITION ACTIONS

Labor cost	Parts cost	Cost per window
Up to 15 work-hours × \$85 per hour = \$1,275	\$21,636	Up to \$22,911.

The FAA has included all known costs in its cost estimate. According to the manufacturer, however, some or all of the costs of this AD may be covered under warranty, thereby reducing the cost impact on affected operators.

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA's authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency's authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce. This regulation is within the scope of that authority because it addresses an unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

- (1) Is not a "significant regulatory action" under Executive Order 12866,
- (2) Will not affect intrastate aviation in Alaska, and
- (3) Will not have a significant economic impact, positive or negative,

on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

- 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

- 2. The FAA amends § 39.13 by adding the following new airworthiness directive:

2024–15–13 Embraer S.A.: Amendment 39–22805; Docket No. FAA–2024–0455; Project Identifier MCAI–2023–00997–T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected ADs

None.

(c) Applicability

This AD applies to Embraer S.A. Model EMB–545 and EMB–550 airplanes, certificated in any category, as identified in Agência Nacional de Aviação Civil (ANAC) AD 2023–08–03R02, effective May 10, 2024 (ANAC AD 2023–08–03R02).

(d) Subject

Air Transport Association (ATA) of America Code 56, Windows.

(e) Unsafe Condition

This AD was prompted by occurrences of premature cracks in the outer layer of certain flight deck side windows caused by

interference due to manufacturing tolerances. The FAA is issuing this AD to address cracks, delamination, scratches, erosion, and any other damage of the flight deck side windows. The unsafe condition, if not addressed, may subject the inner layer of the window to unpredicted loads for several flights, which could result in window failure and subsequent in-flight depressurization events.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Requirements

Except as specified in paragraph (h) of this AD: Comply with all required actions and compliance times specified in, and in accordance with, ANAC AD 2023–08–03R02.

(h) Exceptions to ANAC AD 2023–08–03R02

(1) Where ANAC AD 2023–08–03R02 refers to its effective date or "November 02nd, 2023, the effective date of the AD 2023–08–03R01," this AD requires using the effective date of this AD.

(2) Where paragraph (b)(2) of ANAC AD 2023–08–03R02 specifies "at each 2,000 FC," for this AD, replace that text with "at intervals not to exceed 2,000 FC."

(3) This AD does not adopt paragraph (d) of ANAC AD 2023–08–03R02.

(i) Credit for Previous Actions

This paragraph provides credit for actions required by paragraph (g) of this AD, if those actions were performed before the effective date of this AD using ANAC AD 2023–08–03R01, effective November 2, 2023.

(j) Additional AD Provisions

The following provisions also apply to this AD:

(1) *Alternative Methods of Compliance (AMOCs):* The Manager, International Validation Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the International Validation Branch, mail it to the address identified in

paragraph (k) of this AD. Information may be emailed to: AVS-AIR-730-AMOC@faa.gov. Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(2) *Contacting the Manufacturer:* For any requirement in this AD to obtain instructions from a manufacturer, the instructions must be accomplished using a method approved by the Manager, International Validation Branch, FAA; or ANAC; or ANAC's authorized Designee. If approved by the ANAC Designee, the approval must include the Designee's authorized signature.

(k) Additional Information

For more information about this AD, contact Hassan Ibrahim, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; phone: 206-231-3653; email: hassan.m.ibrahim@faa.gov.

(l) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this material as applicable to do the actions required by this AD, unless this AD specifies otherwise.

(i) Agência Nacional de Aviação Civil (ANAC) AD 2023-08-03R02, effective May 10, 2024.

(ii) [Reserved]

(3) For ANAC AD 2023-08-03R02 identified in this AD, contact ANAC, Aeronautical Products Certification Branch (GGCP), Rua Dr. Orlando Feirabend Filho, 230—Centro Empresarial Aquarius—Torre B—Andares 14 a 18, Parque Residencial Aquarius, CEP 12.246-190—São José dos Campos—SP, Brazil; telephone 55 (12) 3203-6600; email pac@anac.gov.br; website anac.gov.br/en/. You may find this ANAC AD on the ANAC website at sistemas.anac.gov.br/certificacao/DA/DAE.asp.

(4) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th St., Des Moines, WA. For information on the availability of this material at the FAA, call 206-231-3195.

(5) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations, or email fr.inspection@nara.gov.

Issued on September 12, 2024.

Victor Wicklund,

Deputy Director, Compliance & Airworthiness Division, Aircraft Certification Service.

[FR Doc. 2024-21177 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-13-P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. FAA-2024-1293; Project Identifier MCAI-2023-01283-T; Amendment 39-22804; AD 2024-15-12]

RIN 2120-AA64

Airworthiness Directives; Saab AB, (Formerly Known as Saab AB, Support and Services) Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is superseding Airworthiness Directive (AD) 2021-26-05, which applied to all Saab AB Model SAAB 2000 airplanes. AD 2021-26-05 required revising the existing maintenance or inspection program, as applicable, to incorporate new or more restrictive airworthiness limitations. This AD was prompted by a determination that new or more restrictive airworthiness limitations are necessary. This AD continues to require certain actions in AD 2021-26-05 and requires revising the existing maintenance or inspection program, as applicable, to incorporate new or more restrictive airworthiness limitations, as specified in a European Union Aviation Safety Agency (EASA) AD, which is incorporated by reference. The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain publication listed in this AD as of October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain other publication listed in this AD as of February 15, 2022 (87 FR 1335, January 11, 2022).

ADDRESSES:

AD Docket: You may examine the AD docket at regulations.gov under Docket No. FAA-2024-1293; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, the mandatory continuing airworthiness information (MCAI), any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M-30, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For EASA material identified in this AD, contact EASA, Konrad-Adenauer-Ufer 3, 50668 Cologne, Germany; telephone +49 221 8999 000; email ADs@easa.europa.eu; website easa.europa.eu. You may find this material on the EASA website at ad.easa.europa.eu.

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th St., Des Moines, WA. For information on the availability of this material at the FAA, call 206-231-3195. It is also available at regulations.gov under Docket No. FAA-2024-1293.

FOR FURTHER INFORMATION CONTACT: Shahram Daneshmandi, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; phone: 206-231-3220; email: shahram.daneshmandi@faa.gov.

SUPPLEMENTARY INFORMATION:

Background

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 to supersede AD 2021-26-05, Amendment 39-21863 (87 FR 1335, January 11, 2022) (AD 2021-26-05). AD 2021-26-05 applied to all Saab AB, Support and Services Model SAAB 2000 airplanes. AD 2021-26-05 required revising the existing maintenance or inspection program, as applicable, to incorporate new or more restrictive airworthiness limitations. The FAA issued AD 2021-26-05 to address, among other things, fatigue cracking of principal structural elements (PSEs) and corrosion prevention and control. This unsafe condition, if not addressed, could result in reduced structural integrity of a PSE, and lead to loss of control of the airplane.

The NPRM published in the **Federal Register** on May 14, 2024 (89 FR 41903). The NPRM was prompted by AD 2023-0220, dated December 21, 2023 (EASA AD 2023-0220) (also referred to as the MCAI), issued by EASA, which is the Technical Agent for the Member States of the European Union. The MCAI states new or more restrictive airworthiness limitations have been developed.

In the NPRM, the FAA proposed to continue to require certain actions in AD 2021-26-05 and to require revising the existing maintenance or inspection program, as applicable, to incorporate new or more restrictive airworthiness limitations, as specified in EASA AD 2023-0220. The FAA is issuing this AD to address among other things, fatigue cracking of PSEs and corrosion prevention and control. The unsafe condition, if not addressed, could result in reduced structural integrity of a PSE,

and lead to loss of control of the airplane.

You may examine the MCAI in the AD docket at *regulations.gov* under Docket No. FAA–2024–1293.

Discussion of Final Airworthiness Directive

Comments

The FAA received no comments on the NPRM or on the determination of the cost to the public.

Conclusion

This product has been approved by the aviation authority of another country and is approved for operation in the United States. Pursuant to the FAA's bilateral agreement with this State of Design Authority, it has notified the FAA of the unsafe condition described in the MCAI referenced above. The FAA reviewed the relevant data and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on this product. Except for minor editorial changes, this AD is adopted as proposed in the NPRM. None of the changes will increase the economic burden on any operator.

Related Material Under 1 CFR Part 51

EASA AD 2023–0220 specifies new or more restrictive airworthiness limitations for airplane structures and safe life limits.

This AD also requires EASA AD 2021–0132, dated May 25, 2021, which the Director of the Federal Register approved for incorporation by reference as of February 15, 2022 (87 FR 1335, January 11, 2022).

This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the ADDRESSES section.

Costs of Compliance

The FAA estimates that this AD affects 9 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

The FAA estimates the total cost per operator for the retained actions from AD 2021–26–05 to be \$7,650 (90 work-hours × \$85 per work-hour).

The FAA has determined that revising the maintenance or inspection program takes an average of 90 work-hours per operator, although the agency recognizes that this number may vary from operator to operator. Since operators incorporate maintenance or inspection program changes for their affected fleet(s), the FAA has determined that a per-operator estimate

is more accurate than a per-airplane estimate.

The FAA estimates the total cost per operator for the new actions to be \$7,650 (90 work-hours × \$85 per work-hour).

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA's authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency's authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce. This regulation is within the scope of that authority because it addresses an unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

- (1) Is not a “significant regulatory action” under Executive Order 12866,
- (2) Will not affect intrastate aviation in Alaska, and
- (3) Will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

- 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

- 2. The FAA amends § 39.13 by:

- a. Removing Airworthiness Directive (AD) 2021–26–05, Amendment 39–21863 (87 FR 1335, January 11, 2022); and

- b. Adding the following new AD:

2024–15–12 Saab AB (Formerly Known as Saab AB, Support and Services):
Amendment 39–22804; Docket No. FAA–2024–1293; Project Identifier MCAI–2023–01283–T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected ADs

This AD replaces AD 2021–26–05, Amendment 39–21863 (87 FR 1335, January 11, 2022) (AD 2021–26–05).

(c) Applicability

This AD applies to all Saab AB (formerly known as Saab AB, Support and Services) Model SAAB 2000 airplanes, certificated in any category.

(d) Subject

Air Transport Association (ATA) of America Code 05, Time Limits/Maintenance Checks.

(e) Reason

This AD was prompted by a determination that new or more restrictive airworthiness limitations are necessary. The FAA is issuing this AD to address among other things, fatigue cracking of principal structural elements (PSEs) and corrosion prevention and control. The unsafe condition, if not addressed, could result in reduced structural integrity of a PSE, and lead to loss of control of the airplane.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Retained Revision of the Existing Maintenance or Inspection Program, With a New Terminating Action

This paragraph restates the requirements of paragraph (j) of AD 2021–26–05, with a new terminating action. Except as specified in paragraph (h) of this AD: Comply with all required actions and compliance times specified in, and in accordance with, European Union Aviation Safety Agency (EASA) AD 2021–0132, dated May 25, 2021 (EASA AD 2021–0132). Accomplishing the revision of the existing maintenance or inspection program required by paragraph (j) of this AD terminates the requirements of this paragraph.

(h) Retained Exceptions to EASA AD 2021–0132, With No Changes

This paragraph restates the requirements of paragraph (h) of AD 2021–26–05, with no changes.

(1) The requirements specified in paragraphs (1) and (2) of EASA AD 2021–0132 do not apply to this AD.

(2) Paragraph (3) of EASA AD 2021–0132 specifies revising “the approved AMP [aircraft maintenance program]” within 12 months after its effective date, but this AD requires revising the existing maintenance or inspection program, as applicable, to incorporate the “limitations, tasks and associated thresholds and intervals” specified in paragraph (3) of EASA AD 2021–0132 within 90 days after February 15, 2022 (the effective date of AD 2021–26–05).

(3) The initial compliance time for doing the tasks specified in paragraph (3) of EASA AD 2021–0132 is at the applicable “associated thresholds” specified in paragraph (3) of EASA AD 2021–0132, or within 90 days after February 15, 2022 (the effective date of AD 2021–26–05), whichever occurs later.

(4) The provisions specified in paragraphs (4) and (5) of EASA AD 2021–0132 do not apply to this AD.

(5) The “Remarks” section of EASA AD 2021–0132 does not apply to this AD.

(i) Retained Restrictions on Alternative Actions, Intervals, and Critical Design Configuration Control Limitations (CDCCLs), With a New Exception

This paragraph restates the requirements of paragraph (1) of AD 2021–26–05, with a new exception. Except as required by paragraph (j) of this AD, after the maintenance or inspection program has been revised as required by paragraph (g) of this AD, no alternative actions (e.g., inspections), intervals, and CDCCLs are allowed unless they are approved as specified in the provisions of the “Ref. Publications” section of EASA AD 2021–0132.

(j) New Revision of the Existing Maintenance or Inspection Program

Except as specified in paragraph (k) of this AD: Comply with all required actions and compliance times specified in, and in accordance with, EASA AD 2023–0220, dated December 21, 2023 (EASA AD 2023–0220). Accomplishing the revision of the existing maintenance or inspection program required by this paragraph terminates the requirements of paragraph (g) of this AD.

(k) Exceptions to EASA AD 2023–0220

(1) This AD does not adopt the requirements specified in paragraphs (1) and (2) of EASA AD 2023–0220.

(2) Paragraph (3) of EASA AD 2023–0220 specifies revising “the AMP” within 12 months after its effective date, but this AD requires revising the existing maintenance or inspection program, as applicable, within 90 days after the effective date of this AD.

(3) The initial compliance time for doing the tasks specified in paragraph (3) of EASA AD 2023–0220 is at the applicable “limitations” and “associated thresholds” as incorporated by the requirements of paragraph (3) of EASA AD 2023–0220, or within 90 days after the effective date of this AD, whichever occurs later.

(4) This AD does not adopt the provisions specified in paragraphs (4) and (5) of EASA AD 2023–0220.

(5) This AD does not adopt the “Remarks” section of EASA AD 2023–0220.

(l) New No Alternative Actions, Intervals, or CDCCLs

After the existing maintenance or inspection program has been revised as required by paragraph (j) of this AD, no alternative actions (e.g., inspections), intervals, or CDCCLs are allowed unless they are approved as specified in the provisions of the “Ref. Publications” section of EASA AD 2023–0220.

(m) Additional AD Provisions

The following provisions also apply to this AD:

(1) *Alternative Methods of Compliance (AMOCs)*: The Manager, International Validation Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the International Validation Branch, mail it to the address identified in paragraph (n) of this AD. Information may be emailed to: 9-AVS-AIR-730-AMOC@faa.gov. Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(2) *Contacting the Manufacturer*: For any requirement in this AD to obtain instructions from a manufacturer, the instructions must be accomplished using a method approved by the Manager, International Validation Branch, FAA; or EASA; or Saab AB’s EASA Design Organization Approval (DOA). If approved by the DOA, the approval must include the DOA-authorized signature.

(n) Additional Information

For more information about this AD, contact Shahram Daneshmandi, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; phone: 206–231–3220; email: shahram.daneshmandi@faa.gov.

(o) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this material as applicable to do the actions required by this AD, unless this AD specifies otherwise.

(3) The following material was approved for IBR on October 23, 2024.

(i) European Union Aviation Safety Agency (EASA) AD 2023–0220, dated December 21, 2023.

(ii) [Reserved]

(4) The following material was approved for IBR on February 15, 2022 (87 FR 1335, January 11, 2022).

(i) European Union Aviation Safety Agency (EASA) AD 2021–0132, dated May 25, 2021.

(ii) [Reserved]

(5) For EASA AD 2023–0220 and EASA AD 2021–0132, contact EASA, Konrad-Adenauer-Ufer 3, 50668 Cologne, Germany; telephone +49 221 8999 000; email ADS@easa.europa.eu; website easa.europa.eu. You

may find these EASA ADs on the EASA website at ad.easa.europa.eu.

(6) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th St., Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195.

(7) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations, or email fr.inspection@nara.gov.

Issued on September 12, 2024.

Victor Wicklund,

Deputy Director, Compliance & Airworthiness Division, Aircraft Certification Service.

[FR Doc. 2024–21183 Filed 9–17–24; 8:45 am]

BILLING CODE 4910–13–P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. FAA–2024–1469; Project Identifier MCAI–2024–00130–T; Amendment 39–22810; AD 2024–16–04]

RIN 2120–AA64

Airworthiness Directives; Bombardier, Inc. Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is superseding Airworthiness Directive (AD) 2009–25–13, which applied to certain Bombardier, Inc., Model BD–100–1A10 (Challenger 300) airplanes. AD 2009–25–13 required the deactivation of the left-hand (LH) baggage bay heater mat. Since the FAA issued AD 2009–25–13, Bombardier developed a new design solution for the potential uncontrolled heating of the baggage bay sidewall heater mat. This AD retains the requirements of AD 2009–25–13 and requires modifying the baggage bay sidewall interior panel, heater mat, and water tank heater installation, and doing functional testing. Upon the completion of the new actions, the retained requirements of AD 2009–25–13 will terminate. This AD also revises the applicability. The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain publication listed in this AD as of October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain other publication listed in this AD as of December 28, 2009 (74 FR 65401, December 10, 2009).

ADDRESSES:

AD Docket: You may examine the AD docket at [regulations.gov](https://www.regulations.gov) under Docket No. FAA-2024-1469; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, the mandatory continuing airworthiness information (MCAI), any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M-30, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For Bombardier, Inc. material identified in this AD, contact Bombardier Business Aircraft Customer Response Center, 400 Côte Vertu Road West, Dorval, Québec H4S 1Y9, Canada; telephone 514-855-2999; email ac.yul@aero.bombardier.com; website [bombardier.com](https://www.bombardier.com).

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206-231-3195. It is also available at [regulations.gov](https://www.regulations.gov) under Docket No. FAA-2024-1469.

FOR FURTHER INFORMATION CONTACT:

Steven Dzierzynski, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; telephone 516-228-7300; email 9-avs-nyaco-cos@faa.gov.

SUPPLEMENTARY INFORMATION:

Background

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 to supersede AD 2009-25-13, Amendment 39-16133 (74 FR 65401, December 10, 2009) (AD 2009-25-13). AD 2009-25-13 applied to certain Bombardier, Inc., Model BD-100-1A10 airplanes. AD 2009-25-13 required the deactivation of the LH baggage bay heater. The FAA issued AD 2009-25-13

to address the possibility of uncontrolled heating by the heater panel, and on the baggage bay compartment, that could result in a fire in the baggage bay.

The NPRM published in the **Federal Register** on May 22, 2024 (89 FR 44930). The NPRM was prompted by AD CF-2023-72, dated October 18, 2023, issued by Transport Canada, which is the aviation authority for Canada (Transport Canada AD CF-2023-72) (also referred to as the MCAI). The MCAI states that new procedures have been developed for modifications of the baggage bay sidewall interior panel, heater mat, and water tank heater installation that will address the unsafe condition.

In the NPRM, the FAA proposed to continue to require the actions in AD 2009-25-13, and further require modifying the baggage bay sidewall interior panel, heater mat, and water tank heater installation, and doing functional testing. In the NPRM, the FAA proposed that, upon the completion of the new actions, the retained requirements of AD 2009-25-13 would terminate. In the NPRM, the FAA also proposed to revise the applicability to clarify that the AD applies to airplanes having certain serial numbers (which equates to those equipped with sidewall heater having part number (P/N) 3436-06-1/0) instead of part numbers which could be misread. The FAA is issuing this AD to address the unsafe condition on these products.

You may examine the MCAI in the AD docket at [regulations.gov](https://www.regulations.gov) under Docket No. FAA-2024-1469.

Discussion of Final Airworthiness Directive

Comments

The FAA received no comments on the NPRM or on the determination of the cost to the public.

Additional Changes Made to This Final Rule

In the NPRM, the FAA inadvertently stated that the NPRM proposed to prohibit the installation of affected parts. This AD does not contain a parts installation prohibition, so the FAA deleted references to such a prohibition.

Conclusion

This product has been approved by the aviation authority of another country and is approved for operation in the United States. Pursuant to the FAA's bilateral agreement with this State of Design Authority, it has notified the FAA of the unsafe condition described in the MCAI referenced above. The FAA reviewed the relevant data and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on this product. Except for minor editorial changes, this AD is adopted as proposed in the NPRM. None of the changes will increase the economic burden on any operator.

Material Incorporated by Reference Under 1 CFR Part 51

The FAA reviewed Bombardier Service Bulletin 100-25-35, Revision 02, dated January 11, 2016. This material specifies procedures for modifying the LH baggage bay sidewall interior panel and heater mat, installing a LH baggage bay sidewall interior panel blind insert for certain airplanes, modifying the wiring of the LH and right-hand (RH) baggage bay sidewall heater mats, re-identifying the LH heater mat as P/N 3436-07, installing LH and RH heater pictograms for certain airplanes, modifying the water tank heater installation, and performing a functional test.

This AD also requires Bombardier Service Bulletin A100-25-30, dated July 20, 2009, which the Director of the Federal Register approved for incorporation by reference as of December 28, 2009 (74 FR 65401, December 10, 2009).

This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the **ADDRESSES** section.

Costs of Compliance

The FAA estimates that this AD affects 340 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

ESTIMATED COSTS FOR REQUIRED ACTIONS

Action	Labor cost	Parts cost	Cost per product	Cost on U.S. operators
Heater mat deactivation (Retained actions from AD 2009-25-13).	1 work-hour × \$85 per hour = \$85	\$0	\$85	\$28,900
Modification and testing (new actions)	12 work-hours × \$85 per hour = \$1,020.	1,150	2,170	737,800

The FAA has included all known costs in its cost estimate. According to the manufacturer, however, some or all of the costs of this AD may be covered under warranty, thereby reducing the cost impact on affected operators.

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA's authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency's authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce. This regulation is within the scope of that authority because it addresses an unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

- (1) Is not a "significant regulatory action" under Executive Order 12866,
- (2) Will not affect intrastate aviation in Alaska, and
- (3) Will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

- 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

- 2. The FAA amends § 39.13 by:
 - a. Removing Airworthiness Directive 2009–25–13, Amendment 39–16133 (74 FR 65401, December 10, 2009); and
 - b. Adding the following new Airworthiness Directive:

2024–16–04 Bombardier, Inc.: Amendment 39–22810; Docket No. FAA–2024–1469; Project Identifier MCAI–2024–00130–T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected ADs

This AD replaces AD 2009–25–13, Amendment 39–16133 (74 FR 65401, December 10, 2009) (AD 2009–25–13).

(c) Applicability

This AD applies to Bombardier, Inc., Model BD–100–1A10 airplanes, certificated in any category, serial numbers 20003 through 20364 inclusive, 20366, 20367, 20369, and 20372.

(d) Subject

Air Transport Association (ATA) of America Code 25, Equipment/Furnishings.

(e) Reason

This AD was prompted by reports of the baggage bay sidewall heater mat malfunctioning and by the development of a new design solution for the potential uncontrolled heating of the heater mats. The FAA is issuing this AD to address malfunctioning of a baggage bay sidewall heater mat. The unsafe condition, if not addressed, could result in a fire in the baggage bay.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Retained Actions, With No Changes

This paragraph restates the requirements of paragraph (g) of AD 2009–25–13, with no changes. Within 100 flight hours after December 28, 2009 (the effective date of AD 2009–25–13), deactivate the left-hand (LH) baggage bay sidewall heater having part number (P/N) 3436–06–1/0, in accordance with Bombardier Service Bulletin A100–25–30, dated July 20, 2009.

(h) New Requirement of This AD: Modification

Within 36 months after the effective date of this AD, do the applicable actions specified in paragraphs (h)(1) through (7) of this AD, in accordance with paragraphs 2.B. through 2.E. of the Accomplishment Instructions of Bombardier Service Bulletin 100–25–35, Revision 02, dated January 11, 2016.

(1) Remove the baggage bay sidewall heater mat part number (P/N) 3436–06–1/0 from the LH sidewall panel.

(2) Modify the LH baggage bay sidewall interior panel and heater mat.

(3) Modify the wiring of the LH and right-hand (RH) baggage bay sidewall heater mats.

(4) Reidentify the LH baggage bay sidewall heater mat as P/N 3436–07.

(5) For airplanes having serial numbers (S/N) 20124, 20125, 20128, 20134, 20139, 20143, 20146, and 20148 to 20215 inclusive: install LH baggage bay sidewall interior panel blind insert.

(6) For airplanes having S/N 20003 to 20259 inclusive: install LH and RH heater pictogram.

(7) Modify the water tank heater installation.

(i) New Requirement of This AD: Functional Test

Before further flight after completing paragraph (h) of this AD, perform the functional tests, in accordance with paragraph 2.F. of the Accomplishment Instructions of Bombardier Service Bulletin 100–25–35, Revision 02, dated January 11, 2016.

(j) Terminating Action for Heater Mat Deactivation

Modifying and testing an airplane as required by paragraphs (h) and (i) of this AD terminate the requirements of paragraph (g) of this AD.

(k) Credit for Previous Actions

This paragraph provides credit for actions required by paragraphs (h) and (i) of this AD, if those actions were performed before the effective date of this AD using Bombardier Service Bulletin 100–25–35, dated November 15, 2012, or Bombardier Service Bulletin 100–25–35, Revision 01, dated September 23, 2013.

(l) Additional AD Provisions

(1) *Alternative Methods of Compliance (AMOCs):* The Manager, International Validation Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the International Validation Branch, mail it to the address identified in paragraph (m) of this AD. Information may be emailed to: 9-AVS-NYACO-COS@faa.gov. Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(2) *Contacting the Manufacturer:* For any requirement in this AD to obtain instructions from a manufacturer, the instructions must be accomplished using a method approved by the Manager, International Validation Branch, FAA; or Transport Canada; or Bombardier, Inc.'s Transport Canada Design Approval Organization (DAO). If approved by the DAO, the approval must include the DAO-authorized signature.

(m) Additional Information

For more information about this AD, contact Steven Dzierzynski, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; telephone 516–228–7300; email 9-avs-nyaco-cos@faa.gov.

(n) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this material as applicable to do the actions required by this AD, unless this AD specifies otherwise.

(3) The following material was approved for IBR on October 23, 2024.

(i) Bombardier Service Bulletin 100–25–35, Revision 02, dated January 11, 2016.

(ii) [Reserved]

(4) The following material was approved for IBR on December 28, 2009 (74 FR 65401, December 10, 2009).

(i) Bombardier Service Bulletin A100–25–30, dated July 20, 2009.

(ii) [Reserved]

(5) For Bombardier, Inc. material identified in this AD, contact Bombardier Business Aircraft Customer Response Center, 400 Côte-Vertu Road West, Dorval, Québec H4S 1Y9, Canada; telephone 514–855–2999; email ac.yul@aero.bombardier.com; website bombardier.com.

(6) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195.

(7) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations, or email fr.inspection@nara.gov.

Issued on September 12, 2024.

Victor Wicklund,

Deputy Director, Compliance & Airworthiness Division, Aircraft Certification Service.

[FR Doc. 2024–21180 Filed 9–17–24; 8:45 am]

BILLING CODE 4910–13–P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. FAA–2023–1987; Project Identifier MCAI–2023–00807–T; Amendment 39–22806; AD 2024–15–14]

RIN 2120–AA64

Airworthiness Directives; ATR–GIE Avions de Transport Régional Model Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is superseding Airworthiness Directive (AD) 2021–17–02, which applied to all ATR–GIE Avions de Transport Régional Model ATR42–200, –300, and –320 airplanes. AD 2021–17–02 required a one-time inspection for discrepancies of the wire

bundles between the left- and right-hand angle of attack (AOA) probes and the crew alerting computer, and, depending on findings, applicable corrective actions. AD 2021–17–02 also required, for certain airplanes, modifying the captain stick shaker wiring, and for all airplanes, revising the existing aircraft flight manual (AFM) and applicable corresponding operational procedures to incorporate procedures for the stick pusher/shaker. Since the FAA issued AD 2021–17–02, additional modification of the affected wiring for certain airplanes was developed. This AD retains all of the requirements of AD 2021–17–02 and requires installing a new AOA power supply unit and removing the AFM amendment; as specified in a European Union Aviation Safety Agency (EASA) AD, which is incorporated by reference. The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of a certain publication listed in this AD as of October 23, 2024.

ADDRESSES:

AD Docket: You may examine the AD docket at regulations.gov under Docket No. FAA–2023–1987; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, the mandatory continuing airworthiness information (MCAI), any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M–30, West Building Ground Floor, Room W12–140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For EASA material identified in this AD, contact EASA, Konrad-Adenauer-Ufer 3, 50668 Cologne, Germany; telephone +49 221 8999 000; email ADs@easa.europa.eu; website easa.europa.eu. You may find this material on the EASA website ad.easa.europa.eu.

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195. It is also available at regulations.gov under Docket No. FAA–2023–1987.

FOR FURTHER INFORMATION CONTACT: Shahram Daneshmandi, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590;

telephone 206–231–3220; email Shahram.Daneshmandi@faa.gov.

SUPPLEMENTARY INFORMATION:

Background

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 to supersede AD 2021–17–02, Amendment 39–21685 (86 FR 48490, August 31, 2021) (AD 2021–17–02). AD 2021–17–02 applied to all ATR–GIE Avions de Transport Régional Model ATR42–200, –300, and –320 airplanes. AD 2021–17–02 required a one-time inspection for discrepancies of the wire bundles between the left- and right-hand AOA probes and the crew alerting computer, and, depending on findings, applicable corrective actions. AD 2021–17–02 also required for certain airplanes, modifying the captain stick shaker wiring, and for all airplanes, revising the existing AFM and applicable corresponding operational procedures to incorporate procedures for the stick pusher/shaker. The FAA issued AD 2021–17–02 to address false activation of the stall warning system due to wiring damage on the wire bundle between an AOA probe and the crew alerting computer, which could result in loss of control of the airplane during take-off and landing phases.

The NPRM published in the **Federal Register** on October 5, 2023 (88 FR 69102). The NPRM was prompted by AD 2023–0134, dated July 5, 2023 (EASA AD 2023–0134), issued by EASA, which is the Technical Agent for the Member States of the European Union. EASA AD 2023–0134 states final modification instructions of the affected wiring were developed.

In the NPRM, the FAA proposed to require installing a new AOA power supply unit and revising the existing AFM, as specified in EASA AD 2023–0134.

The FAA issued a supplemental notice of proposed rulemaking (SNPRM) to amend 14 CFR part 39 to supersede AD 2021–17–02. The SNPRM published in the **Federal Register** on May 21, 2024 (89 FR 44568). The SNPRM was prompted by additional modification of the affected wiring for certain airplanes, and by the issuance of EASA AD 2023–0191, dated November 2, 2023 (EASA AD 2023–0191) (also referred to as the MCAI). In the SNPRM, the FAA proposed to retain all of the requirements of AD 2021–17–02. The NPRM also proposed to require installing a new AOA power supply unit and removing the AFM amendment. The FAA is issuing this AD to address the unsafe condition on these products.

You may examine the MCAI in the AD docket at *regulations.gov* under Docket No. FAA–2023–1987.

Discussion of Final Airworthiness Directive

Comments

The FAA received one comment, from Air Line Pilots Association, International (ALPA), who supported the SNPRM without change.

Conclusion

This product has been approved by the aviation authority of another country and is approved for operation in the United States. Pursuant to the FAA’s bilateral agreement with this State of Design Authority, it has notified the FAA of the unsafe condition described in the MCAI referenced above. The FAA

reviewed the relevant data, considered the comment received, and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on this product. Except for minor editorial changes this AD is adopted as proposed in the SNPRM. None of the changes will increase the economic burden on any operator.

Material Incorporated by Reference Under 1 CFR Part 51

EASA AD 2023–0191 specifies procedures for a one-time inspection for discrepancies of the wire bundles between the left- and right-hand AOA probes and the crew alerting computer, and, depending on findings, applicable corrective actions (repair). EASA AD 2023–0191 also specifies procedures, for

certain airplanes, for modifying the captain stick shaker wiring, and for all airplanes, revising the existing AFM to incorporate procedures for the stick pusher/shaker. Finally, EASA AD 2023–0191 specifies procedures for installing the AOA power supply unit, removing the AFM amendment, and accomplishing additional modification of the affected wiring.

This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the **ADDRESSES** section.

Costs of Compliance

The FAA estimates that this AD affects 26 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

ESTIMATED COSTS FOR REQUIRED ACTIONS

Action	Labor cost	Parts cost	Cost per product	Cost on U.S. operators
Retained actions from AD 2021–17–02.	Up to 14 work-hours × \$85 per hour = Up to \$1,190.	\$100	Up to \$1,290	Up to \$33,540.
New actions	50 work-hours × \$85 per hour = \$4,250.	0	\$4,250	\$110,500.

The FAA has received no definitive data on which to base the cost estimates for the on-condition actions specified in this AD.

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA’s authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency’s authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce. This regulation is within the scope of that authority because it addresses an unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the

distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

- (1) Is not a “significant regulatory action” under Executive Order 12866,
- (2) Will not affect intrastate aviation in Alaska, and
- (3) Will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

- 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

- 2. The FAA amends § 39.13 by:
 - a. Removing Airworthiness Directive 2021–17–02, Amendment 39–21685 (86 FR 48490, August 31, 2021); and

- b. Adding the following new Airworthiness Directive:

2024–15–14 ATR—GIE Avions de Transport Régional: Amendment 39–22806; Docket No. FAA–2023–1987; Project Identifier MCAI–2023–00807–T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected ADs

This AD replaces AD 2021–17–02, Amendment 39–21685 (86 FR 48490, August 31, 2021) (AD 2021–17–02).

(c) Applicability

This AD applies to all ATR—GIE Avions de Transport Régional Model ATR42–200, –300, and –320 airplanes, certificated in any category.

(d) Subject

Air Transport Association (ATA) of America Code 31, Instruments.

(e) Unsafe Condition

This AD was prompted by false activation of the stall warning system due to wiring damage on the wire bundle between an angle of attack (AOA) probe and the crew alerting computer, and the development of additional wiring modifications and an aircraft flight manual (AFM) update to address the unsafe condition. The FAA is issuing this AD to address this condition, which could result in loss of control of the airplane during take-off and landing phases.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Requirements

Except as specified in paragraph (h) of this AD: Comply with all required actions and compliance times specified in, and in accordance with, European Union Aviation Safety Agency (EASA) AD 2023–0191, dated November 2, 2023 (EASA AD 2023–0191).

(h) Exceptions to EASA AD 2023–0191

(1) Where EASA AD 2023–0191 refers to October 27, 2020 (the effective date of EASA AD 2020–0221), this AD requires using December 3, 2020 (the effective date of AD 2020–23–13, Amendment 39–21330 (85 FR 73407, November 18, 2020)).

(2) Where EASA AD 2023–0191 refers to February 2, 2021 (the effective date of EASA AD 2021–0024), this AD requires using October 5, 2021 (the effective date of AD 2021–17–02).

(3) Where paragraph (2) of EASA AD 2023–0191 refers to “discrepancies,” for this AD, discrepancies include, but are not limited to, wire damage, missing or damaged conduits, and incorrect routing of wiring and conduits.

(4) Where paragraph (8) of EASA AD 2023–0191 specifies “accomplish the additional work as identified in” replace that text with “accomplish the additional work as identified in section ‘1—ADDITIONAL WORK.’”

(5) Where paragraphs (4) and (5) of EASA AD 2023–0191 specify to “inform all flight crews, and, thereafter, operate the aeroplane accordingly,” this AD does not require those actions, as those actions are already required by existing FAA operating regulations (see 14 CFR 91.9, 91.505, and 121.137).

(6) Where EASA AD 2023–0191 refers to its effective date, this AD requires using the effective date of this AD.

(7) Where EASA AD 2023–0191 refers to July 19, 2023 (the effective date of EASA AD 2023–0134), this AD requires using the effective date of this AD.

(8) This AD does not adopt the “Remarks” section of EASA AD 2023–0191.

(i) Additional AD Provisions

The following provisions also apply to this AD:

(1) *Alternative Methods of Compliance (AMOCs)*: The Manager, International Validation Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the International Validation Branch, mail it to the address identified in paragraph (j) of this AD or email to: 9-AVS-AIR-730-AMOC@faa.gov. If mailing information, also submit information by email. Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(2) *Contacting the Manufacturer*: For any requirement in this AD to obtain instructions

from a manufacturer, the instructions must be accomplished using a method approved by the Manager, International Validation Branch, FAA; or EASA; or ATR–GIE Avions de Transport Régional’s EASA Design Organization Approval (DOA). If approved by the DOA, the approval must include the DOA-authorized signature.

(j) Additional Information

For more information about this AD, contact Shahram Daneshmandi, Aviation Safety Engineer, FAA, 1600 Stewart Avenue, Suite 410, Westbury, NY 11590; telephone 206–231–3220; email Shahram.Daneshmandi@faa.gov.

(k) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this material as applicable to do the actions required by this AD, unless this AD specifies otherwise.

(i) European Union Aviation Safety Agency (EASA) AD 2023–0191, dated November 2, 2023.

(ii) [Reserved]

(3) For EASA AD 2023–0191, contact EASA, Konrad-Adenauer-Ufer 3, 50668 Cologne, Germany; telephone +49 221 8999 000; email ADs@easa.europa.eu; website easa.europa.eu. You may find this EASA AD on the EASA website at ad.easa.europa.eu.

(4) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th Street, Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195.

(5) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations or email fr.inspection@nara.gov.

Issued on September 12, 2024.

Victor Wicklund,

Deputy Director, Compliance & Airworthiness Division, Aircraft Certification Service.

[FR Doc. 2024–21178 Filed 9–17–24; 8:45 am]

BILLING CODE 4910–13–P

DEPARTMENT OF TRANSPORTATION**Federal Aviation Administration****14 CFR Part 39**

[Docket No. FAA–2023–2227; Project Identifier AD–2022–00113–T; Amendment 39–22813; AD 2024–16–07]

RIN 2120–AA64

Airworthiness Directives; The Boeing Company Airplanes

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: The FAA is adopting a new airworthiness directive (AD) for certain

The Boeing Company Model 787–8, 787–9, and 787–10 airplanes. This AD was prompted by incidents related to erroneous autothrottle (A/T) behavior during a balked landing with the A/T engaged, potential erroneous readings from the low range radio altimeter (LRR), and possible deficiencies in low airspeed protections and crew alerting systems. This AD requires updating the thrust management (TM) and displays and crew alerting (DCA) operational program software (OPS). The FAA is issuing this AD to address the unsafe condition on these products.

DATES: This AD is effective October 23, 2024.

The Director of the Federal Register approved the incorporation by reference of certain publications listed in this AD as of October 23, 2024.

ADDRESSES:

AD Docket: You may examine the AD docket at regulations.gov under Docket No. FAA–2023–2227; or in person at Docket Operations between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The AD docket contains this final rule, any comments received, and other information. The address for Docket Operations is U.S. Department of Transportation, Docket Operations, M–30, West Building Ground Floor, Room W12–140, 1200 New Jersey Avenue SE, Washington, DC 20590.

Material Incorporated by Reference:

- For Boeing material identified in this AD, contact Boeing Commercial Airplanes, Attention: Contractual & Data Services (C&DS), 2600 Westminister Blvd., MC 110–SK57, Seal Beach, CA 90740–5600; telephone 562–797–1717; website myboeingfleet.com.

- You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th St., Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195. It is also available at regulations.gov under Docket No. FAA–2023–2227.

FOR FURTHER INFORMATION CONTACT:

Doug Tsuji, Aviation Safety Engineer, FAA, 2200 South 216th St., Des Moines, WA 98198; telephone: 206–231–3548; email: Douglas.Tsuji@faa.gov.

SUPPLEMENTARY INFORMATION:**Background**

The FAA issued a notice of proposed rulemaking (NPRM) to amend 14 CFR part 39 by adding an AD that would apply to certain The Boeing Company Model 787–8, 787–9, and 787–10 airplanes. The NPRM published in the **Federal Register** on November 24, 2023 (88 FR 82279).

The NPRM was prompted by incidents related to erroneous A/T behavior during a balked landing with the A/T engaged, potential erroneous readings from the LRRR, and possible deficiencies in low airspeed protections and crew alerting systems.

In the NPRM, the FAA proposed to require updating the TM and DCA OPS. The FAA is issuing this AD to address problems with the TM and DCA OPS, which could result in possible runway overrun or controlled flight into terrain.

Discussion of Final Airworthiness Directive

Comments

The FAA received a comment from an individual who supported the NPRM without change.

The FAA also received comments from four commenters, including Air Canada, American Airlines, Boeing, and Qatar Airways. The following presents the comments received on the NPRM and the FAA's response to each comment.

Request To Allow Use of Additional Service Information

Air Canada and Qatar Airways requested that paragraph (g)(1) of the proposed AD be revised to also allow compliance using Boeing Alert Requirements Bulletin B787-81205-SB310018-00 RB, Issue 001, dated August 3, 2020, for aircraft on which installation of the DCA software update has already been done using Boeing Alert RB B787-81205-SB310018-00 RB, Issue 001, dated August 3, 2020.

The FAA agrees with the commenters. There are no technical differences between Boeing Alert Requirements Bulletin B787-81205-SB310018-00 RB, Issue 002, dated July 15, 2021, and Boeing Alert Requirements Bulletin B787-81205-SB310018-00 RB, Issue 001, dated August 3, 2020. The FAA has changed paragraph (g)(1) to include Boeing Alert RB B787-81205-SB310018-00 RB, Issue 001, dated August 3, 2020, as acceptable for use before the effective date of this AD.

American Airlines and Qatar Airways requested that the proposed AD be revised to ensure that subsequent approved versions of DCA OPS and TM OPS software will still be compliant with the proposed AD. American Airlines requested that paragraph (g) of the proposed AD be revised to read as follows:

For airplanes identified in paragraph (g) of this AD: Within 6 months after the effective date of this AD, install DCA OPS P/N COL47-0014-0031 or later-approved software version and TM OPS P/N HNP55-AL12-5008 or later-approved software

version at the locations specified in the Service Bulletins. Both the installation and the check must be done in accordance with a method approved by the Manager, AIR-520, Continuous Operation Safety Branch, FAA. Later approved software versions are those Boeing software versions that are approved as a replacement for the DCA OPS P/N COL47-0014-0031 and TM OPS P/N HNP55-AL12-5008 and are approved as part of the type design by the FAA or by The Boeing Company Organization Designation Authorization (ODA).

The FAA infers this request is to reduce the need for alternative methods of compliance (AMOCs) for subsequent (newer) approved versions of DCA OPS and TM OPS software.

The FAA partially agrees with the commenters. The FAA agrees that without the usage of the terminology "or later approved software" or some variation of the wording that allows the use of later-approved software, historically ADs related to software changes that did not have this wording have resulted in multiple AMOCs for software updates. The FAA disagrees with the need to add "or later approved software" language to paragraph (g) of this AD because this provision is found in Boeing Requirements Bulletins B787-81205-SB310018-00 RB, Issue 002, dated July 15, 2021, and Boeing Alert Requirements Bulletin B787-81205-SB340053-00 RB, Issue 001, dated November 16, 2022, which are required by paragraphs (g)(1) and (2) of this AD, respectively. The FAA has not changed this AD in regard to this comment.

Requests To Clarify Terms in the NPRM

Boeing requested that "throttle malfunction" be replaced with "erroneous autothrottle (A/T) behavior" in the Summary and Background of the NPRM, and paragraph (e) in the proposed AD, because the description incorrectly describes what occurred.

The FAA agrees that erroneous A/T behavior is a more accurate description of the occurrence. The full Background section is not restated in this final rule. The FAA has changed the Summary of the NPRM and paragraph (e) of this AD accordingly.

Boeing also requested that in the Background section, third paragraph, "flight management function (FMF)" be replaced with "Flight Management Function (FMF)/Thrust Management Function (TMF) Block Point (BP) 4.0" because the behavior was due to the design changes included in the thrust management operation software and flight management BP 4.0.

The FAA agrees that FMF/TMF BP 4.0 more accurately describes the associated change; however, the full text of the NPRM Background section is not

repeated in the final rule, so no further change is necessary to this final rule.

Boeing further requested that the Background section, sixth paragraph, be revised to read "Airplanes with version TMF software BP 4 installed, the A/T system is engaged during a manual go-around or missed approach . . ." because the behavior seen during a balked landing was introduced with TMF BP 4.0.

The FAA agrees that the issue of erroneous A/T behavior was introduced by FMF/TMF BP 4; however, the full text of the NPRM Background section is not repeated in the final rule, so no further change is necessary to this final rule.

Request To Delete Terms

Boeing requested that the FAA revise the NPRM to delete any reference related to "possible deficiencies in low airspeed protections and crew alerting systems," "crew alerting systems," "displays and crew alerting (DCA)," "crew alerting (DCA) operational software (OPS)," "install and check DCA software," and "The FAA reviewed Boeing Alert Requirements Bulletin B787-81205-SB310018-00 RB, Issue 002, dated July 15, 2021. This service information specifies procedures for installing updated DCA OPS software and doing a software configuration check" because the design change included in TMF 4.1 (TMF BP 4.1) to address 20-PAD-0048 (Erroneous A/T Behavior During Balked Landing) and 20-AD-0054 (Erroneous Low Range Radio Altimeter Readings) is not dependent on a DCA OPS update.

Boeing also requested that the FAA revise the NPRM to delete the following statements:

The FAA has reviewed a report of the investigation of an accident that revealed deficiencies in low airspeed protections and crew alerting systems on Model 777 and 787.

Further, airplanes with versions of FMF software prior to BP 4 are susceptible to situations where the flightcrew may believe the airplane systems will prevent the airplane from having too low an airspeed for its flight condition, when in fact the systems do not offer that protection. This can also result in a CFIT event.

Boeing requested these deletions because the autothrottle low airspeed enhancements were implemented in FMF/TMF BP 4.0.

The FAA acknowledges that the changes associated with TMF BP 4.1 needed to address the issue of erroneous A/T behavior and erroneous LRRR readings are not dependent upon a DCA OPS update, but the FAA disagrees with removing any reference to the "deficiencies in low airspeed

protections and crew alerting systems” or “crew alerting (DCA) OPS.” Some changes associated with TMF BP 4.1 are to fix an unsafe condition (A/T issue) introduced by the previous TMF update BP 4. The FAA had intended to mandate TMF BP 4 (in combination with a DCA OPS update) to address the unsafe condition of insufficient low airspeed protections and crew alerting systems but had to postpone AD action until TMF BP 4.1 was available over three years later. While TMF BP 4.1 includes the TMF BP 4 updates addressing low airspeed protections, this is the first time the FAA has mandated requirements to address this unsafe condition. The FAA has not changed this AD in regard to this comment.

The “Related Service Information Under 1 CFR part 51” section of the NPRM described the procedures specified in Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, and then added that the FAA “also” reviewed Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022, which specifies procedures for installing updated TM OPS software.

Boeing requested that the word “also” be deleted because there is only one Boeing Alert Requirement Bulletin associated with Thrust Management BP 4.1.

The FAA disagrees with the request. The documents cited in this section of the NPRM (and this final rule) are required sources of service information for the requirements of this AD. The two documents include different actions (one for installing updated DCA OPS software and the other for installing updated TM OPS software), but both are necessary to address the unsafe conditions identified in this final rule. The FAA has not changed this final rule as a result of this comment.

Conclusion

The FAA reviewed the relevant data, considered any comments received, and determined that air safety requires adopting this AD as proposed. Accordingly, the FAA is issuing this AD to address the unsafe condition on these products. Except for minor editorial changes, and any other changes described previously, this AD is adopted as proposed in the NPRM.

None of the changes will increase the economic burden on any operator.

Related Material Under 1 CFR Part 51

The FAA reviewed Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 002, dated July 15, 2021. This material specifies procedures for installing updated DCA OPS software and doing a software configuration check.

The FAA also reviewed Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022. This material specifies procedures for installing updated TM OPS software and doing a software configuration check.

This material is reasonably available because the interested parties have access to it through their normal course of business or by the means identified in the ADDRESSES section.

Costs of Compliance

The FAA estimates that this AD affects 125 airplanes of U.S. registry. The FAA estimates the following costs to comply with this AD:

ESTIMATED COSTS

Action	Labor cost	Parts cost	Cost per product	Cost on U.S. operators
Install and check DCA software	3 work-hours × \$85 per hour = \$255	*\$0	\$255	\$31,875
Install and check TM software	4 work-hours × \$85 per hour = \$340	*0	340	42,500

*Boeing has confirmed that there is no charge for the software.

The FAA has included all known costs in its cost estimate. According to the manufacturer, however, some or all of the costs of this AD may be covered under warranty, thereby reducing the cost impact on affected operators.

Authority for This Rulemaking

Title 49 of the United States Code specifies the FAA’s authority to issue rules on aviation safety. Subtitle I, section 106, describes the authority of the FAA Administrator. Subtitle VII: Aviation Programs, describes in more detail the scope of the Agency’s authority.

The FAA is issuing this rulemaking under the authority described in Subtitle VII, Part A, Subpart III, Section 44701: General requirements. Under that section, Congress charges the FAA with promoting safe flight of civil aircraft in air commerce by prescribing regulations for practices, methods, and procedures the Administrator finds necessary for safety in air commerce. This regulation is within the scope of that authority because it addresses an

unsafe condition that is likely to exist or develop on products identified in this rulemaking action.

Regulatory Findings

This AD will not have federalism implications under Executive Order 13132. This AD will not have a substantial direct effect on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government.

For the reasons discussed above, I certify that this AD:

- (1) Is not a “significant regulatory action” under Executive Order 12866,
- (2) Will not affect intrastate aviation in Alaska, and
- (3) Will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Incorporation by reference, Safety.

The Amendment

Accordingly, under the authority delegated to me by the Administrator, the FAA amends 14 CFR part 39 as follows:

PART 39—AIRWORTHINESS DIRECTIVES

- 1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

- 2. The FAA amends § 39.13 by adding the following new airworthiness directive:

2024–16–07 The Boeing Company:

Amendment 39–22813; Docket No. FAA–2023–2227; Project Identifier AD–2022–00113–T.

(a) Effective Date

This airworthiness directive (AD) is effective October 23, 2024.

(b) Affected Ads

None.

(c) Applicability

This AD applies to The Boeing Company Model 787–8, 787–9, and 787–10 airplanes, certificated in any category, as identified in Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022.

(d) Subject

Air Transport Association (ATA) of America Code 31, Instruments; 34, Navigation.

(e) Unsafe Condition

This AD was prompted by incidents related to erroneous auto-throttle (A/T) behavior during a balked landing with the A/T engaged, potential erroneous readings from the low range radio altimeter (LRRRA), and possible deficiencies in low airspeed protections and crew alerting systems. The FAA is issuing this AD to address problems with thrust management (TM) and displays and crew alerting (DCA) operational program software. The unsafe conditions, if not addressed, could result in possible runway overrun or controlled flight into terrain.

(f) Compliance

Comply with this AD within the compliance times specified, unless already done.

(g) Required Actions

(1) For airplanes identified in Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 002, dated July 15, 2021: Within 6 months after the effective date of this AD, do all applicable actions identified in, and in accordance with, the Accomplishment Instructions of Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 002, dated July 15, 2021, or Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 001, dated August 3, 2020. After the effective date of this AD, only Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 002, dated July 15, 2021, may be used.

Note 1 to paragraph (g)(1): Guidance for accomplishing the actions required by this AD can be found in Boeing Alert Service Bulletin B787–81205–SB310018–00, Issue 002, dated July 15, 2021, which is referred to in Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 002, dated July 15, 2021.

Note 2 to paragraph (g)(1): Guidance for accomplishing the actions required by this AD can be found in Boeing Alert Service Bulletin B787–81205–SB310018–00, Issue 001, dated August 3, 2020, which is referred to in Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 001, dated August 3, 2020.

(2) For airplanes identified in Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022: Within 6 months after the effective

date of this AD, do all applicable actions identified in, and in accordance with, the Accomplishment Instructions of Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022.

Note 3 to paragraph (g)(2): Guidance for accomplishing the actions required by this AD can be found in Boeing Alert Service Bulletin B787–81205–SB340053–00, Issue 001, dated November 16, 2022, which is referred to in Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022.

(h) Alternative Methods of Compliance (AMOCs)

(1) The Manager, AIR–520 Continued Operational Safety Branch, FAA, has the authority to approve AMOCs for this AD, if requested using the procedures found in 14 CFR 39.19. In accordance with 14 CFR 39.19, send your request to your principal inspector or responsible Flight Standards Office, as appropriate. If sending information directly to the manager of the certification office, send it to the attention of the person identified in paragraph (j)(1) of this AD. Information may be emailed to: *AMOC@faa.gov*.

(2) Before using any approved AMOC, notify your appropriate principal inspector, or lacking a principal inspector, the manager of the responsible Flight Standards Office.

(3) An AMOC that provides an acceptable level of safety may be used for any repair, modification, or alteration required by this AD if it is approved by The Boeing Company Organization Designation Authorization (ODA) that has been authorized by the Manager, AIR–520 Continued Operational Safety Branch, FAA, to make those findings. To be approved, the repair method, modification deviation, or alteration deviation must meet the certification basis of the airplane, and the approval must specifically refer to this AD.

(i) Related Information

(1) For more information about this AD, contact Doug Tsuji, Aviation Safety Engineer, FAA, 2200 South 216th St., Des Moines, WA 98198; telephone: 206–231–3548; email: *Douglas.Tsuji@faa.gov*.

(2) Material identified in this AD that is not incorporated by reference is available at the address specified in paragraph (j)(3) this AD.

(j) Material Incorporated by Reference

(1) The Director of the Federal Register approved the incorporation by reference (IBR) of the material listed in this paragraph under 5 U.S.C. 552(a) and 1 CFR part 51.

(2) You must use this material as applicable to do the actions required by this AD, unless the AD specifies otherwise.

(i) Boeing Alert Requirements Bulletin B787–81205–SB310018–00 RB, Issue 002, dated July 15, 2021.

(ii) Boeing Alert Requirements Bulletin B787–81205–SB340053–00 RB, Issue 001, dated November 16, 2022.

(3) For material identified in this AD, contact Boeing Commercial Airplanes, Attention: Contractual & Data Services (C&DS), 2600 Westminister Blvd., MC 110–

SK57, Seal Beach, CA 90740–5600; telephone 562–797–1717; website *myboeingfleet.com*.

(4) You may view this material at the FAA, Airworthiness Products Section, Operational Safety Branch, 2200 South 216th St., Des Moines, WA. For information on the availability of this material at the FAA, call 206–231–3195.

(5) You may view this material at the National Archives and Records Administration (NARA). For information on the availability of this material at NARA, visit *www.archives.gov/federal-register/cfr/ibr-locations* or email *fr.inspection@nara.gov*.

Issued on August 1, 2024.

Peter A. White,

Deputy Director, Integrated Certificate Management Division, Aircraft Certification Service.

[FR Doc. 2024–21144 Filed 9–17–24; 8:45 am]

BILLING CODE 4910–13–P

DEPARTMENT OF HOMELAND SECURITY

Coast Guard

33 CFR Part 100

[Docket No. USCG–2024–0702]

Special Local Regulations; Clearwater Offshore Nationals; Gulf of Mexico; Clearwater, FL

AGENCY: Coast Guard, DHS.

ACTION: Notification of enforcement of regulation.

SUMMARY: The Coast Guard will enforce special local regulations for the Clearwater Offshore Nationals race from September 28–29, 2024, to provide for the safety of life on navigable waterways during this event. Our regulation for marine events within the Seventh Coast Guard District identifies the regulated area for this event in Clearwater, FL. During the enforcement periods, the operator of any vessel in the regulated area must comply with directions from the Patrol Commander or any designated representative.

DATES: The regulations in 33 CFR 100.703 will be enforced for the Clearwater Offshore Nationals race regulated areas listed in item no. 6, table 1 to § 100.703, from 8 a.m. until 4 p.m., on September 28–29, 2024.

FOR FURTHER INFORMATION CONTACT: If you have questions about this notification of enforcement, call or email Marine Science Technician First Class Mara Brown, Sector St. Petersburg Prevention Department, Coast Guard; telephone 813–228–2191, email *Mara.J.Brown@uscg.mil*.

SUPPLEMENTARY INFORMATION: The Coast Guard will enforce the special local

regulations in 33 CFR 100.703 for the Clearwater Offshore Nationals race regulated area identified in table 1 to § 100.703, item no. 6, from 8 a.m. until 4 p.m., on September 28–29, 2024. This action is being taken to provide for the safety of life on navigable waterways during this event. Our regulation for recurring marine events, Sector St. Petersburg, § 100.703, table 1 to § 100.703, item no. 6, specifies the location of the regulated area for the Clearwater Offshore Nationals race, which encompasses portions of the Gulf of Mexico near Clearwater, FL. During the enforcement periods, as reflected in § 100.703(c), if you are the operator of a vessel in the regulated area you must comply with directions from the Patrol Commander or any designated representative.

In addition to this notice of enforcement in the **Federal Register**, the Coast Guard plans to provide notification of this enforcement period via the Local Notice to Mariners, marine information broadcasts, or both.

Dated: September 12, 2024.

Michael P. Kahle,
Captain, U.S. Coast Guard, Captain of the Port St. Petersburg.

[FR Doc. 2024–21230 Filed 9–17–24; 8:45 am]

BILLING CODE 9110–04–P

DEPARTMENT OF HOMELAND SECURITY

Coast Guard

33 CFR Part 165

[Docket Number USCG–2024–0867]

RIN 1625–AA00

Safety Zone; Christina River, Delaware River, Wilmington, DE

AGENCY: Coast Guard, DHS.

ACTION: Temporary final rule.

SUMMARY: The Coast Guard is establishing a temporary safety zone for navigable waters within a 1,000-yard radius of the oil transfer dock at Buckeye Terminal Wilmington, in Wilmington, DE. The safety zone is needed to protect personnel, vessels, and the marine environment from potential hazards created by a fuel oil discharge. Entry of vessels or persons into this zone is prohibited unless specifically authorized by the Captain of the Port, Sector Delaware Bay or a designated representative.

DATES: This rule is effective without actual notice from September 18, 2024 through 11:59 p.m. September 19, 2024. For the purposes of enforcement, actual

notice will be used from 11 a.m. September 12, 2024, until September 18, 2024.

ADDRESSES: To view documents mentioned in this preamble as being available in the docket, go to <https://www.regulations.gov>, type USCG–2024–0867 in the search box and click “Search.” Next, in the Document Type column, select “Supporting & Related Material.”

FOR FURTHER INFORMATION CONTACT: If you have questions about this rule, call or email Petty Officer Dylan Caikowski, Waterways Management Division, U.S. Coast Guard Sector Delaware Bay; telephone (215) 271–4814, email SecDelBayWWM@uscg.mil.

SUPPLEMENTARY INFORMATION:

I. Table of Abbreviations

CFR Code of Federal Regulations
COTP Captain of the Port, Sector Delaware Bay
DHS Department of Homeland Security
FR Federal Register
NPRM Notice of proposed rulemaking
§ Section
U.S.C. United States Code

II. Background Information and Regulatory History

A fuel oil discharge occurred at the oil transfer dock at Buckeye Terminal, in Wilmington, Delaware, on September 12, 2024, and prompt action is needed to respond to the potential safety hazards associated a fuel oil discharge into a navigable waterway. The Coast Guard is issuing this temporary rule under the authority in 5 U.S.C. 553(b)(B). This statutory provision authorizes an agency to issue a rule without prior notice and opportunity to comment when the agency for good cause finds that those procedures are “impracticable, unnecessary, or contrary to the public interest.” The Coast Guard finds that good cause exists for not publishing a notice of proposed rulemaking (NPRM) with respect to this rule because it would be contrary to the public interest to delay publication of a final rule to deal with this emergency situation.

Also, under 5 U.S.C. 553(d)(3), the Coast Guard finds that good cause exists for making this rule effective less than 30 days after publication in the **Federal Register**. Delaying the effective date of this rule would be impracticable and contrary to the public interest because prompt action is needed to respond to the potential safety hazards associated a fuel oil discharge into a navigable waterway.

III. Legal Authority and Need for Rule

The Coast Guard is issuing this rule under authority in 46 U.S.C. 70034. The Captain of the Port Sector Delaware Bay (COTP) has determined that potential hazards associated with a fuel oil discharge into a navigable waterway will be a safety concern for anyone within a 1,000-yard radius of the oil transfer dock at Buckeye Terminal Wilmington, in Wilmington, DE. This rule is needed to protect personnel, vessels, and the marine environment in the navigable waters within the safety zone while responding to a discharge of fuel oil.

IV. Discussion of the Rule

This rule establishes a temporary safety zone from September 12, 2024, through September 19, 2024. The safety zone will cover all navigable waters of the Christina River and the Delaware River within 1,000 yards of the oil transfer dock at Buckeye Terminal Wilmington, in Wilmington, DE, in position latitude 39°42.96' N, longitude 75°30.84' W. The duration of the zone is intended to protect personnel, vessels, and the marine environment in these navigable waters while responding to a discharge of fuel oil. No vessel or person will be permitted to enter the safety zone without obtaining permission from the COTP or a designated representative.

V. Regulatory Analyses

We developed this rule after considering numerous statutes and Executive orders related to rulemaking. Below we summarize our analyses based on a number of these statutes and Executive orders, and we discuss First Amendment rights of protestors.

A. Regulatory Planning and Review

Executive Orders 12866 and 13563 direct agencies to assess the costs and benefits of available regulatory alternatives and, if regulation is necessary, to select regulatory approaches that maximize net benefits. This rule has not been designated a “significant regulatory action,” under section 3(f) of Executive Order 12866, as amended by Executive Order 14094 (Modernizing Regulatory Review). Accordingly, this rule has not been reviewed by the Office of Management and Budget (OMB).

This regulatory action determination is based on size, duration, and location of the temporary safety zone. The safety zone is effective for 7 days but will only be enforced while personnel are responding to the fuel oil discharge. Vessel traffic may be able to transit through the safety zone if authorized by

the COTP or a designated representative. Moreover, the Coast Guard will release the details of the zone via a Broadcast Notice to Mariners on VHF-FM radio channel 16.

B. Impact on Small Entities

The regulatory flexibility analysis provisions of the Regulatory Flexibility Act of 1980, 5 U.S.C. 601–612, as amended, do not apply this rule. They do not apply because this rule fits a 5 U.S.C. 553(b)(B) good-cause exception for notice-and-comment rulemaking. Therefore, we were not required to publish a notice of proposed rulemaking. Under section 213(a) of the Small Business Regulatory Enforcement Fairness Act of 1996 (Pub. L. 104–121), we want to assist small entities in understanding this rule. If the rule would affect your small business, organization, or governmental jurisdiction and you have questions concerning its provisions or options for compliance, please call or email the person listed in the **FOR FURTHER INFORMATION CONTACT** section.

Small businesses may send comments on the actions of Federal employees who enforce, or otherwise determine compliance with, Federal regulations to the Small Business and Agriculture Regulatory Enforcement Ombudsman and the Regional Small Business Regulatory Fairness Boards. The Ombudsman evaluates these actions annually and rates each agency's responsiveness to small business. If you wish to comment on actions by employees of the Coast Guard, call 1–888–REG–FAIR (1–888–734–3247). The Coast Guard will not retaliate against small entities that question or complain about this rule or any policy or action of the Coast Guard.

C. Collection of Information

This rule will not call for a new collection of information under the Paperwork Reduction Act of 1995 (44 U.S.C. 3501–3520).

D. Federalism and Indian Tribal Governments

A rule has implications for federalism under Executive Order 13132, Federalism, if it has a substantial direct effect on the States, on the relationship between the National Government and the States, or on the distribution of power and responsibilities among the various levels of government. We have analyzed this rule under that Order and have determined that it is consistent with the fundamental federalism principles and preemption requirements described in Executive Order 13132.

Also, this rule does not have tribal implications under Executive Order 13175, Consultation and Coordination with Indian Tribal Governments, because it does not have a substantial direct effect on one or more Indian tribes, on the relationship between the Federal Government and Indian tribes, or on the distribution of power and responsibilities between the Federal Government and Indian tribes.

E. Unfunded Mandates Reform Act

The Unfunded Mandates Reform Act of 1995 (2 U.S.C. 1531–1538) requires Federal agencies to assess the effects of their discretionary regulatory actions. In particular, the Act addresses actions that may result in the expenditure by a State, local, or tribal government, in the aggregate, or by the private sector of \$100,000,000 (adjusted for inflation) or more in any one year. Though this rule will not result in such an expenditure, we do discuss the effects of this rule elsewhere in this preamble.

F. Environment

We have analyzed this rule under Department of Homeland Security Directive 023–01, Rev. 1, associated implementing instructions, and Environmental Planning COMDTINST 5090.1 (series), which guide the Coast Guard in complying with the National Environmental Policy Act of 1969 (42 U.S.C. 4321–4370f), and have determined that this action is one of a category of actions that do not individually or cumulatively have a significant effect on the human environment. This rule involves a temporary safety zone lasting only 7 days that will prohibit entry within 1,000 yards of Buckeye Terminal Wilmington, in Wilmington, DE, to respond to the potential safety hazards associated a fuel oil discharge into a navigable waterway. It is categorically excluded from further review under paragraph L60(c) of Appendix A, Table 1 of DHS Instruction Manual 023–01–001–01, Rev. 1.

G. Protest Activities

The Coast Guard respects the First Amendment rights of protesters. Protesters are asked to call or email the person listed in the **FOR FURTHER INFORMATION CONTACT** section to coordinate protest activities so that your message can be received without jeopardizing the safety or security of people, places, or vessels.

List of Subjects in 33 CFR Part 165

Harbors, Marine safety, Navigation (water), Reporting and recordkeeping

requirements, Security measures, Waterways.

For the reasons discussed in the preamble, the Coast Guard amends 33 CFR part 165 as follows:

PART 165—REGULATED NAVIGATION AREAS AND LIMITED ACCESS AREAS

■ 1. The authority citation for part 165 continues to read as follows:

Authority: 46 U.S.C. 70034, 70051, 70124; 33 CFR 1.05–1, 6.04–1, 6.04–6, and 160.5; Department of Homeland Security Delegation No. 00170.1, Revision No. 01.3.

■ 2. Add § 165.T05–0867, to read as follows.

§ 165.T05–0867 Safety Zone; Christina River, Delaware River, Wilmington, DE

(a) *Location.* All navigable waters of the Christina River and the Delaware River, within 1,000 yards of the oil transfer dock at Buckeye Terminal Wilmington, in Wilmington DE, in position latitude 39°20'00"E; 42.96°N, longitude 75°20'00"E; 30.84°W. (WGS 84)

(b) *Definitions.* As used in this section, designated representative means a Coast Guard Patrol Commander, including a Coast Guard petty officer, warrant or commissioned officer on board a Coast Guard vessel or on board a federal, state, or local law enforcement vessel assisting the Captain of the Port (COTP), Sector Delaware Bay in the enforcement of the safety zone.

(c) *Regulations.* (1) Under the general safety zone regulations in subpart C of this part, you may not enter or remain in the safety zone described in paragraph (a) of this section unless authorized by the COTP or the COTP's designated representative.

(2) To seek permission to enter or remain in the zone, contact the COTP or the COTP's representative via VHF-FM channel 16 or (215) 271–4807. Those in the safety zone must comply with all lawful orders or directions given to them by the COTP or the COTP's designated representative.

(3) This section applies to all vessels except those engaged in law enforcement, aids to navigation servicing, and emergency response operations.

(d) *Enforcement.* The U.S. Coast Guard may be assisted in the patrol and enforcement of the safety zone by Federal, State, and local agencies.

(e) *Enforcement Period.* This rule will be in effect from 11 a.m. on September 12, 2024, to 11:59 p.m. on September 19, 2024.

Dated: September 12, 2024.

Kate F. Higgins-Bloom,

Captain, U.S. Coast Guard, Captain of the Port, Sector Delaware Bay.

[FR Doc. 2024–21157 Filed 9–17–24; 8:45 am]

BILLING CODE 9110–04–P

DEPARTMENT OF HOMELAND SECURITY

Coast Guard

33 CFR Part 165

[Docket Number USCG–2024–0775]

RIN 1625–AA00

Safety Zone: Chelsea Day Fireworks, Boston Inner Harbor, Mystic River, Chelsea MA

AGENCY: Coast Guard, DHS.

ACTION: Temporary final rule.

SUMMARY: The Coast Guard is establishing a temporary safety zone on the navigable waters of Boston Inner Harbor within a 300-yard radius of the fireworks barge in the vicinity of Admiral's Hill, Mystic River, Chelsea, Massachusetts. This action is needed to protect the maritime public and event participants from potential hazards created by a fireworks event taking place in a heavily trafficked harbor scheduled for September 21, 2024, with a rain date of September 22, 2024. Entry of vessels or persons into this zone is prohibited unless authorized by the Captain of the Port Sector Boston, or a designated representative.

DATES: This rule is effective from 7:30 p.m. through 10 p.m. on September 21, 2024, with a rain date effective from 7:30 p.m. through 10 p.m. on September 22, 2024.

ADDRESSES: To view documents mentioned in this preamble as being available in the docket, go to <https://www.regulations.gov> type USCG–2024–0775 in the search box and click “Search.” Next, in the Document Type column, select “Supporting & Related Material.”

FOR FURTHER INFORMATION CONTACT: If you have questions on this rule, call or email Mr. Timothy W. Chase, Sector Boston, Waterways Management, phone (617) 447–1620, email Timothy.W.Chase@uscg.mil.

SUPPLEMENTARY INFORMATION:

I. Table of Abbreviations

CFR Code of Federal Regulations
COTP Captain of the Port Sector Boston
DHS Department of Homeland Security
FR Federal Register
MA Massachusetts

NPRM Notice of proposed rulemaking
§ Section
U.S.C. United States Code

II. Background Information and Regulatory History

The Coast Guard is issuing this temporary rule under authority in 5 U.S.C. 553(b)(B). This statutory provision authorizes an agency to issue a rule without prior notice and opportunity to comment when the agency for good cause finds that those procedures are “impracticable, unnecessary, or contrary to the public interest.” The Coast Guard finds that good cause exists for not publishing a Notice of Proposed Rulemaking (NPRM) with respect to this rule because doing so would be impracticable. The Coast Guard was not made aware of the fireworks event with sufficient time to publish an NPRM, take public comments, consider those comments, and issue a final rule by the scheduled date of the event. It is impracticable to publish an NPRM because we must establish this safety zone by September 21, 2024.

Under 5 U.S.C. 553(d)(3), the Coast Guard finds that good cause exists for making this rule effective less than 30 days after publication in the **Federal Register**. Delaying the effective date of this rule would be impracticable because prompt action is needed to respond to the potential safety hazards associated with a fireworks event taking place in a heavily trafficked harbor.

III. Legal Authority and Need for Rule

The Coast Guard is issuing this rule under authority in 46 U.S.C. 70034. The Captain of the Port Sector Boston (COTP) has determined that potential hazards exist with a fireworks event occurring in a heavily trafficked harbor in the vicinity of Admiral's Hill, Boston Inner Harbor, Mystic River, Chelsea, Massachusetts. This rule is needed to protect the maritime public and event participants from the hazards associated with the fireworks event.

IV. Discussion of the Rule

This rule establishes a safety zone from 7:30 p.m. to 10 p.m. on September 21, 2024, with a rain date of September 22, 2024. The safety zone will cover all the navigable waters of a portion of Boston Inner Harbor in the vicinity of Admiral's Hill, Mystic River, Chelsea, specifically within a 300-yard radius of the fireworks barge in approximate position 42°23'08" N, 071°3'03" W. The duration of the zone is intended to protect event participants, support personnel, vessels, and the marine environment in these navigable waters

during the fireworks event. No vessel or person will be permitted to enter the safety zone without obtaining permission from the COTP or a designated representative.

Requests to enter the zone will be considered and reviewed on a case-by-case basis. The COTP may be contacted by telephone at (856) 416–3015 or can be reached by VHF–FM channel 16. Persons and vessels permitted to enter this safety zone must transit at their slowest safe speed to minimize wake and comply with all lawful directions issued by the COTP or the designated representative.

V. Regulatory Analyses

We developed this rule after considering numerous statutes and Executive orders related to rulemaking. Below we summarize our analyses based on a number of these statutes and Executive orders, and we discuss First Amendment rights of protestors.

A. Regulatory Planning and Review

Executive Orders 12866 and 13563 direct agencies to assess the costs and benefits of available regulatory alternatives and, if regulation is necessary, to select regulatory approaches that maximize net benefits. This rule has not been designated a “significant regulatory action,” under section 3(f) of Executive Order 12866, as amended by Executive Order 14094 (Modernizing Regulatory Review). Accordingly, this rule has not been reviewed by the Office of Management and Budget (OMB).

This regulatory action determination is based on the size, location, duration, and time-of-year of the safety zone. Vessel traffic will be able to safely transit around this safety zone which will impact a small, designated area of Boston Inner Harbor in the vicinity of Admiral's Hill, Mystic River, Chelsea, MA, in support of a fireworks event on September 21, 2024, with a rain date of September 22, 2024. Additionally, this safety zone will be of limited duration, two- and one-half hours, to minimize any adverse impacts to vessels who seek to transit the navigable waters. Moreover, the Coast Guard will issue a Local Notice to Mariners well in advance of the event and a Broadcast Notice to Mariners via VHF–FM marine channel 16 regarding the zone prior to commencement of the event, and the rule allows vessels to seek permission to enter the zone.

B. Impact on Small Entities

The Regulatory Flexibility Act of 1980, 5 U.S.C. 601–612, as amended, requires Federal agencies to consider

the potential impact of regulations on small entities during rulemaking. The term “small entities” comprises small businesses, not-for-profit organizations that are independently owned and operated and are not dominant in their fields, and governmental jurisdictions with populations of less than 50,000. The Coast Guard certifies under 5 U.S.C. 605(b) that this rule will not have a significant economic impact on a substantial number of small entities.

While some owners or operators of vessels intending to transit the safety zone may be small entities, for the reasons stated in section V.A above, this rule will not have a significant economic impact on any vessel owner or operator.

Under section 213(a) of the Small Business Regulatory Enforcement Fairness Act of 1996 (Pub. L. 121), we want to assist small entities in understanding this rule. If the rule will affect your small business, organization, or governmental jurisdiction and you have questions concerning its provisions or options for compliance, please call or email the person listed in the **FOR FURTHER INFORMATION CONTACT** section.

Small businesses may send comments on the actions of Federal employees who enforce, or otherwise determine compliance with, Federal regulations to the Small Business and Agriculture Regulatory Enforcement Ombudsman and the Regional Small Business Regulatory Fairness Boards. The Ombudsman evaluates these actions annually and rates each agency’s responsiveness to small business. If you wish to comment on actions by employees of the Coast Guard, call 1–888–REG–FAIR (1–888–734–3247). The Coast Guard will not retaliate against small entities that question or complain about this rule or any policy or action of the Coast Guard.

C. Collection of Information

This rule will not call for a new collection of information under the Paperwork Reduction Act of 1995 (44 U.S.C. 3501–3520).

D. Federalism and Indian Tribal Governments

A rule has implications for federalism under Executive Order 13132, Federalism, if it has a substantial direct effect on the States, on the relationship between the National Government and the States, or on the distribution of power and responsibilities among the various levels of government. We have analyzed this rule under that Order and have determined that it is consistent with the fundamental federalism

principles and preemption requirements described in Executive Order 13132.

Also, this rule does not have tribal implications under Executive Order 13175, Consultation and Coordination with Indian Tribal Governments, because it does not have a substantial direct effect on one or more Indian tribes, on the relationship between the Federal Government and Indian tribes, or on the distribution of power and responsibilities between the Federal Government and Indian tribes.

E. Unfunded Mandates Reform Act

The Unfunded Mandates Reform Act of 1995 (2 U.S.C. 1531–1538) requires Federal agencies to assess the effects of their discretionary regulatory actions. In particular, the Act addresses actions that may result in the expenditure by a State, local, or tribal government, in the aggregate, or by the private sector of \$100,000,000 (adjusted for inflation) or more in any one year. Though this rule will not result in such an expenditure, we do discuss the effects of this rule elsewhere in this preamble.

F. Environment

We have analyzed this rule under Department of Homeland Security Directive 023–01, Rev. 1, associated implementing instructions, and Environmental Planning COMDTINST 5090.1 (series), which guide the Coast Guard in complying with the National Environmental Policy Act of 1969 (42 U.S.C. 4321–4370f), and have determined that this action is one of a category of actions that do not individually or cumulatively have a significant effect on the human environment. This rule involves a safety zone lasting for a period of 2.5 hours that will prohibit entry within the designated safety zone during a fireworks event. It is categorically excluded from further review under paragraph L60(a) of Appendix A, Table 1 of DHS Instruction Manual 023–01–001–01, Rev. 1. A Record of Environmental Consideration supporting this determination is available in the docket. For instructions on locating the docket, see the **ADDRESSES** section of this preamble.

G. Protest Activities

The Coast Guard respects the First Amendment rights of protesters. Protesters are asked to call or email the person listed in the **FOR FURTHER INFORMATION CONTACT** section to coordinate protest activities so that your message can be received without jeopardizing the safety or security of people, places or vessels.

List of Subjects in 33 CFR Part 165

Harbors, Marine safety, Navigation (water), reporting and recordkeeping requirements, Security measures, Waterways.

For the reasons discussed in the preamble, the Coast Guard amends 33 CFR part 165 as follows:

PART 165—REGULATED NAVIGATION AREAS AND LIMITED ACCESS AREAS

■ 1. The authority citation for part 165 continues to read as follows:

Authority: 46 U.S.C. 70034, 70051; 70124; 33 CFR 1.05–1, 6.04–1, 6.04–6, and 160.5; Department of Homeland Security Delegation No. 00170.1, Revision No. 01.3.

■ 2. Add § 165.T01–0775 to read as follows:

§ 165.T01–0775 Safety Zone; Chelsea Day Fireworks Celebration, Boston Inner Harbor, Mystic River, Chelsea MA.

(a) *Regulated area.* The following area is a safety zone: all navigable waters of a portion of Boston Inner Harbor in the vicinity of Admiral’s Hill, Mystic River, Chelsea, MA, specifically within a 300-yard radius of the fireworks barge in approximate position: 42°23’08” N, 071°03’03” W.

(b) *Definitions.* As used in this section—*Designated representative* means a Coast Guard Patrol Commander, including a Coast Guard coxswain, petty officer, or other officer operating a Coast Guard vessel and a Federal, State, and local officer designated by or assisting the Captain of the Port Boston (COTP) in the enforcement of the regulations in this section.

Participant means all persons registered with the event sponsor as a participant in the event.

(c) *Regulations.* (1) Under the general safety zone regulations in subpart C of this part, you may not enter the safety zone described in paragraph (a) of this section unless authorized by the COTP or the COTP’s designated representative.

(2) To seek permission to enter, contact the COTP or the COTP’s designated via VHF–FM Marine Channel 16 or by contacting the Coast Guard Sector Boston Command Center at (857) 416–3015. Those in the safety zone must comply with all lawful orders or directions given to them by the COTP or the COTP’s designated representative.

(d) *Enforcement period.* This section will be enforced from 7:30 p.m. through 10 p.m. on September 21, 2024, with a

rain date scheduled on September 22, 2024.

J.J. Schock,

Commander, U.S. Coast Guard, Acting
Captain of the Port Sector Boston.

[FR Doc. 2024–21158 Filed 9–17–24; 8:45 am]

BILLING CODE 9110–04–P

DEPARTMENT OF COMMERCE

Patent and Trademark Office

37 CFR Part 42

[Docket No. PTO–P–2020–0060]

RIN 0651–AD50

Rules Governing Motion To Amend Practice and Procedures in Trial Proceedings Under the America Invents Act Before the Patent Trial and Appeal Board

AGENCY: Patent Trial and Appeal Board, United States Patent and Trademark Office, Department of Commerce.

ACTION: Final rule.

SUMMARY: The United States Patent and Trademark Office (Office or USPTO) modifies its rules of practice governing amendment practice in trial proceedings under the Leahy-Smith America Invents Act (AIA) to make permanent certain provisions of the Office's motion to amend pilot program (MTA pilot program) and to revise the rules that allocate burdens of persuasion in connection with motions to amend (MTAs). These rules provide a patent owner with the option of issuance of preliminary guidance in response to an MTA and the option of filing one additional revised MTA. Further, these rules clarify that a preponderance of evidence standard applies to any new ground of unpatentability raised by the Board, and that when exercising the discretion to grant or deny an MTA or to raise a new ground of unpatentability, the Board may consider all evidence of record in the proceeding. The rules further provide that the Board may consider information identified in response to a Board-initiated request for examination assistance, and that the results of that assistance will be added to the record. The rules better ensure the Office's role of issuing robust and reliable patents, and the predictability and certainty of post-grant trial proceedings before the Board. These rules relate to the Office trial practice for *inter partes* review (IPR), post-grant review (PGR), and derivation proceedings that implemented provisions of the AIA providing for trials before the Office.

DATES: This rule is effective October 18, 2024.

FOR FURTHER INFORMATION CONTACT:

Miriam L. Quinn, Acting Senior Lead Administrative Patent Judge; or Melissa Haapala, Vice Chief Administrative Patent Judge, at 571–272–9797, Miriam.Quinn@uspto.gov or Melissa.Haapala@uspto.gov, respectively.

SUPPLEMENTARY INFORMATION:

Background

Development of the Final Rule

On September 16, 2011, the AIA was enacted into law (Pub. L. 112–29, 125 Stat. 284 (2011)), and in 2012, the Office implemented rules to govern Office trial practice for AIA trials, including IPR, PGR, covered business method (CBM), and derivation proceedings pursuant to 35 U.S.C. 135, 316, and 326 and AIA 18(d)(2). See 37 CFR part 42; Rules of Practice for Trials before the Patent Trial and Appeal Board and Judicial Review of Patent Trial and Appeal Board Decisions, 77 FR 48612 (August 14, 2012); Changes to Implement *Inter Partes* Review Proceedings, Post-Grant Review Proceedings, and Transitional Program for Covered Business Method Patents, 77 FR 48680 (August 14, 2012); Transitional Program for Covered Business Method Patents—Definitions of Covered Business Method Patent and Technological Invention, 77 FR 48734 (August 14, 2012). Additionally, the Office published a Patent Trial Practice Guide (Practice Guide) for the rules to advise the public on the general framework of the regulations, including the structure and times for taking action in each of the new proceedings. See 84 FR 64280 (November 21, 2019); <https://www.uspto.gov/TrialPracticeGuide> *Consolidated*. The Practice Guide provides a helpful overview of the Patent Trial and Appeal Board (PTAB or Board) process. See, e.g., Practice Guide at 5–8 (AIA trial process), 66–72 (motions to amend).

In 2019, the Office implemented a pilot program (MTA Pilot Program) for motions to amend filed in AIA proceedings before the PTAB. Notice Regarding a New Pilot Program Concerning MTA Practice and Procedures in Trial Proceedings Under the America Invents Act Before the Patent Trial and Appeal Board, 84 FR 9497 (March 15, 2019) (MTA pilot program notice). The MTA Pilot Program addressed public comments on a previously proposed procedure for MTAs, the Board's MTA practice generally, and the allocation of burdens of persuasion after *Aqua Products, Inc. v. Matal*, 872 F.3d 1290 (Fed. Cir. 2017)

(en banc) (*Aqua Products*)). See RFC on MTA Practice and Procedures in Trial Proceedings under the America Invents Act before the Patent Trial and Appeal Board, 83 FR 54319 (October 29, 2018) (2018 RFC). The MTA pilot program was extended through September 16, 2024. Extension of the Patent Trial and Appeal Board Motion to Amend Pilot Program, 87 FR 60134 (October 4, 2022).

In 2020, the Office, through notice and comment rulemaking, published a final rule that allocated burdens of persuasion in relation to motions to amend and the patentability of substitute claims. See 37 CFR 42.121(d), 42.221(d); Rules of Practice to Allocate the Burden of Persuasion on Motions to Amend in Trial Proceedings before the Patent Trial and Appeal Board, 85 FR 82936 (December 21, 2020) (“the burden-allocation rules”). These burden-allocation rules assign the burden of persuasion to the patent owner to show, by a preponderance of the evidence, that an MTA complies with certain statutory and regulatory requirements. 37 CFR 42.121(d)(1), 42.221(d)(1). The burden-allocation rules also assign the burden of persuasion to the petitioner to show, by a preponderance of the evidence, that any proposed substitute claims are unpatentable. 37 CFR 42.121(d)(2), 42.221(d)(2).

Finally, the burden-allocation rules further specify that irrespective of those burdens, the Board may, in the “interests of justice,” exercise its discretion to grant or deny an MTA, but “only for reasons supported by readily identifiable and persuasive evidence of record.” 37 CFR 42.121(d)(3), 42.221(d)(3); *Hunting Titan, Inc. v. DynaEnergetics Europe GmbH*, IPR2018–00600 (PTAB July 6, 2020) (Paper 67) (*Hunting Titan*). Situations meeting the interests of justice standard were stated to include, for example, those in which “the petitioner has ceased to participate in the proceeding or chooses not to oppose the motion to amend, or those in which certain evidence regarding unpatentability has not been raised by either party but is so readily identifiable and persuasive that the Board should take it up in the interest of supporting the integrity of the patent system, notwithstanding the adversarial nature of the proceedings.” 85 FR 82924, 82927 (citing *Hunting Titan*, Paper 67 at 12–13, 25–26). The burden-allocation rules further provide that in instances where the Board exercises its discretion in the interests of justice, the Board will provide the parties with an opportunity to respond before rendering a final decision on the

MTA. *Id.* at 82927; see also 37 CFR 42.121(d)(3), 42.221(d)(3).

As noted in the final rule that allocated burdens of persuasion, “[i]n the vast majority of cases, the Board will consider only evidence a party introduces into the record of the proceeding.” 85 FR 82927. Thus, “[i]n most instances, in cases where the petitioner has participated fully and opposed the motion to amend, the Office expects that there will be no need for the Board to independently justify a determination of unpatentability.” *Id.* at 82927–28. That said, the Board may consider, for example “readily identifiable and persuasive evidence already before the Office in a related proceeding (*i.e.*, in the prosecution history of the challenged patent or a related patent or application, or in the record of another proceeding before the Office challenging the same patent or a related patent).” *Id.* at 82927. Likewise, “the Board may consider evidence that a district court can judicially notice under Federal Rule of Evidence 201.” *Id.*; see also 37 CFR 42.121(d)(3), 42.221(d)(3) (“[T]he Board may make of record only readily identifiable and persuasive evidence in a related proceeding before the Office or evidence that a district court can judicially notice.”).

Subsequent to the issuance of the burden-allocation rules, the United States Court of Appeals for the Federal Circuit issued a precedential decision in *Hunting Titan, Inc., v. DynaEnergetics Europe GmbH*, 28 F.4th 1371 (Fed. Cir. 2022). The court confirmed that no court precedent has “established that the Board maintains an affirmative duty, without limitation or exception, to sua sponte raise patentability challenges to a proposed substitute claim.” *Id.* at 1381 (citations omitted). The court also stated that “confining the circumstances in which the Board should sua sponte raise patentability issues was not itself erroneous.” *Id.* The court, however, found it “problematic” that the USPTO confined the Board’s discretion to only rare circumstances. *Id.* It also noted that the USPTO’s “substantial reliance on the adversarial system . . . overlooks the basic purpose of [inter partes review] proceedings: to reexamine an earlier agency decision and ensure that patent monopolies are kept within their legitimate scope.” *Id.* (citations omitted); see *id.* at 1385 (concurrence expressing concern that the burden-allocation rule’s requirement for “readily identifiable and persuasive evidence” may prevent the Board from raising grounds “even when no one is around to oppose a new patent monopoly grant.”).

2023 Request for Comments on MTA Pilot Program and Burden-Allocation Rules

After four years of experience with the MTA pilot program and development of Federal Circuit case law concerning burden allocation in the MTA context, the Office issued a Request for Comments to seek feedback on the public’s experience with the program and the burden-allocation rules that apply to MTAs. See Request for Comments Regarding MTA Pilot Program and Rules of Practice to Allocate the Burdens of Persuasion on Motions to Amend in Trial Proceedings Before the Patent Trial and Appeal Board, 88 FR 33063 (May 23, 2023) (2023 RFC). The Office also sought feedback on when reexamination or reissue proceedings, also referred to as post-grant options, are better alternatives for patent owners seeking to amend claims. *Id.* at 33065–66. Further, the Office sought comments on whether the MTA pilot program should be modified and what barriers the Office could address to increase the effectiveness of MTA procedures. *Id.* at 33066.

The 2023 RFC also sought comments on the burden-allocation rules. In light of the Federal Circuit court’s commentary on the current rules, as well as the Board’s *Hunting Titan* decision, and given the Office’s desire to support the integrity of the patent system and to issue robust and reliable patent rights, the Office sought public comments on whether the Board should more broadly use its discretion to raise sua sponte grounds in the MTA process. *Id.* Additionally, the Office sought public comments on whether, and under what circumstances, the Office should solicit patent examiner assistance regarding an MTA or conduct a prior art search in relation to proposed substitute claims. *Id.*

Furthermore, the Office recognized that if the Board exercises its discretion and raises its own grounds of unpatentability under the current rule, 37 CFR 42.121(d)(3), the burden-allocation rules do not specifically state where the burden of persuasion lies for Board-raised grounds. The Office sought public comments on whether the burden-allocation rules should be revised to clarify who bears the burden of persuasion for grounds of unpatentability raised by the Board under 37 CFR 42.121(d)(3) or 42.221(d)(3). See 88 FR 33066; see also *Nike, Inc. v. Adidas AG*, No. 2021–1903, 2022 WL 4002668, at *4–10 (Fed. Cir. September 1, 2022) (leaving open the question “whether, in an *inter partes*

review, the petitioner or Board bears the burden of persuasion for an unpatentability ground raised sua sponte by the Board against proposed substitute claims”).

2024 Notice of Proposed Rulemaking

On March 4, 2024, the Office published a notice of proposed rulemaking concerning Motion to Amend Practice and Procedures in Trial Proceedings Under the America Invents Act Before the Patent Trial and Appeal Board. 89 FR 15531 (“2024 NPRM”). The Office proposed to revise its rules of practice to provide for issuance of preliminary guidance in response to an MTA and to provide a patent owner with the option for filing one additional revised MTA. Further, the Office proposed to revise the rules to clarify that a preponderance of the evidence standard applies to any new ground of unpatentability raised by the Board and to clarify that when exercising the discretion to grant or deny an MTA or to raise a new ground of unpatentability, the Board may consider all evidence of record in the proceeding, including evidence identified through a prior art search conducted by the Office at the Board’s request and added to the record. The comment period for the 2024 NPRM closed on May 3, 2024, and the Office received six public comments on the proposed rules.

Proposed Rule: Comments and Responses

The Office received six public comments to the 2024 NPRM none of which opposed the proposal to make permanent the MTA pilot program options. Some commenters, however, stated that the Office should consider additional proposals. These additional proposals include: (1) expressly allowing extensions of time for the final written decision and for filing MTA-related briefs, (2) revising the proposed rules to allow petitioner to file a sur-reply, and (3) clarifying the manner in which patent owner identifies written description support for the proposed substitute claims. Some commenters also recommended expanding the proposed rules on discretion to request examination assistance such that the Board would exercise this discretion in every case with a motion to amend. Finally, one commenter expressed concerns with the proposed rules that revise the Board’s limits on the discretion to raise grounds of unpatentability *sua sponte*. These comments, along with other stated ideas and concerns, are addressed more specifically below.

Extensions of Time for Issuing Final Written Decision and Other Deadlines

A comment expressed support for an automatic extension of the deadline for issuing a final written decision in proceedings in which a motion to amend has been filed. A second comment raised the concern that any automatic extension of time might not be necessary in all cases and that there could be a potential for abuse of the motion to amend process if extensions were automatic. Another comment suggested that additional procedures, such as a Board-initiated conference call upon issuance of preliminary guidance, could provide an opportunity for a party to request an extension of time for the final written decision.

The Office appreciates the comments and the concern with scheduling when a motion to amend is filed. After careful review of the comments, the Office does not adopt any changes to the proposed rules. The proposed rules do not modify the current procedures by which an extension may be granted, as discussed above, and an extension of the final written decision deadline may be granted by the Chief Administrative Patent Judge for good cause, and the deadline may be extended by not more than six months. These procedures allow for a case-by-case determination of whether an extension should be granted. In the Board's experience, most cases do not require an extension. With respect to automatic scheduling of a conference call upon issuance of preliminary guidance, the rules provide for an initial conference call upon the filing of a motion to amend at which a discussion of the schedule can occur, and panels of the Board generally honor any request by a party for a further conference call. See 37 CFR 42.121(a), 42.221(a).

With respect to the limitations on timing for post grant review proceedings with motions to amend, we acknowledge a comment suggesting that reexamination or reissue proceedings may be better options for pursuing claim amendments if substantial changes that may require additional time are contemplated. See Notice Regarding Options for Amendments by Patent Owner Through Reissue or Reexamination During a Pending AIA Trial Proceeding (April 2019), 84 FR 16654 (April 22, 2019).

Petitioner Sur-Reply

A commenter expressed concern with the proposed rule as it relates to the preliminary guidance provided by the Board on an original motion to amend. In particular, the commenter noted that

the proposed rule is silent as to whether the petitioner has an opportunity to file a sur-reply to address the Board's preliminary guidance or any new evidence that may accompany the patent owner's reply filed in response to the Board's preliminary guidance. The commenter noted that the proposed rule allows the petitioner to file a reply to the Board's guidance only if the patent owner does not file a reply or revised motion to amend. The commenter urged the Office that the petitioner should be provided, expressly, with a sur-reply in order to afford due process to the petitioner.

The Office appreciates the comment and agrees that the rule should expressly provide for a petitioner sur-reply. The final rule states that the petitioner may file a sur-reply that is limited to responding to the preliminary guidance and/or arguments made in the patent owner's reply brief. Further, although the sur-reply may not be accompanied by new evidence, it may comment on any new evidence filed with the reply and/or point to cross-examination testimony of a reply witness, if relevant to the arguments made in the reply brief.

Moreover, if a patent owner does not file either a reply or a revised MTA after receiving preliminary guidance from the Board, a petitioner may file a reply to the preliminary guidance, but such a reply may only respond to the preliminary guidance and may not be accompanied by new evidence. If a petitioner files a reply in this context, a patent owner may file a sur-reply, but that sur-reply may only respond to the petitioner's reply and may not be accompanied by new evidence.

Written-Description Support

A commenter raised a concern that proposed provisions in 37 CFR 42.121(b) and 42.221(b), which relate to the content of a motion to amend, contain a possible ambiguity regarding whether the required support in the original disclosure or earlier-filed disclosure must be set forth in the motion to amend or should be set forth as part of the claim listing.

The Office appreciates the comment. To improve clarity, this final rule amends those sections to state that the written description support for a proposed substitute claim must be set forth in the motion to amend, as opposed to the claim listing. This is consistent with current practice and the precedential decision in *Lectrosomics*: “[t]he written description support must be set forth in the motion to amend itself, not the claim listing.” *Lectrosomics, Inc. v. Zaxcom, Inc.*,

IPR2018–01129, 2019 WL 1118864, at *3 (precedential).

Examination Assistance

The majority of commenters support the proposed rule's provision permitting the Board to request examination assistance from patent examiners when considering claim amendments. A commenter noted, however, that opinions vary on whether, and to what extent, the Board should request assistance to conduct a prior art search. Two commenters suggested that such assistance not be limited to situations in which no petitioner opposes, or all petitioners cease to oppose a motion to amend. These commenters highlighted the expertise of examiners in identifying prior art as reasons to expand the situations for which assistance may be requested. These commenters also expressed concern that Board panels may hesitate to use the proposed rule's full extent, because identifying a petitioner's filing as “illusory opposition” appears to imply that the petitioner is not acting in good faith, and such a standard may be difficult to assess. These commenters suggested that the benefit of ensuring that substitute claims are patentable would justify the relatively few additional prior art searches per year. A third commenter also agreed that having an examiner's search report for each MTA would alleviate concerns with the Office issuing “unexamined” claims, finding such technical assistance to be of value to the panel in evaluating the parties' patentability arguments, although appreciating that such assistance may be perceived as a disincentive to filing motions to amend.

Another commenter suggested that amended claims undergo review prior to a decision being made by the Board only in circumstances where the adversarial system fails to provide the Board with arguments for the unpatentability of the proposed substitute claims, and that both parties be afforded the opportunity to respond. A further commenter disagreed that the Board should be pressured to come up with rejections even when the adversarial process has not failed. That further commenter suggested that encouraging the Board to dig deeply into the records of other proceedings would disadvantage patent owners seeking to save patentable claim scope. That further commenter suggested that language be added to make clear that intervention is neither needed nor expected in a typical proceeding.

The Office appreciates the robust discussion of the variety of viewpoints expressed in the comments. After

careful consideration, the Office does not adopt the suggestions to rely solely on the adversarial nature of the proceeding to determine when to request examination assistance. Rather, the Office revises the proposed rule to take into account the comments expressing concern about the narrow circumstances under which examination assistance would be requested. The final rule now states that a lack of opposition would be considered one of the reasons sufficient for the Board to seek examination assistance. As such, the final rule also encompasses the situation in which the Board determines that a deficient prior art challenge in an opposition warrants a search for additional prior art. The ability of the Board to seek examination assistance when warranted, including a prior art search, for amended claims preserves the Office's goal of ensuring that it adequately evaluates the patentability of claims before issuance. The final rule's clarification of appropriate situations for seeking examination assistance is designed to help panels identify when such examination assistance would further the Office's goal. The final rule also accounts for the adversarial motion to amend process that suffices for the vast majority of cases filed to-date. The examination assistance typically would be appropriate in situations that are not duplicative of reasonable efforts expended by the petitioner, such as when an opposition lacks a prior art challenge or when there is no opposition, thus ensuring that the resources of the Office and the patent owner are not expended unnecessarily. Further because it relies on a determination that a deficient prior art challenge warrants a search for additional prior art, the Board would not need to address or inquire about the intent behind an opposition or bad faith efforts of a petitioner. As in the proposed rule, the final rule provides that when the Board requests examination assistance, that the request, as well as the results of the examination assistance will be made of record. The fact that the Board possesses, but has never used, its discretionary authority to request examination assistance reflects the Board's careful exercise of this authority to date. Based upon the comments and the Board's experience, the final rule fairly balances the interests of patent owners who desire to amend claims during an AIA proceeding and the Office's role in maintaining the integrity of the patent system by ensuring the issuance of robust and reliable patents.

Discretion To Raise Grounds Sua Sponte

A commenter expressed concerns with the proposed revisions to the rule on the Board's discretion to raise grounds of unpatentability *sua sponte*. In particular, the commenter stated that the proposed changes would broaden the Board's discretion to raise grounds to an uncertain degree, even in cases where zealous advocacy against an amendment is present. The commenter urged the Office to revise the proposed changes to the Board's exercise of discretion to restrain its frequency and clarify that the Board's actions in this regard would neither be needed nor expected in "run-of-the-mine proceedings." This commenter also urged that the Board consider retaining the prior rule's limitation to considering "only readily identifiable and persuasive evidence in a related proceeding before the Office." Other commenters expressed support for the proposed rules that give the Board the ability to more broadly exercise its discretion to raise *sua sponte* grounds of unpatentability and to ensure that the parties are given the opportunity to respond to those grounds. The commenters noted that the Office's current rules, which rely solely on the adversarial process, are at odds with current Federal Circuit case law and undermine the Office's role of ensuring that newly issued claims are patentable. The Office appreciates the comments. After careful review of the comments made and in light of the careful balance of the various viewpoints on this issue and in alignment with the Office's goals of ensuring the issuance of robust and reliable patents, the Office does not adopt the suggestion to limit the exercise of discretion to raise grounds *sua sponte*, nor to retain the limit that only "readily identifiable and persuasive evidence" may be relied upon. The rule allows the Board to retain discretion to raise grounds of unpatentability with respect to proposed substitute claims in accordance with Federal Circuit precedent. See *Nike, Inc. v. Adidas AG*, 955 F.3d 45, 53 (2020); *Hunting Titan*, 28 F.4th at 1381. Additionally, the commenter's proposed limitations on the Board's exercise of discretion in this regard are similar to those criticized by the Federal Circuit in *Hunting Titan*. 28 F.4th at 1381, 1385. Consequently, as noted further below, the Board's *Hunting Titan* decision, which places limitations on the Board's exercise of discretion to raise grounds, is de-designated from precedential status as of the effective date of this final rule.

See PTAB Standard Operating Procedure 2 (Revision 10), Publication of Decisions and Designation or De-Designation of Decisions as Precedential or Informative, Part IV (SOP2) available at <https://www.uspto.gov/sites/default/files/documents/SOP2%20R10%20FINAL.pdf>.

The Office notes that although the adversarial nature of the proceedings provides, in the majority of proceedings, the safeguards of a robust evaluation of proposed substitute claims, there may be situations in which, despite such advocacy, the Board will be able to identify or will be aware of additional reasons the proposed substitute claims may not be granted. It is better for the Office to maintain the integrity of the patent system by ensuring that where the Board determines *sua sponte* new reasons why a proposed substitute claim should not be granted, that in accordance with due process, the parties are notified of grounds of unpatentability not raised by the opposition and that the parties are given an opportunity to respond. The final rule provides that such notice may be included in the preliminary guidance if one is requested but does not place limitations on such a notice to be provided in other papers or at a different stage of the proceeding, such as after receiving a revised motion to amend. 37 CFR 42.121(e), 42.221(e).

Upon careful consideration of the public comments, the Office adopts the provisions in the proposed rule with minor changes for additional clarity and consistency.

Preliminary Guidance and Revised Motions To Amend

The final rule, which implements the procedure set forth in the Motion to Amend Pilot Program, provides a patent owner with two options when proposing substitute claims for challenged patent claims during an AIA trial proceeding. First, if requested by a patent owner in its original MTA, the Board will issue preliminary, non-binding guidance. 37 CFR 42.121(e), 42.221(e). Second, a patent owner may file, without needing Board authorization, a revised MTA. 37 CFR 42.121(f), 42.221(f). These options are discussed further below.

Preliminary Guidance

The Board's preliminary guidance, if requested, typically will come in the form of a short paper issued after a petitioner has filed its opposition to the MTA (or after the due date for a petitioner's opposition, if none is filed). According to the MTA pilot program, the preliminary guidance provides, at a

minimum, an initial discussion about whether there is a reasonable likelihood that the original MTA meets statutory and regulatory requirements for an MTA and whether the petitioner (or the record then before the Office, including any opposition to the MTA and accompanying evidence) establishes a reasonable likelihood that the substitute claims are unpatentable. See MTA pilot program notice, 84 FR 9500.

Under the amended rules, preliminary guidance will provide the Board's initial, preliminary views on the original MTA. The preliminary guidance will provide an initial discussion about whether the parties have shown a reasonable likelihood of meeting their respective burdens. See Rules of Practice To Allocate the Burden of Persuasion on Motions To Amend in Trial Proceedings Before the Patent Trial and Appeal Board. 85 FR 82923 (December 21, 2020); 37 CFR 42.121(d)(1) and (2), 42.221(d)(1) and (2). In particular, the preliminary guidance will address whether there is a reasonable likelihood that the patent owner has shown that the MTA meets the statutory and regulatory requirements for an MTA. See 37 CFR 42.121(d)(1), 42.221(d)(1); see also 35 U.S.C. 316(d), 326(d); *Lectrosomics, Inc. v. Zaxcom, Inc.*, IPR2018–01129, 2019 WL 1118864, at *2 (precedential). The preliminary guidance will also provide an initial discussion about whether the petitioner (or the record then before the Office, including any opposition to the MTA and accompanying evidence) has established a reasonable likelihood that the proposed substitute claims are unpatentable. See 37 CFR 42.121(d)(2), 42.221(d)(2). The preliminary guidance may also address any new grounds of unpatentability discretionarily raised by the Board, together with citations to the evidence of record supporting those new grounds. See 37 CFR 42.121(d)(3) and (4), 42.221(d)(3) and (4). In general, the Board's preliminary guidance will address the proposed substitute claims in a patent owner's original MTA in light of the amendments presented in those claims and will not address the patentability of the originally challenged claims.

Preliminary guidance on an MTA during an AIA trial does not bind the Board. See *Medytox, Inc. v. Galderma S.A.*, 71 F.4th 990, 1000 (Fed. Cir. 2023) (holding that the Board's decision to change its claim construction between its Preliminary Guidance and the final written decision was not arbitrary and capricious and did not violate the Administrative Procedure Act (APA)). The Board's preliminary guidance is not a "decision" under 37 CFR 42.71(d),

and thus parties may not file a request for rehearing or a request for Director Review of the preliminary guidance.

The parties will have the opportunity to respond to the preliminary guidance. For example, a patent owner may file a reply to a petitioner's opposition to the MTA and/or the preliminary guidance or may file a revised MTA. If an opposition is filed and preliminary guidance was requested, the patent owner's reply may respond to the Board's preliminary guidance and/or to the petitioner's opposition to the MTA. If an opposition is not filed but preliminary guidance was requested, a patent owner's reply may only respond to the preliminary guidance. New evidence (including declarations) may be submitted with every paper in the MTA process, except with a sur-reply or in the special circumstance where a patent owner does not file either a reply or a revised MTA after receiving preliminary guidance from the Board as discussed below. Thus, a patent owner may file new evidence, including declarations, with its revised MTA or reply. See 84 FR 9500 (stating further that when filing new declarations, parties are expected to make their declarants available for depositions promptly and to make their attorneys available to take and defend such depositions; any unavailability will not be a reason to adjust the schedule for briefing on an MTA or revised MTA absent extraordinary circumstances). The petitioner may file a sur-reply that is limited to responding to the preliminary guidance and/or arguments made in the patent owner's reply brief. Although the sur-reply may not be accompanied by new evidence, it may comment on any new evidence filed with the reply and/or point to cross-examination testimony of a reply witness, if relevant to the arguments made in the reply brief.

In the special circumstance of a patent owner not filing either a reply or a revised MTA after receiving preliminary guidance from the Board, a petitioner may file a reply to the preliminary guidance, but such a reply may only respond to the preliminary guidance and may not be accompanied by new evidence. If a petitioner files a reply in this context, a patent owner may file a sur-reply limited to responding to the petitioner's reply, and the sur-reply may not be accompanied by new evidence.

Revised MTA

A patent owner may choose to file a revised MTA after receiving a petitioner's opposition to the original MTA or after receiving the Board's preliminary guidance (if requested). As

stated in the rule, a patent owner may file either a reply or a revised motion to amend, but not both. That is, if the patent owner did not elect to receive preliminary guidance, the patent owner can still choose to file a revised MTA to address the petitioner's opposition to the original MTA.

If a patent owner chooses to file a revised MTA, the revised MTA must include one or more new proposed substitute claims in place of previously presented substitute claims, where each new proposed substitute claim presents a new claim amendment. The new claim amendments, as well as arguments and evidence, must be responsive to issues raised in the preliminary guidance (if requested) or in petitioner's opposition. Particularly, the revised MTA may include new arguments and/or evidence as to why the revised MTA meets statutory and regulatory requirements for an MTA, as well as arguments and evidence relevant to the patentability of the new proposed substitute claims. 84 FR 9501. Because a revised MTA replaces the original MTA filed earlier in the proceeding, a patent owner may not incorporate by reference substitute claims or arguments presented in the original MTA into the revised MTA; all proposed substitute claims a patent owner wishes the Board to consider must be presented in the revised MTA.

A revised MTA is an additional MTA that is automatically authorized under 35 U.S.C. 316(d)(2) and 326(d)(2). The revisions therefore distinguish between additional MTAs under 37 CFR 42.121(c) and 42.221(c), which require pre-authorization upon a showing of "good cause," and a revised MTA, which may be filed without prior authorization. Where the term "any motion to amend" is used, the final rule refers to an original, additional, or revised MTA.

A patent owner is not required to request preliminary guidance or file a revised motion to amend. Specifically, if a patent owner does not elect either to receive preliminary guidance on its original MTA or to file a revised MTA, the rules governing amendment of the patent are essentially unchanged from the practice prior to the MTA pilot program. See *Lectrosomics, Inc. v. Zaxcom, Inc.*, IPR2018–01129, 2019 WL 1118864 (PTAB January 24, 2020) (precedential).

MTA Timeline and Extensions of Time

The MTA pilot program notice set forth typical timelines and due dates for the filing or issuance of MTA-related papers, depending on whether a patent owner takes advantage of one, both, or neither of the options under the

program. See MTA pilot program notice, 84 FR 9506–9507, Appendices 1A (Patent Owner Reply Timeline) and 1B (Revised MTA Timeline). Where a revised MTA is filed, the Office issues a scheduling order that adjusts the deadline for oral hearing to accommodate additional briefing on the MTA.

To address the concerns raised as to the ability of parties to have sufficient time to fully take advantage of the MTA procedure, the Office amends the rules to clarify that the Board may determine whether to request the Chief Administrative Patent Judge extend the final written decision deadline. The rules have also been amended to clarify that the Board may determine whether to extend deadlines in the MTA timeline pursuant to 37 CFR 42.5(c)(2). Extensions are not anticipated to be needed in most cases because the Board's experience is that the default timelines have been sufficient to permit full and fair briefing in cases under the MTA pilot program. Thus, the Office will continue to apply the existing timelines by default as currently implemented under the MTA pilot program unless an extension is granted as discussed further below. See 84 FR 9506–9507 (setting forth MTA pilot program timelines).

The AIA provides the Director the discretion to extend the deadlines for issuing a final written decision for good cause and by not more than six months. 35 U.S.C. 316(a)(11), 326(a)(11). The Director's authority to extend the deadline of the final written decision has been delegated to the Chief Administrative Patent Judge. 37 CFR 42.100(c), 42.200(c). Thus, pursuant to 37 CFR 42.100(c) and 42.200(c), upon a showing of good cause, the Chief Administrative Patent Judge may extend the final written decision deadline beyond the statutory deadline (*i.e.*, one year from the date a trial is instituted) by up to six months. For example, good cause may be present if one or more circumstances are present in a proceeding, such as: (1) complex issues; (2) unavailability of the panel; or (3) need to accommodate additional papers (such as additional briefing or a requested examination assistance). See *e.g.*, *Eden Park Illumination, Inc.*, v. *S. Edward Neister*, IPR2022–00381, Paper 51 (August 4, 2023 PTAB) (determining as good cause the involvement of a revised MTA with new prior art, resulting in a substantially compressed schedule, multiple postponements of the oral hearing due to scheduling conflicts, and additional briefing); *Hope Medical Enterprises, Inc. v. Fennec Pharmaceuticals Inc.*, IPR2022–00125,

Paper 35 (April 18, 2023 PTAB) (determining as good cause the involvement of a revised MTA, resulting in a compressed schedule, with the revised claims subject to asserted grounds of unpatentability based on a combination of at least four references); *Snap, Inc.*, v. *Palo Alto Research Center Inc.*, IPR2021–00986, Paper 46 (November 7, 2022) (determining as good cause the substantial coordination of proceedings required by the Board due to multiple pending motions to amend).

As for deadlines that are not for a final written decision, typically, a panel of the Board determines whether to grant a good-cause extension under 37 CFR 42.5(c)(2) after request from, and conference with, the parties. In the context of the MTA timelines, the Board will continue to consider whether to grant extensions of those timelines as required by the Board's rules discussed above. In particular, the Board may determine at any time during the pendency of the case, but more specifically upon issuing the preliminary guidance or receiving a revised MTA, whether for good cause the particular circumstances raised by the parties to the proceeding warrant an extension of deadlines. When an extension is granted, the parties will be notified of the change in the due dates for the remainder of the deadlines and events in the proceeding.

Allocation of Burdens of Persuasion and Scope of the Record in Motions To Amend

Under the rules prior to this final rule and under Federal Circuit case law, the Board retains discretion to raise, or to not raise, grounds of unpatentability with respect to proposed substitute claims. See *Nike, Inc. v. Adidas AG*, 955 F.3d 45, 53 (2020); *Hunting Titan*, 28 F.4th at 1381.

In the final rule, the body of evidence that the Board may consider and make of record now includes the entire evidence of record in the proceeding, without limitation, in accordance with *Nike, Inc. v. Adidas AG*, 955 F.3d at 54 (“[T]he Board may rely on prior art of record in considering the patentability of amended claims.”). By removing limitations of the prior rules, such as the “interests of justice” standard and the requirement for “readily identifiable and persuasive” evidence, the final rule alleviates the Federal Circuit's concern that the Board confined its discretion to only rare circumstances. See *Hunting Titan*, 28 F.4th at 1381 (noting that the USPTO's “substantial reliance on the adversarial system . . . overlooks the basic purpose of [inter partes review]

proceedings: to reexamine an earlier agency decision and ensure ‘that patent monopolies are kept within their legitimate scope.’”); see also *id.* at 1385 (concurrence expressing concern that the burden-allocation rule's requirement for “readily identifiable and persuasive evidence” may prevent the Board from raising grounds “even when no one is around to oppose a new patent monopoly grant”). The final rule broadens the Board's authority to sua sponte raise grounds of unpatentability with respect to proposed substitute claims and provides for notification of those grounds to be given to the parties, typically in, but not limited to, preliminary guidance. 37 CFR 42.121(d)(3) and (4), 42.221(d)(3) and (4).

The final rule therefore departs from the Board's precedential *Hunting Titan* decision. *Hunting Titan, Inc. v. DynaEnergetics Europe GmbH*, IPR2018–00600 (PTAB July 6, 2020) (Paper 67). That decision, criticized by the Federal Circuit, is at odds with the proposed broader discretion of the Board to raise grounds sua sponte. Accordingly, the *Hunting Titan* decision is de-designated from precedential status as of the effective date of this final rule. See (SOP2).

Examination Assistance

Consistent with the Board's discretion to raise grounds of unpatentability, the MTA pilot program noted the Board's discretion to solicit patent examiner assistance regarding the MTA when “petitioner cease[d] to participate altogether in an AIA trial in which the patent owner file[d] an MTA, and the Board nevertheless exercise[d] its discretion to proceed with the trial.” 84 FR 9502. If solicited by the Board, the assistance could include the preparation of an advisory report that: (1) provides an initial discussion about whether an MTA meets certain statutory and regulatory requirements (*e.g.*, whether the amendment enlarges the scope of the claims of the patent or introduces new matter) and/or (2) provides an initial discussion about the patentability of proposed substitute claims, for example, in light of prior art that was identified by the parties in their submissions and/or obtained in prior art searches by the examiner. *Id.* As of issuance of this final rule, the Board has not exercised its discretion to solicit examination assistance.

The final rule provides that the Board may request such examination assistance consistent with current practice reflected in the MTA pilot program. 37 CFR 42.121(d)(3)(ii), 42.221(d)(3)(ii); 84 FR 9502. For

example, the Board has discretion to solicit examination assistance if the petitioner ceases to participate altogether in an AIA trial in which the patent owner files an MTA and the Board nevertheless exercises its discretion to proceed with the trial thereafter. 84 FR 9502. The Board may also solicit examination assistance when a petitioner continues to participate in the AIA trial but either does not oppose or has ceased to oppose an MTA. Examination assistance could include the preparation of an advisory report as outlined above. *Id.*

The final rule thus confirms the Board's discretion to seek examination assistance at any time after any motion to amend has been filed if no petitioner opposes or all petitioners cease to oppose the MTA. The final rule also ensures that the Board retains the discretion to request examination assistance when the opposition is deficient such that a search for additional prior art is warranted. The final rule also clarifies that the Board may make of record information identified in response to the Board-initiated request for examination assistance. Additionally, the final rule provides that the Board's request for examination assistance and the results of that assistance will be made of record.

Changes From Proposed Rule

In light of the received comments, this final rule makes the revisions to the 2024 NPRM as follows.

Sections 42.121(b) and 42.221(b) have been revised further to clarify that the motion itself (not the claim listing) must set forth the support in the original disclosure of the patent for each proposed substitute claim and the support in an earlier-filed disclosure for each claim for which the benefit of the filing date of the earlier-filed disclosure is sought.

Sections 42.121(d)(3)(ii) and 42.221(d)(3)(ii) have been revised further to state that the Board also may consider and may make of record information identified in response to a Board-initiated request for examination assistance. These sections are revised further to expressly state that Board may request the examination assistance at any time after any motion to amend has been filed if no petitioner opposes or all petitioners cease to oppose the motion to amend, or if the Board determines that a deficient prior art challenge in an opposition to a motion to amend warrants a search for additional prior art. Further, the revised rules state that the Board's request for examination

assistance and the results of such assistance will be made of record.

Sections 42.121(e)(3) and 42.221(e)(3) have been revised further to clarify that in response to the preliminary guidance, a patent owner may file a reply that responds to the petitioner's opposition to the motion to amend and/or the preliminary guidance. The patent owner may file a revised motion to amend instead of a reply, as discussed in §§ 42.121(f) and 42.221(f). These sections are also revised further to expressly provide for petitioner's filing of a sur-reply that is limited to responding to the preliminary guidance and/or arguments made in the patent owner's reply brief. Further, the revised rule specifies that the sur-reply may not be accompanied by new evidence, but may comment on any new evidence filed with the reply and/or point to cross-examination testimony of a reply witness, if relevant to the arguments made in the reply brief.

New §§ 42.121(e)(4) and 42.221(e)(4) are a renumbering of unchanged provisions previously included in §§ 42.121(e)(3) and 42.221(e)(3).

Discussion of Specific Rules

Sections 42.121 and 42.221

Sections 42.121(a) and 42.221(a) are amended to refer to original motions to amend and to allow for requests for preliminary guidance on an original motion to amend.

Sections 42.121(b) and 42.221(b) are amended to clarify that the regulation applies to any motion to amend and that support in the original disclosure or earlier-filed disclosure must be included in the motion for each proposed substitute claim.

Sections 42.121(d) and 42.221(d) are amended to provide that the Board may consider all evidence of record in the proceeding when exercising its discretion to grant or deny a motion to amend or raise a new ground of unpatentability in connection with a proposed substitute claim. These sections are further amended to provide that the Board may consider, and may make of record, any evidence in a related proceeding before the Office as well as evidence that a district court can judicially notice. These sections are also amended to provide that the Board may request examination assistance at any time after any motion to amend has been filed, if no petitioner opposes or all petitioners cease to oppose the motion to amend, or if the Board determines that a deficient prior art challenge in an opposition to a motion to amend warrants a search for additional prior art. These sections are further amended

to state that information identified in response to the Board-initiated request for examination assistance may be considered and made of record, and that the request and the results of the examination assistance will also be made of record. The sections further state that when the Board exercises discretion to raise a new ground in connection with a motion to amend, the Board will determine patentability on the new ground by reference to the evidence of record or made of record and based on a preponderance of the evidence. These sections do not alter the current rules on burden of persuasions of parties to the proceeding.

Sections 42.121(e) and 42.221(e) are added to provide for an opportunity to request preliminary guidance, consistent with the MTA pilot program. Such guidance will not be binding on the Board, is not a "decision" under 37 CFR 42.71(d), and is not a final agency action. The added sections permit a patent owner to file a reply to the petitioner's opposition to the motion to amend and/or the preliminary guidance (if requested), or a revised MTA as discussed in §§ 42.121(f) and 42.221(f). The reply or revised MTA may be accompanied by new evidence. Further, the petitioner may file a sur-reply that is limited to responding to the preliminary guidance and/or arguments made in the patent owner's reply brief. The sur-reply may not be accompanied by new evidence but may comment on any new evidence filed with the reply and/or point to cross-examination testimony of a reply witness, if relevant to the arguments made in the reply brief. Moreover, the added sections provide that, if a patent owner does not file either a reply or a revised MTA after receiving preliminary guidance from the Board, the petitioner may file a reply to the preliminary guidance, but such a reply may only respond to the preliminary guidance and may not be accompanied by new evidence. If the petitioner files a reply in this context, a patent owner may file a sur-reply, but that sur-reply may only respond to the petitioner's reply and may not be accompanied by new evidence.

Further, the added sections provide that the Board may, upon issuing the preliminary guidance, for good cause and on a case-by-case basis, determine whether to request the Chief Administrative Patent Judge to extend the final written decision deadline more than one year from the date a trial is instituted in accordance with §§ 42.100(c) and 42.200(c) and whether to extend any remaining deadlines under § 42.5(c).

The final rule adds §§ 42.121(f) and 42.221(f) to provide an opportunity for a patent owner to file one revised motion to amend, consistent with the MTA pilot program. Such a revised motion to amend must be responsive to issues raised in the preliminary guidance, or the petitioner's opposition to the motion to amend, and must include one or more new proposed substitute claims in place of previously presented substitute claims, where each new proposed substitute claim presents a new claim amendment. Any revised motion to amend replaces the original motion to amend in the proceeding.

Further, the Board may, upon receiving the revised motion to amend, on a case-by-case basis, determine whether to request the Chief Administrative Patent Judge to extend the final written decision deadline more than one year from the date a trial is instituted in accordance with §§ 42.100(c) and 42.200(c) and whether to extend any remaining deadlines under § 42.5(c).

Rulemaking Considerations

A. Administrative Procedure Act (APA)

This rulemaking makes changes to the consolidated set of rules relating to Office trial practice for IPR, PGR, and derivation proceedings. The changes in this rulemaking do not alter the substantive criteria of patentability. These changes involve rules of agency practice. See, e.g., 35 U.S.C. 316(a)(5), as amended. The changes in this rulemaking involve rules of agency practice and procedure, and/or interpretive rules, and do not require notice-and-comment rulemaking. See *Perez v. Mortg. Bankers Ass'n*, 575 U.S. 92, 97, 101 (2015) (explaining that interpretive rules “advise the public of the agency’s construction of the statutes and rules which it administers” and do not require notice and comment when issued or amended); *Cooper Techs. Co. v. Dudas*, 536 F.3d 1330, 1336–37 (Fed. Cir. 2008) (5 U.S.C. 553, and thus 35 U.S.C. 2(b)(2)(B), do not require notice-and-comment rulemaking for “interpretative rules, general statements of policy, or rules of agency organization, procedure, or practice”); and *JEM Broadcasting Co. v. F.C.C.*, 22 F.3d 320, 328 (D.C. Cir. 1994) (explaining that rules are not legislative because they do not “foreclose effective opportunity to make one’s case on the merits.”).

Nevertheless, the USPTO has chosen to seek public comment before implementing the rule to benefit from the public’s input.

B. Regulatory Flexibility Act

For the reasons set forth herein, the Senior Counsel for Legislative and Regulatory Affairs of the Office of General Law at the USPTO has certified to the Chief Counsel for Advocacy of the Small Business Administration that changes in this rule will not have a significant economic impact on a substantial number of small entities. See 5 U.S.C. 605(b).

This rule revises certain trial practice procedures before the Board. Specifically, the Office proposes to amend the rules of practice before the Board to reflect current Board practice, as set forth in various precedential and informative Board decisions, as well as the Office’s Trial Practice Guide. Specifically, the Office amends the rules of practice to make permanent certain provisions of the Office’s MTA pilot program. These changes are procedural in nature, and any requirements resulting from the proposed changes are of minimal or no additional burden to those practicing before the Board.

For the foregoing reasons, the changes in this rulemaking will not have a significant economic impact on a substantial number of small entities.

C. Executive Order 12866 (Regulatory Planning and Review)

This rulemaking has been determined to be not significant for purposes of Executive Order 12866 (September 30, 1993), as amended by Executive Order 14094 (April 6, 2023).

D. Executive Order 13563 (Improving Regulation and Regulatory Review)

The Office has complied with Executive Order 13563 (January 18, 2011). Specifically, and as discussed above, the Office has, to the extent feasible and applicable: (1) made a reasoned determination that the benefits justify the costs of the rule; (2) tailored the rule to impose the least burden on society consistent with obtaining the regulatory objectives; (3) selected a regulatory approach that maximizes net benefits; (4) specified performance objectives; (5) identified and assessed available alternatives; (6) involved the public in an open exchange of information and perspectives among experts in relevant disciplines, affected stakeholders in the private sector, and the public as a whole and provided online access to the rulemaking docket; (7) attempted to promote coordination, simplification, and harmonization across government agencies and identified goals designed to promote innovation; (8) considered approaches that reduce burdens and maintain

flexibility and freedom of choice for the public; and (9) ensured the objectivity of scientific and technological information and processes.

E. Executive Order 13132 (Federalism)

This rulemaking pertains strictly to Federal agency procedures and does not contain policies with federalism implications sufficient to warrant preparation of a Federalism Assessment under Executive Order 13132 (August 4, 1999).

F. Executive Order 13175 (Tribal Consultation)

This rulemaking will not: (1) have substantial direct effects on one or more Indian tribes; (2) impose substantial direct compliance costs on Indian Tribal governments; or (3) preempt Tribal law. Therefore, a Tribal summary impact statement is not required under Executive Order 13175 (November 6, 2000).

G. Executive Order 13211 (Energy Effects)

This rulemaking is not a significant energy action under Executive Order 13211 because this rulemaking is not likely to have a significant adverse effect on the supply, distribution, or use of energy. Therefore, a Statement of Energy Effects is not required under Executive Order 13211 (May 18, 2001).

H. Executive Order 12988 (Civil Justice Reform)

This rulemaking meets applicable standards to minimize litigation, eliminate ambiguity, and reduce burden as set forth in sections 3(a) and 3(b)(2) of Executive Order 12988 (February 5, 1996).

I. Executive Order 13045 (Protection of Children)

This rulemaking does not concern an environmental risk to health or safety that may disproportionately affect children under Executive Order 13045 (April 21, 1997).

J. Executive Order 12630 (Taking of Private Property)

This rulemaking will not affect a taking of private property or otherwise have taking implications under Executive Order 12630 (March 15, 1988).

K. Congressional Review Act

Under the Congressional Review Act provisions of the Small Business Regulatory Enforcement Fairness Act of 1996 (5 U.S.C. 801 *et seq.*), the USPTO will submit a report containing the final rule and other required information to

the United States Senate, the United States House of Representatives, and the Comptroller General of the Government Accountability Office. The changes in this rulemaking are not expected to result in an annual effect on the economy of \$100 million or more, a major increase in costs or prices, or significant adverse effects on competition, employment, investment, productivity, innovation, or the ability of United States-based enterprises to compete with foreign-based enterprises in domestic and export markets. Therefore, this rulemaking is not a "major rule" as defined in 5 U.S.C. 804(2).

L. Unfunded Mandates Reform Act of 1995

The changes set forth in this rulemaking do not involve a Federal intergovernmental mandate that will result in the expenditure by State, local, and Tribal governments, in the aggregate, of \$100 million (as adjusted) or more in any one year, or a Federal private sector mandate that will result in the expenditure by the private sector of \$100 million (as adjusted) or more in any one year, and will not significantly or uniquely affect small governments. Therefore, no actions are necessary under the provisions of the Unfunded Mandates Reform Act of 1995. See 2 U.S.C. 1501 *et seq.*

M. National Environmental Policy Act of 1969

This rulemaking will not have any effect on the quality of the environment and is thus categorically excluded from review under the National Environmental Policy Act of 1969. See 42 U.S.C. 4321 *et seq.*

N. National Technology Transfer and Advancement Act of 1995

The requirements of section 12(d) of the National Technology Transfer and Advancement Act of 1995 (15 U.S.C. 272 note) are not applicable because this rulemaking does not contain provisions that involve the use of technical standards.

O. Paperwork Reduction Act of 1995

The Paperwork Reduction Act of 1995 (44 U.S.C. 3501–3549) requires that the Office consider the impact of paperwork and other information collection burdens imposed on the public.

In accordance with section 3507(d) of the Paperwork Reduction Act of 1995 (44 U.S.C. 3501 *et seq.*), the paperwork and other information collection burdens discussed in this rulemaking have already been approved under Office of Management and Budget

(OMB) Control Number 0651–0069 (Patent Review and Derivations).

Notwithstanding any other provision of law, no person is required to respond to, nor shall any person be subject to, a penalty for failure to comply with a collection of information subject to the requirements of the Paperwork Reduction Act unless that collection of information has valid OMB control number.

List of Subjects in 37 CFR Part 42

Administrative practice and procedure, Inventions and patents, Lawyers.

For the reasons set forth in the preamble, the Office amends 37 CFR part 42 as follows:

PART 42—TRIAL PRACTICE BEFORE THE PATENT TRIAL AND APPEAL BOARD

■ 1. The authority citation for part 42 continues to read as follows:

Authority: 35 U.S.C. 2(b)(2), 6, 21, 23, 41, 135, 311, 312, 316, 321–326; Pub. L. 112–29, 125 Stat. 284; and Pub. L. 112–274, 126 Stat. 2456.

■ 2. Revise § 42.121 to read as follows:

§ 42.121 Amendment of the patent.

(a) *Motion to amend*—(1) *Original motion to amend*. A patent owner may file one original motion to amend a patent, but only after conferring with the Board.

(i) *Due date*. Unless a due date is provided in a Board order, an original motion to amend must be filed no later than the filing of a patent owner response.

(ii) *Request for preliminary guidance*. If a patent owner wishes to receive preliminary guidance from the Board as discussed in paragraph (e) of this section, the original motion to amend must include the patent owner's request for that preliminary guidance.

(2) *Scope*. Any motion to amend may be denied where:

(i) The amendment does not respond to a ground of unpatentability involved in the trial; or

(ii) The amendment seeks to enlarge the scope of the claims of the patent or introduce new subject matter.

(3) *A reasonable number of substitute claims*. Any motion to amend may cancel a challenged claim or propose a reasonable number of substitute claims. The presumption is that only one substitute claim will be needed to replace each challenged claim, and it may be rebutted by a demonstration of need.

(b) *Content*. Any motion to amend claims must include a claim listing,

which claim listing may be contained in an appendix to the motion, show the changes clearly, and the motion must set forth:

(1) The support in the original disclosure of the patent for each proposed substitute claim; and

(2) The support in an earlier-filed disclosure for each claim for which the benefit of the filing date of the earlier-filed disclosure is sought.

(c) *Additional motion to amend*.

Except as provided in paragraph (f) of this section, any additional motion to amend may not be filed without Board authorization. An additional motion to amend may be authorized when there is a good cause showing or a joint request of the petitioner and the patent owner to materially advance a settlement. In determining whether to authorize such an additional motion to amend, the Board will consider whether a petitioner has submitted supplemental information after the time period set for filing a motion to amend in paragraph (a)(1)(i) of this section.

(d) *Burden of persuasion*. On any motion to amend:

(1) *Patent owner's burden*. A patent owner bears the burden of persuasion to show, by a preponderance of the evidence, that the motion to amend complies with the requirements of paragraphs (1) and (3) of 35 U.S.C. 316(d), as well as paragraphs (a)(2) and (3) and (b)(1) and (2) of this section;

(2) *Petitioner's burden*. A petitioner bears the burden of persuasion to show, by a preponderance of the evidence, that any proposed substitute claims are unpatentable; and

(3) *Exercise of Board discretion*.

Respective of paragraphs (d)(1) and (2) of this section, the Board may exercise its discretion to grant or deny a motion to amend or raise a new ground of unpatentability in connection with a proposed substitute claim. Where the Board exercises its discretion to raise a new ground of unpatentability in connection with a proposed substitute claim, the parties will have notice and an opportunity to respond. In the exercise of this discretion under this paragraph (d)(3), the Board may consider all evidence of record in the proceeding. The Board also may consider and make of record:

(i) Any evidence in a related proceeding before the Office and evidence that a district court can judicially notice; and

(ii) Information identified in response to a Board-initiated examination assistance. The Board may request the examination assistance at any time after any motion to amend has been filed if no petitioner opposes or all petitioners

cease to oppose the motion to amend, or if the Board determines that a deficient prior art challenge in an opposition to the motion to amend warrants a search for additional prior art. The Board's request for examination assistance and the results of such assistance will be made of record.

(4) *Determination of unpatentability.* Where the Board exercises its discretion under paragraph (d)(3) of this section, the Board must determine unpatentability based on a preponderance of the evidence of record.

(e) *Preliminary guidance.* (1) In its original motion to amend, a patent owner may request that the Board provide preliminary guidance setting forth the Board's initial, preliminary views on the original motion to amend, including whether the parties have shown a reasonable likelihood of meeting their respective burdens of persuasion as set forth under paragraphs (d)(1) and (2) of this section and notice of any new ground of unpatentability discretionarily raised by the Board under paragraph (d)(3) of this section. The Board may, upon issuing the preliminary guidance, determine whether to request the Chief Administrative Patent Judge to extend the final written decision deadline more than one year from the date a trial is instituted in accordance with § 42.100(c) and whether to extend any remaining deadlines under § 42.5(c)(2).

(2) Any preliminary guidance provided by the Board on an original motion to amend will not be binding on the Board in any subsequent decision in the proceeding, is not a "decision" under § 42.71(d) that may be the subject of a request for rehearing or Director Review, and is not a final agency action.

(3) In response to the Board's preliminary guidance, a patent owner may file a reply that responds to the petitioner's opposition to the motion to amend and/or the preliminary guidance, or a revised motion to amend as discussed in paragraph (f) of this section. The reply or revised motion to amend may be accompanied by new evidence. The petitioner may file a sur-reply that is limited to responding to the preliminary guidance and/or arguments made in the patent owner's reply brief. The sur-reply may not be accompanied by new evidence, but may comment on any new evidence filed with the reply and/or point to cross-examination testimony of a reply witness, if relevant to the arguments made in the reply brief.

(4) If a patent owner does not file either a reply or a revised motion to amend after receiving preliminary

guidance from the Board, the petitioner may file a reply to the preliminary guidance, but such a reply may only respond to the preliminary guidance and may not be accompanied by new evidence. If the petitioner files a reply in this context, a patent owner may file a sur-reply, but that sur-reply may only respond to the petitioner's reply and may not be accompanied by new evidence.

(f) *Revised motion to amend.* (1) Irrespective of paragraph (c) of this section, a patent owner may, without prior authorization from the Board, file one revised motion to amend after receiving an opposition to the original motion to amend or after receiving the Board's preliminary guidance. The Board may, upon receiving the revised motion to amend, determine whether to request the Chief Administrative Patent Judge to extend the final written decision deadline more than one year from the date a trial is instituted in accordance with § 42.100(c) and whether to extend any remaining deadlines under § 42.5(c)(2).

(2) A revised motion to amend must be responsive to issues raised in the preliminary guidance or in the petitioner's opposition to the motion to amend and must include one or more new proposed substitute claims in place of the previously presented substitute claims, where each new proposed substitute claim presents a new claim amendment.

(3) If a patent owner files a revised motion to amend, that revised motion to amend replaces the original motion to amend in the proceeding.

■ 3. Revise § 42.221 to read as follows:

§ 42.221 Amendment of the patent.

(a) *Motion to amend*—(1) *Original motion to amend.* A patent owner may file one original motion to amend a patent, but only after conferring with the Board.

(i) *Due date.* Unless a due date is provided in a Board order, an original motion to amend must be filed no later than the filing of a patent owner response.

(ii) *Request for preliminary guidance.* If a patent owner wishes to receive preliminary guidance from the Board as discussed in paragraph (e) of this section, the original motion to amend must include the patent owner's request for that preliminary guidance.

(2) *Scope.* Any motion to amend may be denied where:

(i) The amendment does not respond to a ground of unpatentability involved in the trial; or

(ii) The amendment seeks to enlarge the scope of the claims of the patent or introduce new subject matter.

(3) *A reasonable number of substitute claims.* Any motion to amend may cancel a challenged claim or propose a reasonable number of substitute claims. The presumption is that only one substitute claim will be needed to replace each challenged claim, and it may be rebutted by a demonstration of need.

(b) *Content.* Any motion to amend claims must include a claim listing, which claim listing may be contained in an appendix to the motion, show the changes clearly, and the motion must set forth:

(1) The support in the original disclosure of the patent for each proposed substitute claim; and

(2) The support in an earlier-filed disclosure for each claim for which the benefit of the filing date of the earlier-filed disclosure is sought.

(c) *Additional motion to amend.* Except as provided by paragraph (f) of this section, any additional motion to amend may not be filed without Board authorization. An additional motion to amend may be authorized when there is a good cause showing or a joint request of the petitioner and the patent owner to materially advance a settlement. In determining whether to authorize such an additional motion to amend, the Board will consider whether a petitioner has submitted supplemental information after the time period set for filing a motion to amend in paragraph (a)(1)(i) of this section.

(d) *Burden of persuasion.* On any motion to amend:

(1) *Patent owner's burden.* A patent owner bears the burden of persuasion to show, by a preponderance of the evidence, that the motion to amend complies with the requirements of paragraphs (1) and (3) of 35 U.S.C. 326(d), as well as paragraphs (a)(2) and (3) and (b)(1) and (2) of this section;

(2) *Petitioner's burden.* A petitioner bears the burden of persuasion to show, by a preponderance of the evidence, that any proposed substitute claims are unpatentable; and

(3) *Exercise of Board discretion.* Irrespective of paragraphs (d)(1) and (2) of this section, the Board may exercise its discretion to grant or deny a motion to amend or raise a new ground of unpatentability in connection with a proposed substitute claim. Where the Board exercises its discretion to raise a new ground of unpatentability in connection with a proposed substitute claim, the parties will have notice and an opportunity to respond. In the exercise of discretion under this

paragraph (d)(3), the Board may consider all evidence of record in the proceeding. The Board also may consider and may make of record:

(i) Any evidence in a related proceeding before the Office and evidence that a district court can judicially notice; and
(ii) Information identified in response to a Board-initiated examination assistance. The Board may request the examination assistance at any time after any motion to amend has been filed if no petitioner opposes or all petitioners cease to oppose the motion to amend, or if the Board determines that a deficient prior art challenge in an opposition to the motion to amend warrants a search for additional prior art. The Board's request for examination assistance and the results of such assistance will be made of record.

(4) *Determination of unpatentability.* Where the Board exercises its discretion under paragraph (d)(3) of this section, the Board must determine unpatentability based on a preponderance of the evidence of record.

(e) *Preliminary guidance.* (1) In its original motion to amend, a patent owner may request that the Board provide preliminary guidance setting forth the Board's initial, preliminary views on the original motion to amend, including whether the parties have shown a reasonable likelihood of meeting their respective burdens of persuasion as set forth under paragraphs (d)(1) and (2) of this section and notice of any new ground of unpatentability discretionarily raised by the Board under paragraph (d)(3) of this section. The Board may, upon issuing the preliminary guidance, determine whether to request the Chief Administrative Patent Judge extend the final written decision deadline more than one year from the date a trial is instituted in accordance with § 42.200(c) and whether to extend any remaining deadlines under § 42.5(c)(2).

(2) Any preliminary guidance provided by the Board on an original motion to amend will not be binding on the Board in any subsequent decision in the proceeding, is not a "decision" under § 42.71(d) that may be the subject of a request for rehearing or Director Review, and is not a final agency action.

(3) In response to the Board's preliminary guidance, a patent owner may file a reply that responds to the petitioner's opposition to the motion to amend and/or the preliminary guidance, or a revised motion to amend as discussed in paragraph (f) of this section. The reply or revised motion to amend may be accompanied by new

evidence. The petitioner may file a sur-reply that is limited to responding to the preliminary guidance and/or arguments made in the patent owner's reply brief. The sur-reply may not be accompanied by new evidence, but may comment on any new evidence filed with the reply and/or point to cross-examination testimony of a reply witness, if relevant to the arguments made in the reply brief.

(4) If a patent owner does not file either a reply or a revised motion to amend after receiving preliminary guidance from the Board, the petitioner may file a reply to the preliminary guidance, but such a reply may only respond to the preliminary guidance and may not be accompanied by new evidence. If the petitioner files a reply in this context, a patent owner may file a sur-reply, but that sur-reply may only respond to the petitioner's reply and may not be accompanied by new evidence.

(f) *Revised motion to amend.* (1) Irrespective of paragraph (c) of this section, a patent owner may, without prior authorization from the Board, file one revised motion to amend after receiving an opposition to the original motion to amend or after receiving the Board's preliminary guidance. The Board may, upon receiving the revised motion to amend, determine whether to request the Chief Administrative Patent Judge to extend the final written decision deadline more than one year from the date a trial is instituted in accordance with § 42.200(c) and whether to extend any remaining deadlines under § 42.5(c)(2).

(2) A revised motion to amend must be responsive to issues raised in the preliminary guidance or in the petitioner's opposition to the motion to amend, and must include one or more new proposed substitute claims in place of the previously presented substitute claims, where each new proposed substitute claim presents a new claim amendment.

(3) If a patent owner files a revised motion to amend, that revised motion to amend replaces the original motion to amend in the proceeding.

Katherine K. Vidal,

Under Secretary of Commerce for Intellectual Property and Director of the United States Patent and Trademark Office.

[FR Doc. 2024-21134 Filed 9-17-24; 8:45 am]

BILLING CODE 3510-16-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Office of Inspector General

42 CFR Part 1007

Performance Standards for Medicaid Fraud Control Units

AGENCY: Office of Inspector General (OIG), Department of Health and Human Services (HHS).

ACTION: Notice of final revised performance standards.

SUMMARY: This document sets forth OIG guidance regarding standards OIG will apply in assessing the performance of Medicaid Fraud Control Units (MFCUs or Units). Based on its experience in overseeing MFCUs, and after consultation with key stakeholders, OIG is revising the standards. These standards replace and supersede standards published on June 1, 2012.

DATES: Effective Date: These standards are effective upon publication.

FOR FURTHER INFORMATION CONTACT: Susan Burbach, OIG Office of Evaluation and Inspections, 202-731-8516, susan.burbach@oig.hhs.gov.

SUPPLEMENTARY INFORMATION:

I. Background

The mission of MFCUs is to investigate and prosecute (or refer for prosecution): (1) fraud committed by Medicaid providers, (2) fraud in the administration of the Medicaid program, and (3) patient abuse or neglect of residents in health care facilities and board and care facilities and of Medicaid enrollees in noninstitutional or other settings. MFCUs receive most of their funding from the Federal Government, and each MFCU operates as "a single, identifiable entity of State government." Each of the 50 States has a MFCU, as well as the District of Columbia, Puerto Rico, and the U.S. Virgin Islands. Except for four States, each MFCU is organized as part of the State Attorney General's office.

HHS-OIG has been delegated authority under sections 1903(q) and 1903(a)(6) of the Social Security Act (the Act) to certify and annually recertify Units as eligible for Federal financial participation (FFP), and to reimburse States for costs incurred in operating a MFCU. Through the certification and recertification process, OIG ensures that the Units meet the requirements for FFP set forth in section 1903(q) of the Act and in Federal regulations found at 42 CFR part 1007. As part of this process, OIG applies a series of performance standards, as required by section

1902(a)(61) of the Act, in determining the effectiveness of Units in carrying out required MFCU functions. The standards provide helpful guidance to MFCUs in their operations and assist OIG in its recertification process and periodic reviews of MFCUs. If OIG determines there are opportunities for a Unit to improve its adherence to the standards, OIG will work with the Unit to implement changes or may impose and monitor formal recommendations for improvement.

The standards reflect practices identified both by OIG and MFCUs that will improve MFCU effectiveness in fulfilling their oversight mission. OIG's goal, both with these standards and with OIG's other oversight activities, is to support each Unit in maximizing its effectiveness in fighting Medicaid fraud and protecting enrollees and other facility residents. We encourage Units to implement these standards in light of each State's organization and practices and to identify additional best practices that will improve their effectiveness.

OIG initially published the MFCU performance standards in 1994 (see 59 FR 49080, September 26, 1994) and revised the standards in 2012 (see 77 FR 32645, June 1, 2012). Based on its experience in overseeing MFCUs, OIG has updated the standards. The updated standards were developed in consultation with the National Association of Medicaid Fraud Control Units. OIG welcomes stakeholder feedback on the standards and may consider future revisions in response to feedback.

II. Standards for Assessing MFCU Performance

Performance Standard 1—Compliance With Requirements

A Unit conforms with applicable statutes, regulations, and policy directives, including:

A. Section 1903(q) of the Social Security Act, containing the basic requirements for operation of a MFCU;

B. Regulations for operation of a MFCU contained in 42 CFR part 1007;

C. Federal administrative requirements, cost principles, and audit requirements referenced in the notice of grant award terms and conditions;

D. Applicable State and Federal requirements and standards pertaining to information security as described in Standard 7F;

E. OIG policy transmittals as maintained on the OIG website; and

F. Terms and conditions of the notice of the grant award as maintained on the OIG website.

Performance Standard 2—Staffing

A Unit maintains reasonable staff levels and office locations in relation to the State's Medicaid program expenditures and has a salary and benefit package that allows the Unit to recruit and retain qualified staff. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit seeks to employ a total number of professional staff that is commensurate with the State's total Medicaid program expenditures and that enables the Unit to effectively investigate and prosecute (or refer for prosecution) an appropriate volume of case referrals and workload for both Medicaid fraud and abuse or neglect of patients or residents.

B. The Unit employs an appropriate mix and number of attorneys, auditors, investigators, and other professional staff that is commensurate with the State's total Medicaid program expenditures and that allows the Unit to effectively investigate and prosecute (or refer for prosecution) an appropriate volume of case referrals and workload for both Medicaid fraud and abuse or neglect of patients or residents.

C. The Unit, when warranted for the number of employees, designates one or more supervisory staff, such as senior investigators, to supervise the activities of individual investigators or other employees.

D. The Unit employs a number of administrative staff in relation to its overall size that allows the Unit to operate effectively.

E. The Unit, consistent with State requirements, offers a competitive salary and benefits package that permits the Unit to recruit and retain qualified professional staff in the region where the Unit operates.

F. To the extent that a Unit maintains multiple office locations, such locations are distributed throughout the State and are adequately staffed, commensurate with the volume of case referrals and workload for each location.

Performance Standard 3—Policies and Procedures

A Unit establishes written policies and procedures for its operations and ensures that staff are familiar with, and adhere to, policies and procedures. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit has written guidelines or manuals that contain current policies and procedures, consistent with these performance standards and any applicable laws, regulations, and policy

transmittals, for the investigation and (for those Units with prosecutorial authority) prosecution of Medicaid fraud and abuse and neglect of patients or residents.

B. The Unit adheres to current policies and procedures in its operations.

C. The Unit periodically reviews and updates its policies and procedures and creates and implements new policies and procedures as appropriate.

D. Policies and procedures also address, at a minimum, the following:

1. A timeframe for conducting periodic supervisory case reviews (see Standard 5C);

2. A process for referring cases, when appropriate, to Federal and State agencies;

3. Training standards for Unit employees;

4. A policy to ensure collaboration with Federal partners as required by 42 CFR 1007.11(e)(5); and

5. For those Units with sworn law enforcement agents, policies and procedures to address the exercise of the Unit's law enforcement authorities.

E. Written guidelines and manuals are readily available to all Unit staff, either electronically or in hard copy.

Performance Standard 4—Maintaining Adequate Referrals

A Unit takes steps to maintain an adequate volume and quality of referrals from the State Medicaid agency and other sources. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit takes steps to ensure that the State Medicaid agency, managed care organizations, and other pertinent entities refer to the Unit suspected provider fraud. Steps to ensure referrals may include having consistent communication and meetings with referring entities, providing feedback on the quality and volume of referrals, and training on the characteristics of an effective referral.

B. The Unit, unless prohibited by law, provides timely information to the referring entity when the entity requests information on the status of MFCU investigations, including when the Medicaid agency requests quarterly certification pursuant to 42 CFR 455.23(d)(3)(ii).

C. The Unit takes steps to encourage pertinent entities to refer complaints of patient or resident abuse or neglect to the Unit. Pertinent entities may include licensing and certification agencies, the State Long-Term Care Ombudsman, and adult protective services offices.

D. The Unit takes steps through public outreach or other means to encourage the public to make referrals to the Unit.

Performance Standard 5—Maintaining Case Progression

A Unit takes steps to maintain reasonable case progression and to complete cases within an appropriate timeframe based on the complexity of the cases. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. Each stage of an investigation and prosecution is completed within an appropriate timeframe.

B. Supervisors document the approval to open and close all investigations in the case files or electronic case management system.

C. Supervisors conduct periodic case reviews, consistent with a specific timeframe established in the Unit's policies and procedures. Case reviews include a review of case progress and ensure that staff complete each stage of an investigation and prosecution within an appropriate timeframe. The Unit maintains a record of these reviews in the case files or electronic case management system.

D. Significant delays to cases are documented and explained in the case files or electronic case management system.

E. The Unit pursues, when warranted for the case, the availability and use of appropriate technology, such as digital forensics, surveillance technology, and data analytics.

F. Unit staff are issued, or have appropriate access to, electronic devices and other technology to effectively perform their duties.

Performance Standard 6—Case Mix

A Unit's case mix, as practicable, covers all significant provider types and includes a balance of cases involving fraud and abuse or neglect of patients or residents. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit seeks to have a broad mix of cases among the significant provider types in the State and seeks to allocate resources among provider types based on levels of Medicaid expenditures or other objective measures of risk.

B. For those States that cover a significant number of Medicaid enrollees under managed care plans, the Unit investigates an appropriate number of cases arising in a managed care setting in its mix of cases.

C. The Unit investigates a balance of cases of fraud and cases of abuse or neglect of patients or residents, for those

Units with the responsibility and jurisdiction to investigate or prosecute abuse or neglect of patients or residents.

Performance Standard 7—Maintaining Case Information

A Unit maintains case files in an effective manner and uses an electronic case management system that allows efficient access to case information and other performance data. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit has an electronic case management system that manages and tracks case information from initiation to resolution.

B. Case file documentation is included within the Unit's electronic case management system unless particular circumstances (e.g., space limitations or security concerns) require the selective use of another storage system.

C. Case files or the electronic case management system include all relevant information, including investigative reports and data analyses.

D. Significant litigation documents, such as charging documents, judgments, and settlement agreements, are included in the case files.

E. Investigative reports, consistent with the Unit's policies and procedures, address all relevant aspects of the investigation and are accurate, clear, complete, concise, logically organized, timely, and objective.

F. The Unit's electronic case management system ensures the protection of sensitive data, case information, and confidential sources.

1. The Unit's information system, including the electronic case management system, complies with applicable State requirements pertaining to information security and breach reporting and with current cybersecurity standards and guidelines as maintained in either: (a) the applicable version of the U.S. Department of Justice FBI Criminal Justice Information Services Division (CJISD) "Security Policy," CJISD-ITS-DOC-08140-5.9, or (b) the applicable version of the National Institute of Standards and Technology (NIST), special publication, "Security and Privacy Controls for Information Systems and Organizations," NIST SP 800-53.

2. The Unit maintains documentation of its compliance with policies identified in subsection F1.

3. Any audits, reviews, or risk assessments of the Unit's information system are shared with OIG as a part of the Unit's annual recertification submission.

4. Any known security breaches are reported within 30 days of discovering the incident to the OIG Information Systems Security Officer, *isso@oig.hhs.gov*.

G. The Unit's electronic case management system allows for monitoring cases and for monitoring and reporting case outcome data to OIG as specified in 42 CFR 1007.17(a)(2).

H. The Unit stores nondocumentary evidence securely and records the evidence in an effective and accessible system.

Performance Standard 8—Cooperation With Federal and Other State Authorities on Fraud Cases

A Unit cooperates with OIG and other Federal and State agencies in the investigation and prosecution of Medicaid and other health care fraud. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit communicates on a regular basis with OIG and other Federal or State agencies investigating or prosecuting health care fraud in the State.

B. For criminal or civil cases that are regional or national in scope, the Unit collaborates with Federal agencies and other State MFCUs as appropriate.

C. The Unit cooperates and, as appropriate, coordinates with OIG's Office of Investigations and other Federal agencies on cases being pursued jointly, cases involving the same suspects or allegations, and cases that have been referred to the Unit by OIG or another Federal agency.

D. The Unit makes available, to the extent authorized by law and upon request by Federal investigators and prosecutors, all information in its possession concerning provider fraud or fraud in the administration of the Medicaid program.

E. For cases that require the granting of extended authority under 42 CFR 1007.11(a)(2) to investigate Medicare or other Federal health care fraud, the Unit seeks approval from the OIG regional Special Agent in Charge following procedures set by OIG or other relevant Federal Inspectors General under procedures set by those agencies.

F. For cases that have civil fraud potential, the Unit investigates and prosecutes such cases under State authority or refers such cases to OIG or the U.S. Department of Justice.

G. The Unit transmits to OIG, for purposes of program exclusions under section 1128 of the Social Security Act, all pertinent information on MFCU convictions, including joint cases. Pertinent information includes

judgments of conviction, charging documents, plea agreements, and sentencing orders. Information will be provided within 30 days of sentencing, or as soon as practicable if the Unit encounters delays in receiving the necessary information from the court, as required by 42 CFR 1007.11(g)(3).

H. The Unit reports qualifying cases, as defined by 45 CFR 60.5, to the National Practitioner Data Bank, or successor data bases, within 30 days of sentencing or other reportable action.

Performance Standard 9—Program Recommendations

A Unit makes statutory or programmatic recommendations, when warranted and appropriate, to the State government. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit, when warranted and appropriate, makes statutory recommendations to the State legislature to improve the operation or effectiveness of the Unit, including amendments to the enforcement provisions of the State code.

B. The Unit, when warranted and appropriate, makes other regulatory or administrative recommendations regarding program integrity issues to the State Medicaid agency and to other agencies responsible for Medicaid operations or funding.

C. The Unit monitors and maintains records regarding actions taken by the State legislature and the State Medicaid agency or other agencies in response to Unit recommendations.

Performance Standard 10—Agreement With Medicaid Agency

A Unit periodically reviews its memorandum of understanding (MOU) with the State Medicaid agency to ensure that the MOU reflects current practice, policy, and legal requirements. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The MOU complies with Federal regulations contained in 42 CFR 1007.9(d), “Relationship and agreement between Unit and Medicaid agency,” including: (1) an agreement for regularly scheduled meetings or communication with the Medicaid agency (and procedures for how the two agencies will coordinate their efforts), (2) procedures (as applicable) for managed care referrals as required by 42 CFR 438.608(a)(7), (3) a requirement that the Unit reviews the MOU at least every 5 years, and (4) an agreement that the Unit renegotiates the MOU as necessary to

ensure that it addresses current law and practice.

B. The MOU meets other current Federal legal requirements as contained in law or regulation, including 42 CFR 455.21, “Cooperation with State Medicaid fraud control units,” and 42 CFR 455.23, “Suspension of payments in cases of fraud.”

C. The MOU is consistent with current Federal and State policy, including any policies issued by OIG or the Centers for Medicare & Medicaid Services (CMS).

D. Consistent with Performance Standard 4, the MOU establishes a process to encourage the receipt of an adequate volume and quality of referrals to the Unit from the State Medicaid agency and, as applicable, from managed care organizations.

E. The MOU incorporates by reference CMS’s “Performance Standard for Referrals of Suspected Fraud from a Single State Agency to a Medicaid Fraud Control Unit.”

F. Consistent with 42 CFR 1007.11(c), the MOU specifies that overpayments will be referred to the State agency when the Unit is unable to recover such overpayments as a part of a fraud action.

Performance Standard 11—Fiscal Control

A Unit exercises proper fiscal control over Unit resources. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit promptly submits to OIG its preliminary budget estimates, proposed budget application, and Federal financial expenditure reports.

B. The Unit limits its requests for grant funding, including its requested staffing levels, to operational amounts and staffing levels that it reasonably expects to fulfill in the upcoming fiscal period.

C. The Unit makes reasonable efforts to employ the number of staff that is included in the Unit’s budget application request as approved by OIG.

D. The Unit maintains a property inventory that is updated regularly to reflect all equipment (as defined under 2 CFR 200.1) under the Unit’s control and includes all property that may contain personally identifiable information or sensitive information or may be a potential security concern, such as computing devices, weapons, and investigative tools (e.g., surveillance video or audio equipment).

E. The Unit maintains an effective time and attendance system and personnel activity records.

F. The Unit applies generally accepted accounting principles in its control of Unit funding.

G. The Unit employs a financial system in compliance with the standards for financial management systems contained in Federal grant administration requirements.

Performance Standard 12—Training

A Unit conducts training that aids the mission of the Unit. To determine whether a Unit meets this standard, OIG will consider the following performance indicators:

A. The Unit maintains a training plan for each professional discipline that includes an annual minimum number of training hours and that is at least as stringent as required for professional certification.

B. The Unit ensures that professional staff comply with their training plans and maintains records of completed training.

C. Professional certifications are maintained for all staff, including those that fulfill continuing education requirements.

D. The Unit participates in MFCU-related training, including training offered by OIG, other MFCUs, and other relevant organizations, as such training is available and as funding permits.

E. The Unit participates in cross-training with the fraud detection staff of the State Medicaid agency. As part of such training, Unit staff provide training on the elements of successful fraud referrals and receive training on the role and responsibilities of the State Medicaid agency. Unit training of Medicaid staff should be supplemented as appropriate with training for staff of managed care special investigations units.

Christi A. Grimm,
Inspector General.

[FR Doc. 2024–20416 Filed 9–17–24; 8:45 am]

BILLING CODE P

SURFACE TRANSPORTATION BOARD

49 CFR Part 1002

[Docket No. EP 542 (Sub-No. 32)]

Fees for Services Performed in Connection With Licensing and Related Services—2024 Update

AGENCY: Surface Transportation Board.

ACTION: Final rule.

SUMMARY: The Board updates for 2024 the fees that the public must pay to file certain cases and pleadings with the Board. Pursuant to this update, 95 of the

Board's 136 fees will increase, and 41 fees will remain at their current levels.

DATES: This final rule is effective October 18, 2024.

FOR FURTHER INFORMATION CONTACT:

Laura Mizner, (202) 245–0318, or Andrea Pope-Matheson, (202) 245–0363. If you require an accommodation under the Americans with Disabilities Act, please call (202) 245–0245.

SUPPLEMENTARY INFORMATION: The Board's regulations at 49 CFR 1002.3(a) provide for an annual update of the Board's entire user-fee schedule. Fees are generally revised based on the cost study formula set forth at 49 CFR 1002.3(d), which looks to changes in salary costs, publication costs, and Board overhead cost factors. Applying that formula, 95 of the Board's 136 fees will be increased and 41 will remain at their current levels.

Additional information is contained in the Board's decision. To obtain a free copy of the full decision, visit the Board's website at www.stb.gov or call

(202) 245–0245. If you require an accommodation under the Americans with Disabilities Act, please call (202) 245–0245.

List of Subjects in 49 CFR Part 1002

Administrative practice and procedure, Common carriers, Freedom of information.

Decided: September 13, 2024.

By the Board, Board Members Fuchs, Hedlund, Primus, and Schultz.

Jeffrey Herzig,
Clearance Clerk.

For the reasons set forth in the preamble, the Surface Transportation Board amends 49 CFR part 1002 as follows:

PART 1002—FEES

■ 1. The authority citation for part 1002 continues to read as follows:

Authority: 5 U.S.C. 552(a)(4)(A), (a)(6)(B), and 553; 31 U.S.C. 9701; and 49 U.S.C. 1321. Section 1002.1(f)(11) is also issued under 5 U.S.C. 5514 and 31 U.S.C. 3717.

■ 2. Section 1002.1 is amended by revising paragraphs (a) through (c) to read as follows:

§ 1002.1 Fees for records search, review, copying, certification, and related services.

* * * * *

(a) Certificate of the Records Officer, \$25.00.

(b) Services involved in examination of tariffs or schedules for preparation of certified copies of tariffs or schedules or extracts therefrom at the rate of \$54.00 per hour.

(c) Services involved in checking records to be certified to determine authenticity, including clerical work, etc. incidental thereto, at a rate of \$37.00 per hour.

* * * * *

■ 3. Section 1002.2 is amended by revising paragraph (f) to read as follows:

§ 1002.2 Filing fees.

* * * * *

(f) *Schedule of filing fees.*

Type of proceeding	Fee
PART I: Non-Rail Applications or Proceedings to Enter Into a Particular Financial Transaction or Joint Arrangement	
(1) An application for the pooling or division of traffic	\$6,500.
(2)(i) An application involving the purchase, lease, consolidation, merger, or acquisition of control of a motor carrier of passengers under 49 U.S.C. 14303.	\$2,900.
(ii) A petition for exemption under 49 U.S.C. 13541 (other than a rulemaking) filed by a non-rail carrier not otherwise covered.	\$4,500.
(iii) A petition to revoke an exemption filed under 49 U.S.C. 13541(d)	\$3,800.
(3) An application for approval of a non-rail rate association agreement. 49 U.S.C. 13703	\$40,600.
(4) An application for approval of an amendment to a non-rail rate association agreement:	
(i) Significant amendment	\$6,700.
(ii) Minor amendment	\$150.
(5) An application for temporary authority to operate a motor carrier of passengers. 49 U.S.C. 14303(i)	\$700.
(6) A notice of exemption for transaction within a motor passenger corporate family that does not result in adverse changes in service levels, significant operational changes, or a change in the competitive balance with motor passenger carriers outside the corporate family.	\$2,300.
(7)–(10) [Reserved]	
PART II: Rail Licensing Proceedings other than Abandonment or Discontinuance Proceedings	
(11)(i) An application for a certificate authorizing the extension, acquisition, or operation of lines of railroad. 49 U.S.C. 10901.	\$10,600.
(ii) Notice of exemption under 49 CFR 1150.31 through 1150.35	\$2,500.
(iii) Petition for exemption under 49 U.S.C. 10502	\$18,400.
(12)(i) An application involving the construction of a rail line	\$109,900.
(ii) A notice of exemption involving construction of a rail line under 49 CFR 1150.36	\$2,500.
(iii) A petition for exemption under 49 U.S.C. 10502 involving construction of a rail line	\$109,900.
(iv) A request for determination of a dispute involving a rail construction that crosses the line of another carrier under 49 U.S.C. 10902(d).	\$350.
(13) A Feeder Line Development Program application filed under 49 U.S.C. 10907(b)(1)(A)(i) or 10907(b)(1)(A)(ii)	\$2,600.
(14)(i) An application of a class II or class III carrier to acquire an extended or additional rail line under 49 U.S.C. 10902 ..	\$9,000.
(ii) Notice of exemption under 49 CFR 1150.41 through 1150.45	\$2,500.
(iii) Petition for exemption under 49 U.S.C. 10502 relating to an exemption from the provisions of 49 U.S.C. 10902	\$9,600.
(15) A notice of a modified certificate of public convenience and necessity under 49 CFR 1150.21 through 1150.24	\$2,400.
(16) An application for a land-use-exemption permit for a facility existing as of October 16, 2008 under 49 U.S.C. 10909 ..	\$8,800.
(17) An application for a land-use-exemption permit for a facility not existing as of October 16, 2008 under 49 U.S.C. 10909.	\$31,100.
(18)–(20) [Reserved]	

Type of proceeding	Fee
PART III: Rail Abandonment or Discontinuance of Transportation Services Proceedings	
(21)(i) An application for authority to abandon all or a portion of a line of railroad or discontinue operation thereof filed by a railroad (except applications filed by Consolidated Rail Corporation pursuant to the Northeast Rail Service Act [Sub-title E of Title XI of Pub. L. 97–35], bankrupt railroads, or exempt abandonments).	\$32,600.
(ii) Notice of an exempt abandonment or discontinuance under 49 CFR 1152.50	\$5,200.
(iii) A petition for exemption under 49 U.S.C. 10502	\$9,200.
(22) An application for authority to abandon all or a portion of a line of a railroad or operation thereof filed by Consolidated Rail Corporation pursuant to Northeast Rail Service Act.	\$700.
(23) Abandonments filed by bankrupt railroads	\$2,800.
(24) A request for waiver of filing requirements for abandonment application proceedings	\$2,600.
(25) An offer of financial assistance under 49 U.S.C. 10904 relating to the purchase of or subsidy for a rail line proposed for abandonment.	\$2,300.
(26) A request to set terms and conditions for the sale of or subsidy for a rail line proposed to be abandoned	\$33,400.
(27) (i) Request for a trail use condition in an abandonment proceeding under 16 U.S.C. 1247(d)	\$350.
(ii) A request to extend the period to negotiate a trail use agreement	\$650.
(28)–(35) [Reserved]	
PART IV: Rail Applications to Enter Into a Particular Financial Transaction or Joint Arrangement	
(36) An application for use of terminal facilities or other applications under 49 U.S.C. 11102	\$27,800.
(37) An application for the pooling or division of traffic. 49 U.S.C. 11322	\$15,000.
(38) An application for two or more carriers to consolidate or merge their properties or franchises (or a part thereof) into one corporation for ownership, management, and operation of the properties previously in separate ownership. 49 U.S.C. 11324:	
(i) Major transaction	\$2,195,500.
(ii) Significant transaction	\$439,100.
(iii) Minor transaction	\$10,300.
(iv) Notice of an exempt transaction under 49 CFR 1180.2(d)	\$2,300.
(v) Responsive application	\$10,300.
(vi) Petition for exemption under 49 U.S.C. 10502	\$13,700.
(vii) A request for waiver or clarification of regulations filed in a major financial proceeding as defined at 49 CFR 1180.2(a).	\$8,100.
(39) An application of a non-carrier to acquire control of two or more carriers through ownership of stock or otherwise. 49 U.S.C. 11324:	
(i) Major transaction	\$2,195,500.
(ii) Significant transaction	\$439,100.
(iii) Minor transaction	\$10,300.
(iv) A notice of an exempt transaction under 49 CFR 1180.2(d)	\$1,800.
(v) Responsive application	\$10,300.
(vi) Petition for exemption under 49 U.S.C. 10502	\$13,700.
(vii) A request for waiver or clarification of regulations filed in a major financial proceeding as defined at 49 CFR 1180.2(a).	\$8,100.
(40) An application to acquire trackage rights over, joint ownership in, or joint use of any railroad lines owned and operated by any other carrier and terminals incidental thereto. 49 U.S.C. 11324:	
(i) Major transaction	\$2,195,500.
(ii) Significant transaction	\$439,100.
(iii) Minor transaction	\$10,300.
(iv) Notice of an exempt transaction under 49 CFR 1180.2(d)	\$1,600.
(v) Responsive application	\$10,300.
(vi) Petition for exemption under 49 U.S.C. 10502	\$13,700.
(vii) A request for waiver or clarification of regulations filed in a major financial proceeding as defined at 49 CFR 1180.2(a).	\$8,100.
(41) An application of a carrier or carriers to purchase, lease, or contract to operate the properties of another, or to acquire control of another by purchase of stock or otherwise. 49 U.S.C. 11324:	
(i) Major transaction	\$2,195,500.
(ii) Significant transaction	\$439,100.
(iii) Minor transaction	\$10,300.
(iv) Notice of an exempt transaction under 49 CFR 1180.2(d)	\$1,900.
(v) Responsive application	\$10,300.
(vi) Petition for exemption under 49 U.S.C. 10502	\$9,600.
(vii) A request for waiver or clarification of regulations filed in a major financial proceeding as defined at 49 CFR 1180.2(a).	\$8,100.
(42) Notice of a joint project involving relocation of a rail line under 49 CFR 1180.2(d)(5)	\$3,300.
(43) An application for approval of a rail rate association agreement. 49 U.S.C. 10706	\$102,800.
(44) An application for approval of an amendment to a rail rate association agreement. 49 U.S.C. 10706:	
(i) Significant amendment	\$18,900.
(ii) Minor amendment	\$150.
(45) An application for authority to hold a position as officer or director under 49 U.S.C. 11328	\$1,100.
(46) A petition for exemption under 49 U.S.C. 10502 (other than a rulemaking) filed by rail carrier not otherwise covered ..	\$11,700.
(47) National Railroad Passenger Corporation (Amtrak) conveyance proceeding under 45 U.S.C. 562	\$350.
(48) National Railroad Passenger Corporation (Amtrak) compensation proceeding under section 402(a) of the Rail Passenger Service Act.	\$350.

Type of proceeding	Fee
(49)–(55) [Reserved]	
PART V: Formal Proceedings	
(56) A formal complaint alleging unlawful rates or practices of carriers:	
(i) A formal complaint filed under the coal rate guidelines (Stand-Alone Cost Methodology) alleging unlawful rates and/or practices of rail carriers under 49 U.S.C. 10704(c)(1).	\$350.
(ii) A formal complaint involving rail maximum rates filed under the Simplified-SAC methodology	\$350.
(iii) A formal complaint involving rail maximum rates filed under the Three Benchmark methodology	\$150.
(iv) A formal complaint involving rail maximum rates filed under the Final Offer Rate Review procedure	\$150.
(v) All other formal complaints (except competitive access complaints)	\$350.
(vi) Competitive access complaints	\$150.
(vii) A request for an order compelling a rail carrier to establish a common carrier rate	\$350.
(57) A complaint seeking or a petition requesting institution of an investigation seeking the prescription or division of joint rates or charges. 49 U.S.C. 10705.	\$13,000.
(58) A petition for declaratory order:	
(i) A petition for declaratory order involving a dispute over an existing rate or practice which is comparable to a complaint proceeding.	\$1,000.
(ii) All other petitions for declaratory order	\$1,400.
(59) An application for shipper antitrust immunity. 49 U.S.C. 10706(a)(5)(A)	\$10,200.
(60) Labor arbitration proceedings	\$350.
(61)(i) An appeal of a Surface Transportation Board decision on the merits or petition to revoke an exemption pursuant to 49 U.S.C. 10502(d).	\$350.
(ii) An appeal of a Surface Transportation Board decision on procedural matters except discovery rulings	\$550.
(62) Motor carrier undercharge proceedings	\$350.
(63)(i) Expedited relief for service inadequacies: A request for expedited relief under 49 U.S.C. 11123 and 49 CFR part 1146 for service emergency.	\$350.
(ii) Expedited relief for service inadequacies: A request for temporary relief under 49 U.S.C. 10705 and 11102, and 49 CFR part 1147 for service inadequacy.	\$350.
(64) A request for waiver or clarification of regulations except one filed in an abandonment or discontinuance proceeding, or in a major financial proceeding as defined at 49 CFR 1180.2(a).	\$850.
(65)–(75) [Reserved]	
PART VI: Informal Proceedings	
(76) An application for authority to establish released value rates or ratings for motor carriers and freight forwarders of household goods under 49 U.S.C. 14706.	\$1,800.
(77) An application for special permission for short notice or the waiver of other tariff publishing requirements	\$150.
(78)(i) The filing of tariffs, including supplements, or contract summaries	\$1. per page. (\$36. min. charge.)
(ii) The filing of water carrier annual certifications	\$36.
(79) Special docket applications from rail and water carriers:	
(i) Applications involving \$25,000 or less	\$75.
(ii) Applications involving over \$25,000	\$200.
(80) Informal complaint about rail rate applications	\$900.
(81) Tariff reconciliation petitions from motor common carriers:	
(i) Petitions involving \$25,000 or less	\$75.
(ii) Petitions involving over \$25,000	\$200.
(82) Request for a determination of the applicability or reasonableness of motor carrier rates under 49 U.S.C. 13710(a)(2) and (3).	\$350.
(83) Filing of documents for recordation. 49 U.S.C. 11301 and 49 CFR 1177.3(c).	\$60. per document.
(84) Informal opinions about rate applications (all modes)	\$350.
(85) A railroad accounting interpretation	\$1,600.
(86)(i) A request for an informal opinion not otherwise covered	\$2,200.
(ii) A proposal to use on a voting trust agreement pursuant to 49 CFR part 1013 and 49 CFR 1180.4(b)(4)(iv) in connection with a major control proceeding as defined at 49 CFR 1180.2(a).	\$7,500.
(iii) A request for an informal opinion on a voting trust agreement pursuant to 49 CFR 1013.3(a) not otherwise covered.	\$750.
(87) Arbitration of certain disputes subject to the statutory jurisdiction of the Surface Transportation Board under 49 CFR part 1108:	
(i) Complaint	\$75.
(ii) Answer (per defendant), Unless Declining to Submit to Any Arbitration	\$75.
(iii) Third Party Complaint	\$75.
(iv) Third Party Answer (per defendant), Unless Declining to Submit to Any Arbitration	\$75.
(v) Appeals of Arbitration Decisions or Petitions to Modify or Vacate an Arbitration Award	\$150.
(88) Basic fee for STB adjudicatory services not otherwise covered	\$350.
(89)–(95) [Reserved]	
PART VII: Services	
(96) Messenger delivery of decision to a railroad carrier's Washington, DC agent	\$47. per delivery.
(97) Request for service or pleading list for proceedings	\$36. per list.
(98) Processing the paperwork related to a request for the Carload Waybill Sample to be used in an STB or State proceeding that:	

Type of proceeding	Fee
(i) Annual request does not require a Federal Register (FR) notice:	
(A) Set cost portion	\$200.
(B) Sliding cost portion	\$69. per party.
(ii) Annual request does require a FR notice:	
(A) Set cost portion	\$500.
(B) Sliding cost portion	\$69. per party.
(iii) Quarterly request does not require a FR notice:	
(A) Set cost portion	\$60.
(B) Sliding cost portion	\$17. per party.
(iv) Quarterly request does require a FR notice:	
(A) Set cost portion	\$245.
(B) Sliding cost portion	\$17. per party.
(v) Monthly request does not require a FR notice:	
(A) Set cost portion	\$20.
(B) Sliding cost portion	\$5. per party.
(vi) Monthly request does require a FR notice:	
(A) Set cost portion	\$182.
(B) Sliding cost portion	\$5. per party.
(99)(i) Application fee for the STB's Practitioners' Exam	\$250.
(ii) Practitioners' Exam Information Package	\$25.
(100) Carload Waybill Sample data:	
(i) Requests for Public Use File for all years prior to the most current year Carload Waybill Sample data available, provided on CD-R.	\$250. per year.
(ii) Specialized programming for Waybill requests to the Board	\$148. per hour.

* * * *

[FR Doc. 2024-21270 Filed 9-17-24; 8:45 am]

BILLING CODE 4915-01-P

DEPARTMENT OF COMMERCE**National Oceanic and Atmospheric Administration****50 CFR Part 622****[Docket No. 240910-0234]****RIN 0648-BM98****Fisheries of the Caribbean, Gulf of Mexico, and South Atlantic; Reef Fish Fishery of the Gulf of Mexico; Lane Snapper Catch Limits**

AGENCY: National Marine Fisheries Service (NMFS), National Oceanic and Atmospheric Administration (NOAA), Commerce.

ACTION: Final rule.

SUMMARY: NMFS issues regulations to implement management measures described in an abbreviated framework action under the Fishery Management Plan for the Reef Fish Resources of the Gulf of Mexico (FMP) as prepared by the Gulf of Mexico Fishery Management Council (Council). This final rule modifies the Gulf of Mexico (Gulf) lane snapper catch limits. The purpose of this final rule is to modify the Gulf lane snapper catch limits based on the best scientific information available. This final rule also revises reporting and compliance requirements for Gulf reef fish commercial permit holders using vessel monitoring systems (VMS).

DATES: This final rule is effective October 18, 2024.

ADDRESSES: Electronic copies of the abbreviated framework action, which includes a Regulatory Flexibility Act (RFA) analysis and a regulatory impact review, may be obtained from the Southeast Regional Office website at <https://www.fisheries.noaa.gov/action/gulf-mexico-lane-snapper-catch-limits-abbreviated-framework>.

Written comments regarding the burden hour estimates or any other aspects of the collection of information requirements contained in this final rule may be submitted at any time by email to Carolyn Sramek, NMFS Southeast Regional Office, carolyn.sramek@noaa.gov or to www.reginfo.gov/public/do/PRAMain.

FOR FURTHER INFORMATION CONTACT: Dan Luers, NMFS Southeast Regional Office, telephone: 727-824-5305, email: daniel.luers@noaa.gov.

SUPPLEMENTARY INFORMATION: NMFS, with the advice of the Council, manages the Gulf reef fish fishery, which includes lane snapper, under the FMP. The FMP was prepared by the Council, approved by the Secretary of Commerce, and is implemented by NMFS through regulations at 50 CFR part 622 under the authority of the Magnuson-Stevens Fishery Conservation and Management Act (Magnuson-Stevens Act).

Background

The Magnuson-Stevens Act requires NMFS, with the advice from the regional fishery management councils, to prevent overfishing and achieve, on a continuing basis, the optimum yield

(OY) from federally managed fish stocks. These mandates are intended to ensure fishery resources are managed for the greatest overall benefit to the Nation, particularly with respect to providing food production and recreational opportunities and protecting marine ecosystems.

On June 17, 2024, NMFS published a proposed rule for the abbreviated framework action and requested public comment (89 FR 51295). Comments received on the proposed rule are summarized and responded to in the Comments and Responses section of this final rule.

Unless otherwise noted, all weights in this final rule are in round weight.

Lane snapper occur in estuaries and shelf waters of the Gulf and are particularly abundant off south and southwest Florida. Lane snapper in the Gulf exclusive economic zone are managed as a single stock, with a combined annual catch limit (ACL) for the commercial and recreational sectors that is set equal to the acceptable biological catch (ABC). The fishing season is open year-round, January 1 through December 31 unless a closure is required to constrain landings to the ACL. Currently, the lane snapper overfishing limit (OFL) is 1,053,834 pounds (lb) (478,011 kilograms (kg)), and the ABC is 1,028,973 lb (466,734 kg). These catch limits are based on the results of an update to the Southeast Data, Assessment, and Review 49 (SEDAR 49) that was completed in 2019 and used recreational landings estimates generated by the Marine Recreational Information Program (MRIP) Fishing

Effort Survey (FES) instead of the previous MRIP-Coastal Household Telephone Survey.

This final rule increases the lane snapper OFL, ABC, and ACL based on the results of the SEDAR 49 interim analysis (IA) and recommendations from the Council's Scientific and Statistical Committee (SSC). The SEDAR 49 IA included updated landings and dead discards information as well as an updated catch-per-unit-effort index for the headboat fleet.

Management Measures Contained in the Abbreviated Framework Action and This Final Rule

The abbreviated framework action and final rule increase the lane snapper OFL from 1,053,834 lb (478,011 kg) to 1,116,331 lb (506,359 kg), increase the ABC from 1,028,973 lb (466,734 kg) to 1,088,873 lb (493,904 kg), and set the stock ACL equal to the ABC at 1,088,873 lb (493,904 kg). This results in an overall increase in the allowable harvest of 59,900 lb (27,170 kg).

Changes to Regulations Not Associated With the Abbreviated Framework Action

For fishermen with a valid Federal commercial permit to harvest Gulf reef fish, NMFS is revising the process for requesting a power-down exemption to the VMS requirement. NMFS is also removing the requirement that the vessel owner or operator certify compliance with the proper installation and activation of a VMS unit. NMFS expects both of these changes to reduce the burden on individual fishermen and NMFS, and to increase enforceability.

Regulations at 50 CFR 622.28(a) require the owner or operator of a vessel that has been issued a commercial permit for Gulf reef fish to maintain an operational satellite-linked VMS unit on the vessel that transmits the location of the vessel on a regular and consistent basis. Regulations at 50 CFR 622.28(d) allow an owner or operator to power down the VMS unit if the vessel will be continuously out of the water or in port more than 72 consecutive hours. The regulations at 50 CFR 622.28(d) also specify the process for requesting this power-down exemption, which includes obtaining a letter of exemption from the NMFS Office of Law Enforcement (OLE), filing a report through the VMS terminal prior to each power down, and entering the power-down code in the VMS terminal prior to each power down.

When VMS was first required, the process to request a power-down exemption was not included in the regulations; instead, the regulations

referred to the NOAA Enforcement Draft VMS Requirements that were included in Appendix E to Amendment 18A to the FMP (71 FR 45248, August 9, 2006). When NMFS revised the VMS regulations in 2007, NMFS added to the regulations the process for requesting a power-down exemption (72 FR 73270, December 27, 2007). Technology now allows for use of an online form and immediate authorization by NMFS.

Therefore, NMFS is modifying the process for submitting the power-down exemption, including how and what information is collected. The owner or operator of the permitted vessel will use an online form to request the VMS power-down exemption. The information requested on the online form is similar to the current form. The only change to the data collected is a field for an email address for the person making the request and their self-identification as the vessel owner or operator. NMFS expects the online form to allow for faster communication and approval for the requester, and to streamline the administrative process by eliminating the need for manual data entry. NMFS will use the self-identification to confirm that the submitter is authorized to submit the request as the vessel owner or operator.

If all of the required information is provided, the authorization for the power-down exemption will be provided automatically as a visible display soon after the time of submission, and will also be sent to the email address provided by the requester and, if different from the requester, to the permit holder's email address if NMFS was provided that information as part of the permit holder's previous permit application. Vessel owners and operators will no longer send an email from the VMS unit on the vessel to NMFS OLE or enter the power-down code using the VMS declaration form on the VMS terminal.

A power-down exemption will be valid until the expiration date requested, which NMFS will limit to not more than 1 year from the authorization date. A new request for a power-down exemption would be required after the completion of the previous authorization for any subsequent time period. There is no limit on the number of exemptions that can be requested.

If a vessel owner or operator wants to end a power-down exemption before the expiration date, the authorization would end automatically when the vessel owner or operator submits a commercial trip declaration. Alternatively, the vessel owner or operator may contact NMFS OLE to end the power-down exemption.

In addition to the changes to the power-down exemption regulations, NMFS is removing the current requirements at 50 CFR 622.28(f)(1) through (3) for a vessel owner or operator to submit a form certifying that a qualified marine electrician has installed and activated a NMFS-approved VMS unit on the vessel. The intent of the form, "Vessel Monitoring System (VMS) Installation and Activation Certification for the Reef Fish Fishery of the Gulf of Mexico," was to provide NMFS with additional assurance that a vessel owner or operator is compliant with the requirements to install and activate an approved VMS unit. However, NMFS has determined that the compliance form is overly burdensome and has little utility. To accomplish the same purpose as the form, NMFS is adding a checkbox certification to the permit application that is required when a commercial reef fish permit is renewed or transferred. In addition, NMFS can detect whether a unit is operational. The existing requirement for a qualified marine technician to install the VMS unit will remain in § 622.28(f).

Comments and Responses

NMFS received five comment submissions in response to the proposed rule that NMFS published for the abbreviated framework action. Three were in opposition to increasing the lane snapper catch limits and one expressed support for the proposed VMS changes. One comment was outside the scope of the abbreviated framework action and proposed rule, suggesting increased regulation of commercial shrimp boats to address lane snapper bycatch. The comments opposing the increase in the lane snapper catch limits are summarized below, followed by NMFS's response.

Comment 1: It is not appropriate to increase the lane snapper catch limits at this time, especially given recent red tide events that have resulted in fish kills. The population should be allowed to grow for 3–5 years before considering a small increase.

Response: NMFS disagrees that it is not appropriate to increase the lane snapper catch limits at this time. The most recent interim analysis (SEDAR 49 IA) included data through 2022 and indicated that an increase in the Gulf lane snapper stock ACL would not negatively impact the stock. Despite increased fishing pressure and red tide events in recent years, the SEDAR 49 IA found that the lane snapper population was steady and could support a small amount of additional harvest. The Council's SSC reviewed the results of

the SEDAR 49 IA and recommended a 5.8 percent increase to the ABC of 59,900 lb (27,270 kg). The Council accepted the SSC's advice and recommended setting the stock ACL equal to the ABC. NMFS agrees that this increase, which is based on the best scientific information available, is appropriate at this time.

Classification

Pursuant to sections 304(b)(3) and 305(d) of the Magnuson-Stevens Act, NMFS issues this final rule, which provides the specific authority and procedure for implementing this action. Section 304(b)(3) authorizes NMFS to issue final regulations prepared and recommended by the Council under section 303(c). Section 305(d) authorizes NMFS to promulgate regulations necessary to carry out an FMP. The NMFS Assistant Administrator has determined that this final rule is consistent with the abbreviated framework action, the FMP, other provisions of the Magnuson-Stevens Act, and other applicable law.

This final rule has been determined to be not significant for purposes of Executive Order 12866. The Magnuson-Stevens Act provides the legal basis for this final rule. No duplicative, overlapping, or conflicting Federal rules have been identified. A description of this final rule, why it is being implemented, and the purposes of this final rule are contained in the **SUMMARY** and **SUPPLEMENTARY INFORMATION** sections of this preamble.

The first objective of this final rule is to update existing Gulf lane snapper catch limits based on the best scientific information available to achieve OY for Gulf lane snapper while preventing overfishing, consistent with the requirements of the Magnuson-Stevens Act. The second objective of this final rule is to revise VMS-related reporting requirements for commercial Gulf reef fish permit holders to be consistent with NMFS OLE's current practices and to remove the requirement to provide the certification of installation and activation.

The Chief Counsel for Regulation of the Department of Commerce certified to the Chief Counsel for Advocacy of the Small Business Administration during the proposed rule stage that this action would not have a significant economic impact on a substantial number of small entities. The factual basis for the certification was published in the proposed rule and is not repeated here. No public comments were received regarding this certification. NMFS did not receive any comments from the U.S. Small Business Administration's Office

of Advocacy or the public regarding the economic analysis in the abbreviated framework action or the certification in the proposed rule. As a result, no changes to this final rule were made in response to public comments. Because this final rule is not expected to have a significant economic impact on a substantial number of small entities, a final regulatory flexibility analysis is not required and none has been prepared.

This final rule contains a collection-of-information requirement subject to review and approval by the OMB under the Paperwork Reduction Act (PRA). This final rule changes the existing requirements for the collection of information under OMB Control Number 0648-0544, Southeast Region Vessel Monitoring System and Related Requirements by revising the process for fishermen to request a VMS power-down exemption, including how and what information is collected, and the valid period of an exemption. This final rule also changes the existing requirements by removing an existing requirement for a vessel owner or operator to submit a form certifying that a qualified marine electrician has installed and activated a NMFS-approved VMS unit on the vessel, and that NMFS personnel have verified its operation.

The revised VMS power-down exemption would apply to all 814 actively permitted Gulf reef fish vessels, and NMFS expects the proposed VMS power-down exemption changes to decrease the number of respondents per year and decrease the number of annual responses. The annual fleet-wide time burden associated with this revision would be increased from 12.5 hours to 21.75 hours, or an increase of 9.25 total burden hours. Thus, the public reporting burden per vessel is expected to increase on average by approximately 0.01 hours per year and results in an increase in opportunity cost of approximately \$0.32 per business per year. This includes the time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information.

The revised VMS Installation and Activation Certification requirement would also apply to all 814 actively permitted Gulf reef fish vessels, and NMFS expects the removal of the VMS Installation and Activation Certification for the Reef Fish Fishery of the Gulf of Mexico to decrease the number of respondents per year and decrease the number of annual responses. The annual fleet-wide time burden associated with this revision would be

decreased from 593.3 hours to 2.67 hours, or a reduction of 590.63 total burden hours. Thus, the total decrease in time burden on average per vessel is approximately 0.73 hours per year and results in a reduction in opportunity cost of approximately \$20.20 per business per year. This includes the time for reviewing instructions, searching existing data sources, gathering, and maintaining the data needed, and completing and reviewing the collection of information.

NMFS invites the general public and other Federal agencies to comment on proposed and continuing information collections, which helps NMFS assess the impact of our information collection requirements and minimize the public's reporting burden. Written comments and recommendations for this information collection should be submitted on the following website: www.reginfo.gov/public/do/PRAMain. Find this particular information collection by using the search function and entering the title of the collection or the OMB Control Number 0648-0544.

Notwithstanding any other provision of the law, no person is required to respond to, nor shall any person be subject to a penalty for failure to comply with, a collection of information subject to the requirements of the PRA, unless that collection of information displays a currently valid OMB Control Number.

List of Subjects in 50 CFR Part 622

Commercial, Fisheries, Fishing, Gulf, Lane snapper, Recreational, Reef fish, Vessel monitoring systems.

Dated: September 12, 2024.

Samuel D. Rauch III,

Deputy Assistant Administrator for Regulatory Programs, National Marine Fisheries Service.

For the reasons set out in the preamble, NMFS amends 50 CFR part 622 as follows:

PART 622—FISHERIES OF THE CARIBBEAN, GULF OF MEXICO, AND SOUTH ATLANTIC

■ 1. The authority citation for part 622 continues to read as follows:

Authority: 16 U.S.C. 1801 *et seq.*

■ 2. In § 622.28, revise paragraphs (d) and (f) to read as follows:

§ 622.28 Vessel monitoring systems (VMSs).

* * * * *

(d) *Power-down exemptions.* An owner or operator of a vessel subject to the requirement to have a VMS operating at all times as specified in paragraph (a) of this section can be

exempted from that requirement and may power down the required VMS unit as specified in the following provisions.

(1) The vessel will be continuously out of the water or in port, as defined in paragraph (c) of this section, for more than 72 consecutive hours.

(2) The owner or operator of the vessel requests and obtains authorization from NMFS OLE to power-down the VMS unit on the same vessel. VMS units must remain on and positioning until the vessel owner or operator receives such authorization. A request for a power-down exemption must be completed through a NMFS website. The request must provide the specified information, such as, the identity of person making the request, vessel owner, vessel identification, and the reason for an exemption. Authorization for the power-down is displayed on the website after submission of all required information and is transmitted by email to the requester and the vessel owner, if different from the requester. After receipt of the authorization, the VMS

unit may be turned off for the approved time period.

(3) If a vessel with an approved VMS power-down exemption submits a trip declaration, as specified in paragraph (e) of this section, before the power-down exemption expires, the power-down exemption will be void, and the vessel is required to have a VMS operating at all times as specified in paragraph (a) of this section. Authorization for a new power-down exemption will be required before the vessel can subsequently power-down the VMS unit.

(4) An approved VMS power-down exemption is not transferrable and is granted only to the vessel owner, vessel, and the commercial reef fish permit number contained in the authorization.

(5) The maximum period for a single approved VMS power-down exemption is 1 year from the date that NMFS grants the VMS power-down exemption. A vessel owner or operator may request a subsequent VMS power-down exemption for the same vessel after the expiration of the preceding power-down exemption.

* * * * *

(f) *Installation and activation of a VMS.* Only a VMS that has been approved by NMFS for the Gulf reef fish fishery may be used, and the VMS must be installed by a qualified marine electrician.

* * * * *

■ 3. In § 622.41, revise paragraph (k) to read as follows:

§ 622.41 Annual catch limits (ACLs), annual catch targets (ACTs), and accountability measures (AMs).

* * * * *

(k) *Lane snapper.* If the sum of the commercial and recreational landings, as estimated by the SRD, reaches or is projected to reach the stock ACL, as specified in this paragraph (k), the AA will file a notification with the Office of the Federal Register to close the commercial and recreational sectors for the remainder of the fishing year. The stock ACL for lane snapper is 1,088,873 lb (493,904 kg), round weight.

* * * * *

[FR Doc. 2024–21244 Filed 9–17–24; 8:45 am]

BILLING CODE 3510–22–P

Proposed Rules

Federal Register

Vol. 89, No. 181

Wednesday, September 18, 2024

This section of the FEDERAL REGISTER contains notices to the public of the proposed issuance of rules and regulations. The purpose of these notices is to give interested persons an opportunity to participate in the rule making prior to the adoption of the final rules.

ENVIRONMENTAL PROTECTION AGENCY

40 CFR Part 52

[EPA–R05–OAR–2021–0544; FRL–12175–03–R5]

Air Plan Approval; Ohio; Regional Haze Plan for the Second Implementation Period; Extension of Comment Period

AGENCY: Environmental Protection Agency (EPA).

ACTION: Proposed rule; extension of public comment period.

SUMMARY: The Environmental Protection Agency (EPA) is extending the comment period for a proposed rule published August 30, 2024. The current comment period for the proposed rule was set to end on September 30, 2024. In response to a request in a public comment, EPA is extending the comment period for the proposed action to October 15, 2024.

DATES: The comment period for the proposed rule published on August 30, 2024, at 89 FR 71124 is extended. Comments must be received on or before October 15, 2024.

ADDRESSES: Submit your comments, identified by Docket ID No. EPA–R05–OAR–2021–0544 at <https://www.regulations.gov>, or via email to langman.michael@epa.gov. Additional instructions to comment can be found in the notice of proposed rulemaking published August 30, 2024 (89 FR 71124).

FOR FURTHER INFORMATION CONTACT:

Alisa Liu, Air and Radiation Division (AR–18)), Environmental Protection Agency, Region 5, 77 West Jackson Boulevard, Chicago, Illinois 60604, (312) 886–6524, liu.alisa@epa.gov.

SUPPLEMENTARY INFORMATION: On August 21, 2024, EPA proposed to approve the Regional Haze State Implementation Plan revision submitted by the Ohio Environmental Protection Agency on July 30, 2021, as satisfying applicable requirements under the Clean Air Act and EPA’s Regional Haze Rule for the program’s second implementation period. In response to a request in a public comment, EPA is extending the comment period for 15 days.

Dated: September 13, 2024.

Debra Shore,

Regional Administrator, Region 5.

[FR Doc. 2024–21267 Filed 9–17–24; 8:45 am]

BILLING CODE 6560–50–P

Notices

Federal Register

Vol. 89, No. 181

Wednesday, September 18, 2024

This section of the FEDERAL REGISTER contains documents other than rules or proposed rules that are applicable to the public. Notices of hearings and investigations, committee meetings, agency decisions and rulings, delegations of authority, filing of petitions and applications and agency statements of organization and functions are examples of documents appearing in this section.

DEPARTMENT OF AGRICULTURE

Forest Service

Alpine County Resource Advisory Committee

AGENCY: Forest Service, Agriculture (USDA).

ACTION: Notice of meeting.

SUMMARY: The Alpine County Resource Advisory Committee (RAC) will hold a public meeting according to the details shown below. The committee is authorized under the Secure Rural Schools and Community Self-Determination Act (the Act) and operates in compliance with the Federal Advisory Committee Act. The purpose of the committee is to improve collaborative relationships and to provide advice and recommendations to the Forest Service concerning projects and funding consistent with Title II of the Act, as well as make recommendations on recreation fee proposals for sites on the Humboldt-Toiyabe National Forest within Alpine County, consistent with the Federal Lands Recreation Enhancement Act.

DATES: An in-person and virtual meeting will be held on October 3, 2024, 10 a.m. to 1 p.m. Pacific Daylight Time.

Written and Oral Comments: Anyone wishing to provide in-person and/or virtual oral comments must pre-register by 11:59 p.m. Pacific Daylight Time, on September 26, 2024. Written public comments will be accepted by 11:59 p.m. Pacific Daylight Time, on September 26, 2024. Comments submitted after this date will be provided to the Forest Service to the committee, but the committee may not have adequate time to consider those comments prior to the meeting.

All committee meetings are subject to cancellation. For status of the meeting prior to attendance, please contact the person listed under **FOR FURTHER INFORMATION CONTACT**.

ADDRESSES: This meeting will be held in-person at the Turtle Rock Park Community Center, located at 17300 State Route 89/4, Markleeville, California 96120. The public may also join virtually via Teams Meeting: meeting ID: 236 862 210 154; passcode: CrgPqx. Meeting details and resource advisory committee information can be found online at <https://www.fs.usda.gov/main/htnf/workingtogether/advisorycommittees> or by contacting the person listed under **FOR FURTHER INFORMATION CONTACT**.

Written Comments: Written comments must be sent by email to matthew.dickinson@usda.gov or via mail (postmarked) to Matthew Dickinson, 1536 South. Carson Street, Carson City, Nevada 89701. The Forest Service strongly prefers comments be submitted electronically.

Oral Comments: Persons or organizations wishing to make oral comments must pre-register by 11:59 p.m. Pacific Daylight Time, September 26, 2024, and speakers can only register for one speaking slot. Oral comments must be sent by email to Matthew.Dickinson@usda.gov or via mail (postmarked) to Matthew Dickinson, 1536 South. Carson Street, Carson City, Nevada 89701.

FOR FURTHER INFORMATION CONTACT: Matthew Zumstein, Designated Federal Officer, by phone at 775-884-8100 or email to matthew.zumstein@usda.gov; or Matthew Dickinson, RAC Coordinator, by phone at 775-884-8154 or email to matthew.dickinson@usda.gov.

SUPPLEMENTARY INFORMATION: The purpose of the meeting is to:

1. Review and approve projects proposed for funding under the Title II of the Secure Rural Schools legislation;
2. Allow for public comment; and
3. Schedule the next meeting.

The agenda will include time for individuals to make oral statements of three minutes or less. To be scheduled on the agenda, individuals wishing to make an oral statement should make a request in writing at least three days prior to the meeting date. Written comments may be submitted to the Forest Service up to 7 days after the meeting date listed under **DATES**.

Please contact the person listed under **FOR FURTHER INFORMATION CONTACT**, by or before the deadline, for all questions related to the meeting. All comments,

including names and addresses when provided, are placed in the record and are available for public inspection and copying. The public may inspect comments received upon request.

Meeting Accommodations: The meeting location is compliant with the Americans with Disabilities Act, and the USDA provides reasonable accommodation to individuals with disabilities where appropriate. If you are a person requiring reasonable accommodation, please make requests in advance for sign language interpretation, assistive listening devices, or other reasonable accommodation to the person listed under the **FOR FURTHER INFORMATION CONTACT** section or contact USDA's TARGET Center at 202-720-2600 (voice and TTY) or USDA through the Federal Relay Service at 800-877-8339. Additionally, program information may be made available in languages other than English.

USDA programs are prohibited from discriminating based on race, color, national origin, religion, sex, gender identity (including gender expression), sexual orientation, disability, age, marital status, family/parental status, income derived from a public assistance program, political beliefs, or reprisal or retaliation for prior civil rights activity, in any program or activity conducted or funded by USDA (not all bases apply to all programs). Remedies and complaint filing deadlines vary by program or incident.

Equal opportunity practices in accordance with USDA's policies will be followed in all appointments to the committee. To ensure that the recommendations of the committee have taken into account the needs of the diverse groups served by USDA, membership shall include, to the extent practicable, individuals with demonstrated ability to represent the many communities, identities, races, ethnicities, backgrounds, abilities, cultures, and beliefs of the American people, including underserved communities. USDA is an equal opportunity provider, employer, and lender.

Dated: August 13, 2024.

Cikena Reid,

USDA Committee Management Officer.

[FR Doc. 2024-18413 Filed 9-17-24; 8:45 am]

BILLING CODE 3411-15-P

COMMISSION ON CIVIL RIGHTS**Notice of Public Meeting of the North Carolina Advisory Committee to the U.S. Commission on Civil Rights**

AGENCY: U.S. Commission on Civil Rights.

ACTION: Notice of public meeting.

SUMMARY: Notice is hereby given, pursuant to the provisions of the rules and regulations of the U.S. Commission on Civil Rights (Commission) and the Federal Advisory Committee Act, that the North Carolina Advisory Committee (Committee) to the U.S. Commission on Civil Rights will hold a virtual, public meeting via Zoom at 1 p.m. ET on Friday, November 15, 2024. The purpose of this meeting is to review the testimony received on the topic, *Civil Rights and the Child Welfare System in North Carolina*.

DATES: Friday, November 15, 2024, from 1 p.m.–2:30 p.m. eastern time.

ADDRESSES: The meeting will be held via Zoom Webinar.

Registration Link (Audio/Visual):

https://www.zoomgov.com/webinar/register/WN_NoZx68B1Tmy_c1Z0Z8MAQQ

Join by Phone (Audio Only): (833) 435–1820 USA Toll-Free; Meeting ID: 160 179 5797

FOR FURTHER INFORMATION CONTACT: Ana Victoria Fortes, Designated Federal Officer, at afortes@usccr.gov or (202) 681–0857.

SUPPLEMENTARY INFORMATION: This committee meeting is available to the public through the registration link above. Any interested member of the public may listen to the meeting. An open comment period will be provided to allow members of the public to make a statement as time allows. Per the Federal Advisory Committee Act, public minutes of the meeting will include a list of persons who are present at the meeting. If joining via phone, callers can expect to incur regular charges for calls they initiate over wireless lines, according to their wireless plan. The Commission will not refund any incurred charges. Callers will incur no charge for calls they initiate over land-line connections to the toll-free telephone number. Closed captioning will be available for individuals who are deaf, hard of hearing, or who have certain cognitive or learning impairments. To request additional accommodations, please email Liliana Schiller, Support Services Specialist, at lschiller@usccr.gov at least 10 business days prior to the meeting.

Members of the public are entitled to submit written comments; the

comments must be received in the regional office within 30 days following the meeting. Written comments may be emailed to Ana Victoria Fortes at afortes@usccr.gov. Persons who desire additional information may contact the Regional Programs Coordination Unit at (202) 681–0857.

Records generated from this meeting may be inspected and reproduced at the Regional Programs Coordination Unit, as they become available, both before and after the meeting. Records of the meeting will be available via the file sharing website, www.box.com. Persons interested in the work of this Committee are directed to the Commission's website, <http://www.usccr.gov>, or may contact the Regional Programs Coordination Unit at the above phone number.

Agenda

- I. Welcome & Roll Call
- II. Committee Discussion
- III. Public Comment
- IV. Next Steps
- V. Adjournment

Dated: September 13, 2024.

David Mussatt,

Supervisory Chief, Regional Programs Unit.

[FR Doc. 2024–21239 Filed 9–17–24; 8:45 am]

BILLING CODE 6335–01–P

COMMISSION ON CIVIL RIGHTS**Notice of Public Meetings of the Indiana Advisory Committee to the U.S. Commission on Civil Rights**

AGENCY: Commission on Civil Rights.

ACTION: Notice of virtual panel briefings.

SUMMARY: Notice is hereby given, pursuant to the provisions of the rules and regulations of the U.S. Commission on Civil Rights (Commission) and the Federal Advisory Committee Act, that the Indiana Advisory Committee (Committee) to the U.S. Commission on Civil Rights will hold two additional panel briefings via Zoom. The purpose of these briefings is to hear testimony on hate crimes nationally and in Indiana.

DATES:

- Panel III: Tuesday, September 24, 2024, from 11:00 a.m.–1:00 p.m. Eastern Time
- Panel IV: Thursday, September 26, 2024, from 11:00 a.m.–1:00 p.m. Eastern Time

ADDRESSES: These briefings will be held via Zoom.

Panel III

- *Registration Link (Audio/Visual):* <https://bit.ly/3XcQAnu>

- *Join by Phone (Audio Only):* 1–833–435–1820 USA Toll Free; Webinar ID: 160 556 5844#

Panel IV

- *Registration Link (Audio/Visual):* <https://bit.ly/3Xd1utq>
- *Join by Phone (Audio Only):* 1–833–435–1820 USA Toll Free; Webinar ID: 161 971 8751#

FOR FURTHER INFORMATION CONTACT: Ivy Davis, Director of Eastern Regional Office and Designated Federal Officer, at ero@usccr.gov or 1–202–539–8468.

SUPPLEMENTARY INFORMATION: These Committee meetings are available to the public through the registration links above. Any interested members of the public may attend these meetings. Before adjourning each meeting, the Chair will recognize members of the public to make brief oral statements, as time allows. Pursuant to the Federal Advisory Committee Act, public minutes of the meeting will include a list of persons who are present at these meetings. If joining via phone, callers can expect to incur regular charges for calls they initiate over wireless lines, according to their wireless plans. The Commission will not refund any incurred charges. Callers will incur no charge for calls they initiate over land-line connections to the toll-free telephone number. Closed captioning is available by selecting “CC” in the meeting platform. To request additional accommodations, please email svillanueva@usccr.gov at least 10 business days prior to each meeting.

Members of the public are entitled to submit written comments; the comments must be received in the regional office within 30 days following the scheduled meeting. Written comments may be emailed to Ivy Davis at ero@usccr.gov; please include Indiana Committee in the subject line of the transmitting email. Persons who desire additional information may contact the Regional Programs Coordination Unit at 1–202–539–8468.

Records generated from these meetings may be inspected and reproduced at the Regional Programs Coordination Unit Office, as they become available, both before and after each meeting. Records of the meetings will be available via the file sharing website, <https://bit.ly/47mDPeL>. Persons interested in the work of this Committee are directed to the Commission's website, <http://www.usccr.gov>, or may contact the Regional Programs Coordination Unit at svillanueva@usccr.gov.

Agenda

- I. Welcoming Remarks

II. Panelist Presentations
III. Committee Q&A
IV. Public Comment
V. Adjourn

Dated: September 13, 2024.

David Mussatt,

Supervisory Chief, Regional Programs Unit.

[FR Doc. 2024–21235 Filed 9–17–24; 8:45 am]

BILLING CODE 6335–01–P

COMMISSION ON CIVIL RIGHTS

Notice of Public Meeting of the North Carolina Advisory Committee to the U.S. Commission on Civil Rights

AGENCY: Commission on Civil Rights.

ACTION: Notice of public meeting.

SUMMARY: Notice is hereby given, pursuant to the provisions of the rules and regulations of the U.S. Commission on Civil Rights (Commission) and the Federal Advisory Committee Act, that the North Carolina Advisory Committee (Committee) to the U.S. Commission on Civil Rights will hold a virtual, public meeting via Zoom at 12:00 p.m. ET on Tuesday, October 29, 2024. The purpose of this meeting is to review the testimony received on the topic, *Civil Rights and the Child Welfare System in North Carolina*.

DATES: Tuesday, October 29, 2024, from 12:00 p.m.–1:30 p.m. Eastern Time.

ADDRESSES: The meeting will be held via Zoom Webinar.

Registration Link (Audio/Visual):
https://www.zoomgov.com/webinar/register/WN_QLYUvxDFSLaXDIV9BChKfg

Join by Phone (Audio Only): (833) 435–1820 USA Toll-Free; Meeting ID: 161 836 9341

FOR FURTHER INFORMATION CONTACT: Ana Victoria Fortes, Designated Federal Officer, at afortes@usccr.gov or (202) 681–0857.

SUPPLEMENTARY INFORMATION: This committee meeting is available to the public through the registration link above. Any interested member of the public may listen to the meeting. An open comment period will be provided to allow members of the public to make a statement as time allows. Per the Federal Advisory Committee Act, public minutes of the meeting will include a list of persons who are present at the meeting. If joining via phone, callers can expect to incur regular charges for calls they initiate over wireless lines, according to their wireless plan. The Commission will not refund any incurred charges. Callers will incur no charge for calls they initiate over land-line connections to the toll-free

telephone number. Closed captioning will be available for individuals who are deaf, hard of hearing, or who have certain cognitive or learning impairments. To request additional accommodations, please email Liliana Schiller, Support Services Specialist, at lschiller@usccr.gov at least 10 business days prior to the meeting.

Members of the public are entitled to submit written comments; the comments must be received in the regional office within 30 days following the meeting. Written comments may be emailed to Ana Victoria Fortes at afortes@usccr.gov. Persons who desire additional information may contact the Regional Programs Coordination Unit at (202) 681–0857.

Records generated from this meeting may be inspected and reproduced at the Regional Programs Coordination Unit, as they become available, both before and after the meeting. Records of the meeting will be available via the file sharing website, www.box.com. Persons interested in the work of this Committee are directed to the Commission's website, <http://www.usccr.gov>, or may contact the Regional Programs Coordination Unit at the above phone number.

Agenda

I. Welcome & Roll Call
II. Committee Discussion
III. Public Comment
IV. Next Steps
V. Adjournment

Dated: September 13, 2024.

David Mussatt,

Supervisory Chief, Regional Programs Unit.

[FR Doc. 2024–21233 Filed 9–17–24; 8:45 am]

BILLING CODE 6335–01–P

COMMISSION ON CIVIL RIGHTS

Notice of Public Meeting of the North Carolina Advisory Committee to the U.S. Commission on Civil Rights

AGENCY: U.S. Commission on Civil Rights.

ACTION: Notice of public meeting.

SUMMARY: Notice is hereby given, pursuant to the provisions of the rules and regulations of the U.S. Commission on Civil Rights (Commission) and the Federal Advisory Committee Act, that the North Carolina Advisory Committee (Committee) to the U.S. Commission on Civil Rights will hold a virtual, public meeting via Zoom at 1 p.m. ET on Tuesday, December 17, 2024. The purpose of this meeting is to discuss the Committee's report on the topic, *Civil*

Rights and the Child Welfare System in North Carolina.

DATES: Tuesday, December 17, 2024, from 1 p.m.–2:30 p.m. eastern time.

ADDRESSES: The meeting will be held via Zoom Webinar.

Registration Link (Audio/Visual):

https://www.zoomgov.com/webinar/register/WN_R07eOgOxSP-MGKu84_J5Fg

Join by Phone (Audio Only): (833) 435–1820 USA Toll-Free; Meeting ID: 160 927 2760

FOR FURTHER INFORMATION CONTACT: Ana Victoria Fortes, Designated Federal Officer, at afortes@usccr.gov or (202) 681–0857.

SUPPLEMENTARY INFORMATION: This committee meeting is available to the public through the registration link above. Any interested member of the public may listen to the meeting. An open comment period will be provided to allow members of the public to make a statement as time allows. Per the Federal Advisory Committee Act, public minutes of the meeting will include a list of persons who are present at the meeting. If joining via phone, callers can expect to incur regular charges for calls they initiate over wireless lines, according to their wireless plan. The Commission will not refund any incurred charges. Callers will incur no charge for calls they initiate over land-line connections to the toll-free telephone number. Closed captioning will be available for individuals who are deaf, hard of hearing, or who have certain cognitive or learning impairments. To request additional accommodations, please email Liliana Schiller, Support Services Specialist, at lschiller@usccr.gov at least 10 business days prior to the meeting.

Members of the public are entitled to submit written comments; the comments must be received in the regional office within 30 days following the meeting. Written comments may be emailed to Ana Victoria Fortes at afortes@usccr.gov. Persons who desire additional information may contact the Regional Programs Coordination Unit at (202) 681–0857.

Records generated from this meeting may be inspected and reproduced at the Regional Programs Coordination Unit, as they become available, both before and after the meeting. Records of the meeting will be available via the file sharing website, <http://www.usccr.gov>, or may contact the Regional Programs Coordination Unit at the above phone number.

Agenda

- I. Welcome & Roll Call
- II. Committee Discussion
- III. Public Comment
- IV. Next Steps
- V. Adjournment

Dated: September 13, 2024.

David Mussatt,

Supervisory Chief, Regional Programs Unit.

[FR Doc. 2024–21240 Filed 9–17–24; 8:45 am]

BILLING CODE 6335–01–P

COMMISSION ON CIVIL RIGHTS

Notice of Public Briefing of the Utah Advisory Committee to the U.S. Commission on Civil Rights

AGENCY: U.S. Commission on Civil Rights.

ACTION: Notice of public briefing.

SUMMARY: Notice is hereby given, pursuant to the provisions of the rules and regulations of the U.S. Commission on Civil Rights (Commission) and the Federal Advisory Committee Act, that the Utah Advisory Committee (Committee) to the U.S. Commission on Civil Rights will hold a public briefing via Zoom at 3 p.m. MT on Thursday, September 26, 2024. The purpose of the briefing is to hear testimony on the topic, *The Civil Rights Implications of Disparate Outcomes in Utah's K–12 Education System*.

DATES: Thursday, September 26, 2024, from 3 p.m.–5 p.m. mountain time.

ADDRESSES: The briefing will be held via Zoom Webinar.

Registration Link (Audio/Visual):

https://www.zoomgov.com/webinar/register/WN_uTnZTfwR2OVfbx_Fy7pn5xbQ

Join by Phone (Audio Only): (833) 435–1820 USA Toll-Free; Meeting ID: 160 028 1773

FOR FURTHER INFORMATION CONTACT:

David Barreras, Designated Federal Officer, at dbarreras@usccr.gov or (202) 656–8937.

SUPPLEMENTARY INFORMATION: This committee meeting is available to the public through the registration link above. Any interested member of the public may listen to the meeting. An open comment period will be provided to allow members of the public to make a statement as time allows. Per the Federal Advisory Committee Act, public minutes of the meeting will include a list of persons who are present at the meeting. If joining via phone, callers can expect to incur regular charges for calls they initiate over wireless lines, according to their wireless plan. The Commission will not refund any

incurred charges. Callers will incur no charge for calls they initiate over land-line connections to the toll-free telephone number. Closed captioning will be available by selecting “CC” in the meeting platform. To request additional accommodations, please email lschiller@usccr.gov at least 10 business days prior to the meeting.

Members of the public are entitled to submit written comments; the comments must be received within 30 days following the meeting. Written comments may be emailed to David Barreras at dbarreras@usccr.gov. Persons who desire additional information may contact the Regional Programs Coordination Unit at (202) 656–8937.

Records generated from this meeting may be inspected and reproduced at the Regional Programs Coordination Unit, as they become available, both before and after the meeting. Records of the meeting will be available via the file sharing website, www.box.com. Persons interested in the work of this Committee are directed to the Commission's website, www.usccr.gov, or may contact the Regional Programs Coordination Unit at the above phone number.

Agenda

- I. Welcome & Roll Call
- II. Panelist Presentations & Committee Q&A
- III. Public Comment
- IV. Closing Remarks
- V. Adjournment

Dated: September 13, 2024.

David Mussatt,

Supervisory Chief, Regional Programs Unit.

[FR Doc. 2024–21238 Filed 9–17–24; 8:45 am]

BILLING CODE 6335–01–P

DEPARTMENT OF COMMERCE

Request for Comments on the Strategic Plan to Advance Environmental Justice

AGENCY: Commerce.

ACTION: Notice of availability, request for comments.

SUMMARY: The Department of Commerce (Commerce) and the Department of Commerce Environmental Justice Committee seeks public comment to inform its Strategic Plan to Advance Environmental Justice (Strategy). Commerce is seeking input from the public, especially people and communities with environmental justice concerns who are potentially affected by Commerce activities including planning, regulatory actions, implementation, permitting,

compliance, and enforcement related to human health or the environment.

DATES: Written comments are requested on or before October 18, 2024 and must be received no later than 11:59 p.m. eastern time (ET) on that date. Written submissions received after that date may not be considered. Commerce will not reply individually to responders but will consider all comments submitted by the deadline.

ADDRESSES:

Instructions: You may submit comments for 30 days, identified by DOC–2024–0009 by the following methods:

Online (Strongly Preferred) Submit all electronic public comments via the Federal e-Rulemaking Portal. Go to <https://www.regulations.gov> and enter DOC–2024–0009 in the Search.

Email: Comments submitted by email to swatling@doc.gov should be machine-readable and should not be copy-protected.

Requirements for Submissions

To be assured of consideration, submit any written comments by the October 18, 2024 deadline. All submissions must be in English. Commerce strongly encourages submissions via regulations.gov. The docket number is DOC–2024–0009.

To submit via regulations.gov, use Docket Number DOC–2024–0009 in the ‘search for’ field on the home page and click ‘search’. The site will provide a search results page listing all documents associated with this docket. Find a reference to this notice by selecting ‘notice’ under ‘document type’ in the ‘refine documents results’ section on the left side of the screen and click on the link entitled ‘comment’. Regulations.gov allows users to make submissions by filling in a ‘type comment’ field, or by attaching a document using the ‘upload file’ field. Commerce prefers that you provide submissions in an attached document named according to the following protocol, as appropriate: Commenter Name or Organization and “Commerce Environmental Justice Strategy”. If you provide submissions in an attached document, please type ‘see attached comments’ in the ‘comment’ field on the online submission form.

Please include the name, email address, and telephone number of an individual Commerce can contact if there are issues or questions with the submission. You will receive a tracking number upon completion of the submission procedure at Regulations.gov. The tracking number is confirmation that Regulations.gov received your submission. Keep the confirmation for your records.

Business Confidential Information Submissions

Please do not submit any confidential information; such information may be posted and become part of the public record.

Public Viewing of Review Submissions

Commerce will post written submissions in the docket for public inspection. You can view comments on *Regulations.gov* by entering Docket Number DOC-2024-0009 in the search field on the home page.

Commerce is not able to provide technical assistance for *regulations.gov*. For further information on using *regulations.gov*, please consult the resources provided on the website by clicking on 'How to Use Regulations.gov' on the bottom of the home page. You can contact the *regulations.gov* help desk at regulationshelpdesk@gsa.gov or 1-866-498-2945 for help with technical questions on submitting comments on *regulations.gov*.

If you are unable to submit through *regulations.gov* after seeking assistance from the help desk, please contact Sarah Watling at swatling@doc.gov before transmitting your application and in advance of the deadline to arrange for an alternative method of transmission. Commerce will not accept hand-delivered submissions. Commerce may not consider submissions that you do not make in accordance with these instructions.

FOR FURTHER INFORMATION CONTACT:

Sarah Watling, Resilience, Climate Adaptation, and Environmental Justice Program Manager, telephone 202-875-9023; or emails at swatling@doc.gov

Please direct media inquiries to Department of Commerce, Office of the Secretary Main Office of Public Affairs, publicaffairs@doc.gov.

SUPPLEMENTARY INFORMATION:**Background**

Executive Order (E.O.) 14096 on Revitalizing Our Nation's Commitment to Environmental Justice for All advances the Federal government's efforts to deliver real, measurable progress on environmental justice.¹ E.O.14096, issued on April 21, 2023, charges Federal agencies to exercise leadership and immediately strengthen their efforts to address environmental injustice. The order makes clear that the

pursuit of environmental justice is a duty of all executive branch agencies and that agencies should be taking actions now to incorporate this charge into their missions.² Agency strategic planning under the order will play a key role in fulfilling E.O.14096's mandate of revitalizing the commitment of all Federal agencies to advance environmental justice.

E.O.14096 directs all Federal agencies in the executive branch to develop Environmental Justice Strategic Plans (Strategic Plans) that are tied to specific performance and accountability measures outlined in section 4 of E.O. 14096. As such, Strategic Plans are vital to pursuing a whole-of-government approach to environmental justice. Commerce recognizes the importance of an inclusive review and feedback process to inform this Strategy. The Department of Commerce's Strategy seeks to catalyze a new era of transparency, consistency, and accountability for environmental justice.

Other topics in E.O. 14096 are being addressed separately by Commerce and other agencies. This request for information pertains solely to collecting feedback on the proposed strategic goals. The public is encouraged to provide input in response to the questions listed to help the Commerce understand the potential environmental justice impact of its Strategy.

E.O. 14096 section 4(b) directs Federal agencies to set forth the agency's vision, goals, priority actions, and metrics to address and advance environmental justice. The Strategic Plan shall identify and address opportunities through regulations, policies, permits, or other means to improve accountability and compliance with any statute the agency administers that affects the health and environment of communities with environmental justice concerns. Among those actions, section 4(a) directs Commerce to create a Strategic Plan no later than 18 months after the date of the E.O. and every 4 years thereafter. The Strategic Plan shall be submitted to the Chair of the White House Council on Environmental Quality (CEQ) and made available to the public online.

To assist in these endeavors, Commerce requests information from the public on the goals and objectives provided below.

Goal 1: Center just treatment and meaningful involvement of communities with environmental justice concerns in decision-making.

a. Broaden the participation of communities with environmental justice concerns in decision-making processes to better reflect community priorities.

b. Improve collaboration and two-way communication between the Department of Commerce, state, Tribal, insular areas, local governments, and communities with environmental justice concerns to expand access to information on planning, regulations, and enforcement related to human health, access to resources and the environment.

c. Base decision-making on equitably collected and inclusive data that ensures representation of pertinent information from communities potentially affected by agency level actions.

Goal 2: Use targeted investments, programs and research to advance environmental justice and support communities impacted by the climate crisis.

a. Ensure overall benefits of certain federal investments reach disadvantaged communities that are marginalized and overburdened by pollution and underinvestment through the Justice40 Initiative, CHIPS, and additional environmental justice programs.

b. Promote inclusive research approaches and methods to integrate diverse perspectives and data sources in environmental justice efforts.

c. Carry out environmental reviews under the National Environmental Policy Act (NEPA) in a manner that advances environmental justice, including considering disproportionate and adverse effects of proposed actions on communities with environmental justice concerns.

Goal 3: Harness data to identify, address, and mitigate environmental disparities, ensuring equitable access to resources and opportunities for underserved communities.

a. Analyze gaps and inadequacies in data and research related to the climate crisis and environmental justice.

b. Develop procedures for equitable data access, transparency and accountability to expand opportunities for communities with environmental justice concerns

c. Create a centralized environmental justice reporting repository to monitor environmental justice implementation and make it publicly available.

Goal 4: Institutionalize Environmental Justice in Programs, Policies, Procedures and Activities.

¹ E.O.14096, Revitalizing Our Nation's Commitment to Environmental Justice for All, 88 FR 25251 (April 21, 2023), <https://www.federalregister.gov/documents/2023/04/26/2023-08955/revitalizing-our-nationscommitment-to-environmental-justice-for-all>.

² The White House, Fact Sheet: President Biden Signs Executive Order to Revitalize Our Nation's Commitment to Environmental Justice for All (April 21, 2023), <https://www.whitehouse.gov/briefing-room/statementsreleases/2023/04/21/fact-sheet-president-biden-signs-executive-order-to-revitalize-our-nations-commitment-to-environmental-justice-for-all/>.

a. Identify and address environmental justice concerns in agency programs, policies, procedures and activities.

b. Incorporate environmental justice principles into employee training programs to ensure that all staff understand their role in promoting environmental justice and are equipped with the necessary tools and knowledge.

c. Expand and promote department-wide capacity for environmental justice through training employees, incorporating it into relevant work plans, and hiring staff with environmental justice expertise.

Request for Written Comments

This notice is intended to improve Commerce's understanding of public views on how the Department should advance environmental justice. This notice is a general solicitation for public comments and further sets forth specific topics for discussion and comment. Commerce seeks broad input from all interested stakeholders, including people and communities with environmental justice concerns as well as the public. Commenters are encouraged to address the following and may comment with general views or provide specific information about a specific topic. Responses may be formatted as the commenter prefers.

Comments will be reviewed by Commerce staff and as appropriate, Commerce contractors, and may be used to inform the agency's work on advancing environmental justice.

Topics

To help guide input, Commerce would appreciate feedback on the following five questions:

1. Do the draft environmental justice strategic goals address general interests and concerns about the advancement of environmental justice by Commerce? Why or why not?

2. What actions should Commerce undertake to advance environmental justice?

3. What performance measures or metrics should Commerce establish to monitor progress towards advancing environmental justice?

4. What are examples of successful collaborations between Federal agencies and Tribal, territorial, local, and State governments or communities with environmental justice concerns?

5. How can Commerce better engage and collaborate effectively with Tribes, both federally and non-federally recognized, Native Hawaiian organizations, and Indigenous Peoples, including Indigenous migrant communities?

Dated: September 12, 2024.

Sarah E. Watling,

*Resilience, Climate Adaptation, and Environmental Justice Program Office,
Department of Commerce.*

[FR Doc. 2024–21121 Filed 9–17–24; 8:45 am]

BILLING CODE 3510–60–P

DEPARTMENT OF COMMERCE

International Trade Administration

[A–570–007, C–533–909]

Barium Chloride From the People's Republic of China and India: Initiation and Preliminary Results of Changed Circumstances Review and Intent To Revoke the Antidumping Duty and Countervailing Duty Orders

AGENCY: Enforcement and Compliance, International Trade Administration, Department of Commerce.

SUMMARY: Based on a request from Honeywell International Inc. (Honeywell), the U.S. Department of Commerce (Commerce) is initiating and issuing preliminary results for changed circumstances reviews (CCRs) of the antidumping duty (AD) order on barium chloride from the People's Republic of China (China) and the countervailing duty (CVD) order on barium chloride from India. We preliminarily determine that the AD order on barium chloride from China and the CVD order on barium chloride from India should be revoked, in their entirety. Interested parties are invited to comment on these preliminary results.

DATES: Applicable September 18, 2024.

FOR FURTHER INFORMATION CONTACT: Sun Cho, AD/CVD Operations, Office V (China), and Harrison Tanchuck, Office VI, Enforcement and Compliance (India), International Trade Administration, U.S. Department of Commerce, 1401 Constitution Avenue NW, Washington, DC 20230; telephone: (202) 482–6458 and (202) 482–7421, respectively.

SUPPLEMENTARY INFORMATION:

Background

On October 17, 1984, Commerce issued the AD order on barium chloride from China, and on March 7, 2023, issued the CVD order on barium chloride from India.¹ On August 6 and September 5, 2024, Honeywell, an importer of barium chloride from China and India, requested that Commerce

conduct expedited CCRs of the *AD Order* and the *CVD Order*, respectively, pursuant to section 751(b)(1)(A) of the Tariff Act of 1930, as amended (the Act), and 19 CFR 351.216(b).² Honeywell stated that it qualifies as an interested party pursuant to section 771(9)(A) of the Act and 19 CFR 351.102(b)(29)(ii) as a U.S. importer of barium chloride.³ Honeywell submitted a letter from Chemical Products Corporation (CPC), the only domestic producer of the subject merchandise and the petitioner of the underlying *Orders*, stating that it is ceasing production of the subject merchandise in the United States and has “no objection to Honeywell’s changed circumstances review request.”⁴ In its requests, Honeywell addressed the conditions under which Commerce may revoke an order in whole or in part pursuant to 19 CFR 351.222(g).

Scope of the Orders

The merchandise covered by the *Orders* is barium chloride, a chemical compound having the formulas BaCl₂ or BaCl₂·2H₂O, currently classifiable under subheading 2827.39.4500 of the Harmonized Tariff Schedule of the United States (HTSUS).⁵ Although the HTSUS subheading is provided for convenience and customs purposes, the written description of the scope of these *Orders* is dispositive.

Initiation of CCRs

Section 751(b)(1) of the Act states that Commerce shall conduct a CCR upon receipt of a request from an interested party that shows changed circumstances sufficient to warrant a review of the order. Section 751(d)(1) of the Act and 19 CFR 351.222(g)(1)(i) provide that Commerce may revoke an order (in whole or in part) if it determines that producers accounting for substantially all of the production of the domestic like product have expressed a lack of interest in the order, in whole or in part.⁶ Further, 19 CFR 351.222(g)(2) provides that Commerce will conduct a CCR under 19 CFR 351.216, and may revoke an order, in whole or in part, if

² See Honeywell’s Letters, “Barium Chloride from the People’s Republic of China: Changed Circumstances Review Request,” dated August 6, 2024 (AD CCR Request); and “Barium Chloride from India: Changed Circumstances Review Request,” dated September 5, 2024 (CVD CCR Request).

³ See AD CCR Request at 2; see also CVD CCR request at 2.

⁴ See AD CCR Request at 3 and Exhibit 1; see also CVD CCR request at 5 and Exhibit 4.

⁵ The scope reflects the HTSUS subheading currently in effect.

⁶ See section 782(h) of the Act.

¹ See *Antidumping Duty Order; Barium Chloride from the People’s Republic of China*, 49 FR 40635 (October 17, 1984) (*AD Order*); and *Barium Chloride from India: Countervailing Duty Order*, 88 FR 14120 (March 7, 2023) (*CVD Order*) (collectively, *Orders*).

it determines that revocation is warranted.

In the event that Commerce determines that “substantially all” domestic producers have expressed a lack of interest in an order, both the Act and Commerce’s regulations grant Commerce the authority to revoke the order.⁷ Commerce has interpreted “substantially all” to represent producers accounting for at least 85 percent of U.S. production of the domestic like product.⁸ Honeywell’s requests indicated that CPC is the sole producer of the domestic like product and, therefore, accounts for at least 85 percent of domestic production.⁹ In accordance with section 751(b)(1) of the Act, 19 CFR 351.216(d), 19 CFR 351.221(c)(3), and 19 CFR 351.222(g), we are initiating these CCRs.

Section 751(b)(4)(B) of the Act and 19 CFR 351.216(c) state that, “in the absence of good cause shown,” Commerce may not review a final determination less than 24 months after the date of publication of the notice of final determination or notice of suspension of an investigation. The final determination in the CVD investigation of barium chloride from India was published on January 6, 2023.¹⁰ CPC has ceased production of the subject merchandise in the United States and has indicated that it has no interest in the *Orders*; we find that these facts constitute “good cause” for the conduct of the CCR with respect to the *CVD Order*.¹¹

Preliminary Results of CCRs

If Commerce concludes that expedited action is warranted, it may concurrently publish the notice of initiation and preliminary results of a CCR.¹² Commerce has combined the notice of initiation and preliminary results in

CCRs when sufficient documentation has been provided supporting the request to make a preliminary determination.¹³

In this instance, we determine that there is sufficient information on the record to support preliminary findings of changed circumstances.¹⁴ Accordingly, we find that expedited action is warranted, and we are combining the notice of initiation and the notice of preliminary results, in accordance with 19 CFR 351.221(c)(3)(ii).

In accordance with 19 CFR 351.222(g), Commerce preliminarily determines that there is a reasonable basis to believe that changed circumstances exist sufficient to warrant revocation of the *Orders*. Therefore, Commerce is notifying the public of its preliminary intent to revoke the *Orders* in whole.

Public Comment

Interested parties may submit case briefs not later than 14 days after the date of publication of this notice.¹⁵ Rebuttal briefs, limited to issues raised in the case briefs, may be filed no later than three days after the due date for case briefs.¹⁶ Interested parties who submit case briefs or rebuttal briefs in this proceeding must submit: (1) a table of contents listing each issue; and (2) a table of authorities.¹⁷ Furthermore, any comments submitted by parties must be submitted to the records of both the AD and the CVD CCRs.

As provided under 19 CFR 351.309(c)(2) and (d)(2), in prior proceedings we have encouraged interested parties to provide an executive summary of their briefs that should be limited to five pages total, including footnotes. In these CCRs, we instead request that interested parties provide at the beginning of their briefs a public, executive summary for each issue raised in their briefs.¹⁸ Further, we request that interested parties limit their public executive summary of each issue

to no more than 450 words, not including citations. We intend to use the executive summaries as the basis of the comment summaries included in the Issues and Decision Memorandum that will accompany the final results of these CCRs. We request that interested parties include footnotes for relevant citations in the public executive summary of each issue. Note that Commerce has amended certain of its requirements pertaining to the service of documents in 19 CFR 351.303(f).¹⁹

All submissions, with limited exceptions, must be filed electronically using Enforcement and Compliance’s Antidumping and Countervailing Duty Centralized Electronic Service System (ACCESS). ACCESS is available to registered users at <https://access.trade.gov>. An electronically filed document must be received successfully in its entirety by ACCESS by 5:00 p.m. Eastern Time on the day on which it is due.

Pursuant to 19 CFR 351.310(c), any interested party may request a hearing within 14 days of publication of this notice in the **Federal Register**.²⁰ Hearing requests should contain the following information: (1) the party’s name, address, and telephone number; (2) the number of participants; and (3) a list of the issues to be discussed. Oral presentations at the hearing will be limited to issues raised in the briefs.²¹ If a request for a hearing is made, Commerce intends to hold the hearing at a time and date to be determined. Parties should confirm the date and the time of the hearing two days before the scheduled date.

Final Results of CCRs

Unless extended, consistent with 19 CFR 351.216(e), Commerce intends to issue the final results of these CCRs no later than 270 days after the date on which this review was initiated, or within 45 days of publication of these preliminary results if all parties agree to the preliminary findings.

If we make a final determination to revoke the *Orders*, we will instruct U.S. Customs and Border Protection (CBP) to discontinue the suspension of liquidation and the collection of cash deposits of estimated antidumping duties on entries of barium chloride from China and estimated countervailing duties on entries of

⁷ *Id.*; see also 19 CFR 351.222(g).

⁸ See, e.g., *Certain Cased Pencils from the People’s Republic of China: Initiation and Preliminary Results of Antidumping Duty Changed Circumstances Review, and Intent to Revoke Order in Part*, 77 FR 42276 (July 18, 2012), unchanged in *Certain Cased Pencils from the People’s Republic of China: Final Results of Antidumping Duty Changed Circumstances Review, and Determination To Revoke Order, in Part*, 77 FR 53176 (August 31, 2012).

⁹ See AD CCR Request at 2; see also CVD CCR Request at 2–3.

¹⁰ See *Barium Chloride from India: Final Affirmative Countervailing Duty Determination*, 88 FR 1044 (January 6, 2023).

¹¹ See 19 CFR 351.216(d); see also *Carbon and Certain Alloy Steel Wire Rod from Canada: Initiation of Countervailing Duty Changed Circumstances Review*, 68 FR 62282, 62283–84 (November 3, 2003) (that “no further interest . . . in continuing the order . . . serves as good cause” sufficient to review a determination made less than 24 months after the date of publication an order).

¹² See 19 CFR 351.221(c)(3)(ii).

¹³ See, e.g., *Multilayered Wood Flooring from the People’s Republic of China: Initiation and Preliminary Results of Antidumping and Countervailing Duty Changed Circumstances Reviews*, 82 FR 9561 (February 7, 2017), unchanged in *Multilayered Wood Flooring from the People’s Republic of China: Final Results of Changed Circumstances Reviews*, 82 FR 14691 (March 22, 2017).

¹⁴ See CCR Request at 4.

¹⁵ Commerce is exercising its discretion under 19 CFR 351.309(c)(1)(ii) to alter the time limit for the filing of case briefs.

¹⁶ *Id.*

¹⁷ See 19 CFR 351.309(c)(2) and (d)(2).

¹⁸ We use the term “issue” here to describe an argument that Commerce would normally address in a comment of the Issues and Decision Memorandum.

¹⁹ See *Administrative Protective Order, Service, and Other Procedures in Antidumping and Countervailing Duty Proceedings*, 88 FR 67069, 67077 (September 29, 2023).

²⁰ Commerce is exercising its discretion under 19 CFR 351.310(c) to alter the time limit for requesting a hearing.

²¹ See 19 CFR 351.310(c).

barium chloride from India, to liquidate all unliquidated entries that were entered on or after the day following the last day of the period covered by the most recently completed administrative review of the *Orders*, and are not already subject to automatic liquidation instructions, without regard to antidumping duties or countervailing duties, as appropriate, and to refund all antidumping duty and countervailing duty cash deposits on all such merchandise, with applicable interest.

Notification to Interested Parties

We are issuing and publishing this initiation and preliminary results notice in accordance with section 751(b)(1) of the Act, 19 CFR 351.216, 19 CFR 351.221(b) and (c)(3), and 19 CFR 351.222(f)(2)(iv).

Dated: September 11, 2024.

Ryan Majerus,

Deputy Assistant Secretary for Policy and Negotiations, performing the non-exclusive functions and duties of the Assistant Secretary for Enforcement and Compliance.

[FR Doc. 2024–21224 Filed 9–17–24; 8:45 am]

BILLING CODE 3510–DS–P

DEPARTMENT OF COMMERCE

International Trade Administration

[A–821–838]

Ferrosilicon From the Russian Federation: Final Affirmative Determination of Sales at Less Than Fair Value and Final Affirmative Determination of Critical Circumstances

AGENCY: Enforcement and Compliance, International Trade Administration, Department of Commerce.

SUMMARY: The U.S. Department of Commerce (Commerce) determines that ferrosilicon from the Russian Federation (Russia) is being, or is likely to be, sold in the United States at less than fair value (LTFV) during the period of investigation (POI) July 1, 2023, through December 31, 2023.

DATES: Applicable September 18, 2024.

FOR FURTHER INFORMATION CONTACT: Jacob Saude, AD/CVD Operations, Office VII, Enforcement and Compliance, International Trade Administration, U.S. Department of Commerce, 1401 Constitution Avenue NW, Washington, DC 20230; telephone: (202) 482–0981.

SUPPLEMENTARY INFORMATION:

Background

On June 28, 2024, Commerce published the *Preliminary Determination* in this LTFV investigation in the **Federal Register**.¹ On July 22, 2024, Commerce tolled certain deadlines in these administrative proceedings by seven days.² The deadline for the final determination is now September 11, 2024. We only received comment on the *Preliminary Determination* from CC Metals and Alloys, LLC and Ferroglobe USA, Inc. (collectively, the petitioners), in which the petitioners argued that lack of participation in this investigation should lead Commerce to reach the same conclusion for the final determination as it did in the *Preliminary Determination*.³ Subsequently, on August 28, 2024, Commerce published its *Preliminary Critical Circumstances Determination* in the **Federal Register** and invited interested parties to comment.⁴ No interested party submitted comments on the *Preliminary Critical Circumstances Determination*. Accordingly, we did not make any changes to our *Preliminary Determination* and there is no decision memorandum accompanying this **Federal Register** notice.

Scope of the Investigation

The product covered by this investigation is ferrosilicon from Russia. For a full description of the scope of this investigation, see the appendix to this notice.

Scope Comments

On August 28, 2024, CC Metals and Alloys, LLC and Ferroglobe USA, INC. (collectively, the petitioners) filed a clarification of the scope language in which the petitioner noted that there was a word missing in the scope language (*i.e.*, in the *Petition* and the *Initiation Notice*, the first paragraph of the scope stated: “10 percent or less any

¹ See *Ferrosilicon from the Russian Federation: Preliminary Affirmative Determination of Sales at Less Than Fair Value*, 89 FR 53953 (June 28, 2024) (*Preliminary Determination*).

² See Memorandum, “Tolling of Deadlines for Antidumping and Countervailing Duty Proceedings,” dated July 22, 2024.

³ See Petitioners’ Letter, “Petitioners’ Comments in Lieu of Case Brief,” dated July 29, 2024; see also *Preliminary Determination* and Preliminary Decision Memorandum.

⁴ See *Ferrosilicon from the Russian Federation: Preliminary Affirmative Critical Circumstances Determinations*, 89 FR 68860 (August 28, 2024) (*Preliminary Critical Circumstances Determination*).

other element” and should read “10 percent or less of any other element”).⁵

Use of Adverse Facts Available (AFA)

Pursuant to section 776(a) and (b) of the Tariff Act of 1930, as amended (the Act), we have continued to base the dumping margin for the Russia-wide entity, upon facts otherwise available, with adverse inferences, because Russian producers/exporters of subject merchandise during the POI, now part of the Russia-wide entity, failed to respond to Commerce’s requests for information.⁶

Final Affirmative Determination of Critical Circumstances

In the *Preliminary Critical Circumstances Determination*, Commerce preliminary determined, in accordance with sections 733(e) of the Act and 19 CFR 351.206, that critical circumstances exist with respect to all imports of subject merchandise from Russia produced or exported by the Russia-wide entity.⁷ For this final determination, in accordance with section 735(a)(3) of the Act, Commerce continues to find that critical circumstances exist with respect to all imports of subject merchandise from Russia produced or exported by the Russia-wide entity.

Combination Rates

In the *Preliminary Determination*, we stated that because no respondent applied for a separate rate, we did not calculate producer/exporter combination rates in accordance with our practice.⁸ This remains unchanged for the final determination.

Final Determination

Commerce determines that the following estimated weighted-average dumping margins exist:

⁵ See Petitioners’ Letter, “Clarification of Scope Language,” dated August 28, 2024; see also *Ferrosilicon from Brazil, Kazakhstan, Malaysia, and the Russian Federation: Initiation of Less-Than-Fair-Value Investigations*, 89 FR 31137 (April 24, 2024) (*Initiation Notice*).

⁶ See *Preliminary Determination*.

⁷ See *Preliminary Critical Circumstances Determination*.

⁸ See *Preliminary Determination*, 89 FR at 53953; see also Enforcement and Compliance’s Policy Bulletin No. 05.1, regarding, “Separate-Rates Practice and Application of Combination Rates in Antidumping Investigations Involving Non-Market Economy Countries,” (April 5, 2005) (Policy Bulletin 05.1), available on Commerce’s website at <https://enforcement.trade.gov/policy/bull05-1.pdf>.

Exporter	Estimated weighted-average dumping margin (percent)	Cash deposit rate adjusted for subsidy offset (percent)
Russia-Wide Entity	* 283.27	283.27

* Rate based on AFA.

Disclosure

Normally, Commerce discloses to parties to the proceeding the calculations performed in connection with a final determination within five days of any public announcement of the final determination or, if there is no public announcement, within five days of the date of publication of the notice of the final determination in the **Federal Register**, in accordance with 19 CFR 351.224(b). However, because Commerce based the sole respondent's dumping margin on the Petition rate, there are no calculations to disclose.

Continuation of Suspension of Liquidation

Commerce will direct U.S. Customs and Border Protection (CBP) to continue to suspend liquidation of entries of the merchandise described in the scope of this investigation where that merchandise was entered, or withdrawn from warehouse, for consumption on or after June 28, 2024, which is the date of publication of the *Preliminary Determination* in this investigation in the **Federal Register**. Because we preliminarily determined that critical circumstances exist with respect to the Russia-wide entity, we instructed CBP to suspend such entries on or after April 24, 2024, the date of publication of the initiation notice in the **Federal Register**.⁹ Pursuant to section 733(d)(1)(B) of the Act and 19 CFR 351.205(d), Commerce will also instruct CBP to require the posting of an antidumping duty cash deposit.

Commerce normally adjusts estimated weighted-average dumping margins determined in an LTFV investigation by the amount of the export subsidies countervailed in a companion countervailing duty (CVD) investigation to determine the antidumping duty cash deposit rates. Because there is a companion CVD investigation in this

case,¹⁰ we offset the estimated weighted-average dumping margins listed in the table above by the appropriate export subsidy rate to derive the cash deposit rates listed in the table.

Should the provisional measures in the companion CVD investigation expire prior to the expiration of provisional measures in this LTFV investigation, Commerce will direct CBP to begin collecting estimated antidumping duty cash deposits equal to the estimated weighted-average dumping margins listed in the table above.

The cash deposit requirements are as follows: (1) the cash deposit rate for the Russian Federation is the cash deposit rate listed for that company in the table above; (2) if the exporter of the subject merchandise is not identified in the table above, but the producer is, then the cash deposit rate will be equal to the company-specific cash deposit rate established for the producer of the subject merchandise; and (3) the cash deposit rate for all other producers and exporters will be equal to the all-others cash deposit rate listed in the table above.

In accordance with section 703(d) of the Act, we will instruct CBP to discontinue the suspension of liquidation of all entries of subject merchandise entered or withdrawn from warehouse, on or after October 25, 2024, the final day of provisional measures.

U.S. International Trade Commission Notification

In accordance with section 735(d) of the Act, Commerce will notify the U.S. International Trade Commission (ITC) of its final affirmative determination of sales at LTFV. Because the final determination in this proceeding is affirmative, in accordance with sections 735(b)(2) and 777(i)(1) of the Act, the ITC will make its final determination as to whether the domestic industry in the United States is materially injured, or threatened with material injury, before the later of 120 days after the date that Commerce made its affirmative

preliminary determination in this investigation or 45 days after the date of this final determination. If the ITC determines that material injury, or the threat of material injury, does not exist, the proceeding will be terminated, and all cash deposits will be refunded. If the ITC determines that material injury, or the threat of material injury, exists, Commerce will issue an antidumping duty order directing CBP to assess, upon further instruction by Commerce, antidumping duties on all imports of the subject merchandise, entered, or withdrawn from warehouse, for consumption on or after the effective date of the suspension of liquidation.

Administrative Protective Order

This notice serves as the only reminder to parties subject to an administrative protective order (APO) of their responsibility concerning the disposition of proprietary information disclosed under APO in accordance with 19 CFR 351.305(a)(3). Timely notification of the return, or destruction, of APO materials, or conversion to judicial protective order, is hereby requested. Failure to comply with the regulations and the terms of an APO is a violation subject to sanction.

Notification to Interested Parties

This determination is being issued and published in accordance with sections 735(d) and 777(i)(1) of the Act, and 19 CFR 351.210(c).

Dated: September 11, 2024.

Ryan Majerus,

Deputy Assistant Secretary for Policy and Negotiations, performing the non-exclusive functions and duties of the Assistant Secretary for Enforcement and Compliance.

Appendix

Scope of the Investigation

The scope of this investigation covers all forms and sizes of ferrosilicon, regardless of grade, including ferrosilicon briquettes. Ferrosilicon is a ferroalloy containing by weight four percent or more iron, more than eight percent but not more than 96 percent silicon, three percent or less phosphorus, 30 percent or less manganese, less than three percent magnesium, and 10 percent or less of any other element. The merchandise covered also includes product described as slag, if the product meets these specifications.

⁹ See *Preliminary Critical Circumstances Determination*. We note that the *Preliminary Critical Circumstances Determination* indicated March 30, 2024, as the start of the suspension of liquidation. However, pursuant to section 703(e)(2) of the Act, the correct date for the start of suspension of liquidation is April 24, 2024, which is the date of publication of the *Initiation Notice*.

¹⁰ See unpublished **Federal Register** notice for Ferrosilicon from the Russian Federation: Final Affirmative Countervailing Duty Determination and Final Affirmative Determination of Critical Circumstances, dated concurrently with this notice.

Subject merchandise includes material matching the above description that has been finished, packaged, or otherwise processed in a third country, including by performing any grinding or any other finishing, packaging, or processing that would not otherwise remove the merchandise from the scope of the investigation if performed in the country of manufacture of the ferrosilicon.

Ferrosilicon is currently classifiable under subheadings 7202.21.1000, 7202.21.5000, 7202.21.7500, 7202.21.9000, 7202.29.0010, and 7202.29.0050 of the Harmonized Tariff Schedule of the United States (HTSUS). While the HTSUS numbers are provided for convenience and customs purposes, the written description of the scope remains dispositive.

[FR Doc. 2024–21175 Filed 9–17–24; 8:45 am]

BILLING CODE 3510–DS–P

DEPARTMENT OF COMMERCE

International Trade Administration

[A–570–117]

Wood Mouldings and Millwork Products From the People's Republic of China: Final Results and Partial Rescission of Antidumping Duty Administrative Review; 2022–2023

AGENCY: Enforcement and Compliance, International Trade Administration, Department of Commerce.

SUMMARY: The U.S. Department of Commerce (Commerce) determines that Fujian Jinquan Trade Co., Ltd./Baiyuan Wood Machining Co., Ltd. (Jinquan/Baiyuan) and 22 non-individually examined exporters of wood mouldings and millworks products (WMMP) from the People's Republic of China (China) sold subject merchandise to the United States at prices below normal value (NV) during the period of review (POR), February 01, 2022, through January 31, 2023. Commerce also determines that Fujian Yinfeng Imp & Exp Trading Co., Ltd./Fujian Province Youxi City Mangrove Wood Machining Co., Ltd. (Yinfeng/Mangrove) did not sell subject merchandise to the United States at prices below NV during the POR. Additionally, we are rescinding this review with respect to 12 companies that had no reviewable entries of subject merchandise during the POR.

DATES: Applicable September 18, 2024.

FOR FURTHER INFORMATION CONTACT: Brian Smith or Hannah Lee, AD/CVD Operations, Office VIII, Enforcement and Compliance, International Trade Administration, Department of Commerce, 1401 Constitution Avenue NW, Washington, DC 20230; telephone: (202) 482–1766 or (202) 482–1216, respectively.

SUPPLEMENTARY INFORMATION:

Background

On March 8, 2024, Commerce published the *Preliminary Results*.¹ On June 22, 2024, Commerce tolled certain deadlines in this administrative proceeding by seven days.² The deadline for these preliminary results is now September 11, 2024. For events subsequent to the *Preliminary Results*, see the Issues and Decision Memorandum.³

Scope of the Order⁴

The merchandise covered by the *Order* is wood mouldings and millwork products. A full description of the scope of the *Order* is contained in the Issues and Decision Memorandum.

Analysis of Comments Received

All issues raised by interested parties in briefs are addressed in the Issues and Decision Memorandum. A list of the issues addressed in the Issues and Decision Memorandum is provided in Appendix I to this notice. The Issues and Decision Memorandum is a public document and is on file electronically via Enforcement and Compliance's Antidumping and Countervailing Duty Centralized Electronic Service System (ACCESS). ACCESS is available to registered users at <https://access.trade.gov>. In addition, a complete version of the Issues and Decision Memorandum can be accessed directly at <https://access.trade.gov/public/FRNoticesListLayout.aspx>.

Changes Since the Preliminary Results

Based on our review and analysis of the comments received from the interested parties, we made one change to the *Preliminary Results* margin calculation for Jinquan/Baiyuan⁵ which resulted in no change to its preliminary

margin or to the margin assigned to the separate rate companies.

Partial Rescission

In the *Preliminary Results*, we stated that we intended to rescind this review with respect to 12 companies⁶ for which Customs and Border Protection (CBP) data show no entries of the subject merchandise from these companies during the POR.⁷ No party filed comments with respect to this preliminary finding and we received no information to contradict it. Therefore, we are rescinding this administrative review with respect to these companies.

Rate for Non-Examined Separate Rate Respondents

The statute and our regulations do not address the establishment of a rate to be assigned to respondents not selected for individual examination when we limit our examination of companies subject to the administrative review pursuant to section 777A(c)(2)(B) of the Tariff Act of 1930, as amended (the Act). Generally, we look to section 735(c)(5) of the Act, which provides instructions for calculating the all-others rate in an investigation, for guidance when calculating the rate for respondents not individually examined in an administrative review. Under section 735(c)(5)(A) of the Act, the all-others rate is normally “an amount equal to the weighted average of the estimated weighted average dumping margins established for exporters and producers individually investigated, excluding any zero and *de minimis* margins, and any margins determined entirely {on the basis of facts available}.” Accordingly, Commerce's usual practice in determining the rate for separate-rate respondents not selected for individual examination, has been to average the weighted-average dumping margins of the selected companies, excluding rates that are zero, *de minimis*, or based entirely on facts available.⁸ Because in these final results of this review we calculated a dumping margin of zero for Yinfeng/Mangrove, and a dumping margin that is not zero, *de minimis*, or based entirely on facts available for Jinquan/Baiyuan, we assigned the separate-rate recipients a dumping margin equal to Jinquan/Baiyuan's final dumping margin consistent with Commerce's practice and section 735(c)(5)(B) of the Act.⁹

¹ See *Wood Mouldings and Millwork Products from the People's Republic of China: Preliminary Results, Intent To Rescind, in Part, and Rescission in Part, of Antidumping Duty Administrative Review; 2022–2023*, 89 FR 16726 (March 8, 2024) (*Preliminary Results*), and accompanying Preliminary Decision Memorandum (PDM).

² See Memorandum, “Tolling of Deadlines for Antidumping and Countervailing Duty Proceedings,” dated July 22, 2024.

³ See Memorandum, “Decision Memorandum for the Final Results of the Antidumping Duty Administrative Review Wood Mouldings and Millwork Products from the People's Republic of China; 2022–2023,” dated concurrently with, and hereby adopted by, this notice (Issues and Decision Memorandum).

⁴ See *Wood Mouldings and Millwork Products from the People's Republic of China: Amended Final Antidumping Duty Determination and Antidumping Duty Order*, 86 FR 9486 (February 16, 2021) (*Order*).

⁵ See Memorandum, “Final Results Margin Calculation for Jinquan/Baiyuan,” dated concurrently with this notice (Jinquan/Baiyuan's Final Calculation Memorandum).

⁶ See Appendix III for a list of these companies.

⁷ See *Preliminary Results*, 89 FR at 16726.

⁸ See section 735(c)(5)(A) of the Act.

⁹ See *Longkou Haimeng Mach. Co. v. United States*, 581 F. Supp. 2d 1344, 1357–60 (CIT 2008) (affirming Commerce's determination to assign a 4.22 percent dumping margin to the separate-rate

The China-Wide Entity

In the *Preliminary Results*, Commerce found that four companies¹⁰ did not establish eligibility for a separate rate because they did not file a timely separate rate application or a separate rate certification, as appropriate.¹¹ No party filed comments with respect to this preliminary finding and we received no information to contradict it. Therefore, for these final results, we determine these four companies to be part of the China-wide entity and assigned them the dumping margin for the China-wide entity. Because no party requested a review of the China-wide entity, and Commerce no longer considers the China-wide entity as an exporter conditionally subject to administrative reviews,¹² we did not conduct a review of the China-wide entity. Thus, the dumping margin for the China-wide entity, as adjusted for export subsidies (*i.e.*, 220.87 percent),¹³ is not subject to change as a result of this review.

Final Results of Review

Commerce determines that the following estimated weighted-average dumping margins exist for the period February 1, 2022, through January 31, 2023:

Exporters	Weighted-average dumping margin (percent)
Fujian Jinquan Trade Co., Ltd./Baiyuan Wood Machining Co., Ltd	4.25
Yinfeng Imp & Exp Trading Co., Ltd./Fujian Province Youxi City Mangrove Wood Machining Co., Ltd	0.00

respondents in a segment where the three mandatory respondents received dumping margins of 4.22 percent, 0.03 percent, and zero percent, respectively); *see also Certain Kitchen Appliance Shelving and Racks from the People's Republic of China: Final Determination of Sales at Less Than Fair Value*, 74 FR 36656, 36660 (July 24, 2009).

¹⁰ These companies are: (1) Aventura, Inc. (Aventura); (2) China Cornici, Co. Ltd. (China Cornici); (3) Gaomi Hongtai Home Furniture Co., Ltd. (Gaomi Hongtai); and (4) and Shuyang Zhongding Decoration Materials Co., Ltd. (Shuyang Zhongding).

¹¹ See *Preliminary Results* PDM at 13.

¹² See *Antidumping Proceedings: Announcement of Change in Department Practice for Respondent Selection in Antidumping Duty Proceedings and Conditional Review of the Nonmarket Economy Entity in NME Antidumping Duty Proceedings*, 78 FR 65963, 65969–70 (November 4, 2013).

¹³ See *Order*, 86 FR at 9488. The weighted-average dumping margin for the China-wide entity (231.60 percent) was adjusted for export subsidies to determine the cash deposit rate (220.87 percent) for companies in the China-wide entity.

¹⁴ See Appendix II.

Exporters	Weighted-average dumping margin (percent)
Non-Selected Companies Under Review Receiving a Separate Rate ¹⁴	4.25

Disclosure

We intend to disclose the calculations performed to parties in this proceeding within five days of the date of publication of this notice in accordance with 19 CFR 351.224(b).

Assessment Rates

Pursuant to section 751(a)(2)(C) of the Act and 19 CFR 351.212(b), Commerce has determined, and CBP shall assess, antidumping duties on all appropriate entries of subject merchandise in accordance with these final results of review. Commerce intends to issue assessment instructions to CBP no earlier than 35 days after the date of publication of these final results. If a timely summons is filed at the U.S. Court of International Trade, the assessment instructions will direct CBP not to liquidate relevant entries until the time for parties to file a request for a statutory injunction has expired (*i.e.*, within 90 days of publication).

Because Jinquan/Baiyuan's *ad valorem* weighted-average final dumping margin is not zero or *de minimis* (*i.e.*, less than 0.50 percent), we have calculated importer-specific assessment rates for this respondent, in accordance with 19 CFR 351.212(b)(1).¹⁵

For sales for which Jinquan/Baiyuan reported entered value, we have calculated importer-specific *ad valorem* assessment rates based on the ratio of the total amount of dumping calculated for each importer's examined sales to the total entered value of those sales, in accordance with 19 CFR 351.212(b)(1). For sales for which Jinquan/Baiyuan did not report entered value, we have calculated importer-specific per-unit duty assessment rates based on the ratio of the total amount of antidumping duties calculated for the examined sales to the total quantity of those sales. To determine whether an importer-specific, per-unit assessment rate is *de minimis*, in accordance with 19 CFR 351.106(c)(2), we also calculated an importer-specific *ad valorem* ratio based on estimated entered values.

¹⁵ In these preliminary results, Commerce applied the assessment rate calculation method adopted in *Antidumping Proceedings: Calculation of the Weighted-Average Dumping Margin and Assessment Rate in Certain Antidumping Proceedings: Final Modification*, 77 FR 8101 (February 14, 2012).

For Yinfeng/Mangrove, we will instruct CBP to liquidate the appropriate entries without regard to antidumping duties.¹⁶ For entries that were not reported in the U.S. sales databases submitted by Yinfeng/Mangrove and Jinquan/Baiyuan during this review, Commerce will instruct CBP to liquidate such entries at the China-wide rate (*i.e.*, 220.87 percent).

For the companies identified as part of the China-wide entity (*i.e.*, Aventura, China Cornici, Gaomi Hongtai and Shuyang Zhongding), we will instruct CBP to apply the China-wide rate (*i.e.*, 220.87 percent) to all entries of subject merchandise during the POR which were exported by these companies.

For the 12 companies listed in Appendix III, for which the administrative review is rescinded, antidumping duties shall be assessed at a rate equal to the cash deposit of estimated antidumping duties required at the time of entry, or withdrawal from warehouse, for consumption, in accordance with 19 CFR 351.212(c)(1)(i).

Cash Deposit Requirements

The following cash deposit requirements will be effective upon publication of the final results of this administrative review for all shipments of the subject merchandise from China entered, or withdrawn from warehouse, for consumption on or after the publication date, as provided by section 751(a)(2)(C) of the Act: (1) for Yinfeng/Mangrove, the cash deposit rate will be zero; (2) for Jinquan/Baiyuan and the other companies which were found eligible for a separate rate, the cash deposit rate will be 4.25 percent; (3) for previously investigated or reviewed Chinese and non-Chinese exporters not listed above that have separate rates, the cash deposit rate will continue to be the exporter-specific rate published for the most recently completed segment of this proceeding in which they were reviewed; (4) for all Chinese exporters of subject merchandise that have not been found to be entitled to a separate rate, the cash deposit rate will be equal to the weighted-average dumping margin for the China-wide entity (*i.e.*, 220.87 percent); and (5) for all non-Chinese exporters of subject merchandise which have not received their own separate rate, the cash deposit rate will be the rate applicable to the Chinese exporter(s) that supplied that non-Chinese exporter. These per-unit cash deposit requirements, when imposed, shall remain in effect until further notice.

¹⁶ See 19 CFR 351.106(c)(2).

Notification to Importers Regarding the Reimbursement of Duties

This notice also serves as a final reminder to importers of their responsibility under 19 CFR 351.402(f)(2) to file a certificate regarding the reimbursement of antidumping and/or countervailing duties prior to liquidation of the relevant entries during this POR. Failure to comply with this requirement could result in Commerce's presumption that reimbursement of antidumping and/or countervailing duties has occurred and the subsequent assessment of double antidumping duties, and/or increase in the amount of antidumping duties by the amount of the countervailing duties.

Administrative Protective Order (APO)

This notice also serves as a reminder to parties subject to an APO of their responsibility concerning the return or destruction of proprietary information disclosed under APO in accordance with 19 CFR 351.305(a)(3), which continues to govern business proprietary information in this segment of the proceeding. Timely written notification of the return or destruction of APO materials, or conversion to judicial protective order, is hereby requested. Failure to comply with the regulations and terms of an APO is a violation which is subject to sanction.

Notification to Interested Parties

We are issuing and publishing these final results of administrative review and notice in accordance with sections 751(a)(1) and 777(i) of the Act and 19 CFR 351.221(b)(5) and 19 CFR 351.213(h)(2).

Dated: September 11, 2024.

Ryan Majerus,

Deputy Assistant Secretary for Policy and Negotiations, performing the non-exclusive functions and duties of the Assistant Secretary for Enforcement and Compliance.

Appendix I

List of Topics Discussed in the Issues and Decision Memorandum

- I. Summary
- II. Background
- III. Scope of the Order
- IV. Changes Since the *Preliminary Results*
- V. Discussion of the Issues
 - General
 - Comment 1: Whether to Apply Adverse Facts Available to Yinfeng/Mangrove and Jinquan/Baiyuan
 - Comment 2: Labor Surrogate Value Selection
 - Comment 3: Selection of Surrogate Producers
 - Comment 4: Market Economy Purchases Jinquan/Baiyuan
 - Comment 5: Jinquan/Baiyuan's Electricity Offset

- Comment 6: Freight Revenue Cap
- Comment 7: Exclusion of Certain U.S. Sales With Entry Dates After the POR
- Comment 8: Valuation of Wood Powder
- Comment 9: Valuation of Radiata Pine Log Separate Rate Companies
- Comment 10: Liquidation Instructions for CTIL

Appendix II

Non-Selected Companies Under Review Receiving a Separate Rate

1. Anji Huaxin Bamboo & Wood Products Co., Ltd.
2. Composite Technology International, Limited
3. Fujian Hongjia Craft Products Co., Ltd.
4. Fujian Sanming City Donglai Wood Co., Ltd.
5. Fujian Wangbin Decorative Material Co., Ltd.
6. Fujian Youxi Best Arts & Crafts Co. Ltd.
7. Huaan Longda Wood Industry Co., Ltd.
8. Jiangsu Wenfeng Wood Co., Ltd.
9. Longquan Jiefeng Trade Co., Ltd.
10. Nanping Huatai Wood & Bamboo Co., Ltd.
11. Nicer Window Fashions Co., Ltd.
12. Putian Yihong Wood Industry Co., Ltd.
13. Qimen Jianxing Bamboo and Wood Goods Co., Ltd.
14. Rui Xing Wooden Products Co., Ltd.
15. Shandong Miting Household Co., Ltd.
16. Shaxian Hengtong Wood Industry Co., Ltd.
17. Shaxian Shiyiwood, Ltd.
18. Shuyang Kevin International Co., Ltd.
19. Sun Valley Shade Co., Ltd.
20. Suqian Sulu Import & Export Trading Co., Ltd.
21. Zhangzhou Wangjiamai Industry & Trade Co., Ltd.
22. Zhangzhou Yihong Industrial Co., Ltd.

Appendix III

Companies for Which the Review Is Rescinded

1. Jiangsu Chen Sheng Forestry Development Co., Ltd.
2. Omni One Co., Ltd.
3. Raoping HongRong Handicrafts Co., Ltd.
4. Baixing Import and Export Trading Co., Ltd Youxi Fujian
5. Bel Trade Wood Industrial Co., Ltd. Youxi Fujian
6. Fotiou Frames Limited
7. Fujian Zhangping Kimura Forestry Products Co., Ltd.
8. Homebuild Industries Co., Ltd.
9. Jim Fine Wooden Products Co., Ltd.
10. Shenzhen Xinjintai Industrial Co., Ltd.
11. Tim Feng Manufacturing Co., Ltd.
12. Wuxi Boda Bamboo & Wood Industrial Co., Ltd.

[FR Doc. 2024–21225 Filed 9–17–24; 8:45 am]

BILLING CODE 3510-DS-P

DEPARTMENT OF COMMERCE

International Trade Administration

[C–821–839]

Ferrosilicon From the Russian Federation: Final Affirmative Countervailing Duty Determination and Final Affirmative Determination of Critical Circumstances

AGENCY: Enforcement and Compliance, International Trade Administration, Department of Commerce.

SUMMARY: The U.S. Department of Commerce (Commerce) determines that countervailable subsidies are being provided to producers and exporters of ferrosilicon from the Russian Federation (Russia). The period of investigation (POI) is January 1, 2023, through December 31, 2023.

DATES: Applicable September 18, 2024.

FOR FURTHER INFORMATION CONTACT: Mark Hoadley, AD/CVD Operations, Office IX, Enforcement and Compliance, International Trade Administration, U.S. Department of Commerce, 1401 Constitution Avenue NW, Washington, DC 20230; telephone: (202) 482–3148.

SUPPLEMENTARY INFORMATION:

Background

On June 28, 2024, Commerce published its *Preliminary Determination* in the **Federal Register** and invited interested parties to comment.¹ Subsequently, on August 28, 2024, Commerce published its *Preliminary Critical Circumstances Determination* in the **Federal Register** and invited interested parties to comment.² On July 22, 2024, Commerce tolled certain deadlines in these administrative proceedings by seven days.³ The deadline for the final determination is now September 11, 2024. For a complete discussion of the events that followed the *Preliminary Determination*, see the Issues and Decision Memorandum.⁴

¹ See *Ferrosilicon from the Russian Federation: Preliminary Affirmative Countervailing Duty Determination*, 89 FR 53949 (June 28, 2024) (*Preliminary Determination*), and accompanying Preliminary Decision Memorandum (PDM).

² See also *Ferrosilicon from the Russian Federation: Preliminary Affirmative Critical Circumstances Determinations*, 89 FR 68860 (August 28, 2024) (*Preliminary Critical Circumstances Determination*).

³ See Memorandum, “Tolling of Deadlines in Antidumping and Countervailing Duty Proceeding,” dated July 22, 2024.

⁴ See Memorandum, “Decision Memorandum for the Final Affirmative Determination in the Countervailing Duty Investigation of Ferrosilicon from the Russian Federation,” dated concurrently with, and hereby adopted by, this notice (Issues and Decision Memorandum).

The Issues and Decision Memorandum is a public document and is made available to the public via Enforcement and Compliance's Antidumping and Countervailing Duty Centralized Electronic Service System (ACCESS). ACCESS is available to registered users at <https://access.trade.gov>. In addition, a complete version of the Issues and Decision Memorandum can be accessed directly at <https://access.trade.gov/public/FRNoticesListLayout.aspx>.

Scope of the Investigation

The product covered by this investigation is ferrosilicon from Russia. For a complete description of the scope of this investigation, *see* Appendix I.

Scope Comments

On August 28, 2024, CC Metals and Alloys, LLC and Ferroglobe USA, INC. (collectively, the petitioners) filed a clarification of the scope language in which the petitioner noted that there was a word missing in the scope language (*i.e.*, in the Petition and the *Initiation Notice*, the first paragraph of the scope stated: “10 percent or less any other element” and should read “10 percent or less of any other element”).⁵ We have corrected this omission. For a full description of the scope of this investigation, *see* Appendix I.

Analysis of Subsidy Programs and Comments Received

The subsidy programs under investigation and the issues raised in the case and rebuttal briefs by the parties in this investigation are discussed in the Issues and Decision Memorandum. For a list of the issues raised by interested parties and addressed in the Issues and Decision Memorandum, *see* Appendix II.

Methodology

Commerce conducted this investigation in accordance with section 701 of the Tariff Act of 1930, as amended (the Act). For each of the subsidy programs found to be countervailable, Commerce determines that there is a subsidy, *i.e.*, a financial contribution by an “authority” that gives rise to a benefit to the recipient, and that the subsidy is specific.⁶ For a full description of the methodology

underlying our final determination, *see* the Issues and Decision Memorandum.

In making this final determination, Commerce relied on total facts otherwise available, including with an adverse inference, pursuant to sections 776(a) and (b) of the Act. For a full discussion of our application of adverse facts available (AFA), *see* the *Preliminary Determination*⁷ and the Issues and Decision Memorandum at the section entitled “Use of Facts Otherwise Available and Application of Adverse Inferences.”

Changes Since the Preliminary Determination

Based on our review and analysis of the comments received from interested parties, we did not make changes to the subsidy rate determinations for RFA.

Final Affirmative Determination of Critical Circumstances

In the *Preliminary Critical Circumstances Determination*, Commerce preliminary determined, in accordance with section 703(e) of the Act, and 19 CFR 351.206, that critical circumstances exist with respect to imports of subject merchandise for Russian Ferro Alloys Inc./RFA International LP (RFA), the mandatory respondent in this investigation, and all other producers and/or exporters.⁸ For this final determination, in accordance with section 705(a)(2) of the Act as well as our analysis of comments received regarding our affirmative preliminary determination of critical circumstances,⁹ Commerce continues to find that critical circumstances exist with respect to imports of subject merchandise for RFA and all other producers and/or exporters.¹⁰

All-Others Rate

Pursuant to section 705(c)(5)(A)(i) of the Act, Commerce will determine an all-others rate equal to the weighted-average countervailable subsidy rates established for exporters and/or producers individually investigated, excluding any zero or *de minimis* countervailable subsidy rates, and any rates determined entirely under section 776 of the Act. However, as discussed in the *Preliminary Determination*, Commerce based the selection of the all-others rate on the countervailable subsidy rate established for the

mandatory respondent, in accordance with section 705(c)(5)(A)(ii) of the Act.¹¹ As a result, because the only subsidy rate available, is the rate determined for RFA, the rate calculated for RFA is also assigned as the rate for all other producers and exporters. We made no changes to the selection of the all-others rate for this final determination.

Final Determination

Commerce determines that the following estimated countervailable subsidy rates exist for the period January 1, 2023, through December 31, 2023:

Company	Subsidy rate (percent <i>ad valorem</i>)
Russian Ferro Alloys Inc./ RFA International LP	* 748.58
All Others	748.58

* Rate based on AFA.

Disclosure

Normally, Commerce discloses to interested parties the calculations performed in connection with a final determination within five days of any public announcement or, if there is no public announcement, within five days of the date of publication of the notice of final determination in the **Federal Register**, in accordance with 19 CFR 351.224(b). However, because there are no changes to the calculations from the *Preliminary Determination*, no additional disclosure is necessary.

Continuation of Suspension of Liquidation

As a result of our *Preliminary Determination* and pursuant to sections 703(d)(1)(B) and (d)(2) of the Act, we instructed U.S. Customs and Border Protection (CBP) to suspend liquidation of entries of subject merchandise from Russia that were entered, or withdrawn from warehouse, for consumption, on or after June 28, 2024, the date of publication of the *Preliminary Determination* in the **Federal Register**. Because we preliminarily determined that critical circumstances existed with respect to RFA and all other producers/exporters, we instructed CBP to suspend such entries on or after April 24, 2024, the date of publication of the initiation notice in the **Federal Register**.¹²

⁵ See Petitioners' Letter, “Clarification of Scope Language,” dated August 28, 2024; *see also* *Ferrosilicon from Brazil, Kazakhstan, Malaysia, and the Russian Federation: Initiation of Countervailing Duty Investigations*, 89 FR 31133 dated April 24, 2024 (*Initiation Notice*).

⁶ See sections 771(5)(B) and (D) of the Act regarding financial contribution; *see also* section 771(5)(E) of the Act regarding benefit; and section 771(5)(A) of the Act regarding specificity.

⁷ See *Preliminary Determination* PDM at 4–27.

⁸ See *Preliminary Critical Circumstances Determination*.

⁹ See Issues and Decision Memorandum at Comment 3.

¹⁰ See *Preliminary Critical Circumstances Determination*; *see also* Issues and Decision Memorandum.

¹¹ See *Preliminary Determination*, 89 FR 53949.

¹² See *Preliminary Critical Circumstances Determination*. We note that the *Preliminary Critical Circumstances Determination* indicated March 30, 2024, as the start of the suspension of liquidation. However, pursuant to section 703(e)(2) of the Act, the correct date for the start of

In accordance with section 703(d) of the Act, we will instruct CBP to discontinue the suspension of liquidation of all entries of subject merchandise entered or withdrawn from warehouse, on or after October 25, 2024, the final day of provisional measures.

If the U.S. International Trade Commission (ITC) issues a final affirmative injury determination, we will issue a CVD order, reinstate the suspension of liquidation under section 706(a) of the Act, as appropriate, and require a cash deposit of estimated countervailing duties for entries of subject merchandise in the amounts indicated above. If the ITC determines that material injury, or threat of material injury, does not exist, this proceeding will be terminated, and all estimated duties deposited or securities posted as a result of the suspension of liquidation will be refunded or cancelled.

ITC Notification

In accordance with section 705(d) of the Act, we will notify the ITC of our final affirmative determination that countervailable subsidies are being provided to producers and exporters of ferrosilicon from Russia. Because the final determination is affirmative, in accordance with section 705(b) of the Act, the ITC will make its final determination as to whether the domestic industry in the United States is materially injured, or threatened with material injury, by reason of imports of ferrosilicon from Russia no later than 45 days after our final determination. In addition, we are making available to the ITC all non-privileged and nonproprietary information related to this investigation. We will allow the ITC access to all privileged and business proprietary information in our files, provided the ITC confirms that it will not disclose such information, either publicly or under an administrative protective order (APO), without the written consent of the Assistant Secretary for Enforcement and Compliance. If the ITC determines that material injury or threat of material injury does not exist, this proceeding will be terminated and all cash deposits will be refunded. If the ITC determines that such injury does exist, Commerce will issue a CVD order directing CBP to assess, upon further instruction by Commerce, CVDs on all imports of the subject merchandise that are entered, or withdrawn, for consumption on or after the effective date of the suspension of liquidation, as discussed above in the

suspension of liquidation is April 24, 2024, which is the date of publication of the *Initiation Notice*.

“Continuation of Suspension of Liquidation” section.

Administrative Protective Order

In the event that the ITC issues a final negative injury determination, this notice will serve as the only reminder to parties subject to an APO of their responsibility concerning the destruction of proprietary information disclosed under APO, in accordance with 19 CFR 351.305(a)(3). Timely written notification of the return/destruction of APO materials or conversion to judicial protective order is hereby requested. Failure to comply with the regulations and terms of an APO is a violation which is subject to sanction.

Notification to Interested Parties

This determination is issued and published in accordance with sections 705(d) and 777(i) of the Act, and 19 CFR 351.210(c).

Dated: September 11, 2024.

Ryan Majerus,

Deputy Assistant Secretary for Policy and Negotiations, performing the non-exclusive functions and duties of the Assistant Secretary for Enforcement and Compliance.

Appendix I

Scope of the Investigation

The scope of this investigation covers all forms and sizes of ferrosilicon, regardless of grade, including ferrosilicon briquettes. Ferrosilicon is a ferroalloy containing by weight four percent or more iron, more than eight percent but not more than 96 percent silicon, three percent or less phosphorus, 30 percent or less manganese, less than three percent magnesium, and 10 percent or less of any other element. The merchandise covered also includes product described as slag, if the product meets these specifications.

Subject merchandise includes material matching the above description that has been finished, packaged, or otherwise processed in a third country, including by performing any grinding or any other finishing, packaging, or processing that would not otherwise remove the merchandise from the scope of the investigation if performed in the country of manufacture of the ferrosilicon.

Ferrosilicon is currently classifiable under subheadings 7202.21.1000, 7202.21.5000, 7202.21.7500, 7202.21.9000, 7202.29.0010, and 7202.29.0050 of the Harmonized Tariff Schedule of the United States (HTSUS). While the HTSUS numbers are provided for convenience and customs purposes, the written description of the scope remains dispositive.

Appendix II

List of Topics Discussed in the Issues and Decision Memorandum

- I. Summary
- II. Background
- III. Scope of the Investigation
- IV. Final Critical Circumstances

- Determination
- V. Use of Facts Otherwise Available and Application of Adverse Inferences
- VI. Analysis of Programs
- VII. Discussion of the Issues
 - Comment 1: Whether Commerce Should Apply Total Adverse Facts Available (AFA) to the Programs Under Investigation
 - Comment 2: Whether Commerce Should Revise Its Decision Regarding Mandatory Respondent Selection
 - Comment 3: Whether Commerce Should Reverse Its Preliminary Affirmative Critical Circumstances Finding
- VIII. Recommendation

[FR Doc. 2024–21181 Filed 9–17–24; 8:45 am]

BILLING CODE 3510-DS-P

DEPARTMENT OF COMMERCE

National Oceanic and Atmospheric Administration

[RTID 0648–XE286]

Mid-Atlantic Fishery Management Council (MAFMC); Public Meeting

AGENCY: National Marine Fisheries Service (NMFS), National Oceanic and Atmospheric Administration (NOAA), Commerce.

ACTION: Notice; public meeting.

SUMMARY: The Mid-Atlantic Fishery Management Council’s (Council) Summer Flounder, Scup, and Black Sea Bass Advisory Panel will hold a public meeting, jointly with the Atlantic States Marine Fisheries Commission’s Summer Flounder, Scup and Black Sea Bass Advisory Panel.

DATES: The meeting will be held on Thursday, October 3, 2024, from 3 p.m. until 4:30 p.m. For agenda details, see **SUPPLEMENTARY INFORMATION**.

ADDRESSES: The meeting will be held via webinar. Connection information will be posted prior to the meeting at www.mafmc.org.

Council address: Mid-Atlantic Fishery Management Council, 800 N. State Street, Suite 201, Dover, DE 19901; telephone: (302) 674–2331; www.mafmc.org.

FOR FURTHER INFORMATION CONTACT: Christopher M. Moore, Ph.D., Executive Director, Mid-Atlantic Fishery Management Council, telephone: (302) 526–5255.

SUPPLEMENTARY INFORMATION: The purpose of this meeting is for the Advisory Panel to review and provide comments on the draft Summer Flounder Commercial Mesh Size Exemptions Framework/Addendum. The review will cover the alternatives under consideration and a preliminary

overview of public comments collected during the previous public comment period. The document includes proposed revisions to two exemptions related to the summer flounder commercial minimum mesh size requirements: (1) the Small Mesh Exemption Program (SMEP), and (2) the flynet exemption. The Advisory Panel will provide input and recommendations to the Council and the Atlantic States Marine Fisheries Commission's Summer Flounder, Scup, and Black Sea Bass Board (Board) on the draft alternatives prior to the Council and Board taking final action at the Commission's Annual Meeting in October.

Additional information, including background documents, can be found on the Council's website at: <https://www.mafmc.org/>.

Special Accommodations

The meeting is physically accessible to people with disabilities. Requests for sign language interpretation or other auxiliary aid should be directed to Shelley Spedden, (302) 526-5251, at least 5 days prior to the meeting date.

Authority: 16 U.S.C. 1801 *et seq.*

Dated: September 12, 2024.

Rey Israel Marquez,

Acting Deputy Director, Office of Sustainable Fisheries, National Marine Fisheries Service.

[FR Doc. 2024-21128 Filed 9-17-24; 8:45 am]

BILLING CODE 3510-22-P

DEPARTMENT OF COMMERCE

Patent and Trademark Office

Agency Information Collection Activities; Submission to the Office of Management and Budget (OMB) for Review and Approval; Comment Request; Generic Clearance for the Collection of Qualitative Feedback on Agency Service Delivery

The United States Patent and Trademark Office (USPTO) will submit the following information collection request to the Office of Management and Budget (OMB) for review and clearance in accordance with the Paperwork Reduction Act of 1995, on or after the date of publication of this notice. The USPTO invites comments on this information collection renewal, which helps the USPTO assess the impact of its information collection requirements and minimize the public's reporting burden. Public comments were previously requested via the **Federal Register** on June 17, 2024 during a 60-day comment period (89 FR 51312).

This notice allows for an additional 30 days for public comment.

Agency: United States Patent and Trademark Office, Department of Commerce.

Title: Generic Clearance for the Collection of Qualitative Feedback on Agency Service Delivery.

OMB Control Number: 0651-0080.

Needs and Uses: Executive Order 12862 (Setting Customer Service Standards) directs Federal agencies to provide services to the public that matches or exceeds the best services available in the private sector.¹ In order to work continuously to ensure that its programs are effective and meet its customers' needs, the United States Patent and Trademark Office (USPTO) uses this generic clearance to collect qualitative feedback on its service delivery. Qualitative feedback refers to information that provides useful insights on perceptions and opinions, but is not in the form of statistical surveys which yield quantitative results that can be generalized to the population of study.

The USPTO collects, analyzes, and interprets the information gathered to identify strengths and weaknesses of current services. Based on feedback received, the USPTO will identify operational changes needed to improve programs and services. The solicitation of such feedback will target areas such as: timeliness, appropriateness, accuracy of information, courtesy, efficiency of service delivery, and resolution of issues with service delivery.

Collecting this feedback provides the USPTO with information on customer satisfaction. This feedback provides for ongoing, collaborative, and actionable communication between the USPTO and its customers and stakeholders. Additionally, it allows the USPTO to gather feedback in an efficient and timely manner. The information collected from external customers and stakeholders ensures that users have an opportunity to convey their experience with USPTO programs. This information collection also provides insights into customer or stakeholder perceptions, experiences, and expectations, which allows the USPTO to focus its attention on areas where communication, training, or changes in operations may be necessary.

This information collection covers a variety of methods used by USPTO to obtain qualitative feedback from the public. The estimated number of annual responses and burden hours being

requested are based on the number of information collections the USPTO expects to conduct over the period of this clearance. Each specific request for clearance under this generic information collection includes estimates for the following information: respondent types, number of respondents, number of responses, time per response, burden hours, and associated costs.

Forms: None.

Type of Review: Extension and revision of a currently approved information collection.

Affected Public: Individuals and households.

Respondent's Obligation: Voluntary.

Frequency: On occasion.

Estimated Number of Annual Respondents: 150,000 respondents.

Estimated Number of Annual Responses: 150,000 responses.

Estimated Time per Response: The USPTO estimates that the responses in this information collection will take the public approximately 10 minutes (0.17 hours) to complete. This includes the time to gather the necessary information, create the document, and submit the completed item to the USPTO.

Estimated Total Annual Respondent Burden Hours: 25,500 hours.

Estimated Total Annual Respondent Non-hourly Cost Burden: \$0.

This information collection request may be viewed at www.reginfo.gov. Follow the instructions to view Department of Commerce, USPTO information collections currently under review by OMB.

Written comments and recommendations for this information collection should be submitted within 30 days of the publication of this notice on the following website, www.reginfo.gov/public/do/PRAMain. Find this particular information collection by selecting "Currently under 30-day Review-Open for Public Comments" or by using the search function and entering either the title of the information collection or the OMB Control Number, 0651-0080.

Further information can be obtained by:

- *Email:* InformationCollection@uspto.gov. Include "0651-0080 information request" in the subject line of the message.

- *Mail:* Justin Isaac, Office of the Chief Administrative Officer, United States Patent and Trademark Office,

¹ <https://www.archives.gov/files/federal-register/executive-orders/pdf/12862.pdf>.

P.O. Box 1450, Alexandria, VA 22313–1450.

Justin Isaac,

Information Collections Officer, Office of the Chief Administrative Officer, United States Patent and Trademark Office.

[FR Doc. 2024–21143 Filed 9–17–24; 8:45 am]

BILLING CODE 3510–16–P

COMMODITY FUTURES TRADING COMMISSION

Sunshine Act Meetings

TIME AND DATE: 10:00 a.m. EDT, Friday, September 20, 2024.

PLACE: CFTC Headquarters Conference Center, Three Lafayette Centre, 1155 21st Street NW, Washington, DC.

STATUS: Open.

MATTERS TO BE CONSIDERED: The Commodity Futures Trading Commission (“Commission” or “CFTC”) will hold this meeting to consider Final Commission Guidance Regarding the Listing of Voluntary Carbon Credit Derivative Contracts.

The agenda for this meeting will be available to the public and posted on the Commission’s website at <https://www.cftc.gov>. Members of the public are free to attend the meeting in person, or have the option to listen by phone or view a live stream. Instructions for listening to the meeting by phone and connecting to the live video stream will be posted on the Commission’s website.

In the event that the time, date, or place of this meeting changes, an announcement of the change, along with the new time, date, or place of the meeting, will be posted on the Commission’s website.

CONTACT PERSON FOR MORE INFORMATION: Christopher Kirkpatrick, Secretary of the Commission, 202–418–5964.

(Authority: 5 U.S.C. 552b.)

Dated: September 13, 2024.

Christopher Kirkpatrick,
Secretary of the Commission.

[FR Doc. 2024–21398 Filed 9–16–24; 11:15 am]

BILLING CODE 6351–01–P

DEPARTMENT OF DEFENSE

Office of the Secretary

Board of Visitors, National Defense University; Notice of Federal Advisory Committee Meeting

AGENCY: Office of the Chairman Joint Chiefs of Staff, Department of Defense (DoD).

ACTION: Notice of Federal advisory committee meeting.

SUMMARY: The DoD is publishing this notice to announce that the following Federal Advisory Committee meeting of the Board of Visitors, National Defense University (BoV NDU) will take place.

DATES: Wednesday, September 25, 2024 from 10:15 a.m. to 3:15 p.m. Eastern Time (ET).

ADDRESSES: Marshall Hall, Building 62, Room 155, the National Defense University, 300 5th Avenue SW, Fort McNair, Washington, DC 20319–5066. Visitors should report to the Front Security Desk in the lobby of Marshall Hall and from there, they will be directed to the meeting room.

FOR FURTHER INFORMATION CONTACT: Ms. Joycelyn Stevens, (202) 685–0079 (Voice) joycelyn.a.stevens.civ@mail.mil; stevensj7@ndu.edu (Email). Mailing address is National Defense University, Fort McNair, Washington, DC 20319–5066. Website: <http://www.ndu.edu/About/Board-of-Visitors/>. The most up-to-date changes to the meeting agenda can be found at <https://www.ndu.edu/About/Board-of-Visitors/BOV-Sept-25-2024>.

SUPPLEMENTARY INFORMATION: Due to circumstances beyond the control of the Designated Federal Officer, the BoV NDU was unable to provide public notification required by 41 CFR 102–3.150(a) concerning its September 25, 2024 meeting. Accordingly, the Advisory Committee Management Officer for the DoD, pursuant to 41 CFR 102–3.150(b), waives the 15-calendar day notification requirement.

This meeting is being held in accordance with chapter 10 of title 5 United States Code (U.S.C.) (commonly known as the “Federal Advisory Committee Act” or “FACA”), 5 U.S.C. 552b (commonly known as the “Government in the Sunshine Act”), and 41 CFR 102–3.140 and 102–3.150. Pursuant to 5 U.S.C. 552b and 41 CFR 102–3.140 through 102–3.165, this meeting is open to the public.

Purpose of the Meeting: The purpose of the meeting will include discussion on accreditation compliance, organizational management, resource management, and other matters of interest to the NDU.

Agenda: Wednesday, September 25, 2024 from 10:15 a.m. to 3:15 p.m. Call to Order and Administrative Notes; Remarks on Joint Professional Military Education; Introduction of the Incoming NDU President; State of the University Address; Middle States Commission on Higher Education Accreditation Update;

NDU Mission Assessment & Strategic Initiatives; Budget, Personnel, and Facilities Update; IT Update & NDU Connect Showcase; NDU Organizational Revision; Discussion of Public Written Comments; Board of Visitors Member Deliberation and Feedback; Wrap-up and Closing Remarks.

Meeting Accessibility: Limited space is available for observers and will be allocated on a first come, first served basis. Meeting location is handicap accessible. The Main Gate/Visitor’s Gate on 2nd Street SW is open 24/7. All non-DoD, non-federally affiliated visitors must use this gate to access Fort McNair.

Base Access Requirements: All visitors without a DoD Common Access Card or U.S. military ID must be vetted in advance to gain entry onto the base. Per the U.S. Army, all non-DoD civilians are required to have a background check before being allowed on a military installation; better known as vetting. It is highly recommended that visitors undergo the pre-vetting process and apply online as detailed below.

For Pre-Vetting

To allow sufficient time for processing, access requests should be submitted no more than 14 days ahead or less than three days before the event. The visitor will receive notification via email, and, if approved, a one-day visitor’s pass for entry onto the base. The visitor must print the pass and present it to the guard at the gate to enter Fort McNair.

(a) If the visitor has a valid U.S. driver’s license:

(i) The visitor can apply for access online at <https://pass.aie.army.mil/jbmhh/>. Under Reason for Visit, select “Other.” Alternatively, the visitor can apply in person at the Fort McNair Visitor Control Center (VCC)/Police Substation (Building 65) from 8:00 a.m. to 4:00 p.m. Monday through Friday.

(b) If the visitor does not have a U.S. driver’s license:

(i) The visitor must fill out a paper application in person at the Fort McNair Visitor Control Center VCC/Police Substation (Building 65) from 8:00 a.m. to 4:00 p.m. Monday through Friday.

For Vetting the Day of the Event

The visitor must apply in person at the Fort McNair VCC/Police Substation (Building 65) from 8:00 a.m. to 4:00 p.m. Monday through Friday. The visitor should plan to arrive early, as the procedure for running background checks and issuing passes can take much longer than expected.

For additional information, please go to <https://home.army.mil/jbmhh/>

[index.php/my-fort/all-services/access-gate-info](#).

Vehicle Search: Non-DoD, non-federally-affiliated visitors' vehicles are subject to search.

Written Statements: Pursuant to 41 CFR 102–3.105(j) and 102–3.140, and section 10(a)(3) of the FACA, written statements to the committee may be submitted to the committee at any time or in response to a stated planned meeting agenda by email or fax to Ms. Joycelyn Stevens at bov@ndu.edu or Fax (202) 685–3920. Any written statements received by 5:00 p.m. on Tuesday, September 24 will be distributed to the BoV NDU in the order received. Comments pertaining to the agenda items will be discussed during the public meeting. Any written statements received after the deadline will be provided to the members of the BoV NDU prior to the next scheduled meeting and posted on the website.

Dated: September 9, 2024.

Aaron T. Siegel,

Alternate OSD Federal Register Liaison Officer, Department of Defense.

[FR Doc. 2024–21133 Filed 9–17–24; 8:45 am]

BILLING CODE 6001–FR–P

DEPARTMENT OF EDUCATION

2024–2025 Award Year Deadline Dates for Reports and Other Records Associated With the Free Application for Federal Student Aid (FAFSA), the Federal Supplemental Educational Opportunity Grant Program (FSEOG) Program, the Federal Work-Study (FWS) Program, the Federal Pell Grant (Pell Grant) Program, the William D. Ford Federal Direct Loan (Direct Loan) Program, and the Teacher Education Assistance for College and Higher Education (TEACH) Grant Program

AGENCY: Federal Student Aid, Department of Education.

ACTION: Notice.

SUMMARY: The Secretary announces deadline dates for the receipt of documents and other information from applicants and institutions participating in certain Federal student aid programs authorized under title IV of the Higher Education Act of 1965, as amended (HEA), for the 2024–2025 award year. These programs, administered by the Department of Education (Department), provide financial assistance to students attending eligible postsecondary educational institutions to help them pay their educational costs.

The Federal student aid programs (title IV, HEA programs) covered by this deadline date notice are the Pell Grant,

Direct Loan, TEACH Grant, and Campus-Based (FSEOG and FWS) programs.

Assistance Listing Numbers: 84.007 FSEOG Program; 84.033 FWS Program; 84.063 Pell Grant Program; 84.268 Direct Loan Program; and 84.379 TEACH Grant Program.

DATES: *Deadline and Submission Dates:* See Tables A and B at the end of this notice.

FOR FURTHER INFORMATION CONTACT:

Linnea Hengst, U.S. Department of Education, Federal Student Aid, 830 First Street NE, Union Center Plaza, Room 114B4, Washington, DC 20202–5345. Telephone: (202) 377–3165. Email: linnea.hengst@ed.gov.

If you are deaf, hard of hearing, or have a speech disability and wish to access telecommunications relay services, please dial 7–1–1.

SUPPLEMENTARY INFORMATION:

Table A—2024–2025 Award Year Deadline Dates by Which a Student Must Submit the FAFSA, by Which the Institution Must Receive the Student's Institutional Student Information Record (ISIR) or FAFSA Submission Summary, and by Which the Institution Must Submit Verification Outcomes for Certain Students.

Table A provides information and deadline dates for receipt of the FAFSA, corrections to and signatures for the FAFSA, ISIRs, and FAFSA Submission Summary, and verification documents.

The deadline date for the receipt of a FAFSA by the Department's FAFSA Processing System (FPS) is June 30, 2025, regardless of the method that the applicant uses to submit the FAFSA. The deadline date for the receipt of corrections, notices of change of address or institution, or requests for a duplicate FAFSA Submission Summary is September 13, 2025.

For all title IV, HEA programs, an ISIR or FAFSA Submission Summary for the student must be received by the institution no later than the student's last date of enrollment for the 2024–2025 award year or September 20, 2025, whichever is earlier. Note that a FAFSA must be submitted and an ISIR or FAFSA Submission Summary received for the dependent student for whom a parent is applying for a Direct PLUS Loan.

Except for students selected for Verification Tracking Groups V4 and V5, verification documents must be received by the institution no later than 120 days after the student's last date of enrollment for the 2024–2025 award year or September 20, 2025, whichever is earlier. For students selected for Verification Tracking Groups V4 and

V5, institutions must submit identity verification results no later than 60 days following the institution's first request to the student to submit the documentation, or when the FAFSA Partner Portal (FPP) Verification of Identity function is made available for the 2024–2025 Award Year, whichever is later.

For all title IV, HEA programs except for (1) Direct PLUS Loans that will be made to parent borrowers, and (2) Direct Unsubsidized Loans that will be made to dependent students who have been determined by the institution, pursuant to section 479A(a) of the HEA, to be eligible for such a loan without providing parental information on the FAFSA, the ISIR or FAFSA Submission Summary must have an official Student Aid Index (SAI) and the ISIR or FAFSA Submission Summary must be received by the institution no later than the earlier of the student's last date of enrollment for the 2024–2025 award year or September 20, 2025. For the two exceptions mentioned above, the ISIR or FAFSA Submission Summary must be received by the institution by the same dates noted in this paragraph but the ISIR or FAFSA Submission Summary is not required to have an official SAI.

For a student who is requesting aid through the Pell Grant, FSEOG, or FWS programs or for a student requesting Direct Subsidized Loans, who does not meet the conditions for a late disbursement under 34 CFR 668.164(j), a valid ISIR or valid FAFSA Submission Summary must be received by the institution by the student's last date of enrollment for the 2024–2025 award year or September 20, 2025, whichever is earlier. Additionally, for the 2024–2025 Award Year, the Department is providing additional flexibilities for students who applied via the paper FAFSA form and were enrolled only for the 2024 summer term. An institution that receives an ISIR for a student who was enrolled for the summer term and is no longer enrolled, and who, if not for the delay of the processing of paper FAFSA forms, would have otherwise been eligible to receive title IV program funds, may still award and disburse the funds, subject to all other late disbursement requirements. For this exception to apply, the ISIR or FAFSA Submission Summary must have an Application Receipt Date on or before the student's last date of enrollment for the summer term but the ISIR or FAFSA Submission Summary is not required to have an official SAI.

In accordance with 34 CFR 668.164(j)(4)(i), an institution may not make a late disbursement of title IV, HEA program funds later than 180 days

after the date of the institution’s determination that the student was no longer enrolled. Table A provides that, to make a late disbursement of title IV, HEA program funds, an institution must receive a valid ISIR or valid FAFSA Submission Summary no later than 180 days after its determination that the student was no longer enrolled, but not later than September 20, 2025.

Table B—2024–2025 Award Year Deadline Dates By Which an Institution Must Submit Disbursement Information For the Pell Grant, Direct Loan, and TEACH Grant Programs.

For the Pell Grant, Direct Loan, and TEACH Grant programs, Table B provides the earliest disbursement date, the earliest dates for institutions to submit disbursement records to the Department’s Common Origination and Disbursement (COD) System, and deadline dates by which institutions must submit disbursement and origination records.

For the 2024–25 Award Year, an institution must submit Pell Grant, Direct Loan, and TEACH Grant disbursement records to COD, no later than November 30, 2024 or 15 days after making the disbursement or becoming aware of the need to adjust a previously reported disbursement, whichever is later. In accordance with 34 CFR 668.164(a), title IV, HEA program funds are disbursed on the date that the institution: (a) credits those funds to a student’s account in the institution’s general ledger or any subledger of the general ledger; or (b) pays those funds to a student directly. Title IV, HEA program funds are disbursed even if an institution uses its own funds in advance of receiving program funds from the Department.

An institution’s failure to submit disbursement records within the required timeframe may result in the Department rejecting all or part of the reported disbursement. Such failure may also result in an audit or program review finding or the initiation of an adverse action, such as a fine or other penalty for such failure, in accordance

with subpart G of the General Provisions regulations in 34 CFR part 668.

Deadline Dates for Enrollment Reporting by Institutions.

In accordance with 34 CFR 674.19(f), 682.610(c), 685.309(b), and 690.83(b)(2), upon receipt of an enrollment report from the Secretary, institutions must update all information included in the report and return the report to the Secretary in a manner and format prescribed by the Secretary and within the timeframe prescribed by the Secretary. Consistent with the *National Student Loan Data System (NSLDS) Enrollment Reporting Guide*, the Secretary has determined that institutions must report at least every two months. Institutions may find the *NSLDS Enrollment Reporting Guide* in the “Knowledge Center” via Federal Student Aid’s (FSA) Partner Connect website at: <https://fsapartners.ed.gov/knowledge-center>.

Other Sources for Detailed Information.

We publish a detailed discussion of the FAFSA application process in the Application and Verification Guide volume of the 2024–2025 *Federal Student Aid Handbook* and in Volume 6 of the 2024–2025 *FAFSA Specifications Guide*.

Information on the institutional reporting requirements for the Pell Grant, Direct Loan, Federal Work-Study, and TEACH Grant programs is included in the 2024–2025 *Common Origination and Disbursement (COD) Technical Reference*. Also, see the *NSLDS Enrollment Reporting Guide*.

You may access these publications by visiting the “Knowledge Center” via FSA’s Partner Connect website at: <https://fsapartners.ed.gov/knowledge-center>.

Additionally, the 2024–2025 award year reporting deadline dates for the Federal Perkins Loan, FWS, and FSEOG programs were published in the **Federal Register** on January 23, 2024 (89 FR 4284).

Applicable Regulations: The following regulations apply:

- (1) Student Assistance General Provisions, 34 CFR part 668.
- (2) Federal Pell Grant Program, 34 CFR part 690.
- (3) William D. Ford Direct Loan Program, 34 CFR part 685.
- (4) Teacher Education Assistance for College and Higher Education Grant Program, 34 CFR part 686.
- (5) Federal Work-Study Programs, 34 CFR part 675.
- (6) Federal Supplemental Education Opportunity Grant Program, 34 CFR part 676.

Accessible Format: On request to the program contact person listed under **FOR FURTHER INFORMATION CONTACT**, individuals with disabilities can obtain this document in an accessible format. The Department will provide the requestor with an accessible format that may include Rich Text Format (RTF) or text format (txt), a thumb drive, an MP3 file, braille, large print, audiotape, or compact disc, or other accessible format.

Electronic Access to This Document: The official version of this document is the document published in the **Federal Register**. You may access the official edition of the **Federal Register** and the Code of Federal Regulations at www.govinfo.gov. At this site you can view this document, as well as all other Department documents published in the **Federal Register**, in text or Portable Document Format (PDF). To use PDF you must have Adobe Acrobat Reader, which is available free at the site.

You may also access Department documents published in the **Federal Register** by using the article search feature at www.federalregister.gov. Specifically, through the advanced search feature at this site, you can limit your search to documents published by the Department.

Program Authority: 20 U.S.C. 1070a, 1070b–1070h, 1070g, 1070i, 1070j, 1070k, 1070l, 1070m, 1070n, 1070o, 1070p, 1070q, 1070r, 1070s, 1070t, 1070u, 1070v, 1070w, 1070x, 1070y, 1070z, 1070aa, 1070ab, 1070ac, 1070ad, 1070ae, 1070af, 1070ag, 1070ah, 1070ai, 1070aj, 1070ak, 1070al, 1070am, 1070an, 1070ao, 1070ap, 1070aq, 1070ar, 1070as, 1070at, 1070au, 1070av, 1070aw, 1070ax, 1070ay, 1070az, 1070ba, 1070bb, 1070bc, 1070bd, 1070be, 1070bf, 1070bg, 1070bh, 1070bi, 1070bj, 1070bk, 1070bl, 1070bm, 1070bn, 1070bo, 1070bp, 1070bq, 1070br, 1070bs, 1070bt, 1070bu, 1070bv, 1070bw, 1070bx, 1070by, 1070bz, 1070ca, 1070cb, 1070cc, 1070cd, 1070ce, 1070cf, 1070cg, 1070ch, 1070ci, 1070cj, 1070ck, 1070cl, 1070cm, 1070cn, 1070co, 1070cp, 1070cq, 1070cr, 1070cs, 1070ct, 1070cu, 1070cv, 1070cw, 1070cx, 1070cy, 1070cz, 1070da, 1070db, 1070dc, 1070dd, 1070de, 1070df, 1070dg, 1070dh, 1070di, 1070dj, 1070dk, 1070dl, 1070dm, 1070dn, 1070do, 1070dp, 1070dq, 1070dr, 1070ds, 1070dt, 1070du, 1070dv, 1070dw, 1070dx, 1070dy, 1070dz, 1070ea, 1070eb, 1070ec, 1070ed, 1070ee, 1070ef, 1070eg, 1070eh, 1070ei, 1070ej, 1070ek, 1070el, 1070em, 1070en, 1070eo, 1070ep, 1070eq, 1070er, 1070es, 1070et, 1070eu, 1070ev, 1070ew, 1070ex, 1070ey, 1070ez, 1070fa, 1070fb, 1070fc, 1070fd, 1070fe, 1070ff, 1070fg, 1070fh, 1070fi, 1070fj, 1070fk, 1070fl, 1070fm, 1070fn, 1070fo, 1070fp, 1070fq, 1070fr, 1070fs, 1070ft, 1070fu, 1070fv, 1070fw, 1070fx, 1070fy, 1070fz, 1070ga, 1070gb, 1070gc, 1070gd, 1070ge, 1070gf, 1070gg, 1070gh, 1070gi, 1070gj, 1070gk, 1070gl, 1070gm, 1070gn, 1070go, 1070gp, 1070gq, 1070gr, 1070gs, 1070gt, 1070gu, 1070gv, 1070gw, 1070gx, 1070gy, 1070gz, 1070ha, 1070hb, 1070hc, 1070hd, 1070he, 1070hf, 1070hg, 1070hh, 1070hi, 1070hj, 1070hk, 1070hl, 1070hm, 1070hn, 1070ho, 1070hp, 1070hq, 1070hr, 1070hs, 1070ht, 1070hu, 1070hv, 1070hw, 1070hx, 1070hy, 1070hz, 1070ia, 1070ib, 1070ic, 1070id, 1070ie, 1070if, 1070ig, 1070ih, 1070ii, 1070ij, 1070ik, 1070il, 1070im, 1070in, 1070io, 1070ip, 1070iq, 1070ir, 1070is, 1070it, 1070iu, 1070iv, 1070iw, 1070ix, 1070iy, 1070iz, 1070ja, 1070jb, 1070jc, 1070jd, 1070je, 1070jf, 1070jg, 1070jh, 1070ji, 1070jj, 1070jk, 1070jl, 1070jm, 1070jn, 1070jo, 1070jp, 1070jq, 1070jr, 1070js, 1070jt, 1070ju, 1070jv, 1070jw, 1070jx, 1070jy, 1070jz, 1070ka, 1070kb, 1070kc, 1070kd, 1070ke, 1070kf, 1070kg, 1070kh, 1070ki, 1070kj, 1070kk, 1070kl, 1070km, 1070kn, 1070ko, 1070kp, 1070kq, 1070kr, 1070ks, 1070kt, 1070ku, 1070kv, 1070kw, 1070kx, 1070ky, 1070kz, 1070la, 1070lb, 1070lc, 1070ld, 1070le, 1070lf, 1070lg, 1070lh, 1070li, 1070lj, 1070lk, 1070ll, 1070lm, 1070ln, 1070lo, 1070lp, 1070lq, 1070lr, 1070ls, 1070lt, 1070lu, 1070lv, 1070lw, 1070lx, 1070ly, 1070lz, 1070ma, 1070mb, 1070mc, 1070md, 1070me, 1070mf, 1070mg, 1070mh, 1070mi, 1070mj, 1070mk, 1070ml, 1070mm, 1070mn, 1070mo, 1070mp, 1070mq, 1070mr, 1070ms, 1070mt, 1070mu, 1070mv, 1070mw, 1070mx, 1070my, 1070mz, 1070na, 1070nb, 1070nc, 1070nd, 1070ne, 1070nf, 1070ng, 1070nh, 1070ni, 1070nj, 1070nk, 1070nl, 1070nm, 1070nn, 1070no, 1070np, 1070nq, 1070nr, 1070ns, 1070nt, 1070nu, 1070nv, 1070nw, 1070nx, 1070ny, 1070nz, 1070oa, 1070ob, 1070oc, 1070od, 1070oe, 1070of, 1070og, 1070oh, 1070oi, 1070oj, 1070ok, 1070ol, 1070om, 1070on, 1070oo, 1070op, 1070oq, 1070or, 1070os, 1070ot, 1070ou, 1070ov, 1070ow, 1070ox, 1070oy, 1070oz, 1070pa, 1070pb, 1070pc, 1070pd, 1070pe, 1070pf, 1070pg, 1070ph, 1070pi, 1070pj, 1070pk, 1070pl, 1070pm, 1070pn, 1070po, 1070pp, 1070pq, 1070pr, 1070ps, 1070pt, 1070pu, 1070pv, 1070pw, 1070px, 1070py, 1070pz, 1070qa, 1070qb, 1070qc, 1070qd, 1070qe, 1070qf, 1070qg, 1070qh, 1070qi, 1070qj, 1070qk, 1070ql, 1070qm, 1070qn, 1070qo, 1070qp, 1070qq, 1070qr, 1070qs, 1070qt, 1070qu, 1070qv, 1070qw, 1070qx, 1070qy, 1070qz, 1070ra, 1070rb, 1070rc, 1070rd, 1070re, 1070rf, 1070rg, 1070rh, 1070ri, 1070rj, 1070rk, 1070rl, 1070rm, 1070rn, 1070ro, 1070rp, 1070rq, 1070rr, 1070rs, 1070rt, 1070ru, 1070rv, 1070rw, 1070rx, 1070ry, 1070rz, 1070sa, 1070sb, 1070sc, 1070sd, 1070se, 1070sf, 1070sg, 1070sh, 1070si, 1070sj, 1070sk, 1070sl, 1070sm, 1070sn, 1070so, 1070sp, 1070sq, 1070sr, 1070ss, 1070st, 1070su, 1070sv, 1070sw, 1070sx, 1070sy, 1070sz, 1070ta, 1070tb, 1070tc, 1070td, 1070te, 1070tf, 1070tg, 1070th, 1070ti, 1070tj, 1070tk, 1070tl, 1070tm, 1070tn, 1070to, 1070tp, 1070tq, 1070tr, 1070ts, 1070tt, 1070tu, 1070tv, 1070tw, 1070tx, 1070ty, 1070tz, 1070ua, 1070ub, 1070uc, 1070ud, 1070ue, 1070uf, 1070ug, 1070uh, 1070ui, 1070uj, 1070uk, 1070ul, 1070um, 1070un, 1070uo, 1070up, 1070uq, 1070ur, 1070us, 1070ut, 1070uu, 1070uv, 1070uw, 1070ux, 1070uy, 1070uz, 1070va, 1070vb, 1070vc, 1070vd, 1070ve, 1070vf, 1070vg, 1070vh, 1070vi, 1070vj, 1070vk, 1070vl, 1070vm, 1070vn, 1070vo, 1070vp, 1070vq, 1070vr, 1070vs, 1070vt, 1070vu, 1070vv, 1070vw, 1070vx, 1070vy, 1070vz, 1070wa, 1070wb, 1070wc, 1070wd, 1070we, 1070wf, 1070wg, 1070wh, 1070wi, 1070wj, 1070wk, 1070wl, 1070wm, 1070wn, 1070wo, 1070wp, 1070wq, 1070wr, 1070ws, 1070wt, 1070wu, 1070wv, 1070ww, 1070wx, 1070wy, 1070wz, 1070xa, 1070xb, 1070xc, 1070xd, 1070xe, 1070xf, 1070xg, 1070xh, 1070xi, 1070xj, 1070xk, 1070xl, 1070xm, 1070xn, 1070xo, 1070xp, 1070xq, 1070xr, 1070xs, 1070xt, 1070xu, 1070xv, 1070xw, 1070xx, 1070xy, 1070xz, 1070ya, 1070yb, 1070yc, 1070yd, 1070ye, 1070yf, 1070yg, 1070yh, 1070yi, 1070yj, 1070yk, 1070yl, 1070ym, 1070yn, 1070yo, 1070yp, 1070yq, 1070yr, 1070ys, 1070yt, 1070yu, 1070yv, 1070yw, 1070yx, 1070yy, 1070yz, 1070za, 1070zb, 1070zc, 1070zd, 1070ze, 1070zf, 1070zg, 1070zh, 1070zi, 1070zj, 1070zk, 1070zl, 1070zm, 1070zn, 1070zo, 1070zp, 1070zq, 1070zr, 1070zs, 1070zt, 1070zu, 1070zv, 1070zw, 1070zx, 1070zy, 1070zz.

Denise Carter,
Acting Chief Operating Officer, Federal Student Aid.

TABLE A—2024–2025 AWARD YEAR DEADLINE DATES BY WHICH A STUDENT MUST SUBMIT THE FAFSA, BY WHICH THE INSTITUTION MUST RECEIVE THE STUDENT’S INSTITUTIONAL STUDENT INFORMATION RECORD (ISIR) OR FAFSA SUBMISSION SUMMARY, AND BY WHICH THE INSTITUTION MUST SUBMIT VERIFICATION OUTCOMES FOR CERTAIN STUDENTS

Who submits?	What is submitted?	Where is it submitted?	What is the deadline date for receipt?
Student	FAFSA-- fafsa.gov (original or renewal).	Electronically to the Department’s FAFSA Processing System (FPS).	June 30, 2025.
Student	A paper original FAFSA	To the address printed on the FAFSA.	June 30, 2025.

TABLE A—2024–2025 AWARD YEAR DEADLINE DATES BY WHICH A STUDENT MUST SUBMIT THE FAFSA, BY WHICH THE INSTITUTION MUST RECEIVE THE STUDENT'S INSTITUTIONAL STUDENT INFORMATION RECORD (ISIR) OR FAFSA SUBMISSION SUMMARY, AND BY WHICH THE INSTITUTION MUST SUBMIT VERIFICATION OUTCOMES FOR CERTAIN STUDENTS—Continued

Who submits?	What is submitted?	Where is it submitted?	What is the deadline date for receipt?
Student	Electronic corrections to the FAFSA using <i>fafsa.gov</i> .	Electronically to the Department's FPS.	September 13, 2025. ¹
Student through an Institution	Electronic corrections to the FAFSA.	Electronically to the Department's FPS using "FAFSA Partner Portal".	September 13, 2025. ¹
Student	Paper corrections to the FAFSA using a FAFSA Submission Summary, including change of mailing and email addresses and change of institutions.	To the address printed on the FAFSA Submission Summary.	September 13, 2025.
Student	A FAFSA Submission Summary with an official SAI calculated by the Department's FPS, except for Parent PLUS Loans and Direct Unsubsidized Loans made to a dependent student under HEA section 479A(a), for which the FAFSA Submission Summary does not need to have an official SAI.	To the institution	The earlier of: —The student's last date of enrollment for the 2024–2025 award year; or —September 20, 2025. ²
Student through FPS	An ISIR with an official SAI calculated by the Department's FPS, except for Parent PLUS Loans and Direct Unsubsidized Loans made to a dependent student under HEA section 479A(a), for which the ISIR does not need to have an official SAI.	To the institution from the Department's FPS.	
Student	Valid FAFSA Submission Summary (Pell Grant, FSEOG, FWS, and Direct Subsidized Loans).	To the institution	Except for a student meeting the conditions for a late disbursement under 34 CFR 668.164(j), the earlier of: —The student's last date of enrollment for the 2024–2025 award year; or —September 20, 2025. ²
Student through FPS	Valid ISIR (Pell Grant, FSEOG, FWS, and Direct Subsidized Loans).	To the institution from the Department's FPS.	
Student	Valid FAFSA Submission Summary (Pell Grant, FSEOG, FWS, and Direct Subsidized Loans).	To the institution	For a student receiving a late disbursement under 34 CFR 668.164(j)(4)(i), the earlier of: —180 days after the date of the institution's determination that the student withdrew or otherwise became ineligible; or —September 20, 2025. ²
Student through FPS	Valid ISIR (Pell Grant, FSEOG, FWS, and Direct Subsidized Loans).	To the institution from the Department's FPS.	
Student	Verification documents	To the institution	The earlier of: ³ —120 days after the student's last date of enrollment for the 2024–2025 award year; or —September 20, 2025. ²

TABLE A—2024–2025 AWARD YEAR DEADLINE DATES BY WHICH A STUDENT MUST SUBMIT THE FAFSA, BY WHICH THE INSTITUTION MUST RECEIVE THE STUDENT'S INSTITUTIONAL STUDENT INFORMATION RECORD (ISIR) OR FAFSA SUBMISSION SUMMARY, AND BY WHICH THE INSTITUTION MUST SUBMIT VERIFICATION OUTCOMES FOR CERTAIN STUDENTS—Continued

Who submits?	What is submitted?	Where is it submitted?	What is the deadline date for receipt?
Institution	Identity verification results for a student selected for verification by the Department and placed in Verification Tracking Group V4 or V5.	Electronically to the Department's FPS using "FAFSA Partner Portal".	The later of: —60 days following the institution's first request to the student to submit the required V4 or V5 identity documentation; or —when the FAFSA Partner Portal (FPP) Verification of Identity function is made available for the 2024–2025 Award Year. ⁴

¹ The deadline for electronic transactions is 11:59 p.m. (Central Time) on the deadline date. Transmissions must be completed and accepted before 12:00 midnight to meet the deadline. If transmissions are started before 12:00 midnight but are not completed until after 12:00 midnight, those transmissions do not meet the deadline. In addition, any transmission submitted on or just prior to the deadline date that is rejected may not be reprocessed because the deadline will have passed by the time the user gets the information notifying them of the rejection.

² The date the ISIR/FAFSA Submission Summary transaction was processed by FPS is considered to be the date the institution received the ISIR or FAFSA Submission Summary regardless of whether the institution has downloaded the ISIR from its Student Aid Internet Gateway (SAIG) mailbox or when the student submits the FAFSA Submission Summary to the institution. For the 2024–25 Award Year, as published by the Department in the July 30, 2024 Electronic Announcement (GENERAL–24–94), institutions have additional flexibilities for students who applied via the paper FAFSA form and were enrolled only for the 2024 summer term. An institution may still award and disburse funds for a student that is no longer enrolled for the 2024–25 Award Year if the following criteria are met: (a) the institution receives an ISIR or FAFSA Submission Summary for the student; (b) the student applied via the paper FAFSA form; (c) the student was enrolled during the 2024 summer term but is no longer enrolled; (d) the Application Receipt Date on the ISIR or FAFSA Submission Summary is on or before the student's last date of enrollment; and (3) the student was otherwise eligible to receive title IV program funding, subject to all other late disbursement requirements. For more information, please visit: <https://fsapartners.ed.gov/knowledge-center/library/electronic-announcements/2024-07-30/updates-2024-25-fafsa-paper-processing>.

³ Although the Secretary has set this deadline date for the submission of verification documents, if corrections are required, deadline dates for submission of paper or electronic corrections and, for Pell Grant applicants and applicants selected for verification, deadline dates for the submission of a valid FAFSA Submission Summary or valid ISIR to the institution must still be met. An institution may establish an earlier deadline for the submission of verification documents for purposes of the campus-based programs and the Direct Loan Program, but it cannot be later than this deadline date.

⁴ Note that changes to previously submitted Identity Verification Results must be updated within 30 days of the institution becoming aware that a change has occurred.

TABLE B—2024–2025 AWARD YEAR DEADLINE DATES BY WHICH AN INSTITUTION MUST SUBMIT DISBURSEMENT INFORMATION FOR THE PELL GRANT, DIRECT LOAN AND TEACH GRANT PROGRAMS ¹

Which program?	What is submitted?	Under what circumstances is it submitted?	Where is it submitted?	What are the deadlines for disbursement and for submission of records and information?
Pell Grant, Direct Loan, and TEACH Grant Programs.	An origination or disbursement record.	The institution has made or intends to make a disbursement.	To the Common Origination and Disbursement (COD) System using the Student Aid Internet Gateway (SAIG); or to the COD System using the COD website at: https://cod.ed.gov .	The earliest disbursement date for the Pell Grant is January 31, 2024. The earliest disbursement date for Direct Loan Program is October 1, 2023. The earliest disbursement date for TEACH Grant Program is January 1, 2024. The earliest submission date for anticipated disbursement information is April 21, 2024. The earliest submission date for actual disbursement information is April 21, 2024, but no earlier than: (a) 7 calendar days prior to the disbursement date under the advance payment method or the Heightened Cash Monitoring Payment Method 1 (HCM1); or (b) The disbursement date under the reimbursement or the Heightened Cash Monitoring Payment Method 2 (HCM2).
Pell Grant and TEACH Grant Programs.	An origination or disbursement record.	The institution has made a disbursement and will submit records on or before the deadline submission date.	To COD using SAIG; or to COD using the COD website at: https://cod.ed.gov .	The deadline submission date ² is the later of: (a) November 30, 2024; (b) 15 calendar days after the institution makes a disbursement. ³ Submission of Pell Grant and TEACH Grant disbursement information must occur no later than September 30, 2025.

TABLE B—2024–2025 AWARD YEAR DEADLINE DATES BY WHICH AN INSTITUTION MUST SUBMIT DISBURSEMENT INFORMATION FOR THE PELL GRANT, DIRECT LOAN AND TEACH GRANT PROGRAMS ¹—Continued

Which program?	What is submitted?	Under what circumstances is it submitted?	Where is it submitted?	What are the deadlines for disbursement and for submission of records and information?
Direct Loan Program	An origination or disbursement record.	The institution has made a disbursement and will submit records on or before the deadline submission date.	To COD using SAIG; or to COD using the COD website at: https://cod.ed.gov .	The deadline submission date ² is the later of: (a) November 30, 2024; or (b) 15 calendar days after the institution makes a disbursement. ³ Submission of Direct Loan disbursement information must occur no later than July 31, 2026.
Pell Grant Program ...	A downward (decrease) adjustment to an origination or disbursement record.	It is after the deadline submission date	To COD using SAIG; or to COD using the COD website at: https://cod.ed.gov .	No later than the earlier of: (a) 15 calendar days after the institution becomes aware of the need to make an adjustment to previously reported data; or (b) September 30, 2030. ² No request for extension to the deadline submission date is required.
TEACH Grant and Direct Loan Programs.	A downward (decrease) adjustment to an origination or disbursement record.	It is after the deadline submission date	To COD using SAIG; or to COD using the COD website at: https://cod.ed.gov .	No later than 15 calendar days after the institution becomes aware of the need to make an adjustment to previously reported data. No request for extension to the deadline submission date is required.
Pell Grant Program ...	An upward (increase) adjustment to an origination or disbursement record.	It is after the deadline submission date and the institution has received approval of its request for an extension to the deadline submission date. Requests for extensions to the established submission deadlines may be made for reasons including, but not limited to: (a) A program review or initial audit finding under 34 CFR 690.83; (b) A late disbursement under 34 CFR 668.164(j); or (c) Disbursements previously blocked as a result of another institution failing to post a downward adjustment.	Via the COD website at: https://cod.ed.gov .	No later than the earlier of: (a) 15 calendar days after the institution becomes aware of the need to make an adjustment to previously reported data; or (b) When the institution is fully reconciled and is ready to submit all additional data for the program and the award year; or (c) September 30, 2030.
TEACH Grant and Direct Loan Programs.	An upward (increase) adjustment or a new origination or disbursement record.	No later than the earlier of: (a) 15 calendar days after the institution becomes aware of the need to make an adjustment to previously reported data; or (b) When the institution is fully reconciled and is ready to submit all additional data for the program and the award year..		
Pell Grant Program ...	An origination or disbursement record.	It is after the deadline submission date and the institution has received approval of its request for an extension to the deadline submission date based on a natural disaster, other unusual circumstances, or an administrative error made by the Department.	Via the COD website at: https://cod.ed.gov .	The earlier of: (a) A date designated by the Secretary after consultation with the institution; or (b) February 1, 2026.
Pell Grant Program ...	An origination or disbursement record.	It is after the deadline submission date and the institution has received approval of its request for administrative relief to extend the deadline submission date based on a student's reentry to the institution within 180 days after initially withdrawing. ⁴ .	Via the COD website at: https://cod.ed.gov .	The earlier of: (a) 15 days after the student reenrolls; or (b) May 3, 2026.

¹ A COD Processing Year is a period of time in which institutions are permitted to submit Direct Loan records to the COD System that are related to a given award year. For a Direct Loan, the period of time includes loans that have a loan period covering any day in the 2024–2025 award year.

² Transmissions must be completed and accepted before the designated processing time on the deadline submission date. The designated processing time is published annually via an electronic announcement posted to the Knowledge Center via FSA's Partner Connect website at: <https://fsapartners.ed.gov/knowledge-center>. If transmissions are started at the designated time, but are not completed until after the designated time, those transmissions will not meet the deadline. In addition, any transmission submitted on or just prior to the deadline date that is rejected may not be reprocessed because the deadline will have passed by the time the user gets the information notifying him or her of the rejection.

³ A temporary extension of the deadline for reporting disbursement records to the COD System was published by the Department in the July 30, 2024 Electronic Announcement (GENERAL–24–94). For more information, please visit: <https://fsapartners.ed.gov/knowledge-center/library/electronic-announcements/2024-07-30/up-dates-2024-25-fafsa-paper-processing>.

⁴ Applies only to students enrolled in clock-hour and nonterm credit-hour educational programs.

Note: The COD System must accept origination data for a student from an institution before it accepts disbursement information from the institution for that student. Institutions may submit origination and disbursement data for a student in the same transmission. However, if the origination data is rejected, the disbursement data is rejected.

[FR Doc. 2024–21219 Filed 9–17–24; 8:45 am]

BILLING CODE 4000–01–P

DEPARTMENT OF EDUCATION

[Docket No.: ED–2024–SCC–0113]

Agency Information Collection Activities; Comment Request; Student Assistance General Provisions—Subpart K—Cash Management**AGENCY:** Federal Student Aid (FSA), Department of Education (ED).**ACTION:** Notice.**SUMMARY:** In accordance with the Paperwork Reduction Act (PRA) of 1995, the Department is proposing an extension of a currently approved information collection request (ICR).**DATES:** Interested persons are invited to submit comments on or before November 18, 2024.**ADDRESSES:** To access and review all the documents related to the information collection listed in this notice, please use <http://www.regulations.gov> by searching the Docket ID number ED–2024–SCC–0113. Comments submitted in response to this notice should be submitted electronically through the Federal eRulemaking Portal at <http://www.regulations.gov> by selecting the Docket ID number or via postal mail, commercial delivery, or hand delivery. If the www.regulations.gov site is not available to the public for any reason, the Department will temporarily accept comments at ICDocketMgr@ed.gov. Please include the docket ID number and the title of the information collection request when requesting documents or submitting comments. Please note that comments submitted after the comment period will not be accepted. Written requests for information or comments submitted by postal mail or delivery should be addressed to the Manager of the Strategic Collections and Clearance, Governance and Strategy Division, U.S. Department of Education, 400 Maryland Ave SW, LBJ, Room 4C210, Washington, DC 20202–1200.**FOR FURTHER INFORMATION CONTACT:** For specific questions related to collection activities, please contact Beth Grebeldinger, (202) 570–8414.**SUPPLEMENTARY INFORMATION:** The Department, in accordance with the Paperwork Reduction Act of 1995 (PRA) (44 U.S.C. 3506(c)(2)(A)), provides the general public and Federal agencies with an opportunity to comment on proposed, revised, and continuing collections of information. This helps the Department assess the impact of its

information collection requirements and minimize the public's reporting burden. It also helps the public understand the Department's information collection requirements and provide the requested data in the desired format. The Department is soliciting comments on the proposed information collection request (ICR) that is described below. The Department is especially interested in public comment addressing the following issues: (1) is this collection necessary to the proper functions of the Department; (2) will this information be processed and used in a timely manner; (3) is the estimate of burden accurate; (4) how might the Department enhance the quality, utility, and clarity of the information to be collected; and (5) how might the Department minimize the burden of this collection on the respondents, including through the use of information technology. Please note that written comments received in response to this notice will be considered public records.

Title of Collection: Student Assistance General Provisions—Subpart K—Cash Management.*OMB Control Number:* 1845–0106.*Type of Review:* Extension without change of a currently approved ICR.*Respondents/Affected Public:* State, Local, and Tribal Governments; Individuals or Households; Private Sector.*Total Estimated Number of Annual Responses:* 2,503,922.*Total Estimated Number of Annual Burden Hours:* 764,450.*Abstract:* The Department of Education (the Department) amended the Student Assistance General Provisions regulations issued under the Higher Education Act of 1965, as amended (HEA), to implement the changes made to the Student Assistance General Provisions regulations Subpart K Cash Management 668.164 Disbursing funds. These regulations are intended to ensure students and parents have convenient access to their Title IV, HEA program funds, do not incur unreasonable and uncommon financial account fees on these title IV funds and are not led to believe that they must open a particular financial account to receive their federal student aid. This request is for an extension of the information collection for the requirements that are contained in the regulations 668.164 Disbursing funds. The regulations require that an institution that makes direct payments to a student or parent by electronic funds transfer (EFT) and that chooses to enter into an arrangement described in 668.164(e) or (f), including an institution that uses a third-party

servicer to make those payments, must establish a selection process under which the student chooses one of several options for receiving those Title IV, HEA fund payments. There has been no change to the regulations.

Dated: September 12, 2024.

Kun Mullan,*PRA Coordinator, Strategic Collections and Clearance, Governance and Strategy Division, Office of Chief Data Officer, Office of Planning, Evaluation and Policy Development.*

[FR Doc. 2024–21147 Filed 9–17–24; 8:45 am]

BILLING CODE 4000–01–P

DEPARTMENT OF EDUCATION**Membership of the Performance Review Board****AGENCY:** Office of Finance and Operations, Department of Education.**ACTION:** Notice.**SUMMARY:** The Secretary publishes a list of persons who may be named to serve on the Performance Review Board that oversees the evaluation of performance appraisals for Senior Executive Service members of the Department of Education (Department).**DATES:** These appointments are effective on September 18, 2024.**FOR FURTHER INFORMATION CONTACT:** Jennifer Geldhof, Director, Executive Resources Division, Office of Human Resources, Office of Finance and Operations, U.S. Department of Education, 400 Maryland Avenue SW, room 210–00, LBJ, Washington, DC 20202–4573. Telephone: (202) 580–9669. Email: Jennifer.Geldhof@ed.gov.

If you are deaf, hard of hearing, or have a speech disability and wish to access telecommunications relay services, please dial 7–1–1.

SUPPLEMENTARY INFORMATION:**Membership**

Under the Civil Service Reform Act of 1978, Public Law 95–454 (5 U.S.C. 4314(c)(4)), the Department must publish in the **Federal Register** a list of persons who may be named to serve on the Performance Review Board that oversees the evaluation of performance appraisals for Senior Executive Service members of the Department. The following persons may be named to serve on the Performance Review Board: CEJA, BEATRIZ CHAPMAN, CHRISTOPHER D. CLAY, JACQUELINE JUENGST, PHILLIP R. MITCHELL, CALVIN J. SHIRLEY, VICTOR ST. PIERRE, TRACEY

Accessible Format: On request to the program contact person listed under **FOR FURTHER INFORMATION CONTACT**, individuals with disabilities can obtain this document in an accessible format. The Department will provide the requestor with an accessible format that may include Rich Text Format (RTF) or text format (txt), a thumb drive, an MP3 file, braille, large print, audiotape, compact disc, or other accessible format.

Electronic Access to This Document: The official version of this document is the document published in the **Federal Register**. You may access the official edition of the **Federal Register** and the Code of Federal Regulations at www.govinfo.gov. At this site you can view this document, as well as all other Department documents published in the **Federal Register**, in text or Portable Document Format (PDF). To use PDF, you must have Adobe Acrobat Reader, which is available free at the site.

You may also access Department documents published in the **Federal Register** by using the article search feature at www.federalregister.gov. Specifically, through the advanced search feature at this site, you can limit your

Miguel Cardona,

Secretary of Education.

[FR Doc. 2024–21262 Filed 9–17–24; 8:45 am]

BILLING CODE 4000–01–P

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Sunshine Act Meetings

The following notice of meeting is published pursuant to section 3(a) of the government in the Sunshine Act (Pub. L. 94–409), 5 U.S.C.552b:

1117TH—MEETING

[Open; September 19, 2024, 10:00 a.m.]

AGENCY HOLDING MEETING: Federal Energy Regulatory Commission.

TIME AND DATE: September 19, 2024, 10:00 a.m.

PLACE: Room 2C, 888 First Street NE, Washington, DC 20426.

STATUS: Open to public.

MATTERS TO BE CONSIDERED: Agenda.

* Note—Items listed on the agenda may be deleted without further notice.

CONTACT PERSON FOR MORE INFORMATION: Debbie-Anne A. Reese, Acting Secretary, Telephone 202–502–8758.

For a recorded message listing items stricken from or added to the meeting, call (202) 502–8627.

This is a list of matters to be considered by the Commission. It does not include a listing of all documents relevant to the items on the agenda. All public documents, however, may be viewed online at the Commission's website at <https://elibrary.ferc.gov/eLibrary/search> using the eLibrary link.

Item No.	Docket No.	Company
Administrative		
A–1	AD24–1–000	Agency Administrative Matters.
A–2	AD24–2–000	Customer Matters Reliability Security and Market Operations.
Electric		
E–1	RM24–4–000	Supply Chain Risk Management Reliability Standards Revisions.
E–2	RM24–7–000	Critical Infrastructure Protection Reliability Standard CIP–015–1—Cyber Security—Internal Network Security Monitoring.
E–3	ER24–10–001	Idaho Power Company.
E–4	ER24–1559–000; ER24–1559–001	Puget Sound Energy, Inc.
E–5	ER24–2023–000	Black Hills Colorado Electric, LLC.
E–6	ER24–2027–000	Golden Spread Electric Cooperative, Inc.
E–7	ER19–1793–002	Valcour Altona Windpark, LLC.
	ER19–1795–002	Valcour Bliss Windpark, LLC.
	ER19–1796–002	Valcour Chateaugay Windpark, LLC.
	ER19–1797–002	Valcour Clinton Windpark, LLC.
	ER19–1798–002	Valcour Ellenburg Windpark, LLC.
	ER19–1799–002	Valcour Wethersfield Windpark, LLC.
	ER19–902–003	Valcour Wind Energy, LLC.
	ER11–2036–015	AES Laurel Mountain, LLC.
	ER20–1593–005	Highlander Solar Energy Station 1, LLC.
	ER20–1594–004	Highlander IA, LLC.
	ER20–1596–005	Pleinmont Solar 1, LLC.
	ER20–1597–005	Pleinmont Solar 2, LLC.
	ER20–1599–005	Richmond Spider Solar, LLC.
	ER18–2327–007	Riverhead Solar Farm, LLC.
	ER21–2767–002	Skipjack Solar Center, LLC.
	ER22–1518–002	Laurel Mountain BESS, LLC.
	ER23–1631–001	Cavalier Solar A, LLC.
	ER19–1597–005	AES Integrated Energy, LLC.
	ER20–1620–003	AES Solutions Management, LLC.
	ER22–414–003	AES Marketing and Trading, LLC.
	ER23–495–004	AES CE Solutions, LLC.
	ER20–902–002	sPower Energy Marketing, LLC.
E–8	ER19–1634–003	Bridgeport Energy LLC.
	ER14–152–012	Elgin Energy Center, LLC.
	ER13–1141–006	Essential Power Massachusetts, LLC.
	ER13–1142–006	Essential Power Newington, LLC.
	ER13–1143–009	Essential Power OPP, LLC.

1117TH—MEETING—Continued
 [Open; September 19, 2024, 10:00 a.m.]

Item No.	Docket No.	Company
E-9	ER13-1144-009	Essential Power Rock Springs, LLC.
	ER20-2452-004	Hamilton Liberty LLC.
	ER20-2453-005	Hamilton Patriot LLC.
	ER20-844-003	Hamilton Projects Acquiror, LLC.
	ER10-2196-008	Lakewood Cogeneration, L.P.
	ER20-528-003	Lincoln Power, L.L.C.
	ER17-1849-007	Nautilus Power, LLC.
	ER19-1009-002	Revere Power, LLC.
	ER16-918-005	Rhode Island State Energy Center, LP.
	ER10-2740-016	Rocky Road Power, LLC.
	ER19-1633-003	Rumford Power LLC.
	ER15-1657-013	SEPG Energy Marketing Services, LLC.
	ER19-1638-003	Tiverton Power LLC.
	ER10-2398-014	Blackstone Wind Farm, LLC.
	ER10-2399-014	Blackstone Wind Farm II LLC.
	ER10-2406-015	High Trail Wind Farm, LLC.
	ER10-2408-009	Marble River, LLC.
	ER10-2409-014	Meadow Lake Wind Farm LLC.
	ER10-2410-014	Meadow Lake Wind Farm II LLC.
	ER10-2411-015	Meadow Lake Wind Farm III LLC.
	ER10-2412-015	Meadow Lake Wind Farm IV LLC.
	ER11-2935-016	Paulding Wind Farm II LLC.
	ER13-1816-020	Sustaining Power Solutions LLC.
	ER14-1933-014	Headwaters Wind Farm LLC.
	ER16-1152-007	Jericho Rise Wind Farm LLC.
	ER16-1724-012	Paulding Wind Farm III LLC.
	ER17-1314-006	Arkwright Summit Wind Farm LLC.
	ER18-1189-009	Meadow Lake Wind Farm VI LLC.
	ER19-1282-007	Paulding Wind Farm IV LLC.
	ER20-2714-005	Headwaters Wind Farm II LLC.
	ER22-2115-002	Timber Road Solar Park LLC.
	ER22-2116-002	Blue Harvest Solar Park LLC.
E-10	ER23-1585-001	Riverstart Solar Park III LLC.
	ER10-1910-027	Duquesne Light Company.
E-11	ER10-1911-027	Duquesne Power, LLC.
	ER24-2570-000	Southwest Power Pool, Inc.
E-12	EL24-99-000	<i>Virginia Municipal Electric Association #1 v. Virginia Electric and Power Co.</i>
E-13	EL23-104-000	<i>Enerwise Global Technologies, LLC v. PJM Interconnection, L.L.C.</i>
Gas		
G-1	RM96-1-043	Standards for Business Practices of Interstate Natural Gas Pipelines.
G-2	RP24-971-000	Vector Pipeline L.P.
Hydro		
H-1	P-15340-001	Pembroke Tidal Power Project, LLC.
H-2	P-7656-019; P-7656-017	Village of Highland Falls High-Point Utility, LDC.
Certificates		
C-1	CP23-15-001	ANR Pipeline Company.
C-2	CP24-68-000	National Fuel Gas Supply Corporation.
C-3	CP24-487-000	LA Storage, LLC.
C-4	CP18-7-000; CP20-21-000; CP23-513-000	Port Arthur Pipeline, LLC.
C-5	CP15-550-002; CP15-550-000	Venture Global Calcasieu Pass, LLC.
C-6	CP24-40-000	Leaf River Energy Center LLC.

A free webcast of this event is available through the Commission's website. Anyone with internet access who desires to view this event can do so by navigating to www.ferc.gov's Calendar of Events and locating this event in the Calendar. The Federal Energy Regulatory Commission provides

technical support for the free webcasts. Please call (202) 502-8680 or email customer@ferc.gov if you have any questions.

Immediately following the conclusion of the Commission Meeting, a press briefing will be held in the Commission Meeting Room. Members of the public

may view this briefing in the designated overflow room. This statement is intended to notify the public that the press briefings that follow Commission meetings may now be viewed remotely at Commission headquarters but will not be telecast.

Issued: September 12, 2024.

Debbie-Anne A. Reese,

Acting Secretary.

[FR Doc. 2024–21291 Filed 9–16–24; 11:15 am]

BILLING CODE 6717–01–P

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

[Project No. 2905–035]

Village of Enosburg Falls, Vermont; Notice of Reasonable Period of Time for Water Quality Certification Application

On September 10, 2024, the Vermont Department of Environmental Conservation (Vermont DEC) submitted to the Federal Energy Regulatory Commission (Commission) notice that it received a request for a Clean Water Act section 401(a)(1) water quality certification as defined in 40 CFR 121.5, from the Village of Enosburg Falls, Vermont, in conjunction with the above captioned project on August 30, 2024. Pursuant to section 4.34(b)(5) of the Commission's regulations,¹ we hereby notify Vermont DEC of the following dates.

Date of Receipt of the Certification Request: August 30, 2024.

Reasonable Period of Time to Act on the Certification Request: One year, August 30, 2025.

If Vermont DEC fails or refuses to act on the water quality certification request on or before the above date, then the certifying authority is deemed waived pursuant to section 401(a)(1) of the Clean Water Act, 33 U.S.C. 1341(a)(1).

Dated: September 11, 2024.

Debbie-Anne A. Reese,

Acting Secretary.

[FR Doc. 2024–21132 Filed 9–17–24; 8:45 am]

BILLING CODE 6717–01–P

ENVIRONMENTAL PROTECTION AGENCY

[FRL12266–01–OAR]

Clean Air Act Advisory Committee

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice of charter renewal.

SUMMARY: Notice is hereby given that the Environmental Protection Agency (EPA) has determined that, in accordance with the provisions of the Federal Advisory Committee Act

(FACA), the Clean Air Act Advisory Committee (CAAAC) is necessary and in the public interest in connection with the performance of duties imposed on the agency by law. Accordingly, CAAAC will be renewed for an additional two-year period. The purpose of the CAAAC is to provide advice and recommendations to the EPA Administrator on policy issues associated with implementation of the Clean Air Act. Inquiries may be directed to Lorraine Reddick, CAAAC Designated Federal Officer, U.S. EPA, 1200 Pennsylvania Avenue NW (6101), Washington, DC 20460, or by email to reddick.lorraine@epa.gov.

Joseph Goffman,

Assistant Administrator.

[FR Doc. 2024–21263 Filed 9–17–24; 8:45 am]

BILLING CODE 6560–50–P

ENVIRONMENTAL PROTECTION AGENCY

[EPA–HQ–OPPT–2024–0425; FRL–12241–01–OCSPP]

1,3-Butadiene; Draft Risk Evaluation Under the Toxic Substances Control Act (TSCA); Science Advisory Committee on Chemicals (SACC) Peer Review; Request for Nominations of ad hoc Peer Reviewers

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice.

SUMMARY: The Environmental Protection Agency (EPA or the Agency) is seeking nominations of scientific and technical experts that EPA can consider for service as *ad hoc* peer reviewers assisting the Science Advisory Committee on Chemicals (SACC) with the peer review of the draft risk evaluation for 1,3-butadiene conducted under the Toxic Substances Control Act (TSCA). To facilitate nominations, this document provides information about the SACC, the intended topic for the planned peer review, the expertise sought for this peer review, instructions for submitting nominations to EPA, and the Agency's plan for selecting the *ad hoc* peer reviewers for this peer review. EPA is planning to convene a virtual public meeting of the SACC in early 2025 to review the draft risk evaluation. **DATES:** Submit your nominations on or before October 18, 2024.

ADDRESSES: Submit your nomination via email to SACC@epa.gov following the instructions in Unit III. Do not electronically submit any information you consider to be Confidential Business Information (CBI) or other

information whose public disclosure is restricted by statute. If your nomination may contain any such information, please contact the Designated Federal Official to obtain special instructions before submitting that information.

FOR FURTHER INFORMATION CONTACT: The Designated Federal Official is Alie Muneer, Mission Support Division (7602M), Office of Program Support, Office of Chemical Safety and Pollution Prevention, Environmental Protection Agency; telephone number: (202) 564–6369 or call the main office at (202) 564–8450; email address: muneer.alie@epa.gov.

SUPPLEMENTARY INFORMATION:

I. General Information

A. What action is the Agency taking?

The Agency is seeking public nominations of scientific and technical experts that EPA can consider for service as *ad hoc* peer reviewers for the SACC peer review of the draft risk evaluation for 1,3-butadiene. EPA will be soliciting comments from the experts on the approach and methodologies utilized in the draft risk evaluation. This document provides instructions for submitting such nominations for EPA to consider for the SACC peer review. EPA will publish a separate document in the **Federal Register** in the fall of 2024 to announce the availability of the draft risk evaluation and solicit public comments. The public comments received during the public comment period for the draft risk evaluation material will be provided to the SACC and *ad hoc* peer reviewers.

B. What is the Agency's authority for taking this action?

The SACC operates in accordance with TSCA section 26(o), 15 U.S.C. 2625(o) and the Federal Advisory Committee Act (FACA), 5 U.S.C. 10, to provide independent advice and expert consultation with respect to the scientific and technical aspects of issues relating to the implementation of TSCA, 15 U.S.C. 2601 *et seq.*, the Pollution Prevention Act (PPA), 42 U.S.C. 13101 *et seq.*, and other applicable statutes.

C. Does this action apply to me?

This action is directed to the public in general. This action may, however, be of interest to those involved in the manufacture, processing, distribution, and disposal of chemical substances and mixtures, and/or those interested in the assessment of risks involving chemical substances and mixtures regulated under TSCA. Since other entities may also be interested, the Agency has not attempted to describe all the specific

¹ 18 CFR 4.34(b)(5).

entities that may be affected by this action.

II. Background

A. What is the purpose of the SACC?

The SACC provides independent advice and recommendations to the EPA on the scientific and technical aspects of risk assessments, methodologies, and pollution prevention measures and approaches for chemicals regulated under TSCA. The SACC is comprised of experts in toxicology; environmental risk assessment; exposure assessment; and related sciences (e.g., synthetic biology, pharmacology, biotechnology, nanotechnology, biochemistry, biostatistics, physiologically based pharmacokinetic (PBPK) modeling, computational toxicology, epidemiology, environmental fate, environmental engineering and sustainability). The SACC currently consists of 20 members. When needed, the committee will be assisted by *ad hoc* peer reviewers with specific expertise in the topics under consideration.

B. Why is EPA conducting these risk evaluations?

TSCA requires EPA to conduct risk evaluations on prioritized chemical substances and identifies the minimum components EPA must include in all chemical substance risk evaluations. The purpose of conducting risk evaluations is to determine whether a chemical substance presents an unreasonable risk to human health or the environment under the Conditions of Use (COUs). These evaluations include assessing unreasonable risks to relevant potentially exposed or susceptible subpopulations. As part of this process EPA: (1) Integrates hazard and exposure assessments using the best available science that is reasonably available to assure decisions are based on the weight of the scientific evidence, and (2) Conducts peer review for risk evaluation approaches that have not been previously peer reviewed. For more information about the three stages of the TSCA risk evaluation process for existing chemicals (i.e., prioritization, risk evaluation, and risk management), go to <https://www.epa.gov/assessing-and-managing-chemicals-under-tsca>.

C. Why is EPA evaluating the risks from 1,3-butadiene?

In December 2019, EPA designated 1,3-butadiene (CASRN 106–99–0) as a high-priority substance for risk evaluation following the prioritization process as required by Section 6(b) of TSCA and implementing regulations (40

CFR part 702) (Docket ID: EPA–HQ–OPPT–2019–0131).

1,3-Butadiene (CASRN 106–99–0) is a volatile, colorless gas with a total U.S. production volume between 1 and 5 billion pounds. It is produced in petrochemical processing and extracted and further processed as a building block for several polymers and elastomers that do not readily depolymerize. Air is expected to be the major pathway of exposure for 1,3-butadiene in the environment. Although 1,3-butadiene is moderately soluble in water, monitoring data indicate that it is not detected in water. Environmental release data show that more than 98 percent of 1,3-butadiene facility releases are to air. Once in air, 1,3-butadiene will not deposit to land or adsorb to organic matter. Long-range transport in air is not expected, in part, because 1,3-butadiene has a short half-life (<8 hours) and will degrade into formaldehyde and acrolein.

Reduced fetal body weight and hematological effects are indicated as the most sensitive and robust non-cancer human health hazards. EPA has previously classified 1,3-butadiene as a human carcinogen and epidemiology studies have demonstrated an association between 1,3-butadiene exposure and increased incidence of leukemia in workers.

EPA will be submitting the draft risk evaluation of 1,3-butadiene and associated supporting documents for external peer review. The draft risk evaluation will include analyses of physical-chemical properties, the fate and transport in the environment, releases to the environment, exposure to workers and the general population, including potentially exposed or susceptible subpopulations, environmental risk characterization, and human health hazard and risk characterization for workers and the general population.

D. What is the topic of the planned SACC peer review?

EPA is focusing its charge to the SACC on methods and analyses that are novel and have not been reviewed in other venues. Methods and analyses used in this risk evaluation that are not novel, have been reviewed during development of the tools, used in previously reviewed agency work products, or used in previous TSCA assessments (e.g., systematic review, BMDS, etc.) are not included in the charge questions. Feedback from this review will be considered in the development of the final risk evaluation for 1,3-butadiene under TSCA. Specifically, EPA will be seeking comment on the issues below:

- No exposure to aquatic and terrestrial species is expected due to the physical and chemical properties of 1,3-butadiene, which is primarily released to air and does not partition, deposit, or persist in or on water or soil. Monitoring data indicate that 1,3-butadiene is not detected in water. Exposure of terrestrial organisms via ambient air will be brief due to the reactive nature of 1,3-butadiene. EPA will be seeking comment on the qualitative risk assessment for ecological taxa for 1,3-butadiene.

- 1,3-Butadiene photodegrades with a half-life ranging from 1.6–2.6 hours to form formaldehyde and acrolein when it reacts with hydroxyl radicals in the atmosphere. Because non-cancer health effects of formaldehyde and acrolein are dissimilar to 1,3-butadiene non-cancer health effects, risks will not be combined. EPA will be seeking comment on the preliminary decision not to combine risk from non-cancer health effects of 1,3-butadiene and its transformation products.

- Reduced fetal/neonatal body weight is observed in both mice and rats, though there is no evidence that this effect results from a single dose. No other candidate acute endpoints were identified. As such, EPA has not identified a relevant endpoint for acute, single-day exposure to 1,3-butadiene. EPA will be seeking comment on this preliminary conclusion to forego establishing an acute point of departure.

- Ovarian atrophy is an adverse effect observed only in mice and can be attributed to a specific 1,3-butadiene metabolite (diepoxybutane) that is less prevalent in rats and humans. EPA is conducting an evaluation of the relevance of ovarian atrophy for assessing human risk. EPA will be proposing to use decreased fetal body weight as the basis for the intermediate and chronic points of departure for 1,3-butadiene. EPA will be seeking comment on these preliminary conclusions to establish intermediate and chronic points of departure based on reduced fetal body weight instead of ovarian atrophy.

- OPPT is revising the inhalation unit risk (IUR) for 1,3-butadiene presented in the IRIS 2002 assessment to incorporate updated epidemiological cohort data. EPA will be seeking comment on the mathematical approach and new epidemiological cohort data used in the revised IUR.

- EPA is conducting a mutagenic mode of action analysis and evaluating whether the use of an age-dependent adjustment factor (ADAF) for leukemia is appropriate. EPA will be seeking

comment on this analysis and preliminary conclusion.

- The majority of occupational exposure sampling data points, collected from OSHA, NIOSH, and ACC's report, are not quantifiable values but are identified as being below the limit of detection (LOD). For datasets including exposure data that were reported as below the LOD, EPA is estimating exposure concentrations, following EPA's Guidelines for Statistical Analysis of Occupational Exposure Data. EPA will be seeking comment on this approach and the relevance of this dataset for risk characterization.

- General population exposure to 1,3-butadiene is being modeled using the Human Exposure Model (HEM) to estimate ambient air concentrations based on releases reported to the Toxic Release Inventory (TRI) for years 2016 to 2021. Exposure concentrations are being modeled at discrete distances from releasing facilities and surrounding census blocks. EPA will be seeking comment on this analysis and preliminary conclusions.

EPA intends to publish a separate document in the **Federal Register** to announce the availability of and solicit public comment on the draft risk evaluation for 1,3-butadiene that will be submitted to the SACC for peer review, at which time EPA will provide instructions for submitting written comments and registering to provide oral comments at the peer review meeting with the SACC that is planned for early 2025.

III. Nominations of Ad Hoc Peer Reviewers

A. Why is EPA seeking nominations for ad hoc peer reviewers?

EPA is requesting nominations from the public and stakeholder communities for scientific and technical experts who can serve as prospective candidates for *ad hoc* peer reviewers supporting the SACC. This is part of a broader process for developing a pool of candidates. Interested persons or organizations can nominate qualified individuals by following the instructions provided in this document. Individuals are also welcome to self-nominate.

Those who are selected from the pool of prospective candidates will be invited to attend the public meeting and to participate in the discussion of key issues and assumptions at the meeting. In addition, they will be asked to review and help finalize the meeting minutes.

B. What expertise is sought for this SACC peer review?

Individuals nominated for this *ad hoc* peer review should have expertise in one or more of the following areas:

1. Risk assessment.
2. Ecological risk assessment, specifically with expertise in physical chemistry, environmental fate, and synthetic polymers.
3. Human health assessment, specifically with expertise in modes of action, mutagenicity, developmental and reproductive toxicity, dose-response, and cancer epidemiology.
4. Exposure assessment, specifically with expertise in occupational inhalation monitoring and air exposure modeling.

Nominees should be scientists who have sufficient professional qualifications, including training and experience, to be capable of providing expert comments on the scientific issues for this review.

C. How do I make a nomination?

By the deadline indicated under **DATES**, submit your nomination via email to the email identified in **ADDRESSES**. Each nomination should include the following: Contact information for the person or entity making the nomination; name, affiliation, and contact information for the nominee; and the disciplinary and specific areas of expertise of the nominee.

D. Will ad hoc peer reviewers be subjected to an ethics review?

SACC members and *ad hoc* reviewers are subject to the provisions of the Standards of Ethical Conduct for Employees of the Executive Branch at 5 CFR part 2635, conflict of interest statutes in Title 18 of the United States Code and related regulations. In anticipation of this requirement, prospective candidates for service on the SACC as *ad hoc* peer reviewers will be asked to submit confidential financial information which shall fully disclose, among other financial interests, the candidate's employment, stocks and bonds, and where applicable, sources of research support. EPA will evaluate the candidates' financial disclosure forms to assess whether there are financial conflicts of interest, appearance of a loss of impartiality, or any prior involvement with the development of the documents under consideration (including previous scientific peer review) before the candidate is considered further for service.

E. How will EPA select the ad hoc peer reviewers?

The selection of scientists to serve as *ad hoc* peer reviewers for the SACC is based on the function of the Committee and the expertise needed to address the Agency's charge to the Committee. No interested scientists shall be ineligible to serve by reason of their membership on any advisory committee to a federal department or agency or their employment by a federal department or agency, except EPA. Other factors considered during the selection process include availability of the prospective candidate to fully participate in the Committee's reviews, ability to be hired as an EPA Special Government Employee (SGE), absence of any conflicts of interest or appearance of loss of impartiality, independence with respect to the matters under review, and lack of bias. Although financial conflicts of interest, the appearance of loss of impartiality, lack of independence, and bias may result in non-selection, the absence of such concerns does not assure that a candidate will be selected to serve on the SACC.

Numerous qualified candidates are often identified for SACC reviews. Therefore, selection decisions involve carefully weighing a number of factors including the candidates' areas of expertise and professional qualifications and achieving an overall balance of different scientific perspectives across peer reviewers. The Agency will consider all nominations of prospective candidates for service as peer reviewers that are received on or before the date listed in the **DATES** section of this document. However, the final selection of peer reviewers is a discretionary function of the Agency. At this time, EPA anticipates selecting approximately 8–10 *ad hoc* peer reviewers for this SACC peer review.

EPA plans to make a list of candidates under consideration as prospective peer reviewers for this SACC review available for public comment during the fall of 2024. The list will be available in the docket at <https://www.regulations.gov> (docket ID number EPA–HQ–OPPT–0425) and through the SACC website at <https://www.epa.gov/tsca-peer-review>.

Dated: September 12, 2024.

Michal Freedhoff,

Assistant Administrator, Office of Chemical Safety and Pollution Prevention.

[FR Doc. 2024–21229 Filed 9–17–24; 8:45 am]

BILLING CODE 6560–50–P

ENVIRONMENTAL PROTECTION AGENCY

[EPA-HQ-OPPT-2020-0078; FRL-11918-01-OCSPP]

Agency Information Collection Activities; Proposed Renewal of an Existing ICR Collection and Request for Comment; Toxic Chemical Release Reporting

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice.

SUMMARY: In compliance with the Paperwork Reduction Act (PRA), this document announces the availability of and solicits public comment on the following Information Collection Request (ICR) that EPA is planning to submit to the Office of Management and Budget (OMB): “Toxic Chemical Release Reporting,” identified by EPA ICR No. 2613.07 and OMB Control No. 2070-0212. This ICR represents a renewal of an existing ICR that is currently approved through June 30, 2025. Before submitting the ICR to OMB for review and approval under the PRA, EPA is soliciting comments on specific aspects of the information collection that is summarized in this document. The ICR and accompanying material are available in the docket for public review and comment.

DATES: Comments must be received on or before November 18, 2024.

ADDRESSES: Submit your comments, identified by docket identification (ID) number EPA-HQ-OPPT-2020-0078, through the Federal eRulemaking Portal at <https://www.regulations.gov>. Follow the online instructions for submitting comments. Do not submit electronically any information you consider to be Confidential Business Information (CBI) or other information whose disclosure is restricted by statute. Additional instructions on commenting or visiting the docket, along with more information about dockets generally, is available at <https://www.epa.gov/dockets>.

FOR FURTHER INFORMATION CONTACT: Katherine Sleasman, Mission Support Division (7602M), Office of Program Support, Office of Chemical Safety and Pollution Prevention, Environmental Protection Agency, 1200 Pennsylvania Ave. NW, Washington, DC 20460-0001; telephone number: (202) 566-1204; email address: sleasman.katherine@epa.gov.

SUPPLEMENTARY INFORMATION:**I. What information is EPA particularly interested in?**

Pursuant to PRA section 3506(c)(2)(A) (44 U.S.C. 3506(c)(2)(A)), EPA specifically solicits comments and information to enable it to:

1. Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the Agency, including whether the information will have practical utility.
2. Evaluate the accuracy of the Agency's estimates of the burden of the proposed collection of information, including the validity of the methodology and assumptions used.
3. Enhance the quality, utility, and clarity of the information to be collected.
4. Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated electronic, mechanical, or other technological collection techniques or other forms of information technology, e.g., permitting electronic submission of responses. In particular, EPA is requesting comments from very small businesses (those that employ less than 25) on examples of specific additional efforts that EPA could make to reduce the paperwork burden for very small businesses affected by this collection.

II. What information collection activity or ICR does this action apply to?

Title: Toxic Chemical Release Reporting.

EPA ICR No.: 2613.07.

OMB Control No.: 2070-0212.

ICR status: This ICR is currently approved through June 30, 2025. Under the PRA, an agency may not conduct or sponsor, and a person is not required to respond to, a collection of information, unless it displays a currently valid OMB control number. The OMB control numbers for EPA's regulations in title 40 of the Code of Federal Regulations (CFR), after appearing in the **Federal Register** when approved, are displayed either by publication in the **Federal Register** or by other appropriate means, such as on the related collection instrument or form, if applicable. The display of OMB control numbers for certain EPA regulations is consolidated in 40 CFR part 9.

Abstract: Pursuant to section 313 of the Emergency Planning and Community Right-to-Know Act (EPCRA), certain facilities that manufacture, process, or otherwise use specified toxic chemicals in amounts above reporting threshold levels as provided in 40 CFR 372.25 must submit

annually to EPA and to their designated state or Indian country officials toxic chemical release forms containing information specified by EPA; (see 42 U.S.C. 11023). In addition, pursuant to section 6607 of the Pollution Prevention Act (PPA), facilities reporting under section 313 of EPCRA must also report pollution prevention and waste management data, including recycling information, for such chemicals; (see 42 U.S.C. 13106). EPA compiles and stores these reports in a publicly accessible database known as the Toxics Release Inventory (TRI). Regulations at 40 CFR part 372, subpart B, require facilities that meet the above criteria to report annually.

This ICR consolidates the following final rule ICRs titled “Rule-Related ICR Amendment; Changes to Reporting Requirements for Per- and Polyfluoroalkyl Substances; Community Right-to-Know Toxic Chemical Release Reporting, Final Rule (RIN 2070-AK97)” (OMB Control No. 2070-0225; EPA ICR No. 2724.02), “Addition of Natural Gas Processing Facilities to the Toxics Release Inventory (TRI) (Final Rule)” (OMB Control No. 2070-0206; EPA ICR No. 2560.02); and “Parent Company Definition for TRI Reporting (Final Rule)” (OMB Control No. 2070-0216; EPA ICR No. 2597.02) into this renewal ICR. Upon OMB approval of this ICR, EPA intends to discontinue OMB Control Nos. 2070-0225, 2070-0206, and 2070-0216.

Burden statement: The annual public reporting and recordkeeping burden for this collection of information is estimated to average 22 to 36 hours per response. Burden is defined in 5 CFR 1320.3(b).

The ICR, which is available in the docket along with other related materials, provides a detailed explanation of the collection activities and the burden estimate that is only briefly summarized here:

Respondents/affected entities: Entities potentially affected are those that apply to owners and operators of facilities covered under EPCRA section 313(a). EPCRA section 313(a) includes facilities that meet the following three criteria: have 10 or more full-time employee equivalents (i.e., a total of 20,000 hours worked per year or greater; see 40 CFR 372.3). The full list of potentially affected entities by North American Industry Classification System (NAICS) codes for facilities that must report to TRI (including exemptions and/or limitations), if all other reporting thresholds are met, can be found at 40 CFR 372.23.

Respondent's obligation to respond: Mandatory, 40 CFR 372 and EPCRA section 313.

Forms: 9350–1 and 9350–2.

Frequency of response: Annual.

Total estimated number of potential respondents: 24,742.

Total estimated average number of responses for each respondent: 3.

Total estimated annual burden hours: 3,600,970 hours.

Total estimated annual costs: \$285,304,888, which includes \$0 for capital investment or maintenance and operational costs.

III. Are there changes in the estimates from the last approval?

There is an overall average decrease of 698 Form Rs and an increase of 1600 Form As estimated to be submitted to EPA as a result of EPA's exercise of its discretionary authority to apply TRI reporting requirements to 2,990 particular facilities, for specified chemicals. There is a decrease in 15,858 burden hours. However, there is an overall increase of 839,052 non-form (constant) burden hours from the current approved ICR; this increase reflects the increase in supplier notification burden as a result of the Changes to Reporting Requirements for Per- and Polyfluoroalkyl Substances and to Supplier Notifications for Chemicals of Special Concern rule published on October 31, 2023 (88 FR 74360 (FRL–8741–04–OCSP)). This is program adjustment.

IV. What is the next step in the process for this ICR?

EPA will consider the comments received and amend the ICR as appropriate. The final ICR package will then be submitted to OMB for review and approval pursuant to 5 CFR 1320.12. EPA will issue another **Federal Register** document pursuant to 5 CFR 1320.5(a)(1)(iv) to announce the submission of the ICR to OMB and the opportunity to submit additional comments to OMB. If you have any questions about this ICR or the approval process, please contact the person listed under **FOR FURTHER INFORMATION CONTACT**.

Authority: 44 U.S.C. 3501 *et seq.*

Dated: September 12, 2024.

Michal Freedhoff,

Assistant Administrator, Office of Chemical Safety and Pollution Prevention.

[FR Doc. 2024–21227 Filed 9–17–24; 8:45 am]

BILLING CODE 6560–50–P

EXPORT-IMPORT BANK

[Public Notice: 2024–6097]

Agency Information Collection Activities: Submission to the Office of Management and Budget for Review and Approval; Comment Request; EIB 92–50, Application for Short-Term Multi-Buyer Export Credit Insurance Policy

AGENCY: Export-Import Bank of the United States.

ACTION: Notice of information collection; request for comment.

SUMMARY: The Export-Import Banks of the United States (EXIM), as part of its continuing effort to reduce paperwork and respondent burden, invites the general public and other Federal Agencies to comment on the proposed information collection, as required by the Paperwork Reduction Act of 1995.

DATES: Comments must be received on or before November 18, 2024 to be assured of consideration.

ADDRESSES: Comments may be submitted electronically on www.regulations.gov (EIB 92–50), by email edward.coppola@exim.gov, or by mail to Edward Coppola, Export-Import Bank of the United States, 811 Vermont Ave. NW Washington, DC

FOR FURTHER INFORMATION CONTACT: To request additional information, please contact Edward Coppola, edward.coppola@exim.gov, 202–565–3717.

SUPPLEMENTARY INFORMATION: This collection of information is necessary, pursuant to determine eligibility of the applicant for EXIM assistance. The Application for Short-Term Multi-Buyer Export Credit Insurance Policy will be used to determine the eligibility of the applicant and the transaction for Export-Import Bank assistance under its insurance program. Export-Import Bank customers will be able to submit this form on paper or electronically.

The application tool can be reviewed at: https://img.exim.gov/s3fs-public/pub/pending/Multi-Buyer_Application_eib92-50_2024_FINAL_508.pdf.

Title and Form Number: EIB 92–50, Application for Short-Term Multi-Buyer Export Credit Insurance Policy.

OMB Number: 3048–0023.

Type of Review: Regular.

Need and Use: The Application for Short-Term Multi-Buyer Export Credit Insurance Policy will be used to determine the eligibility of the applicant and the transaction for Export-Import Bank assistance under its insurance program.

Affected Public: This form affects entities involved in the export of U.S. goods and services.

Annual Number of Respondents: 250.

Estimated Time per Respondent: 0.5 hours.

Annual Burden Hours: 125.

Frequency of Reporting of Use: As needed.

Dated: September 13, 2024.

Andrew Smith,

Records Officer.

[FR Doc. 2024–21223 Filed 9–17–24; 8:45 am]

BILLING CODE 6690–01–P

EXPORT-IMPORT BANK

[Public Notice: 2024–6096]

Agency Information Collection Activities: Submission to the Office of Management and Budget for Review and Approval; Comment Request; EIB 92–36 Application for Issuing Bank Credit Limit (IBCL) Under Lender or Exporter-Held Policies

AGENCY: Export-Import Bank of the United States.

ACTION: Notice of information collection; request for comment.

SUMMARY: The Export-Import Bank of the United States (EXIM), as part of its continuing effort to reduce paperwork and respondent burden, invites the general public and other Federal Agencies to comment on the proposed information collection, as required by the Paperwork Reduction Act of 1995.

DATES: Comments must be received on or before November 18, 2024, to be assured of consideration.

ADDRESSES: Comments may be submitted electronically on WWW.REGULATIONS.GOV (EIB 92–36) or by email edward.coppola@exim.gov, or by mail to Tara Pender, Export-Import Bank of the United States, 811 Vermont Ave. NW, Washington, DC 20571.

FOR FURTHER INFORMATION CONTACT: To request additional information, please contact Edward Coppola, Edward.coppola@exim.gov, 202–565–3717.

SUPPLEMENTARY INFORMATION: The application tool can be reviewed at: https://img.exim.gov/s3fs-public/pub/pending/EIB92-36_IBCL_Application_2024_FINAL_508.pdf.

Title and Form Number: EIB 92–36, Application for Issuing Bank Credit Limit (IBCL) Under Lender or Exporter-Held Policies.

OMB Number: 3048–0016.

Type of Review: Regular.

Need and Use: This form is used by an insured exporter or lender (or broker acting on its behalf) to obtain approval for coverage of the repayment risk of an overseas bank. The information received allows EXIM staff to make a determination of the creditworthiness of the foreign bank and the underlying export sale for EXIM assistance under its programs.

Affected Public: This form affects entities involved in the export of U.S. goods and services.

Annual Number of Respondents: 300.

Estimated Time per Respondent: 30 minutes.

Annual Burden Hours: 150.

Frequency of Reporting of Use: As needed.

Dated: September 13, 2024.

Andrew Smith,

Records Officer.

[FR Doc. 2024–21222 Filed 9–17–24; 8:45 am]

BILLING CODE 6690–01–P

FEDERAL COMMUNICATIONS COMMISSION

[OMB 3060–1058; FR ID 245438]

Information Collection Being Submitted for Review and Approval to Office of Management and Budget

AGENCY: Federal Communications Commission.

ACTION: Notice and request for comments.

SUMMARY: As part of its continuing effort to reduce paperwork burdens, as required by the Paperwork Reduction Act (PRA) of 1995, the Federal Communications Commission (FCC or the Commission) invites the general public and other Federal Agencies to take this opportunity to comment on the following information collection. Pursuant to the Small Business Paperwork Relief Act of 2002, the FCC seeks specific comment on how it might “further reduce the information collection burden for small business concerns with fewer than 25 employees.”

DATES: Written comments and recommendations for the proposed information collection should be submitted on or before October 18, 2024.

ADDRESSES: Comments should be sent to www.reginfo.gov/public/do/PRAMain. Find this particular information collection by selecting “Currently under 30-day Review—Open for Public Comments” or by using the search function. Your comment must be

submitted into www.reginfo.gov per the above instructions for it to be considered. In addition to submitting in www.reginfo.gov also send a copy of your comment on the proposed information collection to Cathy Williams, FCC, via email to PRA@fcc.gov and to Cathy.Williams@fcc.gov. Include in the comments the OMB control number as shown in the **SUPPLEMENTARY INFORMATION** below.

FOR FURTHER INFORMATION CONTACT: For additional information or copies of the information collection, contact Cathy Williams at (202) 418–2918. To view a copy of this information collection request (ICR) submitted to OMB: (1) go to the web page <http://www.reginfo.gov/public/do/PRAMain>, (2) look for the section of the web page called “Currently Under Review,” (3) click on the downward-pointing arrow in the “Select Agency” box below the “Currently Under Review” heading, (4) select “Federal Communications Commission” from the list of agencies presented in the “Select Agency” box, (5) click the “Submit” button to the right of the “Select Agency” box, (6) when the list of FCC ICRs currently under review appears, look for the Title of this ICR and then click on the ICR Reference Number. A copy of the FCC submission to OMB will be displayed.

SUPPLEMENTARY INFORMATION: The Commission may not conduct or sponsor a collection of information unless it displays a currently valid Office of Management and Budget (OMB) control number. No person shall be subject to any penalty for failing to comply with a collection of information subject to the PRA that does not display a valid OMB control number.

As part of its continuing effort to reduce paperwork burdens, as required by the Paperwork Reduction Act (PRA) of 1995 (44 U.S.C. 3501–3520), the FCC invited the general public and other Federal Agencies to take this opportunity to comment on the following information collection. Comments are requested concerning: (a) Whether the proposed collection of information is necessary for the proper performance of the functions of the Commission, including whether the information shall have practical utility; (b) the accuracy of the Commission’s burden estimates; (c) ways to enhance the quality, utility, and clarity of the information collected; and (d) ways to minimize the burden of the collection of information on the respondents, including the use of automated collection techniques or other forms of information technology. Pursuant to the Small Business Paperwork Relief Act of

2002, Public Law 107–198, see 44 U.S.C. 3506(c)(4), the FCC seeks specific comment on how it might “further reduce the information collection burden for small business concerns with fewer than 25 employees.”

OMB Control Number: 3060–1058.

Title: FCC Application or Notification for Spectrum Leasing Arrangement or Private Commons Arrangement: WTB and PSHS Bureaus.

Form Number: FCC Form 608.

Type of Review: Revision of a currently approved information collection.

Respondents: Individual and households; Businesses or other for-profit entities; State, local, or Tribal government, and Not for profit institutions.

Number of Respondents: 1,697 respondents; 1,697 responses.

Estimated Time per Response: 0.05 hours–3 hours.

Frequency of Response:

Recordkeeping requirement, third party disclosure requirement, on occasion reporting requirement, one-time reporting requirement and periodic reporting requirement.

Obligation to Respond: Required to obtain or retain benefits. Statutory authority for this information collection is contained in 47 U.S.C. 1, 4(i), 157, 301, 303, 307, 308, 309, and 310 of the Communications Act of 1934, as amended.

Total Annual Burden: 2,878 hours.

Total Annual Cost: \$1,763,375.

Needs and Uses: FCC Form 608 is a multi-purpose form. It is used to provide notification or request approval for any spectrum leasing arrangement (“Lease”) entered into between an existing licensee in certain Wireless and/or Public Safety Radio Services and a spectrum lessee. This form also is required to notify or request approval for any spectrum subleasing arrangement (“Sublease”). The data collected on the form is used by the FCC to determine whether the public interest would be served by the Lease or Sublease. The form is also used to provide notification for any Private Commons Arrangement entered into between a licensee, lessee, or sublessee and a class of third-party users (as defined in Section 1.9080 of the Commission’s Rules).

The Commission is revising this form to collect information in order to confirm that satellite service operators and terrestrial service providers who seek to enter lease agreements in order to offer supplemental coverage from space (SCS) do so in compliance with the rules that govern SCS operations. On March 15, 2024, the Commission

released a Report and Order and Further Notice of Proposed Rulemaking in GN Docket No. 23–65 and IB Docket No. 22–271, FCC 24–28, which adds new section 1.9047(d)(2) to the Commission’s rules requiring the spectrum lessee or sublessee seeking to engage in spectrum leasing under this section to provide certain information within the Commission Form 608 when seeking a leasing agreement to provide SCS. Applicants will file Form 608 into the Commission’s Universal Licensing System (ULS) database.

The Commission anticipates that SCS will enable consumers in areas not covered by terrestrial networks to be connected using their existing devices via satellite-based communications. SCS is a crucial component of the Commission’s vision for a “single network future,” in which satellite and terrestrial networks work seamlessly together to provide coverage that neither network can achieve on its own. In order to ensure that prospective SCS operators will be able to comply with the applicable rules, that the public interest will be served by granting their applications, and that harmful interference will be avoided to the greatest extent possible thereafter, the Commission seeks approval to collect the following information from prospective SCS spectrum lessees.

The Commission has adopted new requirements in its part 1 rules that obligate lessees to provide the following on FCC Form 608: a certification that they are entering a leasing agreement in order to provide SCS; a description of the type of permitted arrangement the parties will enter (*e.g.*, is there a single terrestrial licensee or multiple terrestrial licensees that together hold the required licenses); and, if there are multiple terrestrial licensees, a further description of the leasing arrangement and explanation of how those licensees together hold all of the relevant licenses in a particular geographically dependent area (GIA). Entities completing FCC Form 608 for the purposes of providing SCS must also indicate that the application is for SCS by checking a box on Form 608.

This information collection is designed to allow Commission staff to carry out its statutory duties to regulate satellite communications in the public interest; namely, to ensure that prospective providers of SCS will operate in compliance with the applicable regulatory framework. This process utilizes an existing Commission form, which will remove confusion by employing the procedures that are already in place. The modifications for Form 608 covered herein will enable the

Commission to more accurately track filings related to the provision of SCS, a critical component of application review given the interplay between part 1 lease filings and part 25 license applications inherent in the SCS framework. This is especially crucial where multiple entities together hold all co-channel licenses in a particular band throughout a geographically independent area (GIA) and wish to deploy a leasing agreement with a satellite operator to provide SCS. Such arrangements are only permitted in the circumstances described in section 1.9047(d)(1)(ii)(A)–(B); specifically, the Commission must be able to confirm that the multiple licensees in fact cover the entirety of the GIA in question and that, when reviewing related part 25 license applications, the entire area of the proposed service is covered by the associated leases. This collection will thereby enable the Commission to monitor and enforce the entry criteria that SCS providers must satisfy, and which are designed to minimize the possibility of harmful interference. Finally, the collection will play a critical role in the Commission’s effort to review and track leasing arrangements that will result in entities providing SCS.

Federal Communications Commission.

Katura Jackson,

Federal Register Liaison Officer.

[FR Doc. 2024–21248 Filed 9–17–24; 8:45 am]

BILLING CODE 6712–01–P

FEDERAL COMMUNICATIONS COMMISSION

[OMB 3060–1190; FR ID 245424]

Information Collection Being Reviewed by the Federal Communications Commission Under Delegated Authority

AGENCY: Federal Communications Commission.

ACTION: Notice and request for comments.

SUMMARY: As part of its continuing effort to reduce paperwork burdens, and as required by the Paperwork Reduction Act (PRA) of 1995, the Federal Communications Commission (FCC or Commission) invites the general public and other Federal agencies to take this opportunity to comment on the following information collections. Comments are requested concerning: whether the proposed collection of information is necessary for the proper performance of the functions of the Commission, including whether the

information shall have practical utility; the accuracy of the Commission’s burden estimate; ways to enhance the quality, utility, and clarity of the information collected; ways to minimize the burden of the collection of information on the respondents, including the use of automated collection techniques or other forms of information technology; and ways to further reduce the information collection burden on small business concerns with fewer than 25 employees. The FCC may not conduct or sponsor a collection of information unless it displays a currently valid OMB control number. No person shall be subject to any penalty for failing to comply with a collection of information subject to the PRA that does not display a valid OMB control number.

DATES: Written PRA comments should be submitted on or before November 18, 2024. If you anticipate that you will be submitting comments, but find it difficult to do so within the period of time allowed by this notice, you should advise the contact listed below as soon as possible.

ADDRESSES: Direct all PRA comments to Cathy Williams, FCC, via email PRA@fcc.gov and to Cathy.Williams@fcc.gov.

FOR FURTHER INFORMATION CONTACT: For additional information about the information collection, contact Cathy Williams at (202) 418–2918.

SUPPLEMENTARY INFORMATION:

OMB Control Number: 3060–1190.

Title: Section 87.287(b), Aeronautical Advisory Stations (Unicom)—“Squitters.”

Form No.: N/A.

Type of Review: Extension of a currently approved collection.

Respondents: Business or other for-profit entities, not for profit institutions and state, local or tribal government.

Number of Respondents and Responses: 200 respondents; 200 responses.

Estimated Time per Response: 1 hour.

Frequency of Response: On-occasion reporting requirement and third party disclosure requirement.

Total Annual Burden: 85 hours.

Annual Cost Burden: \$28,750.

Obligation to Respond: Require to obtain or retain benefits. The statutory authority for this collection is contained in 47 U.S.C. 151, 154(i), 154(j), 155, 157, 225, 303(r), and 309 of the Communications Act of 1934, as amended.

Needs and Uses: The information collection requirements contained under Section 87.287(b) require that before submitting an application for an aircraft data link land test station, an

applicant must obtain written permission from the licensee of the aeronautical enroute stations serving the areas in which the aircraft data link land test station will operate on a co-channel basis. The Commission may request an applicant to provide documentation as to this fact.

The written permissions will aid the Commission in ensuring that licensees are complying with its policies and rules, while allowing the owners of antenna structures and other aviation obstacles to use Audio Visual Warning Systems (AVWS) stations, thereby helping aircraft avoid potential collisions and enhancing aviation safety, without causing harmful interference to other communications.

Federal Communications Commission.

Katura Jackson,

Federal Register Liaison Officer.

[FR Doc. 2024-21251 Filed 9-17-24; 8:45 am]

BILLING CODE 6712-01-P

FEDERAL COMMUNICATIONS COMMISSION

[OMB 3060-0984 and OMB 3060-1000; FR ID 245400]

Information Collections Being Reviewed by the Federal Communications Commission Under Delegated Authority

AGENCY: Federal Communications Commission.

ACTION: Notice and request for comments.

SUMMARY: As part of its continuing effort to reduce paperwork burdens, and as required by the Paperwork Reduction Act (PRA) of 1995, the Federal Communications Commission (FCC or Commission) invites the general public and other Federal agencies to take this opportunity to comment on the following information collections. Comments are requested concerning: whether the proposed collection of information is necessary for the proper performance of the functions of the Commission, including whether the information shall have practical utility; the accuracy of the Commission's burden estimate; ways to enhance the quality, utility, and clarity of the information collected; ways to minimize the burden of the collection of information on the respondents, including the use of automated collection techniques or other forms of information technology; and ways to further reduce the information collection burden on small business concerns with fewer than 25 employees.

The FCC may not conduct or sponsor a collection of information unless it displays a currently valid OMB control number. No person shall be subject to any penalty for failing to comply with a collection of information subject to the PRA that does not display a valid OMB control number.

DATES: Written PRA comments should be submitted on or before November 18, 2024. If you anticipate that you will be submitting comments, but find it difficult to do so within the period of time allowed by this notice, you should advise the contact listed below as soon as possible.

ADDRESSES: Direct all PRA comments to Cathy Williams, FCC, via email PRA@fcc.gov and to Cathy.Williams@fcc.gov.

FOR FURTHER INFORMATION CONTACT: For additional information about the information collection, contact Cathy Williams at (202) 418-2918.

SUPPLEMENTARY INFORMATION:

OMB Control Number: 3060-0984.

Title: 90.175(b)(1), Frequency Coordinator Requirements, Industrial/Business Pool frequencies.

Form Number: N/A.

Type of Review: Extension of a currently approved collection.

Respondents: Business or other for-profit entities, and State, local, or tribal government.

Number of Respondents and Responses: 2,700 respondents; 2,700 responses.

Estimated Time per Response: 1 hour.

Frequency of Response: One-time reporting requirement, and third party disclosure requirement.

Obligation to Respond: Required to obtain or retain benefits. Statutory authority for this collection of information is contained in sections 4(i), 11, 303(g), 303(r), and 332(c)(7) of the Communications Act of 1934, as amended, 47 U.S.C. 154(i), 161, 301, 302(a), 303(g), 303(r), 309, 332(c)(7), 336 and 337.

Total Annual Burden: 2,700 hours.

Total Annual Cost: No cost.

Needs and Uses: Section 90.175 requires third party disclosures by applicants proposing to operate a land mobile radio station. If they are requesting a frequency that formerly was coordinated exclusively by one industry-specific frequency coordinator, they are required to obtain written concurrence of that frequency coordinator.

On August 18, 2016, the Commission adopted a Notice of Proposed Rulemaking, FCC 16-110, in WP Docket No. 16-261, RM-11719 and RM-11722 (2016 Notice of Proposed Rulemaking), which proposed to amend Part 90 of the

Commission's Rules to expand access to private land mobile radio (PLMR) spectrum. Among the many actions taken in the 2016 Spectrum Access NPRM, the Commission proposed to make certain frequencies that are designated for central station alarm operations available for other PLMR uses.

Specifically, the Commission proposed to modify section 95.35(c)(63) to remove the use limitation in the urbanized areas where the frequencies designated for alarm use in urban areas are not in use. The Commission tentatively concluded that it would be in the public interest to make these frequencies available for other PLMR operations in those areas and sought comment on this proposal, including its costs and benefits. The Commission also sought comment on other ways to expand PLMR users' access to frequencies that are designated, but no longer needed, for central station commercial protection services, including by making available channels in urbanized areas where some of the urban frequencies are in use, including: Related costs and benefits associated with such proposals; current and expected future need for central station commercial protection service channels in the 460-470 MHz band; and how to protect incumbent central station commercial protection service operations from harmful interference if eliminating the use restriction on any frequency in any area where it currently is in use.

On October 22, 2018, the Commission issued a Report and Order and Order, FCC 18-143, in WP Docket No. 15-32, RM-11572, WP Docket No. 16-261, RM-11719 and RM-11722 (800/PLMR Access Order), in which it revised certain rules to require applicants for channels currently designated for central station alarm use to obtain the concurrence of the central station alarm frequency coordinator in order to use the channels for uses other than central station alarm operations. This requirement is similar to existing requirements pertaining to certain other channels. The Report and Order and Order did not revise any of the information collection requirements that are contained in this collection but rather added additional frequencies to the list. Therefore, this essentially is adding an additional 200 respondents to this collection.

OMB Control Number: 3060-1000.

Title: Section 87.147, Authorization of Equipment.

Form Number: N/A.

Type of Review: Extension of a currently approved collection.

Respondents: Business or other for-profit entities.

Number of Respondents: 25 respondents; 25 responses.

Estimated Time per Response: 1 hour.

Frequency of Response: One time and occasion reporting requirements and third party disclosure requirement.

Obligation to Respond: Required to obtain or retain benefits. Statutory authority for this information collection is contained in 47 U.S.C. 154, 303 and 307(e) of the Communications Act of 1934, as amended.

Total Annual Burden: 25 hours.

Total Annual Cost: No cost.

Needs and Uses: Section 87.147 is needed to require applicants for aviation equipment certification to submit a Federal Aviation Administration (FAA) determination of the equipment's compatibility with the National Airspace System (NAS). This will ensure that radio equipment operating in certain frequencies is compatible with the NAS, which shares system components with the military. The notification must describe the equipment, along with a report of measurements, give the manufacturer's identification, antenna characteristics, rated output power, emission type and characteristics, the frequency or frequencies of operation, and essential receiver characteristics if protection is required.

Federal Communications Commission.

Katura Jackson,

Federal Register Liaison Officer.

[FR Doc. 2024-21252 Filed 9-17-24; 8:45 am]

BILLING CODE 6712-01-P

FEDERAL RESERVE SYSTEM

Change in Bank Control Notices; Acquisitions of Shares of a Bank or Bank Holding Company

The notificants listed below have applied under the Change in Bank Control Act (Act) (12 U.S.C. 1817(j)) and § 225.41 of the Board's Regulation Y (12 CFR 225.41) to acquire shares of a bank or bank holding company. The factors that are considered in acting on the applications are set forth in paragraph 7 of the Act (12 U.S.C. 1817(j)(7)).

The public portions of the applications listed below, as well as other related filings required by the Board, if any, are available for immediate inspection at the Federal Reserve Bank(s) indicated below and at the offices of the Board of Governors. This information may also be obtained on an expedited basis, upon request, by contacting the appropriate Federal

Reserve Bank and from the Board's Freedom of Information Office at <https://www.federalreserve.gov/foia/request.htm>. Interested persons may express their views in writing on the standards enumerated in paragraph 7 of the Act.

Comments received are subject to public disclosure. In general, comments received will be made available without change and will not be modified to remove personal or business information including confidential, contact, or other identifying information. Comments should not include any information such as confidential information that would not be appropriate for public disclosure.

Comments regarding each of these applications must be received at the Reserve Bank indicated or the offices of the Board of Governors, Ann E. Misback, Secretary of the Board, 20th Street and Constitution Avenue NW, Washington, DC 20551-0001, not later than October 3, 2024.

A. Federal Reserve Bank of Minneapolis (Mark Rauzi, Vice President), 90 Hennepin Avenue, Minneapolis, Minnesota 55480-0291. Comments can also be sent electronically to MA@mpls.frb.org:

1. *John Daniel Billingsley, Lake Elmo, Minnesota*; to join the Raleigh Family Control Group, a group acting in concert, to retain voting shares of Lake Elmo Bancshares, Inc., and thereby indirectly retain voting shares of Lake Elmo Bank, both of Lake Elmo, Minnesota.

Board of Governors of the Federal Reserve System.

Erin Cayce,

Assistant Secretary of the Board.

[FR Doc. 2024-21236 Filed 9-17-24; 8:45 am]

BILLING CODE 6210-01-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Centers for Medicare & Medicaid Services

[CMS-3463-FN]

Medicare Program; Application by the Community Health Accreditation Partner (CHAP) for Continued CMS Approval of Its Home Infusion Therapy (HIT) Accreditation Program

AGENCY: Centers for Medicare & Medicaid Services (CMS), Health and Human Services (HHS).

ACTION: Final notice.

SUMMARY: This final notice announces our decision to approve the Community

Health Accreditation Partner (CHAP) for continued recognition as a national accrediting organization that accredits suppliers of home infusion therapy (HIT) services that wish to participate in the Medicare or Medicaid programs.

DATES: The approval announced in this final notice is effective September 25, 2024 through September 25, 2030.

FOR FURTHER INFORMATION CONTACT: Shannon Freeland, (410) 786-4348.

SUPPLEMENTARY INFORMATION:

I. Background

Home infusion therapy (HIT) is a treatment option for Medicare beneficiaries with a wide range of acute and chronic conditions. Section 5012 of the 21st Century Cures Act (Pub. L. 114-255, enacted December 13, 2016) added section 1861(iii) to the Social Security Act (the Act), establishing a new Medicare benefit for HIT services. Section 1861(iii)(1) of the Act defines "home infusion therapy" as professional services, including nursing services; training and education not otherwise covered under the Durable Medical Equipment (DME) benefit; remote monitoring; and other monitoring services. Home infusion therapy must be furnished by a qualified HIT supplier and furnished in the individual's home. Sections 1861(iii)(A) and (B) of the Act require that the individual (patient) must:

- Be under the care of an applicable provider (that is, physician, nurse practitioner, or physician assistant); and
- Have a plan of care established and periodically reviewed by a physician in coordination with the furnishing of home infusion drugs under Part B, which prescribes the type, amount, and duration of infusion therapy services that are to be furnished.

Section 1861(iii)(3)(D)(i)(III) of the Act requires that a qualified HIT supplier be accredited by an accrediting organization (AO) designated by the Secretary in accordance with section 1834(u)(5) of the Act.

Section 1834(u)(5)(A) of the Act identifies factors for designating HIT AOs and for reviewing and modifying the list of designated HIT AOs. These statutory factors are as follows:

- The ability of the accrediting organization to conduct timely reviews of HIT accreditation applications.
- The ability of the accrediting organization to take into account the capacities of HIT suppliers located in a rural area (as defined in section 1886(d)(2)(D) of the Act).
- Whether the accrediting organization has established reasonable fees to be charged to HIT suppliers applying for accreditation.

• Such other factors as the Secretary determines appropriate.

Section 1834(u)(5)(B) of the Act requires the Secretary to designate AOs to accredit HIT suppliers furnishing HIT not later than January 1, 2021. Section 1861(iii)(3)(D)(i)(III) of the Act requires a “qualified home infusion therapy supplier” to be accredited by a CMS-approved AO, pursuant to section 1834(u)(5) of the Act.

The current term of approval for the Community Health Accreditation Partner (CHAP) HIT accreditation program expires September 25, 2024.

II. Approval of Deeming Organization

Section 1834(u)(5) of the Act and § 488.1010 require that our findings concerning review and approval of a national accrediting organization’s requirements consider, among other factors, the applying accrediting organization’s requirements for accreditation; survey procedures; resources for conducting required surveys; capacity to furnish information for use in enforcement activities; monitoring procedures for provider entities found not in compliance with the conditions or requirements; and ability to provide CMS with the necessary data.

Our rules at 42 CFR 488.1020(a) require that we publish, after receipt of an organization’s complete application, a notice identifying the national accrediting body making the request, describing the nature of the request, and providing at least a 30-day public comment period. Pursuant to our rules at 42 CFR 488.1010(d), we have 210 days from the receipt of a complete application to publish notice of approval or denial of the application.

III. Provisions of the Proposed Notice

In the April 30, 2024, **Federal Register** (89 FR 34247), we published a proposed notice announcing CHAP’s request for continued recognition as a national accrediting organization for suppliers providing HIT services that wish to participate in the Medicare or Medicaid programs. In that proposed notice, we detailed our evaluation criteria. Under section 1834(u)(5) the Act and in our regulations at § 488.1010, we conducted a review of CHAP’s Medicare HIT accreditation application in accordance with the criteria specified by our regulations, which include, but are not limited to, the following:

• An administrative review of CHAP’s:

++ Corporate policies;
++ Financial and human resources available to accomplish the proposed surveys;

++ Procedures for training, monitoring, and evaluation of its HIT surveyors;

++ Ability to investigate and respond appropriately to complaints against accredited HITs; and

++ Survey review and decision-making process for accreditation.

• The equivalency of CHAP’s standards for HIT as compared with CMS’ HIT conditions for participation.

• CHAP’s survey process to determine the following:

++ The composition of the survey team, surveyor qualifications, and the ability of the organization to provide continuing surveyor training;

++ The comparability of CHAP’s to CMS’ standards and processes, including survey frequency, and the ability to investigate and respond appropriately to complaints against accredited facilities;

++ CHAP’s processes and procedures for monitoring a HIT supplier found out of compliance with CHAP’s program requirements;

++ CHAP’s capacity to report deficiencies to the surveyed HIT facilities and respond to the facility’s evidence of standards compliance in a timely manner;

++ CHAP’s capacity to provide CMS with electronic data and reports necessary for effective assessment and interpretation of the organization’s survey process;

++ CHAP’s capacity to adequately fund required surveys;

++ CHAP’s policies with respect to whether surveys are announced or unannounced, to ensure that surveys are unannounced; and

++ CHAP’s agreement to provide CMS with a copy of the most current accreditation survey together with any other information related to the survey as CMS may require (including corrective action plans or CHAP’s evidence of standards compliance).

• The adequacy of CHAP’s staff and other resources, and its financial viability.

• CHAP’s agreement or policies for voluntary and involuntary termination of suppliers.

• CHAP’s agreement or policies for voluntary and involuntary termination of the HIT AO program.

• CHAP’s policies and procedures to avoid conflicts of interest, including the appearance of conflicts of interest, involving individuals who conduct surveys or participate in accreditation decisions.

IV. Analysis of and Responses to Public Comments on the Proposed Notice

In accordance with section 1834(u)(5) of the Act, the April 30, 2024, proposed

notice also solicited public comments regarding whether CHAP’s requirements met or exceeded the Medicare conditions for participation for HIT. No comments were received in response to our proposed notice.

V. Provisions of the Final Notice

A. Differences Between CHAP’s Standards and Requirements for Accreditation and Medicare Conditions and Survey Requirements

We compared CHAP’s HIT accreditation requirements and survey process with the Medicare Conditions for Coverage of 42 CFR part 486, and the survey and certification process requirements of part 488. Our review and evaluation of CHAP’s HIT application, which were conducted as described in section III of this final notice, yielded the following areas where, as of the date of this notice, CHAP has completed revising its standards and certification processes to meet the conditions at §§ 486.500 to 486.525.

• Section 486.520(a), to address the requirement that all patients must be under the care of an applicable provider.

• Section 486.520(b), to address the requirement that the plan of care must be established by a physician and that it prescribes the type, amount, and duration of the home infusion therapy services that are to be furnished.

• Section 486.520(c), to address the requirement that the plan of care for each patient must be periodically reviewed by the physician.

• Section 486.525(a), to address the requirement that the HIT supplier must provide the following services on a 7-day a week, 24 hour-a-day basis in accordance with the plan of care:

++ Section 486.525(a)(1), to provide professional services, including nursing services.

++ Section 486.525(a)(2), to address the requirement for patient training and education and not otherwise paid for as durable medical equipment.

++ Section 486.525(a)(3), to address the requirement of remote monitoring services for the provision of HIT services and home infusion drugs.

• Section 486.525(b), to address the requirement that all home infusion therapy suppliers must provide HIT services in accordance with nationally recognized standards of practice, and in accordance with all applicable state and federal laws and regulations.

B. Term of Approval

Based on the review and observations described in section III. of this final

notice, we have determined that CHAP's requirements for HIT meet or exceed our requirements. Therefore, we approve CHAP as a national accreditation organization for HITs that request participation in the Medicare program, effective September 25, 2024, through September 25, 2030.

VI. Collection of Information Requirements

This document does not impose information collection requirements, that is, reporting, recordkeeping, or third-party disclosure requirements. Consequently, there is no need for review by the Office of Management and Budget under the authority of the Paperwork Reduction Act of 1995 (44 U.S.C. Chapter 35).

The Administrator of the Centers for Medicare & Medicaid Services (CMS), Chiquita Brooks-LaSure, having reviewed and approved this document, authorizes Trenesha Fultz-Mimms, who is the Federal Register Liaison, to electronically sign this document for purposes of publication in the **Federal Register**.

Trenesha Fultz-Mimms,

Federal Register Liaison, Centers for Medicare & Medicaid Services.

[FR Doc. 2024-21084 Filed 9-17-24; 8:45 am]

BILLING CODE 4120-01-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Administration for Children and Families

Submission for Office of Management and Budget (OMB) Review; 2024 National Survey of Early Care and Education Longitudinal Follow-ups (OMB #: 0970-0391)

AGENCY: Office of Planning, Research, and Evaluation, Administration for Children and Families, Department of Health and Human Services.

ACTION: Request for public comments.

SUMMARY: The Administration for Children and Families (ACF), U.S. Department of Health and Human Services (HHS), is proposing a data collection activity to be conducted January 2025 through December 2025 as a follow-up of the 2024 National Survey of Early Care and Education (NSECE). The objectives of the 2024 NSECE Longitudinal Follow-ups are to build on the design and implementation of the

2024 NSECE to collect urgently needed information on the following two topics relevant to early care and education (ECE) policy: (1) how households learn about and make use of financial assistance in seeking and selecting ECE, with additional focus on paid individual care arrangements; and (2) patterns of retention and attrition among individuals in the center-based ECE workforce.

DATES: *Comments due within 30 days of publication.* OMB must make a decision about the collection of information between 30 and 60 days after publication of this document in the **Federal Register**. Therefore, a comment is best assured of having its full effect if OMB receives it within 30 days of publication.

ADDRESSES: Written comments and recommendations for the proposed information collection should be sent within 30 days of publication of this notice to www.reginfo.gov/public/do/PRAMain. Find this particular information collection by selecting "Currently under 30-day Review—Open for Public Comments" or by using the search function. You can also obtain copies of the proposed collection of information by emailing OPREinfocollection@acf.hhs.gov. Identify all requests by the title of the information collection.

SUPPLEMENTARY INFORMATION:

Description: The 2024 NSECE Longitudinal Follow-ups will consist of two nationally representative surveys drawing from 2024 NSECE respondents:

1. a survey of households (1) with incomes under 300 percent of the federal poverty level (FPL) and/or (2) who had used paid care by an individual in 2024 (2024 NSECE Household Follow-up)
2. a survey of individuals who were employed in 2024 in center-based ECE programs working directly with children in classrooms serving children age 5 years and under, not yet in kindergarten (2024 NSECE Workforce Follow-up).

Participants will be drawn from respondents to the 2024 NSECE Household and Workforce surveys.

The 2024 NSECE Longitudinal Follow-up data collection efforts will provide urgently needed information that will expand the potential of the 2024 NSECE data to describe: (1) households' search for and use of financial assistance for ECE (including assistance for paid individual care

arrangements); and (2) employment experiences of individuals who have recently worked in center-based ECE classrooms.

The household follow-up in early 2025 will re-interview households participating in the 2024 NSECE who (1) report using paid individual ECE or (2) report incomes below 300 percent of the FPL. The workforce follow-up in late 2025 will re-interview individuals who participated in the 2024 NSECE workforce survey (*i.e.*, served as center-based classroom-assigned instructional staff between January and November 2024). Both follow-up surveys are designed to collect in-depth information that was not feasible to collect in the 2024 NSECE and which can be uniquely collected through re-interviews of selected 2024 NSECE participants. The household follow-up will include information about households' awareness of and experience with publicly funded ECE programs, how households selected ECE arrangements for Fall 2024, and who provided paid individual care to the households' children in 2024. The workforce follow-up will include information about the experiences of ECE instructional staff over time, where workers who leave ECE employers or the ECE sector go and why they leave, and workers' experiences in various ECE settings throughout their ECE careers. Accurate data on families with young children and the experiences of ECE workers are essential to assess the current landscape of ECE, and to provide insights to advance ECE policy and initiatives. The household follow-up will be fielded using multi-mode survey methodologies in early 2025, and the workforce follow-up will be fielded using multi-mode survey methodologies in the last half of 2025. Both follow-ups will enhance the value of the 2024 NSECE by expanding the potential utility of those data to describe household and worker experiences over time and to address additional information needs.

Respondents: 1. Households participating in the 2024 NSECE and reported either a. a paid individual ECE arrangement in 2024, or b. income under the 300 percent Federal poverty level in 2024. 2. Individuals who participated in the 2024 NSECE survey of center-based classroom-assigned instructional staff (workforce).

Annual Burden Estimates

2024 NSECE LONGITUDINAL FOLLOW-UPS (NEW REQUEST UNDER THIS OMB NUMBER)

Instrument	Number of respondents (total over request period)	Number of responses per respondent (total over request period)	Average burden per response (in hours)	Total/annual burden (in hours)
2024 NSECE Household Follow-up Questionnaire	3,750	1	.36	1,350
2024 NSECE Workforce Follow-up Questionnaire (Classroom Staff)	5,550	1	.33	1,832
2024 NSECE Household Longitudinal Follow-up Quality Assurance Questionnaire	38	1	.05	1.9
2024 NSECE Workforce Longitudinal Follow-up Quality Assurance Questionnaire	56	1	.05	2.8

Estimated Total Annual Burden
Hours: 3,187.

CURRENTLY APPROVED AND ONGOING UNDER THIS OMB NUMBER

Instrument	Number of respondents (total over request period)	Number of responses per respondent (total over request period)	Average burden per response (in hours)	Total/annual burden (in hours)
2024 NSECE Household Screener	17,187	1	.1	1,719
2024 NSECE Household Questionnaire	4,231	1	1	4,231
2024 NSECE Home-based Provider Screener (listed home-based providers)	264	1	.03	8
2024 NSECE Home-based Provider Screener and Questionnaire (listed home-based providers)	946	1	.67	634
2024 NSECE Home-based Provider Screener and Questionnaire (unlisted home-based providers)	175	1	.33	58
2024 NSECE Center-based Provider Screener	4,401	1	.1	440
2024 NSECE Center-based Provider Screener and Questionnaire	3,602	1	.75	2,702
2024 NSECE Workforce (Classroom Staff) Questionnaire	3,794	1	.33	1,252

Estimated Total Annual Burden
Hours: 11,044.

Authority: Child Care and Development Block Grant Act of 1990, as amended by the CCDBG Act of 2014 (Pub. L. 113–186), Social Security Act, section 418 as extended by the Continuing Appropriations Act of 2017 and the TANF Extension Act of 2019. Section 3507 of the Paperwork Reduction Act of 1995, 44 U.S.C. chapter 35.

Mary C. Jones,

ACF/OPRE Certifying Officer.

[FR Doc. 2024–21210 Filed 9–17–24; 8:45 am]

BILLING CODE 4184–23–P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. FDA–2024–N–4188]

Pharmacy Compounding Advisory Committee; Notice of Meeting; Establishment of a Public Docket; Request for Comments—Bulk Drug Substances Nominated for Inclusion on the Section 503A Bulk Drug Substances List; Revisions to the Withdrawn or Removed List

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice; establishment of a public docket; request for comments.

SUMMARY: The Food and Drug Administration (FDA) announces a forthcoming public advisory committee meeting of the Pharmacy Compounding Advisory Committee (the Committee). The general function of the Committee is to provide advice and recommendations to FDA on regulatory issues. The meeting will be open to the

public. FDA is establishing a docket for public comment on this document.

DATES: The meeting will be held on October 29, 2024, from 8 a.m. to 5 p.m. eastern time.

ADDRESSES: The meeting will be held at the FDA White Oak Campus, 10903 New Hampshire Ave., Bldg. 31 Conference Center, the Great Room (Rm. 1503), Silver Spring, MD 20993–0002. The public will also have the option to participate via an online teleconferencing and/or video conferencing platform, and the advisory committee meeting will be heard, viewed, captioned, and recorded through an online teleconferencing and/or video conferencing platform.

Answers to commonly asked questions about FDA advisory committee meetings, including information regarding special accommodations due to a disability, visitor parking, and transportation may be accessed at: <https://www.fda.gov/AdvisoryCommittees/AboutAdvisoryCommittees/ucm408555.htm>.

FDA is establishing a docket for public comment on this meeting. The docket number is FDA–2024–N–4188.

The docket will close on October 28, 2024. Please note that late, untimely filed comments will not be considered. The <https://www.regulations.gov> electronic filing system will accept comments until 11:59 p.m. Eastern Time on October 28, 2024. Comments received by mail/hand delivery/courier (for written/paper submissions) will be considered timely if they are received on or before that date.

Comments received on or before October 15, 2024, will be provided to the Committee. Comments received after that date will be taken into consideration by FDA. In the event that the meeting is canceled, FDA will continue to evaluate any relevant information, and consider any comments submitted to the docket, as appropriate.

You may submit comments as follows:

Electronic Submissions

Submit electronic comments in the following way:

- **Federal eRulemaking Portal:** <https://www.regulations.gov>. Follow the instructions for submitting comments. Comments submitted electronically, including attachments, to <https://www.regulations.gov> will be posted to the docket unchanged. Because your comment will be made public, you are solely responsible for ensuring that your comment does not include any confidential information that you or a third party may not wish to be posted, such as medical information, your or anyone else's Social Security number, or confidential business information, such as a manufacturing process. Please note that if you include your name, contact information, or other information that identifies you in the body of your comments, that information will be posted on <https://www.regulations.gov>.

- If you want to submit a comment with confidential information that you do not wish to be made available to the public, submit the comment as a written/paper submission and in the manner detailed (see "Written/Paper Submissions" and "Instructions").

Written/Paper Submissions

Submit written/paper submissions as follows:

- **Mail/Hand Delivery/Courier (for written/paper submissions):** Dockets Management Staff (HFA-305), Food and Drug Administration, 5630 Fishers Lane, Rm. 1061, Rockville, MD 20852.

- For written/paper comments submitted to the Dockets Management Staff, FDA will post your comment, as well as any attachments, except for information submitted, marked and

identified, as confidential, if submitted as detailed in "Instructions."

Instructions: All submissions received must include the Docket No. FDA-2024-N-4188 for "Pharmacy Compounding Advisory Committee; Notice of Meeting; Establishment of a Public Docket; Request for Comments—Bulk Drug Substances Nominated for Inclusion on the Section 503A Bulk Drug Substances List; Revisions to the Withdrawn or Removed List." Received comments, those filed in a timely manner (see **ADDRESSES**), will be placed in the docket and, except for those submitted as "Confidential Submissions," publicly viewable at <https://www.regulations.gov> or at the Dockets Management Staff between 9 a.m. and 4 p.m., Monday through Friday, 240-402-7500.

- **Confidential Submissions**—To submit a comment with confidential information that you do not wish to be made publicly available, submit your comments only as a written/paper submission. You should submit two copies total. One copy will include the information you claim to be confidential with a heading or cover note that states "THIS DOCUMENT CONTAINS CONFIDENTIAL INFORMATION." FDA will review this copy, including the claimed confidential information, in its consideration of comments. The second copy, which will have the claimed confidential information redacted/blacked out, will be available for public viewing and posted on <https://www.regulations.gov>. Submit both copies to the Dockets Management Staff. If you do not wish your name and contact information be made publicly available, you can provide this information on the cover sheet and not in the body of your comments and you must identify the information as "confidential." Any information marked as "confidential" will not be disclosed except in accordance with 21 CFR 10.20 and other applicable disclosure law. For more information about FDA's posting of comments to public dockets, see 80 FR 56469, September 18, 2015, or access the information at: <https://www.govinfo.gov/content/pkg/FR-2015-09-18/pdf/2015-23389.pdf>.

Docket: For access to the docket to read background documents or the electronic and written/paper comments received, go to <https://www.regulations.gov> and insert the docket number, found in brackets in the heading of this document, into the "Search" box and follow the prompts and/or go to the Dockets Management Staff, 5630 Fishers Lane, Rm. 1061, Rockville, MD 20852, 240-402-7500.

FOR FURTHER INFORMATION CONTACT:

Takyiah Stevenson, Center for Drug Evaluation and Research, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 31, Rm. 2417, Silver Spring, MD 20993-0002, 240-402-2507, email: PCAC@fda.hhs.gov, or FDA Advisory Committee Information Line, 1-800-741-8138 (301-443-0572 in the Washington, DC area). A notice in the **Federal Register** about last-minute modifications that impact a previously announced advisory committee meeting cannot always be published quickly enough to provide timely notice. Therefore, you should always check FDA's website at <https://www.fda.gov/AdvisoryCommittees/default.htm> and scroll down to the appropriate advisory committee meeting link, or call the advisory committee information line to learn about possible modifications before the meeting.

SUPPLEMENTARY INFORMATION:

Background: Section 503A of the Federal Food, Drug, and Cosmetic Act (FD&C Act) (21 U.S.C. 353a) describes the conditions that must be satisfied for human drug products compounded by a licensed pharmacist in a State licensed pharmacy or a Federal facility, or a licensed physician, to be exempt from the following three sections of the FD&C Act: (1) section 501(a)(2)(B) (21 U.S.C. 351(a)(2)(B)) (concerning current good manufacturing practice requirements); (2) section 502(f)(1) (21 U.S.C. 352(f)(1)) (concerning the labeling of drugs with adequate directions for use); and (3) section 505 (21 U.S.C. 355) (concerning the approval of human drug products under new drug applications (NDAs) or abbreviated new drug applications (ANDAs)).

Section 503B of the FD&C Act describes the conditions that must be satisfied for drug products compounded in an outsourcing facility to be exempt from: (1) section 502(f)(1), (2) section 505, and (3) section 582 (21 U.S.C. 360eee-1) (concerning drug supply chain security requirements) of the FD&C Act.

One of the conditions that must be satisfied for a drug product to qualify for the exemptions under section 503A of the FD&C Act is that the licensed pharmacist or licensed physician compounds the drug product using bulk drug substances (as defined in 21 CFR 207.3) that: (1) comply with the standards of an applicable United States Pharmacopoeia (USP) or National Formulary monograph, if a monograph exists, and the USP chapter on pharmacy compounding; (2) if an applicable monograph does not exist, are drug substances that are components

of drugs approved by the Secretary of Health and Human Services (the Secretary); or (3) if such a monograph does not exist and the drug substance is not a component of a drug approved by the Secretary, that appear on a list developed by the Secretary through regulations issued by the Secretary under section 503A(c) of the FD&C Act (the 503A Bulks List) (see section 503A(b)(1)(A)(i) of the FD&C Act).

One of the conditions that must be satisfied for the compounded drug to qualify for the exemptions under section 503A or section 503B of the FD&C Act is that the drug that is compounded does not appear on a list published by the Secretary of drugs that have been withdrawn or removed from the market because such drug products or components of such drug products have been found to be unsafe or not effective (Withdrawn or Removed List) (see sections 503A(b)(1)(C) and 503B(a)(4) of the FD&C Act). The Withdrawn or Removed List is codified at § 216.24 (21 CFR 216.24).

Agenda: FDA, invited attendees, and the public will be able to attend the meeting in-person at FDA’s White Oak Campus (see **ADDRESSES**). The meeting presentations will also be heard, viewed, captioned, and recorded through an online teleconferencing and/or video conferencing platform. The Committee will discuss the following bulk drug substances being considered for inclusion on the 503A Bulks List: ibutamoren mesylate, L-theanine, ipamorelin-related bulk drug substances (ipamorelin acetate and ipamorelin (free base)), and kisspeptin-10. The chart below identifies the use(s) FDA reviewed for each of the bulk drug substances being discussed at this advisory committee meeting. For nominated bulk drug substances, the nominators of these substances will be invited to make a short presentation supporting the nomination.

Bulk drug substance	Uses evaluated
Ibutamoren mesylate.	Treatment of growth hormone deficiency (GHD), osteoporosis, hip fracture, sarcopenia, obesity, and Alzheimer’s disease.
L-theanine	Sleep disorders and anxiety disorders.
Ipamorelin acetate.	GHD and postoperative ileus.
Ipamorelin (free base). Kisspeptin-10	Treatment of secondary hypogonadism in men.

The Committee will also discuss a revision FDA is considering to the

Withdrawn or Removed List. Specifically, FDA is considering whether to amend § 216.24 to add an entry to the list: hydroxyprogesterone caproate: all drug products containing hydroxyprogesterone caproate to reduce the risk of preterm birth in women with a singleton pregnancy who have a history of singleton spontaneous birth. As previously explained in the **Federal Register** of July 2, 2014 (79 FR 37687 at 37689 through 37690), the list entry may specify that a drug may not be compounded in any form. Alternatively, the list entry may expressly exclude a particular formulation, indication, dosage form, or route of administration from an entry on the list, or a drug may be listed only with regard to certain formulations, indications, routes of administration, or dosage forms. FDA plans to seek the Committee’s advice concerning the inclusion of this entry on the list.

FDA intends to make background material available to the public no later than 2 business days before the meeting. If FDA is unable to post the background material on its website prior to the meeting, the background material will be made publicly available on FDA’s website at the time of the advisory committee meeting. Background material and the link to the online teleconference and/or video conference meeting will be available at the location of the advisory committee meeting and at <https://www.fda.gov/AdvisoryCommittees/Calendar/default.htm>. Scroll down to the appropriate advisory committee meeting link. The meeting will include slide presentations with audio and video components to allow the presentation of materials for online participants in a manner that most closely resembles an in-person advisory committee meeting.

Procedure: Interested persons may present data, information, or views, orally or in writing, on issues pending before the Committee. All electronic and written submissions to the Docket (see **ADDRESSES**) on or before October 15, 2024, will be provided to the Committee. Oral presentations from the public will be scheduled following FDA presentations. FDA has allotted approximately 1 hour for open public hearing presentations, which will be split to allow for public remarks on each substance. The sessions will begin at approximately 9:10 a.m., 11 a.m., 1:50 p.m., 3:15 p.m., and 4:30 p.m. Those individuals interested in making formal oral presentations should notify the contact person and submit a brief statement of the general nature of the evidence or arguments they wish to present, the names and addresses of

proposed participants, whether they would like to present online or in-person, and an indication of the approximate amount of time requested to make their presentation on or before October 4, 2024. Time allotted for each presentation may be limited. If the number of registrants requesting to speak is greater than can be reasonably accommodated during the scheduled open public hearing session, FDA may conduct a lottery to determine the speakers for the scheduled open public hearing session. FDA may also extent the time scheduled for open public hearing presentations depending on interest. Similarly, room for interested persons to participate in-person may be limited. If the number of registrants requesting to speak in-person during the open public hearing is greater than can be reasonably accommodated in the venue for the in-person portion of the advisory committee meeting, FDA may conduct a lottery to determine the speakers who will be invited to participate in-person. The contact person will notify interested persons regarding their request to speak and the timeframe for the presentation by October 7, 2024. Persons attending FDA’s advisory committee meetings are advised that FDA is not responsible for providing access to electrical outlets.

For press inquiries, please contact the Office of Media Affairs at fdaoma@fda.hhs.gov or 301–796–4540.

FDA welcomes the attendance of the public at its advisory committee meetings and will make every effort to accommodate persons with disabilities. If you require accommodations due to a disability, please contact Takyiah Stevenson (see **FOR FURTHER INFORMATION CONTACT**) at least 7 days in advance of the meeting.

FDA is committed to the orderly conduct of its advisory committee meetings. Please visit our website at <https://www.fda.gov/AdvisoryCommittees/AboutAdvisoryCommittees/ucm111462.htm> for procedures on public conduct during advisory committee meetings.

Notice of this meeting is given under the Federal Advisory Committee Act (5 U.S.C. 1001 *et seq.*). This meeting notice also serves as notice that, pursuant to 21 CFR 10.19, the requirements in 21 CFR 14.22(b), (f), and (g) relating to the location of advisory committee meetings are hereby waived to allow for this meeting to take place using an online meeting platform in conjunction with the physical meeting room (see location). This waiver is in the interest of allowing greater transparency and opportunities for public participation, in addition to convenience for advisory

committee members, speakers, and guest speakers. The conditions for issuance of a waiver under 21 CFR 10.19 are met.

Dated: September 12, 2024.

Lauren K. Roth,

Associate Commissioner for Policy.

[FR Doc. 2024–21241 Filed 9–17–24; 8:45 am]

BILLING CODE 4164–01–P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. FDA–2022–D–2870]

Conducting Clinical Trials With Decentralized Elements; Guidance for Industry, Investigators, and Other Interested Parties Availability

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice of availability.

SUMMARY: The Food and Drug Administration (FDA or Agency) is announcing the availability of a final guidance for industry, investigators, and other interested parties entitled “Conducting Clinical Trials With Decentralized Elements.” This guidance provides recommendations regarding the implementation of decentralized elements in clinical trials for drugs, biological products, and devices. Decentralized elements allow trial-related activities to occur remotely at locations convenient for trial participants (e.g., telehealth visits with investigators or visits with local healthcare providers (HCPs)). FDA’s regulatory requirements are the same for trials that include decentralized elements and trials that do not include decentralized elements. To help ensure the appropriate oversight trials with decentralized elements, the integrity of trial data, and the safety of trial participants, this guidance covers the responsibilities of sponsors and investigators. This guidance finalizes the draft guidance entitled “Decentralized Clinical Trials for Drugs, Biological Products, and Devices” issued on May 3, 2023.

DATES: The announcement of the guidance is published in the **Federal Register** on September 18, 2024.

ADDRESSES: You may submit either electronic or written comments on Agency guidances at any time as follows:

Electronic Submissions

Submit electronic comments in the following way:

- **Federal eRulemaking Portal:** <https://www.regulations.gov>. Follow the instructions for submitting comments. Comments submitted electronically, including attachments, to <https://www.regulations.gov> will be posted to the docket unchanged. Because your comment will be made public, you are solely responsible for ensuring that your comment does not include any confidential information that you or a third party may not wish to be posted, such as medical information, your or anyone else’s Social Security number, or confidential business information, such as a manufacturing process. Please note that if you include your name, contact information, or other information that identifies you in the body of your comments, that information will be posted on <https://www.regulations.gov>.

- If you want to submit a comment with confidential information that you do not wish to be made available to the public, submit the comment as a written/paper submission and in the manner detailed (see “Written/Paper Submissions” and “Instructions”).

Written/Paper Submissions

Submit written/paper submissions as follows:

- **Mail/Hand Delivery/Courier (for written/paper submissions):** Dockets Management Staff (HFA–305), Food and Drug Administration, 5630 Fishers Lane, Rm. 1061, Rockville, MD 20852.

- For written/paper comments submitted to the Dockets Management Staff, FDA will post your comment, as well as any attachments, except for information submitted, marked and identified, as confidential, if submitted as detailed in “Instructions.”

Instructions: All submissions received must include the Docket No. FDA–2022–D–2870 for “Conducting Clinical Trials With Decentralized Elements.” Received comments will be placed in the docket and, except for those submitted as “Confidential Submissions,” publicly viewable at <https://www.regulations.gov> or at the Dockets Management Staff between 9 a.m. and 4 p.m., Monday through Friday, 240–402–7500.

- **Confidential Submissions—**To submit a comment with confidential information that you do not wish to be made publicly available, submit your comments only as a written/paper submission. You should submit two copies total. One copy will include the information you claim to be confidential with a heading or cover note that states “THIS DOCUMENT CONTAINS CONFIDENTIAL INFORMATION.” The Agency will review this copy, including the claimed confidential information, in

its consideration of comments. The second copy, which will have the claimed confidential information redacted/blacked out, will be available for public viewing and posted on <https://www.regulations.gov>. Submit both copies to the Dockets Management Staff. If you do not wish your name and contact information to be made publicly available, you can provide this information on the cover sheet and not in the body of your comments and you must identify this information as “confidential.” Any information marked as “confidential” will not be disclosed except in accordance with 21 CFR 10.20 and other applicable disclosure law. For more information about FDA’s posting of comments to public dockets, see 80 FR 56469, September 18, 2015, or access the information at: <https://www.govinfo.gov/content/pkg/FR-2015-09-18/pdf/2015-23389.pdf>.

Docket: For access to the docket to read background documents or the electronic and written/paper comments received, go to <https://www.regulations.gov> and insert the docket number, found in brackets in the heading of this document, into the “Search” box and follow the prompts and/or go to the Dockets Management Staff, 5630 Fishers Lane, Rm. 1061, Rockville, MD 20852, 240–402–7500.

You may submit comments on any guidance at any time (see 21 CFR 10.115(g)(5)).

Submit written requests for single copies of this guidance to the Division of Drug Information, Center for Drug Evaluation and Research, Food and Drug Administration, 10001 New Hampshire Ave., Hillandale Building, 4th Floor, Silver Spring, MD 20993–0002; the Office of Communication, Outreach and Development, Center for Biologics Evaluation and Research, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 71, Rm. 3128, Silver Spring, MD 20993–0002; or the Office of Policy, Center for Devices and Radiological Health, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 66, Rm. 5431, Silver Spring, MD 20993–0002. Send one self-addressed adhesive label to assist that office in processing your requests. See the **SUPPLEMENTARY INFORMATION** section for electronic access to the guidance document.

FOR FURTHER INFORMATION CONTACT:

Ryan Robinson, Center for Drug Evaluation and Research, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 51, Rm. 3342, Silver Spring, MD 20993, 240–402–9756; James Myers, Center for Biologics Evaluation and Research, Food and

Drug Administration, 10903 New Hampshire Ave., Bldg. 71, Rm. 7301, Silver Spring, MD 20993-0002, 240-402-7911; Soma Kalb, Center for Devices and Radiological Health, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 66, Rm. G318, Silver Spring, MD 20993-0002, 301-796-6359; or Paul Kluetz, Oncology Center of Excellence, Food and Drug Administration, 10903 New Hampshire Avenue, Bldg. 22, Rm. 2223, Silver Spring, MD 20993, 301-796-9567.

SUPPLEMENTARY INFORMATION:

I. Background

FDA is announcing the availability of a guidance for industry entitled “Conducting Clinical Trials With Decentralized Elements.” Section 3606(a) of the Consolidated Appropriations Act, 2023 directs FDA to issue a final guidance that includes recommendations to clarify and advance the use of DCTs to support the development of drugs and devices. This guidance fulfills the requirements set forth in section 3606(a)(2) of the Consolidated Appropriations Act, 2023. The content described in section 3606(b) of the Consolidated Appropriations Act, 2023 is further addressed through this guidance’s reference to FDA’s guidance for industry, investigators, and other stakeholders entitled “Digital Health Technologies for Remote Data Acquisition in Clinical Investigations” (December 2023).

In this guidance, a decentralized clinical trial (DCT) refers to a clinical trial that includes decentralized elements where trial-related activities occur at locations other than traditional clinical trial sites. These trial-related activities may take place at the location of trial participants (e.g., their homes) or in local healthcare facilities that are close to trial participants’ locations. FDA’s regulatory requirements are the same for trials that include decentralized elements and trials that do not include decentralized elements.

DCTs may include the use of local healthcare providers and local clinical laboratory facilities in the management of trial participants and the use of telehealth and digital health technologies to acquire data remotely. By allowing remote participation and reducing the need to travel for face-to-face visits, DCTs may enhance convenience for study participants, facilitate research on diseases affecting populations with limited mobility, and reduce the burden on caregivers.

This guidance provides recommendations related to the incorporation of decentralized elements

into clinical trials, including: (1) DCT design, conduct, and oversight; (2) conduct of remote clinical trial visits and activities including the use of local HCPs; (3) use of digital health technologies in DCTs; (4) the roles of sponsors and investigators in DCTs; (5) informed consent and institutional review board oversight of DCTs; (6) types of investigational products appropriate for study in DCTs; (7) packaging and shipping of investigational products in DCTs; (8) processes and procedures to ensure participant safety; and (9) use of software in DCTs.

This guidance finalizes the draft guidance entitled “Decentralized Clinical Trials for Drugs, Biological Products, and Devices” issued on May 3, 2023 (88 FR 27900). FDA considered comments received on the draft guidance as the guidance was finalized. Changes from the draft to the final guidance include: (1) removal of language regarding the requirement to maintain a task log of local HCPs, (2) clarification about challenges related to data variability in DCTs, (3) updates to responsibilities for ensuring qualifications of local HCPs, and (4) clarifications on the need for a physical location for inspections. In addition, editorial changes were made to improve clarity.

This guidance is being issued consistent with FDA’s good guidance practices regulation (21 CFR 10.115). The guidance represents the current thinking of FDA on “Conducting Clinical Trials With Decentralized Elements.” It does not establish any rights for any person and is not binding on FDA or the public. You can use an alternative approach if it satisfies the requirements of the applicable statutes and regulations.

II. Paperwork Reduction Act of 1995

While this guidance contains no collection of information, it does refer to previously approved FDA collections of information. The previously approved collections of information are subject to review by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995 (44 U.S.C. 3501-3521). The collections of information in 21 CFR part 11 pertaining to electronic records and signatures have been approved under OMB control number 0910-0303. The collections of information in 21 CFR part 312 pertaining to investigational new drug applications, including Form FDA 1572, have been approved under OMB control number 0910-0014. The collections of information in 21 CFR part 812 pertaining to investigational device

exemption applications have been approved under OMB control number 0910-0078. The collections of information in 21 CFR parts 50 and 56 pertaining to the protection of human subjects, informed consent, and institutional review boards have been approved under OMB control number 0910-0130.

III. Electronic Access

Persons with access to the internet may obtain the guidance at <https://www.fda.gov/regulatory-information/search-fda-guidance-documents>, <https://www.fda.gov/vaccines-blood-biologics/guidance-compliance-regulatory-information-biologics/biologics-guidances>, or <https://www.regulations.gov>.

Dated: September 12, 2024.

Lauren K. Roth,

Associate Commissioner for Policy.

[FR Doc. 2024-21078 Filed 9-17-24; 8:45 am]

BILLING CODE 4164-01-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. FDA-2024-D-2052]

Integrating Randomized Controlled Trials for Drug and Biological Products Into Routine Clinical Practice; Draft Guidance for Industry; Availability

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice of availability.

SUMMARY: The Food and Drug Administration (FDA or Agency) is announcing the availability of a draft guidance for industry entitled “Integrating Randomized Controlled Trials for Drug and Biological Products Into Routine Clinical Practice.” FDA is publishing this draft guidance as part of a series of guidance documents under its Real-World Evidence (RWE) Program and to satisfy, in part, a mandate under the Federal Food, Drug, and Cosmetic Act to issue guidance about the use of RWE in regulatory decision-making. This draft guidance is intended to support the conduct of randomized controlled drug trials with streamlined protocols and procedures that can integrate research into routine clinical practice.

DATES: Submit either electronic or written comments on the draft guidance by December 17, 2024 to ensure that the Agency considers your comment on this draft guidance before it begins work on the final version of the guidance.

ADDRESSES: You may submit comments on any guidance at any time as follows:

Electronic Submissions

Submit electronic comments in the following way:

- **Federal eRulemaking Portal:** <https://www.regulations.gov>. Follow the instructions for submitting comments. Comments submitted electronically, including attachments, to <https://www.regulations.gov> will be posted to the docket unchanged. Because your comment will be made public, you are solely responsible for ensuring that your comment does not include any confidential information that you or a third party may not wish to be posted, such as medical information, your or anyone else's Social Security number, or confidential business information, such as a manufacturing process. Please note that if you include your name, contact information, or other information that identifies you in the body of your comments, that information will be posted on <https://www.regulations.gov>.

- If you want to submit a comment with confidential information that you do not wish to be made available to the public, submit the comment as a written/paper submission and in the manner detailed (see "Written/Paper Submissions" and "Instructions").

Written/Paper Submissions

Submit written/paper submissions as follows:

- **Mail/Hand Delivery/Courier (for written/paper submissions):** Dockets Management Staff (HFA-305), Food and Drug Administration, 5630 Fishers Lane, Rm. 1061, Rockville, MD 20852.
- For written/paper comments submitted to the Dockets Management Staff, FDA will post your comment, as well as any attachments, except for information submitted, marked and identified, as confidential, if submitted as detailed in "Instructions."

Instructions: All submissions received must include the Docket No. FDA-2024-D-2052 for "Integrating Randomized Controlled Trials for Drug and Biological Products Into Routine Clinical Practice." Received comments will be placed in the docket and, except for those submitted as "Confidential Submissions," publicly viewable at <https://www.regulations.gov> or at the Dockets Management Staff between 9 a.m. and 4 p.m., Monday through Friday, 240-402-7500.

- **Confidential Submissions—**To submit a comment with confidential information that you do not wish to be made publicly available, submit your comments only as a written/paper submission. You should submit two

copies total. One copy will include the information you claim to be confidential with a heading or cover note that states "THIS DOCUMENT CONTAINS CONFIDENTIAL INFORMATION." The Agency will review this copy, including the claimed confidential information, in its consideration of comments. The second copy, which will have the claimed confidential information redacted/blacked out, will be available for public viewing and posted on <https://www.regulations.gov>. Submit both copies to the Dockets Management Staff. If you do not wish your name and contact information to be made publicly available, you can provide this information on the cover sheet and not in the body of your comments and you must identify this information as "confidential." Any information marked as "confidential" will not be disclosed except in accordance with 21 CFR 10.20 and other applicable disclosure law. For more information about FDA's posting of comments to public dockets, see 80 FR 56469, September 18, 2015, or access the information at: <https://www.govinfo.gov/content/pkg/FR-2015-09-18/pdf/2015-23389.pdf>.

Docket: For access to the docket to read background documents or the electronic and written/paper comments received, go to <https://www.regulations.gov> and insert the docket number, found in brackets in the heading of this document, into the "Search" box and follow the prompts and/or go to the Dockets Management Staff, 5630 Fishers Lane, Rm. 1061, Rockville, MD 20852, 240-402-7500.

You may submit comments on any guidance at any time (see 21 CFR 10.115(g)(5)).

Submit written requests for single copies of the draft guidance to the Division of Drug Information, Center for Drug Evaluation and Research, Food and Drug Administration, 10001 New Hampshire Ave., Hillandale Building, 4th Floor, Silver Spring, MD 20993-0002; or the Office of Communication, Outreach and Development, Center for Biologics Evaluation and Research, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 71, Rm. 3128, Silver Spring, MD 20993-0002. Send one self-addressed adhesive label to assist that office in processing your requests. See the **SUPPLEMENTARY INFORMATION** section for electronic access to the draft guidance document.

FOR FURTHER INFORMATION CONTACT:

Heather Stone, Center for Drug Evaluation and Research, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 51, Rm. 3348, Silver Spring, MD 20993-0002, 301-

796-2274, Heather.Stone@fda.hhs.gov; or James Myers, Center for Biologics Evaluation and Research, Food and Drug Administration, 10903 New Hampshire Ave., Bldg. 71, Rm. 7301, Silver Spring, MD 20993-0002, 240-402-7911.

SUPPLEMENTARY INFORMATION:

I. Background

FDA is announcing the availability of a draft guidance for industry entitled "Integrating Randomized Controlled Trials for Drug and Biological Products Into Routine Clinical Practice." This draft guidance is intended to support the conduct of randomized controlled drug trials with streamlined protocols and procedures that focus on essential data, allowing integration of research into routine clinical practice. Depending on the condition and the intervention to be studied, the spectrum of trial designs may range from those that are almost completely reliant on data acquired by the participant's local healthcare providers during routine clinical practice visits to those that require significant supplementation with dedicated, research-specific activities for data collection conducted by trial staff.

Traditional randomized controlled drug trials typically capture a large amount of protocol-specified patient information (e.g., patient characteristics, medical history, concomitant medications, vital signs, adverse events, laboratory results, measures of drug response, clinical status) at baseline and over the course of the trial. Some of these data are also collected in routine clinical practice, although the specific procedures and methods, timing of collection, and documentation formats typically differ from those in a clinical trial. Given the potential overlap in information collected, data for clinical research can, under appropriate circumstances, be obtained from routine clinical practice interactions, reducing the need for dedicated trial sites.

This draft guidance applies to studies involving FDA-approved drugs being studied for new indications, populations, or doses; drug safety studies for FDA-approved drugs; other postmarketing studies; comparative effectiveness studies; and trials of unapproved drugs in later development when the safety profile is sufficiently characterized and the drug is appropriate to be administered and managed in the setting of routine clinical practice. This guidance does not address non-interventual (observational) studies.

Among other things, the draft guidance provides considerations

regarding the roles and responsibilities of sponsors, investigators, healthcare institutions, and local healthcare providers and addresses using a quality by design approach to facilitate the conduct of trials in the clinical practice setting.

This draft guidance is being issued consistent with FDA's good guidance practices regulation (21 CFR 10.115). The draft guidance, when finalized, will represent the current thinking of FDA on "Integrating Randomized Controlled Trials for Drug and Biological Products Into Routine Clinical Practice." It does not establish any rights for any person and is not binding on FDA or the public. You can use an alternative approach if it satisfies the requirements of the applicable statutes and regulations.

II. Paperwork Reduction Act of 1995

While this guidance contains no collection of information, it does refer to previously approved FDA collections of information. The previously approved collections of information are subject to review by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995 (PRA) (44 U.S.C. 3501–3521). The collections of information in 21 CFR parts 50 and 56 have been approved under OMB control number 0910–0130; the collections of information in 21 CFR part 312 have been approved under OMB control number 0910–0014; the collections of information in 21 CFR part 314 have been approved under OMB control number 0910–0001; and the collections of information in 21 CFR part 601 have been approved under OMB control number 0910–0338.

III. Electronic Access

Persons with access to the internet may obtain the draft guidance at <https://www.fda.gov/drugs/guidance-compliance-regulatory-information/guidances-drugs>, <https://www.fda.gov/vaccines-blood-biologics/guidance-compliance-regulatory-information/biologics-guidances>, <https://www.fda.gov/regulatory-information/search-fda-guidance-documents>, or <https://www.regulations.gov>.

Dated: September 12, 2024.

Lauren K. Roth,

Associate Commissioner for Policy.

[FR Doc. 2024–21077 Filed 9–17–24; 8:45 am]

BILLING CODE 4164–01–P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

National Institutes of Health

National Institute on Drug Abuse; Notice of Closed Meetings

Pursuant to section 1009 of the Federal Advisory Committee Act, as amended, notice is hereby given of the following meetings.

The meetings will be closed to the public in accordance with the provisions set forth in sections 552b(c)(4) and 552b(c)(6), title 5 U.S.C., as amended. The grant applications and the discussions could disclose confidential trade secrets or commercial property such as patentable material, and personal information concerning individuals associated with the grant applications, the disclosure of which would constitute a clearly unwarranted invasion of personal privacy.

Name of Committee: National Institute on Drug Abuse Special Emphasis Panel; Cohort Studies of HIV/AIDS and Substance Use.

Date: November 4, 2024.

Time: 10:00 a.m. to 5:30 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institute of Health, National Institute on Drug Abuse, 301 North Stonestreet Avenue, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Soyoun Cho, Ph.D., Scientific Review Officer, Scientific Review Branch, Division of Extramural Research, National Institute on Drug Abuse, NIH, 301 North Stonestreet Avenue, MSC 6021, Bethesda, MD 20892, (301) 594–9460, Soyoun.cho@nih.gov.

Name of Committee: National Institute on Drug Abuse Special Emphasis Panel; Engaging Survivors of Sexual Violence and Trafficking in HIV and Substance Use Disorder Services.

Date: November 6, 2024.

Time: 11:30 a.m. to 4:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institute of Health, National Institute on Drug Abuse, 301 North Stonestreet Avenue, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Marisa Srivareerat, Ph.D., Scientific Review Officer, Scientific Review Branch, Office of Extramural Policy, National Institute on Drug Abuse, NIH, 301 North Stonestreet Avenue, MSC 6021, Bethesda, MD 20892, (301) 435–1258, marisa.srivareerat@nih.gov.

Name of Committee: National Institute on Drug Abuse Special Emphasis Panel; Harnessing Artificial Intelligence and Polypharmacology to Discover Pharmacotherapeutics for Substance Use Disorders.

Date: November 13, 2024.

Time: 10:00 a.m. to 5:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institute of Health, National Institute on Drug Abuse, 301 North Stonestreet Avenue, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Devon Rene Oskvig, Ph.D., Scientific Review Officer, Scientific Review Branch, Division of Extramural Research, National Institute on Drug Abuse, NIH, 301 North Stonestreet Avenue, MSC 6021, Bethesda, MD 20892, (301) 402–6965, devon.oskvig@nih.gov.

(Catalogue of Federal Domestic Assistance Program Nos. 93.277, Drug Abuse Scientist Development Award for Clinicians, Scientist Development Awards, and Research Scientist Awards; 93.278, Drug Abuse National Research Service Awards for Research Training; 93.279, Drug Abuse and Addiction Research Programs, National Institutes of Health, HHS)

Dated: September 12, 2024.

Lauren A. Fleck,

Program Analyst, Office of Federal Advisory Committee Policy.

[FR Doc. 2024–21152 Filed 9–17–24; 8:45 am]

BILLING CODE 4140–01–P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

National Institutes of Health

Center for Scientific Review; Notice of Closed Meetings

Pursuant to section 1009 of the Federal Advisory Committee Act, as amended, notice is hereby given of the following meetings.

The meetings will be closed to the public in accordance with the provisions set forth in sections 552b(c)(4) and 552b(c)(6), title 5 U.S.C., as amended. The grant applications and the discussions could disclose confidential trade secrets or commercial property such as patentable material, and personal information concerning individuals associated with the grant applications, the disclosure of which would constitute a clearly unwarranted invasion of personal privacy.

Name of Committee: Oncology 1—Basic Translational Integrated Review Group; Basic Mechanisms of Cancer Health Disparities Study Section.

Date: October 15–16, 2024.

Time: 10:00 a.m. to 8:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Amy L Rubinstein, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 5152, MSC 7844, Bethesda, MD 20892, 301–408–9754, email: rubinstein@csr.nih.gov.

Name of Committee: Oncology 2—Translational Clinical Integrated Review

Group; Translational Immuno-oncology Study Section.

Date: October 16–17, 2024.

Time: 8:00 a.m. to 7:00 p.m.

Agenda: To review and evaluate grant applications.

Place: Hyatt Regency, Bethesda, One Bethesda Metro Center, Bethesda, MD 20814 (In Person).

Contact Person: Maria Elena Cardenas-Corona, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Bethesda, MD 20817, 301–867–5309, email: maria.cardenas-corona@nih.gov.

Name of Committee: Bioengineering Sciences & Technologies Integrated Review Group; Drug and Biologic Therapeutic Delivery Study Section.

Date: October 16–17, 2024.

Time: 8:00 a.m. to 6:00 p.m.

Agenda: To review and evaluate grant applications.

Place: St. Gregory Hotel, 2033 M Street NW, Washington, DC 20036 (In Person).

Contact Person: Janice Duy, Ph.D., Scientific Review Officer, Center for Scientific Review, 6701 Rockledge Drive, Bethesda, MD 20892, 301–594–3139, email: janice.duy@nih.gov.

Name of Committee: Musculoskeletal, Oral and Skin Sciences Integrated Review Group; Musculoskeletal Rehabilitation Sciences Study Section.

Date: October 16–17, 2024.

Time: 9:00 a.m. to 9:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Richard Michael Lovering, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 1000J, Bethesda, MD 20892, (301) 867–5309, email: loveringrm@mail.nih.gov.

Name of Committee: Population Sciences and Epidemiology Integrated Review Group; Social and Environmental Determinants of Health Study Section.

Date: October 16–17, 2024.

Time: 9:00 a.m. to 8:00 p.m.

Agenda: To review and evaluate grant applications.

Place: Bethesda Marriott, 5151 Pooks Hill Road, Bethesda, MD 20814 (In Person).

Contact Person: Ananya Paria, MPH, MS, DHSC, Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 1007H, Bethesda, MD 20892, (301) 827–6513, email: pariaa@mail.nih.gov.

Name of Committee: Social and Community Influences on Health Integrated Review Group; Health Promotion in Communities Study Section.

Date: October 16–17, 2024.

Time: 9:00 a.m. to 8:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Helena Eryam Dagadu, MPH, Ph.D., Scientific Review Officer, Center

for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 3137, Bethesda, MD 20892, (301) 435–1266, email: dagaduhe@csr.nih.gov.

Name of Committee: Interdisciplinary Molecular Sciences and Training Integrated Review Group; Cellular and Molecular Technologies Study Section.

Date: October 16–17, 2024.

Time: 9:00 a.m. to 8:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Tatiana V Cohen, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 5213, Bethesda, MD 20892, 301–455–2364, email: tatiana.cohen@nih.gov.

Name of Committee: Biological Chemistry and Macromolecular Biophysics Integrated Review Group; Biochemistry and Biophysics of Membranes Study Section.

Date: October 16–17, 2024.

Time: 9:30 a.m. to 8:30 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: James W Mack, Ph.D., Scientific Review Administrator, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 4154, MSC 7806, Bethesda, MD 20892, (301) 435–2037, email: mackj2@csr.nih.gov.

Name of Committee: Center for Scientific Review Special Emphasis Panel; PAR Panel: Academic-Industrial Partnerships for Translation of Technologies.

Date: October 16, 2024.

Time: 10:00 a.m. to 7:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Jennifer Ann Sanders, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Bethesda, MD 20892, (301) 496–3553, email: jennifer.sanders@nih.gov.

Name of Committee: Cell Biology Integrated Review Group; Biology and Development of the Eye Study Section.

Date: October 16–17, 2024.

Time: 10:00 a.m. to 6:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Robert O'Hagan, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Bethesda, MD 20892, (240) 909–6378, email: ohaganr2@csr.nih.gov.

Name of Committee: Infectious Diseases and Immunology A Integrated Review Group; Bacterial Virulence Study Section.

Date: October 16–17, 2024.

Time: 10:00 a.m. to 9:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Susan Daum, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 3202, Bethesda, MD 20892, 301–827–7233, email: susan.boyle-vavra@nih.gov.

Name of Committee: Center for Scientific Review Special Emphasis Panel; BRAIN Initiative: Preclinical Proof of Concept for Novel Recording and Modulation Technologies in the Human CNS.

Date: October 16, 2024.

Time: 1:00 p.m. to 5:00 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institutes of Health, Rockledge II, 6701 Rockledge Drive, Bethesda, MD 20892 (Virtual Meeting).

Contact Person: Aurea D De Sousa, Ph.D., Scientific Review Officer, Center for Scientific Review, National Institutes of Health, 6701 Rockledge Drive, Room 5186, Bethesda, MD 20892, (301) 827–6829, email: aurea.desousa@nih.gov.

(Catalogue of Federal Domestic Assistance Program Nos. 93.306, Comparative Medicine; 93.333, Clinical Research, 93.306, 93.333, 93.337, 93.393–93.396, 93.837–93.844, 93.846–93.878, 93.892, 93.893, National Institutes of Health, HHS)

Dated: September 12, 2024.

Bruce A. George,

Program Analyst, Office of Federal Advisory Committee Policy.

[FR Doc. 2024–21150 Filed 9–17–24; 8:45 am]

BILLING CODE 4140–01–P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

National Institutes of Health

National Institute of Environmental Health Sciences; Notice of Closed Meetings

Pursuant to section 1009 of the Federal Advisory Committee Act, as amended, notice is hereby given of the following meetings.

The meetings will be closed to the public in accordance with the provisions set forth in sections 552b(c)(4) and 552b(c)(6), title 5 U.S.C., as amended. The grant applications and the discussions could disclose confidential trade secrets or commercial property such as patentable material, and personal information concerning individuals associated with the grant applications, the disclosure of which would constitute a clearly unwarranted invasion of personal privacy.

Name of Committee: Environmental Health Sciences Review Committee.

Date: October 16–18, 2024.

Time: 10:30 a.m. to 5:30 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institute of Environmental Health Science, Keystone Building, 530 Davis Drive, Durham, NC 27709 (Virtual Meeting).

Contact Person: Varsha Shukla, Ph.D., Scientific Review Officer, Scientific Review Branch, Division of Extramural Research and Training, National Institute of Environmental Health Science, 530 Davis Drive, Keystone Building, Room 3094, Durham, NC 27713, 984–287–3288, email: Varsha.shukla@nih.gov.

Name of Committee: Environmental Health Sciences Review Committee.

Date: November 12–13, 2024.

Time: 11:00 a.m. to 5:30 p.m.

Agenda: To review and evaluate grant applications.

Place: National Institute of Environmental Health Science, Keystone Building, 530 Davis Drive, Durham, NC 27709 (Virtual Meeting).

Contact Person: Varsha Shukla, Ph.D., Scientific Review Officer, Scientific Review Branch, Division of Extramural Research and Training, National Institute of Environmental Health Science, 530 Davis Drive, Keystone Building, Room 3094, Durham, NC 27713, 984–287–3288, email: Varsha.shukla@nih.gov.

(Catalogue of Federal Domestic Assistance Program Nos. 93.115, Biometry and Risk Estimation—Health Risks from Environmental Exposures; 93.142, NIEHS Hazardous Waste Worker Health and Safety Training; 93.143, NIEHS Superfund Hazardous Substances—Basic Research and Education; 93.894, Resources and Manpower Development in the Environmental Health Sciences; 93.113, Biological Response to Environmental Health Hazards; 93.114, Applied Toxicological Research and Testing, National Institutes of Health, HHS)

Dated: September 12, 2024.

Bruce A. George,
Program Analyst, Office of Federal Advisory Committee Policy.

[FR Doc. 2024–21151 Filed 9–17–24; 8:45 am]

BILLING CODE 4140–01–P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

National Institutes of Health

National Cancer Institute; Notice of Charter Renewal

In accordance with title 41 of the U.S. Code of Federal Regulations, section 102–3.65(a), notice is hereby given that the Charter for the National Cancer Institute Council of Research Advocates was renewed for an additional two-year period on August 17, 2024.

It is determined that the National Cancer Institute Council of Research Advocates is in the public interest in connection with the performance of duties imposed on the National Cancer

Institute and National Institutes of Health by law, and that these duties can best be performed through the advice and counsel of this group.

Inquiries may be directed to Claire Harris, Director, Office of Federal Advisory Committee Policy, Office of the Director, National Institutes of Health, 6701 Democracy Boulevard, Suite 1000, Bethesda, Maryland 20892 (Mail code 4875), Telephone (301) 496–2123, or harriscl@mail.nih.gov.

Dated: September 12, 2024.

Patricia B. Hansberger,
Deputy Director, Office of Federal Advisory Committee Policy.

[FR Doc. 2024–21228 Filed 9–17–24; 8:45 am]

BILLING CODE 4140–01–P

DEPARTMENT OF HOMELAND SECURITY

Coast Guard

[Docket No. USCG–2024–0782]

Information Collection Request to Office of Management and Budget; OMB Control Number: 1625–0120

AGENCY: Coast Guard, DHS.

ACTION: Sixty-day notice requesting comments.

SUMMARY: In compliance with the Paperwork Reduction Act of 1995, the U.S. Coast Guard intends to submit an Information Collection Request (ICR) to the Office of Management and Budget (OMB), Office of Information and Regulatory Affairs (OIRA), requesting an extension of its approval for the following collection of information: 1625–0120, U.S. Coast Guard Non-Appropriated Fund Employment Application; without change. Our ICR describes the information we seek to collect from the public. Before submitting this ICR to OIRA, the Coast Guard is inviting comments as described below.

DATES: Comments must reach the Coast Guard on or before November 18, 2024.

ADDRESSES: You may submit comments identified by Coast Guard docket number [USCG–2024–0782] to the Coast Guard using the Federal eRulemaking Portal at <https://www.regulations.gov>. See the “Public participation and request for comments” portion of the **SUPPLEMENTARY INFORMATION** section for further instructions on submitting comments.

A copy of the ICR is available through the docket on the internet at <https://www.regulations.gov>. Additionally, copies are available from: Commandant (CG–6P), Attn: Paperwork Reduction

Act Manager, U.S. Coast Guard, 2703 Martin Luther King Jr. Ave. SE, Stop 7710, Washington, DC 20593–7710.

FOR FURTHER INFORMATION CONTACT: A.L. Craig, Office of Privacy Management, telephone 202–475–3528, fax 202–372–8405, or email hqs-dg-m-cg-61-pii@uscg.mil for questions on these documents.

SUPPLEMENTARY INFORMATION:

Public Participation and Request for Comments

This notice relies on the authority of the Paperwork Reduction Act of 1995; 44 U.S.C. 3501 *et seq.*, chapter 35, as amended. An ICR is an application to OIRA seeking the approval, extension, or renewal of a Coast Guard collection of information (Collection). The ICR contains information describing the Collection’s purpose, the Collection’s likely burden on the affected public, an explanation of the necessity of the Collection, and other important information describing the Collection. There is one ICR for each Collection.

The Coast Guard invites comments on whether this ICR should be granted based on the Collection being necessary for the proper performance of Departmental functions. In particular, the Coast Guard would appreciate comments addressing: (1) the practical utility of the Collection; (2) the accuracy of the estimated burden of the Collection; (3) ways to enhance the quality, utility, and clarity of information subject to the Collection; and (4) ways to minimize the burden of the Collection on respondents, including the use of automated collection techniques or other forms of information technology.

In response to your comments, we may revise this ICR or decide not to seek an extension of approval for the Collection. We will consider all comments and material received during the comment period.

We encourage you to respond to this request by submitting comments and related materials. Comments must contain the OMB Control Number of the ICR and the docket number of this request, USCG–2024–0782, and must be received by November 18, 2024.

Submitting Comments

We encourage you to submit comments through the Federal eRulemaking Portal at <https://www.regulations.gov>. If your material cannot be submitted using <https://www.regulations.gov>, contact the person in the **FOR FURTHER INFORMATION CONTACT** section of this document for alternate instructions. Documents

mentioned in this notice, and all public comments, are in our online docket at <https://www.regulations.gov> and can be viewed by following that website's instructions. We review all comments received, but we may choose not to post off-topic, inappropriate, or duplicate comments that we receive. Additionally, if you go to the online docket and sign up for email alerts, you will be notified when comments are posted.

We accept anonymous comments. Comments we post to <https://www.regulations.gov> will include any personal information you have provided. For more about privacy and submissions in response to this document, see DHS's eRulemaking System of Records notice (85 FR 14226, March 11, 2020).

Information Collection Request

Title: U.S. Coast Guard Non-Appropriated Fund Employment Application.

OMB Control Number: 1625-0120.

Summary: The USCG Non-Appropriated Fund Employment Application form is used to collect applicant qualification information associated with vacancy announcements. The form allows individuals to apply for employment opportunities with the Coast Guard Non-appropriated fund (NAF) workforce and fills the gap created by the cancellation of the Optional Application for Federal Employment, Form OF-612, OMB No. 3206-0219.

Need: The U.S. Coast Guard rates applicants under the authority of 5 U.S.C. 301, 1104, 1302, 3301, and 3304. The Optional Application for Federal Employment, Form OF-612, was cancelled and the information is now collected in USA Jobs. The NAF personnel system does not utilize USA Jobs because of the high cost and high turnover rate and thus relied heavily on form OF-612 for applicants.

Forms: CG-1227B, Non-Appropriated Fund Employment Application.

Respondents: Public applying for positions with the USCG Non-appropriated fund workforce.

Frequency: Per vacancy announcements.

Hour Burden Estimate: The estimated burden remains 4,333 a year. The reporting requirements and the methodology for calculating burden, remain unchanged.

Authority: The Paperwork Reduction Act of 1995; 44 U.S.C. chapter 35, as amended.

Dated: September 12, 2024.

Kathleen Claffie,
Chief, Office of Privacy Management, U.S. Coast Guard.

[FR Doc. 2024-21154 Filed 9-17-24; 8:45 am]

BILLING CODE 9110-04-P

DEPARTMENT OF HOMELAND SECURITY

[Internal Agency Docket No. FEMA-4779-DR; Docket ID FEMA-2024-0001]

Iowa; Amendment No. 1 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Iowa (FEMA-4779-DR), dated May 14, 2024, and related determinations.

DATES: This amendment was issued July 19, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646-2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of Iowa is hereby amended to include Public Assistance for the following areas among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of May 14, 2024.

Clarke, Harrison, Pottawattamie, Ringgold, Shelby, and Union Counties for Public Assistance (already designated for Individual Assistance).

Crawford County for Public Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,
Administrator, Federal Emergency Management Agency.

[FR Doc. 2024-21191 Filed 9-17-24; 8:45 am]

BILLING CODE 9111-23-P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA-4796-DR; Docket ID FEMA-2024-0001]

Iowa; Amendment No. 5 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Iowa (FEMA-4796-DR), dated June 24, 2024, and related determinations.

DATES: This amendment was issued July 26, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street, SW, Washington, DC 20472, (202) 646-2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that the incident period for this disaster is closed effective July 23, 2024.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,
Administrator, Federal Emergency Management Agency.

[FR Doc. 2024-21202 Filed 9-17-24; 8:45 am]

BILLING CODE 9111-23-P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA-4781-DR; Docket ID FEMA-2024-0001]

Texas; Amendment No. 16 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Texas (FEMA–4781–DR), dated May 17, 2024, and related determinations.

DATES: This amendment was issued July 18, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of Texas is hereby amended to include the following area among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of May 17, 2024.

Bailey County for Public Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21192 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4797–DR] [Docket ID FEMA–2024–0001]

Minnesota; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Minnesota (FEMA–4797–DR), dated June 28, 2024, and related determinations.

DATES: The declaration was issued June 28, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 28, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of Minnesota resulting from severe storms and flooding beginning on June 16, 2024, and continuing, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Minnesota.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Public Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Public Assistance and Hazard Mitigation will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, John F. Boyle, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Minnesota have been designated as adversely affected by this major disaster:

Blue Earth, Carver, Cass, Cook, Cottonwood, Faribault, Fillmore, Freeborn, Goodhue, Jackson, Lake, Le Sueur, Murray, Nobles, Pipestone, Rice, Rock, St. Louis, Steele, Wabasha, Waseca, and Watonwan Counties for Public Assistance.

All areas within the State of Minnesota are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant;

97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21203 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4800–DR; Docket ID FEMA–2024–0001]

Kansas; Amendment No. 1 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Kansas (FEMA–4800–DR), dated July 15, 2024, and related determinations.

DATES: This amendment was issued July 29, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of Kansas is hereby amended to include the following area among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of July 15, 2024.

Woodson County for Public Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036,

Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,
Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21208 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4759–DR; Docket ID FEMA–2024–0001]

Washington; Amendment No. 3 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Washington (FEMA–4759–DR), dated February 15, 2024, and related determinations.

DATES: This change occurred on July 16, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Tonia Pence, of FEMA is appointed to act as the Federal Coordinating Officer for this disaster.

This action terminates the appointment of Lance E. Davis as Federal Coordinating Officer for this disaster.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance

(Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,
Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21187 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4790–DR; Docket ID FEMA–2024–0001]

Mississippi; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Mississippi (FEMA–4790–DR), dated June 10, 2024, and related determinations.

DATES: The declaration was issued June 10, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 10, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of Mississippi resulting from severe storms, straight-line winds, tornadoes, and flooding during the period of April 8 to April 11, 2024, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Mississippi.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Individual Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Hazard Mitigation and Other Needs Assistance under section 408 will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The time period prescribed for the implementation of section 310(a), Priority to Certain Applications for Public Facility and Public Housing Assistance, 42 U.S.C. 5153, shall be for a period not to exceed six months after the date of this declaration.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Jeremy C. Slinker, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Mississippi have been designated as adversely affected by this major disaster:

Hancock, Hinds, Humphreys, Madison, Neshoba, and Scott Counties for Individual Assistance.

All areas within the State of Mississippi are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,
Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21193 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4791–DR; Docket ID FEMA–2024–0001]

Oklahoma; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major

disaster for the State of Oklahoma (FEMA–4791–DR), dated June 14, 2024, and related determinations.

DATES: The declaration was issued June 14, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 14, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in the State of Oklahoma resulting from severe storms, straight-line winds, tornadoes, and flooding during the period of May 19 to May 28, 2024, of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Oklahoma.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Individual Assistance and Public Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Public Assistance, Hazard Mitigation, and Other Needs Assistance under section 408 will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The time period prescribed for the implementation of section 310(a), Priority to Certain Applications for Public Facility and Public Housing Assistance, 42 U.S.C. 5153, shall be for a period not to exceed six months after the date of this declaration.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Maona N. Ngwira, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Oklahoma have been designated as adversely affected by this major disaster:

Blaine, Caddo, Custer, Delaware, Jackson, Mayes, Muskogee, and Rogers Counties for Individual Assistance.

Blaine, Delaware, Mayes, and Rogers Counties for Public Assistance.

All areas within the State of Oklahoma are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21194 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4796–DR; Docket ID FEMA–2024–0001]

Iowa; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Iowa (FEMA–4796–DR), dated June 24, 2024, and related determinations.

DATES: The declaration was issued June 24, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 24, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in the State of Iowa resulting from severe storms, flooding, straight-line winds, and tornadoes beginning on June 16, 2024, and continuing, is of sufficient severity and magnitude to warrant a major disaster declaration under

the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Iowa.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Individual Assistance and assistance for debris removal and emergency protective measures (Categories A and B), including direct Federal assistance, under the Public Assistance program in the designated areas, Hazard Mitigation throughout the State, and any other forms of assistance under the Stafford Act that you deem appropriate subject to completion of Preliminary Damage Assessments.

Consistent with the requirement that Federal assistance is supplemental, any Federal funds provided under the Stafford Act for Public Assistance, Hazard Mitigation, and Other Needs Assistance under section 408 will be limited to 75 percent of the total eligible cost.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The time period prescribed for the implementation of section 310(a), Priority to Certain Applications for Public Facility and Public Housing Assistance, 42 U.S.C. 5153, shall be for a period not to exceed six months after the date of this declaration.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, DuWayne Tewes, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Iowa have been designated as adversely affected by this major disaster:

Clay, Emmet, Lyon, Plymouth, and Sioux Counties for Individual Assistance.

Buena Vista, Clay, Dickinson, Emmet, Lyon, O'Brien, Osceola, Plymouth, and Sioux Counties for debris removal and emergency protective measures (Categories A and B), including direct federal assistance under the Public Assistance program.

All areas within the State of Iowa are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—

Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21199 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4775–DR; Docket ID FEMA–2024–0001]

Washington; Amendment No. 1 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Washington (FEMA–4775–DR), dated April 28, 2024, and related determinations.

DATES: This change occurred on July 16, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Tonia Pence, of FEMA is appointed to act as the Federal Coordinating Officer for this disaster.

This action terminates the appointment of Lance E. Davis as Federal Coordinating Officer for this disaster.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance

(Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21190 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4795–DR; Docket ID FEMA–2024–0001]

New Mexico; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of New Mexico (FEMA–4795–DR), dated June 20, 2024, and related determinations.

DATES: The declaration was issued June 20, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 20, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of New Mexico resulting from the South Fork Fire and Salt Fire beginning on June 17, 2024, and continuing, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of New Mexico.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Individual Assistance and assistance for debris removal and emergency protective measures (Categories A and B), including direct Federal assistance, under the Public Assistance program in the designated areas, Hazard Mitigation throughout the State, and any other forms of assistance under the Stafford Act that you deem appropriate subject to completion of Preliminary Damage Assessments (PDAs).

Consistent with the requirement that Federal assistance is supplemental, any Federal funds provided under the Stafford Act for Public Assistance, Hazard Mitigation, and Other Needs Assistance under section 408 will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The time period prescribed for the implementation of section 310(a), Priority to Certain Applications for Public Facility and Public Housing Assistance, 42 U.S.C. 5153, shall be for a period not to exceed six months after the date of this declaration.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Robert Patterson, Jr., of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of New Mexico have been designated as adversely affected by this major disaster:

Lincoln County and the Mescalero Apache Tribe for Individual Assistance.

Lincoln County and the Mescalero Apache Tribe for debris removal and emergency protective measures (Categories A and B), including direct federal assistance, under the Public Assistance program.

All areas within the State of New Mexico are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21198 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4799–DR; Docket ID FEMA–2024–0001]

New Hampshire; Amendment No. 1 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of New Hampshire (FEMA–4799–DR), dated July 10, 2024, and related determinations.

DATES: This amendment was issued July 22, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of New Hampshire is hereby amended to include the following area among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of July 10, 2024.

Grafton County for Public Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21207 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4796–DR; Docket ID FEMA–2024–0001]

Iowa; Amendment No. 4 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Iowa (FEMA–4796–DR), dated June 24, 2024, and related determinations.

DATES: This amendment was issued July 24, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of Iowa is hereby amended to include the following areas among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of June 24, 2024.

Buena Vista, Clay, Dickinson, O'Brien, Plymouth, and Sioux Counties for permanent work [Categories C–G] (already designated for Individual Assistance and assistance for debris removal and emergency protective measures [Categories A and B], including direct federal assistance under the Public Assistance program).

Cherokee, Humboldt, Palo Alto, and Woodbury Counties for Public Assistance (already designated for Individual Assistance).

Scott, Winnebago, and Worth Counties for Public Assistance.

Osceola County for Individual Assistance (already designated for debris removal and emergency protective measures [Categories A and B], including direct federal assistance under the Public Assistance program).

Pottawattamie County for Individual Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals

and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21201 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4672–DR; Docket ID FEMA–2024–0001]

Alaska; Amendment No. 6 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Alaska (FEMA–4672–DR), dated September 23, 2022, and related determinations.

DATES: This change occurred on July 19, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Lance E. Davis, of FEMA is appointed to act as the Federal Coordinating Officer for this disaster.

This action terminates the appointment of Brian F. Schiller as Federal Coordinating Officer for this disaster.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance

(Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21185 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4767–DR; Docket ID FEMA–2024–0001]

Alaska; Amendment No. 1 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Alaska (FEMA–4767–DR), dated April 6, 2024, and related determinations.

DATES: This change occurred on July 19, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Lance E. Davis, of FEMA is appointed to act as the Federal Coordinating Officer for this disaster.

This action terminates the appointment of Brian F. Schiller as Federal Coordinating Officer for this disaster.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance

(Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21189 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4793–DR; Docket ID FEMA–2024–0001]

Hawaii; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Hawaii (FEMA–4793–DR), dated June 17, 2024, and related determinations.

DATES: The declaration was issued June 17, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 17, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of Hawaii resulting from severe storms, flooding, and landslides during the period of April 11 to April 14, 2024, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Hawaii.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Public Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Public Assistance and Hazard Mitigation will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved

assistance to the extent allowable under the Stafford Act.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Curtis Brown, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Hawaii have been designated as adversely affected by this major disaster:

Kauai County for Public Assistance.

All areas within the State of Hawaii are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21196 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4799–DR; Docket ID FEMA–2024–0001]

New Hampshire; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of New Hampshire (FEMA–4799–DR), dated July 10, 2024, and related determinations.

DATES: The declaration was issued July 10, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated July 10, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of New Hampshire resulting from a severe winter storm and flooding during the period of April 3 to April 5, 2024, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of New Hampshire.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Public Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Public Assistance and Hazard Mitigation will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, William F. Roy, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of New Hampshire have been designated as adversely affected by this major disaster:

Belknap, Carroll, Rockingham, and Sullivan Counties for Public Assistance.

All areas within the State of New Hampshire are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance

(Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21206 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4794–DR; Docket ID FEMA–2024–0001]

Florida; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Florida (FEMA–4794–DR), dated June 17, 2024, and related determinations.

DATES: The declaration was issued June 17, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 17, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of Florida resulting from severe storms, straight-line winds, and tornadoes on May 10, 2024, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Florida.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Individual Assistance and Public Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Public Assistance, Hazard Mitigation, and Other Needs Assistance under section 408 will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved

assistance to the extent allowable under the Stafford Act.

The time period prescribed for the implementation of section 310(a), Priority to Certain Applications for Public Facility and Public Housing Assistance, 42 U.S.C. 5153, shall be for a period not to exceed six months after the date of this declaration.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, John E. Brogan, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Florida have been designated as adversely affected by this major disaster:

Leon County for Individual Assistance. Baker, Gadsden, Hamilton, Lafayette, Leon, Liberty, Madison, Suwannee, Taylor, and Wakulla Counties for Public Assistance.

All areas within the State of Florida are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21197 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4796–DR; Docket ID FEMA–2024–0001]

Iowa; Amendment No. 3 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the

State of Iowa (FEMA–4796–DR), dated June 24, 2024, and related determinations.

DATES: This amendment was issued July 18, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street, SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of Iowa is hereby amended to include the following areas among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of June 24, 2024.

Dickinson County for Individual Assistance (already designated for debris removal and emergency protective measures [Categories A and B], including direct federal assistance under the Public Assistance program).

Humboldt and Palo Alto Counties for Individual Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21200 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4797–DR; Docket ID FEMA–2024–0001]

Minnesota; Amendment No. 2 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Minnesota (FEMA–4797–DR),

dated June 28, 2024, and related determinations.

DATES: This amendment was issued July 29, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The notice of a major disaster declaration for the State of Minnesota is hereby amended to include the Individual Assistance program for the following areas among those areas determined to have been adversely affected by the event declared a major disaster by the President in his declaration of June 28, 2024.

Blue Earth, Cook, Cottonwood, Faribault, Freeborn, Goodhue, Jackson, Lake, Le Sueur, Nobles, Rice, Rock, St. Louis, Steele, Waseca, and Watonwan Counties for Individual Assistance (already designated for Public Assistance). Itasca, Mower, and Nicollet Counties for Individual Assistance.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050 Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21204 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4730–DR; Docket ID FEMA–2024–0001]

Alaska; Amendment No. 3 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the State of Alaska (FEMA–4730–DR), dated

August 23, 2023, and related determinations.

DATES: This change occurred on July 19, 2024.

FOR FURTHER INFORMATION CONTACT: Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Lance E. Davis, of FEMA is appointed to act as the Federal Coordinating Officer for this disaster.

This action terminates the appointment of Brian F. Schiller as Federal Coordinating Officer for this disaster.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21186 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

Federal Emergency Management Agency

[Internal Agency Docket No. FEMA–4763–DR; Docket ID FEMA–2024–0001]

Wrangell Cooperative Association; Amendment No. 1 to Notice of a Major Disaster Declaration

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This notice amends the notice of a major disaster declaration for the Wrangell Cooperative Association (FEMA–4763–DR), dated March 15, 2024, and related determinations.

DATES: This change occurred on July 19, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Lance E. Davis, of FEMA is appointed to act as the Federal Coordinating Officer for this disaster.

This action terminates the appointment of Brian F. Schiller as Federal Coordinating Officer for this disaster.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21188 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4798–DR; Docket ID FEMA–2024–0001]

Texas; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Texas (FEMA–4798–DR), dated July 9, 2024, and related determinations.

DATES: The declaration was issued July 9, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated July 9, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of Texas resulting from Hurricane Beryl during the period of July 5 to July 9, 2024, is of sufficient severity and magnitude to warrant a major disaster declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Texas.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide assistance for debris removal and emergency protective measures (Categories A and B), including direct Federal assistance, under the Public Assistance program in the designated areas, Hazard Mitigation throughout the State, and any other forms of assistance under the Stafford Act that you deem appropriate subject to completion of Preliminary Damage Assessments (PDAs).

Consistent with the requirement that Federal assistance is supplemental, any Federal funds provided under the Stafford Act for Public Assistance and Hazard Mitigation will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Benjamin Abbott, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Texas have been designated as adversely affected by this major disaster:

Anderson, Angelina, Aransas, Austin, Bowie, Brazoria, Brazos, Burleson, Calhoun, Cameron, Camp, Cass, Chambers, Cherokee, Colorado, Dewitt, Fayette, Fort Bend, Freestone, Galveston, Goliad, Gregg, Grimes, Hardin, Harris, Harrison, Hidalgo, Houston, Jackson, Jasper, Jefferson, Kenedy, Kleberg, Lavaca, Lee, Leon, Liberty, Madison, Marion, Matagorda, Milam, Montgomery, Morris, Nacogdoches, Newton, Nueces, Orange, Panola, Polk, Refugio, Robertson, Rusk, Sabine, San Augustine, San Jacinto, San Patricio, Shelby, Trinity, Tyler, Upshur, Victoria, Walker, Waller, Washington, Webb, Wharton, and Willacy Counties for debris removal and emergency protective measures (Categories A and B), including direct federal assistance, under the Public Assistance program.

All areas within the State of Texas are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21205 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY**Federal Emergency Management Agency**

[Internal Agency Docket No. FEMA–4792–DR; Docket ID FEMA–2024–0001]

Tennessee; Major Disaster and Related Determinations

AGENCY: Federal Emergency Management Agency, DHS.

ACTION: Notice.

SUMMARY: This is a notice of the Presidential declaration of a major disaster for the State of Tennessee (FEMA–4792–DR), dated June 17, 2024, and related determinations.

DATES: The declaration was issued June 17, 2024.

FOR FURTHER INFORMATION CONTACT:

Dean Webster, Office of Response and Recovery, Federal Emergency Management Agency, 500 C Street SW, Washington, DC 20472, (202) 646–2833.

SUPPLEMENTARY INFORMATION: Notice is hereby given that, in a letter dated June 17, 2024, the President issued a major disaster declaration under the authority of the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”), as follows:

I have determined that the damage in certain areas of the State of Tennessee resulting from severe storms, tornadoes, and flooding during the period of May 8 to May 9, 2024, is of sufficient severity and magnitude to warrant a major disaster

declaration under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, 42 U.S.C. 5121 *et seq.* (the “Stafford Act”). Therefore, I declare that such a major disaster exists in the State of Tennessee.

In order to provide Federal assistance, you are hereby authorized to allocate from funds available for these purposes such amounts as you find necessary for Federal disaster assistance and administrative expenses.

You are authorized to provide Public Assistance in the designated areas and Hazard Mitigation throughout the State. Consistent with the requirement that Federal assistance be supplemental, any Federal funds provided under the Stafford Act for Public Assistance and Hazard Mitigation will be limited to 75 percent of the total eligible costs.

Further, you are authorized to make changes to this declaration for the approved assistance to the extent allowable under the Stafford Act.

The Federal Emergency Management Agency (FEMA) hereby gives notice that pursuant to the authority vested in the Administrator, under Executive Order 12148, as amended, Leda M. Khoury, of FEMA is appointed to act as the Federal Coordinating Officer for this major disaster.

The following areas of the State of Tennessee have been designated as adversely affected by this major disaster:

Cannon, Cheatham, Giles, Hamilton, Jackson, Macon, Maury, Montgomery, Polk, Smith, Sumner, and Warren Counties for Public Assistance.

All areas within the State of Tennessee are eligible for assistance under the Hazard Mitigation Grant Program.

The following Catalog of Federal Domestic Assistance Numbers (CFDA) are to be used for reporting and drawing funds: 97.030, Community Disaster Loans; 97.031, Cora Brown Fund; 97.032, Crisis Counseling; 97.033, Disaster Legal Services; 97.034, Disaster Unemployment Assistance (DUA); 97.046, Fire Management Assistance Grant; 97.048, Disaster Housing Assistance to Individuals and Households In Presidentially Declared Disaster Areas; 97.049, Presidentially Declared Disaster Assistance—Disaster Housing Operations for Individuals and Households; 97.050, Presidentially Declared Disaster Assistance to Individuals and Households—Other Needs; 97.036, Disaster Grants—Public Assistance (Presidentially Declared Disasters); 97.039, Hazard Mitigation Grant.

Deanne Criswell,

Administrator, Federal Emergency Management Agency.

[FR Doc. 2024–21195 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–23–P

DEPARTMENT OF HOMELAND SECURITY

U.S. Immigration and Customs Enforcement

[OMB Control Number 1653–0042]

Agency Information Collection Activities; Extension, Without Change, of a Currently Approved Collection: Obligor Change of Address

AGENCY: U.S. Immigration and Customs Enforcement, Department of Homeland Security.

ACTION: 60-Day notice.

SUMMARY: The Department of Homeland Security (DHS), U.S. Immigration and Customs Enforcement (ICE) invites the public and other Federal agencies to comment on this proposed revision of a currently approved collection of information. In accordance with the Paperwork Reduction Act (PRA) of 1995, this information collection notice is published in the **Federal Register** to obtain comments regarding the nature of the information collection, the categories of respondents, the estimated burden (*i.e.*, the time, effort, and resources used by the respondents to respond), the estimated cost to the respondent, and the actual information collection instruments.

DATES: Comments are encouraged and will be accepted until November 18, 2024.

ADDRESSES: All submissions received must include the OMB Control Number 1653–0042 in the body of the correspondence, the agency name and Docket ID ICEB–2019–0007. All comments received will be posted without change to <http://www.regulations.gov>, including any personal information provided.

(1) *Online.* Submit comments via the Federal eRulemaking Portal website at <http://www.regulations.gov> under e-Docket ID number ICEB–2019–0007.

FOR FURTHER INFORMATION CONTACT: If you have questions related to this collection call or email Carl Albritton, ERO, (202) 497–6755, carl.a.albritton@ice.dhs.gov.

SUPPLEMENTARY INFORMATION:

Comment

Written comments and suggestions from the public and affected agencies concerning the proposed collection of information should address one or more of the following four points:

(1) Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including

whether the information will have practical utility;

(2) Evaluate the accuracy of the agency’s estimate of the burden of the proposed collection of information, including the validity of the methodology and assumptions used;

(3) Enhance the quality, utility, and clarity of the information to be collected; and

(4) Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated, electronic, mechanical, or other technological collection techniques or other forms of information technology, *e.g.*, permitting electronic submission of responses.

Overview of This Information Collection

(1) *Type of Information Collection:* Extension, Without Change, of a Currently Approved Collection.

(2) *Title of the Form/Collection:* Obligor Change of Address.

(3) *Agency form number, if any, and the applicable component of the Department of Homeland Security sponsoring the collection:* I–333; U.S. Immigration and Customs Enforcement.

(4) *Affected public who will be asked or required to respond, as well as a brief abstract:* Primary: State, Local, or Tribal Government. The data collected on this form is used by ICE to ensure accuracy in correspondence between ICE and the obligor. The form serves the purpose of standardizing obligor notification of any changes in their address, and will facilitate communication with the obligor.

(5) *An estimate of the total number of respondents and the amount of time estimated for an average respondent to respond:* 3,000 responses at 15 minutes (.25 hours) per response.

(6) *An estimate of the total public burden (in hours) associated with the collection:* 750 annual burden hours.

Dated: September 12, 2024.

Scott Elmore,

PRA Clearance Officer.

[FR Doc. 2024–21156 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–28–P

DEPARTMENT OF HOMELAND SECURITY**U.S. Citizenship and Immigration Services****[OMB Control Number 1615–0136]****Agency Information Collection Activities; Revision of a Currently Approved Collection: Application for Entrepreneur Parole****AGENCY:** U.S. Citizenship and Immigration Services, Department of Homeland Security.**ACTION:** 30-Day notice.

SUMMARY: The Department of Homeland Security (DHS), U.S. Citizenship and Immigration Services (USCIS) will be submitting the following information collection request to the Office of Management and Budget (OMB) for review and clearance in accordance with the Paperwork Reduction Act of 1995. The purpose of this notice is to allow an additional 30 days for public comments.

DATES: Comments are encouraged and will be accepted until October 18, 2024.

ADDRESSES: Written comments and/or suggestions regarding the item(s) contained in this notice, especially regarding the estimated public burden and associated response time, must be submitted via the Federal eRulemaking Portal website at <http://www.regulations.gov> under e-Docket ID number USCIS–2016–0005. All submissions received must include the OMB Control Number 1615–0136 in the body of the letter, the agency name and Docket ID USCIS–2016–0005.

FOR FURTHER INFORMATION CONTACT: USCIS, Office of Policy and Strategy, Regulatory Coordination Division, Samantha Deshommes, Chief, telephone number (240) 721–3000 (This is not a toll-free number; comments are not accepted via telephone message.). Please note contact information provided here is solely for questions regarding this notice. It is not for individual case status inquiries. Applicants seeking information about the status of their individual cases can check Case Status Online, available at the USCIS website at <http://www.uscis.gov>, or call the USCIS Contact Center at 800–375–5283 (TTY 800–767–1833).

SUPPLEMENTARY INFORMATION:**Comments**

The information collection notice was previously published in the **Federal Register** on June 14, 2024, at 89 FR 50621, allowing for a 60-day public comment period. USCIS did not receive

any comments in connection with the 60-day notice.

You may access the information collection instrument with instructions, or additional information by visiting the Federal eRulemaking Portal site at: <http://www.regulations.gov> and enter USCIS–2016–0005 in the search box. Comments must be submitted in English, or an English translation must be provided. The comments submitted to USCIS via this method are visible to the Office of Management and Budget and comply with the requirements of 5 CFR 1320.12(c). All submissions will be posted, without change, to the Federal eRulemaking Portal at <http://www.regulations.gov>, and will include any personal information you provide. Therefore, submitting this information makes it public. You may wish to consider limiting the amount of personal information that you provide in any voluntary submission you make to DHS. DHS may withhold information provided in comments from public viewing that it determines may impact the privacy of an individual or is offensive. For additional information, please read the Privacy Act notice that is available via the link in the footer of <http://www.regulations.gov>.

Written comments and suggestions from the public and affected agencies should address one or more of the following four points:

(1) Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information will have practical utility;

(2) Evaluate the accuracy of the agency's estimate of the burden of the proposed collection of information, including the validity of the methodology and assumptions used;

(3) Enhance the quality, utility, and clarity of the information to be collected; and

(4) Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated, electronic, mechanical, or other technological collection techniques or other forms of information technology, e.g., permitting electronic submission of responses.

Overview of This Information Collection

(1) *Type of Information Collection Request:* Revision of a Currently Approved Collection.

(2) *Title of the Form/Collection:* Application for Entrepreneur Parole.

(3) *Agency form number, if any, and the applicable component of the DHS*

sponsoring the collection: Form I–941; USCIS.

(4) *Affected public who will be asked or required to respond, as well as a brief abstract: Primary:* Individuals or households. Entrepreneurs can use this form to make an initial request for parole based upon significant public benefit; make a subsequent request for parole for an additional period; or file an amended application to notify USCIS of a material change.

(5) *An estimate of the total number of respondents and the amount of time estimated for an average respondent to respond:* The estimated total number of respondents for the information collection I–941 is 2,940 and the estimated hour burden per response is 4.067 hours; the estimated total number of respondents for the biometric processing is 2,940 and the estimated hour burden per response is 1.17 hours.

(6) *An estimate of the total public burden (in hours) associated with the collection:* The total estimated annual hour burden associated with this collection is 15,397 hours.

(7) *An estimate of the total public burden (in cost) associated with the collection:* The estimated total annual cost burden associated with this collection of information is \$1,440,600.

Dated: September 12, 2024.

Samantha L. Deshommes,
Chief, Regulatory Coordination Division,
Office of Policy and Strategy, U.S. Citizenship
and Immigration Services, Department of
Homeland Security.

[FR Doc. 2024–21184 Filed 9–17–24; 8:45 am]

BILLING CODE 9111–97–P

DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT**[Docket No. FR–7091–N–03]****60-Day Notice of Proposed Information Collection: Requirements for Designating Housing Projects, OMB Control No.: 2577–0192**

AGENCY: Office of the Assistant Secretary for Public and Indian Housing (PIH), HUD.

ACTION: Notice.

SUMMARY: HUD is seeking approval from the Office of Management and Budget (OMB) for the information collection described below. In accordance with the Paperwork Reduction Act, HUD is requesting comment from all interested parties on the proposed collection of information. The purpose of this notice is to allow for 60 days of public comment.

DATES: *Comments Due Date:* November 18, 2024.

ADDRESSES: Interested persons are invited to submit comments regarding this proposal. Written comments and recommendations for the proposed information collection can be sent to www.regulations.gov. Interested persons are also invited to submit comments regarding this proposal by name and/or OMB Control Number and can be sent to: Colette Pollard, Reports Management Officer, REE, Department of Housing and Urban Development, 451 7th Street SW, Room 8210, Washington, DC 20410–5000; telephone (202) 402–3400 (this is not a toll-free number) or email at Colette.Pollard@hud.gov for a copy of the proposed forms or other available information.

FOR FURTHER INFORMATION CONTACT:

Colette Pollard, Reports Management Officer, REE, Department of Housing and Urban Development, 451 7th Street SW, Washington, DC 20410; email Colette.Pollard@hud.gov, telephone (202) 402–3400. This is not a toll-free number. HUD welcomes and is prepared to receive calls from individuals who are deaf or hard of hearing, as well as individuals with speech or communication disabilities. To learn more about how to make an accessible telephone call, please visit <https://www.fcc.gov/consumers/guides/telecommunications-relay-service-trs>. Copies of available documents submitted to OMB may be obtained from Ms. Pollard.

SUPPLEMENTARY INFORMATION: This notice informs the public that HUD is seeking approval from OMB for the information collection described in Section A.

A. Overview of Information Collection

Title of Information Collection: Requirements for Designating Housing Projects.

OMB Approval Number: 2577–0192.

Type of Request: Revision of currently approved collection.

Form Number: None.

Description of the need for the information and proposed use: The information collection burden associated with designated housing is required by statute. Section 10 of the Housing Opportunity and Extension Act of 1996 modified Section 7 of the U.S. Housing Act of 1937 to require Public Housing Agencies (PHAs) to submit a plan for HUD approval before a project(s) can be designated as either elderly only, disabled only, or elderly and disabled. In this plan, PHAs must document why the designation is needed and provide the following information:

1. Description of the designated housing plan;
2. Justification for the designation;
3. Availability of alternative housing resources for the non-designated population(s);
4. Impact on the availability of accessible housing;
5. A statement that existing tenants in good standing will not be evicted;
6. A statement of the resources that will be made available if the PHA offers voluntary relocation benefits; and
7. Information describing how the DHP is consistent with any outstanding court orders, lawsuits, investigations, Voluntary Compliance Agreements (VCAs), Conciliation Agreements, or Letters of Findings or Determinations, etc., including for example, actions under Title VI of the Civil Rights Act,

Section 504 of the Rehabilitation Act, the Age Discrimination Act, the Fair Housing Act, or the Americans with Disabilities Act.

Respondents: State, or Local Government.

Estimated Number of Respondents: 21 for New and Amendment DHPs and 22 for DHP Renewals.

Estimated Number of Responses: 1 per request.

Frequency of Response: As needed for New/Amendment DHPs and every two years for renewals.

Average Hours per Response: 15 hours for New and Amendment DHPs and 3 hours for DHP Renewals

Total Estimated Burdens: 315 hours for New and Amendment DHPs and 66 for DHP Renewals

The previous estimation of 270 annual burden hours has been increased to 315 for New and Amendment DHPs and 66 for DHP Renewals. This change is based on the average number of Plans submitted between Calendar Years 2022 and 2023. In FY22 and FY23, several Public Housing Authorities (PHAs) failed to renew their DHP in a timely manner, leading to a slight uptick in the number of respondents, as these PHAs were required to submit new plans for approval. Furthermore, HUD anticipates a continued decline in the number of respondents due to the ongoing trend in PHAs repositioning their developments and exiting the public housing program.

The national average PHA staff salary = \$64,590¹ per year or \$31.00 per hour. The calculation for costs is as follows:

- New and Amendment DHPs: 21 PHAs × 15 hours = 315 hours × \$31² = \$9,765.
- DHP Renewals: 22 PHAs × 3 hours = 66 hours × \$31 = \$2,046.

Information collection	Number of respondents	Frequency of response	Responses per annum	Burden hour per response	Annual burden hours	Hourly cost per response	Annual cost
2577–0192 (New/ Amendment)	21	1	21	15	315	\$31.00	\$9,765
2577–0192 Renewal	22	1	22	3	66	31.00	2,046

B. Solicitation of Public Comment

This notice is soliciting comments from members of the public and affected parties concerning the collection of information described in Section A on the following:

(1) Whether the proposed collection of information is necessary for the proper performance of the functions of

the agency, including whether the information will have practical utility;

(2) The accuracy of the agency's estimate of the burden of the proposed collection of information;

(3) Ways to enhance the quality, utility, and clarity of the information to be collected; and

(4) Ways to minimize the burden of the collection of information on those who are to respond; including through

the use of appropriate automated collection techniques or other forms of information technology, e.g., permitting electronic submission of responses.

HUD encourages interested parties to submit comments in response to these questions.

¹ Ziprecruiter.com, available at <https://www.ziprecruiter.com/Salaries/Public-Housing-Authority-Salary>.

² Computed Hourly Rates of Pay Using the 2,087-Hour Divisor, available at <https://www.opm.gov/policy-data-oversight/pay-leave/pay-administration/fact-sheets/computing-hourly-rates-of-pay-using-the-2087-hour-divisor/>.

[administration/fact-sheets/computing-hourly-rates-of-pay-using-the-2087-hour-divisor/](https://www.opm.gov/policy-data-oversight/pay-leave/pay-administration/fact-sheets/computing-hourly-rates-of-pay-using-the-2087-hour-divisor/).

C. Authority

Section 3507 of the Paperwork Reduction Act of 1995, 44 U.S.C. Chapter 35.

Lora Roult,
Director, Office of Policy, Program and
Legislative Initiatives.
[FR Doc. 2024–21220 Filed 9–17–24; 8:45 am]
BILLING CODE 4210–67–P

DEPARTMENT OF HOUSING AND
URBAN DEVELOPMENT

[Docket No. FR–7091–N–04]

60-Day Notice of Proposed Information
Collection: Public Housing—
Contracting With Resident-Owned
Businesses, OMB Control No.: 2577–
0161

AGENCY: Office of the Assistant
Secretary for Public and Indian Housing
(PIH), HUD.

ACTION: Notice.

SUMMARY: HUD is seeking approval from the Office of Management and Budget (OMB) for the information collection described below. In accordance with the Paperwork Reduction Act, HUD is requesting comment from all interested parties on the proposed collection of information. The purpose of this notice is to allow for 60 days of public comment.

DATES: Comments Due Date: November 18, 2024.

ADDRESSES: Interested persons are invited to submit comments regarding this proposal.

Written comments and recommendations for the proposed information collection can be sent within 60 days of publication of this notice to www.regulations.gov.

Interested persons are also invited to submit comments regarding this proposal by name and/or OMB Control Number and can be sent to: Colette Pollard, Reports Management Officer, REE, Department of Housing and Urban Development, 451 7th Street SW, Room 8210, Washington, DC 20410–5000;

telephone 202–402–3400 (this is not a toll-free number) or email at Colette.Pollard@hud.gov for a copy of the proposed forms or other available information.

FOR FURTHER INFORMATION CONTACT:

Colette Pollard, Management Analyst, Reports Management Officer, REE, Department of Housing and Urban Development, 451 7th Street SW, Washington, DC 20410; email Colette Pollard at Colette.Pollard@hud.gov, telephone 202–402–3400. This is not a toll-free number. HUD welcomes and is prepared to receive calls from individuals who are deaf or hard of hearing, as well as individuals with speech or communication disabilities. To learn more about how to make an accessible telephone call, please visit <https://www.fcc.gov/consumers/guides/telecommunications-relay-service-trs>.

Copies of available documents submitted to OMB may be obtained from Ms. Pollard.

SUPPLEMENTARY INFORMATION: This notice informs the public that HUD is seeking approval from OMB for the information collection described in Section A.

A. Overview of Information Collection

Title of Information Collection: Public Housing—Contracting with Resident-Owned Businesses.

OMB Control Number: 2577–0161.

Type of Request: Extension of previously approved collection.

Form Number: N/A.

Description of the need for the information and proposed use:

PHAs that entered into contracts with resident-owned businesses prior to December 26, 2014, must comply with the requirements/procedures set forth in, 24 CFR 85.36(h), and 24 CFR 85.36(i). Contracts with resident-owned businesses entered into after December 26, 2014, must comply with 24 CFR part 963, 2 CFR 200.325, and 2 CFR 200.326 and other such contract terms that may be applicable to the procurement under the Department’s regulations. These requirements include:

- Certified copies of any State, county, or municipal licenses that may be required of the business to engage in the type of business activity for which it was formed. Where applicable, the PHA must obtain a certified copy of its corporate charter or other organizational document that verifies that the business was properly formed in accordance with State law;

- Certification that shows the business is owned by residents, disclosure documents that indicate all owners of the business and each owner’s percentage of the business along with sufficient evidence sufficient that demonstrates to the satisfaction of the PHA that the business has the ability to perform successfully under the terms and conditions of the proposed contract;

- Certification as to the number of contracts awarded, and the dollar amount of each contract award received, under the alternative procurement process; and

- Contract award documents, proof of bonding documents, independent cost estimates and comparable price analyses.

Members of affected public: Public Housing Agencies, and Applicable Resident Entrepreneurs.

Estimation of the total number of hours needed to prepare the information collection including number of respondents, frequency of response, and hours of response:

Estimated number of respondents: 75. The calculation for burden hours is as follows: Calculation for number of respondents: 75 (estimated number of PHAs contracting with resident owned businesses) × 24 (number of hours for procurement process) = 1,800 total hours. The Department estimates that out of a total of 3,763 PHAs only 2 percent or 75 PHAs contract with resident owned business. This number is less than the previous request due to several PHAs choosing to leave the program, but the Department anticipates there may have been more business or contracting opportunities particularly during the pandemic.

Information collection	Number of respondents	Average number of responses per respondent	Total annual responses	Burden hours per response	Total hours	Hourly cost	Total annual cost
OMB Control No. 2577–0161	75	1	75	24	1,800	\$30.95	\$55,710

The national average of PHA staff salary used is \$64,590 per year obtained from <https://www.ziprecruiter.com/Salaries/Public-Housing-Authority->

Salary, or \$30.95 per hour as computed using the 2,087-Hour Divisor. The calculation for costs is as follows: 75

PHAs × 24 hours = 1,800 hours × \$30.95 = \$55,710.

Status of the Proposed Information Collection: Meeting HUD Regulation requirements

B. Solicitation of Public Comment

This notice is soliciting comments from members of the public and affected parties concerning the collection of information described in Section A on the following:

(1) Whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information will have practical utility;

(2) The accuracy of the agency's estimate of the burden of the proposed collection of information;

(3) Ways to enhance the quality, utility, and clarity of the information to be collected; and

(4) Ways to minimize the burden of the collection of information on those who are to respond; including through the use of appropriate automated collection techniques or other forms of information technology, *e.g.*, permitting electronic submission of responses.

HUD encourages interested parties to submit comment in response to these questions.

C. Authority

Section 3507 of the Paperwork Reduction Act of 1995, 44 U.S.C. 3507.

Lora Roult,

Director, Office of Policy, Program and Legislative Initiatives.

[FR Doc. 2024-21221 Filed 9-17-24; 8:45 am]

BILLING CODE 4210-67-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[BLM_UT_FRN_MO4500181097]

Call for Nominations for the Bears Ears National Monument Advisory Committee, the Grand Staircase-Escalante National Monument Advisory Committee, the San Rafael Swell Recreation Area Advisory Council, and the Utah Resource Advisory Council

AGENCY: Bureau of Land Management, Interior.

ACTION: Notice of call for nominations.

SUMMARY: The purpose of this notice is to request public nominations for the Bureau of Land Management's (BLM) Bears Ears National Monument Advisory Committee (MAC), the Grand Staircase-Escalante National MAC, the San Rafael Swell Recreation Area Advisory Council, and the Utah

Resource Advisory Council (RAC) to fill existing vacancies and for member terms that are scheduled to expire.

DATES: All nominations must be received no later than October 18, 2024.

ADDRESSES: Nominations should be sent to the appropriate BLM offices listed in the **SUPPLEMENTARY INFORMATION** section of this Notice.

FOR FURTHER INFORMATION CONTACT:

Cindy Gallo, Public Affairs Specialist, BLM Utah State Office, 440 West 200 South, Suite 500, Salt Lake City, UT 84101; phone (801) 539-4014; or email cgallo@blm.gov.

Individuals in the United States who are deaf, deafblind, hard of hearing, or have a speech disability may dial 711 (TTY, TDD, or TeleBraille) to access telecommunications relay services. Individuals outside the United States should use the relay services offered within their country to make international calls to the point-of-contact in the United States.

SUPPLEMENTARY INFORMATION: The Federal Land Policy and Management Act (FLPMA) directs the Secretary of the Interior to involve the public in planning and in addressing issues related to management of lands administered by the BLM through the establishment of 10- to 15-member citizen-based advisory councils that are managed in accordance with the Federal Advisory Committee Act.

All BLM advisory councils are regulated by the Federal Advisory Committee Act, section 309 of Federal Land Policy Management Act as amended, and the regulations contained in 43 CFR part 1780subpart 1784. Members are appointed to serve three-year terms and their duties and responsibilities are solely advisory in nature. As required by applicable regulations, membership must be balanced and representative of the various interests concerned with the management of the public lands.

Individuals may nominate themselves or others. Nominees must be residents of the State of Utah. The BLM will evaluate nominees based on their education, training, experience, and knowledge of the geographic area of the councils. Nominees should demonstrate a commitment to collaborative resource decision-making. Simultaneous with this notice, the Utah State Office will issue online announcements regarding specific vacancies and providing additional information for submitting nominations at <https://www.blm.gov/get-involved/resource-advisory-council/near-you/Utah>.

Bears Ears National MAC

Nominations for the Bears Ears National MAC should be sent to Anna Rehkopf, BLM Canyon Country District Office, 82 Dogwood Avenue, Moab, UT 84532; phone: (435) 259-2100; Attention: Bears Ears National MAC Nominations, or email: arehkopf@blm.gov with the subject line "Bears Ears National MAC Nominations."

The Bears Ears National MAC is composed of 15 members including an elected official from the local government within San Juan County representing the county, and representatives of State government; the paleontological community; the archaeological community; the conservation community; livestock grazing permittees; Tribal interests; developed outdoor recreation, off-highway vehicle users, or commercial recreational activities; private landowners; local business owners; and the public-at-large. Further information on the MAC can be found at <https://www.blm.gov/get-involved/rac-near-you/utah/benm-mac>.

Grand Staircase-Escalante National MAC

Nominations for the Grand Staircase-Escalante National MAC should be sent to David Hercher, BLM Paria River District Office, 669 South Highway 89A, Kanab, UT 84741; phone: (435) 899-0415; Attention: Grand Staircase-Escalante National MAC Nominations, or email: dhercher@blm.gov with the subject line "Grand Staircase-Escalante National MAC Nominations."

The MAC is composed of 15 members including elected officials from Garfield County and Kane County, and representatives of State government; Tribal government with ancestral interest in the Monument; the educational community; the conservation community; developed outdoor recreation, off-highway vehicle users, or commercial recreation activities in the Monument; livestock grazing permittees operating in the Monument; local business owners, private landowners, or the public-at-large; the paleontological community; the archaeological community; the geological community; the biological (entomology, botany, or wildlife) community; the social science community; and the systems ecology community. Further information on the MAC can be found at <https://www.blm.gov/get-involved/resource-advisory-council/near-me/utah/gsenm-mac>.

San Rafael Swell Recreation Area Advisory Council

Nominations for the San Rafael Swell Recreation Area Advisory Council should be sent to Cindy Gallo, BLM Utah State Office, 440 West 200 South, Suite 500, Salt Lake City, UT 84101; phone: (435) 899-0415; Attention: San Rafael Swell Recreation Area Advisory Council Nominations, or email: cgallo@blm.gov with the subject line "San Rafael Swell Recreation Area Advisory Council Nominations." The San Rafael Swell Recreation Area Advisory Council is composed of 7 members including representatives of the Emery County Commission; motorized recreational users; non-motorized recreational users; grazing allotment permittees within the Recreation Area; conservation organizations; historical uses of the Recreation Area; and an elected leader of a federally recognized Tribe that has significant cultural or historic connections to, and expertise in, the landscape, archeological sites, or cultural sites within the County. Further information on the San Rafael Swell Recreation Area Advisory Council can be found at <https://www.blm.gov/get-involved/resource-advisory-council/near-you/utah/San-Rafael-Swell-RAC>.

Utah RAC

Nominations for the Utah RAC should be sent to Christina Judd, BLM Utah State Office, 440 West 200 South, Suite 500, Salt Lake City, UT 84101, Attention: Utah RAC Nominations, or email: cjudd@blm.gov with the subject line "Utah RAC Nominations."

The Utah RAC is composed of 15 members in the following three membership categories:

(1) *Category One*—Holders of Federal grazing permits or leases within the area for which the RAC is organized; represent interests associated with transportation or rights-of-way; represent developed outdoor recreation, off-highway vehicle users, or commercial recreation activities; represent the commercial timber industry; or represent energy and mineral development.

(2) *Category Two*—Representatives of nationally or regionally recognized environmental organizations; dispersed recreational activities; archaeological and historical interests; or nationally or regionally recognized wild horse and burro interest groups.

(3) *Category Three*—Hold State, county, or local elected office; are employed by a State agency responsible for the management of natural resources, land, or water; represent Indian Tribes within or adjacent to the

area for which the RAC is organized; are employed as academicians in natural resource management or the natural sciences; or represent the affected public at large.

Further information on the MAC can be found at <https://www.blm.gov/get-involved/resource-advisory-council/near-you/utah/RAC>.

Nominating Procedures: Nominations for potential members to the Bears Ears National MAC, the Grand Staircase-Escalante National MAC, and the San Rafael Swell Recreation Area Advisory Council should include a resume providing an adequate description of the nominee's qualifications, including information that would enable the Department of the Interior to make an informed decision regarding the membership requirements and permit the Department of the Interior to contact a potential member. Nominees are strongly encouraged to include supporting letters from employers, associations, professional organizations, and/or other organizations that indicate support by a meaningful constituency for the nominee. Please indicate any BLM permits, leases, or licenses that you hold personally or are held by your employer. Nominations for potential members to the Utah RAC must include a completed application (OMB Control No. 1004-0204) available at https://www.blm.gov/sites/default/files/docs/2022-05/BLM-Form-1120-19_RAC-Application.pdf; letters of reference from the represented interests or organizations; and any other information that speaks to the candidate's qualifications.

(Authority: 43 CFR 1784.4-1)

Christina Judd,

Acting BLM Utah State Director.

[FR Doc. 2024-21137 Filed 9-17-24; 8:45 am]

BILLING CODE 4331-25-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[BLM_OR_FRN_MO4500177922]

Notice of Realty Action: Recreation and Public Purposes Act Classification and Segregation for the City of Redmond's Wastewater Expansion Project

AGENCY: Bureau of Land Management, Interior.

ACTION: Notice of realty action.

SUMMARY: The Bureau of Land Management (BLM), Prineville District, Deschutes Field Office, is examining 541.5 acres of public lands in Deschutes

County, Oregon for suitability of classification for conveyance to the City of Redmond under the provisions of the Recreation and Public Purposes Act (RPPA), as amended. The City of Redmond proposes to use the land for the expansion of its municipal wastewater treatment facility.

DATES: Submit written comments regarding this classification and RPPA application on or before November 4, 2024.

ADDRESSES: Written comments may be mailed, or hand delivered to the BLM, Prineville District Office, Deschutes Field Office, 3050 NE 3rd Street, Prineville, Oregon 97754. Comments may also be submitted electronically at blm_or_pr_lands@blm.gov, via BLM's website at <https://eplanning.blm.gov/eplanning-ui/project/2022284/510>, and fax 541-416-6782. Those interested in making a comment by phone can call 541-416-6711.

FOR FURTHER INFORMATION CONTACT:

Ferris Couture, Planning and Environmental Coordinator, telephone 541-416-6711; address 3050 NE Third Street, Prineville, OR 97754; email blm_or_pr_lands@blm.gov. Individuals in the United States who are deaf, blind, hard of hearing, or have a speech disability may dial 711 (TTY, TDD, or TeleBraille) to access telecommunications relay services for contacting Mrs. Couture. Individuals outside the United States should use the relay services offered within their country to make international calls to the point-of-contact in the United States.

SUPPLEMENTARY INFORMATION: The lands will be examined under an environmental assessment (DOI-BLM-ORWA-P060-2023-0006-EA), and if they are determined to be suitable for disposal through this planning process, the lands will be found as suitable to classify for conveyance under the provisions of the RPPA. The lands are legally described as:

Patent

Willamette Meridian, Oregon

T. 14 S., R. 12 E.,
sec. 24, E $\frac{1}{2}$ NE $\frac{1}{4}$, NE $\frac{1}{4}$ NW $\frac{1}{4}$ NE $\frac{1}{4}$,
S $\frac{1}{2}$ SW $\frac{1}{4}$ NE $\frac{1}{4}$, E $\frac{1}{2}$ SE $\frac{1}{4}$ NW $\frac{1}{4}$,
E $\frac{1}{2}$ NE $\frac{1}{4}$ SW $\frac{1}{4}$, and SE $\frac{1}{4}$.

T. 14 S., R. 13 E.,
sec. 19, W $\frac{1}{2}$ NW $\frac{1}{4}$ NE $\frac{1}{4}$, W $\frac{1}{2}$ SW $\frac{1}{4}$ NE $\frac{1}{4}$,
and SE $\frac{1}{4}$ SW $\frac{1}{4}$ NE $\frac{1}{4}$.

The areas described aggregate 379.38 acres, more or less.

Quitclaim

Willamette Meridian, Oregon

T. 14 S., R. 13 E.,
sec. 19, lots 1 and 2, and E $\frac{1}{2}$ NW $\frac{1}{4}$.

The area described contains 162.12 acres, more or less.

The total area described contains 541.5 acres, more or less.

In accordance with the RPPA, the City of Redmond has filed an application to purchase the above-described lands to expand its wastewater treatment facility. The current facility is operating over capacity, and it is necessary for the City to acquire these public lands to expand its facilities to ensure that anticipated future population growth can be accommodated.

If these public lands are conveyed to the City of Redmond under the RPPA, the United States will retain a limited reversionary interest dictating that the conveyed lands would revert back to the United States unless substantially used in accordance with an approved plan and schedule of development on or before five years after the conveyance. Under no circumstances will any portion of these lands be reconveyed back to the United States that have been used for solid waste disposal or for any other purpose that the authorized officer determines may have resulted in the disposal, placement, or release of any hazardous substances. Prior to conveyance of the lands, a Phase I Environmental Site Assessment would be conducted to ensure BLM compliance with section 120(h) of the Comprehensive Environmental Response, Compensation and Liability Act. Under the provision of the RPPA, government entities requesting the acquisition of BLM-administered land for public health-related facilities qualify for special pricing at \$10 per acre, and the purchase price of the requested 541.5 acres would therefore be \$5,415.00.

A copy of this notice will be published in the newspaper of local circulation once a week for three consecutive weeks and posted to the BLM's National Environmental Policy Act register ePlanning: <https://eplanning.blm.gov/eplanning-ui/project/2018065/510>.

Upon publication of this notice in the **Federal Register**, the lands will be segregated from all other forms of appropriation under the public land laws, including location under the mining laws, except for conveyance under the RPPA and leasing under the mineral leasing laws.

The conveyance of the lands, if it occurs, will be subject to the following terms, conditions, and reservations:

1. A right-of-way thereon for ditches and canals constructed by the authority of the United States pursuant to the Act of August 30, 1890 (43 U.S.C. 945).

2. Provisions of the RPPA and all applicable regulations of the Secretary of the Interior.

3. All mineral deposits in the lands so conveyed, and the right to prospect for, mine, and remove such deposits from the same under applicable law and regulations as established by the Secretary of the Interior are reserved to the United States, together with all necessary access and exit rights.

4. Conveyance of the parcels is subject to valid existing rights.

5. An appropriate indemnification clause protecting the United States from claims arising out of the acquiring entity's use, occupancy, or occupation on the conveyed lands.

6. Any other reservations that the authorized officer determines appropriate to ensure public access and proper management of Federal lands and interests therein.

7. No portion of the land shall under any circumstances revert to the United States if any such portion has been used for solid waste disposal or for any other purpose which may result in the disposal, placement, or release of any hazardous substance.

Classification Comments: Interested persons may submit comments involving the suitability of the lands for development as a wastewater treatment facility. Comments on the classification are restricted to whether the lands are physically suited for the proposal, whether the development will maximize the future use or uses of the lands, whether the use is consistent with local planning and zoning, or if the use is consistent with State and Federal programs.

Application Comments: Interested persons may submit comments regarding the specific use proposed in the RPPA application and plan of development, whether the BLM followed proper administrative procedures, or any other factor not directly relating to the suitability of the lands for use as a wastewater treatment facility.

Any adverse comments will be reviewed by the BLM Oregon/ Washington State Director or other authorized official of the Department of the Interior, who may sustain, vacate, or modify this realty action. In the absence of any adverse comments, the classification will become effective on November 18, 2024. The lands will not be offered for conveyance until after the classification becomes effective.

Before including your address, phone number, email address, or other personal identifying information in any comment, be aware that your entire comment, including your personal

identifying information, may be made publicly available at any time. While you can ask us in your comment to withhold your personal identifying information from public review, we cannot guarantee that we will be able to do so.

(Authority: 43 CFR 2741.5)

Kevin K. Weldon,

Acting Field Manager, Prineville District, Deschutes Field Office.

[FR Doc. 2024–21136 Filed 9–17–24; 8:45 am]

BILLING CODE 4331–24–P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[BLM_NV_FRN_MO4500182801]

Filing of Plats of Survey; Nevada

AGENCY: Bureau of Land Management, Interior.

ACTION: Notice.

SUMMARY: The purpose of this notice is to inform the public and interested State and local government officials of the filing of Plats of Survey in Nevada.

DATES: Filing is applicable at 10:00 a.m. on the dates indicated below.

FOR FURTHER INFORMATION CONTACT:

Clarence D. Strickland, Chief Cadastral Surveyor for Nevada, Bureau of Land Management, Nevada State Office, 1340 Financial Blvd., Reno, NV 89502–7147, phone: 775–861–6490. Persons who use a telecommunications device for the deaf (TDD) may call the Federal Information Relay Service (FIRS) at 1–800–877–8339 to contact the above individual during normal business hours. The FIRS is available 24 hours a day, 7 days a week, to leave a message or question with the above individual. You will receive a reply during normal business hours.

SUPPLEMENTARY INFORMATION:

1. The Plat of Survey of the following described land was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on September 20, 2023.

The plat, in 1 sheet, representing the dependent resurvey of a portion of the subdivisional lines, Township 22 North, Range 23 East, Mount Diablo Meridian, Nevada, under Group No. 1002, was accepted September 19, 2023. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

2. The Plat of Survey of the following described lands was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on October 31, 2023.

The plat, in 2 sheets, representing the dependent resurvey of a portion of the west boundary and portions of the subdivisional lines, the subdivision of section 6, and metes-and-bounds surveys of the easterly and westerly right-of-way lines of the Nevada Northern Railway Mainline, Hiline, and Branchline, Township 16 North, Range 64 East, Mount Diablo Meridian, Nevada, under Group No. 852, was accepted October 27, 2023. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

3. The Plat of Survey of the following described lands was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on November 02, 2023.

The plat, in 1 sheet, representing the dependent resurvey of a portion of the subdivisional lines, the subdivision of section 13, and metes-and-bounds surveys of the northerly and southerly right-of-way lines of the Nevada Northern Railway Mainline and the easterly and westerly right-of-way lines of the Nevada Northern Railway Branchline, Township 16 North, Range 63 East, Mount Diablo Meridian, Nevada, under Group No. 948, was accepted November 01, 2023. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

4. The Supplemental Plat of the following described lands was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on December 18, 2023.

The plat, in 1 sheet, showing amended lottings in section 16, Township 20 North, Range 25 East, Mount Diablo Meridian, Nevada, under Group No. 1009, was accepted December 14, 2023. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

5. The Plat of Survey of the following described lands was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on January 23, 2024.

The plat, in 3 sheets, representing the dependent resurvey of portions of the south and east boundaries, Township 13 South, Range 47 East, and the survey of the subdivisional lines, Township 14 South, Range 47 East, Mount Diablo Meridian, Nevada, under Group No. 999, was accepted January 4, 2024. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

6. The Plat of Survey of the following described lands was officially filed at the Bureau of Land Management (BLM)

Nevada State Office, Reno, Nevada, on January 23, 2024.

The plat, in 1 sheet, representing the survey of the South and West boundaries and a portion of the subdivisional lines, Township 15 South, Range 47 East, Mount Diablo Meridian, Nevada, under Group No. 999, was accepted January 4, 2024. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

7. The Supplemental Plat of the following described lands was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on July 30, 2024.

The plat, in 1 sheet, showing the subdivision of former lots 5 and 6, section 19, Township 19 South, Range 62 East, Mount Diablo Meridian, Nevada, under Group No. 1015, was accepted July 18, 2024. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

8. The Plat of Survey of the following described lands was officially filed at the Bureau of Land Management (BLM) Nevada State Office, Reno, Nevada, on August 13, 2024.

The plat, in 1 sheet, representing the dependent resurvey of a portion of the subdivisional lines, Township 2 South, Range 68 East, Mount Diablo Meridian, Nevada, under Group No. 1004, was accepted August 9, 2024. This survey was executed to meet certain administrative needs of the Bureau of Land Management.

The surveys and supplemental plats, listed above, are now the basic record for describing the lands for all authorized purposes. These records have been placed in the open files in the BLM Nevada State Office and are available to the public as a matter of information.

Dated: September 12, 2024.

Clarence Strickland,

Chief Cadastral Surveyor for Nevada.

[FR Doc. 2024–21215 Filed 9–17–24; 8:45 am]

BILLING CODE 4331–21–P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[BLM_OR_FRN_MO4500177924]

Notice of Intent To Amend the Upper Deschutes Resource Management Plan and Prepare an Environmental Assessment for a Proposed Recreation and Public Purposes Act Land Conveyance to the City of Redmond in Deschutes County, Oregon

AGENCY: Bureau of Land Management, Interior.

ACTION: Notice of intent.

SUMMARY: In compliance with the National Environmental Policy Act of 1969, as amended (NEPA), and the Federal Land Policy and Management Act of 1976, as amended (FLPMA), the Bureau of Land Management (BLM) Oregon/Washington (OR/WA) State Director intends to prepare a Resource Management Plan (RMP) amendment with an associated environmental assessment (EA) for the Upper Deschutes RMP (2005), and by this notice is announcing the beginning of the scoping period to solicit public comments, identify issues, and provide the planning criteria for public review. The planning process and EA are necessary to evaluate an application for a Recreation and Public Purposes Act (RPPA) conveyance that would allow the City of Redmond in Central Oregon to expand the Redmond Wastewater Expansion Project.

DATES: The BLM requests that the public submit comments concerning the scope of the analysis, potential alternatives, and identification of relevant information and studies, by October 18, 2024. To afford the BLM the opportunity to consider issues in the Draft RMP Amendment/EA, please ensure your comments are received prior to the close of the scoping period or 15 days after the last public meeting, whichever is later.

ADDRESSES: You may submit comments on issues and planning criteria related to the Upper Deschutes RMP Amendment EA by any of the following methods:

- *Website:* <https://eplanning.blm.gov/eplanning-ui/project/2022284/510>.
- *Email:* blm_or_pr_lands@blm.gov.
- *Fax:* 541–416–6782.
- *Mail:* 3050 NE Third Street, Prineville, OR 97754.

Documents pertinent to this proposal may be examined online at <https://eplanning.blm.gov/eplanning-ui/project/2022284/510> and at the Prineville District, Deschutes Field

Office, 3050 NE Third Street, Prineville, OR 97754.

FOR FURTHER INFORMATION CONTACT:

Ferris Couture, Planning and Environmental Coordinator, telephone 541-416-6711; address 3050 NE Third Street, Prineville, OR 97754; email blm_or_pr_lands@blm.gov. Contact Mrs. Couture to have your name added to our mailing list. Individuals in the United States who are deaf, blind, hard of hearing, or have a speech disability may dial 711 (TTY, TDD, or TeleBraille) to access telecommunications relay services for contacting Mrs. Couture. Individuals outside the United States should use the relay services offered within their country to make international calls to point-of-contact in the United States.

SUPPLEMENTARY INFORMATION: This document provides notice that the BLM OR/WA State Director intends to prepare an amendment to the Upper Deschutes RMP with an associated EA for the Redmond Wastewater Pollution Control Facility Project, announces the beginning of the scoping process, and seeks public input on issues and planning criteria. The planning process and EA are necessary to evaluate an application for a RPPA conveyance that would allow the City of Redmond in Deschutes County, Oregon to expand the Redmond Wastewater Pollution Control Facility. The RPPA conveyance would allow the City of Redmond to acquire 541.5 acres of BLM-administered lands within the Steamboat Rock Special Recreation Management Area (SRMA) as designated by the Upper Deschutes RMP. The conveyance of these public lands would require an amendment to the Upper Deschutes RMP. The scope of this land use planning process does not include addressing the evaluation or designation of Areas of Critical Environmental Concern (ACEC), and the BLM is not considering ACEC nominations as part of this process.

Purpose and Need

The purpose is to respond to the City of Redmond's RPPA application to acquire 541.5 acres of BLM-administered land and to amend the Upper Deschutes RMP to allow for the proposed conveyance. The need to respond to the RPPA application arises from the RPPA, as amended, and section 211 of FLPMA, which authorizes the conveyance of public lands to States and local governments. Both the RPPA and FLPMA recognize the need for a nationwide system of parks and other recreational and public purpose areas. The BLM has the authority to approve,

approve with modification, or not approve the application. In order to authorize a conveyance of the lands identified, the BLM would need to amend the Upper Deschutes RMP because the area is currently designated as a SRMA.

The purpose of the amendment is to change the boundary of the SRMA, the motorized and non-motorized access and recreation opportunities, and the associated trail system within the revised SRMA boundary in accordance with FLPMA and the principles of multiple use and sustained yield.

Preliminary Alternatives

The BLM is currently considering three preliminary alternatives. Under the No Action alternative, the BLM would not approve the City of Redmond's RPPA application to acquire 541.5 acres of BLM-administered land to allow for the expansion of its wastewater treatment facility, and the BLM would not amend the Upper Deschutes RMP. The Steamboat Rock SRMA would retain current access and recreational use. There would be no change to the existing 43 miles of motorized and non-motorized shared use trail system.

Under the preliminary Proposed Action alternative, the BLM would amend the Upper Deschutes RMP and approve the City of Redmond's RPPA application and convey 541.5 acres of BLM-administered land to allow for the expansion (construction and operation) of the wastewater treatment facility. As part of the conveyance process, a Phase I Environmental Site Assessment would be conducted to ensure BLM compliance with section 120(h) of the Comprehensive Environmental Response, Compensation and Liability Act. In addition, the City of Redmond would coordinate with the Environmental Protection Agency and other regulatory agencies to ensure the appropriate permits are obtained for the proposed use.

The 541.5 acres, if conveyed to the City of Redmond, would no longer be a component of the Steamboat Rock SRMA. The removal of the 541.5 acres would change access and management of 5 miles of the motorized and non-motorized shared use trail systems in the southeast corner of the area. The change would not affect the remaining 38 miles of trails within the area. Access to the 38 miles of trail in the main block of the SRMA would remain open as a designated shared use trail system for motorized off-highway vehicles and non-motorized uses. The total acreage of the Steamboat Rock SRMA would be 4,329 acres.

Under the third preliminary alternative, the BLM would take the same actions described under the Proposed Action alternative and would additionally build 5 miles of trails to make up for those that could be lost under the Proposed Action within the remaining acreage of the Steamboat Rock SRMA. The replacement trails would be located outside of the approximately 492 acres of the Deschutes Wild and Scenic River corridor, which is within the western boundary of the SRMA. Under this alternative the trail miles in the remaining Steamboat Rock SRMA would be approximately 43 miles.

The BLM welcomes comments on all preliminary alternatives as well as suggestions for additional alternatives.

Planning Criteria

The planning criteria guide the planning effort and lay the groundwork for effects analysis by identifying the preliminary issues and their analytical frameworks. Preliminary issues for the planning area have been identified by BLM personnel and from early engagement with Federal, State, and local agencies; Tribes; and stakeholders. The BLM has identified three preliminary issues for this planning effort's analysis: ground and well water quality and quantity issues, cultural resource concerns, and available recreation uses and access issues. The planning criteria and a map are available for public review and comment at the ePlanning website (see **ADDRESSES**).

Public Scoping Process

This notice of intent initiates the scoping period and public review of the planning criteria, which guide the development and analysis of the RMP amendment and EA.

The BLM does not intend to hold any public meetings, in-person or virtually, during the public scoping period. Should the BLM later determine to hold public meetings, the specific date(s) and location(s) of any meeting will be announced at least 15 days in advance through the media and the following methods. To inform the public of both the scoping period and any potential public meetings, a press release will be provided to two local television stations, six radio stations, five local newspapers, direct mailing to interested members of the public, and publication of documents to BLM's ePlanning project page.

After the scoping process, the BLM will prepare and circulate an EA for public review and comment.

Interdisciplinary Team

The BLM will use an interdisciplinary approach to develop the plan in order to consider the variety of resource issues and concerns identified. Specialists involved in this planning effort include: wildlife biologist, hydrologist, botanist, archaeologist, recreation specialist, planning and environmental coordinator, and realty specialist.

Additional Information

The BLM will identify, analyze, and consider mitigation to address the reasonably foreseeable impacts to resources from the proposed plan amendment and reasonable alternatives and, in accordance with 40 CFR 1502.14(e), include appropriate mitigation measures not already included in the proposed plan amendment or alternatives. Mitigation may include avoidance, minimization, rectification, reduction or elimination over time, and compensation, and may be considered at multiple scales, including the landscape scale.

The BLM will utilize and coordinate the NEPA and land use planning processes for this planning effort to help support compliance with applicable procedural requirements under the Endangered Species Act (16 U.S.C. 1536) and Section 106 of the National Historic Preservation Act (54 U.S.C. 306108) as provided in 36 CFR 800.2(d)(3), including public involvement requirements of Section 106. The information about historic and cultural resources and threatened and endangered species within the area potentially affected by the proposed plan will assist the BLM in identifying and evaluating impacts to such resources.

The BLM will consult with Indian Tribal Nations on a government-to-government basis in accordance with Executive Order 13175, BLM MS 1780, and other Departmental policies. Tribal concerns, including impacts on Indian trust assets and potential impacts to cultural resources, will be given due consideration. Federal, State, and local agencies, along with Indian Tribal Nations and stakeholders that may be interested in or affected by the proposed conveyance and Upper Deschutes RMP Amendment that the BLM is evaluating, are invited to participate in the scoping process and, if eligible, may request or be requested by the BLM to participate in the development of the RMP amendment and EA as a cooperating agency.

Before including your address, phone number, email address, or other personal identifying information in your

comment, you should be aware that your entire comment—including your personal identifying information—may be made publicly available at any time. While you can ask us in your comment to withhold your personal identifying information from public review, we cannot guarantee that we will be able to do so.

(Authority: 40 CFR 1501.9 and 43 CFR 1610.2)

Barry R. Bushue,

State Director Oregon/Washington BLM.

[FR Doc. 2024–21138 Filed 9–17–24; 8:45 am]

BILLING CODE 4331–24–P

INTERNATIONAL TRADE COMMISSION

Notice of Receipt of Complaint; Solicitation of Comments Relating to the Public Interest

AGENCY: U.S. International Trade Commission.

ACTION: Notice.

SUMMARY: Notice is hereby given that the U.S. International Trade Commission has received a complaint entitled *Certain Rechargeable Batteries and Components Thereof*, DN 3771; the Commission is soliciting comments on any public interest issues raised by the complaint or complainant's filing pursuant to the Commission's Rules of Practice and Procedure.

FOR FURTHER INFORMATION CONTACT: Lisa R. Barton, Secretary to the Commission, U.S. International Trade Commission, 500 E Street SW, Washington, DC 20436, telephone (202) 205–2000. The public version of the complaint can be accessed on the Commission's Electronic Document Information System (EDIS) at <https://edis.usitc.gov>. For help accessing EDIS, please email EDIS3Help@usitc.gov.

General information concerning the Commission may also be obtained by accessing its internet server at United States International Trade Commission (USITC) at <https://www.usitc.gov>. The public record for this investigation may be viewed on the Commission's Electronic Document Information System (EDIS) at <https://edis.usitc.gov>. Hearing-impaired persons are advised that information on this matter can be obtained by contacting the Commission's TDD terminal on (202) 205–1810.

SUPPLEMENTARY INFORMATION: The Commission has received a complaint and a submission pursuant to § 210.8(b) of the Commission's Rules of Practice and Procedure filed on behalf of

LithiumHub, LLC, Lithiumhub Technologies, LLC, and Mr. Martin Koebler on September 12, 2024. The complaint alleges violations of section 337 of the Tariff Act of 1930 (19 U.S.C. 1337) in the importation into the United States, the sale for importation, and the sale within the United States after importation of certain rechargeable batteries and components thereof. The complaint names as respondents: Bass Pro Outdoor World LLC of Springfield, MO; Cabela's LLC of Springfield, MO; Navico Group Americas LLC of Menomonee Falls, WI; Relion Battery (Shenzhen) Technology Co. of China; Renogy New Energy Co., LTD of China; RNG International Inc. of Ontario, CA; Clean Republic SODO LLC of Seattle, WA; Shenzhen Yichen S-Power Tech Co. LTD of China; Shenzhen Fbtech Electronics LTD. of China; Shenzhen LiTime Technology Co., LTD of China; Dragonfly Energy Corp. of Reno, NV; Dragonfly Energy Holdings Corp. of Reno, NV; and MillerTech Energy Solutions LLC of Middlefield, OH. The complainant requests that the Commission issue a limited exclusion order, cease and desist orders, and impose a bond upon respondents' alleged infringing articles during the 60-day Presidential review period pursuant to 19 U.S.C. 1337(j).

Proposed respondents, other interested parties, members of the public, and interested government agencies are invited to file comments on any public interest issues raised by the complaint or § 210.8(b) filing. Comments should address whether issuance of the relief specifically requested by the complainant in this investigation would affect the public health and welfare in the United States, competitive conditions in the United States economy, the production of like or directly competitive articles in the United States, or United States consumers.

In particular, the Commission is interested in comments that:

(i) explain how the articles potentially subject to the requested remedial orders are used in the United States;

(ii) identify any public health, safety, or welfare concerns in the United States relating to the requested remedial orders;

(iii) identify like or directly competitive articles that complainant, its licensees, or third parties make in the United States which could replace the subject articles if they were to be excluded;

(iv) indicate whether complainant, complainant's licensees, and/or third party suppliers have the capacity to replace the volume of articles

potentially subject to the requested exclusion order and/or a cease and desist order within a commercially reasonable time; and

(v) explain how the requested remedial orders would impact United States consumers.

Written submissions on the public interest must be filed no later than by close of business, eight calendar days after the date of publication of this notice in the **Federal Register**. There will be further opportunities for comment on the public interest after the issuance of any final initial determination in this investigation. Any written submissions on other issues must also be filed by no later than the close of business, eight calendar days after publication of this notice in the **Federal Register**. Complainant may file replies to any written submissions no later than three calendar days after the date on which any initial submissions were due, notwithstanding § 201.14(a) of the Commission's Rules of Practice and Procedure. No other submissions will be accepted, unless requested by the Commission. Any submissions and replies filed in response to this Notice are limited to five (5) pages in length, inclusive of attachments.

Persons filing written submissions must file the original document electronically on or before the deadlines stated above. Submissions should refer to the docket number ("Docket No. 3771") in a prominent place on the cover page and/or the first page. (See Handbook for Electronic Filing Procedures, Electronic Filing Procedures¹). Please note the Secretary's Office will accept only electronic filings during this time. Filings must be made through the Commission's Electronic Document Information System (EDIS, <https://edis.usitc.gov>.) No in-person paper-based filings or paper copies of any electronic filings will be accepted until further notice. Persons with questions regarding filing should contact the Secretary at EDIS3Help@usitc.gov.

Any person desiring to submit a document to the Commission in confidence must request confidential treatment. All such requests should be directed to the Secretary to the Commission and must include a full statement of the reasons why the Commission should grant such treatment. See 19 CFR 201.6. Documents for which confidential treatment by the Commission is properly sought will be treated accordingly. All information,

including confidential business information and documents for which confidential treatment is properly sought, submitted to the Commission for purposes of this Investigation may be disclosed to and used: (i) by the Commission, its employees and Offices, and contract personnel (a) for developing or maintaining the records of this or a related proceeding, or (b) in internal investigations, audits, reviews, and evaluations relating to the programs, personnel, and operations of the Commission including under 5 U.S.C. Appendix 3; or (ii) by U.S. government employees and contract personnel,² solely for cybersecurity purposes. All nonconfidential written submissions will be available for public inspection at the Office of the Secretary and on EDIS.³

This action is taken under the authority of section 337 of the Tariff Act of 1930, as amended (19 U.S.C. 1337), and of §§ 201.10 and 210.8(c) of the Commission's Rules of Practice and Procedure (19 CFR 201.10, 210.8(c)).

By order of the Commission.

Issued: September 13, 2024.

Lisa Barton,

Secretary to the Commission.

[FR Doc. 2024–21237 Filed 9–17–24; 8:45 am]

BILLING CODE 7020–02–P

INTERNATIONAL TRADE COMMISSION

[Investigation Nos. 701–TA–603–604 and 731–TA–1413–1415 (Review)]

Glycine From China, India, Japan, and Thailand; Scheduling of Expedited Five-Year Reviews

AGENCY: United States International Trade Commission.

ACTION: Notice.

SUMMARY: The Commission hereby gives notice of the scheduling of expedited reviews pursuant to the Tariff Act of 1930 ("the Act") to determine whether revocation of the antidumping and countervailing duty orders on glycine from China, India, Japan, and Thailand would be likely to lead to continuation or recurrence of material injury within a reasonably foreseeable time.

DATES: August 5, 2024.

FOR FURTHER INFORMATION CONTACT: Nitin Joshi (202) 708–1669, Office of Investigations, U.S. International Trade Commission, 500 E Street SW,

Washington, DC 20436. Hearing-impaired persons can obtain information on this matter by contacting the Commission's TDD terminal on 202–205–1810. Persons with mobility impairments who will need special assistance in gaining access to the Commission should contact the Office of the Secretary at 202–205–2000. General information concerning the Commission may also be obtained by accessing its internet server (<https://www.usitc.gov>). The public record for this proceeding may be viewed on the Commission's electronic docket (EDIS) at <https://edis.usitc.gov>.

SUPPLEMENTARY INFORMATION:

Background.—On August 5, 2024, the Commission determined that the domestic interested party group response to its notice of institution (89 FR 35237, May 1, 2024) of the subject five-year reviews was adequate and that the respondent interested party group response was inadequate. The Commission did not find any other circumstances that would warrant conducting full reviews.¹ Accordingly, the Commission determined that it would conduct expedited reviews pursuant to section 751(c)(3) of the Act (19 U.S.C. 1675(c)(3)).

For further information concerning the conduct of these reviews and rules of general application, consult the Commission's Rules of Practice and Procedure, part 201, subparts A and B (19 CFR part 201), and part 207, subparts A, D, E, and F (19 CFR part 207).

Staff report.—A staff report containing information concerning the subject matter of the reviews has been placed in the nonpublic record, and will be made available to persons on the Administrative Protective Order service list for these reviews on October 23, 2024. A public version will be issued thereafter, pursuant to § 207.62(d)(4) of the Commission's rules.

Written submissions.—As provided in § 207.62(d) of the Commission's rules, interested parties that are parties to the reviews and that have provided individually adequate responses to the notice of institution,² and any party other than an interested party to the reviews may file written comments with the Secretary on what determinations

¹ A record of the Commissioners' votes, the Commission's statement on adequacy, and any individual Commissioner's statements will be available from the Office of the Secretary and at the Commission's website.

² The Commission has found the responses submitted on behalf of Deer Park Glycine, LLC and Chattem Chemicals, Inc. to be individually adequate. Comments from other interested parties will not be accepted (see 19 CFR 207.62(d)(2)).

¹ Handbook for Electronic Filing Procedures: https://www.usitc.gov/documents/handbook_on_filing_procedures.pdf.

² All contract personnel will sign appropriate nondisclosure agreements.

³ Electronic Document Information System (EDIS): <https://edis.usitc.gov>.

the Commission should reach in the reviews. Comments are due on or before October 31, 2024 and may not contain new factual information. Any person that is neither a party to the five-year reviews nor an interested party may submit a brief written statement (which shall not contain any new factual information) pertinent to the reviews by October 31, 2024. However, should the Department of Commerce (“Commerce”) extend the time limit for its completion of the final results of its reviews, the deadline for comments (which may not contain new factual information) on Commerce’s final results is three business days after the issuance of Commerce’s results. If comments contain business proprietary information (BPI), they must conform with the requirements of §§ 201.6, 207.3, and 207.7 of the Commission’s rules. The Commission’s *Handbook on Filing Procedures*, available on the Commission’s website at https://www.usitc.gov/documents/handbook_on_filing_procedures.pdf, elaborates upon the Commission’s procedures with respect to filings.

In accordance with §§ 201.16(c) and 207.3 of the rules, each document filed by a party to the reviews must be served on all other parties to the reviews (as identified by either the public or BPI service list), and a certificate of service must be timely filed. The Secretary will not accept a document for filing without a certificate of service.

Determinations.—The Commission has determined these reviews are extraordinarily complicated and therefore has determined to exercise its authority to extend the review period by up to 90 days pursuant to 19 U.S.C. 1675(c)(5)(B).

Authority: These reviews are being conducted under authority of title VII of the Act; this notice is published pursuant to § 207.62 of the Commission’s rules.

By order of the Commission.

Issued: September 12, 2024.

Lisa Barton,

Secretary to the Commission.

[FR Doc. 2024–21145 Filed 9–17–24; 8:45 am]

BILLING CODE 7020–02–P

INTERNATIONAL TRADE COMMISSION

[Investigation Nos. 701–TA–704–705 and 731–TA–1664–1666 (Final)]

Paper Plates From China, Thailand, and Vietnam; Scheduling of the Final Phase of Countervailing Duty and Antidumping Duty Investigations

AGENCY: United States International Trade Commission.

ACTION: Notice.

SUMMARY: The Commission hereby gives notice of the scheduling of the final phase of antidumping and countervailing duty investigation Nos. 701–TA–704–705 and 731–TA–1664–1666 (Final) pursuant to the Tariff Act of 1930 (“the Act”) to determine whether an industry in the United States is materially injured or threatened with material injury, or the establishment of an industry in the United States is materially retarded, by reason of imports of paper plates from China, Thailand, and Vietnam, provided for in subheading 4823.69.00 of the Harmonized Tariff Schedule of the United States, preliminarily determined by the Department of Commerce (“Commerce”) to be sold at less-than-fair-value and subsidized by the Governments of China and Vietnam.

DATES: September 5, 2024.

FOR FURTHER INFORMATION CONTACT:

Stamen Borisson ((202) 205–3125), Office of Investigations, U.S. International Trade Commission, 500 E Street SW, Washington, DC 20436. Hearing-impaired persons can obtain information on this matter by contacting the Commission’s TDD terminal on 202–205–1810. Persons with mobility impairments who will need special assistance in gaining access to the Commission should contact the Office of the Secretary at 202–205–2000. General information concerning the Commission may also be obtained by accessing its internet server (<https://www.usitc.gov>). The public record for these investigations may be viewed on the Commission’s electronic docket (EDIS) at <https://edis.usitc.gov>.

SUPPLEMENTARY INFORMATION: Scope.—

For purposes of these investigations, Commerce has defined the subject merchandise as “. . . certain paper plates. Paper plates subject to this investigation may be cut from rolls, sheets, or other pieces of paper and/or paper board. Paper plates subject to this investigation have a depth up to and including two (2.0) inches, as measured vertically from the base to the top of the lip, or the edge if the plate has no lip.

Paper plates subject to this investigation may be uncolored, white, colored, or printed. Printed paper plates subject to this investigation may have any type of surface finish, and may be printed by any means with images, text and/or colors on one or both surfaces. Colored paper plates subject to this investigation may be colored by any method, including but not limited to printing, beater-dyeing, and dip-dyeing. Paper plates subject to this investigation may be produced from paper of any type (including, but not limited to, bamboo, straws, bagasse, hemp, kenaf, jute, sisal, abaca, cotton inters and reeds, or from non-plant sources, such as synthetic resin (petroleum)-based resins), may have any caliper or basis weight, may have any shape or size, may have one or more than one section, may be embossed, may have foil or other substances adhered to their surface, and/or may be uncoated or coated with any type of coating.

The paper plates subject to this investigation remain covered by the scope of this investigation whether imported alone, or in any combination of subject and non-subject merchandise. When paper plates subject to this investigation are imported in combination with non-subject merchandise, only the paper plates subject to this investigation are subject merchandise. The paper plates subject to this investigation include paper plates matching the above description that have been finished, packaged, or otherwise processed in a third country by performing finishing, packaging, or processing that would not otherwise remove the merchandise from the scope of the investigation if performed in the country of manufacture of the paper plates. Examples of finishing, packaging, or other processing in a third country that would not otherwise remove the merchandise from the scope of the investigation if performed in the country of manufacture of the paper plates include, but are not limited to, printing, application of other surface treatments such as coatings, repackaging, embossing, and application of foil surface treatments.

Excluded from the scope of this investigation are paper plates molded or pressed directly from paper pulp (including but not limited to unfelted pulp), which are currently classifiable under subheading 4823.70.0020 of the Harmonized Tariff Schedule of the United States (HTSUS). Also excluded from the scope of this investigation are articles that otherwise would be covered but which exhibit the following two physical characteristics: (a) depth (measured vertically from the base to

the top of the lip, or edge if no lip) equal to or greater than 1.25 inches but less than two (2.0) inches, and (b) a base not exceeding five (5.0) inches in diameter if round, or not exceeding 20 square inches in area if any other shape.

Also excluded from the scope of this investigation are paper bowls, paper buckets, and paper food containers with closeable lids.

Paper plates subject to this investigation are currently classifiable under HTSUS subheading 4823.69.0040. Paper plates subject to this investigation also may be classified under HTSUS subheading 4823.61.0040. If packaged with other articles, the paper plates subject to this investigation also may be classified under HTSUS subheadings 9505.90.4000 and 9505.90.6000. While the HTSUS subheading(s) are provided for convenience and customs purposes, the written description of the subject merchandise is dispositive."

Background.—The final phase of these investigations is being scheduled pursuant to sections 705(b) and 731(b) of the Tariff Act of 1930 (19 U.S.C. 1671d(b) and 1673d(b)), as a result of affirmative preliminary determinations by Commerce that certain benefits which constitute subsidies within the meaning of § 703 of the Act (19 U.S.C. 1671b) are being provided to manufacturers, producers, or exporters in China and Vietnam of paper plates, and that such products are being sold in the United States at less than fair value within the meaning of § 733 of the Act (19 U.S.C. 1673b). The investigations were requested in petitions filed on January 25, 2024, by the American Paper Plate Coalition, which is comprised of AJM Packaging Corporation, Bloomfield Hills, Michigan, Aspen Products, Inc., Kansas City, Missouri, Dart Container Corporation, Mason, Michigan, Hoffmaster Group, Inc., Oshkosh, Wisconsin, Huhtamaki Americas, Inc., De Soto, Kansas, and the Unique Industries, Inc., Philadelphia, Pennsylvania.

For further information concerning the conduct of this phase of the investigations, hearing procedures, and rules of general application, consult the Commission's Rules of Practice and Procedure, part 201, subparts A and B (19 CFR part 201), and part 207, subparts A and C (19 CFR part 207).

Participation in the investigations and public service list.—Persons, including industrial users of the subject merchandise and, if the merchandise is sold at the retail level, representative consumer organizations, wishing to participate in the final phase of these investigations as parties must file an

entry of appearance with the Secretary to the Commission, as provided in § 201.11 of the Commission's rules, no later than 21 days prior to the hearing date specified in this notice. A party that filed a notice of appearance during the preliminary phase of the investigations need not file an additional notice of appearance during this final phase. The Secretary will maintain a public service list containing the names and addresses of all persons, or their representatives, who are parties to the investigations.

Please note the Secretary's Office will accept only electronic filings during this time. Filings must be made through the Commission's Electronic Document Information System (EDIS, <https://edis.usitc.gov>). No in-person paper-based filings or paper copies of any electronic filings will be accepted until further notice.

Limited disclosure of business proprietary information (BPI) under an administrative protective order (APO) and BPI service list.—Pursuant to § 207.7(a) of the Commission's rules, the Secretary will make BPI gathered in the final phase of these investigations available to authorized applicants under the APO issued in the investigations, provided that the application is made no later than 21 days prior to the hearing date specified in this notice. Authorized applicants must represent interested parties, as defined by 19 U.S.C. 1677(9), who are parties to the investigations. A party granted access to BPI in the preliminary phase of the investigations need not reapply for such access. A separate service list will be maintained by the Secretary for those parties authorized to receive BPI under the APO.

Staff report.—The prehearing staff report in the final phase of these investigations will be placed in the nonpublic record on January 7, 2025, and a public version will be issued thereafter, pursuant to § 207.22 of the Commission's rules.

Hearing.—The Commission will hold a hearing in connection with the final phase of these investigations beginning at 9:30 a.m. on Thursday, January 23, 2025. Requests to appear at the hearing should be filed in writing with the Secretary to the Commission on or before Thursday, January 16, 2025. Any requests to appear as a witness via videoconference must be included with your request to appear. Requests to appear via videoconference must include a statement explaining why the witness cannot appear in person; the Chairman, or other person designated to conduct the investigation, may in their discretion for good cause shown, grant

such a request. Requests to appear as remote witness due to illness or a positive COVID-19 test result may be submitted by 3pm the business day prior to the hearing. Further information about participation in the hearing will be posted on the Commission's website at <https://www.usitc.gov/calendarpad/calendar.html>.

A nonparty who has testimony that may aid the Commission's deliberations may request permission to present a short statement at the hearing. All parties and nonparties desiring to appear at the hearing and make oral presentations should attend a prehearing conference, if deemed necessary, to be held at 9:30 a.m. on Tuesday, January 21, 2025. Parties shall file and serve written testimony and presentation slides in connection with their presentation at the hearing by no later than 4:00 p.m. on January 22, 2025. Oral testimony and written materials to be submitted at the public hearing are governed by sections 201.6(b)(2), 201.13(f), and 207.24 of the Commission's rules. Parties must submit any request to present a portion of their hearing testimony *in camera* no later than 7 business days prior to the date of the hearing.

Written submissions.—Each party who is an interested party shall submit a prehearing brief to the Commission. Prehearing briefs must conform with the provisions of § 207.23 of the Commission's rules; the deadline for filing is January 15, 2025. Parties shall also file written testimony in connection with their presentation at the hearing, and posthearing briefs, which must conform with the provisions of § 207.25 of the Commission's rules. The deadline for filing posthearing briefs is January 30, 2025. In addition, any person who has not entered an appearance as a party to the investigations may submit a written statement of information pertinent to the subject of the investigations, including statements of support or opposition to the petition, on or before January 30, 2025. On February 14, 2025, the Commission will make available to parties all information on which they have not had an opportunity to comment. Parties may submit final comments on this information on or before February 19, 2025, but such final comments must not contain new factual information and must otherwise comply with § 207.30 of the Commission's rules. All written submissions must conform with the provisions of § 201.8 of the Commission's rules; any submissions that contain BPI must also conform with the requirements of §§ 201.6, 207.3, and 207.7 of the Commission's rules. The Commission's *Handbook on Filing*

Procedures, available on the Commission's website at https://www.usitc.gov/documents/handbook_on_filing_procedures.pdf, elaborates upon the Commission's procedures with respect to filings.

Additional written submissions to the Commission, including requests pursuant to § 201.12 of the Commission's rules, shall not be accepted unless good cause is shown for accepting such submissions, or unless the submission is pursuant to a specific request by a Commissioner or Commission staff.

In accordance with §§ 201.16(c) and 207.3 of the Commission's rules, each document filed by a party to the investigations must be served on all other parties to the investigations (as identified by either the public or BPI service list), and a certificate of service must be timely filed. The Secretary will not accept a document for filing without a certificate of service.

Authority: These investigations are being conducted under authority of title VII of the Tariff Act of 1930; this notice is published pursuant to § 207.21 of the Commission's rules.

By order of the Commission.

Issued: September 12, 2024.

Lisa Barton,

Secretary to the Commission.

[FR Doc. 2024-21146 Filed 9-17-24; 8:45 am]

BILLING CODE 7020-02-P

DEPARTMENT OF JUSTICE

[OMB Number 1125-0010]

Agency Information Collection Activities; Proposed eCollection; eComments Requested; Extension of a Previously Approved Collection; Notice of Appeal to the Board of Immigration Appeals From a Decision of a DHS Officer (EOIR-29)

AGENCY: Executive Office for Immigration Review, Department of Justice.

ACTION: 60-day notice.

SUMMARY: The Executive Office for Immigration Review (EOIR), Department of Justice (DOJ), will be submitting the following information collection request to the Office of Management and Budget (OMB) for review and approval in accordance with the Paperwork Reduction Act of 1995.

DATES: Comments are encouraged and will be accepted for 60 days until November 18, 2024.

FOR FURTHER INFORMATION CONTACT: If you have additional comments especially on the estimated public burden or associated response time, suggestions, or need a copy of the proposed information collection instrument with instructions or additional information, please contact Raechel Horowitz, Chief, Immigration Law Division, Executive Office for Immigration Review, 5107 Leesburg Pike, Suite 2500, Falls Church, VA 22041, eoir.pra.comments@usdoj.gov or Raechel.horowitz@usdoj.gov, telephone (703) 305-0473.

SUPPLEMENTARY INFORMATION: Written comments and suggestions from the public and affected agencies concerning the proposed collection of information are encouraged. Your comments should address one or more of the following four points:

- Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information will have practical utility;
- Evaluate the accuracy of the agency's estimate of the burden of the proposed collection of information, including the validity of the methodology and assumptions used;
- Evaluate whether and if so how the quality, utility, and clarity of the information to be collected can be enhanced; and
- Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated, electronic, mechanical, or other technological collection techniques or other forms of information technology, *e.g.*, permitting electronic submission of responses.

Abstract: A party affected by a decision of a Department of Homeland Security (DHS) Officer may appeal that decision to the Board of Immigration Appeals (BIA or Board), provided that the Board has jurisdiction pursuant to 8 CFR 1003.1(b). The party must complete the Form EOIR-29 and submit it to the DHS office having administrative control over the record of proceeding in order to exercise its regulatory right to appeal.

EOIR has revised the form so that respondents can provide a safe mailing

address where they can safely and timely receive mail. EOIR has made the following substantive changes to the form: allowing respondents to provide a safe mailing address and to designate another individual to receive mail; and including new fields for the respondent's street address, apartment or unit number, city, state, and zip code, rather than a single field for the respondent's address. In addition, EOIR has made the following non-substantive changes: modifying the appearance and formatting of the General Instructions; revising the existing form instructions for clarity; and updating links to web pages and resources embedded throughout the form. EOIR intends these revisions to reduce the public's burden in completing the form and to reduce the Agency's processing time for each form.

Overview of this information collection:

1. *Type of Information Collection:* Revision and extension of a currently approved collection.
2. *The Title of the Form/Collection:* Notice of Appeal to the Board of Immigration Appeals from a Decision of a DHS Officer.
3. *The agency form number, if any, and the applicable component of the Department sponsoring the collection:* The form number is EOIR-29. The applicable component within the Department of Justice is the Executive Office for Immigration Review.
4. *Affected public who will be asked or required to respond, as well as the obligation to respond:* Individuals or Households. The obligation to respond is required to obtain/retain a benefit (appeal).
5. *An estimate of the total number of respondents and the amount of time estimated for an average respondent to respond:* The estimated annual number of respondents for the Form EOIR-29 is 3,056. The estimated time per response is 30 minutes.
6. *An estimate of the total annual burden (in hours) associated with the collection:* The total annual burden hours for this collection is 1,528 hours.
7. *An estimate of the total annual cost burden associated with the collection, if applicable:* There are no capital or start-up costs associated with this information collection. The estimated public cost is zero.

TOTAL BURDEN HOURS

Activity	Number of respondents	Frequency	Total annual responses	Time per response	Total annual burden (hours)
Form EOIR-29	3,056	1/annually	3,056	30 minutes	1,528
<i>Unduplicated Totals</i>	<i>3,056</i>		<i>3,056</i>		<i>1,528</i>

If additional information is required contact: Darwin Arceo, Department Clearance Officer, United States Department of Justice, Justice Management Division, Policy and Planning Staff, Two Constitution Square, 145 N Street NE, 4W-218, Washington, DC.

Dated: September 13, 2024.

Darwin Arceo,

Department Clearance Officer for PRA, U.S. Department of Justice.

[FR Doc. 2024-21242 Filed 9-17-24; 8:45 am]

BILLING CODE 4410-30-P

DEPARTMENT OF LABOR

Employee Benefits Security Administration

224th Meeting of the Advisory Council on Employee Welfare and Pension Benefit Plans; Notice of Teleconference Meeting

Pursuant to the authority contained in Section 512 of the Employee Retirement Income Security Act of 1974 (ERISA), 29 U.S.C. 1142, the 224th open meeting of the Advisory Council on Employee Welfare and Pension Benefit Plans (also known as the ERISA Advisory Council) will be held via a teleconference on Tuesday, October 22, 2024.

The meeting will begin at 12:30 p.m. and end at approximately 5:30 p.m. The purpose of the open meeting is for the members of the ERISA Advisory Council to discuss potential recommendations for the Secretary of Labor on the issues of: (1) Claims and Appeals Procedures, and (2) Qualified Default Investment Alternatives (QDIAs)—Start to Finish, Default to Payout. Descriptions of the 2024 study topics are available on the ERISA Advisory Council's web page at <https://www.dol.gov/agencies/ebsa/about-ebsa/about-us/erisa-advisory-council>.

Instructions for public access to the teleconference meeting will be available on the ERISA Advisory Council's web page at <https://www.dol.gov/agencies/ebsa/about-ebsa/about-us/erisa-advisory-council> prior to the meeting.

Organizations or members of the public wishing to submit a written statement on the 2024 study topics may do so on or before Tuesday, October 15,

2024, to Pinar Shapiro, ERISA Advisory Council. Statements should be transmitted electronically as an email attachment in text or pdf format to ERISAA AdvisoryCouncil@dol.gov. Statements transmitted electronically that are included in the body of the email will not be accepted. Relevant statements received on or before Tuesday, October 15, 2024, will be included in the record of the meeting and made available through the Employee Benefits Security Administration Public Disclosure Room. No deletions, modifications, or redactions will be made to the statements received as they are public records. *Warning:* Do not include any personally identifiable or confidential business information that you do not want publicly disclosed.

Individuals or representatives of organizations interested in addressing the ERISA Advisory Council at the public meeting should forward their requests to the Executive Secretary on or before Tuesday, October 15, 2024, via email to ERISAA AdvisoryCouncil@dol.gov. Any oral presentation to the Council will be limited to ten minutes, but as indicated above, an extended written statement may be submitted for the record on or before October 15, 2024.

Individuals who need special accommodations should contact the Executive Secretary on or before Tuesday, October 15, 2024, via email to ERISAA AdvisoryCouncil@dol.gov.

For more information about the meeting, contact the Executive Secretary at the address or telephone number above.

Signed at Washington, DC this 13th day of September, 2024.

Lisa M. Gomez,

Assistant Secretary, Employee Benefits Security Administration.

[FR Doc. 2024-21261 Filed 9-17-24; 8:45 am]

BILLING CODE 4510-29-P

DEPARTMENT OF LABOR

Agency Information Collection Activities; Submission for OMB Review; Consumer Expenditure Surveys; Quarterly Interview and Diary

ACTION: Notice of availability; request for comments.

SUMMARY: The Department of Labor (DOL) is submitting this Bureau of Labor Statistics (BLS)-sponsored information collection request (ICR) to the Office of Management and Budget (OMB) for review and approval in accordance with the Paperwork Reduction Act of 1995 (PRA). Public comments on the ICR are invited.

DATES: The OMB will consider all written comments that the agency receives on or before October 18, 2024.

ADDRESSES: Written comments and recommendations for the proposed information collection should be sent within 30 days of publication of this notice to www.reginfo.gov/public/do/PRAMain. Find this particular information collection by selecting "Currently under 30-day Review—Open for Public Comments" or by using the search function.

Comments are invited on: (1) whether the collection of information is necessary for the proper performance of the functions of the Department, including whether the information will have practical utility; (2) the accuracy of the agency's estimates of the burden and cost of the collection of information, including the validity of the methodology and assumptions used; (3) ways to enhance the quality, utility and clarity of the information collection; and (4) ways to minimize the burden of the collection of information on those who are to respond, including the use of automated collection techniques or other forms of information technology.

FOR FURTHER INFORMATION CONTACT: Nicole Bouchet by telephone at 202-693-0213, or by email at DOL_PRA_PUBLIC@dol.gov.

SUPPLEMENTARY INFORMATION: The Consumer Expenditure Surveys are used to gather information on expenditures, income, and other related subjects. These data are used to periodically update the national Consumer Price Index. In addition, the data are used by

a variety of researchers in academia, government agencies, and the private sector. The data are collected from a national probability sample of households designed to represent the total civilian non-institutional population. For additional substantive information about this ICR, see the related notice published in the **Federal Register** on June 4, 2024 (89 FRN 47990).

This information collection is subject to the PRA. A Federal agency generally cannot conduct or sponsor a collection of information, and the public is generally not required to respond to an information collection, unless the OMB approves it and displays a currently valid OMB Control Number. In addition, notwithstanding any other provisions of law, no person shall generally be subject to penalty for failing to comply with a collection of information that does not display a valid OMB Control Number. See 5 CFR 1320.5(a) and 1320.6.

Agency: DOL–BLS.

Title of Collection: Consumer Expenditure Surveys: Quarterly Interview and Diary.

OMB Control Number: 1220–0050.

Affected Public: Individuals or Households.

Total Estimated Number of Respondents: 10,325.

Total Estimated Number of Responses: 44,595.

Total Estimated Annual Time Burden: 34,619 hours.

Total Estimated Annual Other Costs Burden: \$0.

(Authority: 44 U.S.C. 3507(a)(1)(D))

Nicole Bouchet,

Senior Paperwork Reduction Act Analyst.

[FR Doc. 2024–21160 Filed 9–17–24; 8:45 am]

BILLING CODE 4510–24–P

NATIONAL AERONAUTICS AND SPACE ADMINISTRATION

[NASA Document Number: 24–063; NASA Docket Number: NASA–2024–0011]

Name of Information Collection: Crew Health and Performance Exploration Analog Crew Application

AGENCY: National Aeronautics and Space Administration (NASA).

ACTION: Notice of a new information collection.

SUMMARY: NASA, as part of its continuing effort to reduce paperwork and respondent burden, invites the general public and other Federal agencies to take this opportunity to comment on proposed and/or continuing information collections, as

required by the Paperwork Reduction Act of 1995 (PRA).

DATES: Comments are due by November 18, 2024.

ADDRESSES: Written comments and recommendations for this information collection should be sent within 60 days of publication of this notice at <http://www.regulations.gov> and search for NASA Docket NASA–2024–0011.

FOR FURTHER INFORMATION CONTACT:

Requests for additional information or copies of the information collection instrument(s) and instructions should be directed to NASA PRA Clearance Officer, Stayce Hoult, NASA Headquarters, 300 E Street SW, JC0000, Washington, DC 20546, phone 256–714–8575, or email hq-ocio-pra-program@mail.nasa.gov.

SUPPLEMENTARY INFORMATION:

I. Abstract

This collection of information supports the Crew Health and Performance Analog (CHAPEA) with the evaluation and selection of individuals to participate in NASA CHAPEA Candidate Selection. The NASA CHAPEA project is located at the Lyndon B. Johnson Space Center (JSC) in Houston, Texas. The CHAPEA project is responsible for selecting analog crew candidates for one of three Mars realistic simulated analog missions. In evaluating an applicant for the CHAPEA project, it is important that the selection committee have the benefit of qualitative and quantitative information. Including employment status, medical history, and information from the respondent specific to previously related activities or job functions.

This information will be used by the NASA CHAPEA selection committee, during the candidate selection process (approx. 1 year duration), to gain insight into the candidates' work ethic and professionalism as demonstrated in previous related employment activities.

NASA is committed to effectively performing the Agency's communication function in accordance with the Space Act Section 203 (a)(3) to "provide for the widest practicable and appropriate dissemination of information concerning its activities and the results thereof," and to enhance public understanding of, and participation in, the nation's aeronautical and space program in accordance with the NASA Strategic Plan.

II. Methods of Collection

Electronically.

III. Data

Title: Crew Health and Performance Exploration Analog Crew Application.

OMB Number: 2,700–new.

Type of review: Initial Submission of Information Collection.

Affected Public: Individuals.

Estimated Annual Number of Activities: 2,000.

Estimated Number of Respondents per Activity: 1.

Annual Responses: 2,000.

Estimated Time per Response: 45 minutes.

Estimated Total Annual Burden Hours: 1,500.

IV. Request for Comments

Comments are invited on: (1) Whether the proposed collection of information is necessary for the proper performance of the functions of NASA, including whether the information collected has practical utility; (2) the accuracy of NASA's estimate of the burden (including hours and cost) of the proposed collection of information; (3) ways to enhance the quality, utility, and clarity of the information to be collected; and (4) ways to minimize the burden of the collection of information on respondents, including automated collection techniques or the use of other forms of information technology.

Comments submitted in response to this notice will be summarized and included in the request for OMB approval of this information collection. They will also become a matter of public record.

Stayce Hoult,

PRA Clearance Officer, National Aeronautics and Space Administration.

[FR Doc. 2024–21148 Filed 9–17–24; 8:45 am]

BILLING CODE 7510–13–P

NATIONAL AERONAUTICS AND SPACE ADMINISTRATION

[Notice: 24–064]

NASA Advisory Council; Science Committee; Meeting

AGENCY: National Aeronautics and Space Administration.

ACTION: Notice of meeting.

SUMMARY: In accordance with the Federal Advisory Committee Act, as amended, the National Aeronautics and Space Administration (NASA) announces a meeting of the Science Committee of the NASA Advisory Council (NAC). This Committee reports to the NAC. The meeting will be held for the purpose of soliciting, from the scientific community and other persons,

scientific and technical information relevant to program planning.

DATES: Tuesday, October 8, 2024, 10 a.m.–5:30 p.m., eastern time; Wednesday, October 9, 2024, 10 a.m.–5:30 p.m., eastern time; Thursday, October 10, 2024, 10 a.m.–5:30 p.m., eastern time.

ADDRESSES: Public attendance will be virtual only. See dial-in and webinar information below under **SUPPLEMENTARY INFORMATION.**

FOR FURTHER INFORMATION CONTACT: Ms. KarShelia Kinard, Science Mission Directorate, NASA Headquarters, Washington, DC 20546, (202) 358-2355 or karshelia.kinard@nasa.gov.

SUPPLEMENTARY INFORMATION: As noted above, public attendance at this meeting is virtual and will take place telephonically and via webinar. The connectivity information for each day is provided below:

October 8, 2024: Link: [https://teams.microsoft.com/l/meetup-join/19%3ameeting_YjRlZTRhMjktNTNmNi00ZWY0LTkyNjktMmMwMzwgOWQxYjdh%40thread.v2/0?context=%7b%22Tid%22%3a%227005d458-45be-48ae-8140-d43da96dd17b%22%2c%22Oid%22%3a%223b21b493-f605-44cb-9b20-ff359cc8903d%22%7d, Meeting ID: 226 737 057 212, Passcode: BqtM84, Call in number \(audio only\): +1 256-715-9946; Phone conference ID: 822 445 16#](https://teams.microsoft.com/l/meetup-join/19%3ameeting_YjRlZTRhMjktNTNmNi00ZWY0LTkyNjktMmMwMzwgOWQxYjdh%40thread.v2/0?context=%7b%22Tid%22%3a%227005d458-45be-48ae-8140-d43da96dd17b%22%2c%22Oid%22%3a%223b21b493-f605-44cb-9b20-ff359cc8903d%22%7d, Meeting ID: 226 737 057 212, Passcode: BqtM84, Call in number (audio only): +1 256-715-9946; Phone conference ID: 822 445 16#)

October 9, 2024: Link:

October 10, 2024: Link: [https://
teams.microsoft.com/l/meetup-join/
19%3ameeting_ZjxkZWUwMjctOWY
zNy00ZTE3LTg0MWQtND
cwNWfkNjZiMzEx%40thread.v2/
?context=%7b%22Tid%22
%3a%227005d458-45be-48ae-8140-
d43da96dd17b%22%2c%22f20
id%22%3a%223b21b493-f605-44cb-
9b20-ff359cc8903d%22%7d](https://teams.microsoft.com/l/meetup-join/19%3ameeting_ZjxkZWUwMjctOWYzNy00ZTE3LTg0MWQtNDcwNWfkNjZiMzEx%40thread.v2/?context=%7b%22Tid%22%3a%227005d458-45be-48ae-8140-d43da96dd17b%22%2c%22f20id%22%3a%223b21b493-f605-44cb-9b20-ff359cc8903d%22%7d), Meeting
ID: 288 180 042 970, Passcode: DB8pn6,
Call in number [audio only]: +1 256–
715–9946; Phone conference ID: 185 779
216#

The agenda for the meeting includes the following topics:

—Science Mission Directorate (SMD)
Missions, Programs, and Activities

—SMD Division Advisory Committee
Updates

It is imperative that the meeting be held on these dates due to the scheduling priorities of the key participants.

Jamie M. Krauk,

*Advisory Committee Management Officer,
National Aeronautics and Space
Administration.*

[FR Doc. 2024-21149 Filed 9-17-24; 8:45 am]

BILLING CODE 7510-13-P

**NATIONAL FOUNDATION ON THE
ARTS AND THE HUMANITIES**

**Institute of Museum and Library
Services**

Notice of Proposed Information Collection Requests: Study To Support IMLS's Learning Agenda for Equity in Grantmaking

AGENCY: Institute of Museum and Library Services, National Foundation on the Arts and the Humanities.

ACTION: Notice, request for comments, collection of information.

SUMMARY: The Institute of Museum and Library Services (IMLS), as part of its continuing effort to reduce paperwork and respondent burden, conducts a pre-clearance consultation program to provide the general public and federal agencies with an opportunity to comment on proposed and/or continuing collections of information in accordance with the Paperwork Reduction Act. This pre-clearance consultation program helps to ensure that requested data can be provided in the desired format, reporting burden (time and financial resources) is minimized, collection instruments are clearly understood, and the impact of collection requirements on respondents can be properly assessed. The purpose of this Notice is to solicit comments about the proposed data collection for *Study to Support IMLS's Learning Agenda for Equity in Grantmaking*. A copy of the proposed information collection request can be obtained by contacting the individual listed below in the **FOR FURTHER INFORMATION** section of this Notice.

DATES: Written comments must be submitted to the office listed in the **ADDRESSES** section below on or before November 17, 2024.

ADDRESSES: Send comments to Julie Balutis, Director of Grants Policy and Management, Office of Grants Policy and Management, Institute of Museum and Library Services, 955 L'Enfant Plaza

North SW, Suite 4000, Washington, DC 20024–2135. Ms. Balutis can be reached by telephone at 202–653–4645, or by email at jbalutis@imls.gov. Office hours are from 8:30 a.m. to 5 p.m., E.T., Monday through Friday, except federal holidays. Persons who are deaf or hard of hearing (TTY users) can contact IMLS at 202–207–7858 via 711 for TTY-Based Telecommunications Relay Service.

FOR FURTHER INFORMATION CONTACT: Lisa Hechtman, Ph.D., Social Science Research Analyst, Office of Research and Evaluation, Institute of Museum and Library Services, 955 L'Enfant Plaza North SW, Suite 4000, Washington, DC 20024-2135. Dr. Hechtman can be reached by telephone at 202-653-4724, or by email at lhechtman@imls.gov. Persons who are deaf or hard of hearing (TTY users) can contact IMLS at 202-207-7858 via 711 for TTY-Based Telecommunications Relay Service.

SUPPLEMENTARY INFORMATION: IMLS is particularly interested in public comments that help the agency to:

- Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information will have practical utility;

- Evaluate the accuracy of the agency's estimate of the burden of the proposed collection of information including the validity of the methodology and assumptions used;

- Enhance the quality, utility, and clarity of the information to be collected; and

- Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated electronic, mechanical, or other technological collection techniques, or other forms of information technology, *e.g.*, permitting electronic submissions of responses.

I. Background

The Institute of Museum and Library Services is the primary source of federal support for the Nation's libraries and museums. We advance, support, and empower America's museums, libraries, and related organizations through grant making, research, and policy development. To learn more, visit www.imls.gov.

II. Current Actions

IMLS seeks to advance an ambitious new agency learning agenda that includes key questions on equity in IMLS's discretionary (competitive) grantmaking process. To carry out this agenda, IMLS has commissioned Mathematica to conduct an independent

study which will provide descriptive information to help IMLS better understand the barriers and facilitators to equity in its current grantmaking, data collection, and decision-making processes. It will also help the agency identify opportunities and effective strategies for increasing equitable grantmaking practices to libraries, museums, and other cultural institutions.

Agency: Institute of Museum and Library Services.

Title: Study to Support IMLS’s Learning Agenda for Equity in Grantmaking.

OMB Control Number: 3137–NEW.

Agency Number: 3137.

Respondents/Affected Public: Museum staff, library staff, IMLS applicants and awardees, subject matter experts on equitable grantmaking.

Total Estimated Number of Annual Respondents: 82.

Frequency of Response: Once per request.

Average Minutes per Response: 73.2 minutes.

Total Estimated Number of Annual Burden Hours: 100.

Cost Burden (dollars): \$4,195.60.

Public Comments Invited: Comments submitted in response to this Notice will be summarized and/or included in the request for OMB’s clearance of this information collection.

Dated: September 12, 2024.

Suzanne Mbollo,
Grants Management Specialist, Institute of Museum and Library Services.

[FR Doc. 2024–21216 Filed 9–17–24; 8:45 am]

BILLING CODE 7036–01–P

NUCLEAR REGULATORY COMMISSION

[Docket No. 72–27; NRC–2024–0153]

Issuance of Exemption Regarding Security Notifications, Reports, and Recordkeeping

AGENCY: Nuclear Regulatory Commission.

PACIFIC GAS AND ELECTRIC COMPANY; HUMBOLDT BAY INDEPENDENT SPENT FUEL STORAGE INSTALLATION; DOCKET NO. 72–27

ACTION: Exemption; issuance.

SUMMARY: The U.S. Nuclear Regulatory Commission (NRC) is issuing a notice to announce the issuance of an exemption in response to a request from Pacific Gas and Electric Company. This exemption was requested as a result of a change to NRC’s regulations published in the **Federal Register** on March 14, 2023.

DATES: On August 6, 2024, the NRC granted an exemption in response to a request submitted by Pacific Gas and Electric Company on December 4, 2023.

ADDRESSES: Please refer to Docket ID NRC–2024–0153 when contacting the NRC about the availability of information regarding this document. You may obtain publicly available information related to this document using any of the following methods:

- *Federal Rulemaking Website:* Go to <https://www.regulations.gov> and search for Docket ID NRC–2024–0153. Address questions about Docket IDs in *Regulations.gov* to Stacy Schumann; telephone: 301–415–0624; email: Stacy.Schumann@nrc.gov. For technical questions, contact the individual listed in the **FOR FURTHER INFORMATION CONTACT** section of this document.
- *NRC’s Agencywide Documents Access and Management System (ADAMS):* You may obtain publicly available documents online in the ADAMS Public Documents collection at <https://www.nrc.gov/reading-rm/adams.html>. To begin the search, select “Begin Web-based ADAMS Search.” For problems with ADAMS, please contact the NRC’s Public Document Room (PDR) reference staff at 1–800–397–4209, at 301–415–4737, or by email to PDR.Resource@nrc.gov. For the convenience of the reader, instructions about obtaining materials referenced in this document are provided in the “Availability of Documents” section.
- *NRC’s PDR:* The PDR, where you may examine and order copies of publicly available documents, is open by appointment. To make an appointment to visit the PDR, please send an email to PDR.Resource@nrc.gov

or call 1–800–397–4209 or 301–415–4737, between 8 a.m. and 4 p.m. eastern time (ET), Monday through Friday, except Federal holidays.

FOR FURTHER INFORMATION CONTACT: Ed Miller, Office of Nuclear Reactor Regulation, U.S. Nuclear Regulatory Commission, Washington, DC 20555–0001; telephone: 301–415–2481, email: Ed.Miller@nrc.gov.

SUPPLEMENTARY INFORMATION:

I. Introduction

On August 6, 2024, the NRC granted an exemption in response to a request submitted by Pacific Gas and Electric Company.

This exemption temporarily allows the licensee to deviate from certain requirements of part 73 of title 10 of the *Code of Federal Regulations* (10 CFR), “Physical Protection of Plants and Materials,” subpart T, “Security Notifications, Reports, and Recordkeeping.” In support of its exemption request, the licensee agreed to effect site-specific administrative controls that maintain the approach to complying with 10 CFR part 73 in effect prior to the NRC’s issuance of a final rule, “Enhanced Weapons, Firearms Background Checks, and Security Event Notifications,” which was published in the **Federal Register** on March 14, 2023, and became effective on April 13, 2023 (88 FR 15864).

II. Availability of Documents

The table in this notice provides transparency regarding the number and type of exemptions the NRC has issued and provides the facility name, docket number, document description, document date, and ADAMS accession number for each exemption issued. Additional details on the exemption issued, including the exemption request submitted by the licensee and the NRC’s decision, are provided in the exemption approval listed in the following table. For additional directions on accessing information in ADAMS, see the **ADDRESSES** section of this document.

Document description	ADAMS accession No.	Document date
Pacific Gas and Electric Company [Humboldt Bay Independent Spent Fuel Storage Installation]—Request for Exemption from Enhanced Weapons, Firearms Background Checks, and Security Event Notifications Implementation.	ML23338A335	December 4, 2023.
Pacific Gas and Electric Company [Humboldt Bay Independent Spent Fuel Storage Installation], Supplement to the Request for Exemption from Enhanced Weapons, Firearms Background Checks, and Security Event Notifications Implementation.	ML24179A063	June 26, 2024.
Humboldt Bay Independent Spent Fuel Storage Installation—Exemption from Select Requirements of 10 CFR part 73.	ML24205A084	August 6, 2024.

Dated: September 12, 2024.

For the Nuclear Regulatory Commission.

David Wrona,

Chief, Plant Licensing Branch II-2, Division of Operating Reactor Licensing, Office of Nuclear Reactor Regulation.

[FR Doc. 2024-21153 Filed 9-17-24; 8:45 am]

BILLING CODE 7590-01-P

NUCLEAR REGULATORY COMMISSION

[Docket Nos. 50-445 and 50-446; NRC-2024-0156]

**Vistra Operations Company LLC;
Comanche Peak Nuclear Power Plant,
Unit Nos. 1 and 2; Exemption**

AGENCY: Nuclear Regulatory Commission.

ACTION: Notice; issuance.

SUMMARY: The U.S. Nuclear Regulatory Commission (NRC) is granting an exemption in response to a request from Vistra Operations Company LLC (the licensee), submitted by letter dated August 24, 2023, as supplemented by letter dated August 15, 2024, seeking exemption from specific regulations that require periodic updates of the Comanche Peak Nuclear Power Plant, Unit Nos. 1 and 2, Updated Final Safety Analysis Report.

DATES: The exemption was issued on September 11, 2024.

ADDRESSES: Please refer to Docket ID NRC-2024-0156 when contacting the NRC about the availability of information regarding this document. You may obtain publicly available information related to this document using any of the following methods:

- *Federal Rulemaking Website:* Go to <https://www.regulations.gov> and search for Docket ID NRC-2024-0156. Address questions about Docket IDs in *Regulations.gov* to Stacy Schumann; telephone: 301-415-0624; email: Stacy.Schumann@nrc.gov. For technical questions, contact the individual listed in the "For Further Information Contact" section of this document.

- *NRC's Agencywide Documents Access and Management System (ADAMS):* You may obtain publicly available documents online in the ADAMS Public Documents collection at <https://www.nrc.gov/reading-rm/adams.html>. To begin the search, select "Begin Web-based ADAMS Search." For problems with ADAMS, please contact the NRC's Public Document Room (PDR) reference staff at 1-800-397-4209, at 301-415-4737, or by email to PDR.Resource@nrc.gov. The request for the exemption was submitted by letter

dated August 24, 2023, as supplemented by letter dated August 15, 2024 (ADAMS Accession Nos. ML23236A605 and ML24228A186, respectively).

- *NRC's PDR:* The PDR, where you may examine and order copies of publicly available documents, is open by appointment. To make an appointment to visit the PDR, please send an email to PDR.Resource@nrc.gov or call 1-800-397-4209 or 301-415-4737, between 8 a.m. and 4 p.m. eastern time (ET), Monday through Friday, except Federal holidays.

FOR FURTHER INFORMATION CONTACT: Samson Lee, Office of Nuclear Reactor Regulation, U.S. Nuclear Regulatory Commission, Washington, DC 20555-0001, telephone: 301-415-3168; email: Samson.Lee@nrc.gov.

SUPPLEMENTARY INFORMATION: The text of the exemption is attached.

Dated: September 13, 2024.

For the Nuclear Regulatory Commission.

Samson Lee,

Senior Project Manager, Plant Licensing Branch 4, Division of Operating Reactor Licensing, Office of Nuclear Reactor Regulation.

Attachment—Exemption

NUCLEAR REGULATORY COMMISSION

Docket Nos. 50-445 and 50-446

**Vistra Operations Company LLC
Comanche Peak Nuclear Power Plant,
Unit Nos. 1 and 2 Exemption**

I. Background

Vistra Operations Company LLC (Vistra OpCo, the licensee) is the holder of Renewed Facility Operating License Nos. NPF-87 and NPF-89, for the Comanche Peak Nuclear Power Plant, Unit Nos. 1 and 2 (Comanche Peak), respectively. The licenses provide, among other things, that the licensee is subject to all rules, regulations, and orders of the U.S. Nuclear Regulatory Commission (NRC, the Commission) now or hereafter in effect. These facilities consist of two pressurized water reactors located in Somervell County, Texas.

II. Request/Action

In accordance with Section 50.71 of Title 10 of the *Code of Federal Regulations* (10 CFR), "Maintenance of records, making of reports," paragraph (e)(4) states, in part, that "Subsequent revisions [to the Updated Final Safety Analysis Report (UFSAR) submitted as part of the original license application] must be filed annually or 6 months after each refueling outage provided the interval between successive updates [to the UFSAR] does not exceed 24

months." By letter dated August 24, 2023 (Agencywide Documents Access and Management System (ADAMS) Accession No. ML23236A605), as supplemented by letter dated August 15, 2024 (ML24228A186), Vistra OpCo requested that the due date for submittal of the Comanche Peak UFSAR be by July 31 of every odd-numbered year, provided the interval between successive updates does not exceed 24 months.

III. Discussion

Pursuant to 10 CFR 50.12, "Specific exemptions," the NRC may, upon application by any interested person or upon its own initiative, grant exemptions from the requirements of 10 CFR part 50, "Domestic Licensing of Production and Utilization Facilities," including 10 CFR 50.71(e)(4) when: (1) the exemptions are authorized by law, will not present an undue risk to the public health and safety, and are consistent with the common defense and security; and (2) special circumstances are present. Under 10 CFR 50.12(a)(2), special circumstances include, among other things, whenever application of the regulation in the particular circumstances would not serve, or is not necessary to achieve, the underlying purpose of the rule.

A. The Exemption Is Authorized by Law

The regulation at 10 CFR 50.71(e)(4) requires revisions to UFSARs to be filed annually or 6 months after each refueling outage, provided the interval between successive updates does not exceed 24 months. The underlying purpose of the regulation is to ensure that the licensee periodically updates its UFSAR so that the UFSAR remains up-to-date and accurately reflects the plant design and operation for use in subsequent reviews or activities concerning that facility performed by the licensee, the Commission, and other interested parties. The proposed exemption would change the current UFSAR submittal schedule for Comanche Peak to a calendar-based schedule that would not exceed the maximum 24 months between successive updates as required by 10 CFR 50.71(e)(4). Submitting the UFSAR updates for Comanche Peak as proposed by July 31 of the odd year continues to maintain the UFSAR information up-to-date. The NRC staff has determined that granting the licensee's proposed exemption will not result in a violation of the Atomic Energy Act of 1954, as amended, or the Commission's regulations. Therefore, the exemption is authorized by law.

B. The Exemption Presents No Undue Risk to Public Health and Safety

The underlying purpose of 10 CFR 50.71(e)(4) is to ensure that licensees periodically update their UFSARs so that the UFSARs remain up-to-date and accurately reflect the plant design and operation. The NRC has determined by rule that an update frequency not exceeding 24 months between successive updates is acceptable for maintaining up-to-date UFSAR content. The NRC granted an exemption dated September 25, 1995 (ML021790732), with respect to Comanche Peak that allowed the licensee to submit a unified UFSAR update for both units every 18 months, not to exceed 24 months from the last submittal. While the regulation requires, in part, that UFSAR updates be submitted “annually or 6 months after each refueling outage,” it allows the submission of such updates on a different schedule, “provided the interval between successive updates does not exceed 24 months.” The requested exemption also serves the purpose of the 1992 revision to the rule for regulatory burden reduction. Additionally, based on the nature of the requested exemption and the requirement that updates will not exceed 24 months from the last submittal as described above, no new accident precursors are created by the exemption; therefore, neither the probability nor the consequences of postulated accidents are increased. In conclusion, the requested exemption does not result in any undue risk to the public health and safety.

C. The Exemption Is Consistent With the Common Defense and Security

The requested exemption from 10 CFR 50.71(e)(4) would allow Vistra OpCo to submit its periodic updates to the Comanche Peak UFSAR by July 31 of odd-numbered years, not to exceed 24 months from the last submittal. Neither the regulation nor the proposed exemption has any relation to security issues. Therefore, the common defense and security is not impacted by the exemption.

D. Special Circumstances

Special circumstances, in accordance with 10 CFR 50.12(a)(2)(ii), are present whenever application of the regulation in the particular circumstances would not serve the underlying purpose of the rule or is not necessary to achieve the underlying purpose of the rule. The underlying purpose of the rule is to ensure that an updated FSAR will be available to be used in subsequent reviews or activities concerning that

facility performed by the licensee, the Commission, and other interested parties—with the original reporting requirement set that subsequent revisions shall be filed no less frequently than annually (45 FR 30614; May 9, 1980). The rule change promulgated in August 1992 (57 FR 39358; August 31, 1992) was intended to provide a reduction in regulatory burden by providing licensees with the option to submit UFSAR updates once per refueling outage, not to exceed 24 months between successive updates, instead of annually. Currently, Comanche Peak submits a combined UFSAR every 18 months, not to exceed 24 months from the last submittal.

The licensee requested that the due date for the submittal of the Comanche Peak UFSAR update be by July 31 of every odd-numbered year, provided the interval between successive updates does not exceed 24 months. The licensee’s request would decouple the UFSAR update schedule from the refueling cycle. In a response to a comment suggesting that the UFSAR update be decoupled from the refueling cycle, the Commission explained in the statements of consideration for the 1992 final rule amending 10 CFR 50.71(e) (57 FR 39354; August 31, 1992), “The majority of facility design changes reflected in an updated FSAR [Final Safety Analysis Report] are effected during the refueling outage. The use of the refueling cycle interval provides for a current plant status document that is coordinated with plant changes.” However, by letter dated August 15, 2024, the licensee stated that: “. . . the majority of facility design changes reflected in the UFSAR at Comanche Peak are no longer effected during refueling outages. As a result, for Comanche Peak there is little coordination between plant changes and refueling cycle intervals. Therefore, the application of the regulation, with respect to coupling reporting frequency to refueling cycle intervals, is not necessary to achieve the underlying purpose of the rule for Comanche Peak.” The NRC staff acknowledges that plant operation practices have evolved over time and as stated by the licensee, the majority of facility design changes reflected in the UFSAR at Comanche Peak are no longer effected during refueling outages. Therefore, special circumstances exist under 10 CFR 50.12(a)(2)(ii) in that application of the requirements in these particular circumstances are not necessary to achieve the underlying purpose of the rule, which is to ensure that an up-to-date and accurate UFSAR will be

available for use in subsequent reviews or activities concerning Comanche Peak Unit Nos. 1 and 2.

E. Environmental Considerations

With respect to the impact of the exemption on the quality of the human environment, the NRC has determined that the issuance of the exemption discussed herein meets the eligibility criteria for categorical exclusion from the requirement to prepare an environmental assessment or environmental impact statement, set forth in 10 CFR 51.22(c)(25).

Under 10 CFR 51.22(c)(25), the granting of an exemption from the requirements of any regulation of 10 CFR chapter I (which includes 10 CFR 50.71(e)(4)) is an action that is a categorical exclusion, provided that certain specified criteria are met. The basis for NRC’s determination is provided in the following evaluation of the requirements in 10 CFR 51.22(c)(25)(i)–(vi).

Requirements in 10 CFR 51.22(c)(25)(i)

To qualify for a categorical exclusion under 10 CFR 51.22(c)(25)(i), the exemption must involve no significant hazards consideration. The criteria for determining whether an action involves a significant hazards consideration are found in 10 CFR 50.92, “Issuance of amendment.” The proposed action involves only a schedule change regarding the submission of an update to the UFSAR. As set forth in that regulation, there are no significant hazard considerations because granting the exemption would not: (1) involve a significant increase in the probability or consequences of an accident previously evaluated; or (2) create the possibility of a new or different kind of accident from any accident previously evaluated; or (3) involve a significant reduction in a margin of safety.

Requirements in 10 CFR 51.22(c)(25)(ii)

There is no significant change in the types or significant increase in the amounts of any effluents that may be released offsite. The proposed action involves only a schedule change, which is administrative in nature, and does not involve any changes in the types or increase in the amounts of any effluents that may be released offsite.

Requirements in 10 CFR 51.22(c)(25)(iii)

There is no significant increase in individual or cumulative public or occupational radiation exposure. Because the proposed action involves only a schedule change, which is administrative in nature, it does not contribute to any significant increase in

individual or cumulative public or occupational radiation exposures.

Requirements in 10 CFR 51.22(c)(25)(iv)

There is no significant construction impact. Because the proposed action involves only a schedule change related to the timing for submittal of UFSAR updates, which is administrative in nature, it does not involve any construction impact.

Requirements in 10 CFR 51.22(c)(25)(v)

There is no significant increase in the potential for or consequences from radiological accidents. The proposed action involves only a schedule change related to the timing for submittal of UFSAR updates, which is administrative in nature and does not impact the potential for or consequences from radiological accidents.

Requirements in 10 CFR 51.22(c)(25)(vi)

The requirements from which the exemption is sought involve recordkeeping, reporting, scheduling, or other requirements of an administrative, managerial, or organizational nature. The proposed action involves recordkeeping, reporting, and scheduling requirements, and other requirements of an administrative, managerial, or organizational nature because it is associated with the schedule for submittal of UFSAR updates pursuant to 10 CFR 50.71(e)(4), and meets that regulation's requirement that the interval between successive updates does not exceed 24 months.

Based on the above, the NRC staff concludes that the proposed exemption meets the eligibility criteria for the categorical exclusion set forth in 10 CFR 51.22(c)(25). Therefore, in accordance with 10 CFR 51.22(b), no environmental impact statement or environmental assessment need be prepared in connection with the NRC's issuance of these exemption.

IV. Conclusions

Accordingly, the Commission has determined that, pursuant to 10 CFR 50.12, the requested exemption is authorized by law, will not present an undue risk to public health and safety, and is consistent with the common defense and security. Also, special circumstances, pursuant to 10 CFR 50.12(a)(2)(ii), are present. Therefore, the NRC hereby grants Vistra OpCo an exemption from the requirements of 10 CFR 50.71(e)(4) to allow Vistra OpCo to file its periodic updates to the Comanche Peak UFSAR by July 31 of odd-numbered years, not to exceed 24 months from the last submittal.

The exemption is effective upon issuance.

Dated: September 11, 2024

For the Nuclear Regulatory Commission.

/RA/

Aida Rivera-Varona,
Deputy Director, Division of Operating
Reactor Licensing, Office of Nuclear Reactor
Regulation.

[FR Doc. 2024–21226 Filed 9–17–24; 8:45 am]

BILLING CODE 7590–01–P

POSTAL REGULATORY COMMISSION

[Docket Nos. CP2020–227; MC2024–662 and CP2024–671; MC2024–664 and CP2024–673; MC2024–665 and CP2024–674; MC2024–666 and CP2024–675; MC2024–667 and CP2024–676; MC2024–668 and CP2024–677; MC2024–669 and CP2024–678; MC2024–670 and CP2024–679; MC2024–671 and CP2024–680; MC2024–672 and CP2024–681; MC2024–673 and CP2024–682; MC2024–674 and CP2024–683; MC2024–675 and CP2024–684]

New Postal Products

AGENCY: Postal Regulatory Commission.

ACTION: Notice.

SUMMARY: The Commission is noticing a recent Postal Service filing for the Commission's consideration concerning a negotiated service agreement. This notice informs the public of the filing, invites public comment, and takes other administrative steps.

DATES: *Comments are due:* September 20, 2024.

ADDRESSES: Submit comments electronically via the Commission's Filing Online system at <http://www.prc.gov>. Those who cannot submit comments electronically should contact the person identified in the **FOR FURTHER INFORMATION CONTACT** section by telephone for advice on filing alternatives.

FOR FURTHER INFORMATION CONTACT:

David A. Trissell, General Counsel, at 202–789–6820.

SUPPLEMENTARY INFORMATION:

Table of Contents

- I. Introduction
- II. Docketed Proceeding(s)

I. Introduction

The Commission gives notice that the Postal Service filed request(s) for the Commission to consider matters related to negotiated service agreement(s). The request(s) may propose the addition or removal of a negotiated service agreement from the Market Dominant or the Competitive product list, or the modification of an existing product currently appearing on the Market

Dominant or the Competitive product list.

Section II identifies the docket number(s) associated with each Postal Service request, the title of each Postal Service request, the request's acceptance date, and the authority cited by the Postal Service for each request. For each request, the Commission appoints an officer of the Commission to represent the interests of the general public in the proceeding, pursuant to 39 U.S.C. 505 (Public Representative). Section II also establishes comment deadline(s) pertaining to each request.

The public portions of the Postal Service's request(s) can be accessed via the Commission's website (<http://www.prc.gov>). Non-public portions of the Postal Service's request(s), if any, can be accessed through compliance with the requirements of 39 CFR 3011.301.¹

The Commission invites comments on whether the Postal Service's request(s) in the captioned docket(s) are consistent with the policies of title 39. For request(s) that the Postal Service states concern Market Dominant product(s), applicable statutory and regulatory requirements include 39 U.S.C. 3622, 39 U.S.C. 3642, 39 CFR part 3030, and 39 CFR part 3040, subpart B. For request(s) that the Postal Service states concern Competitive product(s), applicable statutory and regulatory requirements include 39 U.S.C. 3632, 39 U.S.C. 3633, 39 U.S.C. 3642, 39 CFR part 3035, and 39 CFR part 3040, subpart B. Comment deadline(s) for each request appear in section II.

II. Docketed Proceeding(s)

1. *Docket No(s):* CP2020–227; *Filing Title:* Notice of the United States Postal Service of Filing Modification Four to Global Reseller Expedited Package 2 Negotiated Service Agreement; *Filing Acceptance Date:* September 12, 2024; *Filing Authority:* 39 CFR 3035.105; *Public Representative:* Samuel Robinson; *Comments Due:* September 20, 2024.

2. *Docket No(s):* MC2024–662 and CP2024–671; *Filing Title:* USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 326 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date:* September 12, 2024; *Filing Authority:* 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative:* Almaroof Agoro; *Comments Due:* September 20, 2024.

¹ See Docket No. RM2018–3, Order Adopting Final Rules Relating to Non-Public Information, June 27, 2018, Attachment A at 19–22 (Order No. 4679).

3. *Docket No(s)*: MC2024–664 and CP2024–673; *Filing Title*: USPS Request to Add Priority Mail & USPS Ground Advantage Contract 343 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Almaroof Agoro; *Comments Due*: September 20, 2024.

4. *Docket No(s)*: MC2024–665 and CP2024–674; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 327 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Alain Brou; *Comments Due*: September 20, 2024.

5. *Docket No(s)*: MC2024–666 and CP2024–675; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 328 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Katalin K. Clendenin; *Comments Due*: September 20, 2024.

6. *Docket No(s)*: MC2024–667 and CP2024–676; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 329 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Katalin K. Clendenin; *Comments Due*: September 20, 2024.

7. *Docket No(s)*: MC2024–668 and CP2024–677; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 330 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Jana Slovinska; *Comments Due*: September 20, 2024.

8. *Docket No(s)*: MC2024–669 and CP2024–678; *Filing Title*: USPS Request to Add Priority Mail & USPS Ground Advantage Contract 344 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR

3035.105; *Public Representative*: Alain Brou; *Comments Due*: September 20, 2024.

9. *Docket No(s)*: MC2024–670 and CP2024–679; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 331 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Jennaca D. Upperman; *Comments Due*: September 20, 2024.

10. *Docket No(s)*: MC2024–671 and CP2024–680; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 332 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Jana Slovinska; *Comments Due*: September 20, 2024.

11. *Docket No(s)*: MC2024–672 and CP2024–681; *Filing Title*: USPS Request to Add Priority Mail & USPS Ground Advantage Contract 345 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Jana Slovinska; *Comments Due*: September 20, 2024.

12. *Docket No(s)*: MC2024–673 and CP2024–682; *Filing Title*: USPS Request to Add Priority Mail & USPS Ground Advantage Contract 346 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Jana Slovinska; *Comments Due*: September 20, 2024.

13. *Docket No(s)*: MC2024–674 and CP2024–683; *Filing Title*: USPS Request to Add Priority Mail & USPS Ground Advantage Contract 347 to Competitive Product List and Notice of Filing Materials Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Katalin K. Clendenin; *Comments Due*: September 20, 2024.

14. *Docket No(s)*: MC2024–675 and CP2024–684; *Filing Title*: USPS Request to Add Priority Mail Express, Priority Mail & USPS Ground Advantage Contract 333 to Competitive Product List and Notice of Filing Materials

Under Seal; *Filing Acceptance Date*: September 12, 2024; *Filing Authority*: 39 U.S.C. 3642, 39 CFR 3040.130 through 3040.135, and 39 CFR 3035.105; *Public Representative*: Jennaca D. Upperman; *Comments Due*: September 20, 2024.

This Notice will be published in the **Federal Register**.

Erica A. Barker,
Secretary.

[FR Doc. 2024–21259 Filed 9–17–24; 8:45 am]

BILLING CODE 7710–FW–P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34–101010; File No. SR–CboeEDGX–2024–056]

Self-Regulatory Organizations; Cboe EDGX Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (“Act”),¹ and Rule 19b–4 thereunder,² notice is hereby given that on August 29, 2024, Cboe EDGX Exchange, Inc. (the “Exchange” or “EDGX”) filed with the Securities and Exchange Commission (“Commission”) the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization’s Statement of the Terms of Substance of the Proposed Rule Change

Cboe EDGX Exchange, Inc. (the “Exchange” or “EDGX Equities”) proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange’s website (http://markets.cboe.com/us/options/regulation/rule_filings/edgx/), at the Exchange’s Office of the Secretary, and at the Commission’s Public Reference Room.

II. Self-Regulatory Organization’s Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b–4.

concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange's servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit ("Gb") circuit and \$7,500 per physical port for a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes

that a single 10 Gb physical port can be used to access the Systems of the following affiliate exchanges: the Cboe BYX Exchange, Inc., Cboe BZX Exchange, Inc. (options and equities platforms), Cboe EDGA Exchange, Inc., and Cboe C2 Exchange, Inc., ("Affiliate Exchanges").⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the "Act") and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers. The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its

is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR-MIAX-2024-016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee filing guidance titled "Staff Guidance on SRO Rule Filings Relating to Fees" ("Fee Guidance"), which provided, among other things, that in determining whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange's physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 16 other equities exchanges that trade equities or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 ("Fee Guidance"). The Fee Guidance also recognized that "products need to be substantially similar but not identical to be substitutable."

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ The Supreme Court in *Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. ____ (2018).

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR-CboeEDGX-2023-044). On September 1, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGX-2023-057. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the "OIP") in anticipation of a possible U.S. government shutdown. On September 29, 2023, the Exchange filed the proposed fee change (SR-CboeEDGX-2023-62). On October 13, 2023, the Exchange withdrew that filing and on business date October 16, 2023 submitted SR-CboeEDGX-2023-065. On December 12, the Exchange withdrew that filing and submitted SR-CboeEDGX-2023-079. On December 20, the Exchange withdrew that filing and submitted SR-CboeEDGX-2023-081. On February 12, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGX-2024-013. On April 9, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGX-2024-020. On June 7, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGX-2024-035. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁴ See e.g., The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which

only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the “equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using its facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar

offerings at competitor exchanges.¹⁸ The Exchange also notes that the current 10 Gb physical port fee has remained unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”) ²⁰ or the Producer Price Index (“PPI”).²¹ Particularly, under the CPI, the dollar has had an average inflation rate of 3.80% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are

¹⁸ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

¹⁹ See Securities and Exchange Release No. 83450 (June 15, 2018), 83 FR 28884 (June 21, 2018) (SR-CboeEDGX-2018-016).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1> (As of August 14, 2024).

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”) Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services.” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide

considered “key data releases, meaning the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.”²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13% increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also

assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 51820 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understanding-consumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

independent of any change in the Exchange's costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding the cumulative inflation rates noted above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% more than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% lower than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice. Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable products and services are available to market participants, including, among other things, other equities exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-party reseller of connectivity, and/or trading of any equities product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 16 registered equities

exchanges that trade equities (12 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single equities exchange has more than approximately 15% of the market share.²⁸ Further, low barriers to entry mean that new exchanges may rapidly enter the market and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, in 2020 alone, three new exchanges entered the market: Long Term Stock Exchange (LTSE), Members Exchange (MEMX), and Miami International Holdings (MIAX Pearl).

As noted above, there is no regulatory requirement that any market participant connect to any one equities exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one equities exchange whose membership includes every registered broker-dealer. By way of example, as of April 2024 Cboe BYX has 110 members that trade equities, Cboe EDGX has 124 members that trade equities, Cboe EDGA has 103 members and Cboe BZX has 132 members. There is also no firm that is a Member of the Exchange only. Further, based on publicly available information regarding a sample of the Exchange's competitors, NYSE has 143 members,²⁹ IEX has 129 members,³⁰ and MIAX Pearl has 51 members.³¹

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for

connectivity to its Exchange.³² The Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³³ Particularly, these third-party resellers may purchase the Exchange's physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁴ This allows resellers to mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party's managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange's connectivity as an incentive for market participants to purchase further services such as

³² Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements may otherwise pose for customers looking to access multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³³ See, e.g., Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection ([nasdaqtrader.com](https://www.nasdaqtrader.com)); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR-NASDAQ-2015-002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR-NASDAQ-2017-114).

³⁴ For example, a third-party reseller may purchase one 10 Gb physical port from the Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

²⁷ *Id.*

²⁸ See Cboe Global Markets, U.S. Equities Market Volume Summary, Month-to-Date (June 6, 2024), available at https://www.cboe.com/us/equities/market_statistics/.

²⁹ See <https://www.nyse.com/markets/nyse/membership>.

³⁰ See <https://www.iexexchange.io/membership>.

³¹ See https://www.miaxglobal.com/sites/default/files/page-files/20230630_MIAX_Pearl_Equities_Exchange_Members_June_2023.pdf.

hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional services and infrastructure support alongside the physical port offering (*e.g.*, providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe's direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the

Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁵

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 12 non-Cboe affiliated equities markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National

Market System Plan Governing the Consolidated Audit Trail ("CAT NMS Plan") the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁶ The Commission recognized that while some exchanges may have a unique business model that is not currently offered by competitors, a competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁷

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in

³⁵ See *e.g.*, *See e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³⁶ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7-13-19).

³⁷ *Id.*

trading costs to users across exchanges.³⁸ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-free venues) have the lowest implicit costs from markouts³⁹ and vice versa.⁴⁰ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴¹ Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴² As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent

switch upgrades also increased the Exchange's capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center ("NY6")), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms' respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs. The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other equities markets. The ability to continue to innovate with technology and offer new products to market participants allows the Exchange to remain competitive in the equities space which currently has 16 equities markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange's ability to continue to invest in and fund access services in a manner that allows it to meet existing and

anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors. The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴³ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one or more of the Exchange's affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the 10 Gb physical port and therefore does

³⁸ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

³⁹ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴⁰ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴¹ See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴² Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

⁴³ See *e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

not offer access to many of the products and services offered by the Exchange (e.g., ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants that purchase 10 Gb physical ports utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange's investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonably and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission's request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of cost-analysis that the Commission is

demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential impact on market participants to ensure that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁴

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁵ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest.”⁴⁶ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁷ In short, the promotion of free and open competition was a core congressional objective in creating the national market system.⁴⁸ Indeed, the Commission has historically interpreted that mandate to

promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process chosen by Congress, which created a system whereby market forces determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation,⁴⁹ continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (e.g., using a cost-based analysis versus discussion on competitive forces). The Exchange lastly cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose

⁴⁴ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁵ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

⁴⁶ 15 U.S.C. 78f(b)(5).

⁴⁷ 15 U.S.C. 78f(8).

⁴⁸ See also 15 U.S.C. 78k–l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR 74781 (“The Exchange Act and its legislative history strongly support the Commission's reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁴⁹ See e.g., letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O'Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR–IEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR–PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAx PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAx Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members equally (*i.e.*, all market participants that choose to purchase the 10 Gb physical port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network. Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pays the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have numerous alternative venues that they may participate on and direct their order flow, including 12 non-Cboe affiliated equities markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the

importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system "has been remarkably successful in promoting market competition in its broader forms that are most important to investors and listed companies."⁵⁰ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: "[n]o one disputes that competition for order flow is 'fierce.' . . . As the SEC explained, '[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution'; [and] 'no exchange can afford to take its market share percentages for granted' because 'no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers'. . . ."⁵¹ Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵² and paragraph (f) of Rule 19b-4⁵³ thereunder. At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings to determine whether the proposed rule change should be approved or disapproved.

⁵⁰ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵¹ *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782–83 (December 9, 2008) (SR–NYSEArca–2006–21)).

⁵² 15 U.S.C. 78s(b)(3)(A).

⁵³ 17 CFR 240.19b–4(f).

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR–CboeEDGX–2024–056 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549–1090.

All submissions should refer to file number SR–CboeEDGX–2024–056. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission's Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR–CboeEDGX–2024–056 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁴

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024–21167 Filed 9–17–24; 8:45 am]

BILLING CODE 8011–01–P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34–101018; File No. SR–IEX–2024–17]

Self-Regulatory Organizations; Investors Exchange LLC; Notice of Filing and Immediate Effectiveness of Proposed Rule Change To Amend IEX Rules 11.190 and 11.510 To Remove References to the Latency Applicable to Outbound Communications From IEX's System in Connection With IEX's Planned Migration of its System From a Data Center Located in Weehawken, New Jersey to a Data Center Located in Secaucus, New Jersey

September 12, 2024.

Pursuant to Section 19(b)(1)¹ of the Securities Exchange Act of 1934 (“Act”) and Rule 19b–4 thereunder,² notice is hereby given that, on September 4, 2024, the Investors Exchange LLC (“IEX” or the “Exchange”) filed with the Securities and Exchange Commission (the “Commission”) the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

Pursuant to the provisions of Section 19(b)(1) under the Act,³ and Rule 19b–4 thereunder,⁴ the Exchange is filing with the Commission a proposed rule change to amend IEX Rules 11.190 and 11.510 to remove references to the latency applicable to outbound communications⁵ from IEX's System⁶ in connection with IEX's planned migration of its System from a data center located in Weehawken, New

Jersey to a data center located in Secaucus, New Jersey.

The Exchange has designated this rule change as “non-controversial” under Section 19(b)(3)(A) of the Act⁷ and provided the Commission with the notice required by Rule 19b–4(f)(6) thereunder.⁸

The text of the proposed rule change is available at the Exchange's website at www.iextrading.com, at the principal office of the Exchange, and at the Commission's Public Reference Room.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

In connection with IEX's planned migration of its System from a data center located in Weehawken, New Jersey to a data center located in Secaucus, New Jersey, the Exchange proposes to amend IEX Rules 11.190 and 11.510 to remove references to the latency applicable to outbound communications from IEX's System (“outbound latency”) to its Users⁹ (defined as Members¹⁰ and Sponsored Participants¹¹), Data Recipients,¹² and Service Bureaus¹³ (collectively, “Participants”¹⁴). In addition, IEX proposes to add Temporary Supplementary Material .01 to IEX Rule 11.510(a) to describe the minor temporary change in inbound latency during the data center migration. The Exchange also proposes to make a clarifying change to IEX Rule 11.190 described below.

Background

IEX's System is currently located at the NJ2 data center in Weehawken, New Jersey. Participants access the IEX System through the Exchange-provided network interface at the IEX Point-of-Presence¹⁵ or “POP,” located at the NY5 data center in Secaucus, New Jersey. After entering through the POP, a Participant's inbound communications¹⁶ sent to the System traverse the IEX “coil” which is a box containing approximately 38 miles of compactly coiled optical fiber cable. After exiting the coil, the inbound messages travel an additional geographic distribution to the System at NJ2. The time required for a message to traverse the coil combined with the geographic distribution (and related networking) to the System equates to an equivalent 350 microseconds of latency, referred to as the “inbound latency.”¹⁷ All inbound messages (*e.g.*, orders to buy or sell and any modification to a previously sent open order) from any Participant traverse this connectivity infrastructure, including the coil, in the same manner regardless of the type of message or whether the Participant is seeking to buy, sell, make or take liquidity.

Additionally, IEX's affiliated broker-dealer, IEX Services LLC (“IEXS”), is a Member of the Exchange and is subject to the same inbound and outbound latency as other Members, as described in IEX Rules 2.220 and 11.510. If a Participant sends a routable order to the Exchange it utilizes IEXS for order routing to IEX and away venues. After traversing the inbound latency to reach the System, it is directed to the System routing logic rather than the IEX matching engine.¹⁸ Upon receipt of a routable order, the System routing logic may route all or a portion of the order to the IEX Order Book or to another national securities exchange. Any such orders routed to the IEX Order Book by the System routing logic are subject to an additional 350 microsecond inbound latency between the IEX routing logic and the IEX Order Book.¹⁹

IEX is not proposing to make any changes to its inbound latency (including the additional latency for routable orders) or the rules specifying

⁵⁴ 17 CFR 200.30–3(a)(12).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b–4.

³ 15 U.S.C. 78s(b)(1).

⁴ 17 CFR 240.19b–4.

⁵ Outbound communications include, without limitation, execution report messages found in the Exchange's FIX Specification, quote and trade update messages found in the Exchange's TOPS and DEEP Specifications and DROP messages. See IEX Rule 11.510(b)(2).

⁶ See IEX Rule 1.160(nn).

⁷ 15 U.S.C. 78s(b)(3)(A).

⁸ 17 CFR 240.19b–4(f)(6).

⁹ See IEX Rule 1.160(qq).

¹⁰ See IEX Rule 1.160(s).

¹¹ See IEX Rule 1.160(ll).

¹² See IEX Rule 11.130(c).

¹³ See IEX Rule 11.130(d).

¹⁴ See IEX Rule 11.130(a).

¹⁵ A Point-of-Presence is the location at which customers of an exchange (or other technological system) can connect to the exchange.

¹⁶ Inbound communications include, without limitation, order messages and cancel messages found in the Exchange's FIX Specification. See IEX Rule 11.510(b)(1).

¹⁷ See IEX Rule 11.510(b)(1).

¹⁸ See IEX Rule 11.230(b).

¹⁹ See IEX Rule 11.510, Supplementary Material .03.

such latency, except with respect to the brief period of time during the migration of the Exchange's primary data center, as discussed below.

Separately, all outbound messages from IEX back to a Participant (*e.g.*, confirmations of an execution that occurred on IEX) currently travel from the IEX System at NJ2 to the POP at NY5 without traversing the coil, referred to as the "outbound latency."²⁰ The outbound latency that presently applies to all messages sent from IEX back to Participants is determined by the actual geographic distribution and related network connectivity²¹ between the Exchange's System and POP, and equates to an equivalent of 37 microseconds of latency.²² In addition, outbound messages from IEX back to a Participant with respect to a routable order are subject to 37 microseconds of additional latency between the Order Book and the System routing logic, and are then subject to the outbound latency back to the Participant.²³

IEX plans to relocate its System to a new data center in Secaucus, New Jersey (NY6), which is in the same data center complex as the POP data center (NY5), *i.e.*, in separate buildings within the same data center complex. This configuration is comparable to the technological footprints of other national securities exchanges whereby the POP and trading system are in close physical proximity. Because the System will be in close proximity to the POP, the duration of the outbound latency will become negligible after the data center migration.²⁴ Thus, IEX understands that, as proposed, the duration of the outbound latency would

be in the range of what market participants currently experience when receiving outbound messages from other national securities exchanges. IEX also notes that as part of its data center migration, it will increase the length of the inbound coil to account for the reduced physical distance between the POP and the System, in order to retain the 350-microsecond inbound latency without any changes. The additional 350 microsecond inbound latency between the IEX routing logic and the IEX Order Book will be unchanged as well.

Proposal

Currently, IEX's Rule Book contains nine references to the 37-microsecond outbound latency. These references were included in the relevant IEX Rules in 2021 when IEX amended its rules to eliminate the outbound coil and thereby reduce the outbound latency from 350 to 37 microseconds to reflect that because of the geographic distance between the System and the POP, outbound messages from IEX's System were still subject to a non-negligible delay.²⁵ These rule references are unique to IEX; no other national securities exchange references either their inbound or outbound latencies in their rules. IEX believes that including any reference to an outbound latency in its rules will be unnecessary once the data center migration occurs because IEX's operations in this regard will be consolidated in close proximity to each other in the same manner as most other national securities exchanges, and the latency applicable to outbound messages from the System to Participants will be negligible and in the range of what market participants experience receiving messages from other national securities exchanges. As proposed, IEX would also delete references to the outbound latency between the Order Book and System routing logic so that IEXS is subject to the same outbound latency as other Members.

Thus, IEX proposes to remove all references to outbound latencies in its rules, and proposes to amend IEX Rules 11.190(b)(17) and 11.510 as follows:

- To make the description about how market maker pegged orders adjust shorter and clearer, without a substantive change, modify the twelfth sentence of IEX Rule 11.190(b)(17) to remove all references to outbound latency so that it reads: "Each time a Market Maker Peg order is automatically adjusted by the System in accordance with this rule, it is subject to 350

microseconds of latency prior to posting on the Order Book at the adjusted price." With this proposed change, the rule will continue to describe the 350-microsecond latency applied whenever the System automatically adjusts a Market Maker Peg order's price. This additional 350 microsecond latency is designed so that a market maker using a Market Maker Peg order to facilitate compliance with the Exchange's continuous quoting and pricing obligations is in the same position as a market maker updating its own quote, whose orders and order modification instructions would be subjected to a 350-microsecond inbound latency.²⁶

- Make a clarifying change to the thirteenth sentence of IEX Rule 11.190(b)(17), by changing the reference to "the proposed rule" to instead read "this rule."
- Modify the third sentence of IEX Rule 11.510(a) to remove the description of the outbound latency.
- Remove the fourth sentence of IEX Rule 11.510(b), which describes the outbound latency.
- Remove subparagraph (2) of IEX Rule 11.510(b) to remove the definition of outbound latency.
- Modify the third sentence of IEX Rule 11.510(c)(1) to remove the semicolon and the remainder of the text following the semicolon. This proposed change will retain the description of the additional inbound 350-microsecond latency the Exchange applies to messages from the System routing logic to the Order Book, while deleting language describing the outbound latency from the Order Book to the System routing logic because that latency will now be negligible.
- Modify the fourth sentence of IEX Rule 11.510(c)(1) immediately after the reference to "each time a Market Maker Peg order is automatically adjusted by the System" to change it from: "all inbound communications related to the modified order instruction are subject to 350 microseconds of latency and all outbound communications related to the modified order instruction are subject to 37 microseconds of latency between the Market Maker Peg order repricing logic and the Order Book." to "it is subject to 350 microseconds of latency prior to posting on the Order Book at the adjusted price." This proposed change reflects that there will no longer be a non-negligible outbound latency affecting Market Maker Peg orders, but that they will continue to be subject to an additional 350

²⁰ See IEX Rule 11.510(b)(2).

²¹ Ordinary course network connectivity includes switches and cabling to connect the network access point at the POP to the System.

²² IEX previously subjected all outbound messages traveling from the System to the POP to a 350-microsecond latency. However, since February 2021, IEX's outbound latency has only reflected the actual geographic distribution and related network connectivity between the System and the POP. See Securities Exchange Act Release No. 90645 (December 11, 2020), 85 FR 81982 (December 17, 2020) (SR-IEX-2020-18) ("Outbound Coil Removal Proposal"); Securities Exchange Act Release No. 91016 (January 29, 2021), 86 FR 8238 (February 4, 2021) (SR-IEX-2020-18) ("Outbound Coil Removal Approval Order"); see also IEX Trading Alert #2021-006, available at <https://iextrading.com/alerts/#/138>. The Commission received no comments on that proposed rule change. See Outbound Coil Removal Approval Order, 86 FR 8238.

²³ See *supra* note 20.

²⁴ As described above, IEX's current technological footprint requires all outbound messages from the System back to Participants to travel the geographic distribution between two data centers in two separate cities in New Jersey, thereby subjecting outbound messages to a non-negligible outbound latency.

²⁵ See *supra* note 23.

²⁶ See Securities Exchange Act Release No. 93800 (December 16, 2021), 86 FR 72650, 72652 (December 22, 2021) (SR-IEX-2021-17).

microseconds of latency if they are automatically adjusted by the System. As described above, this additional 350 microsecond latency is designed so that a market maker using a Market Maker Peg order to facilitate compliance with the Exchange's continuous quoting and pricing obligations is in the same position as a market maker updating its own quote, whose orders and order modification instructions would be subjected to a 350-microsecond inbound latency.

- Remove the third sentence of IEX Rule 11.510(c)(2)(A) to reflect that there will no longer be a non-negligible outbound latency affecting IEX's data products.

- Remove the words "In addition to the connectivity described in paragraph (b)(2) of this IEX Rule 11.510," from the beginning of the second sentence of IEX Rule 11.510(c)(3)(A) to delete the reference to the now-deleted subparagraph (b)(2) of IEX Rule 11.510 (which had defined the outbound latency). And capitalize the "C" in "Communications", which will become the beginning of the second sentence.

- Modify the first sentence of IEX Rule 11.510 Supplementary Material .02 to remove the words "and 37 microseconds of outbound latency" because outbound messages will no longer be subject to a non-negligible outbound latency.

- Delete the fifth sentence of IEX Rule 11.510 Supplementary Material .03 because outbound messages from the Order Book to the System routing logic will no longer be subject to a non-negligible outbound latency.

Implementation

The data center migration will be implemented over several weeks and will involve relocating the client gateways and trading system matching engines from the Weehawken, New Jersey data center to the Secaucus, New Jersey data center. During this transition period, Participants will temporarily experience 387 microseconds of inbound latency rather than 350 microseconds. Accordingly, IEX proposes to add Temporary Supplementary Material .01 to Rule 11.510(a) to provide as follows:

Data Center Migration. During the 2024 migration of the Exchange's primary data center from a data center located in Weehawken, New Jersey to a data center located in Secaucus, New Jersey, Participants will experience 387 microseconds of inbound latency between the network access point of the POP and the System at the primary data center. Consequently, during the migration, each reference to 350 microseconds of inbound latency in this rulebook, including

this Rule 11.510 and Rule 11.190, shall be read as 387 microseconds of inbound latency. Notwithstanding the foregoing, a routable child order handled by IEXS that is routed to the Order Book as described in Supplementary Material .03 to this Rule 11.510 will be subject to 424 microseconds of latency between the System routing logic to the Order Book, in addition to the 387 microseconds of inbound latency for the parent order between the network access point of the POP and the System routing logic at the primary data center, described above. IEX will issue a Trader Alert in advance of the migration describing the transition, schedule, and impact on Participants.

IEX will issue a Trading Alert at least 30 days in advance of the migration (and within 120 days of effectiveness of this proposed rule change) describing the transition, schedule, and impact.

2. Statutory Basis

The Exchange believes that the proposed rule change is consistent with Section 6(b) of the Act,²⁷ in general, and furthers the objectives of Section 6(b)(5),²⁸ in particular, in that it is designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in facilitating transactions in securities, and to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Specifically, the Exchange believes that the proposed rule change is consistent with the protection of investors and the public interest because it is designed to reflect a material change to the location of the IEX System following the planned data center migration that will result in the outbound latency becoming negligible and in the range of what market participants experience receiving messages from other national securities exchanges, as discussed in the Purpose section. Accordingly, IEX believes that removing references to the outbound latency and its duration will reduce any potential confusion in its rules regarding its operations and the manner in which Participants will receive outbound communications from the Exchange. As discussed in the Purpose section, following the data center migration and consolidation of IEX's System and POP in close proximity, its operations in this regard will be comparable to most other national securities exchanges. Since such other exchanges do not include

references to their outbound latency, or its duration, in their rules, continued inclusion in IEX's rules would be disparate and could lead to confusion as to IEX's outbound latency.

As discussed in the Purpose section, outbound latency information was previously relevant to market participants when IEX subjected outbound messages to a 350-microsecond delay which could impact how Members made order routing decisions and processed data from IEX. And when IEX eliminated the coil from its outbound latency in 2021, IEX determined that it remained appropriate to include the new lower latency metric in its rules to provide clarity to market participants regarding the change. However, IEX believes that market participants are now fully aware that IEX's outbound latency is attributable only to the actual distance and related network connectivity between the System and the POP. Because the data center migration will consolidate IEX's System and POP in close proximity in the same data center complex, as discussed in the Purpose section and above, virtually all of the existing latencies attributable to the physical distance between the System in NJ2 and the POP in NY5 will be eliminated. As a result, notwithstanding that the POP and System will be in separate buildings (NY5 and NY6, respectively) in the same data center complex, IEX's outbound messages to Participants will be subject to only negligible latency in a substantially comparable manner to other national securities exchanges, attributable to the negligible distance between the System and POP. The Exchange notes in this regard that system processing, geography/transit times, and technology all create latency in sending messages from an exchange to a participant. IEX believes that, as proposed, its outbound latency is within the range of the outbound latencies of other national securities exchanges. Accordingly, IEX believes that including any references to outbound latencies in its rules is no longer necessary.

Further, the Exchange believes that the proposed rule change is consistent with the protection of investors and the public interest because it will apply to all Members in the same manner. All outbound communications will continue to be subject to the same negligible outbound latency on a fair and nondiscriminatory basis.

With respect to IEXS, its routing broker, the Exchange notes that it will continue to be on a level playing field compared to all other Members, as it will be subject to the same inbound and outbound latency as other Members

²⁷ 15 U.S.C. 78f(b).

²⁸ 15 U.S.C. 78f(b)(5).

except for the brief several week period of time during implementation when IEXS will be subject to increased inbound latency of 424 microseconds while other Members will be subject to inbound latency of 387 microseconds, as described above.²⁹ With respect to this time period, the Exchange notes that the Act generally does not prohibit an exchange from treating its affiliated routing broker in a manner that is less preferential than other Members. Moreover, use of IEXS by other Members is optional and any Member that does not want to use IEXS may use other routers to route orders to away trading centers or IEX itself.³⁰

And the Exchange believes that the proposed non-substantive clarifying change to IEX Rule 11.190(b)(17) is consistent with the protection of investors and the public interest because it will have no impact on the Exchange's functionality, but rather simply provide consistency and clarity in IEX's description of the Market Maker Peg order type, thereby reducing the potential for confusion of any market participants.

As discussed in the Purpose section and above, the Exchange also notes that no other national securities exchanges currently describe their outbound message latencies in their rules. IEX does not believe that the proposed changes raise any new or novel issues that have not already been considered by the Commission in connection with the operations of other national securities exchanges.

Finally, IEX believes that it is consistent with the protection of investors and the public interest to add the Temporary Supplementary Material to IEX Rule 11.510(a) describing the temporary minor change to inbound latency during the data center migration to provide transparency to market participants. This change will apply to all Members in the same manner in a fair and nondiscriminatory basis.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. To the contrary, the proposal is designed to reflect that with the data center migration, the latency applicable to outbound communications from the

System to Participants will be negligible, as described in the Purpose and Statutory Basis sections.

The Exchange does not believe that the proposed rule change will impose any burden on intermarket competition that is not necessary or appropriate in furtherance of the purposes of the Act because after the data center migration, IEX's outbound communications will be subject to only a negligible latency. As discussed in the Purpose section, upon completion of the data center migration, IEX's outbound latency will be in the range of what market participants currently experience when receiving outbound messages from other national securities exchanges. Moreover, the proposed rule change would benefit other such exchanges because it would enable them to receive outbound communications from IEX (including IEX's Data Products) sooner than is currently the case. Similarly, as with other Exchange Members, other exchanges' outbound routing brokers would receive order messages from IEX sooner than is currently the case and could more quickly incorporate such information into any further routing decisions.

The Exchange also does not believe that the proposed rule change will impose any burden on intramarket competition because it will apply to all Members in the same manner. All Members will continue to connect to IEX at the POP and receive outbound communications from IEX subject to the same negligible latency. With respect to the brief several week period of time during implementation when IEXS will be subject to increased inbound latency of 424 microseconds while other Members will be subject to inbound latency of 387 microseconds, as noted in the Statutory Basis section, the Exchange notes that the Act generally does not prohibit an exchange from treating its affiliated routing broker in a manner that is less preferential than other Members. Moreover, use of IEXS by other Members is optional and any Member that does not want to use IEXS may use other routers to route orders to away trading centers or to IEX itself. And as with intermarket competition, IEX believes that the data center migration and related proposed rule change will benefit IEX Members because they will receive outbound communications from IEX (including IEX's Data Products) sooner than is currently the case, thereby enabling them to more quickly incorporate such information into further trading and routing decisions. Moreover, the temporary minor change to inbound

latency will also apply to all Members in the same manner.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

Written comments were neither solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The Exchange has designated this rule filing as non-controversial under Section 19(b)(3)(A)³¹ of the Act and Rule 19b-4(f)(6)³² thereunder. Because the proposed rule change does not: (i) significantly affect the protection of investors or the public interest; (ii) impose any significant burden on competition; and (iii) become operative for 30 days from the date on which it was filed, or such shorter time as the Commission may designate, it has become effective pursuant to Section 19(b)(3)(A) of the Act and Rule 19b-4(f)(6) thereunder.

The Exchange does not believe that the proposed rule change raises any new or novel issues. Indeed, no other national securities exchange includes outbound latency information in its rules. As discussed in the Purpose and Burden on Competition sections, IEX does not believe that this proposed change will impose any burdens on inter or intra market competition because IEX's technological footprint and related rules will be comparable to other national securities exchanges. Additionally, as noted in the Purpose section, the SEC received no comments about IEX's 2020 proposal to stop subjecting outbound messages to a 350-microsecond latency, indicating that reducing IEX's outbound latency imposes no burden on intermarket competition.³³

At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the

³¹ 15 U.S.C. 78s(b)(3)(A).

³² 17 CFR 240.19b-4(f)(6). In addition, Rule 19b-4(f)(6)(iii) requires the self-regulatory organization to give the Commission written notice of the self-regulatory organization's intent to file the proposed rule change, along with a brief description and text of the proposed rule change, at least five business days prior to the date of filing of the proposed rule change, or such shorter time as designated by the Commission. IEX has satisfied this requirement

³³ See *supra* note 23.

²⁹ The 424 microseconds of latency is attributable to the additional geographic distance that a routable order will traverse between the old and new primary data centers as well as the standard inbound latency during the migration period.

³⁰ See IEX Rule 2.220(a)(3).

Commission shall institute proceedings under Section 19(b)(2)(B) ³⁴ of the Act to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-IEX-2024-17 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to file number SR-IEX-2024-17. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission's Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number

SR-IEX-2024-17 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.³⁵

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21174 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101016; File No. SR-CboeEDGX-2024-057]

Self-Regulatory Organizations; Cboe EDGX Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 ("Act"),¹ and Rule 19b-4 thereunder,² notice is hereby given that on August 29, 2024, Cboe EDGX Exchange, Inc. (the "Exchange" or "EDGX") filed with the Securities and Exchange Commission ("Commission") the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

Cboe EDGX Exchange, Inc. (the "Exchange" or "EDGX Options") proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange's website (http://markets.cboe.com/us/options/regulation/rule_filings/edgx/), at the Exchange's Office of the Secretary, and at the Commission's Public Reference Room.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the

proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange's servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit ("Gb") circuit and \$7,500 per physical port for a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR-CboeEDGX-2023-045). On September 1, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGX-2023-058. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the "OIP") in anticipation of a possible U.S. government shutdown. On September 29, 2023, the Exchange filed the proposed fee change (SR-CboeEDGX-2023-063). On October 13, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGX-2023-064. On December 12, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGX-2023-080. On February 12, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGX-2024-014. On April 9, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGX-2024-021. On June 7, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGX-2024-036. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁴ See e.g., The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10

³⁴ 15 U.S.C. 78s(b)(2)(B).

³⁵ 17 CFR 200.30-3(a)(12).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

that a single 10 Gb physical port can be used to access the Systems of the following affiliate exchanges: the Cboe BYX Exchange, Inc., Cboe BZX Exchange, Inc. (options and equities platforms), Cboe EDGA Exchange, Inc., and Cboe C2 Exchange, Inc., (“Affiliate Exchanges”).⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the “Act”) and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers. The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee

filing guidance titled “Staff Guidance on SRO Rule Filings Relating to Fees” (“Fee Guidance”), which provided, among other things, that in determining whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange’s physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 18 other options exchanges that trade options or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific

product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the “equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using its facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar offerings at competitor exchanges.¹⁸ The

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 (“Fee Guidance”). The Fee Guidance also recognized that “products need to be substantially similar but not identical to be substitutable.”

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ The Supreme Court in *Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. (2018).

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

¹⁸ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also New York Stock Exchange

Gb physical port) are assessed \$22,000 per month, per port.

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR–MIAx–2024–016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

Exchange also notes that the current 10 Gb physical port fee has remained unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”) ²⁰ or the Producer Price Index (“PPI”).²¹ Particularly, under the CPI, the dollar has had an average inflation rate of 3.8% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are

LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

¹⁹ See Securities and Exchange Release No. 83430 (June 14, 2018), 83 FR 28697 (June 20, 2018) (SR-CboeEDGX-2018-017).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1>.

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”) Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services.” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 51820 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their

considered “key data releases, meaning the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.”²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13% increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also independent of any change in the Exchange’s costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the

customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understandingconsumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding the cumulative inflation rates noted above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% more than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% lower than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice. Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable products and services are available to market participants, including, among other things, other options exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-party reseller of connectivity, and/or trading of any options product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 18 registered options exchanges that trade options (14 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single options

²⁷ *Id.*

exchange has more than approximately 18% of the market share.²⁸ Further, low barriers to entry mean that new exchanges may rapidly enter the market and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, there are 5 exchanges that have been added in the U.S. options markets in the last 5 years (*i.e.*, Nasdaq MRX, LLC, MIAAX Pearl, LLC, MIAAX Emerald LLC, MEMX LLC and most recently MIAAX Sapphire LLC).

As noted above, there is no regulatory requirement that any market participant connect to any one options exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one options exchange whose membership includes every registered broker-dealer. By way of example, while the Exchange has 51 members that trade options, Cboe BZX has 61 members that trade options, and Cboe C2 has 52 Trading Permit Holders (“TPHs”) (*i.e.*, members). There is also no firm that is a Member of EDGX Options only. Further, based on publicly available information regarding a sample of the Exchange’s competitors, NYSE American Options has 71 members²⁹, and NYSE Arca Options has 69 members³⁰, MIAAX Options has 46 members³¹ and MIAAX Pearl Options has 40 members.³²

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for

connectivity to its Exchange.³³ The Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³⁴ Particularly, these third-party resellers may purchase the Exchange’s physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁵ This allows resellers to mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party’s managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange’s connectivity as an incentive for market participants to purchase further services such as

hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional services and infrastructure support alongside the physical port offering (*e.g.*, providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe’s direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange’s direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the

²⁸ See Cboe Global Markets U.S. Options Market Volume Summary (June 6, 2024), available at <https://markets.cboe.com/us/options/market-statistics/>.

²⁹ See <https://www.nyse.com/markets/american-options/membership#directory>.

³⁰ See <https://www.nyse.com/markets/arca-options/membership#directory>.

³¹ See https://www.miaaxglobal.com/sites/default/files/page-files/MIAAX_Options_Exchange_Members_April_2023_04282023.pdf.

³² See https://www.miaaxglobal.com/sites/default/files/page-files/MIAAX_Pearl_Exchange_Members_01172023_0.pdf.

³³ Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements may otherwise pose for customers looking to access multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³⁴ See, *e.g.*, Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection (nasdaqtrader.com); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR-NASDAQ–2015–002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR-NASDAQ–2017–114).

³⁵ For example, a third-party reseller may purchase one 10 Gb physical port from the Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁶

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 14 non-Cboe affiliated options markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National

Market System Plan Governing the Consolidated Audit Trail ("CAT NMS Plan") the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁷ The Commission recognized that while some exchanges may have a unique business model that is not currently offered by competitors, a competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁸

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in

trading costs to users across exchanges.³⁹ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-free venues) have the lowest implicit costs from markouts⁴⁰ and vice versa.⁴¹ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴² Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴³ As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent

³⁹ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴⁰ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴¹ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴² See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴³ Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

³⁶ See e.g., *See e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³⁷ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7-13-19).

³⁸ *Id.*

switch upgrades also increased the Exchange's capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center ("NY6")), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms' respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs. The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other options markets. The ability to continue to innovate with technology and offer new products to market participants allows the Exchange to remain competitive in the options space which currently has 18 options markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange's ability to continue to invest in and fund access services in a manner that allows it to meet existing and

anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors.

The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴⁴ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one or more of the Exchange's affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the

10 Gb physical port and therefore does not offer access to many of the products and services offered by the Exchange (*e.g.*, ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants that purchase 10 Gb physical ports utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange's investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonable and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission's request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of

⁴⁴ See *e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

cost-analysis that the Commission is demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential impact on market participants to ensure that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁵

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁶ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest.”⁴⁷ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁸ In short, the promotion of free and open competition is a core congressional objective in creating the national market system.⁴⁹ Indeed, the Commission has

historically interpreted that mandate to promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process chosen by Congress, which created a system whereby market forces determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation⁵⁰, continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (e.g., using a cost-based analysis versus discussion on competitive forces). The Exchange lastly cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members equally (i.e., all market participants that choose to purchase the 10 Gb physical port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network.

Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pay the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have numerous alternative venues that they may participate on and direct their order flow, including 13 non-Cboe affiliated options markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory

⁴⁵ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁶ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

⁴⁷ 15 U.S.C. 78f(b)(5).

⁴⁸ 15 U.S.C. 78f(8).

⁴⁹ See also 15 U.S.C. 78k-l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR at 74781 (“The Exchange Act and its legislative history strongly support the Commission’s reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁵⁰ See e.g., letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O’Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR-IEEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR-PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAx PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAx Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system “has been remarkably successful in promoting market competition in its broader forms that are most important to investors and listed companies.”⁵¹ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: “[n]o one disputes that competition for order flow is ‘fierce.’ . . . As the SEC explained, ‘[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution’; [and] ‘no exchange can afford to take its market share percentages for granted’ because ‘no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers’. . . .”⁵² Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization’s Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵³ and paragraph (f) of Rule 19b-4⁵⁴ thereunder. At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings

to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission’s internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-CboeEDGX-2024-057 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to file number SR-CboeEDGX-2024-057. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission’s internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission’s Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR-CboeEDGX-2024-057 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁵

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21172 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101011; File No. SR-CboeBZX-2024-079]

Self-Regulatory Organizations; Cboe BZX Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend Its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (“Act”),¹ and Rule 19b-4 thereunder,² notice is hereby given that on August 29, 2024, Cboe BZX Exchange, Inc. (the “Exchange” or “BZX”) filed with the Securities and Exchange Commission (“Commission”) the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization’s Statement of the Terms of Substance of the Proposed Rule Change

Cboe BZX Exchange, Inc. (the “Exchange” or “BZX Equities”) proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange’s website (http://markets.cboe.com/us/equities/regulation/rule_filings/BZX/), at the Exchange’s Office of the Secretary, and at the Commission’s Public Reference Room.

II. Self-Regulatory Organization’s Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The

⁵¹ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵² *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782-83 (December 9, 2008) (SR-NYSEArca-2006-21)).

⁵³ 15 U.S.C. 78s(b)(3)(A).

⁵⁴ 17 CFR 240.19b-4(f).

⁵⁵ 17 CFR 200.30-3(a)(12).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange's servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit ("Gb") circuit and \$7,500 per physical port for a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes that a single 10 Gb physical port can be used to access the Systems of the

following affiliate exchanges: the Cboe BYX Exchange, Inc., Cboe EDGX Exchange, Inc. (options and equities platforms), Cboe EDGA Exchange, Inc., and Cboe C2 Exchange, Inc., ("Affiliate Exchanges").⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the "Act") and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers. The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee filing guidance titled "Staff Guidance on SRO Rule Filings Relating to Fees" ("Fee Guidance"), which provided, among other things, that in determining

whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange's physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 16 other equities exchanges that trade equities or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the "equitable allocation of reasonable dues,

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR-CboeBZX-2023-046). On September 1, 2023, the Exchange withdrew that filing and submitted SR-CboeBZX-2023-067. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the "OIP") in anticipation of a possible U.S. government shutdown. On October 2, 2023, the Exchange filed the proposed fee change (SR-CboeBZX-2023-080). On October 13, 2023, the Exchange withdrew that filing and on business date October 16, 2023 submitted SR-CboeBZX-2023-084. On December 12, 2023, the Exchange withdrew that filing and submitted SR-CboeBZX-2023-103. On February 9, 2024, the Exchange withdrew that filing and submitted SR-CboeBZX-2024-016. On April 9, 2024, the Exchange withdrew that filing and submitted SR-CboeBZX-2024-027. On June 7, 2024, the Exchange withdrew that filing and submitted SR-CboeBZX-2024-051. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁴ See e.g., The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR-MIAX-2024-016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 ("Fee Guidance"). The Fee Guidance also recognized that "products need to be substantially similar but not identical to be substitutable."

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ The Supreme Court in *Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. (2018).

fees and other charges among members and issuers and other persons using its facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar offerings at competitor exchanges.¹⁸ The Exchange also notes that the current 10

Gb physical port fee has remained unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”) ²⁰ or the Producer Price Index (“PPI”).²¹ Particularly, under the CPI, the dollar has had an average inflation rate of 3.80% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are

¹⁹ See Securities and Exchange Release No. 83442 (June 14, 2018), 83 FR 28675 (June 20, 2018) (SR-ChoeBZX–2018–037).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1>.

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”) Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services.” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 51820 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

considered “key data releases, meaning the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.”²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13% increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also independent of any change in the Exchange’s costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understandingconsumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

¹⁸ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

the cumulative inflation rates as noted above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% *more* than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% *lower* than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice.

Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable products and services are available to market participants, including, among other things, other equities exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-party reseller of connectivity, and/or trading of any equities product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 16 registered equities exchanges that trade equities (12 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single equities exchange has more than approximately 15% of the market share.²⁸ Further, low barriers to entry mean that new

exchanges may rapidly enter the market and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, in 2020 alone, three new exchanges entered the market: Long Term Stock Exchange (LTSE), Members Exchange (MEMX), and Miami International Holdings (MIAX Pearl).

As noted above, there is no regulatory requirement that any market participant connect to any one equities exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one equities exchange whose membership includes every registered broker-dealer. By way of example, as of April 2024 Cboe BYX has 110 members that trade equities, Cboe EDGX has 124 members that trade equities, Cboe EDGA has 103 members and Cboe BZX has 132 members. There is also no firm that is a Member of the Exchange only. Further, based on publicly available information regarding a sample of the Exchange's competitors, NYSE has 143 members,²⁹ IEX has 129 members,³⁰ and MIAX Pearl has 51 members.³¹

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for connectivity to its Exchange.³² The

²⁹ See <https://www.nyse.com/markets/nyse/membership>.

³⁰ See <https://www.iexexchange.io/membership>.

³¹ See https://www.miaxglobal.com/sites/default/files/page-files/20230630_MIAX_Pearl_Equities_Exchange_Members_June_2023.pdf.

³² Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements

Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³³ Particularly, these third-party resellers may purchase the Exchange's physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁴ This allows resellers to mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party's managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange's connectivity as an incentive for market participants to purchase further services such as hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional

may otherwise pose for customers looking to access multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³³ See, e.g., Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection ([nasdaqtrader.com](https://www.nasdaqtrader.com)); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR–NASDAQ–2015–002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR–NASDAQ–2017–114).

³⁴ For example, a third-party reseller may purchase one 10 Gb physical port from the Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

²⁷ *Id.*

²⁸ See Cboe Global Markets, U.S. Equities Market Volume Summary, Month-to-Date (June 6, 2024), available at https://www.cboe.com/us/equities/market_statistics/.

services and infrastructure support alongside the physical port offering (e.g., providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe's direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁵

³⁵ See e.g., *See e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 12 non-Cboe affiliated equities markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National Market System Plan Governing the Consolidated Audit Trail ("CAT NMS Plan") the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁶ The Commission recognized that while some exchanges may have a unique business model that is not

Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³⁶ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7-13-19).

currently offered by competitors, a competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁷

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in trading costs to users across exchanges.³⁸ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-free venues) have the lowest implicit

³⁷ *Id.*

³⁸ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>

costs from markouts³⁹ and vice versa.⁴⁰ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴¹ Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴² As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent switch upgrades also increased the Exchange's capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in

the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center (“NY6”)), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms' respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs. The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other equities markets. The ability to continue to innovate with technology and offer new products to market participants allows the Exchange to remain competitive in the equities space which currently has 16 equities markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange's ability to continue to invest in and fund access services in a manner that allows it to meet existing and anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that

exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors.

The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴³ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one or more of the Exchange's affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the 10 Gb physical port and therefore does not offer access to many of the products and services offered by the Exchange (*e.g.*, ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants

³⁹ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴⁰ Mackintosh, Phil & Normyle, Michael. “How Exchanges Compete: An Economic Analysis of Platform Competition.” Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>

⁴¹ See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴² Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

⁴³ See *e.g.*, The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

that purchase 10 Gb physical ports utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange's investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonably and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission's request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of cost-analysis that the Commission is demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential

impact on market participants to ensure that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁴

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁵ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest.”⁴⁶ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁷ In short, the promotion of free and open competition was a core congressional objective in creating the national market system.⁴⁸ Indeed, the Commission has historically interpreted that mandate to promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process

chosen by Congress, which created a system whereby market forces determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation,⁴⁹ continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (e.g., using a cost-based analysis versus discussion on competitive forces). The Exchange lastly cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members

⁴⁴ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁵ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

⁴⁶ 15 U.S.C. 78f(b)(5).

⁴⁷ 15 U.S.C. 78f(8).

⁴⁸ See also 15 U.S.C. 78k–l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR at 74781 (“The Exchange Act and its legislative history strongly support the Commission's reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁴⁹ See e.g., letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O'Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR–IEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR–PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAx PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAx Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

equally (*i.e.*, all market participants that choose to purchase the 10 Gb physical port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network. Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pays the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have numerous alternative venues that they may participate on and direct their order flow, including 12 non-Cboe affiliated equities markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system "has been remarkably successful in promoting market competition in its

broader forms that are most important to investors and listed companies."⁵⁰ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: "[n]o one disputes that competition for order flow is 'fierce.' . . . As the SEC explained, '[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution'; [and] 'no exchange can afford to take its market share percentages for granted' because 'no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers'. . . ."⁵¹ Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵² and paragraph (f) of Rule 19b-4⁵³ thereunder. At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act.

⁵⁰ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵¹ *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782-83 (December 9, 2008) (SR-NYSEArca-2006-21)).

⁵² 15 U.S.C. 78s(b)(3)(A).

⁵³ 17 CFR 240.19b-4(f).

Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-CboeBZX-2024-079 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to file number SR-CboeBZX-2024-079. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission's Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR-CboeBZX-2024-079 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁴

Vanessa A. Countryman,

Secretary.

[FR Doc. 2024-21168 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

⁵⁴ 17 CFR 200.30-3(a)(12).

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34–101017; File No. SR–CboeBYX–2024–032]

Self-Regulatory Organizations; Cboe BYX Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend Its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (“Act”),¹ and Rule 19b–4 thereunder,² notice is hereby given that on August 29, 2024, Cboe BYX Exchange, Inc. (the “Exchange” or “BYX”) filed with the Securities and Exchange Commission (“Commission”) the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization’s Statement of the Terms of Substance of the Proposed Rule Change

Cboe BYX Exchange, Inc. (the “Exchange” or “BYX Equities”) proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange’s website (http://markets.cboe.com/us/equities/regulation/rule_filings/BYX/), at the Exchange’s Office of the Secretary, and at the Commission’s Public Reference Room.

II. Self-Regulatory Organization’s Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization’s Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange’s servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit (“Gb”) circuit and \$7,500 per physical port for a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes that a single 10 Gb physical port can be used to access the Systems of the following affiliate exchanges: the Cboe BZX Exchange, Inc. (options and equities), Cboe EDGX Exchange, Inc.

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR–CboeBYX–2023–010). On September 1, 2023, the Exchange withdrew that filing and submitted SR–CboeBYX–2023–013. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the “OIP”) in anticipation of a possible U.S. government shutdown. On September 29, 2023, the Exchange filed the proposed fee change (SR–CboeBYX–2023–014). On October 13, 2023, the Exchange withdrew that filing and submitted SR–CboeBYX–2023–015. On December 12, 2023, the Exchange filed the proposed fee change (SR–CboeBYX–2023–018). On December 12, 2023, the Exchange withdrew that filing and submitted SR–CboeBYX–2023–019. On February 9, 2024, the Exchange withdrew that filing and submitted SR–CboeBYX–2024–006. On April 9, 2024, the Exchange withdrew that filing and submitted SR–CboeBYX–2024–012. On June 7, 2024, the Exchange withdrew that filing and submitted SR–CboeBYX–2024–021. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁴ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange’s 10 Gb physical port) are assessed \$22,000 per month, per port.

(options and equities platforms), Cboe EDGA Exchange, Inc., and Cboe C2 Exchange, Inc., (“Affiliate Exchanges”).⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the “Act”) and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers. The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee filing guidance titled “Staff Guidance on SRO Rule Filings Relating to Fees” (“Fee Guidance”), which provided, among other things, that in determining whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR–MIAX–2024–016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b–4.

there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange's physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 16 other equities exchanges that trade equities or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the “equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using its

facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar offerings at competitor exchanges.¹⁸ The Exchange also notes that the current 10 Gb physical port fee has remained

unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”)²⁰ or the Producer Price Index (“PPI”).²¹ Particularly, under the CPI, the dollar has had an average inflation rate of 3.80% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are considered “key data releases, meaning

¹⁹ See Securities and Exchange Release No. 83441 (June 14, 2018), 83 FR 28684 (June 20, 2018) (SR–CboeBYX–2018–006).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1> (As of August 14, 2024).

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”) Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services.” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 518210 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 (“Fee Guidance”). The Fee Guidance also recognized that “products need to be substantially similar but not identical to be substitutable.”

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ The Supreme Court in *Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. ____ (2018).

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

¹⁸ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.”²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13% increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also independent of any change in the Exchange’s costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding the cumulative inflation rates noted

above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% more than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% lower than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice. Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable products and services are available to market participants, including, among other things, other equities exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-party reseller of connectivity, and/or trading of any equities product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 16 registered equities exchanges that trade equities (12 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single equities exchange has more than approximately 15% of the market share.²⁸ Further, low barriers to entry mean that new exchanges may rapidly enter the market

and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, in 2020 alone, three new exchanges entered the market: Long Term Stock Exchange (LTSE), Members Exchange (MEMX), and Miami International Holdings (MIAX Pearl).

As noted above, there is no regulatory requirement that any market participant connect to any one equities exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one equities exchange whose membership includes every registered broker-dealer. By way of example, as of April 2024 Cboe BYX has 110 members that trade equities, Cboe EDGX has 124 members that trade equities, Cboe EDGA has 103 members and Cboe BZX has 132 members. There is also no firm that is a Member of the Exchange only. Further, based on publicly available information regarding a sample of the Exchange’s competitors, NYSE has 143 members,²⁹ IEX has 129 members,³⁰ and MIAX Pearl has 51 members.³¹

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for connectivity to its Exchange.³² The

²⁹ See <https://www.nyse.com/markets/nyse/membership>.

³⁰ See <https://www.iexexchange.io/membership>.

³¹ See https://www.miaxglobal.com/sites/default/files/page-files/20230630_MIAX_Pearl_Equities_Exchange_Members_June_2023.pdf.

³² Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements

Continued

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understanding-consumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

²⁷ *Id.*

²⁸ See Cboe Global Markets, U.S. Equities Market Volume Summary, Month-to-Date (June 6, 2024), available at <https://www.cboe.com/us/equities/statistics/>.

Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³³ Particularly, these third-party resellers may purchase the Exchange's physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁴ This allows resellers to mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party's managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange's connectivity as an incentive for market participants to purchase further services such as hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional

may otherwise pose for customers looking to access multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³³ See, *e.g.*, Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection ([nasdaqtrader.com](https://www.nasdaqtrader.com)); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR-NASDAQ-2015-002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR-NASDAQ-2017-114).

³⁴ For example, a third-party reseller may purchase one 10 Gb physical port from the Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

services and infrastructure support alongside the physical port offering (*e.g.*, providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe's direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁵

³⁵ See *e.g.*, See *e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 12 non-Cboe affiliated equities markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National Market System Plan Governing the Consolidated Audit Trail ("CAT NMS Plan") the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁶ The Commission recognized that while some exchanges may have a unique business model that is not

Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³⁶ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7-13-19).

currently offered by competitors, a competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁷

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in trading costs to users across exchanges.³⁸ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-fee venues) have the lowest implicit

costs from markouts³⁹ and vice versa.⁴⁰ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴¹ Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴² As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent switch upgrades also increased the Exchange's capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in

the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center (“NY6”), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms' respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs. The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other equities markets. The ability to continue to innovate with technology and offer new products to market participants allows the Exchange to remain competitive in the equities space which currently has 16 equities markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange's ability to continue to invest in and fund access services in a manner that allows it to meet existing and anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that

³⁹ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴⁰ Mackintosh, Phil & Normyle, Michael. “How Exchanges Compete: An Economic Analysis of Platform Competition.” Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴¹ See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴² Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

³⁷ *Id.*

³⁸ Mackintosh, Phil & Normyle, Michael. “How Exchanges Compete: An Economic Analysis of Platform Competition.” Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors. The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴³ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one or more of the Exchange's affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the 10 Gb physical port and therefore does not offer access to many of the products and services offered by the Exchange (*e.g.*, ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants that purchase 10 Gb physical ports

utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange's investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonable and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission's request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of cost-analysis that the Commission is demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential impact on market participants to ensure

that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁴

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁵ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest.”⁴⁶ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁷ In short, the promotion of free and open competition was a core congressional objective in creating the national market system.⁴⁸ Indeed, the Commission has historically interpreted that mandate to promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process chosen by Congress, which created a system whereby market forces

⁴⁴ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁵ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

⁴⁶ 15 U.S.C. 78f(b)(5).

⁴⁷ 15 U.S.C. 78f(8).

⁴⁸ See also 15 U.S.C. 78k–l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR 74781 (“The Exchange Act and its legislative history strongly support the Commission’s reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁴³ See *e.g.*, The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange’s 10 Gb physical port) are assessed \$22,000 per month, per port.

determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation,⁴⁹ continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (e.g., using a cost-based analysis versus discussion on competitive forces). The Exchange lastly cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members equally (i.e., all market participants that choose to purchase the 10 Gb physical

port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network. Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pays the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have numerous alternative venues that they may participate on and direct their order flow, including 12 non-Cboe affiliated equities markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system “has been remarkably successful in promoting market competition in its broader forms that are most important to

investors and listed companies.”⁵⁰ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: “[n]o one disputes that competition for order flow is ‘fierce.’ . . . As the SEC explained, ‘[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution’; [and] ‘no exchange can afford to take its market share percentages for granted’ because ‘no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers’”⁵¹ Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵² and paragraph (f) of Rule 19b-4⁵³ thereunder. At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act.

⁵⁰ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵¹ *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782–83 (December 9, 2008) (SR–NYSEArca–2006–21)).

⁵² 15 U.S.C. 78s(b)(3)(A).

⁵³ 17 CFR 240.19b–4(f).

⁴⁹ See e.g., letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O’Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR–IEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR–PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAx PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAx Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-CboeBYX-2024-032 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to file number SR-CboeBYX-2024-032. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission's Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR-CboeBYX-2024-032 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁴

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21173 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101009; File No. SR-CboeEDGA-2024-036]

Self-Regulatory Organizations; Cboe EDGA Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend Its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 ("Act"),¹ and Rule 19b-4 thereunder,² notice is hereby given that on August 29, 2024, Cboe EDGA Exchange, Inc. (the "Exchange" or "EDGA") filed with the Securities and Exchange Commission ("Commission") the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

Cboe EDGA Exchange, Inc. (the "Exchange" or "EDGA Equities") proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange's website (http://markets.cboe.com/us/equities/regulation/rule_filings/edga/), at the Exchange's Office of the Secretary, and at the Commission's Public Reference Room.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange's servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit ("Gb") circuit and \$7,500 per physical port for a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes that a single 10 Gb physical port can be used to access the Systems of the following affiliate exchanges: the Cboe BYX Exchange, Inc., Cboe BZX Exchange, Inc. (options and equities platforms), Cboe EDGX Exchange, Inc.

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR-CboeEDGA-2023-011). On September 1, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGA-2023-015. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the "OIP") in anticipation of a possible U.S. government shutdown. On September 29, 2023, the Exchange filed the proposed fee change (SR-CboeEDGA-2023-016). On October 13, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGA-2023-017. On December 12, 2023, the Exchange withdrew that filing and submitted SR-CboeEDGA-2023-022. On February 9, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGA-2024-006. On April 9, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGA-2024-013. On June 7, 2024, the Exchange withdrew that filing and submitted SR-CboeEDGA-2024-022. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁴ See e.g., The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

⁵⁴ 17 CFR 200.30-3(a)(12).

(options and equities platforms), and Cboe C2 Exchange, Inc., (“Affiliate Exchanges”).⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the “Act”) and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers. The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee filing guidance titled “Staff Guidance on SRO Rule Filings Relating to Fees” (“Fee Guidance”), which provided, among other things, that in determining whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether

there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange’s physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 16 other equities exchanges that trade equities or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the “equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using its

facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar offerings at competitor exchanges.¹⁸ The Exchange also notes that the current 10 Gb physical port fee has remained

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

¹⁸ See e.g., *The Nasdaq Stock Market LLC* (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also *New York Stock Exchange LLC*, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR–MIAx–2024–016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 (“Fee Guidance”). The Fee Guidance also recognized that “products need to be substantially similar but not identical to be substitutable.”

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ *The Supreme Court in Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. (2018).

unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”)²⁰ or the Producer Price Index (“PPI”).²¹ Particularly, under the CPI, the dollar has had an average inflation rate of 3.80% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are considered “key data releases, meaning

the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.”²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13% increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also independent of any change in the Exchange’s costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding the cumulative inflation rates noted

above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% *more* than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% *lower* than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice. Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable products and services are available to market participants, including, among other things, other equities exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-party reseller of connectivity, and/or trading of any equities product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 16 registered equities exchanges that trade equities (12 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single equities exchange has more than approximately 15% of the market share.²⁸ Further, low barriers to entry mean that new exchanges may rapidly enter the market

¹⁹ See Securities and Exchange Release No. 83449 (June 15, 2018), 83 FR 28890 (June 21, 2018) (SR–CboeEDGA–2018–010).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1> (As of August 14, 2024).

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”) Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services.” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 51820 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understanding-consumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

²⁷ *Id.*

²⁸ See Cboe Global Markets, U.S. Equities Market Volume Summary, Month-to-Date (June 6, 2024), available at <https://www.cboe.com/us/equities/statistics/>.

and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, in 2020 alone, three new exchanges entered the market: Long Term Stock Exchange (LTSE), Members Exchange (MEMX), and Miami International Holdings (MIAX Pearl).

As noted above, there is no regulatory requirement that any market participant connect to any one equities exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one equities exchange whose membership includes every registered broker-dealer. By way of example, as of April 2024 Cboe BYX has 110 members that trade equities, Cboe EDGX has 124 members that trade equities, Cboe EDGA has 103 members and Cboe EDGA has 132 members. There is also no firm that is a Member of the Exchange only. Further, based on publicly available information regarding a sample of the Exchange's competitors, NYSE has 143 members,²⁹ IEX has 129 members,³⁰ and MIAX Pearl has 51 members.³¹

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for connectivity to its Exchange.³² The

Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³³ Particularly, these third-party resellers may purchase the Exchange's physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁴ This allows resellers to mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party's managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange's connectivity as an incentive for market participants to purchase further services such as hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional services and infrastructure support

multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³³ See, *e.g.*, Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection (nasdaqtrader.com); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR-NASDAQ-2015-002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR-NASDAQ-2017-114).

³⁴ For example, a third-party reseller may purchase one 10 Gb physical port from the Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

alongside the physical port offering (*e.g.*, providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe's direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁵

³⁵ See *e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN

Continued

²⁹ See <https://www.nyse.com/markets/nyse/membership>.

³⁰ See <https://www.iexexchange.io/membership>.

³¹ See https://www.miaxglobal.com/sites/default/files/page-files/20230630_MIAX_Pearl_Equities_Exchange_Members_June_2023.pdf.

³² Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements may otherwise pose for customers looking to access

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 12 non-Cboe affiliated equities markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National Market System Plan Governing the Consolidated Audit Trail ("CAT NMS Plan") the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁶ The Commission recognized that while some exchanges may have a unique business model that is not currently offered by competitors, a

competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁷

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in trading costs to users across exchanges.³⁸ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-free venues) have the lowest implicit

costs from markouts³⁹ and vice versa.⁴⁰ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴¹ Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴² As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent switch upgrades also increased the Exchange's capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in

³⁹ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴⁰ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴¹ See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴² Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³⁶ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7-13-19).

³⁷ *Id.*

³⁸ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center (“NY6”)), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms’ respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs. The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other equities markets. The ability to continue to innovate with technology and offer new products to market participants allows the Exchange to remain competitive in the equities space which currently has 16 equities markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange’s ability to continue to invest in and fund access services in a manner that allows it to meet existing and anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that

exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors. The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴³ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one or more of the Exchange’s affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the 10 Gb physical port and therefore does not offer access to many of the products and services offered by the Exchange (*e.g.*, ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants that purchase 10 Gb physical ports

utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange’s investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonable and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission’s request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of cost-analysis that the Commission is demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential impact on market participants to ensure

⁴³ See *e.g.*, The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange’s 10 Gb physical port) are assessed \$22,000 per month, per port.

that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁴

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁵ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest.”⁴⁶ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁷ In short, the promotion of free and open competition was a core congressional objective in creating the national market system.⁴⁸ Indeed, the Commission has historically interpreted that mandate to promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process chosen by Congress, which created a system whereby market forces

determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation,⁴⁹ continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (*e.g.*, using a cost-based analysis versus discussion on competitive forces). The Exchange lastly cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members equally (*i.e.*, all market participants that choose to purchase the 10 Gb physical

port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network. Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pay the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have numerous alternative venues that they may participate on and direct their order flow, including 12 non-Cboe affiliated equities markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system “has been remarkably successful in promoting market competition in its broader forms that are most important to

⁴⁴ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁵ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

⁴⁶ 15 U.S.C. 78f(b)(5).

⁴⁷ 15 U.S.C. 78f(8).

⁴⁸ See also 15 U.S.C. 78k–l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR 74781 (“The Exchange Act and its legislative history strongly support the Commission’s reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁴⁹ See *e.g.*, letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O’Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR–IEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR–PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAx PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAx Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

investors and listed companies.”⁵⁰ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: “[n]o one disputes that competition for order flow is ‘fierce.’ . . . As the SEC explained, ‘[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution’; [and] ‘no exchange can afford to take its market share percentages for granted’ because ‘no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers’”⁵¹ Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization’s Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵² and paragraph (f) of Rule 19b-4⁵³ thereunder. At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act.

Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission’s internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-CboeEDGA-2024-036 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to file number SR-CboeEDGA-2024-036. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission’s internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission’s Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR-CboeEDGA-2024-036 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁴

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21166 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Investment Company Act Release No. 35321; 812-15608]

Russell Investments New Economy Infrastructure Fund, Russell Investments Strategic Credit Fund and Russell Investment Management, LLC

September 13, 2024

AGENCY: Securities and Exchange Commission (“Commission” or “SEC”).

ACTION: Notice.

Notice of an application under section 6(c) of the Investment Company Act of 1940 (the “Act”) for an exemption from sections 18(a)(2), 18(c) and 18(i) of the Act, under sections 6(c) and 23(c) of the Act for an exemption from rule 23c-3 under the Act, and for an order pursuant to section 17(d) of the Act and rule 17d-1 under the Act.

SUMMARY OF APPLICATION: Applicants request an order to permit certain registered closed-end investment companies to issue multiple classes of shares and to impose asset-based distribution and/or service fees and early withdrawal charges.

APPLICANTS: Russell Investments New Economy Infrastructure Fund, Russell Investments Strategic Credit Fund and Russell Investment Management, LLC.

FILING DATES: The application was filed on August 1, 2024.

HEARING OR NOTIFICATION OF HEARING:

An order granting the requested relief will be issued unless the Commission orders a hearing. Interested persons may request a hearing on any application by emailing the SEC’s Secretary at Secretaries-Office@sec.gov and serving the Applicants with a copy of the request by email, if an email address is listed for the relevant Applicant below, or personally or by mail, if a physical address is listed for the relevant Applicant below. Hearing requests should be received by the Commission by 5:30 p.m. on October 8, 2024, and should be accompanied by proof of service on the Applicants, in the form of an affidavit, or, for lawyers, a certificate of service. Pursuant to rule 0-5 under the Act, hearing requests should state the nature of the writer’s interest, any facts bearing upon the desirability of a hearing on the matter, the reason for the request, and the issues contested. Persons who wish to be notified of a hearing may request notification by emailing the Commission’s Secretary.

ADDRESSES: The Commission: Secretaries-Office@sec.gov. Applicants: John O’Hanlon, Esq., Dechert LLP, john.ohanlon@dechert.com, with a copy

⁵⁰ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵¹ *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782-83 (December 9, 2008) (SR-NYSEArca-2006-21)).

⁵² 15 U.S.C. 78s(b)(3)(A).

⁵³ 17 CFR 240.19b-4(f).

⁵⁴ 17 CFR 200.30-3(a)(12).

to Mary Beth Albaneze, Russell Investment Management, LLC, malbaneze@russellinvestments.com.

FOR FURTHER INFORMATION CONTACT: Trace W. Rakestraw, Senior Special Counsel, at (202) 551-6825 (Division of Investment Management, Chief Counsel's Office).

SUPPLEMENTARY INFORMATION: For Applicants' representations, legal analysis, and conditions, please refer to Applicants' application, dated August 1, 2024, which may be obtained via the Commission's website by searching for the file number at the top of this document, or for an Applicant using the Company name search field on the SEC's EDGAR system. The SEC's EDGAR system may be searched at <https://www.sec.gov/edgar/searchedgar/legacy/companysearch.html>. You may also call the SEC's Public Reference Room at (202) 551-8090.

For the Commission, by the Division of Investment Management, under delegated authority.

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21266 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101015; File No. SR-CboeBZX-2024-080]

Self-Regulatory Organizations; Cboe BZX Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend Its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 ("Act"),¹ and Rule 19b-4 thereunder,² notice is hereby given that on August 29, 2024, Cboe BZX Exchange, Inc. (the "Exchange" or "BZX") filed with the Securities and Exchange Commission ("Commission") the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

Cboe BZX Exchange, Inc. (the "Exchange" or "BZX Options")

proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange's website (http://markets.cboe.com/us/equities/regulation/rule_filings/BZX/), at the Exchange's Office of the Secretary, and at the Commission's Public Reference Room.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange's servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit ("Gb") circuit and \$7,500 per physical port for

a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes that a single 10 Gb physical port can be used to access the Systems of the following affiliate exchanges: the Cboe BYX Exchange, Inc., Cboe EDGX Exchange, Inc. (options and equities platforms), Cboe EDGA Exchange, Inc., and Cboe C2 Exchange, Inc., ("Affiliate Exchanges").⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the "Act") and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR-CboeBZX-2023-047). On September 1, 2023, the Exchange withdrew that filing and submitted SR-CboeBZX-2023-068. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the "OIP") in anticipation of a possible U.S. government shutdown. On September 29, 2023, the Exchange filed the proposed fee change (SR-CboeBZX-2023-79). On October 13, 2023, the Exchange withdrew that filing and submitted SR-CboeBZX-2023-083. On December 12, 2023 the Exchange withdrew that filing and submitted SR-CboeBZX-2023-104. On February 9, 2024, the Exchange withdrew that filing and submitted SR-CboeBZX-2024-017. On April 9, 2024, the Exchange withdrew that filing and submitted this SR-CboeBZX-2024-028. On April 18, 2024, the Exchange withdrew that filing and submitted SR-CboeBZX-2024-030. On June 7, 2024, the Exchange withdrew that filing and submitted SR-CboeBZX-2024-052. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁴ See e.g., The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR-MIAX-2024-016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers. The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee filing guidance titled “Staff Guidance on SRO Rule Filings Relating to Fees” (“Fee Guidance”), which provided, among other things, that in determining whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange’s physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 18 other options exchanges that trade options or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate

interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the “equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using its facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the

Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar offerings at competitor exchanges.¹⁸ The Exchange also notes that the current 10 Gb physical port fee has remained unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”) or the Producer Price Index (“PPI”).²⁰ Particularly, under the CPI, the dollar has had an average inflation rate of 3.8% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active

¹⁸ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

¹⁹ See Securities and Exchange Release No. 83429 (June 14, 2018), 83 FR 28685 (June 20, 2018) (SR-CboeBZX-2018-038).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1>.

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 (“Fee Guidance”). The Fee Guidance also recognized that “products need to be substantially similar but not identical to be substitutable.”

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ The Supreme Court in *Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. ___ (2018).

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are considered “key data releases, meaning the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.”²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13%

increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also independent of any change in the Exchange’s costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding the cumulative inflation rates noted above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% *more* than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% *lower* than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice. Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable

products and services are available to market participants, including, among other things, other options exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-party reseller of connectivity, and/or trading of any options product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 18 registered options exchanges that trade options (14 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single options exchange has more than approximately 18% of the market share.²⁸ Further, low barriers to entry mean that new exchanges may rapidly enter the market and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, there are 5 exchanges that have been added in the U.S. options markets in the last 5 years (*i.e.*, Nasdaq MRX, LLC, MIAx Pearl, LLC, MIAx Emerald LLC, MEMX LLC and most recently MIAx Sapphire LLC).

As noted above, there is no regulatory requirement that any market participant connect to any one options exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one options exchange whose membership includes every registered broker-dealer. By way of example, while the Exchange has 61 members that trade options, Cboe EDGX has 51 members that trade options, and Cboe C2 has 52 Trading Permit Holders (“TPHs”) (*i.e.*, members). There is also no firm that is a Member of BZX Options only. Further, based on publicly available information regarding a sample of the Exchange’s competitors, NYSE American Options has 71 members,²⁹ and NYSE Arca Options has 69 members,³⁰ MIAx Options has 46

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”) Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services,” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 51820 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understanding-consumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

²⁷ *Id.*

²⁸ See Cboe Global Markets U.S. Options Market Volume Summary (June 6, 2024), available at https://markets.cboe.com/us/options/market_statistics/.

²⁹ See <https://www.nyse.com/markets/american-options/membership#directory>.

³⁰ See <https://www.nyse.com/markets/arca-options/membership#directory>.

members³¹ and MIAX Pearl Options has 40 members.³²

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for connectivity to its Exchange.³³ The Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³⁴ Particularly, these third-party resellers may purchase the Exchange's physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁵ This allows resellers to

mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party's managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange's connectivity as an incentive for market participants to purchase further services such as hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional services and infrastructure support alongside the physical port offering (*e.g.*, providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe's direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange

Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁶

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 14 non-Cboe affiliated options markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which

³⁶ See *e.g.*, See *e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³¹ See https://www.miaxglobal.com/sites/default/files/page-files/MIAX_Options_Exchange_Members_April_2023_04282023.pdf.

³² See https://www.miaxglobal.com/sites/default/files/page-files/MIAX_Pearl_Exchange_Members_01172023_0.pdf.

³³ Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements may otherwise pose for customers looking to access multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³⁴ See, *e.g.*, Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection (nasdaqtrader.com); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR-NASDAQ-2015-002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR-NASDAQ-2017-114).

³⁵ For example, a third-party reseller may purchase one 10 Gb physical port from the

ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National Market System Plan Governing the Consolidated Audit Trail (“CAT NMS Plan”) the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁷ The Commission recognized that while some exchanges may have a unique business model that is not currently offered by competitors, a competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁸

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in

concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in trading costs to users across exchanges.³⁹ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-free venues) have the lowest implicit costs from markouts⁴⁰ and vice versa.⁴¹ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴² Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴³ As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

³⁹ Mackintosh, Phil & Normyle, Michael. “How Exchanges Compete: An Economic Analysis of Platform Competition.” Nasdaq, March 2024. <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴⁰ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴¹ Mackintosh, Phil & Normyle, Michael. “How Exchanges Compete: An Economic Analysis of Platform Competition.” Nasdaq, March 2024. <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴² See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴³ Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent switch upgrades also increased the Exchange’s capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center (“NY6”)), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms’ respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs.

³⁷ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7–13–19).

³⁸ *Id.*

The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other options markets. The ability to continue to innovate with technology and offer new products to market participants allows the Exchange to remain competitive in the options space which currently has 18 options markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange's ability to continue to invest in and fund access services in a manner that allows it to meet existing and anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors.

The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴⁴ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be

assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one or more of the Exchange's affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the 10 Gb physical port and therefore does not offer access to many of the products and services offered by the Exchange (*e.g.*, ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants that purchase 10 Gb physical ports utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange's investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonable and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the

Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission's request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of cost-analysis that the Commission is demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential impact on market participants to ensure that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁵

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁶ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market

⁴⁴ See *e.g.*, The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

⁴⁵ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁶ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

system, and, in general, to protect investors and the public interest.”⁴⁷ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁸ In short, the promotion of free and open competition was a core congressional objective in creating the national market system.⁴⁹ Indeed, the Commission has historically interpreted that mandate to promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process chosen by Congress, which created a system whereby market forces determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation,⁵⁰ continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs

through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (e.g., using a cost-based analysis versus discussion on competitive forces). The Exchange lastly cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members equally (i.e., all market participants that choose to purchase the 10 Gb physical port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network. Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pay the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes

proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have numerous alternative venues that they may participate on and direct their order flow, including 13 non-Cboe affiliated options markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system “has been remarkably successful in promoting market competition in its broader forms that are most important to investors and listed companies.”⁵¹ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: “[n]o one disputes that competition for order flow is ‘fierce.’ . . . As the SEC explained, ‘[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution’; [and] ‘no exchange can afford to take its market share percentages for granted’ because ‘no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers’. . . .”⁵² Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

⁵¹ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵² *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782–83 (December 9, 2008) (SR–NYSEArca–2006–21)).

⁴⁷ 15 U.S.C. 78f(b)(5).

⁴⁸ 15 U.S.C. 78f(8).

⁴⁹ See also 15 U.S.C. 78k–l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR at 74781 (“The Exchange Act and its legislative history strongly support the Commission’s reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁵⁰ See e.g., letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O’Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR–IEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR–PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAX PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAX Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵³ and paragraph (f) of Rule 19b-4⁵⁴ thereunder. At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-CboeBZX-2024-080 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.
- All submissions should refer to file number SR-CboeBZX-2024-080. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission's Public

Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR-CboeBZX-2024-080 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁵

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21171 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101013; File No. SR-C2-2024-015]

Self-Regulatory Organizations; Cboe C2 Exchange, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend Its Fees Schedule Related to Physical Port Fees

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 ("Act"),¹ and Rule 19b-4 thereunder,² notice is hereby given that on August 29, 2024, Cboe C2 Exchange, Inc. (the "Exchange" or "C2") filed with the Securities and Exchange Commission ("Commission") the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the Exchange. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

Cboe C2 Exchange, Inc. (the "Exchange" or "C2 Options") proposes to amend its Fees Schedule. The text of the proposed rule change is provided in Exhibit 5.

The text of the proposed rule change is also available on the Exchange's website (<http://markets.cboe.com/us/>

[options/regulation/rule_filings/ctwo/](#)), at the Exchange's Office of the Secretary, and at the Commission's Public Reference Room.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the Exchange included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The Exchange has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend its fee schedule relating to physical connectivity fees.³

By way of background, a physical port is utilized by a Member or non-Member to connect to the Exchange at the data centers where the Exchange's servers are located. The Exchange currently assesses the following physical connectivity fees for Members and non-Members on a monthly basis: \$2,500 per physical port for a 1 gigabit ("Gb") circuit and \$7,500 per physical port for a 10 Gb circuit. The Exchange proposes to increase the monthly fee for 10 Gb physical ports from \$7,500 to \$8,500 per port. The Exchange notes the proposed fee change better enables it to continue to maintain and improve its market technology and services and also notes that the proposed fee amount, even as amended, continues to be in line with,

³ The Exchange initially filed the proposed fee changes on July 3, 2023 (SR-C2-2023-014). On September 1, 2023, the Exchange withdrew that filing and submitted SR-C2-2023-020. On September 29, 2023, the Securities and Exchange Commission issued a Suspension of and Order Instituting Proceedings to Determine whether to Approve or Disapprove a Proposed Rule Change to Amend its Fees Schedule Related to Physical Port Fees (the "OIP") in anticipation of a possible U.S. government shutdown. On September 29, 2023, the Exchange filed the proposed fee change (SR-C2-2023-021). On October 13, 2023, the Exchange withdrew that filing and submitted SR-C2-2023-022. On December 12, 2023, the Exchange withdrew that filing and submitted SR-C2-2023-025. On February 9, 2024, the Exchange withdrew that filing and submitted SR-C2-2024-004. On April 9, 2024, the Exchange withdrew that filing and submitted SR-C2-2024-005. On June 7, 2024 the Exchange withdrew that filing and submitted SR-C2-2024-010. On August 29, 2024, the Exchange withdrew that filing and submitted this filing.

⁵³ 15 U.S.C. 78s(b)(3)(A).

⁵⁴ 17 CFR 240.19b-4(f).

⁵⁵ 17 CFR 200.30-3(a)(12).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

or even lower than, amounts assessed by other exchanges for similar connections.⁴ The Exchange also notes that a single 10 Gb physical port can be used to access the Systems of the following affiliate exchanges: the Cboe BYX Exchange, Inc., Cboe BZX Exchange, Inc. (options and equities platforms), Cboe EDGX Exchange, Inc. (options and equities platforms), and Cboe EDGA Exchange, Inc., (“Affiliate Exchanges”).⁵ Notably, only one monthly fee currently (and will continue) to apply per 10 Gb physical port regardless of how many affiliated exchanges are accessed through that one port.⁶

2. Statutory Basis

The Exchange believes the proposed rule change is consistent with the Securities Exchange Act of 1934 (the “Act”) and the rules and regulations thereunder applicable to the Exchange and, in particular, the requirements of Section 6(b) of the Act.⁷ Specifically, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁸ requirements that the rules of an exchange be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in regulating, clearing, settling, processing information with respect to, and facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest. Additionally, the Exchange believes the proposed rule change is consistent with the Section 6(b)(5)⁹ requirement that the rules of an exchange not be designed to permit unfair discrimination between customers, issuers, brokers, or dealers.

The Exchange also believes the proposed rule change is consistent with Section 6(b)(4)¹⁰ of the Act, which requires that Exchange rules provide for the equitable allocation of reasonable dues, fees, and other charges among its Members and other persons using its facilities.

The Exchange operates in a highly competitive environment. On May 21, 2019, the SEC Division of Trading and Markets issued non-rulemaking fee filing guidance titled “Staff Guidance on SRO Rule Filings Relating to Fees” (“Fee Guidance”), which provided, among other things, that in determining whether a proposed fee is constrained by significant competitive forces, the Commission will consider whether there are reasonable substitutes for the product or service that is the subject of a proposed fee.¹¹ As described in further detail below, the Exchange believes substitutable products¹² are in fact available to market participants, including by third-party resellers of the Exchange’s physical connectivity, and the availability to trade all of the products offered at the Exchange at one of the 18 other options exchanges that trade options or other off-exchange trading platforms.

The 2019 Fee Guidance also acknowledged that platform competition may demonstrate a competitive environment and therefore constrain aggregate returns, regardless of the pricing of individual products, and that platforms often have joint products.¹³ Exchanges themselves are platforms.¹⁴ Particularly, exchanges are multi-sided platforms that facilitate interactions between multiple sides of the market—buyers and sellers, companies and investors, and traders and market watchers—and their value is dependent on attracting users to the multiple sides of the platform. As described in further detail below, the Exchange believes that competition

among exchanges as trading platforms (and between exchanges and alternative trading venues) constrain exchanges from charging excessive fees for any exchange products, including trading, listings, connectivity and market data. As such, fees need not be analyzed from only one side, but rather can, and should, be considered within the larger context of the platform to test for anti-competitive behavior. And indeed, nothing in the Exchange Act requires the individual examination of specific product fees in isolation. Rather, the Exchange generally requires the rules of an exchange to provide for the “equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using its facilities.”¹⁵ The Exchange also notes that Congress has directed the Commission to “rely on ‘competition, whenever possible, in meeting its regulatory responsibilities for overseeing the’ self-regulatory organizations (‘SROs’) ‘and the national market system.’”¹⁶ This is the basis for the congressional presumption that exchanges’ pricing decisions are constrained by competitive forces and should not be impaired by excessive regulatory scrutiny or rules. Following this mandate, the Commission and the courts have repeatedly expressed their preference for competition over regulatory intervention to determine prices, products, and services in the securities markets. This notion is further supported by the Dodd-Frank amendments authorizing immediately effective fees, not just for transactional pricing, but for market data and other products as well.¹⁷ For the reasons described further below, the Exchange believes that the Proposal supports competition, and therefore the proposed fees are reasonable and equitably allocated. Indeed, the Exchange believes the considerable amount of data both qualitative and quantitative, discussed below not only meets the Exchange’s burden demonstrating that the proposed rule change is consistent with the Exchange but goes beyond the type of reasoned evidence that the courts and the Commission have invited exchanges to submit in support of proposed fee changes.

The Exchange also believes the proposed fee change is reasonable as it reflects a moderate increase in physical

⁴ See e.g., The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange’s 10 Gb physical port) are assessed \$22,000 per month, per port.

⁵ The Affiliate Exchanges are also submitting contemporaneous identical rule filings.

⁶ The Exchange notes that conversely, other exchange groups charge separate port fees for access to separate, but affiliated, exchanges. See e.g., Securities and Exchange Release No. 99822 (March 21, 2024), 89 FR 21337 (March 27, 2024) (SR–MIA–2024–016).

⁷ 15 U.S.C. 78f(b).

⁸ 15 U.S.C. 78f(b)(5).

⁹ *Id.*

¹⁰ 15 U.S.C. 78f(b)(4).

¹¹ See Chairman Jay Clayton, Statement on Division of Trading and Markets Staff Fee Guidance, June 12, 2019 (“Fee Guidance”). The Fee Guidance also recognized that “products need to be substantially similar but not identical to be substitutable.”

¹² A substitute, or substitutable good, in economics and consumer theory refers to a product or service that consumers see as essentially the same or similar-enough to another product. See <https://www.investopedia.com/terms/s/substitute.asp>.

¹³ See Fee Guidance.

¹⁴ The Supreme Court in *Ohio v. American Express Co.* recognized that, as platforms facilitate transactions between two or more sides of a market, their value is dependent on attracting users to both sides of the platform (i.e., network effects). See *Ohio v. American Express Co.* 138 S. Ct. 2274, 585 U.S. ____ (2018).

¹⁵ See 15 U.S.C. 78f(b)(4).

¹⁶ *NetCoalition v. SEC*, 715 F.3d 342, 534–35 (D.C. Cir. 2013); see also H.R. Rep. No. 94–229 at 92 (1975) (“[I]t is the intent of the conferees that the national market system evolve through the interplay of competitive forces as unnecessary regulatory restrictions are removed.”).

¹⁷ 15 U.S.C. 78s(b)(3)(A).

connectivity fees for 10 Gb physical ports. First, the Exchange believes its proposal is reasonable as its offering, even as amended, continues to be more affordable as compared to similar offerings at competitor exchanges.¹⁸ The Exchange also notes that the current 10 Gb physical port fee has remained unchanged since June 2018.¹⁹ Since its last increase over 6 years ago however, there has been notable inflation and indeed, the proposed rate is below the rates of inflation as measured by either the Consumer Product Index (“CPI”) ²⁰ or the Producer Price Index (“PPI”).²¹ Particularly, under the CPI, the dollar has had an average inflation rate of 3.8% per year between 2018 and today, producing a cumulative price increase of approximately 25% inflation since the fee for the 10 Gb physical port was last modified.²² Moreover, a more specific and pertinent gauge of inflation—the PPI for data processing, hosting and related services, active services pages, and other IT infrastructure provisioning services—increased approximately 15% from 2018 to 2024.²³ Both the CPI and the PPI are

considered “key data releases, meaning the monthly indicator is heavily scrutinized by traders, since they are used by the Federal Reserve to assess developments in the economy.” ²⁴ Further, the Employment Cost Index (“ECI”), which measures the change in the hourly labor cost to employers over time, produced a cumulative price increase of approximately 25%.²⁵ Notwithstanding such significant inflation, the Exchange has not increased its connectivity fees during this time, thereby eroding the value of the revenue it collects through such fees.²⁶ The proposed fee represents approximately 13% increase from the current fee, which is far below the rate of inflation as measured by the CPI and on par with (and even lower than) the rate of inflation as measured by the PPI and ECI since 2018. Although the Exchange believes it would be reasonable to increase fees by an amount equal to the full rates of inflation, however measured, to reestablish the initial value of the revenues it earns through its fees, the Exchange does not propose to do this, as the Exchange is sensitive to the sticker shock that would occur if the Exchange raised its fees by 25%. Instead, the Exchange proposes a 13% increase, an amount that the Exchange believes to be reasonable on its face as it is significantly less than various measures of inflation discussed above.

The Exchange believes further that it is reasonable to increase its fees to compensate for inflation because, over

time, inflation has degraded the value of each dollar that the Exchange collects in fees, such that the real revenue collected today is considerably less than that same revenue collected in 2018. The impact of this inflationary effect is also independent of any change in the Exchange’s costs in providing its goods and services. The Exchange believes that it is reasonable for it to offset, in part, this erosion in the value of the revenues it collects. Additionally, the Exchange historically does not increase fees every year, notwithstanding inflation. Accordingly, the Exchange believes the proposed fee of \$8,500 is reasonable as it only represents an approximate 13% increase from the rate adopted six years ago, notwithstanding the cumulative inflation rates noted above. Were the Exchange to adjust fully for inflation under the CPI, it would be proposing a monthly rate of \$9,360, which is 10% *more* than the Exchange is actually proposing. To further demonstrate, the Exchange notes that \$8,500 in 2024 is equivalent to approximately \$6,800 in 2018, when adjusted for inflation. Accordingly, the Exchange believes the proposed rate is also reasonable as it is nearly 20% *lower* than the rate adopted in 2018 (*i.e.*, \$7,500) when adjusted for inflation. The Exchange is also unaware of any standard that suggests any fee proposal that exceeds a certain yearly or cumulative inflation rate is unreasonable, and in any event, in this instance the increase is well below the cumulative rate.

The Exchange also notes Members and non-Members will continue to choose the method of connectivity based on their specific needs and no broker-dealer is required to become a Member of, let alone connect directly to, the Exchange. There is also no regulatory requirement that any market participant connect to any one particular exchange. Market participants may voluntarily choose to become a member of one or more of a number of different exchanges, of which, the Exchange is but one choice. Additionally, any Exchange member that is dissatisfied with the proposal is free to choose not to be a member of the Exchange and send order flow to another exchange. Moreover, direct connectivity is not a requirement to participate on the Exchange. The Exchange also believes substitutable products and services are available to market participants, including, among other things, other options exchanges that a market participant may connect to in lieu of the Exchange, indirect connectivity to the Exchange via a third-

¹⁸ See *e.g.*, The Nasdaq Stock Market LLC (“Nasdaq”), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange’s 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange’s 10 Gbps physical port) are assessed \$22,000 per month, per port.

¹⁹ See Securities and Exchange Release No. 83455 (June 15, 2018), 83 FR 28892 (June 21, 2018) (SR–C2–2018–014).

²⁰ The Consumer Price Index (“CPI”) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services. The CPI represents all goods and services purchased for consumption by the reference population (U or W). The Bureau of Labor Statistics (“BLS”) has classified all expenditure items into more than 200 categories, arranged into eight major groups (food and beverages, housing, apparel, transportation, medical care, recreation, education and communication, and other goods and services). Included within these major groups are various government-charged user fees, such as water and sewerage charges, auto registration fees, and vehicle tolls. See <https://www.bls.gov/cpi/questions-and-answers.htm>.

²¹ The PPI is a family of indexes that measures the average change over time in selling prices received by domestic producers of goods and services. PPIs measure price change from the perspective of the seller. This contrasts with other measures, such as the Consumer Price Index (CPI), that measure price change from the purchaser’s perspective. See <https://www.bls.gov/ppi/overview.htm>.

²² See <https://www.officialdata.org/us/inflation/2010?amount=1>.

²³ See <https://data.bls.gov/timeseries/PCU5182105182105> (As of August 13, 2024). Among the industry-specific PPIs is for North American Industry Classification System (“NAICS”)

Code 518210: “Data Processing, Hosting and Related Services: Hosting, Active Server Pages (ASP), and Other Information Technology (IT) Infrastructure Provisioning Services.” NAICS index codes categorize products and services that are common to particular industries. According to BLS, these codes “provide comparability with a wide assortment of industry-based data for other economic programs, including productivity, production, employment, wages, and earnings.” See <https://www.bls.gov/ppi/overview.htm>. BLS describes NAICS 51820 as follows: “The primary output of NAICS 518210 is the provision of electronic data processing services. In the broadest sense, computer services companies help their customers efficiently use technology. The processing services market consists of vendors who use their own computer systems—often utilizing proprietary software—to process customers’ transactions and data. Companies that offer processing services collect, organize, and store a customer’s transactions and other data for record-keeping purposes.”

²⁴ See <https://www.cmegroup.com/education/courses/learn-about-key-economic-events/understandingconsumer-price-index-and-producer-price-index.html>.

²⁵ See <https://www.bls.gov/eci/tables.html> (As of August 13, 2024).

²⁶ Unregulated competitors providing connectivity and co-location services often have annual price increases written into their agreements with customers to account for inflation and rising costs.

party reseller of connectivity, and/or trading of any options product, such as within the Over-the-Counter (OTC) markets which do not require connectivity to the Exchange. Indeed, there are currently 18 registered options exchanges that trade options (14 of which are not affiliated with Cboe), some of which have similar or lower connectivity fees.²⁷ Based on publicly available information, no single options exchange has more than approximately 18% of the market share.²⁸ Further, low barriers to entry mean that new exchanges may rapidly enter the market and offer additional substitute platforms to further compete with the Exchange and the products it offers. For example, there are 5 exchanges that have been added in the U.S. options markets in the last 5 years (*i.e.*, Nasdaq MRX, LLC, MIAAX Pearl, LLC, MIAAX Emerald LLC, MEMX LLC and most recently MIAAX Sapphire LLC).

As noted above, there is no regulatory requirement that any market participant connect to any one options exchange, nor that any market participant connect at a particular connection speed or act in a particular capacity on the Exchange, or trade any particular product offered on an exchange. Moreover, membership is not a requirement to participate on the Exchange. Indeed, the Exchange is unaware of any one options exchange whose membership includes every registered broker-dealer. By way of example, while the Exchange has 52 TPHs (*i.e.*, members) Cboe EDGX has 51 members that trade options, and Cboe BZX has 61 members that trade options. There is also no firm that is a member of C2 Options only. Further, based on publicly available information regarding a sample of the Exchange's competitors, NYSE American Options has 71 members,²⁹ and NYSE Arca Options has 69 members,³⁰ MIAAX Options has 46 members³¹ and MIAAX Pearl Options has 40 members.³²

A market participant may also submit orders to the Exchange via a Member broker or a third-party reseller of connectivity. The Exchange notes that

third-party non-Members also resell exchange connectivity. This indirect connectivity is another viable alternative for market participants to trade on the Exchange without connecting directly to the Exchange (and thus not pay the Exchange connectivity fees), which alternative is already being used by non-Members and further constrains the price that the Exchange is able to charge for connectivity to its Exchange.³³ The Exchange notes that it could, but chooses not to, preclude market participants from reselling its connectivity. Unlike other exchanges, the Exchange also chooses not to adopt fees that would be assessed to third-party resellers on a per customer basis (*i.e.*, fee based on number of Members that connect to the Exchange indirectly via the third-party).³⁴ Particularly, these third-party resellers may purchase the Exchange's physical ports and resell access to such ports either alone or as part of a package of services. The Exchange notes that multiple Members are able to share a single physical port (and corresponding bandwidth) with other non-affiliated Members if purchased through a third-party reseller.³⁵ This allows resellers to mutualize the costs of the ports for market participants and provide such ports at a price that may be lower than the Exchange charges due to this mutualized connectivity. These third-party sellers may also provide an additional value to market participants in addition to the physical port itself as they may also manage and monitor

these connections, and clients of these third-parties may also be able to connect from the same colocation facility either from their own racks or using the third-party's managed racks and infrastructure which may provide further cost-savings. The Exchange believes such third-party resellers may also use the Exchange's connectivity as an incentive for market participants to purchase further services such as hosting services. That is, even firms that wish to utilize a single, dedicated 10 Gb port (*i.e.*, use one single 10 Gb port themselves instead of sharing a port with other firms), may still realize cost savings via a third-party reseller as it relate to a physical port because such reseller may be providing a discount on the physical port to incentivize the purchase of additional services and infrastructure support alongside the physical port offering (*e.g.*, providing space, hosting, power, and other long-haul connectivity options). This is similar to cell phone carriers offering a new iPhone at a discount (or even at no cost) if purchased in connection with a new monthly phone plan. These services may reevaluate reselling or offering Cboe's direct connectivity if they deem the fees to be excessive. Further, as noted above, the Exchange does not receive any connectivity revenue when connectivity is resold by a third-party, which often is resold to multiple customers, some of whom are agency broker-dealers that have numerous customers of their own. For example, there are approximately 12 third parties who resell Exchange connectivity across the 7 Affiliated Exchanges, which are all accessible on the same network. These third-party resellers collectively maintain approximately 48 physical ports from the Exchange, but have collectively almost 200 unique customers downstream, connected through these multi-Exchange ports. Therefore, given the availability of third-party providers that also offer connectivity solutions, the Exchange believes participation on the Exchange remains affordable (notwithstanding the proposed fee change) for all market participants, including trading firms that may be able to take advantage of lower costs that result from mutualized connectivity and/or from other services provided alongside the physical port offerings. Because third-party resellers also act as a viable alternative to direct connectivity to the Exchange, the price that the Exchange is able to charge for direct connectivity to its Exchange is

²⁷ *Id.*

²⁸ See Cboe Global Markets U.S. Options Market Volume Summary (June 6, 2024), available at <https://markets.cboe.com/us/options/market-statistics/>.

²⁹ See <https://www.nyse.com/markets/american-options/membership#directory>.

³⁰ See <https://www.nyse.com/markets/arca-options/membership#directory>.

³¹ See https://www.miaaxglobal.com/sites/default/files/page-files/MIAAX_Options_Exchange_Members_April_2023_04282023.pdf.

³² See https://www.miaaxglobal.com/sites/default/files/page-files/MIAAX_Pearl_Exchange_Members_01172023_0.pdf.

³³ Third-party resellers of connectivity play an important role in the capital markets infrastructure ecosystem. For example, third-party resellers can help unify access for customers who want exposure to multiple financial markets that are geographically dispersed by establishing connectivity to all of the different exchanges, so the customers themselves do not have to. Many of the third-party connectivity resellers also act as distribution agents for all of the market data generated by the exchanges as they can use their established connectivity to subscribe to, and redistribute, data over their networks. This may remove barriers that infrastructure requirements may otherwise pose for customers looking to access multiple markets and real-time data feeds. This facilitation of overall access to the marketplace is ultimately beneficial for the entire capital markets ecosystem, including the Exchange, on which such firms transact business.

³⁴ See, *e.g.*, Nasdaq Price List—U.S. Direct Connection and Extranet Fees, available at, US Direct-Extranet Connection (nasdaqtrader.com); and Securities Exchange Act Release Nos. 74077 (January 16, 2022), 80 FR 3683 (January 23, 2022) (SR-NASDAQ-2015-002); and 82037 (November 8, 2022), 82 FR 52953 (November 15, 2022) (SR-NASDAQ-2017-114).

³⁵ For example, a third-party reseller may purchase one 10 Gb physical port from the Exchange and resell that connectivity to three different market participants who may only need 3 Gb each and leverage the same single port.

constrained. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members (such as third-party resellers) alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. Further, the Exchange believes its offerings are more affordable as compared to similar offerings at competitor exchanges.³⁶

Accordingly, vigorous competition among national securities exchanges provides many alternatives for firms to voluntarily decide whether direct connectivity to the Exchange is appropriate and worthwhile, and as noted above, no broker-dealer is required to become a Member of the Exchange, let alone connect directly to it. In the event that a market participant views the Exchange's proposed fee change as more or less attractive than the competition, that market participant can choose to connect to the Exchange indirectly or may choose not to connect to that exchange and connect instead to one or more of the other 14 non-Cboe affiliated options markets. Indeed, market participants are free to choose which exchange to use to satisfy their business needs. Moreover, if the Exchange were to assess supracompetitive rates, members and non-members alike, may decide not to purchase, or to reduce its use of, the Exchange's direct connectivity. Disincentivizing market participants from purchasing Exchange connectivity would only serve to discourage participation on the Exchange which ultimately does not benefit the Exchange. For example, if the Exchange charges excessive fees, it may stand to lose not only connectivity revenues but also revenues associated with the execution of orders routed to it, and, to the extent applicable, market data revenues. The Exchange believes that this competitive dynamic imposes powerful restraints on the ability of any exchange to charge unreasonable fees for connectivity. Notwithstanding the

foregoing, the Exchange still believes that the proposed fee increase is reasonable, equitably allocated and not unfairly discriminatory, even for market participants that determine to connect directly to the Exchange for business purposes, as those business reasons should presumably result in revenue capable of covering the proposed fee.

Additionally, in connection with a proposed amendment to the National Market System Plan Governing the Consolidated Audit Trail ("CAT NMS Plan") the Commission again discussed the existence of competition in the marketplace generally, and particularly for exchanges with unique business models.³⁷ The Commission recognized that while some exchanges may have a unique business model that is not currently offered by competitors, a competitor could create similar business models if demand were adequate, and if a competitor did not do so, the Commission believes it would be likely that new entrants would do so if the exchange with that unique business model was otherwise profitable.³⁸

As noted above, exchanges also compete as platforms. In the context of the competition among platforms, different exchanges operate a variety of different business models. In fact, there are a number of ways an exchange can differentiate itself, such as by pricing structure, technology and functionality offerings, and products. As discussed above, market participants can access the exchange without purchasing anything from an exchange, instead using third-party routers and data. For those whose business models necessitate the purchase of some mix of trading, connectivity, and data services, there are a variety of options at different price points, allowing market participants to exercise choice, and forcing exchanges to compete on their offerings and prices. Further, all elements of the platform—trade executions, market data, connectivity, membership, and listings—operate in concert. For example, trade executions increase the value of market data; market data functions as an advertisement for on-exchange trading; listings increase the value of trade executions and market data; and greater liquidity on the exchange enhances the value of ports and connectivity services. As such, demand for one set of platform services depends on the demand for other services and therefore to make its platform attractive to multiple

constituencies, an exchange must consider inter-side externalities. In assessing competition for exchange services, exchanges must also consider not only explicit costs, such as fees for trading, market data, and connectivity, but the implicit costs, such as realized spreads, of trading on an exchange. When accounting for explicit and implicit costs, research has found that competition has largely equalized all-in trading costs to users across exchanges.³⁹ For example, data has shown that venues with the highest explicit costs (typically inverted and fee-free venues) have the lowest implicit costs from markouts⁴⁰ and vice versa.⁴¹ Implicit costs explain how venues with higher explicit costs manage to compete with seemingly much cheaper venues (and conversely, how exchanges with higher implicit costs use lower fees to compete).⁴² Additional research also confirms that market participants route trades in a way that not only accounts for explicit and implicit costs—but also very efficiently values opportunity costs, like lower odds of getting a fill on inverted venues.⁴³ As such, the Exchange believes the proposed fee change is reasonable as exchanges are constrained from charging excessive fees for any exchange product, including physical connectivity.

The Exchange also believes the proposed fee increase is reasonable in light of recent and anticipated connectivity-related upgrades and changes. The Exchange and its affiliated exchanges recently launched a multi-year initiative to improve Cboe Exchange Platform performance and capacity requirements to increase competitiveness, support growth and advance a consistent world class platform. The goal of the project, among other things, is to provide faster and

³⁹ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴⁰ Per-trade markout is a measure of theoretical profitability from the perspective of a liquidity provider.

⁴¹ Mackintosh, Phil & Normyle, Michael. "How Exchanges Compete: An Economic Analysis of Platform Competition." Nasdaq, March 2024, <https://www.nasdaq.com/How-Exchanges-Compete-An-Economic-Analysis-of-Platform-Competition>.

⁴² See *id.* For example, research by Nasdaq found that it is over 60% more expensive to trade on the costliest exchange than on the cheapest. As Nasdaq noted, such a sizeable disparity suggests that there is another factor that keeps these exchanges in competition. Specifically, when implicit costs are considered, the difference in cost to trade is minimized.

⁴³ Bershova, Nataliya & Jaquet, Paul. (2019). Execution Quality and Fee Structure: Passive Lit Executions. Bernstein Electronic Trading, Execution Research.

³⁶ See e.g., *See e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gbps Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gbps physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gbps LX LCN Circuits (which are analogous to the Exchange's 10 Gbps physical port) are assessed \$22,000 per month, per port.

³⁷ See Securities Exchange Act Release No. 86901 (September 9, 2019), 84 FR 48458 (September 13, 2019) (File No. S7-13-19).

³⁸ *Id.*

more consistent order handling and matching performance for options, while ensuring quicker processing time and supporting increasing volumes and capacity needs. For example, the Exchange recently performed switch hardware upgrades. Particularly, the Exchange replaced existing customer access switches with newer models, which the Exchange believes resulted in increased determinism. The recent switch upgrades also increased the Exchange's capacity to accommodate more physical ports by nearly 50%. Network bandwidth was also increased nearly two-fold as a result of the upgrades, which among other things, can lead to reduce message queuing. The Exchange also believes these newer models result in less natural variance in the processing of messages. The Exchange notes that it incurred costs associated with purchasing and upgrading to these newer models, of which the Exchange has not otherwise passed through or offset.

As of April 1, 2024, market participants also having the option of connecting to a new data center (*i.e.*, Secaucus NY6 Data Center ("NY6")), in addition to the current data centers at NY4 and NY5. The Exchange made NY6 available in response to customer requests in connection with their need for additional space and capacity. In order to make this space available, the Exchange expended significant resources to prepare this space, and will also incur ongoing costs with respect to maintaining this offering, including costs related to power, space, fiber, cabinets, panels, labor and maintenance of racks. The Exchange also incurred a large cost with respect to ensuring NY6 would be latency equalized, as it is for NY4 and NY5.

The Exchange also has made various other improvements since the current physical port rates were adopted in 2018. For example, the Exchange has updated its customer portal to provide more transparency with respect to firms' respective connectivity subscriptions, enabling them to better monitor, evaluate and adjust their connections based on their evolving business needs. The Exchange also performs proactive audits on a weekly basis to ensure that all customer cross connects continue to fall within allowable tolerances for Latency Equalized connections. Accordingly, the Exchange expended, and will continue to expend, resources to innovate and modernize technology so that it may benefit its Members and continue to compete among other options markets. The ability to continue to innovate with technology and offer new products to market participants

allows the Exchange to remain competitive in the options space which currently has 18 options markets and potential new entrants. If the Exchange were not able to assess incrementally higher fees for its connectivity, it would effectively impact how the Exchange manages its technology and hamper the Exchange's ability to continue to invest in and fund access services in a manner that allows it to meet existing and anticipated access demands of market participants. Disapproval of fee changes such as the proposal herein, could also have the adverse effect of discouraging an exchange from improving its operations and implementing innovative technology to the benefit of market participants if it believes the Commission would later prevent that exchange from recouping costs and monetizing its operational enhancements, thus adversely impacting competition as well as the interests of market participants and investors.

The Exchange also believes the proposed fee is reasonable as it is still in line with, or even lower than, amounts assessed by other exchanges for similar connections.⁴⁴ Indeed, the Exchange believes assessing fees that are a lower rate than fees assessed by other exchanges for analogous connectivity (which were similarly adopted via the rule filing process and filed with the Commission) is reasonable. As noted above, the proposed fee is also the same as is concurrently being proposed for its Affiliate Exchanges. Further, Members are able to utilize a single port to connect to all of its Affiliate Exchanges and will only be charged one single fee (*i.e.*, a market participant will only be assessed the proposed \$8,500 even if it uses that physical port to connect to the Exchange and another (or even all 6) of its Affiliate Exchanges. Particularly, the Exchange believes the proposed monthly per port fee is reasonable, equitable and not unfairly discriminatory since as the Exchange has determined to not charge multiple fees for the same port. Indeed, the Exchange notes that several ports are in fact purchased and utilized across one

or more of the Exchange's affiliated Exchanges (and charged only once).

The Exchange also believes that the proposed fee change is not unfairly discriminatory because it would be assessed uniformly across all market participants that purchase the physical ports. The Exchange believes increasing the fee for 10 Gb physical ports and charging a higher fee as compared to the 1 Gb physical port is equitable as the 1 Gb physical port is 1/10th the size of the 10 Gb physical port and therefore does not offer access to many of the products and services offered by the Exchange (*e.g.*, ability to receive certain market data products). Thus, the value of the 1 Gb alternative is lower than the value of the 10 Gb alternative, when measured based on the type of Exchange access it offers. Moreover, market participants that purchase 10 Gb physical ports utilize the most bandwidth and therefore consume the most resources from the network. The Exchange also anticipates that firms that utilize 10 Gb ports will benefit the most from the Exchange's investment in offering NY6 as the Exchange anticipates there will be much higher quantities of 10 Gb physical ports connecting from NY6 as compared to 1 Gb ports. Indeed, the Exchange notes that 10 Gb physical ports account for approximately 90% of physical ports across the NY4, NY5, and NY6 data centers, and to date, 80% of new port connections in NY6 are 10 Gb ports. As such, the Exchange believes the proposed fee change for 10 Gb physical ports is reasonable and appropriately allocated.

The Exchange lastly notes that it is not required by the Exchange Act, nor any other rule or regulation, to undertake a cost-of-service or rate-making approach with respect to fee proposals. Moreover, the Exchange notes that it did not raise any arguments relating to its profitability nor is it required to do so in order to demonstrate that its fees are reasonable and consistent with the Act. The Exchange believes that, even if it were possible as a matter of economic theory, cost-based pricing for the proposed fee would be so complicated that it could not be done practically. In fact, the Exchange has represented to the Commission on numerous occasions that the type of data relating to profit margins and return on assets that the Commission is effectively mandating of all exchanges is not feasible for the Exchange, as its costs are not kept in the disaggregated manner necessary for such an analysis. Notwithstanding this fact, the Exchange has recently undertaken the exercise of reviewing its costs and expenses relating to

⁴⁴ See *e.g.*, The Nasdaq Stock Market LLC ("Nasdaq"), General 8, Connectivity to the Exchange. Nasdaq and its affiliated exchanges charge a monthly fee of \$15,000 for each 10Gb Ultra fiber connection to the respective exchange, which is analogous to the Exchange's 10Gb physical port. See also New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago Inc., NYSE National, Inc. Connectivity Fee Schedule, which provides that 10 Gb LX LCN Circuits (which are analogous to the Exchange's 10 Gb physical port) are assessed \$22,000 per month, per port.

connectivity to explore further cost-related justifications in an effort to address to the best of its ability the Commission's request for such information. The Exchange represents that it again was not able to do so in the manner expected by the Commission. Furthermore, in setting fees for its physical connectivity, including this current proposed fee change, the Exchange did not perform the type of cost-analysis that the Commission is demanding (consistent with its inability to do so based on how it aggregates its costs and revenue). The Exchange instead considers, as it did here, various factors in setting fees, including the current competitive landscape, the rates historically paid by market participants for connectivity and the potential impact on market participants to ensure that the proposed fees would not create an undue financial burden on any market participants, including smaller market participants.⁴⁵

The Exchange reiterates Congress's intent in enacting the 1975 Amendments to the Act was to enable competition—rather than government order—to determine prices. The principal purpose of the amendments was to facilitate the creation of a national market system for the trading of securities. Congress intended that this “national market system evolve through the interplay of *competitive forces* as unnecessary regulatory restrictions are removed.”⁴⁶ Other provisions of the Act confirm that intent. For example, the Act provides that an exchange must design its rules “to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general, to protect investors and the public interest.”⁴⁷ Likewise, the Act grants the Commission authority to amend or repeal “[t]he rules of [an] exchange [that] impose any burden on competition not necessary or appropriate in furtherance of the purposes of this chapter.”⁴⁸ In short, the promotion of free and open

competition was a core congressional objective in creating the national market system.⁴⁹ Indeed, the Commission has historically interpreted that mandate to promote competitive forces to determine prices whenever compatible with a national market system. Accordingly, the Exchange believes it has met its burden to demonstrate that its proposed fee change is reasonable and consistent with the immediate filing process chosen by Congress, which created a system whereby market forces determine access fees in the vast majority of cases, subject to oversight only in particular cases of abuse or market failure. Indeed, the Exchange believes that classification of costs could likely not be done without ongoing debate over formulas for allocation,⁵⁰ continual auditing, and considerable expense. The Exchange also believes cost-based analysis could create disincentives to reduce costs through efficient operation or innovation. Moreover, the industry could experience frequent rate increases based on escalating expense levels. Additionally, the manner in which one exchange defends its pricing should not be deemed unreasonable simply because it differs from the choices made by other exchanges (e.g., using a cost-based analysis versus discussion on competitive forces). The Exchange lastly

cautions that as disputes arise regarding the appropriate measure and calculation of relevant costs and allocation of common costs, the Commission could find itself engaging in the kind of rigid ratemaking not contemplated by Section 11A of the Exchange Act and which the Commission has historically sought to avoid.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. The proposed fee change will not impact intramarket competition because it will apply to all similarly situated Members equally (i.e., all market participants that choose to purchase the 10 Gb physical port). Additionally, the Exchange does not believe its proposed pricing will impose a barrier to entry to smaller participants and notes that its proposed connectivity pricing is associated with relative usage of the various market participants. For example, market participants with modest capacity needs can continue to buy the less expensive 1 Gb physical port (which cost is not changing) or may choose to obtain access via a third-party re-seller. While pricing may be increased for the larger capacity physical ports, such options provide far more capacity and are purchased by those that consume more resources from the network.

Accordingly, the proposed connectivity fees do not favor certain categories of market participants in a manner that would impose a burden on competition; rather, the allocation reflects the network resources consumed by the various size of market participants—lowest bandwidth consuming members pay the least, and highest bandwidth consuming members pays the most.

The Exchange's proposed fee is also still lower than some fees for similar connectivity on other exchanges and therefore may stimulate intermarket competition by attracting additional firms to connect to the Exchange or at least should not deter interested participants from connecting directly to the Exchange. Further, if the changes proposed herein are unattractive to market participants, the Exchange can, and likely will, see a decline in connectivity via 10 Gb physical ports as a result. The Exchange operates in a highly competitive market in which market participants can determine whether or not to connect directly to the Exchange based on the value received compared to the cost of doing so. Indeed, market participants have

⁴⁹ See also 15 U.S.C. 78k–l(a)(1)(C)(ii) (purposes of Exchange Act include to promote “fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets”); Order, 73 FR at 74781 (“The Exchange Act and its legislative history strongly support the Commission's reliance on competition, whenever possible, in meeting its regulatory responsibilities for overseeing the SROs and the national market system.”).

⁵⁰ See e.g., letter from Brian Sopinsky, General Counsel, Susquehanna International Group, LLP (“SIG”), to Vanessa Countryman, Secretary, Commission, dated February 7, 2023, letters from Gerald D. O'Connell, SIG, to Vanessa Countryman, Secretary, Commission, dated March 21, 2023, May 24, 2023, July 24, 2023 and September 18, 2023, and letters from John C. Pickford, SIG, to Vanessa Countryman, Secretary, Commission, dated January 4, 2024, and March 1, 2024 and letters from Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc. (“Virtu”), to Vanessa Countryman, Secretary, Commission, dated November 8, 2023 and January 2, 2024. See also Securities Exchange Act Release No. 93883 (December 30, 2021), 87 FR 523 (January 5, 2022) (SR–IEX–2021–14) (Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change To Amend Its Fee Schedule for Market Data Fees) and Securities Exchange Act Release No. 94888 (May 11, 2022), 87 FR 29892 (May 17, 2022) (SR–PEARL–2022–18) (Notice of Filing of a Proposed Rule Change To Amend the MIAx PEARL Options Fee Schedule To Increase Certain Connectivity Fees and To Increase the Monthly Fees for MIAx Express Network Full Service Port; Suspension of and Order Instituting Proceedings To Determine Whether To Approve or Disapprove the Proposed Rule Change).

⁴⁵ Regarding market participant impact, it is notable that since the proposed fee change was first implemented over 14 months ago, the Exchange received no comments from any individual Member suggesting that it was unduly burdened by the proposed changes described herein, notwithstanding the opportunity to do so on several occasions during multiple comment periods. The only comment letters the Exchange did receive were all submitted by the same industry participant notorious for submitting comments opposing any and all market data and connectivity fee filings and equally notorious for the factual inaccuracies and conclusory statements contained therein.

⁴⁶ See H.R. Rep. No. 94–229, at 92 (1975) (Conf. Rep.) (emphasis added).

⁴⁷ 15 U.S.C. 78f(b)(5).

⁴⁸ 15 U.S.C. 78f(8).

numerous alternative venues that they may participate on and direct their order flow, including 13 non-Cboe affiliated options markets, as well as off-exchange venues, where competitive products are available for trading. Moreover, the Commission has repeatedly expressed its preference for competition over regulatory intervention in determining prices, products, and services in the securities markets. Specifically, in Regulation NMS, the Commission highlighted the importance of market forces in determining prices and SRO revenues and, also, recognized that current regulation of the market system “has been remarkably successful in promoting market competition in its broader forms that are most important to investors and listed companies.”⁵¹ The fact that this market is competitive has also long been recognized by the courts. In *NetCoalition v. Securities and Exchange Commission*, the D.C. Circuit stated as follows: “[n]o one disputes that competition for order flow is ‘fierce.’ . . . As the SEC explained, ‘[i]n the U.S. national market system, buyers and sellers of securities, and the broker-dealers that act as their order-routing agents, have a wide range of choices of where to route orders for execution’; [and] ‘no exchange can afford to take its market share percentages for granted’ because ‘no exchange possesses a monopoly, regulatory or otherwise, in the execution of order flow from broker dealers’. . . .”⁵² Accordingly, the Exchange does not believe its proposed change imposes any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act.

C. Self-Regulatory Organization’s Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A) of the Act⁵³ and paragraph (f) of Rule 19b-4⁵⁴ thereunder. At any time within 60 days of the filing of the proposed rule

change, the Commission summarily may temporarily suspend such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission will institute proceedings to determine whether the proposed rule change should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission’s internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-C2-2024-015 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090. All submissions should refer to file number SR-C2-2024-015. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission’s internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission’s Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or

withhold entirely from publication submitted material that is obscene or subject to copyright protection. All submissions should refer to file number SR-C2-2024-015 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁵⁵

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21170 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101004; File No. SR-BOX-2024-22]

Self-Regulatory Organizations; BOX Exchange LLC; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend BOX Rule 5050 (Series of Options Contracts Open for Trading) To Permit the Expansion of Monday Expirations in Certain Exchange Traded Products

September 12, 2024.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (“Act”),¹ and Rule 19b-4 thereunder,² notice is hereby given that on September 5, 2024, BOX Exchange LLC (the “Exchange”) filed with the Securities and Exchange Commission (“Commission”) the proposed rule change as described in Items I and II below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule from interested persons.

I. Self-Regulatory Organization’s Statement of the Terms of Substance of the Proposed Rule Change

The Exchange proposes to amend BOX Rule 5050 (Series of Options Contracts Open for Trading) to permit the expansion of Monday expirations in Exchange Traded Products (“ETPs”). The text of the proposed rule change is available from the principal office of the Exchange, at the Commission’s Public Reference Room and also on the Exchange’s internet website at <https://rules.boxexchange.com/rulefilings>.

⁵⁵ 17 CFR 200.30-3(a)(12).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

⁵¹ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37499 (June 29, 2005).

⁵² *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782-83 (December 9, 2008) (SR-NYSEArca-2006-21)).

⁵³ 15 U.S.C. 78s(b)(3)(A).

⁵⁴ 17 CFR 240.19b-4(f).

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the self-regulatory organization included statements concerning the purpose of, and basis for, the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The self-regulatory organization has prepared summaries, set forth in Sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

The Exchange proposes to amend BOX Rule 5050 (Series of Options Contracts Open for Trading) to permit the expansion of Monday expirations in ETPs. Specifically, the Exchange proposes to expand the Short Term Option Series Program to permit the listing of two Monday expirations for options on SPDR Gold Shares ("GLD"), iShares Silver Trust ("SLV"), and iShares 20+ Year Treasury Bond ETF ("TLT") (collectively "Exchange Traded Products" or "ETPs").³ This is a competitive filing that is based on a proposal recently submitted by Nasdaq ISE, LLC ("ISE") and approved by the Commission.⁴

Currently, as set forth in IM-5050-6 (Short Term Option Series Program), after an option class has been approved for listing and trading on the Exchange as a Short Term Option Series pursuant to BOX Rule 100(a)(66),⁵ the Exchange

may open for trading on any Thursday or Friday that is a business day ("Short Term Option Opening Date") series of options on that class that expire at the close of business on each of the next five Fridays that are business days and are not Fridays in which standard expiration options series, Monthly Options Series, or Quarterly Options Series expire ("Friday Short Term Option Expiration Dates"). The Exchange may have no more than a total of five Short Term Option Expiration Dates. Further, if the Exchange is not open for business on the respective Thursday or Friday, the Short Term Option.

Opening Date for Short Term Option Weekly Expirations will be the first business day immediately prior to that respective Thursday or Friday. Similarly, if the Exchange is not open for business on a Friday, the Short Term Option Expiration Date for Short Term Option Weekly Expirations will be the first business day immediately prior to that Friday.

Additionally, the Exchange may open for trading series of options on the symbols provided in Table 1 of IM-5050-6 that expire at the close of business on each of the next two Mondays, Tuesdays, Wednesdays, and Thursdays, respectively, that are business days beyond the current week and are not business days in which standard expiration options series, Monthly Options Series, or Quarterly Options Series expire ("Short Term Option Daily Expirations").⁶ For those symbols listed in Table 1, the Exchange may have no more than a total of two Short Term Option Daily Expirations beyond the current week for each of Monday, Tuesday, Wednesday, and Thursday expirations, as applicable, at one time.

At this time, the Exchange proposes to expand the Short Term Option Daily Expirations to permit the listing and trading of options on GLD, SLV, and TLT expiring on Mondays. The Exchange proposes to permit two Short Term Option Expiration Dates beyond the current week for each Monday expiration at one time, and would update Table 1 in IM-5050-6 for each of those symbols accordingly.

The proposed Monday GLD, SLV, and TLT expirations will be similar to the current Monday SPY, QQQ, and IWM Short Term Option Daily Expirations set

forth in IM-5050-6, such that the Exchange may open for trading on any Friday or Monday that is a business day (beyond the current week) series of options on GLD, SLV, and TLT to expire on any Monday of the month that is a business day and is not a Monday in which standard expiration options series, Monthly Options Series, or Quarterly Options Series expire, provided that Monday expirations that are listed on a Friday must be listed at least one business week and one business day prior to the expiration ("Monday GLD Expirations," "Monday SLV Expirations," and "Monday TLT Expirations") (collectively, "Monday ETP Expirations").⁷ In the event Short Term Option Daily Expirations expire on a Monday and that Monday is the same day that a standard expiration options series, Monthly Options Series, or Quarterly Options Series expires, the Exchange would skip that week's listing and instead list the following week; the two weeks would therefore not be consecutive. Today, Monday expirations in SPY, QQQ, and IWM similarly skip the weekly listing in the event the weekly listing expires on the same day in the same class as a standard expiration options series, Monthly Options Series, or Quarterly Options Series.

The interval between strike prices for the proposed Monday ETP Expirations will be the same as those currently applicable to the Short Term Option Series Program.⁸ Specifically, the Monday ETP Expirations will have a strike interval of (i) \$0.50 or greater for strike prices below \$100, and \$1 or greater for strike prices between \$100 and \$150 for all option classes that participate in the Short Term Option Series Program, (ii) \$0.50 for option classes that trade in one dollar increments in Related non-short Term Options and are in the Short Term Option Series Program, or (iii) \$2.50 or greater for strike prices above \$150.⁹ As is the case with other equity options series listed pursuant to the Short Term Option Series Program, the Monday ETP Expirations series will be P.M.-settled.

Pursuant to Rule 100(a)(66), with respect to the Short Term Option Series Program, if a Monday is not a business day, the series shall expire on the first business day immediately following that Monday.

Currently, for each option class eligible for participation in the Short

³ Today, the Exchange permits the listing of two Wednesday expirations for options on GLD, SLV, and TLT. See Securities Exchange Act Release No. 98997 (November 21, 2023), 88 FR 82929 (November 27, 2023) (SR-BOX-2023-27) ("Wednesday Approval Order"). The Exchange began listing Wednesday expirations on these five symbols on November 21, 2023. See Notice 2023-423.

⁴ See Securities Exchange Act Release No. 100837 (August 27, 2024) (Order Approving SR-ISE-2024-21).

⁵ BOX Rule 100(a)(66) provides that a Short Term Option Series means a series in an option class that is approved for listing and trading on the Exchange in which the series is opened for trading on any Monday, Tuesday, Wednesday, Thursday or Friday that is a business day and that expires on the Monday, Wednesday or Friday of the following business week that is a business day, or, in the case of a series that is listed on a Friday and expires on a Monday, is listed one business week and one business day prior to that expiration. If a Tuesday, Wednesday, Thursday or Friday is not a business day, the series may be opened (or shall expire) on the first business day immediately prior to that Tuesday, Wednesday, Thursday or Friday. For a

series listed pursuant to this section for Monday expiration, if a Monday is not a business day, the series shall expire on the first business day immediately following that Monday.

⁶ As set forth in Table 1, the Exchange currently only permits Wednesday expirations for USO, UNG, GLD, SLV, and TLT.

⁷ Today, GLD, SLV, and TLT may trade on Wednesdays. See *supra* note 3. They may also trade on Fridays, as is the case for all options series in the Short Term Option Series Program.

⁸ See IM-5050-6(b)(5).

⁹ *Id.*

Term Option Series Program, the Exchange is limited to opening thirty (30) series for each expiration date for the specific class.¹⁰ The thirty (30) series restriction does not include series that are open by other securities exchanges under their respective weekly rules; the Exchange may list these additional series that are listed by other options exchanges.¹¹ With the proposed changes, this thirty (30) series restriction would apply to Monday GLD, SLV, and TLT Short Term Option Daily Expirations as well. In addition, the Exchange will be able to list series that are listed by other exchanges, assuming they file similar rules with the Commission to list Monday ETP Expirations.

With this proposal, Monday ETP Expirations would be treated similarly to existing Monday SPY, QQQ, and IWM Expirations. With respect to standard expiration option series, Short Term Option Daily Expirations will be permitted to expire in the same week in which standard expiration option series on the same class expire.¹² Not listing Short Term Option Daily Expirations for one week every month because there was a standard options series on that same class on the Friday of that week would create investor confusion.

Further, as with Monday SPY, QQQ, and IWM Expirations, the Exchange would not permit Monday ETP Expirations to expire on a business day in which standard expiration option series, Monthly Options Series, or Quarterly Options Series expire.¹³ Therefore, all Short Term Option Daily Expirations would expire at the close of business on each of the next two Mondays, Tuesdays, Wednesdays, and Thursdays, respectively, that are business days and are not business days in which standard expiration option series, Monthly Options Series, or Quarterly Options Series expire. The Exchange believes that it is reasonable to not permit two expirations on the same day in which a standard expiration option series, Monthly Options Series, a Quarterly Options Series would expire because those options would be duplicative of each other.

The Exchange does not believe that any market disruptions will be encountered with the introduction of Monday ETP Expirations. The Exchange currently trades P.M.-settled Short Term Option Series that expire Monday for SPY, QQQ and IWM and has not

experienced any market disruptions nor issues with capacity.¹⁴ In addition, the Exchange has not experienced any market disruptions or issues with capacity in expanding the three ETPs to the Wednesday expirations.¹⁵ Today, the Exchange has surveillance programs in place to support and properly monitor trading in Short Term Option Series that expire Monday for SPY, QQQ and IWM. Further, the Exchange has the necessary capacity and surveillance programs in place to support and properly monitor trading in the proposed Monday ETP Expirations.

2. Statutory Basis

The Exchange believes that the proposal is consistent with the requirements of Section 6(b) of the Securities Exchange Act of 1934 (the “Act”),¹⁶ in general, and Section 6(b)(5) of the Act,¹⁷ in particular, in that it is designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, to foster cooperation and coordination with persons engaged in facilitating transactions in securities, to remove impediments to and perfect the mechanism of a free and open market and a national market system, and, in general to protect investors and the public interest.

Similar to Monday expirations in SPY, QQQ, and IWM, the proposal to permit Monday ETP Expirations, subject to the proposed limitation of two expirations beyond the current week, would protect investors and the public interest by providing the investing public and other market participants more choice and flexibility to closely tailor their investment and hedging decisions in these options and allow for a reduced premium cost of buying portfolio protection, thus allowing them to better manage their risk exposure. The Exchange believes that there is general demand for alternative

expirations based on the analysis discussed above,¹⁸ notably comparing the average daily contracts traded in options overlying SPY, QQQ, and the three ETPs five months before and after the introduction of alternative expirations on those symbols. The Exchange observes that the ISE data shows a volume increase in SPY and QQQ in the five-month period following the introduction of Tuesday and Thursday expirations, which suggests there is indeed genuine new interest in these alternative expirations (as opposed to existing interest being cannibalized).¹⁹ The Exchange observes that the ISE data shows a volume increase in the majority of the three ETPs in the five-month period following the introduction of Wednesday expirations, likewise indicating the existence of general demand for alternative expirations in these symbols.²⁰

BOX represents that it has an adequate surveillance program in place to detect manipulative trading in the proposed option expirations, in the same way that it monitors trading in the current Short Term Option Series for Monday SPY, QQQ and IWM expirations. The Exchange also represents that it has the necessary system capacity to support the new expirations. Finally, the Exchange does not believe that any market disruptions will be encountered with the introduction of these option expirations. As discussed above, the Exchange believes that its proposal is a modest expansion of weekly expiration dates for GLD, SLV, and TLT given that it will be limited to two Monday expirations beyond the current week.²¹

The Exchange believes that the proposal is consistent with the Act as the proposal would overall add a small number of Monday ETP Expirations by limiting the addition of two Monday expirations beyond the current week. The addition of Monday ETP Expirations would remove impediments to and perfect the mechanism of a free and open market by encouraging Market Makers to continue to deploy capital more efficiently and improve displayed market quality.²² The Exchange believes that the proposal will allow Participants to expand hedging tools and tailor their investment and hedging needs more effectively in GLD, SLV, and TLT as these funds are most likely to be utilized

¹⁴ In its filing to expand the Short Term Options Series Program to permit GLD, SLV, and TLT Monday Expirations, ISE provided charts and analysis demonstrating the percentage of weekly listings in the options industry compared to monthly, quarterly, and Long-Term Options Series for a twelve-month period ending on February 22, 2024. The information includes time averaged data (the number of strikes by maturity date divided from the number of trading days) for all 17 options markets through February 22, 2024. The analysis showed less volatility in GLD, SLV, and TLT (both in terms of post-close and during the last 30 minutes of trading) compared to SPY, QQQ, and IWM, which have alternative expirations (including Monday expirations) today. ISE sourced this information, which are estimates, from OCC. See Securities Exchange Act Release No. 100837 (August 27, 2024) (SR-ISE-2024-21).

¹⁵ See *supra* note 3.

¹⁶ 15 U.S.C. 78f(b).

¹⁷ 15 U.S.C. 78f(b)(5).

¹⁸ See *supra* note 14.

¹⁹ *Id.*

²⁰ *Id.*

²¹ *Id.*

²² Today, Market Makers are required to quote a specified time in their assigned options series. See BOX Rule 8050.

¹⁰ See IM-5050-6(b)(1).

¹¹ See IM-5050-6.

¹² See IM-5050-6(b)(2).

¹³ See IM-5050-6(b).

by market participants to hedge the underlying asset classes. As stated in the Wednesday Approval Order, the ETPs currently trade within “complexes” where, in addition to the underlying security, there are multiple instruments available for hedging. Given the multi-asset class nature of these products and available hedges in highly correlated instruments, the Exchange believes that its proposal to add Monday expirations on these products will provide market participants with additional useful hedging tools for the underlying asset classes.

Similar to Monday SPY, QQQ, and IWM expirations, the introduction of Monday ETP Expirations is consistent with the Act as it will, among other things, expand hedging tools available to market participants and allow for a reduced premium cost of buying portfolio protection. The Exchange believes that Monday ETP Expirations will allow market participants to purchase options on GLD, SLV, and TLT based on their timing as needed and allow them to tailor their investment and hedging needs more effectively, thus allowing them to better manage their risk exposure. Today, BOX lists Monday SPY, QQQ, and IWM Expirations.²³

In particular, the Exchange believes the Short Term Option Series Program has been successful to date and that Monday ETP Expirations should simply expand the ability of investors to hedge risk against market movements stemming from economic releases or market events that occur throughout the month in the same way that the Short Term Option Series Program has expanded the landscape of hedging.

There are no material differences in the treatment of Monday SPY, QQQ and IWM expirations compared to the proposed Monday ETP Expirations. Given the similarities between Monday SPY, QQQ and IWM expirations and the proposed Monday ETP Expirations, the Exchange believes that applying the provisions in IM-5050-6(b) that currently apply to Monday SPY, QQQ and IWM expirations is justified. For example, the Exchange believes that allowing Monday ETP Expirations and monthly Exchange Traded Product expirations in the same week will benefit investors and minimize investor confusion by providing Monday ETP Expirations in a continuous and uniform manner.

B. Self-Regulatory Organization's Statement on Burden on Competition

The Exchange does not believe that the proposed rule change will impose any burden on competition not necessary or appropriate in furtherance of the purposes of the Act. In this regard and as indicated above, the Exchange notes that the rule change is being proposed as a competitive response to a filing submitted by ISE that was recently approved by the Commission.²⁴

While the proposal will expand the Short Term Options Expirations to allow Monday ETP Expirations to be listed on BOX, the Exchange believes that this limited expansion for Monday expirations for options on GLD, SLV, and TLT will not impose an undue burden on competition; rather, it will meet customer demand. The Exchange believes that Participants will continue to be able to expand hedging tools and tailor their investment and hedging needs more effectively in GLD, SLV, and TLT.

Similar to Monday SPY, QQQ and IWM expirations, the introduction of Monday ETP Expirations does not impose an undue burden on competition. The Exchange believes that it will, among other things, expand hedging tools available to market participants and allow for a reduced premium cost of buying portfolio protection. The Exchange believes that Monday ETP Expirations will allow market participants to purchase options on GLD, SLV, and TLT based on their timing as needed and allow them to tailor their investment and hedging needs more effectively.

The Exchange does not believe the proposal will impose any burden on intermarket competition, as nothing prevents the other options exchanges from proposing similar rules to list and trade Monday ETP Expirations. Further, the Exchange does not believe the proposal will impose any burden on intra-market competition, as all market participants will be treated in the same manner under this proposal.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

The Exchange has neither solicited nor received comments on the proposed rule change.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The Exchange has filed the proposed rule change pursuant to Section

19(b)(3)(A)(iii) of the Act²⁵ and Rule 19b-4(f)(6) thereunder.²⁶ Because the foregoing proposed rule change does not: (i) significantly affect the protection of investors or the public interest; (ii) impose any significant burden on competition; and (iii) become operative for 30 days from the date on which it was filed, or such shorter time as the Commission may designate, it has become effective pursuant to Section 19(b)(3)(A)(iii) of the Act²⁷ and subparagraph (f)(6) of Rule 19b-4 thereunder.²⁸

A proposed rule change filed under Rule 19b-4(f)(6)²⁹ normally does not become operative prior to 30 days after the date of the filing. However, pursuant to Rule 19b-4(f)(6)(iii),³⁰ the Commission may designate a shorter time if such action is consistent with the protection of investors and the public interest. The Exchange has requested that the Commission waive the 30-day operative delay so that the proposal may become operative immediately upon filing. According to the Exchange, the proposed rule change is a competitive response to a filing submitted by ISE that recently was approved by the Commission.³¹ The Exchange has stated that waiver of the 30-day operative delay would allow the Exchange to expand the Short Term Options Expirations to be listed on the Exchange and allow limited expansion in Monday ETP Expirations at the same time as its competitor exchanges. The Commission believes that the proposed rule change presents no novel issues and that waiver of the 30-day operative delay is consistent with the protection of investors and the public interest. Accordingly, the Commission hereby waives the 30-day operative delay and designates the proposed rule change as operative upon filing.³²

At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend such rule change if

²⁵ 15 U.S.C. 78s(b)(3)(A)(iii).

²⁶ 17 CFR 240.19b-4(f)(6).

²⁷ 15 U.S.C. 78s(b)(3)(A)(iii).

²⁸ 17 CFR 240.19b-4(f)(6). In addition, Rule 19b-4(f)(6)(iii) requires a self-regulatory organization to give the Commission written notice of its intent to file the proposed rule change, along with a brief description and text of the proposed rule change, at least five business days prior to the date of filing of the proposed rule change, or such shorter time as designated by the Commission. The Exchange has satisfied this requirement.

²⁹ 17 CFR 240.19b-4(f)(6).

³⁰ 17 CFR 240.19b-4(f)(6)(iii).

³¹ See *supra* note 4.

³² For purposes only of waiving the 30-day operative delay, the Commission has also considered the proposed rule's impact on efficiency, competition, and capital formation. See 15 U.S.C. 78c(f).

²³ See IM-5050-6(b).

²⁴ See *supra* note 4.

it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act. If the Commission takes such action, the Commission shall institute proceedings to determine whether the proposed rule should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views, and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-BOX-2024-22 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to file number SR-BOX-2024-22. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for website viewing and printing in the Commission's Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of the Exchange. Do not include personal identifiable information in submissions; you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection. All

submissions should refer to file number SR-BOX-2024-22 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.³³

Vanessa A. Countryman,
Secretary.

[FR Doc. 2024-21164 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-101005; File Nos. SR-NYSE-2024-03; SR-NYSEAMER-2024-02; SR-NYSEARCA-2024-02; SR-NYSECHX-2024-02; SR-NYSENAT-2024-01]

Self-Regulatory Organizations; New York Stock Exchange LLC; NYSE American LLC; NYSE Arca, Inc.; NYSE Chicago, Inc.; NYSE National, Inc.; Notice of Withdrawal of Proposed Rule Change To Establish Fees Related to Certain Historical Costs of the National Market System Plan Governing the Consolidated Audit Trail

September 12, 2024.

On January 3, 2024 New York Stock Exchange LLC; NYSE American LLC; NYSE Arca, Inc.; NYSE Chicago, Inc.; and NYSE National, Inc. (the "Exchanges") filed with the Securities and Exchange Commission (the "Commission"), pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 ("Act")¹ and Rule 19b-4 thereunder,² proposed rule changes to establish fees for industry members related to certain historical costs of the National Market System plan governing the Consolidated Audit Trail. The proposed rule changes were immediately effective upon filing with the Commission pursuant to Section 19(b)(3)(A) of the Act.³ On February 13, 2024, the proposed rule changes were published in the **Federal Register** and the Commission temporarily suspended and instituted proceedings to determine whether to approve or disapprove the proposed rule changes.⁴ The

³³ 17 CFR 200.30-3(a)(12), (59).

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

³ 15 U.S.C. 78s(b)(3)(A). A proposed rule change may take effect upon filing with the Commission if it is designated by the exchange as "establishing or changing a due, fee, or other charge imposed by the self-regulatory organization on any person, whether or not the person is a member of the self-regulatory organization." 15 U.S.C. 78s(b)(3)(A)(ii).

⁴ Securities Exchange Act Release Nos. 34-99380 (January 17, 2024), 89 FR 11079 (February 13, 2024) (SR-NYSE-2024-03); 99381 (January 17, 2024), 89 FR 10620 (February 13, 2024) (SR-NYSEAMER-2024-02); 99357 (January 17, 2024), 89 FR 10735 (February 13, 2024) (SR-NYSEARCA-2024-02);

Commission received six comments on the proposed rule changes and one response to those comments.⁵ On July 31, 2024, pursuant to Section 19(b)(2) of the Act,⁶ the Commission designated a longer period within which to approve the proposed rule changes or disapprove the proposed rule changes.⁷ On September 6, 2024, the Exchanges withdrew the proposed rule changes (SR-NYSE-2024-03; SR-NYSEAMER-2024-02; SR-NYSEARCA-2024-02; SR-NYSECHX-2024-02; SR-NYSENAT-2024-01).

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.⁸

Sherry R. Haywood,
Assistant Secretary.

[FR Doc. 2024-21165 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

SMALL BUSINESS ADMINISTRATION

[Disaster Declaration #20570 and #20571; TEXAS Disaster Number TX-20024]

Administrative Rural Declaration Amendment of a Disaster for the State of Texas

AGENCY: Small Business Administration.

ACTION: Amendment 1.

SUMMARY: This is an amendment of the Administrative Rural declaration of disaster for the State of Texas dated 09/03/2024.

Incident: Hurricane Beryl.

Incident Period: 07/05/2024 through 07/09/2024.

99366 (January 17, 2024), 89 FR 10315 (February 13, 2024) (SR-NYSECHX-2024-02); 99368 (January 17, 2024), 89 FR 10353 (February 13, 2024) (SR-NYSENAT-2024-01);

⁵ See letters from: Edward Weisbaum, Executing Broker CBOE Floor, dated February 6, 2024; Howard Meyerson, Managing Director, Financial Information Forum, to Vanessa Countryman, Secretary, Commission, dated March 4, 2024; Thomas M. Merritt, Deputy General Counsel, Virtu Financial, Inc., to Vanessa Countryman, Secretary, Commission, dated March 5, 2024; Ellen Greene, Managing Director, Equities & Options Market Structure, SIFMA; Joseph Corcoran, Managing Director, Associate General Counsel, SIFMA, to Vanessa Countryman, Secretary, Commission, dated March 5, 2024; Stephen John Berger, Managing Director, Global Head of Government & Regulatory Policy, Citadel Securities, to Vanessa Countryman, Secretary, Commission, dated March 5, 2024; Joanna Mallers, Secretary, FIA Principal Traders Group, to Vanessa Countryman, Secretary, Commission, dated March 9, 2024; and Brandon Becker, CAT NMS Plan Operating Committee Chair, to Vanessa Countryman, Secretary, Commission, dated June 13, 2024.

⁶ 15 U.S.C. 78s(b)(2).

⁷ See Securities Exchange Act Release No. 100628 (Jul. 31, 2024), 89 FR 64010 (Aug. 6, 2024); The Commission designated October 10, 2024 as the date by it should approve or disapprove the proposed rule change.

⁸ 17 CFR 200.30-3(a)(12).

DATES: Issued on 09/10/2024.

Physical Loan Application Deadline Date: 11/04/2024.

Economic Injury (EIDL) Loan Application Deadline Date: 06/03/2025.

ADDRESSES: Visit the MySBA Loan Portal at <https://lending.sba.gov> to apply for a disaster assistance loan.

FOR FURTHER INFORMATION CONTACT:

Alan Escobar, Office of Disaster Recovery & Resilience, U.S. Small Business Administration, 409 3rd Street SW, Suite 6050, Washington, DC 20416, (202) 205-6734.

SUPPLEMENTARY INFORMATION: The notice of an Administrative declaration of a rural area for the State of Texas, dated 09/03/2024 is hereby amended to include the following areas as adversely affected by the disaster.

Primary Counties:

Harrison.

All other information in the original declaration remains unchanged.

(Catalog of Federal Domestic Assistance Number 59008)

Isabella Guzman,
Administrator.

[FR Doc. 2024-21213 Filed 9-17-24; 8:45 am]

BILLING CODE 8026-09-P

SMALL BUSINESS ADMINISTRATION

[Disaster Declaration #20637 and #20638; VERMONT Disaster Number VT-20005]

Presidential Declaration of a Major Disaster for Public Assistance Only for the State of Vermont

AGENCY: Small Business Administration.
ACTION: Notice.

SUMMARY: This is a Notice of the Presidential declaration of a major disaster for Public Assistance Only for the State of Vermont (FEMA-4816-DR), dated 09/10/2024.

Incident: Severe Storms and Flooding.
Incident Period: 06/22/2024 through 06/24/2024.

DATES: Issued on 09/10/2024.

Physical Loan Application Deadline Date: 11/12/2024.

Economic Injury (EIDL) Loan Application Deadline Date: 06/10/2025.

ADDRESSES: Visit the MySBA Loan Portal at <https://lending.sba.gov> to apply for a disaster assistance loan.

FOR FURTHER INFORMATION CONTACT:

Vanessa Morgan, Office of Disaster Recovery & Resilience, U.S. Small Business Administration, 409 3rd Street SW, Suite 6050, Washington, DC 20416, (202) 205-6734.

SUPPLEMENTARY INFORMATION: Notice is hereby given that as a result of the

President's major disaster declaration on 09/10/2024, Private Non-Profit organizations that provide essential services of a governmental nature may file disaster loan applications online using the MySBA Loan Portal <https://lending.sba.gov> or other locally announced locations. Please contact the SBA disaster assistance customer service center by email at disastercustomerservice@sba.gov or by phone at 1-800-659-2955 for further assistance.

The following area has been determined to be adversely affected by the disaster:

Primary Counties: Lamoille.

The Interest Rates are:

	Percent
For Physical Damage:	
Non-Profit Organizations with Credit Available Elsewhere ...	3.250
Non-Profit Organizations without Credit Available Elsewhere	3.250
For Economic Injury:	
Non-Profit Organizations without Credit Available Elsewhere	3.250

The number assigned to this disaster for physical damage is 206376 and for economic injury is 206380.

(Catalog of Federal Domestic Assistance Number 59008)

Francisco Sánchez, Jr.,

Associate Administrator, Office of Disaster Recovery & Resilience.

[FR Doc. 2024-21245 Filed 9-17-24; 8:45 am]

BILLING CODE 8026-09-P

SMALL BUSINESS ADMINISTRATION

National Women's Business Council; Notice of Public Meeting

AGENCY: Small Business Administration, National Women's Business Council.

ACTION: Notice of open public meeting.

DATES: The public meeting will be held on Wednesday, September 25, 2024, from 1:00 p.m. to 3:00 p.m. EDT.

ADDRESSES: This meeting will be held at the SBA Headquarters at 409 Third St. SW, Washington, DC, 20024.

FOR FURTHER INFORMATION CONTACT: For more information, please visit the NWBC website at www.nwbc.gov, email info@nwbc.gov or call Rhylee Jones (NWBC Public Affairs Associate) at (202) 735-4342.

The meeting is open to the public; however, advance notice of attendance is requested. To RSVP, please visit the NWBC website at www.nwbc.gov. The

"Public Meetings" section under "Events" will feature a link to register on Eventbrite. Public questions and comments will be addressed and answered during the Q&A portion of the meeting.

SUPPLEMENTARY INFORMATION: Pursuant to section 10(a)(2) of the Federal Advisory Committee Act, the National Women's Business Council (NWBC) announces its third public meeting of Fiscal Year 2024. The 1988 Women's Business Ownership Act established NWBC to serve as an independent source of advice and policy recommendations to the President, Congress, and the Administrator of the U.S. Small Business Administration (SBA) on issues of importance to women entrepreneurs.

This meeting will allow the Council to deliberate and vote on 2024 policy recommendations. The Council will also share research highlights and engagement throughout the 2024 Fiscal Year. The public will have the opportunity to ask questions and provide comments following the presentations. Accommodation for ASL and translation services will be provided during the September Public Meeting. Please request translation services and other accommodations during registration.

Dated: September 13, 2024.

Andrienne Johnson,

Committee Management Officer.

[FR Doc. 2024-21250 Filed 9-17-24; 8:45 am]

BILLING CODE P

SMALL BUSINESS ADMINISTRATION

[Disaster Declaration #20549 and #20550; PENNSYLVANIA Disaster Number PA-20007]

Presidential Declaration of a Major Disaster for the Commonwealth of Pennsylvania

AGENCY: U.S. Small Business Administration.

ACTION: Notice.

SUMMARY: This is a Notice of the Presidential declaration of a major disaster for the Commonwealth of Pennsylvania (FEMA-4815-DR), dated September 11, 2024.

DATES: Issued on September 11, 2024.

Physical Loan Application Deadline Date: November 12, 2024.

Economic Injury (EIDL) Loan Application Deadline Date: June 11, 2025.

ADDRESSES: Visit the MySBA Loan Portal at <https://lending.sba.gov> to apply for a disaster assistance loan.

FOR FURTHER INFORMATION CONTACT:
Alan Escobar, Office of Disaster Recovery & Resilience, U.S. Small Business Administration, 409 3rd Street SW, Suite 6050, Washington, DC 20416, (202) 205–6734.

SUPPLEMENTARY INFORMATION: Notice is hereby given that as a result of the President’s major disaster declaration on 09/11/2024, applications for disaster loans may be submitted online using the MySBA Loan Portal <https://lending.sba.gov> or other locally announced locations. Please contact the SBA disaster assistance customer service center by email at disastercustomerservice@sba.gov or by phone at 1–800–659–2955 for further assistance.

The following areas have been determined to be adversely affected by the disaster:

- Incident:* Tropical Storm Debby.
- Incident Period:* August 9, 2024 through August 10, 2024.
- Primary Counties (Physical Damage and Economic Injury Loans):* Lycoming, Potter, Tioga, Union.
- Contiguous Counties (Economic Injury Loans Only):*
 - Pennsylvania: Bradford, Cameron, Centre, Clinton, Columbia, McKean, Mifflin, Montour, Northumberland, Snyder, Sullivan.
 - New York: Allegany, Chemung, Steuben.

The Interest Rates are:

	Percent
<i>For Physical Damage:</i>	
Homeowners with Credit Available Elsewhere	5.625
Homeowners without Credit Available Elsewhere	2.813
Businesses with Credit Available Elsewhere	8.000
Businesses without Credit Available Elsewhere	4.000
Non-Profit Organizations with Credit Available Elsewhere ...	3.250
Non-Profit Organizations without Credit Available Elsewhere	3.250
<i>For Economic Injury:</i>	
Business and Small Agricultural Cooperatives without Credit Available Elsewhere	4.000
Non-Profit Organizations without Credit Available Elsewhere	3.250

The number assigned to this disaster for physical damage is 205498 and for economic injury is 205500.

(Catalog of Federal Domestic Assistance Number 59008)
Francisco Sánchez, Jr.,
Associate Administrator, Office of Disaster Recovery & Resilience.
[FR Doc. 2024–21246 Filed 9–17–24; 8:45 am]
BILLING CODE 8026–09–P

DEPARTMENT OF STATE

[Public Notice 12540]

60-Day Notice of Proposed Information Collection: Advance Notification Form: Tourist and Other Non-Governmental Activities in the Antarctic Treaty Area

ACTION: Notice of request for public comment.

SUMMARY: The Department of State is seeking Office of Management and Budget (OMB) approval for the information collection described below. In accordance with the Paperwork Reduction Act of 1995, we are requesting comments on this collection from all interested individuals and organizations. The purpose of this notice is to allow 60 days for public comment preceding submission of the collection to OMB.

DATES: The Department will accept comments from the public up to *November 18, 2024.*

You may submit comments by any of the following methods:

- Web:* Persons with access to the internet may comment on this notice by going to www.Regulations.gov. You can search for the document by entering “Docket Number: DOS–2024–0036” in the Search field. Then click the “Comment Now” button and complete the comment form.

- Email:* Antarctica@state.gov.
- Regular Mail:* Send written comments to: Suzanne McGuire, Office of Ocean and Polar Affairs, Room 2665, Bureau of Oceans and International Environmental and Scientific Affairs, U.S. Department of State, 2201 C Street NW, Washington DC 20520.

You must include the DS form number (if applicable), information collection title, and the OMB control number in any correspondence.

FOR FURTHER INFORMATION CONTACT:
Direct requests for additional information regarding the collection listed in this notice, including requests for copies of the proposed collection instrument and supporting documents, to Suzanne McGuire, Office of Ocean and Polar Affairs, Room 2665, Bureau of Oceans and International Environmental and Scientific Affairs, U.S. Department of State, 2201 C Street NW, Washington

DC 20520, who may be reached at Antarctica@state.gov.

SUPPLEMENTARY INFORMATION: • *Title of Information Collection:* ADVANCE NOTIFICATION FORM: Tourist and Other Non-Governmental Activities in the Antarctic Treaty Area.

- *OMB Control Number:* 1405–0181.
- *Type of Request:* Revision of a Currently Approved Collection.
- *Originating Office:* Bureau of Oceans and International Environmental and Scientific Affairs (OES/OPA).
- *Form Number:* DS–4131.
- *Respondents:* Operators of Antarctic expeditions organized in or proceeding from the United States.
- *Estimated Number of Respondents:* 25.
- *Estimated Number of Responses:* 55.
- *Average Time Per Response:* 9 hours.
- *Total Estimated Burden Time:* 495 hours.
- *Frequency:* On occasion.
- *Obligation to Respond:* Required to comply with Article VII(5)(a) of the Antarctic Treaty and associated documents.

We are soliciting public comments to permit the Department to:

- Evaluate whether the proposed information collection is necessary for the proper functions of the Department.
- Evaluate the accuracy of our estimate of the time and cost burden for this proposed collection, including the validity of the methodology and assumptions used.
- Enhance the quality, utility, and clarity of the information to be collected.
- Minimize the reporting burden on those who are to respond, including the use of automated collection techniques or other forms of information technology.

Please note that comments submitted in response to this Notice are public record. Before including any detailed personal information, you should be aware that your comments as submitted, including your personal information, will be available for public review.

Abstract of Proposed Collection

Information solicited on the Advance Notification Form (DS–4131) provides the U.S. government with information on tourist and other non-governmental expeditions to the Antarctic Treaty area. The U.S. government needs this information to comply with Article VII(5)(a) of the Antarctic Treaty and associated documents.

Methodology

The Form DS-4131 is available by download from the Department's website. The information will be submitted by U.S. organizers of tourist and other non-governmental expeditions to Antarctica by means of this form. The form should be submitted via email, although signed originals submitted by regular mail are also valid.

Elizabeth Kim,

*Director, Office of Ocean and Polar Affairs,
Bureau of Oceans and International
Environmental and Scientific Affairs,
Department of State.*

[FR Doc. 2024-21163 Filed 9-17-24; 8:45 am]

BILLING CODE 4710-09-P

TENNESSEE VALLEY AUTHORITY**Meeting of the Regional Energy Resource Council**

AGENCY: Tennessee Valley Authority (TVA).

ACTION: Notice of meeting.

SUMMARY: The TVA Regional Energy Resource Council (RERC) will hold a meeting on October 3, 2024, to receive an update and discuss the September publication and results of TVA's Draft 2025 Integrated Resource Plan (IRP) and associated Draft Environmental Impact Statement (EIS). The IRP provides strategic direction on how TVA will continue to provide low-cost, reliable, resilient, and increasingly cleaner electricity to the 10 million residents of the Valley region. The RERC will also receive an update on TVA's Innovation Research efforts.

DATES: The meeting will be held in Chattanooga, Tennessee, at The Westin Chattanooga on Thursday, October 3, 2024, from 9:00 a.m. to 3:30 p.m. ET. RERC members are invited to attend the meeting in person. The public is invited to view the meeting virtually or attend in person. A one-hour public listening session for the public to present comments virtually or in person will be held October 3, 2024, at 1:00 p.m. ET. A link and instructions to view the meeting will be posted on TVA's RERC website at www.tva.com/rerc prior to the meeting.

ADDRESSES: The meeting will take place at The Westin Chattanooga at 801 Pine St., Chattanooga, TN 37402. The meeting will also be available virtually to the public. Instructions to view the meeting will be posted at www.tva.com/rerc prior to the meeting. Persons who wish to speak virtually during the public listening session must pre-register by 5:00 p.m. ET Monday,

September 30, 2024, by emailing bhaliti@tva.gov. Persons wishing to speak in person are requested to register either at the door between 9:00 a.m. and 10:30 a.m. ET on Thursday, October 3, 2024, or in advance by emailing bhaliti@tva.gov. Anyone needing special accommodations should let the contact below know at least one week in advance.

FOR FURTHER INFORMATION CONTACT:

Bekim Haliti, bhaliti@tva.gov or 931-349-1894.

SUPPLEMENTARY INFORMATION: The RERC was established to advise TVA on its energy resource activities and the priorities among competing objectives and values. Notice of this meeting is given under the Federal Advisory Committee Act (FACA), 5 U.S.C. 10.

The meeting agenda includes the following:

October 3

1. Welcome and Introductions
2. RERC and TVA Meeting Update
3. Integrated Resource Plan Updates
4. Public Listening Session
5. Innovation Research Update

The RERC will hear views of citizens by providing a one-hour public comment session starting October 3 at 1:00 p.m. ET. Persons wishing to speak virtually must register by sending an email to bhaliti@tva.gov or by calling 931-349-1894 by 5:00 p.m. ET, on Monday, September 30, 2024. Persons wishing to speak in person are requested to register either at the door between 9:00 a.m. and 10:30 a.m. ET on Thursday, October 3, 2024, or in advance by emailing bhaliti@tva.gov. Persons registered will be called on during the public listening session to share their views for up to five minutes, depending on number of registrants. Written comments are also invited and may be emailed to bhaliti@tva.gov.

The DFO of the Tennessee Valley Authority and Vice President of Valley Engagement and Support, Melanie Farrell, having reviewed and approved this document, is delegating the authority to sign this document to Bekim Haliti, Specialist of Valley Alliances for publication in the **Federal Register**.

Dated: September 13, 2024.

Bekim Haliti,

Specialist, Valley Alliances, Tennessee Valley Authority.

[FR Doc. 2024-21234 Filed 9-17-24; 8:45 am]

BILLING CODE 8120-08-P

OFFICE OF THE UNITED STATES TRADE REPRESENTATIVE**Notice of Modification: China's Acts, Policies and Practices Related to Technology Transfer, Intellectual Property and Innovation**

AGENCY: Office of the United States Trade Representative (USTR).

ACTION: Notice of modification of actions.

SUMMARY: In connection with the Four-Year Review of actions taken in the section 301 investigation of China's acts, policies, and practices related to technology transfer, intellectual property, and innovation, and in accordance with the specific direction of the President, the U.S. Trade Representative has determined to: modify the actions being taken in the investigation by imposing additional section 301 duties or increasing the rate of existing section 301 duties, on certain products of China in strategic sectors; propose increasing tariff rates for certain tungsten products, wafers, and polysilicon, with a public comment process to be set out via separate notice; provide a list of subheadings eligible for consideration of temporary exclusion under an exclusion process for certain machinery used in domestic manufacturing; and modify the actions to temporarily exclude from section 301 duties certain solar manufacturing equipment.

DATES: Tariff increases in 2024 are applicable with respect to products that are entered for consumption, or withdrawn from warehouse for consumption, on or after September 27, 2024. Tariff increases in 2025 and 2026 are applicable with respect to products that are entered for consumption, or withdrawn from warehouse for consumption, on or after January 1 of the corresponding year. Exclusions for solar equipment included in Annex B are retroactive and applicable with respect to products that are entered for consumption, or withdrawn from warehouse for consumption, on or after January 1, 2024, and through May 31, 2025.

FOR FURTHER INFORMATION CONTACT: For general questions about this notice, contact Philip Butler and Megan Grimbail, Chairs of the Section 301 Committee at 202.395.5725. For specific questions on customs classification or implementation of the product exclusions, contact traderemedy@cbp.dhs.gov.

SUPPLEMENTARY INFORMATION:

A. Background

On August 24, 2017, the U.S. Trade Representative initiated an investigation into certain acts, policies, and practices of the Government of China related to technology transfer, intellectual property, and innovation under section 301 of the Trade Act of 1974, as amended (Trade Act) (19 U.S.C. 2411). See 82 FR 40213. In a notice published on April 6, 2018, the U.S. Trade Representative determined that acts, policies, and practices of the Government of China related to technology transfer, intellectual property, and innovation were unreasonable or discriminatory, and burdened or restricted U.S. commerce, and thus were actionable under section 301(b) of the Trade Act (19 U.S.C. 2411(b)). See 83 FR 14906.

Following a notice and comment process on the proposed action to be taken in the investigation, the U.S. Trade Representative took two actions under section 301 of the Trade Act: the July 6, 2018, action, covering an approximate annual trade value of \$34 billion (List 1), and the August 23, 2018, action, covering an approximate annual trade value of \$16 billion (List 2). See 83 FR 28710 (July 6, 2018, action) and 83 FR 40823 (August 23, 2018, action). These actions subsequently were modified by imposing additional duties on supplemental lists of products, known as Lists 3 and 4, as well as by the temporary removal of duties on certain products through product exclusions.

On May 5, 2022, USTR announced that under section 307(c)(2) of the Trade Act (19 U.S.C. 2417(c)(2)), the July 6, 2018, and August 23, 2018, actions, as modified, were subject to possible termination on their respective four-year anniversary dates (*i.e.*, July 6, 2022, and August 23, 2022) and of the opportunity for representatives of domestic industries that benefit from the trade actions to request continuation of the actions during the last 60 days of such four-year periods. See 87 FR 26797.

On September 8, 2022, USTR announced that the July 6, 2018 and the August 23, 2018 actions, as modified, would remain in effect because at least one representative of a domestic industry that benefits from each action submitted to the U.S. Trade Representative a request for continuation of the actions. See 87 FR 55073. The notice also announced that in accordance with section 307(c)(3) of the Trade Act (19 U.S.C. 2417(c)(3)), the U.S. Trade Representative would conduct a review of the July 6, 2018 and

the August 23, 2018 actions, as modified. See 87 FR 55073.

To aid in this review, on November 15, 2022, USTR opened a docket for interested persons to submit comments with respect to a number of considerations concerning the review. See 87 FR 62914. USTR received approximately 1,500 comments.

Based on information obtained during the review, including the public comments, USTR, in consultation with the Section 301 Committee, prepared a comprehensive report that included findings on the effectiveness of the July 6, 2018 and the August 23, 2018 actions, as modified, in achieving the objectives of the investigation, other actions that could be taken, and the effects of such actions on the United States economy, including consumers. The report, *Four-Year Review of Actions Taken in the Section 301 Investigation: China's Acts, Policies, and Practices Related to Technology Transfer, Intellectual Property, and Innovation* (Report), was published on May 14, 2024, and is available on the USTR website.

As detailed in the Report, the U.S. Trade Representative found that:

- The section 301 actions have been effective in encouraging China to take steps toward eliminating some of its technology transfer-related acts, policies, and practices, and have reduced some of the exposure of U.S. persons and businesses to these technology transfer-related acts, policies, and practices.
- China has not eliminated many of its technology transfer-related acts, policies, and practices, which continue to impose a burden or restriction on U.S. commerce. Instead of pursuing fundamental reform, China has persisted, and even become more aggressive, particularly through cyber intrusions and cybertheft, in its attempts to acquire and absorb foreign technology, which further burden or restrict U.S. commerce.
- Economic analyses generally find that the duties have had small negative effects on U.S. aggregate economic welfare, positive impacts on U.S. production in the ten sectors most directly affected by the duties, and minimal impacts on economy-wide prices and employment.
- Economic analyses, including the principal U.S. Government analysis published by the U.S. International Trade Commission, generally find that the section 301 tariffs have contributed to reducing U.S. imports of goods from China and increasing imports from alternate sources, including U.S. allies and partners, thereby potentially

supporting U.S. supply chain diversification and resilience.

Based on the Report findings, the U.S. Trade Representative recommended to the President to maintain the section 301 tariffs on the covered products. To further encourage China to eliminate the investigated acts, policies, and practices, the U.S. Trade Representative also recommended enhancing the effectiveness of the tariff actions by adding or increasing section 301 tariffs on certain products in strategic sectors, including sectors targeted by China for dominance, or sectors where the United States recently made significant domestic investments. The U.S. Trade Representative found that “increasing or adding section 301 tariffs on products targeted by China for dominance will help encourage the elimination of investigated technology transfer-related acts, policies, and practices by encouraging alternative sourcing in strategic sectors of the economy, reducing U.S. reliance on China, while also reducing exposure to China’s technology transfer-related acts, policies, and practices, and helping to maintain resilient, diverse, and secure supply chains.”

On May 14, 2024, taking into consideration the U.S. Trade Representative’s findings in the Report and recommendations, the President issued a Memorandum (President’s Memorandum) that directed the U.S. Trade Representative to: “maintain, as appropriate and consistent with this memorandum, the *ad valorem* rates of duty and lists of products subject to the [actions] taken under the section 301 investigation” and “[t]o further encourage China to eliminate the acts, policies, and practices at issue, and to counteract the burden or restriction of these acts, policies, and practices, the Trade Representative shall modify the [actions taken in the investigation] to increase section 301 *ad valorem* rates of duty” for certain specified products of China. See <https://www.whitehouse.gov/briefing-room/presidential-actions/2024/05/14/memorandum-on-actions-by-the-united-states-related-to-the-statutory-4-year-review-of-the-section-301-investigation-of-chinas-acts-policies-and-practices-related-to-technology-transfer-intellectual/>. In particular, the President’s Memorandum specified categories of products for proposed tariff increases, tariff rates for those products, and year for tariff increases. With respect to tariff increases, the President directed increases on the following products:

- Battery parts (non-lithium-ion batteries)—Increase rate to 25% in 2024
- Electric vehicles—Increase rate to 100% in 2024
- Facemasks—Increase rate to *no less* than 25% in 2024
- Lithium-ion electrical vehicle batteries—Increase rate to 25% in 2024
- Lithium-ion non-electrical vehicle batteries—Increase rate to 25% in 2026
- Medical gloves—Increase rate to *no less* than 25% in 2026
- Natural graphite—Increase rate to 25% in 2026
- Other critical minerals—Increase rate to 25% in 2024
- Permanent magnets—Increase rate to 25% in 2026
- Semiconductors—Increase rate to 50% in 2025
- Ship-to-shore cranes—Increase rate to 25% in 2024
- Solar cells (whether or not assembled into modules)—Increase rate to 50% in 2024
- Steel and aluminum products—Increase rate to 25% in 2024
- Syringes and needles—Increase rate to *no less* than 50% in 2024

The President also directed the U.S. Trade Representative to establish a process by which interested persons may request that particular machinery used in domestic manufacturing classified within a subheading under Chapters 84 and 85 of the Harmonized Tariff Schedule of the United States (HTSUS) be temporarily excluded from section 301 tariffs, and directed the U.S. Trade Representative to prioritize, in particular, exclusions for certain solar manufacturing equipment.

Additionally, the White House released a statement further explaining how China's acts, policies, and practices have contributed to China's significant control of global production for the critical inputs necessary for U.S. technologies, infrastructure, energy, and healthcare and China's growing overcapacity and export surges, and how such control threatens U.S. supply chains and economic security. See <https://www.whitehouse.gov/briefing-room/statements-releases/2024/05/14/fact-sheet-president-biden-takes-action-to-protect-american-workers-and-businesses-from-chinas-unfair-trade-practices/>.

B. Proposed Modification to the Actions

Consistent with the President's direction, USTR issued a **Federal Register** notice with proposed modifications. See 89 FR 46252 (May 28, 2024) (May 28 notice). In the May

28 notice, the U.S. Trade Representative proposed increasing section 301 duties on 382 HTSUS subheadings and 5 statistical reporting numbers of the HTSUS, with an approximate annual trade value of \$18 billion (2023). Additionally, the U.S. Trade Representative proposed subheadings eligible for consideration for temporary exclusion under a process by which interested persons may request that particular machinery used in domestic manufacturing and classified within certain subheadings under Chapters 84 and 85 of HTSUS be temporarily excluded. Finally, the U.S. Trade Representative proposed 19 temporary exclusions for solar manufacturing equipment. In accordance with section 307(a)(2) of the Trade Act (19 U.S.C. 2417(a)(2)), USTR invited comments from interested persons with respect to the proposed modifications, the scope of the machinery exclusion process, and the temporary exclusions for solar manufacturing equipment. USTR opened a 30-day docket on May 29, 2024.

With respect to the proposed tariff increases, USTR requested commenters to address the effectiveness of the proposed modification, the effects of the proposed modification on the U.S. economy, including consumers, and whether the tariff subheadings or statistical reporting numbers identified for each product or sector adequately cover the products and sectors included in the President's direction to the U.S. Trade Representative. In addition, for facemasks, needles and syringes, and medical gloves, consistent with the President's direction to increase tariffs *no less* than specified rates, USTR requested comment on whether the rates of additional duty should be higher than the proposed rates, and with respect to facemasks, whether additional statistical reporting numbers under HTSUS subheading 6307.90.98 should be included.

With respect to the machinery exclusion process, USTR requested comments on whether the subheadings proposed should or should not be eligible for consideration in the machinery exclusion process and whether certain subheadings under Chapters 84 and 85 that cover machinery used in domestic manufacturing were omitted and should be included. Finally, with respect to the 19 proposed solar manufacturing machinery exclusions, USTR requested comments on the scope of each exclusion, including suggested amendments to the product description.

In response to the May 28 notice, USTR received more than 1,100

comments. Of the comments received, approximately 420 comments expressed views about the proposed tariff increases on certain products, approximately 656 comments expressed views about the proposed subheadings eligible for consideration of temporary exclusions under an exclusion process for machinery used in domestic manufacturing, and approximately 80 comments expressed views about the proposed 19 temporary exclusions for solar manufacturing equipment. The public submissions are available at <https://comments.ustr.gov>, docket number USTR-2024-0007.

C. Determination To Modify the Actions

Pursuant to sections 307(c) and 307(a)(1) of the Trade Act (19 U.S.C. 2417(c), (a)(1)), the U.S. Trade Representative may modify or terminate any action, subject to the specific direction, if any, of the President with respect to such action, that is being taken under section 301 if the burden or restriction on U.S. commerce of the acts, policies, and practices that are the subject of such action has increased or decreased, or such action is being taken under section 301(b) and no longer is appropriate.

As detailed in USTR's Report, modification of the action is warranted under section 307(a)(1)(B) as many of the technology transfer-related acts, policies, and practices described in the original section 301 Report persist and increasingly burden or restrict U.S. commerce. Rather than eliminate the technology transfer-related acts, policies, and practices that are the subject of the section 301 investigation, the Report reviews how China has become more aggressive, particularly through cybertheft and cyber intrusions, in its attempts to acquire and absorb foreign technology and IP on a nonconsensual basis from U.S. companies, costing U.S. companies and consumers billions of dollars, and adding to the burden or restriction on U.S. commerce.

Modification of the actions also is appropriate under section 307(a)(1)(C). The term "appropriate" as used in subsection C refers to section 301(b), which requires the U.S. Trade Representative to "take all appropriate and feasible action authorized under [section 301(c)] to obtain the elimination of [the] act, policy, or practice." The specific action that will obtain the elimination of an act, policy, or practice is a matter of predictive judgment, to be exercised by the U.S. Trade Representative, subject to any specific direction of the President. China's actions over the review period,

as discussed in USTR's Report has shown that maintaining the current action is no longer appropriate in order to induce China to eliminate its acts, policies, or practices.

Modification of the actions is further warranted considering the findings in USTR's Report on the effectiveness of the prior actions in achieving the objectives of the investigation other actions that could be taken, and the effects of such actions on the U.S. economy, including consumers.

The President has exercised his authority under section 307 to direct the U.S. Trade Representative to modify the actions being taken in the investigation. Specifically, as discussed above, the President directed the U.S. Trade Representative to increase the rates of duty for specified goods, with specified rates and timing. Additionally, the President directed the U.S. Trade Representative to establish an exclusion process for machinery used in domestic manufacturing classified within a subheading under Chapters 84 and 85 of the HTSUS and to prioritize, in particular, exclusions for certain solar manufacturing equipment.

The modifications to the actions are set out in the Annexes to this notice. The U.S. Trade Representative's determination takes account of the public comments, the President's direction of May 14, 2024, the policy rationale underlying the President's direction, as well as the advice of the interagency section 301 committee and appropriate advisory committees.

Section 301(c)(3)(B) of the Trade Act (19 U.S.C. 2411(c)(3)(B)) authorizes the U.S. Trade Representative to take action against any goods or economic sector of the foreign country concerned regardless of whether or not such goods or economic sector are involved in the act, policy, or practice subject to investigation. The modifications include increasing section 301 duties on 382 HTSUS subheadings and 7 statistical reporting numbers of the HTSUS under 14 product groups. Additionally, the U.S. Trade Representative is modifying the actions to temporarily exclude from additional duties certain solar manufacturing equipment under 14 product specific exclusions.

As outlined below, in consideration of public comments and the advice of the section 301 committee, the U.S. Trade Representative has made certain adjustments to the modifications proposed in May 28 notice. The adjustments and the reasons for them are discussed below in USTR's response to significant comments.

Annex A contains an informal table of the tariff increases under the 14 product

groups specified by the President and the 382 subheadings and 7 statistical reporting numbers, the tariff rates, and years for tariff increases. Annex B contains the 14 temporary exclusions for solar manufacturing equipment. Annex C contains the HTSUS modifications to impose additional duties, to increase rates of additional duties, and to exclude certain solar manufacturing equipment from additional duties. Annex D contains the Importer Certification for ship-to-shore cranes entering under the exclusion. Annex E contains a list of HTSUS subheadings eligible for consideration of temporary exclusion under the machinery exclusion process.

Any product listed in the Annexes to this notice, which is subject to the additional duties imposed by this determination, and that is admitted into a U.S. foreign trade zone, except any product that is eligible for admission under "domestic status" as defined in 19 CFR 146.43, only may be admitted as "privileged foreign status," as defined in 19 CFR 146.41, effective as of the date that the additional duties are imposed. Products of China that are provided for in headings 9903.91.01, 9903.91.02, and 9903.91.03, and listed in subdivisions (b), (c) and (d), respectively, of U.S. note 31 to subchapter III of chapter 99 of the HTSUS, as well as products of China that are provided for in HTSUS subheading 9903.92.10, which are admitted into a U.S. foreign trade zone on or after 12:01 a.m. eastern daylight time on September 27, 2024, only may be admitted as "privileged foreign status." Products of China that are provided for in headings 9903.91.04 and 9903.91.05, and listed in subdivisions (e) and (f) of U.S. note 31 to subchapter III of chapter 99 of the HTSUS that are admitted into a U.S. foreign trade zone on or after 12:01 a.m. eastern daylight time on January 1, 2025, only may be admitted as "privileged foreign status." Products of China that are provided for in headings 9903.91.06, 9903.91.07, and 9903.91.08, and listed in subdivisions (g), (h) and (i), respectively, of U.S. note 31 to subchapter III of chapter 99 of the HTSUS that are admitted into a U.S. foreign trade zone on or after 12:01 a.m. eastern daylight time on January 1, 2026, only may be admitted as "privileged foreign status." All such products will be subject upon entry for consumption to any ad valorem rates of duty or quantitative limitations related to the classification under the applicable HTSUS subheading.

D. USTR's Responses to Significant Comments

As discussed above, in light of findings in USTR's Report, the U.S. Trade Representative recommended to the President that duties be added or increased on certain products in strategic sectors. The U.S. Trade Representative limited recommendations to the President to categories of products targeted by China for dominance and/or sectors where the U.S. recently made significant domestic investments, thus incentivizing China to eliminate the investigated acts, policies, and practices, and mitigating possible harm to the U.S. economy. The President agreed with the U.S. Trade Representative's recommendation and has exercised his authority to direct specific modifications to the actions being taken in the investigation.

Response to Significant Comments on Proposed Tariff Increases

Battery Parts (Non-Lithium-ion Batteries): The President directed the U.S. Trade Representative to increase tariffs on battery parts for non-lithium-ion batteries to 25 percent in 2024. In response to the President's direction, the U.S. Trade Representative proposed increasing tariffs on one HTSUS subheading: 8507.90.40 (Parts of lead-acid storage batteries, including separators therefor).

The single comment on the proposed modification notes that broad tariffs have not significantly altered China's acts, policies, and practices and suggests that new U.S. initiatives, such as the Inflation Reduction Act would be more effective. Additionally, the comment notes that the proposed modifications will slow U.S. efforts to boost domestic production and adoption of electric vehicles.

For the final determination, the U.S. Trade Representative has determined not to amend the proposed modification. As noted in USTR's Report, the proposed modifications complement the significant investments as a result of the Inflation Reduction Act and the Bipartisan Infrastructure Law into clean energy technology, clean energy supply chains, and clean energy manufacturing. Increasing section 301 duties on tariff lines covering certain sectors will help support these investments, encourage diversification away from Chinese sources, and provide additional leverage with China to eliminate the investigated acts, policies, and practices.

Electric Vehicles: The President directed the U.S. Trade Representative to increase additional duties on electric

vehicles to 100 percent in 2024. In response to the President's direction, the U.S. Trade Representative proposed increasing duties on eight HTSUS subheadings.

Some comments request that USTR narrow the scope of products covered by the eight subheadings by distinguishing between low-speed vehicles, such as passenger shuttles and mobility scooters, and higher speed passenger vehicles that operate on public roads and highways. While the comments urge the U.S. Trade Representative to distinguish between vehicles based on maximum speed or road readiness, the U.S. Trade Representative's proposal, consistent with Presidential direction, was intended to cover a wide range of electric motor vehicles that incorporate high-tech motors and batteries. The products included under the proposed subheadings meet the objective to target sophisticated technologies where China seeks dominance and where the individual products are part of the same continuum of products.

One comment requests that electric buses that fulfill contracts executed prior to the proposed modification be excluded from the additional duties. Unlike with ship-to-shore cranes (discussed below), where multiple comments allege broad economic consequences, the single comment, when considering China's industrial policies targeting electric vehicles could threaten federal investment in the sector, does not demonstrate broad economic consequences such that an exclusion is warranted.

Comments also request that USTR broaden the scope of products covered. One comment remarks that the proposed modifications do not adequately cover the full scope of products included in the President's direction because the proposal does not include motorcycles (including mopeds) and electric bicycles under HTSUS subheading 8711.60.00. Another comment asserts that the proposed modification should be expanded to include HTSUS subheading 8703.10.50 (golf carts and similar vehicles).

With respect to motorcycles and electric bicycles, in reviewing the President's direction, the U.S. Trade Representative has determined that electric bicycles and motorcycles are distinct from what is traditionally understood as "electric vehicles" and fall outside the specific direction of the President. Similarly, electric golf carts and similar vehicles may be understood to fall outside the specific direction of the President. While these subheadings may include products with some overlapping technology to the

subheadings covered, limiting the modification to the primary subheading covering traditional electric vehicles is most consistent with the President's direction.

As a result of China's efforts to dominate the electric vehicles market, China now produces 70 percent of the world's electric cars—jeopardizing productive investments elsewhere. The U.S. Trade Representative has determined that modification to increase the duties on electric vehicles will encourage diversification from Chinese sources, while also advancing U.S. policy to incentivize the development of, and investments in, a robust electric vehicle market, reducing exposure to China's technology transfer-related acts, policies, and practices, and providing additional leverage with China to eliminate the investigated acts, policies, and practices.

Facemasks: The President directed the U.S. Trade Representative to increase tariffs on facemasks to *no less* than 25 percent in 2024. In response, the U.S. Trade Representative proposed three statistical reporting numbers. These included 6307.90.9845 (N95 Respirators of textiles); 6307.90.9850 (respirators of textiles, other than N95); and 6307.90.9875 (face masks of textiles, other than disposable). USTR requested commenters to address whether additional statistical reporting codes under HTSUS subheading 6307.90.98 should be included and whether the tariff rates should be higher than the proposed 25 percent rate.

Several commenters note that as of January 1, 2023, statistical reporting number 6307.90.9845 (N95 Respirators of Textiles) was replaced with two statistical reporting numbers. For the final modifications, USTR has replaced statistical reporting number 6307.90.9845 (N95 Respirators of Textiles) with statistical reporting numbers 6307.90.9842 (surgical N95 respirators) and 6307.90.9844 (other N95 respirators). This adjustment does not change the scope of the products covered.

Other comments express concerns about the availability of facemasks outside of China and possible disruption to the supply of facemasks and higher costs for healthcare providers. As USTR found in the Report, increasing section 301 duties on certain personal protective equipment will help protect recent investments in increasing domestic production and in U.S. preparedness. As a result of those investments, the United States has, or is expected to have, sufficient domestic capacity. Several commenters agreed with this finding. Additionally,

increasing tariffs on facemasks will encourage diversification away from China, improve supply chain resiliency, and create greater leverage with China to eliminate the investigated acts, policies, and practices.

A number of comments suggest adding statistical reporting number 6307.90.9870 (face masks of textile, disposable). Additional comments suggest adding textile subheadings that cover personal protective equipment, but not facemasks. Regarding the proposed tariff rate, several comments suggest rates higher than the proposed tariff rate, including 50 percent, 100 percent, and "the highest rate possible." A few comments suggest that any rate increase be gradual due to possible limitations on availability outside of China.

Considering the public comments, the advice of the Section 301 Committee, and consistent with the President's direction, the U.S. Trade Representative has determined to add statistical reporting number 6307.90.9870 (face masks of textile, disposable), but not to add additional textile subheadings that do not cover facemasks. Additionally, for most statistical reporting numbers, the U.S. Trade Representative has determined to increase tariff rates to 25 percent in 2024 and to further increase rates in 2026 to 50 percent. Delaying the increase to 50 percent in 2026 is consistent with the President's direction, but balances requests for a rate higher than 25 percent with the public comments requesting that rates increase gradually. For statistical reporting number 6307.90.9870 (face masks of textile, disposable), the U.S. Trade Representative has determined to increase the tariff rate to 25 percent in 2025 and to further increase the rate in 2026 to 50 percent.

Lithium-ion Batteries: The President directed the U.S. Trade Representative to increase tariffs on lithium-ion batteries to 25 percent, with "lithium-ion electrical vehicle batteries" increasing in 2024 and "lithium-ion non-electrical vehicle batteries" increasing in 2026. In response, the U.S. Trade Representative proposed increasing tariffs on two statistical reporting numbers. One covers lithium-ion batteries for passenger vehicles (8507.60.0010), and a second covers lithium-ion batteries for a broad range of applications, including electric vehicles, other than passenger vehicles (8507.60.0020). The U.S. Trade Representative proposed increasing tariffs on 8507.60.0010 (Lithium-ion batteries of a kind used as the primary source of electrical power for electrically powered vehicles of

subheadings 8703.40, 8703.50, 8703.60, 8703.70 or 8703.80) in 2024 and on 8507.60.0020 (Lithium-ion batteries: Other) in 2026.

Several commenters request that additional codes be added, including for a subheading covering certain inputs or precursor materials used to manufacture lithium-ion batteries. Additionally, USTR received comments requesting that certain lithium-ion batteries covered by the proposed subheadings, but intended for a particular use, be excluded.

The U.S. Trade Representative has determined that the requests to remove particular batteries are inconsistent with the President's direction, which broadly covers all lithium-ion batteries, and are inconsistent with the goals of diversifying supply chains and of reducing our reliance on China in an industry targeted by China for dominance. With respect to the inputs and precursor materials used in the production of lithium-ion batteries, these products are beyond the scope of the President's direction, which is limited to complete batteries.

Medical Gloves: The President directed the U.S. Trade Representative to increase tariffs on medical gloves to *no less* than 25 percent in 2026. In response, the U.S. Trade Representative proposed increasing tariffs to 25 percent in 2026 on one statistical reporting number.

Comments opposing the proposed modification allege that increasing duties on medical gloves will raise medical care costs and impact patient care. Additional comments request that the increase in tariffs be delayed. Comments generally assert that the production of medical gloves is centralized in China and Malaysia, and that additional duties would push production to Malaysia, rather than to the United States. They also assert there is no large-scale domestic production capacity for nitrile gloves, specifically citing a January 2024 Made in America Act Waiver statement by Federal agencies concerning domestic availability of nitrile gloves.

In general, comments supporting the proposed modification suggest that, given the artificially low prices of imports from China, the modification would be more effective if tariffs rates were increased to 100 percent or higher, increased prior to 2026, and possibly increased gradually. One comment also suggested including gloves falling under HTSUS 4015.19 that are not for medical or surgical use.

Considering the public comments, the specific direction of the President to increase tariffs on medical gloves *no*

less than 25 percent in 2026, and the advice of the Section 301 Committee, particularly agencies involved in U.S. medical preparedness, the U.S. Trade Representative has determined to increase the rate of additional duties on medical gloves to 50 percent in 2025 and to 100 percent in 2026.

The United States expects domestic production of nitrile gloves will increase over the next year, due in part to domestic investments for critical medical supplies, including medical gloves. Recent investments include CARES Act funding that aims to continue support of U.S. preparedness and of domestic production of critical medical supplies following the COVID pandemic. Increasing tariffs to 50 percent in 2025 will help protect those investments and will encourage diversification to sources other than China. While China currently accounts for a significant share of U.S. imports of nitrile gloves, the increasing availability from U.S. sources and third-country sources will provide the U.S. healthcare systems with alternative sourcing. An additional increase in tariff rates in 2026 is warranted, considering the expected increase in U.S. and third-country sources, and is responsive to those comments requesting a higher tariff, and will provide additional leverage with China to eliminate the investigated acts, policies, and practices.

With respect to additional gloves that are not for medical or surgical use, these products are beyond the scope of the President's direction, which is limited to medical gloves. Accordingly, the U.S. Trade Representative has determined not to amend the proposed modification to include these products.

Natural Graphite: The President directed the U.S. Trade Representative to increase tariffs on natural graphite to 25 percent in 2026. In response to the President's direction, the U.S. Trade Representative proposed to increase tariffs on three subheadings covering three different forms of natural graphite.

Most comments supported the proposed increase in tariffs, with some comments requesting a higher tariff rate than the proposed rate. Several of these comments also requested that certain additional inputs for lithium-ion batteries be included and treated similarly to natural graphite. The few comments opposing the additional duties generally assert that the proposed modifications would result in higher prices, would not be effective in obtaining the elimination of China's acts, policies, and practices, and could result in possible retaliation from China. China has targeted the processing of critical minerals to become the global

leader in the critical minerals supply chains. Continued reliance on China for refining capacity of critical minerals, including natural graphite, leaves U.S. supply chains vulnerable and puts U.S. national security and clean energy goals at risk. Increasing the tariffs on natural graphite would encourage diversification away from China and would provide additional leverage with China to eliminate the investigated acts, policies, and practices. Tariffs would also protect U.S. investments in a sufficient domestic industrial base for natural graphite and would improve the resiliency of the U.S. battery supply chain.

For these reasons, and considering the President's direction, and the advice of the Section 301 Committee, the U.S. Trade Representative has determined not to amend the proposed modifications.

Other Critical Minerals: The President directed the U.S. Trade Representative to increase tariffs on certain critical minerals to 25 percent in 2024. In response to the President's direction, the U.S. Trade Representative proposed increasing tariffs on 26 subheadings.

The majority of comments opposing increases specifically oppose increasing tariffs on 2606.00.00 (aluminum ores and concentrates) and 2849.90.30 (tungsten carbides). They assert limited availability of the minerals outside of China and higher costs. Other comments suggest the removal of five additional subheadings. Only three of these subheadings received more than one comment requesting removal: 8103.20.00 (Tantalum, unwrought (including bars and rods obtained simply by sintering); tantalum powders); 8112.21.00 (Chromium, unwrought; chromium powders); and 8112.92.30 (Indium, unwrought; indium powders).

The majority of comments supporting the proposed modifications specifically support increasing tariffs on the four subheadings covering tungsten products. These comments state that tariffs on various tungsten-related inputs will benefit domestic manufacturing by reducing domestic reliance on Chinese imports, establishing an independent domestic supply chain, and reducing Chinese access to the intellectual property and technologies of U.S. companies. Several comments emphasize the importance of tungsten-related inputs to various critical sectors, such as aerospace, automotive, defense, medical, and oil and gas sectors. Some of these comments request that the tariffs on tungsten-related products be increased to 50 percent.

The remaining comments supporting higher tariffs cover various critical minerals; most support the higher tariffs to counteract China's dominance in the market and note that current tariff levels are insufficient. Most of these comments also note that higher tariffs will have a minimal impact on the domestic economy due to current availability of products from sources outside of China or availability from new sources. Comments also note that higher tariffs are critical to the new investments that help to diversify supply chains.

In addition to supporting the proposed modifications, several comments also request that additional subheadings be added, including three subheadings covering additional tungsten products. Additional comments request the addition of certain uranium subheadings, as well as a subheading covering vanadium chlorides.

Considering the public comments and the advice of the Section 301 Committee, the U.S. Trade Representative has determined not to remove any subheadings. China has targeted the processing of critical minerals to become the global leader in the critical minerals supply chains for electric vehicle batteries, solar products, semiconductors, and other key products. The concentration of critical minerals mining and refining capacity in China leaves our supply chains vulnerable and puts our national security and clean energy goals at risk. Additionally, for many of the products with comments requesting removal, U.S. import data show that in recent years China has attempted to dominate supply chains by significantly increasing its share of imports. For these products, additional duties will help to maintain existing diversity in the supply chains and increase leverage with China to eliminate the investigated acts, policies, and practices. Regarding 2606.00.00 (aluminum ores and concentrates), U.S. import data show that China's share is relatively small (less than 20 percent). While China's share of imports under statistical reporting number 2606.00.00.30 (bauxite, calcined; refractory grade) is more significant, Guyana, a second source, is almost as large as China, and higher tariffs may help to encourage greater diversification. Regarding 2849.90.30 (tungsten carbides), imports from China have increased significantly in recent years, but alternative sources remain. Increasing tariffs will support current supply chain diversity. Additionally, public comments note recent investments in domestic refining.

The U.S. Trade Representative also has determined not to add certain proposed subheadings for uranium and vanadium chlorides. These subheadings are either already subject to section 301 tariffs of 25 percent, or China's share of imports is small and declining. Regarding the three tariff subheadings covering tungsten products and requested for addition, the U.S. Trade Representative has determined to propose increasing tariff rates for these three subheadings to 25 percent. To that end, USTR will publish a separate notice with procedures for interested parties to provide views on increasing tariffs on subheadings: 8101.94.00 (Tungsten, unwrought (including bars and rods obtained simply by sintering)); 8101.99.10 (Tungsten bars and rods (other than those obtained simply by sintering), profiles, plates, sheets, strip and foil); and 8101.99.80 (Tungsten, articles nesoi).

Permanent Magnets: The President directed the U.S. Trade Representative to impose tariffs of 25 percent on permanent magnets in 2026. In response to the President's direction, the U.S. Trade Representative proposed additional duties on products under one subheading (8505.11.00).

Several comments request that tariffs on permanent magnets not be increased, noting that permanent magnets are an intermediate good used in a variety of applications and products, including consumer goods. Citing a Department of Commerce report from 2023, comments assert limited availability of permanent magnets outside of China, including from domestic sources.

Comments in support of the proposed modification highlight the vulnerability of the U.S. economy and national security as a result of our continued reliance on China for permanent magnets, and in particular NdFeB, which are critical for electric vehicle motors (an area where China seeks dominance), as well as defense applications. The comments assert that the potential impact on U.S. consumers from the proposed modification would be minimal, as permanent magnets generally account for a low percentage of the total cost of final goods.

Considering the comments and the advice of the Section 301 Committee, and consistent with the President's direction, the U.S. Trade Representative has determined to impose additional tariffs on products falling under subheading 8505.11.00. The 2023 Department of Commerce report indicates that at the time of the report the demand for permanent magnets outpaced domestic manufacturing capacity, but the report also notes

federal investments and other efforts in support of reestablishing domestic production capacity, as well as plans for three U.S.-headquartered firms to establish U.S. NdFeB magnet manufacturing facilities by 2026. Increasing tariffs on permanent magnets in 2026 accounts for the current limited availability of permanent magnets outside of China, complements the upcoming investments in domestic production, and further encourages domestic investments.

Semiconductors: The President directed the U.S. Trade Representative to increase tariffs on semiconductors to 50 percent in 2025. In response to the President's direction, the U.S. Trade Representative proposed increasing tariffs on 16 subheadings.

Several comments highlight the importance of semiconductors in a variety of applications and critical sectors, including the healthcare and solar industries. Comments note that following the enactment of the Creating Helpful Incentives to Produce Semiconductors (CHIPS) and Science Act in 2022, the United States has made progress in investing in domestic production and in recapturing semiconductor manufacturing from China's dominance. Comments also assert that imports from China undermine that progress and the incentives under the CHIPS Act. Comments assert that the tariffs have helped to stimulate domestic manufacturing, support supply chain resiliency, and reduce our dependence on China. One comment suggests broadening the modifications to capture semiconductors entering the United States in downstream products.

Comments opposing the increase in tariffs on semiconductors primarily comment on the financial impact of the tariffs on U.S. companies and the U.S. economy. These commenters assert that the increased duties will increase domestic manufacturing costs, will be passed on to consumers, will contribute to domestic inflation, and will reduce the competitiveness of U.S. products in the global market. Comments also state that increased manufacturing costs may encourage U.S. companies to move manufacturing out of the United States to third countries.

Aside from advocating for the removal of the tariffs, comments opposing the tariffs also propose several alternatives to increased duties. One commenter argues that an effective alternative to the tariffs would be bilateral policy discussions between the United States and China. Another commenter suggests additional programs that strengthen domestic manufacturing, such as under

the CHIPS and Science Act and the Inflation Reduction Act, would be more effective than imposing higher tariffs. Alternatively, the same commenter suggests a longer transition time to allow for additional manufacturing, noting that CHIPS funding has yet to be fully disbursed and it may take several years before domestic semiconductor will be available. Some comments request the removal of certain subheadings. They generally assert that the tariffs would increase prices and harm domestic manufacturing. One comment asserts that the tariffs are counterproductive to the Administration's goals to increase domestic production of electric vehicles.

Considering the public comments, the advice of the Section 301 Committee, and consistent with the direction of the President, the U.S. Trade Representative has determined that excluding particular products or subheadings is not warranted. China has targeted the semiconductor sector for dominance and is rapidly expanding its capacity, particularly for foundational semiconductors. Through the CHIPS and Science Act, the United States is making a nearly \$53 billion investment in American semiconductor manufacturing capacity, research, innovation, and workforce. This investment will encourage diversification to alternative sources, providing additional leverage with China to eliminate the investigated acts, policies, and practices, and will help counteract decades of disinvestment and offshoring that has reduced the United States' capacity to manufacture semiconductors domestically. Raising the tariff rate on semiconductors is an important initial step to complement the sustainability of these investments. Accordingly, the U.S. Trade Representative has determined to increase tariffs on the 16 proposed subheadings.

Ship-to-shore cranes: The President directed the U.S. Trade Representative to increase tariffs on ship-to-shore cranes to 25 percent in 2024. In response to the President's direction, the U.S. Trade Representative proposed increasing tariffs on certain ship-to-shore cranes (transporter cranes, gantry cranes, and bridge cranes) under subheading 8426.19.00.

In addressing the effectiveness and impact of the proposed tariff increase, a number of commenters assert that because the lead time for purchasing ship-to-shore cranes is often more than two years, the additional duties would increase costs significantly on purchases contracted for well before the proposed

modification. Additionally, due to purchase contracts, the increased tariffs would not be effective in obtaining the elimination of, or in counteracting China's acts, policies, and practices and would broadly impact U.S. ports and the U.S. economy. The majority of comments suggest delaying the additional duties until 2026 to allow cranes under contracts executed prior to the announced proposed modifications to enter without the section 301 duties.

Considering the possible broad economic impact discussed in the comments, and consistent with the President's direction, the U.S. Trade Representative has determined to increase duties on ship-to-shore cranes in 2024, but will allow for exclusions for cranes that fulfill contracts executed prior to May 14, 2024, and that enter the United States prior to May 14, 2026. The exclusion balances the possible impact on the U.S. economy with the security interests of the United States from the threat of Chinese state-sponsored cyber intrusions of critical infrastructure.

Ship-to-shore gantry cranes, configured as a high- or low-profile steel superstructure and designed to unload intermodal containers from vessels with coupling devices for containers, including spreaders or twist-locks (provided for in subheadings 8426.19.00), will be exempt, provided: (1) they are fulfilling in whole or in part an executed contract for sale dated prior to May 14, 2024, for goods that are entered for consumption, or withdrawn from warehouse for consumption, in the United States prior to May 14, 2026, and (2) the importer completes the certification in Annex D to this notice and provides the completed certification as part of the importer's electronic entry summary to U.S. Customs and Border Protection by uploading it to the Document Imaging System in the Automated Commercial Environment at the time that classification is declared under heading 9903.91.09 of the HTSUS.

Solar Cells (whether or not assembled into modules): The President directed the U.S. Trade Representative to increase tariffs on solar cells to 50 percent in 2024. In response to the President's direction, the U.S. Trade Representative proposed increasing tariffs on two subheadings.

Comments supporting the tariff increases assert that the tariffs are critical to counter China's unfair policies and practices that target the solar industry. They note that China has invested in the long-term dominance of the global solar supply chain, which has resulted in limited alternatives and increasing dependence on Chinese

suppliers. The comments assert that increasing the tariffs will allow the burgeoning domestic industry to compete, creating a more resilient domestic supply chain, improving U.S. energy security, and promoting clean energy initiatives.

Comments also note that initiatives, such as the Inflation Reduction Act and the CHIPS and Science Act, provide critical incentives to the shift solar supply chains to the United States, but these incentives are threatened by solar imports from China. Two comments suggest that additional subheadings be added to cover certain inputs used in manufacturing solar cells. The two subheadings are: 2804.61.00 (Silicon containing by weight not less than 99.99 percent of silicon); and 3818.00.00 (Chemical elements doped for use in electronics, in the form of discs, wafers etc., chemical compounds doped for electronic use).

There were no comments opposing the proposed subheading, but one comment requested that a statistical reporting number under one of the subheadings be excluded (8541.43.0010). The commenter asserts that the products covered by the statistical reporting number should be excluded because they are not the subject of technology-transfer agreements and increasing the tariffs will result in higher prices.

Considering the comments, and the advice of Section 301 Committee, and consistent with the direction of the President to increase tariffs on solar cells (whether or not assembled into modules), the U.S. Trade Representative has determined that removing statistical reporting number 8541.43.0010 is not warranted merely because it has not been subject to China's acts, policies, and practices or may result in higher prices. See section 301(c)(3)(B) of the Trade Act (19 U.S.C. 2411(c)(3)(B)).

Regarding the request to add subheadings 2804.61.00 and 3818.00.00, the U.S. Trade Representative has determined to propose increasing tariff rates for these two subheadings to 50 percent. The polysilicon and wafers that are imported under these two subheadings are critical for manufacturing solar cells and semiconductors. As noted in USTR's Report, China now dominates manufacturing capacity for polysilicon and wafers, accounting for 93 percent of polysilicon manufacturing capacity and 95 percent of wafer capacity. China's dominance in the manufacturing of wafers and polysilicon is likely to undermine new investments in domestic manufacturing, impede the resiliency of U.S. supply chains for solar

cells and semiconductors, and undermine the effectiveness of the tariffs on solar cells and semiconductors. Accordingly, USTR will publish a separate notice with procedures for interested parties to provide views on increasing tariffs on subheadings: 2804.61.00 (Silicon containing by weight not less than 99.99 percent of silicon); and 3818.00.00 (Chemical elements doped for use in electronics, in the form of discs, wafers etc., chemical compounds doped for electronic use).

Increasing tariffs on the two proposed subheadings will encourage the diversification of supply chains and will lessen dependence on China for these products, providing additional leverage with China to eliminate the investigated acts, policies, and practices. The tariffs also complement other Administration goals that seek to defend the United States against China's policy-driven non-market excess capacity, which has led to extreme concentration of production in China and underpriced exports. Accordingly, the U.S. Trade Representative has determined to increase tariffs on the two proposed subheadings.

Steel and Aluminum: The President directed the U.S. Trade Representative to increase tariffs on steel and aluminum products to 25 percent in 2024. In response to the President's direction, the U.S. Trade Representative proposed increasing or adding tariffs on 321 steel and aluminum subheadings in 2024.

The 321 subheadings are within the scope of products subject to additional duties under section 232 of the Trade Expansion Act of 1962, as amended, but are not currently subject to 25 percent duties under section 301. Increasing or adding duties to these 321 subheadings would make nearly all of the steel and aluminum subheadings that are within the scope of the section 232 investigations of steel and aluminum subject to 25 percent duties under section 301 and will reduce opportunities for circumvention, making the actions more effective. USTR did not propose adding or increasing section 301 duties on 17 subheadings within the scope of products covered by section 232. Data from the Department of Commerce's section 232 exclusion process show that a majority of exclusions requested for products under the 17 subheadings were granted, and there is limited availability for the products outside of China.

Several commenters suggest USTR include additional tariff codes covering upstream and downstream products related to steel and aluminum, but

outside the scope of the section 232 investigations. The U.S. Trade Representative has determined not to add subheadings outside the scope of the section 232 investigations on steel and aluminum and has determined that it is appropriate to use the same scope of products covered by the section 232 investigations that were defined by Presidential proclamation. See Proclamation 9704 of March 8, 2018 (Adjusting Import of Aluminum into the United States), and Proclamation 9705 of March 8, 2018 (Adjusting Imports of Steel into the United States).

Some commenters suggest USTR include the 17 subheadings covered by the section 232 investigations that were not proposed for tariff increases. Under the Department of Commerce's exclusion process for section 232 products, products are granted exclusion either where they are not produced in the United States in sufficient and reasonably available amounts, or where there is a specific national security consideration. As noted above, for products under these 17 subheadings, Commerce granted exclusions, and data indicates that these products have limited availability outside of China. Accordingly, the U.S. Trade Representative has determined that it would not be appropriate to increase tariffs on these 17 subheadings.

Syringes and needles: The President directed the U.S. Trade Representative to increase tariffs on syringes and needles to no less than 50 percent. In response to the President's direction, the U.S. Trade Representative proposed increasing tariffs on two subheadings. USTR requested commenters to address whether the tariff rate should be higher than the proposed rate.

Regarding the proposed rate, several comments suggest that higher rates would help support domestic manufacturing and recommended rates as high as 100 percent. Most comments opposing the proposed increase simply note that prices would likely increase. However, a large number of comments report a limited availability of enteral syringes outside of China and assert that the proposed increase would impact the supply of enteral syringes, which are necessary for vulnerable patients. These comments request that enteral syringes be excluded.

Considering the comments and the advice of Section 301 Committee, and recognizing that syringes and needles are critical to U.S. preparedness in responding to public health emergencies and the need to maintain alternative sources, consistent with the President's direction, the U.S. Trade Representative has determined to increase tariffs on

syringes and needles under the two subheadings to 100 percent in 2024. To address the possible shortages of enteral syringes, the U.S. Trade Representative has determined to exclude enteral syringes through January 1, 2026.

USTR's Response to Significant Comments on Machinery Exclusion Process

The President directed the U.S. Trade Representative to establish a process by which interested persons may request that particular machinery used in domestic manufacturing classified within a subheading under Chapters 84 and 85 of the HTSUS be temporarily excluded from section 301 tariffs, and to prioritize, in particular, exclusions for certain solar manufacturing. In response to the President's direction, the U.S. Trade Representative proposed 312 subheadings eligible for consideration of temporary exclusion, and proposed 19 temporary exclusions for solar manufacturing equipment.

Chapters 84 and 85 of the HTSUS cover most machinery used in manufacturing processes. The 312 subheadings proposed, include machines used to physically alter a good in the manufacturing process. The limited scope of the exclusion process strikes a balance between mitigating U.S. companies' costs in expanding domestic production capacity while maintaining the appropriate amount of leverage with China to encourage China to eliminate the acts, policies, and practices that are the subject of the investigation.

In response to USTR's request for comments on whether the 312 subheadings proposed should or should not be eligible in the machinery exclusion process and whether certain subheading under Chapters 84 and 85 that cover machinery used in domestic manufacturing were omitted and should be included, USTR received more than 650 comments, with approximately half of the comments proposing additional subheadings under Chapters 84 and 85. The remaining comments either opposed including certain subheadings, supported proposed subheadings, or proposed subheadings not under Chapters 84 and 85.

Considering the comments, and the advice of the Section 301 Committee, and consistent with the direction of the President, the U.S. Trade Representative has determined to add five additional subheadings to be eligible for consideration of temporary exclusions. These five subheadings are: 8421.21.00 (Machinery and apparatus for filtering or purifying water); 8421.29.00 (Filtering or purifying machinery and

apparatus for liquids, nesoi); 8421.39.01 (Filtering or purifying machinery and apparatus for gases, other than intake air filters or catalytic conv. for internal combustion engines); 8428.70.00 (Industrial robots); and 8443.19.30 (Printing machinery, nesoi). These subheadings appear to include machinery used to physically alter goods in the manufacturing process.

Consistent with the President’s direction, the U.S. Trade Representative has determined not to add subheadings outside of Chapters 84 and 85 or subheadings that only include parts, accessories, consumables, or general equipment that is unable to physically change a good. Additionally, the U.S. Trade Representative has determined not to remove any of the proposed subheadings. Comments requesting that subheadings be removed generally assert that machines covered by the subheading were available from sources outside of China. Under the exclusion process, commenters both supporting and opposing particular exclusions for machines under any of these subheadings will have an opportunity to provide their views. This will provide USTR with greater opportunity to gather more specific information about the machinery requested for exclusion, including the availability of products outside of China.

Nineteen Proposed Solar Manufacturing Equipment Exclusions

The President directed the U.S. Trade Representative to prioritize exclusions for certain solar manufacturing equipment. In response to the President’s direction, the U.S. Trade Representative proposed 19 exclusions covering solar manufacturing equipment. The exclusions included five exclusions for equipment to manufacture solar modules, six exclusions for equipment to manufacture solar cells, and eight exclusions for equipment to manufacture solar wafers.

USTR received several comments requesting that the exclusions for solar manufacturing equipment be made effective prior to May 28, 2024. USTR received a number of comments opposing the exclusions based on the assertion that certain equipment is available from alternative sources. Specifically, with respect to the five exclusions for solar module manufacturing equipment and the six exclusions for solar cell manufacturing equipment, a number of comments assert that alternative sources for the machinery are available, both domestically and in Europe. Several comments noted that excluding Chinese equipment would disincentivize companies to purchase from alternative sources and negatively impact burgeoning supply chains. Comments supporting the exclusions focus primarily on Chinese equipment being low-cost equipment, but some also assert that China is the only source for most solar equipment.

Considering the public comments, the specific direction of the President to prioritize exclusions for solar equipment, and the advice of the Section 301 Committee, particularly agencies involved in efforts to build capacity for domestic production of solar products, the U.S. Trade Representative has determined not to adopt the five exclusions covering solar manufacturing equipment for modules. Available information indicates that there is sufficient availability of the products covered by the exclusions outside of China, such that the exclusions are not warranted and could harm alternative sourcing currently available.

Regarding proposals to temporarily exclude wafer and cell manufacturing equipment, the U.S. Trade Representative has determined to adopt the 14 exclusions for this manufacturing equipment. There is limited information regarding the availability and pricing of the cell manufacturing equipment

covered by these exclusions outside of China, but some of the risks of granting the exclusions are mitigated by the short prospective duration of the exclusions. The exclusion period will allow for the development of strategies to reduce U.S. reliance on Chinese cell manufacturing equipment, and for greater supply chain resilience and enhanced domestic manufacturing more generally. Regarding the wafer manufacturing equipment, available information indicates that alternative sources do not currently have sufficient supply of the equipment covered by these exclusions. Regarding requests for a longer retroactive period for the exclusions for solar manufacturing equipment, the U.S. Trade Representative has determined to make the exclusions effective January 1, 2024, and through May 31, 2025. The additional time will support those investments in domestic production that were made in 2024, but prior to USTR’s announced proposals. With the goal of reducing reliance on China, and to ensure that imports under the exclusions support both greater domestic production of solar products and supply chain resilience, USTR will actively monitor imports under the 14 temporary exclusions. Additionally, based on the public comments, the U.S. Trade Representative has made certain amendments to the proposed product descriptions for the exclusions. The final product descriptions for the adopted exclusions are included in Annex B of this notice.

The U.S. Trade Representative will continue to consider the actions taken in this investigation. In the event that further modifications are appropriate, the U.S. Trade Representative intends to take into account the extensive public comments provided in response to the May 28 notice.

Juan Millan,
Acting General Counsel, Office of the United States Trade Representative.

Annex A—Tariff Increases

HTSUS subheading	Product description	Rate (%)	Timing
Battery Parts (Non-lithium-ion Batteries)			
8507.90.40	Parts of lead-acid storage batteries, including separators therefor	25	2024
Electric Vehicles			
8702.40.31	Motor vehicles w/electric motor, to transport 16 or more persons, incl driver	100	2024
8702.40.61	Motor vehicles w/electric motor, to transport 10 to 15 persons, incl driver	100	2024
8702.90.31	Motor vehicles nesoi, to transport 16 or more persons, incl driver	100	2024
8702.90.61	Motor vehicles nesoi, to transport 10 to 15 persons, incl driver	100	2024
8703.60.00	Motor vehicles to transport persons, w/spark-ign. IC recip. piston engine & elec motor capable of charge by plug to external source.	100	2024
8703.70.00	Motor vehicles to transport persons, w/diesel engine & elec motor capable of charge by plug to external source.	100	2024

HTSUS subheading	Product description	Rate (%)	Timing
8703.80.00	Motor vehicles to transport persons, w/electric motor for propulsion	100	2024
8703.90.01	Motor vehicles to transport persons, nesoi	100	2024
Facemasks			
6307.90.9842	Surgical N95 Respirators of Textile	25	2024
		50	2026
6307.90.9844	Non-surgical N95 Respirators of Textiles	25	2024
		50	2026
6307.90.9850	Respirators of Textiles, Other than N95	25	2024
		50	2026
6307.90.9870	Face Masks of Textiles, Disposable	25	2025
		50	2026
6307.90.9875	Face Masks of Textiles, Other than Disposable	25	2024
		50	2026
Lithium-ion Electrical Vehicle Batteries			
8507.60.0010	Lithium-ion batteries of a kind used as the primary source of electrical power for electrically powered vehicles of subheadings 8703.40, 8703.50, 8703.60, 8703.70 or 8703.80.	25	2024
Lithium-ion Non-electrical Vehicle Batteries			
8507.60.0020	Lithium-ion batteries: Other	25	2026
Medical Gloves			
4015.12.10	Medical or surgical gloves of vulcanized rubber other than hard rubber	50	2025
		100	2026
Natural Graphite			
2504.10.10	Natural graphite, crystalline flake (not including flake dust)	25	2026
2504.10.50	Natural graphite in powder or flakes (other than crystalline flake)	25	2026
2504.90.00	Natural graphite, other than in powder or in flakes	25	2026
Other Critical Minerals			
2602.00.00	Manganese ores and concentrates including ferruginous manganese ores & concentrates with manganese content over 20% calculated on dry weight.	25	2024
2605.00.00	Cobalt ores and concentrates	25	2024
2606.00.00	Aluminum ores and concentrates	25	2024
2608.00.00	Zinc ores and concentrates	25	2024
2610.00.00	Chromium ores and concentrates	25	2024
2611.00.60	Tungsten concentrates	25	2024
2825.90.30	Tungsten oxides	25	2024
2841.80.00	Tungstates (wolframates)	25	2024
2844.41.00	Tritium and its compounds, alloys, dispersions, ceramic products and mixtures thereof	25	2024
2844.42.00	Actinium, californium, curium, einsteinium, gadolinium, polonium, radium, uranium & their compounds, alloys, dispersions, ceramic products & mixtures.	25	2024
2844.43.00	Other radioactive elements, isotopes, compounds, nesoi; alloys, dispersions, ceramic products and mixtures thereof.	25	2024
2844.44.00	Radioactive residues	25	2024
2849.90.30	Tungsten carbide	25	2024
7202.60.00	Ferronickel	25	2024
7202.93.40	Ferroniobium containing by weight less than 0.02 percent of phosphorus or sulfur or less than 0.4 percent of silicon.	25	2024
7202.93.80	Ferroniobium, nesoi	25	2024
7901.11.00	Zinc (o/than alloy), unwrought, containing o/99.99% by weight of zinc	25	2024
7901.12.10	Zinc (o/than alloy), unwrought, casting-grade zinc, containing at least 97.5% but less than 99.99% by weight of zinc.	25	2024
7901.12.50	Zinc (o/than alloy), unwrought, o/than casting-grade zinc, containing at least 97.5% but less than 99.99% by wt. of zinc.	25	2024
7901.20.00	Zinc alloy, unwrought	25	2024
8001.10.00	Tin (o/than alloy), unwrought	25	2024
8001.20.00	Tin alloy, unwrought	25	2024
8101.10.00	Tungsten, powders	25	2024
8103.20.00	Tantalum, unwrought (including bars and rods obtained simply by sintering); tantalum powders.	25	2024
8112.21.00	Chromium, unwrought; chromium powders	25	2024
8112.92.30	Indium, unwrought; indium powders	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
Permanent Magnets			
8505.11.00	Permanent magnets and articles intended to become permanent magnets after magnetization, of metal.	25	2026
Semiconductors			
8541.10.00	Diodes, other than photosensitive or light-emitting diodes	50	2025
8541.21.00	Transistors, other than photosensitive transistors, with a dissipation rating of less than 1 W.	50	2025
8541.29.00	Transistors, other than photosensitive transistors, with a dissipation rating of 1 W or more.	50	2025
8541.30.00	Thyristors, diacs and triacs, other than photosensitive devices	50	2025
8541.49.10	Other photosensitive semiconductor diodes, other than light-emitting	50	2025
8541.49.70	Photosensitive transistors	50	2025
8541.49.80	Photosensitive semiconductor devices nesoi, optical coupled isolators	50	2025
8541.49.95	Other photosensitive semiconductor devices, other than diodes or transistors, nesoi	50	2025
8541.51.00	Other semiconductor-based transducers, other than photosensitive transducers	50	2025
8541.59.00	Other semiconductor devices, other than semiconductor-based transducers, other than photosensitive devices, nesoi.	50	2025
8541.90.00	Parts of diodes, transistors, similar semiconductor devices, photosensitive semiconductor devices, LED's and mounted piezoelectric crystals.	50	2025
8542.31.00	Electronic integrated circuits: processors and controllers	50	2025
8542.32.00	Electronic integrated circuits: memories	50	2025
8542.33.00	Electronic integrated circuits: amplifiers	50	2025
8542.39.00	Electronic integrated circuits: other	50	2025
8542.90.00	Parts of electronic integrated circuits and microassemblies	50	2025
Ship-to-Shore Cranes			
	Ship-to-shore gantry cranes, configured as a high- or low-profile steel superstructure and designed to unload intermodal containers from vessels with coupling devices for containers, including spreaders or twist-locks (provided for in subheading 8426.19.00), except for such cranes provided for in subheading 8426.19.00, that are fulfilling in whole or in part an executed contract for sale dated prior to May 14, 2024, for goods that are entered for consumption, or withdrawn from warehouse for consumption, in the United States prior to May 14, 2026.	25	2024
Solar Cells (whether or not assembled into modules)			
8541.42.00	Photovoltaic cells, not assembled in modules or made up into panels	50	2024
8541.43.00	Photovoltaic cells assembled in modules or made up into panels	50	2024
Steel and Aluminum Products			
7206.10.00	Iron and nonalloy steel ingots	25	2024
7206.90.00	Iron and nonalloy steel in primary forms (o/than ingots)	25	2024
7207.11.00	Iron or nonalloy steel semifinished products, w/less than 0.25% carbon, w/rect. cross sect.(incl. sq.), w/width less than twice thickness.	25	2024
7207.12.00	Iron or nonalloy steel semifinished products, w/less than 0.25% carbon, w/rect. cross sect. (exclud. sq.), nesoi.	25	2024
7207.19.00	Iron or nonalloy steel semifinished products, w/less than 0.25% carbon, o/than w/rect. cross section.	25	2024
7207.20.00	Iron or nonalloy steel semifinished products, w/0.25% or more of carbon	25	2024
7208.10.15	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, w/patterns in relief, in coils, pickled, not clad/plated/coated.	25	2024
7208.10.30	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled product, in coil, w/pattern in relief, w/thick 4.75mm+, not pickld, not clad/plated/coated.	25	2024
7208.10.60	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled product, in coil, w/pattern in relief, w/thick <4.75mm, not pickld, not clad/plated/coated.	25	2024
7208.25.30	Nonalloy hi-strength steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick 4.75mm+, pickled, not clad/plated/coated.	25	2024
7208.25.60	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick 4.75mm or more, pickled, not clad/plated/coated.	25	2024
7208.26.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick 3mm or mor but less 4.75mm, pickled, not clad/plated.	25	2024
7208.27.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick less than 3mm, pickled, not clad/plated/coated.	25	2024
7208.36.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick o/ 10mm, not pickled/clad/plated/coated.	25	2024
7208.37.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick 4.75mm or more & n/o 10mm, not pickled/clad/plated.	25	2024
7208.38.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick 3mm or more & less 4.75mm, not pickld/clad/plated.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7208.39.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick less than 3mm, not pickled/clad/plated/coated.	25	2024
7208.40.30	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, w/pattern in relief, not coils, w/thick 4.75 or more, n/clad/plated/coated.	25	2024
7208.40.60	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, w/pattern in relief, not coils, w/thick <4.75mm, not clad/plated/coated.	25	2024
7208.51.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, nesoi, not in coils, w/thick o/10mm, not clad/plated/coated.	25	2024
7208.52.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, neosi, not in coils, w/thick 4.75mm+ but n/o 10mm, not clad/plated/.	25	2024
7208.53.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, neosi, not in coils, w/thick 3mm+ but <4.75mm, not clad/plated/coated.	25	2024
7208.54.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, neosi, not in coils, w/thick less than 3mm, not clad/plated/coated.	25	2024
7208.90.00	Iron/nonalloy steel, width 600mm+, hot-rolled flat-rolled products, nesoi, not clad/plated/coated.	25	2024
7209.15.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, in coils, w/thick 3mm+, not clad/plated/coated.	25	2024
7209.16.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, in coils, w/thick o/1mm but less than 3mm, not clad/plated/coated.	25	2024
7209.17.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, in coils, w/thick 0.5mm or more but n/o 1mm, not clad/plated/coated.	25	2024
7209.18.15	Nonalloy hi-strength steel, width 600mm+, cold-rolled flat-rolled products, in coils, w/thick less than 0.5mm, not clad/plated/coated.	25	2024
7209.18.25	Nonalloy steel(blackplate), width 600mm+, cold-rolled flat-rolled products, in coils, w/thick less than 0.361mm, not clad/plated/coated.	25	2024
7209.18.60	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, in coils, w/thick 0.361mm+ but less 5mm, not clad/plated/coated.	25	2024
7209.25.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, not in coils, w/thick 3mm or more, not clad/plated/coated.	25	2024
7209.26.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, not in coils, w/thick o/1mm but less than 3mm, not clad/plated/coated.	25	2024
7209.27.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, not in coils, w/thick 0.5mm+ but n/o 1mm, not clad/plated/coated.	25	2024
7209.28.00	Iron/nonalloy steel, width 600mm+, cold-rolled flat-rolled products, not in coils, w/thick less than 0.5mm, not clad/plated/coated.	25	2024
7209.90.00	Iron/nonalloy steel, width 600mm+, flat-rolled products further worked than cold-rolled, not clad/plated/coated, nesoi.	25	2024
7210.11.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with tin, w/thick. 0.5 mm or more.	25	2024
7210.12.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with tin, less than 0.5 mm thick.	25	2024
7210.20.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with lead, including terneplate.	25	2024
7210.30.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, electrolytically plated or coated with zinc.	25	2024
7210.41.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with zinc (other than electrolytically), corrugated.	25	2024
7210.49.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with zinc (other than electrolytically), not corrugated.	25	2024
7210.50.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with chromium oxides or with chromium and chromium oxides.	25	2024
7210.61.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with aluminum-zinc alloys.	25	2024
7210.69.00	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated with aluminum o/than aluminum-zinc alloy.	25	2024
7210.70.30	Iron/nonalloy steel, width 600mm+, flat-rolled products, painted/varnished or coated w/plastic but not plated/coated or clad w/metal.	25	2024
7210.70.60	Iron/nonalloy steel, width 600mm+, flat-rolled products, painted/varnished or coated w/plastic, nesoi.	25	2024
7210.90.10	Iron/nonalloy steel, width 600mm+, flat-rolled products, clad	25	2024
7210.90.60	Iron/nonalloy steel, width 600mm+, flat-rolled products, electrolytically coated or plated with base metal, nesoi.	25	2024
7210.90.90	Iron/nonalloy steel, width 600mm+, flat-rolled products, plated or coated, nesoi	25	2024
7211.13.00	Iron/nonalloy steel, width less th/600mm, hot-rolled flat-rolled universal mill plate, not clad/plated/coated.	25	2024
7211.14.00	Iron/nonalloy steel, width less th/600mm, hot-rolled flat-rolled products, nesoi, w/thick of 4.75mm or more, not clad/plated/coated.	25	2024
7211.19.15	Nonalloy hi-strength steel, width less th/300mm, hot-rolled flat-rolled products, not clad/plated/coated.	25	2024
7211.19.20	Iron/nonalloy steel, neosi, width less th/300mm, hot-rolled flat-rolled products, w/thick o/1.25 mm but n/o 4.75 mm, n/clad/plated/coated.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7211.19.30	Iron/nonalloy steel, neosi, width less th/300mm, hot-rolled flat-rolled products, w/thick 1.25mm or less, not clad/plated/coated.	25	2024
7211.19.45	Nonalloy hi-strength steel, width 300mm+ but less th/600mm, hot-rolled flat-rolled products, not clad/plated/coated.	25	2024
7211.19.60	Iron/nonalloy steel, neosi, width 300mm+ but less th/600mm, hot-rolled flat-rolled products, pickled, not clad/plated/coated.	25	2024
7211.19.75	Iron/nonalloy steel, neosi, width 300mm+ but less th/600mm, hot-rolled flat-rolled products, not pickled, not clad/plated/coated.	25	2024
7211.23.15	Nonalloy hi-strength steel, width less th/300mm, cold-rolled flat-rolled, <0.25% carbon, w/thick o/1.25mm, not clad/plated/coated.	25	2024
7211.23.20	Iron/nonalloy steel, nesoi, width less th/300mm, cold-rolled flat-rolled, <0.25% carbon, w/thick o/1.25mm, not clad/plated/coated.	25	2024
7211.23.30	Iron/nonalloy steel, nesoi, width less th/300mm, cold-rolled flat-rolled, <0.25% carbon, w/thick o/0.25mm n/o 1.25mm, not clad/plated.	25	2024
7211.23.45	Iron/nonalloy steel, nesoi, width less th/300mm, cold-rolled flat-rolled, <0.25% carbon, w/thick n/o 0.25mm, not clad/plated/coated.	25	2024
7211.23.60	Iron/nonalloy steel, nesoi, width 300mm+ but less th/600mm, cold-rolled flat-rolled, <0.25% carbon, not clad/plated/coated.	25	2024
7211.29.20	Iron/nonalloy steel, width less th/300mm, cold-rolled flat-rolled, w/0.25% or more carbon, w/thick o/0.25mm, not clad/plated/coated.	25	2024
7211.29.45	Iron/nonalloy steel, width less th/300mm, cold-rolled flat-rolled, w/0.25% or more carbon, w/thick 0.25mm or less, not clad/plated/coated.	25	2024
7211.29.60	Iron/nonalloy steel, width 300mm+ but less th/600mm, cold-rolled flat-rolled, w/0.25% or more carbon, not clad/plated/coated.	25	2024
7211.90.00	Iron/nonalloy steel, width less th/600mm, flat-rolled further worked than cold-rolled, not clad, plated or coated.	25	2024
7212.10.00	Iron/nonalloy steel, width less th/600mm, flat-rolled products, plated or coated with tin	25	2024
7212.20.00	Iron/nonalloy steel, width less th/600mm, flat-rolled products, electrolytically plated or coated with zinc.	25	2024
7212.30.10	Iron/nonalloy steel, width less th/300mm, flat-rolled products, plated/coated with zinc (other than electrolytically), w/thick o/0.25 mm.	25	2024
7212.30.30	Iron/nonalloy steel, width less th/300mm, flat-rolled products, plated/coated w/zinc (other than electrolytically), w/thick 0.25 mm or less.	25	2024
7212.30.50	Iron/nonalloy steel, width 300+ but less th/600mm, flat-rolled products, plated or coated with zinc (other than electrolytically).	25	2024
7212.40.10	Iron/nonalloy steel, width less th/300mm, flat-rolled products, painted, varnished or coated w/plastic.	25	2024
7212.40.50	Iron/nonalloy steel, width 300+ but less th/600mm, flat-rolled products, painted, varnished or coated w/plastic.	25	2024
7212.50.00	Iron/nonalloy steel, width less th/600mm, flat-rolled products, plated or coated nesoi	25	2024
7212.60.00	Iron/nonalloy steel, width less th/600mm, flat-rolled products, clad	25	2024
7213.10.00	Iron/nonalloy, concrete reinforcing bars and rods in irregularly wound coils, hot-rolled ..	25	2024
7213.20.00	Free-cutting steel, bars and rods in irregularly wound coils, hot-rolled	25	2024
7213.91.30	Iron/nonalloy steel, nesoi, hot-rolled bars & rods in irregularly wound coils, w/cir. x-sect. diam. <14mm, n/tempered/treated/partly mfd.	25	2024
7213.91.45	Iron/nonalloy steel, nesoi, hot-rolled bars & rods in irregularly wound coils, w/cir. x-sect. diam. <14mm, w/0.6+ of carbon, nesoi.	25	2024
7213.91.60	Iron/nonalloy steel, nesoi, hot-rolled bars & rods in irregularly wound coils, w/cir. x-sect. diam. <14mm, w/less th/0.6 carbon, nesoi.	25	2024
7213.99.00	Iron/nonalloy steel, nesoi, hot-rolled bars & rods, w/cir. x-sect. diam 14+mm or non-circ. x-sect., in irregularly wound coils, nesoi.	25	2024
7214.20.00	Iron/nonalloy steel, concrete reinforcing bars and rods, not further worked than hot-rolled, hot-drawn or hot-extruded, n/coils.	25	2024
7214.30.00	Free-cutting steel, bars and rods, not further worked than hot-rolled, hot-drawn or hot-extruded, n/coils, nesoi.	25	2024
7214.91.00	Iron/nonalloy steel, bars and rods, not further worked than hot-rolled, hot-drawn or hot-extruded, w/rectangular (o/than square) X-section.	25	2024
7214.99.00	Iron/nonalloy steel, bars and rods, not further worked than hot-rolled, hot-drawn or hot-extruded, w/non-rectangular X-sect, not in coils.	25	2024
7215.10.00	Free-cutting steel, bars and rods, not further worked than cold-formed or cold-finished, not in coils.	25	2024
7215.50.00	Iron/nonalloy steel nesoi, bars and rods, not further wkd. than cold-formed or cold-finished, not in coils.	25	2024
7215.90.10	Iron/nonalloy steel, bars and rods, not cold-formed, plated or coated with metal	25	2024
7215.90.30	Iron/nonalloy steel, bars and rods, cold-formed, plated or coated with metal	25	2024
7215.90.50	Iron/nonalloy steel, bars and rods, further worked than cold-formed or cold-finished, nesoi.	25	2024
7216.10.00	Iron/nonalloy steel, U, I or H-sections, not further worked than hot-rolled, hot-drawn or extruded, w/height under 80 mm.	25	2024
7216.21.00	Iron/nonalloy steel, L-sections, not further worked than hot-rolled, hot-drawn or extruded, w/height under 80 mm.	25	2024
7216.22.00	Iron/nonalloy steel, T-sections, not further worked than hot-rolled, hot-drawn or extruded, w/height under 80 mm.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7216.31.00	Iron/nonalloy steel, U-sections, not further worked than hot-rolled, hot-drawn or extruded, w/height of 80 mm or more.	25	2024
7216.32.00	Iron/nonalloy steel, I-sections (standard beams), not further worked than hot-rolled, hot-drawn or extruded, w/height 80 mm or more.	25	2024
7216.33.00	Iron/nonalloy steel, H-sections, not further worked than hot-rolled, hot-drawn or extruded, w/height 80 mm or more.	25	2024
7216.40.00	Iron/nonalloy steel, L or T-sections, not further worked than hot-rolled, hot-drawn or extruded, w/height 80 mm or more.	25	2024
7216.50.00	Iron/nonalloy steel, angles, shapes & sections nesoi, not further worked than hot-rolled, hot-drawn or extruded.	25	2024
7216.99.00	Iron/nonalloy steel, angles, shapes & sections nesoi, further wkd. than cold-formed or cold-finished and not from flat-rolled products.	25	2024
7217.10.10	Iron/nonalloy steel, flat wire, <0.25% carbon, not plated or coated, w/thick n/o 0.25 mm	25	2024
7217.10.20	Iron/nonalloy steel, flat wire, <0.25% carbon, not plated or coated, w/thick o/0.25mm but n/o 1.25 mm.	25	2024
7217.10.30	Iron/nonalloy steel, flat wire, <0.25% carbon, not plated or coated, w/thick o/1.25 mm ..	25	2024
7217.10.50	Iron/nonalloy steel, round wire, <0.25% carbon, not plated or coated, w/diameter of 1.5 mm or more.	25	2024
7217.10.60	Iron/nonalloy steel, wire (other than flat or round), <0.25% carbon, not plated or coated	25	2024
7217.10.70	Iron/nonalloy steel, flat wire, w/0.25% or more carbon, not plated or coated	25	2024
7217.10.80	Iron/nonalloy steel, round wire, w/0.25% or more carbon, not plated or coated	25	2024
7217.10.90	Iron/nonalloy steel, wire (other than flat or round), w/0.25% or more of carbon, not plated or coated.	25	2024
7217.20.15	Iron/nonalloy steel, flat wire, plated or coated with zinc	25	2024
7217.20.30	Iron/nonalloy steel, round wire, <0.25% carbon, plated or coated with zinc, w/diameter of 1.5 mm or more.	25	2024
7217.20.45	Iron/nonalloy steel, round wire, w/0.25% or more carbon and/or <1.5mm diam, plated or coated with zinc.	25	2024
7217.20.60	Iron/nonalloy steel, wire (other than flat or round), <0.25% carbon, plated or coated with zinc.	25	2024
7217.20.75	Iron/nonalloy steel, wire (other than flat or round), w/0.25% or more of carbon, plated or coated with zinc.	25	2024
7217.30.15	Iron/nonalloy steel, flat wire, plated or coated with base metal other than zinc	25	2024
7217.30.30	Iron/nonalloy steel, round wire, <0.25% carbon, plated or coated with base metal other than zinc, w/diam. of 1.5 mm or more.	25	2024
7217.30.60	Iron/nonalloy steel, wire (other than flat or round), <0.25% carbon, plated or coated with base metal other than zinc.	25	2024
7217.30.75	Iron/nonalloy steel, wire (other than flat or round), w/0.25% or more of carbon, plated or coated with base metal other than zinc.	25	2024
7217.90.10	Iron/nonalloy steel, wire, coated with plastics	25	2024
7217.90.50	Iron/nonalloy steel, wire, plated or coated with materials other than base metals or plastics.	25	2024
7218.10.00	Stainless steel, ingots and other primary forms	25	2024
7218.91.00	Stainless steel, semifinished products of rectangular (other than square) cross-section	25	2024
7218.99.00	Stainless steel, semifinished products, other than of rectangular (other than square) cross-section.	25	2024
7219.11.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thickness o/10 mm.	25	2024
7219.12.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick. 4.75 mm or more but n/o 10 mm.	25	2024
7219.13.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick. 3 mm or more but less than 4.75 mm.	25	2024
7219.14.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thickness less than 3 mm.	25	2024
7219.21.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, not in coils, w/thickness o/10 mm.	25	2024
7219.22.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, not in coils, w/thick. 4.75 mm or more but n/o 10 mm.	25	2024
7219.23.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, not in coils, w/thick. 3 mm or more but less than 4.75 mm.	25	2024
7219.24.00	Stainless steel, width 600mm+, hot-rolled flat-rolled products, not in coils, w/thickness less than 3 mm.	25	2024
7219.31.00	Stainless steel, width 600mm+, cold-rolled flat-rolled products, w/thickness of 4.75 mm or more.	25	2024
7219.32.00	Stainless steel, width 600mm+, cold-rolled flat-rolled products, w/thickness of 3 mm or more but less than 4.75 mm.	25	2024
7219.33.00	Stainless steel, width 600mm+, cold-rolled flat-rolled products, w/thickness o/1 mm but less than 3 mm.	25	2024
7219.34.00	Stainless steel, width 600mm+, cold-rolled flat-rolled products, w/thickness of 0.5 mm or more but n/o 1 mm.	25	2024
7219.35.00	Stainless steel, width 600mm+, cold-rolled flat-rolled products, w/thickness of less than 0.5 mm.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7219.90.00	Stainless steel, width 600mm+, flat-rolled products, nesoi, further worked than cold-rolled.	25	2024
7220.12.10	Stainless steel, width 300m+ but less th/600mm, hot-rolled flat-rolled products, w/thickness of less than 4.75 mm.	25	2024
7220.12.50	Stainless steel, width less th/300mm, hot-rolled flat-rolled products, w/thickness of less than 4.75 mm.	25	2024
7220.20.10	Stainless steel, width 300+ but less th/600mm, cold-rolled flat-rolled products	25	2024
7220.20.60	Stainless steel, width less th/300mm, cold-rolled flat-rolled products, w/thickness o/1.25 mm.	25	2024
7220.20.70	Stainless steel, width less th/300mm, cold-rolled flat-rolled products, w/thickness of 0.25 mm but n/o 1.25 mm.	25	2024
7220.20.80	Stainless razor blade steel, width less th/300mm, cold-rolled flat-rolled, w/thickness n/o 0.25 mm.	25	2024
7220.90.00	Stainless steel, width less th/600mm, flat-rolled products further worked than cold-rolled.	25	2024
7221.00.00	Stainless steel, bars and rods in irregularly wound coils, hot-rolled	25	2024
7222.11.00	Stainless steel, bars and rods, hot-rolled, hot-drawn or extruded, of circular cross-section.	25	2024
7222.19.00	Stainless steel, bars and rods, hot-rolled, hot-drawn or extruded, other than of circular cross-section.	25	2024
7222.20.00	Stainless steel, bars and rods, not further worked than cold-formed or cold-finished, nesoi.	25	2024
7222.30.00	Stainless steel, bars and rods, further worked than cold-formed or cold-finished, nesoi	25	2024
7222.40.30	Stainless steel, angles, shapes & sections, hot-rolled, not drilled/punched or otherwise advanced.	25	2024
7222.40.60	Stainless steel, angles, shapes & sections, other than hot-rolled and not drilled/punched or otherwise advanced.	25	2024
7223.00.10	Stainless steel, round wire	25	2024
7223.00.50	Stainless steel, flat wire	25	2024
7223.00.90	Stainless steel, wire (other than round or flat wire)	25	2024
7224.10.00	Alloy (o/than stainless) steel, ingots and other primary forms	25	2024
7224.90.00	Alloy (o/than stainless) steel, semifinished products	25	2024
7225.11.00	Alloy silicon electrical steel (grain-oriented), width 600mm+, flat-rolled products	25	2024
7225.19.00	Alloy silicon electrical steel (other than grain-oriented), width 600mm+, flat-rolled products.	25	2024
7225.30.11	Alloy tool steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick. of 4.75 mm or more.	25	2024
7225.30.30	Alloy (o/th stainless, silicon elect., hi-speed, or tool) steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick 4.75mm+.	25	2024
7225.30.51	Alloy tool steel, width 600mm+, hot-rolled flat-rolled products, in coils, w/thick. of less than 4.75 mm.	25	2024
7225.30.70	Alloy (o/th stainless, silicon elect., hi-speed, or tool) steel, width 600mm+, hot-rolled flat-rolled prod., in coils, w/thick less 4.75mm.	25	2024
7225.40.11	Alloy tool steel, width 600mm+, hot-rolled flat-rolled products, n/coils, w/thick. of 4.75 mm or more.	25	2024
7225.40.30	Alloy (o/th stainless, silicon elect., hi-speed, or tool) steel, width 600mm+, hot-rolled flat-rolled products, n/coils, w/thick 4.75mm+.	25	2024
7225.40.51	Alloy tool steel, width 600mm+, hot-rolled flat-rolled products, n/coils, w/thick. of less than 4.75 mm.	25	2024
7225.40.70	Alloy (o/th stainless, silicon elect., hi-speed, or tool) steel, width 600mm+, hot-rolled flat-rolled prod., n/coils, w/thick less 4.75mm.	25	2024
7225.50.11	Alloy tool steel, width 600mm+, cold-rolled flat-rolled products	25	2024
7225.50.60	Alloy steel (o/than tool), width 600mm+, cold-rolled flat-rolled products, w/thickness 4.75 mm or more.	25	2024
7225.50.70	Alloy heat-resisting steel, width 600mm+, cold-rolled flat-rolled products, w/thickness less than 4.75 mm.	25	2024
7225.50.80	Alloy steel (o/th heat-resisting), width 600mm+, cold-rolled flat-rolled products, w/thickness less than 4.75 mm.	25	2024
7225.91.00	Alloy steel, width 600mm+, flat-rolled products further worked than cold-rolled, electrolytically plated or coated with zinc.	25	2024
7225.92.00	Alloy steel, width 600mm+, flat-rolled products further worked than cold-rolled, plated or coated with zinc (o/than electrolytically).	25	2024
7225.99.00	Alloy steel, width 600mm+, flat-rolled products further worked than cold-rolled, nesoi ...	25	2024
7226.11.10	Alloy silicon electrical steel (grain-oriented), width 300mm+ but less th/600mm, flat-rolled products.	25	2024
7226.11.90	Alloy silicon electrical steel (grain-oriented), width less th/300mm, flat-rolled products ..	25	2024
7226.19.10	Alloy silicon electrical steel (o/than grain-oriented), width 300mm+ but less th/600mm, flat-rolled products.	25	2024
7226.19.90	Alloy silicon electrical steel (o/than grain-oriented), width less th/300mm, flat-rolled products.	25	2024
7226.20.00	Alloy high-speed steel, width less th/600mm, flat-rolled products of high-speed steel	25	2024
7226.91.05	Alloy chipper knife tool steel (o/than hi-speed), width less th/600mm, hot-rolled flat-rolled products.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7226.91.15	Alloy tool steel (o/than hi-speed/chipper knife), width 300mm+ but less th/600mm, hot-rolled flat-rolled products.	25	2024
7226.91.25	Alloy tool steel (o/than hi-speed/chipper knife), width less th/300mm, hot-rolled flat-rolled products.	25	2024
7226.91.50	Alloy steel (o/than silicon elect./tool), width less th/600mm, hot-rolled flat-rolled products, w/thickness of 4.75 mm or more.	25	2024
7226.91.70	Alloy steel (o/than silicon elect./tool), width 300mm+ but less th/600mm, hot-rolled flat-rolled products, w/thickness less than 4.75 mm.	25	2024
7226.91.80	Alloy steel (o/than silicon elect./tool), width less th/300mm, hot-rolled flat-rolled products, w/thickness less than 4.75 mm.	25	2024
7226.92.10	Alloy tool steel (o/than hi-speed), width 300mm+ but less th/600mm, cold-rolled flat-rolled products.	25	2024
7226.92.30	Alloy tool steel (o/than hi-speed), width less th/300mm, cold-rolled flat-rolled products	25	2024
7226.92.50	Alloy steel (o/than tool), width 300mm+ but less th/600mm, cold-rolled flat-rolled products.	25	2024
7226.92.70	Alloy steel (o/than tool), width less th/300mm, cold-rolled flat-rolled products, w/thickness n/o 0.25 mm.	25	2024
7226.92.80	Alloy steel (o/than tool), width less th/300mm, cold-rolled flat-rolled products, w/thickness o/0.25 mm.	25	2024
7226.99.01	Alloy steel, width less than 600mm, flat-rolled products further worked than cold-rolled, nesoi.	25	2024
7227.10.00	Alloy high-speed steel, bars and rods in irregularly wound coils, hot-rolled	25	2024
7227.20.00	Alloy silico-manganese steel, bars and rods in irregularly wound coils, hot-rolled	25	2024
7227.90.10	Alloy tool steel (o/than hi-speed), bars & rods in irregular wound coils, hot-rolled, n/tempered, treated or partly manufactured.	25	2024
7227.90.20	Alloy tool steel (o/than hi-speed), bars and rods in irregularly wound coils, hot-rolled, nesoi.	25	2024
7227.90.60	Alloy steel (o/than hi-speed/silico-mang./tool) steel, bars and rods in irregularly wound coils, hot-rolled.	25	2024
7228.20.10	Alloy silico-manganese steel, bars and rods, not cold-formed, o/than hot-rolled and in irregularly wound coils.	25	2024
7228.20.50	Alloy silico-manganese steel, bars and rods, cold formed, o/than hot-rolled and in irregularly wound coils.	25	2024
7228.30.40	Alloy chipper knife tool steel, bars and rods, not cold-formed & not further worked than hot-rolled, hot-drawn or extruded.	25	2024
7228.30.60	Alloy tool steel (o/than ball-bearing/chipper knife), bars and rods, not further worked than hot-rolled, hot-drawn or extruded.	25	2024
7228.30.80	Alloy steel (o/than hi-speed, silico-mang./tool), bars and rods, not further worked than hot-rolled, hot-drawn or extruded.	25	2024
7228.40.00	Alloy steel, bars and rods, not further worked than forged	25	2024
7228.50.10	Alloy tool steel (o/than hi-speed), bars and rods, not further worked than cold-formed or cold-finished.	25	2024
7228.50.50	Alloy steel (o/than tool), bars and rods, not further worked than cold-formed or cold-finished.	25	2024
7228.60.10	Alloy tool steel (o/than hi-speed), bars and rods, further worked than hot-rolled, forged, cold-formed or cold-finished.	25	2024
7228.60.60	Alloy steel (o/than tool), bars and rods, further worked than hot-rolled, forged but not cold-formed.	25	2024
7228.60.80	Alloy steel (o/than tool), bars and rods, cold-formed	25	2024
7228.70.30	Alloy steel, angles, shapes and sections, hot-rolled & not drilled/not punched and not otherwise advanced.	25	2024
7228.70.60	Alloy steel, angles, shapes and sections, o/than hot-rolled & not drilled/punched and not otherwise advanced.	25	2024
7229.20.00	Alloy silico-manganese steel, wire	25	2024
7229.90.10	Alloy steel (o/than hi-speed/silico-mang.), flat wire	25	2024
7229.90.50	Alloy steel (o/than hi-speed/silico-mang.), round wire	25	2024
7229.90.90	Alloy steel (o/than hi-speed/silico-mang.), wire (o/than flat or round wire)	25	2024
7301.10.00	Iron or steel sheet piling, whether or not drilled, punched or made from assembled elements.	25	2024
7302.10.10	Iron or nonalloy steel, rails for railway or tramway tracks	25	2024
7302.10.50	Alloy steel, rails for railway or tramway tracks	25	2024
7302.40.00	Iron or steel, fish plates and sole plates for jointing or fixing rails	25	2024
7302.90.10	Sleepers (cross-ties) for railway or tramway track construction of iron or steel	25	2024
7302.90.90	Railway or tramway track construction material and other materials specialized for jointing or fixing rails, of iron or steel, nesoi.	25	2024
7304.11.00	Stainless steel, seamless line pipe used for oil or gas pipelines	25	2024
7304.19.10	Iron (o/than cast) or nonalloy steel, seamless line pipe used for oil and gas pipelines ..	25	2024
7304.19.50	Alloy (other than stainless) steel, seamless line pipe used for oil or gas pipelines	25	2024
7304.22.00	Stainless steel, seamless drill pipe, of a kind used in drilling for oil or gas	25	2024
7304.23.30	Iron (o/than cast) or nonalloy steel, seamless drill pipe, of a kind used in drilling for oil or gas.	25	2024
7304.23.60	Alloy (other than stainless) steel, seamless drill pipe, of a kind used in drilling for oil or gas.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7304.24.30	Stainless steel, seamless casing pipe, threaded or coupled, of a kind used in drilling for oil or gas.	25	2024
7304.24.40	Stainless steel, seamless casing pipe, not threaded or coupled, of a kind used in drilling for oil or gas.	25	2024
7304.24.60	Stainless steel, seamless tubing, of a kind used in drilling for oil or gas	25	2024
7304.29.10	Iron (o/than cast) or nonalloy steel, seamless casing pipe, threaded or coupled, of a kind used in drilling for oil or gas.	25	2024
7304.29.20	Iron (o/than cast) or nonalloy steel, seamless casing pipe, not threaded or coupled, of a kind used in drilling for oil or gas.	25	2024
7304.29.31	Alloy (other than stainless) steel, seamless casing pipe, threaded or coupled, of a kind used in drilling for oil or gas.	25	2024
7304.29.41	Alloy (other than stainless) steel, seamless casing pipe, not threaded or coupled, of a kind used in drilling for oil or gas.	25	2024
7304.29.50	Iron (o/than cast) or nonalloy, seamless tubing, of a kind used in drilling for oil or gas	25	2024
7304.29.61	Alloy (other than stainless) steel, seamless tubing, of a kind used in drilling for oil or gas.	25	2024
7304.31.30	Iron (o/than cast) or nonalloy steel, seamless, cold-drawn or cold-rolled, hollow bars w/ circular cross section.	25	2024
7304.31.60	Iron (o/than cast) or nonalloy steel, seamless, cold-drawn or cold-rolled, tubes, pipes & hollow profiles, w/circular cross section, nesoi.	25	2024
7304.39.00	Iron (o/than cast) or nonalloy steel, seamless, not cold-drawn or cold-rolled, tubes, pipes and hollow prof., w/circular cross sect., nesoi.	25	2024
7304.49.00	Stainless steel, seamless, not cold-drawn/cold-rolled, tubes, pipes and hollow profiles, w/circular cross section.	25	2024
7304.51.10	Alloy steel (o/than stainless), seamless, cold-drawn/cold-rolled, tubes, pipes, etc., w/ circ. cross sect., for mfr of ball/roller bearings.	25	2024
7304.51.50	Alloy steel (o/than stainless), seamless, cold-drawn/cold-rolled, tubes, pipes and hollow profiles, w/circular cross section, nesoi.	25	2024
7304.59.10	Alloy steel (o/than stainless), seamless, n/cold-drawn/cold-rolled, tubes, pipes, etc. w/ circ. cross sect., for mfr ball/roller bearings.	25	2024
7304.59.20	Alloy steel (o/than stainless), seamless, n/cold-drawn/cold-rolled, tubes, pipes, etc. w/ circ. cross sect., for boilers, heaters, etc.	25	2024
7304.59.60	Heat-resisting alloy steel (o/than stainless), seamless, n/cold-drawn/cold-rolled, tubes, pipes, etc., w/circ. cross sect., nesoi.	25	2024
7304.59.80	Alloy steel (o/than heat-resist or stainless), seamless, n/cold-drawn/cold-rolled, tubes, pipes and hollow prof., w/circ. cross sect., nesoi.	25	2024
7304.90.10	Iron (o/than cast) or nonalloy steel, seamless, tubes, pipes and hollow profiles, o/than circ. cross sect., w/wall thickness of 4 mm or more.	25	2024
7304.90.70	Alloy steel (o/than stainless), seamless, tubes, pipes and hollow profiles, o/than circ. cross sect., w/wall thickness less than 4 mm.	25	2024
7305.11.10	Iron or nonalloy steel, seamed, w/circ. cross sect. & ext. diam o/406.4mm, line pipe, long. submerg. arc weld., used for oil/gas.	25	2024
7305.11.50	Alloy steel, seamed, circ. w/cross sect. & ext. diam o/406.4mm, line pipe, long. submerg. arc weld., used for oil/gas pipelines.	25	2024
7305.12.10	Iron or nonalloy steel, seamed, w/circ. cross sect. & ext. diam o/406.4mm, line pipe, long. welded nesoi, used for oil/gas.	25	2024
7305.12.50	Alloy steel, seamed, w/circ. cross sect. & ext. diam o/406.4mm, line pipe, long. welded nesoi, used for oil/gas pipelines.	25	2024
7305.19.10	Iron or nonalloy steel, seamed, w/circ. cross sect. & ext. diam o/406.4mm, line pipe, not long. welded, used for oil/gas.	25	2024
7305.19.50	Alloy steel, seamed, w/circ. cross sect. & ext. diam o/406.4mm, line pipe, not long. welded, used for oil/gas pipelines.	25	2024
7305.20.20	Iron or nonalloy steel, seamed, w/circ. cross sect. & ext. diam. o/406.4mm, casing pipe, threaded/coupled, of kind for drilling for oil/gas.	25	2024
7305.20.40	Iron or nonalloy steel, seamed, w/circ. cross sect. & ext. diam. o/406.4mm, casing pipe, n/threaded/coupled, of kind for drill. for oil/gas.	25	2024
7305.20.60	Alloy steel, seamed, w/circ. cross sect. & ext. diam. o/406.4mm, casing pipe, threaded/coupled, of kind for drilling for oil/gas.	25	2024
7305.20.80	Alloy steel, seamed, w/circ. cross sect. & ext. diam. o/406.4mm, casing pipe, n/threaded/coupled, of kind for drilling for oil/gas.	25	2024
7305.31.20	Steel, long. welded, w/circ. cross sect & ext. diam o/406.4mm, tapered pipes and tubes principally used as pts of illuminating arts.	25	2024
7305.31.40	Iron or nonalloy steel, long. welded, w/circ. cross sect. & ext. diam. o/406.4mm, tubes and pipes, o/th used in oil/gas drill.etc.	25	2024
7305.31.60	Alloy steel, long. welded, w/circ. cross sect. & ext. diam. o/406.4mm, tubes and pipes, o/than used in oil/gas drill. or pipelines.	25	2024
7305.39.10	Iron or nonalloy steel, weld. o/than long. weld., w/circ. x-sect. & ext. diam. o/406.4mm, tubes and pipes, o/th used in oil/gas drill.etc.	25	2024
7305.39.50	Alloy steel, weld. o/than long. weld., w/circ. x-sect. & ext. diam. o/406.4mm, tubes and pipes, o/than used in oil/gas drill. or pipelines.	25	2024
7305.90.10	Iron or nonalloy steel, seamed, w/circ. cross sect. & ext. diam. o/406.4mm, not welded, tubes and pipes, o/th used in oil/gas drill.etc.	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7305.90.50	Alloy steel, seamed, w/circ. cross sect. & ext. diam. o/406.4mm, not welded, tubes and pipes, o/than used in oil/gas drill. or pipelines.	25	2024
7306.11.00	Welded stainless steel, w/ext. diam 406.4mm or less or o/than circ. x-sect, line pipe of a kind used for oil and gas pipelines.	25	2024
7306.19.10	Iron or nonalloy steel, seamed, w/ext. diam. 406.4mm or less or o/than circ. x-sect, line pipe of a kind used for oil and gas pipelines.	25	2024
7306.19.51	Alloy steel, seamed (o/than welded stainless steel), w/ext. diam 406.4mm or less or o/than circ. x-sect, line pipe of a kind used for oil an.	25	2024
7306.21.30	Welded stainless steel, w/ext. diam 406.4mm or less or o/than circ. x-sect, threaded/ coupled, casing of kind used in drilling for oil/gas.	25	2024
7306.21.40	Welded stainless steel, w/ext. diam 406.4mm or less or o/than circ. x-sect, n/threaded/ coupled, casing of kind used in drilling for oil/gas.	25	2024
7306.21.80	Welded stainless steel, w/ext. diam 406.4mm or less or o/than circ. x-sect, tubing of a kind used for drilling for oil/gas.	25	2024
7306.29.10	Iron or nonalloy steel, seamed, w/ext. diam 406.4mm or less or o/than circ. x-sect, threaded/coupled, casing of kind used in drill. oil/gas.	25	2024
7306.29.20	Iron or nonalloy steel, seamed, w/ext. diam 406.4mm or less or o/than circ. x-sect, n/ threaded/coupled, casing kind used drill for oil/gas.	25	2024
7306.29.31	Alloy steel, seamed (o/than welded stainless steel), w/ext. diam 406.4mm or less or o/than circ. x-sect, threaded/coupled, casing of kind us.	25	2024
7306.29.41	Alloy steel, seamed (o/than welded stainless steel), w/ext. diam 406.4mm or less or o/than circ. x-sect, n/threaded/coupled, casing of kind.	25	2024
7306.29.60	Iron or nonalloy steel, seamed, w/ext. diam. 406.4mm or less or o/than circ. x-sect, tubing of a kind used for drilling for oil/gas.	25	2024
7306.29.81	Alloy steel, seamed (o/than welded stainless steel), w/ext. diam 406.4mm or less or o/than circ. x-sect, tubing of a kind used for drilling.	25	2024
7306.30.10	Iron or nonalloy steel, welded, w/circ. x-sect & ext. diam. 406.4mm or less, tubes, pipes, hollow profiles, w/wall thick. less than 1.65 mm.	25	2024
7306.30.30	Nonalloy steel, welded, w/circ. x-sect & ext. diam. 406.4mm or less, tapered pipes & tubes, w/wall thick. of 1.65 mm+, pts. of illum. arts..	25	2024
7306.30.50	Iron or nonalloy steel, welded, w/circ. x-sect & ext. diam. 406.4mm or less, pipes, tubes & holl. prof., w/wall thick. of 1.65 mm or more.	25	2024
7306.40.10	Stainless steel, welded, w/circ. x-sect & ext. diam. 406.4mm or less, tubes, pipes, hol- low profiles, w/wall thick. less than 1.65 mm.	25	2024
7306.40.50	Stainless steel, welded, w/circ. x-sect & ext. diam. 406.4mm or less, tubes, pipes, hol- low profiles, w/wall thick. of 1.65 mm or more.	25	2024
7306.50.10	Alloy steel (o/stainless), welded, w/circ. x-sect & ext. diam. 406.4mm or less, tubes, pipes, hollow prof., w/wall thick. less th/1.65 mm.	25	2024
7306.50.30	Alloy steel (o/stainless), welded, w/circ. x-sect & ext. diam. 406.4mm or less, tapered pipes & tubes, w/wall thick. of 1.65 mm+, pts. illum.	25	2024
7306.50.50	Alloy steel (o/stainless), welded, w/circ. x-sect & ext. diam. 406.4mm or less, tubes, pipes, hollow prof., w/wall thick. of 1.65 mm+.	25	2024
7306.61.10	Iron or nonalloy steel, welded, w/square or rectangular x-sect, tubes, pipes and hollow profiles, w/wall thickness of 4 mm or more.	25	2024
7306.61.30	Alloy steel, welded, w/square or rectangular x-sect, tubes, pipes and hollow profiles, w/ wall thickness of 4 mm or more.	25	2024
7306.61.50	Iron or nonalloy steel, welded, w/square or rectangular x-sect, tubes, pipes and hollow profiles, w/wall thickness less than 4 mm.	25	2024
7306.61.70	Alloy steel, welded, w/square or rectangular x-sect, tubes, pipes and hollow profiles, w/ wall thickness less than 4 mm.	25	2024
7306.69.10	Iron or nonalloy steel, welded, w/other non-circ. x-sect, tubes, pipes and hollow pro- files, w/wall thickness of 4 mm or more.	25	2024
7306.69.30	Alloy steel, welded, w/other non-circ. x-sect, tubes, pipes and hollow profiles, w/wall thickness of 4 mm or more.	25	2024
7306.69.70	Alloy steel, welded, w/other non-circ. x-sect, tubes, pipes and hollow profiles, w/wall thickness less than 4 mm.	25	2024
7306.90.10	Iron or nonalloy steel, seamed o/welded, w/non-circ. x-sect. or circ. x-sect. w/ext. diam. 406.4mm or less, tubes, pipes & hollow profiles.	25	2024
7306.90.50	Alloy steel, seamed o/than welded, w/non-circ. x-sect or circ. x-sect w/ext. diam. 406.4mm or less, tubes, pipes and hollow profiles.	25	2024
7601.10.30	Aluminum (o/than alloy), unwrought, in coils, w/uniform x-section throughout length & w/least cross-sectional dimension n/o 9.5 mm.	25	2024
7601.10.60	Aluminum (o/than alloy), unwrought nesoi	25	2024
7601.20.30	Aluminum alloys, unwrought, in coils, w/uniform x-section throughout length & w/least cross-sectional dimension n/o 9.5 mm.	25	2024
7601.20.60	Aluminum alloys, w/25 or more by weight of silicon, unwrought nesoi	25	2024
7601.20.90	Aluminum alloys nesoi, unwrought nesoi	25	2024
7604.10.10	Aluminum (o/than alloy), profiles	25	2024
7604.10.30	Aluminum (o/than alloy), bar and rods, with a round cross section	25	2024
7604.10.50	Aluminum (o/than alloy), bar and rods, other than with a round cross section	25	2024
7604.21.00	Aluminum alloy, hollow profiles	25	2024
7604.29.10	Aluminum alloy, profiles (o/than hollow profiles)	25	2024
7604.29.30	Aluminum alloy, bars and rods, having a round cross section	25	2024

HTSUS subheading	Product description	Rate (%)	Timing
7604.29.50	Aluminum alloy, bars and rods, other than with a round cross section	25	2024
7605.11.00	Aluminum (o/than alloy), wire, with a maximum cross-sectional dimension over 7 mm ..	25	2024
7605.19.00	Aluminum (o/than alloy), wire, with a maximum cross-sectional dimension of 7 mm or less.	25	2024
7605.21.00	Aluminum alloy, wire, with a maximum cross-sectional dimension over 7 mm	25	2024
7605.29.00	Aluminum alloy, wire, with a maximum cross-sectional dimension of 7 mm or less	25	2024
7606.11.30	Aluminum (o/than alloy), plates/sheets/strip, w/thick. o/0.2mm, rectangular (incl. sq), not clad.	25	2024
7606.11.60	Aluminum (o/than alloy), plates/sheets/strip, w/thick. o/0.2mm, rectangular (incl. sq), clad.	25	2024
7606.12.30	Aluminum alloy, plates/sheets/strip, w/thick. o/0.2mm, rectangular (incl. sq), not clad ...	25	2024
7606.12.60	Aluminum alloy, plates/sheets/strip, w/thick. o/0.2mm, rectangular (incl. sq), clad	25	2024
7606.91.30	Aluminum (o/than alloy), plates/sheets/strip, w/thick. o/0.2mm, o/than rectangular (incl. sq), not clad.	25	2024
7606.91.60	Aluminum (o/than alloy), plates/sheets/strip, w/thick. o/0.2mm, o/than rectangular (incl. sq), clad.	25	2024
7606.92.30	Aluminum alloy, plates/sheets/st rip, w/thick. o/0.2mm, o/than rectangular (incl. sq), not clad.	25	2024
7606.92.60	Aluminum alloy, plates/sheets/strip, w/thick. o/0.2mm, o/than rectangular (incl. sq), clad	25	2024
7607.11.30	Aluminum, foil, w/thickness n/o 0.01 mm, rolled but not further worked, not backed	25	2024
7607.11.60	Aluminum, foil, w/thickness over 0.01 mm but n/o 0.15 mm, rolled but not further worked, not backed.	25	2024
7607.11.90	Aluminum, foil, w/thickness over 0.15 mm but n/o 0.2 mm, rolled but not further worked, not backed.	25	2024
7607.19.60	Aluminum, foil nesoi, w/thickness o/0.15mm but n/o 0.2 mm or 0.15mm or less & not cut to shape, not rolled, not backed, nesoi.	25	2024
7607.20.10	Aluminum, foil, w/thickness n/o 0.2 mm, backed, covered or decorated with a character, design, fancy effect or pattern.	25	2024
7608.10.00	Aluminum (o/than alloy), tubes and pipes	25	2024
7608.20.00	Aluminum alloy, tubes and pipes	25	2024
7609.00.00	Aluminum, fittings for tubes and pipes	25	2024
Syringes and Needles			
9018.31.00	Syringes, with or without their needles; parts and accessories thereof; except enteral syringes provided for in heading 9903.91.10, entered before January 1, 2026 (described in statistical reporting number 9018.31.0080).	100	2024
9018.32.00	Tubular metal needles and needles for sutures, used in medical, surgical, dental or veterinary sciences, and parts and accessories thereof.	100	2024

Annex B—Exclusions for Solar Manufacturing Equipment

EXCLUSION PRODUCT DESCRIPTION

Silicon growth furnaces, including Czochralski crystal growth furnaces, designed for growing monocrystalline silicon ingots (boules) of a mass exceeding 700 kg, for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000).

Band saws designed for cutting or slicing cylindrical monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into square or rectangular ingots (boules), for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000).

Machines designed to align and adhere square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 200 kg to plastic support boards on metal mounting plates to provide support during diamond wire sawing, for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000).

Diamond wire saws designed for cutting or slicing square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into solar wafers of a thickness not exceeding 200 micrometers (described in statistical reporting number 8486.10.0000).

Wire guide roller machines, presented with diamond wire saws designed for slicing square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into solar wafers of a thickness not exceeding 200 micrometers, all of the foregoing for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000).

Coolant fluid recycling machines, presented with diamond wire saws designed for slicing square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into solar wafers of a thickness not exceeding 200 micrometers, all of the foregoing for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000).

Degumming machines designed to remove adhesives from solar wafers (described in statistical reporting number 8486.10.0000).

Texturing, etching, polishing, and cleaning machines designed to prepare, repair, clean, etch, polish or texture the solar wafer substrate, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, all the foregoing for use in solar wafer manufacturing (described in statistical reporting number 8486.20.0000).

Thermal diffusion quartz-tube furnaces, designed to diffuse dopant impurities into square or rectangular silicon wafers, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next or boat loading or unloading machines, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000).

Plasma-enhanced or low-pressure chemical vapor deposition machines designed to deposit amorphous or nanocrystalline layers on one or both surfaces of a solar wafer, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000).

EXCLUSION PRODUCT DESCRIPTION—Continued

Physical vapor deposition (PVD) machines, designed to deposit a thin film of transparent conducting oxide on one or both surfaces of a solar wafer, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000).

Screen printing line machines, including sintering furnaces for printing conducting contacts on both surfaces of a solar wafer, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, and whether or not integrated with equipment for solar cell testing, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000).

Machines designed for transporting polysilicon material to growth furnaces and machines designed for transporting monocrystalline ingots (boules) and wafers throughout the solar wafer manufacturing process, including machines for loading or unloading solar wafers during the diamond wire slicing process (described in statistical reporting number 8486.40.0030).

Machines designed for lifting, handling, loading, or unloading of solar wafers of a thickness not exceeding 200 micrometers, for use in solar wafer manufacturing (described in statistical reporting number 8486.40.0030).

Annex C—Changes to Harmonized Tariff Schedule of the United States

1. Effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on

September 27, 2024, subchapter III of chapter 99 of the Harmonized Tariff Schedule of the United States (HTSUS) is modified by inserting the following new headings 9903.91.01, 9903.91.02 and 9903.91.03 in numerical sequence,

with the material in the new headings inserted in the columns of the HTSUS labeled “Heading/Subheading”, “Article Description”, “Rates of Duty 1—General”, “Rates of Duty 1—Special” and “Rates of Duty 2”, respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
“9903.91.01	Effective with respect to entries on or after September 27, 2024, articles the product of China, as provided for in subdivision (b) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 25%.		
9903.91.02	Effective with respect to entries on or after September 27, 2024, articles the product of China, as provided for in subdivision (c) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 50%.		
9903.91.03	Except as provided in heading 9903.91.10, effective with respect to entries on or after September 27, 2024, articles the product of China, as provided for in subdivision (d) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 100%.”.		

2. Effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern standard time on January 1, 2025, subchapter III of

chapter 99 of the HTSUS is modified by inserting the following new headings 9903.91.04 and 9903.91.05 in numerical sequence, with the material in the new heading inserted in the columns of the

HTSUS labeled “Heading/Subheading”, “Article Description”, “Rates of Duty 1—General”, “Rates of Duty 1—Special” and “Rates of Duty 2”, respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
“9903.91.04	Effective with respect to entries on or after January 1, 2025, and before January 1, 2026, articles the product of China, as provided for in subdivision (e) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 25%.		
9903.91.05	Effective with respect to entries on or after January 1, 2025, articles the product of China, as provided for in subdivision (f) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 50%.”.		

3. Effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern standard time on January 1, 2026, subchapter III of

chapter 99 of the HTSUS is modified by inserting the following new headings 9903.91.06, 9903.91.07, and 9903.91.08 in numerical sequence, with the material in the new heading inserted in

the columns of the HTSUS labeled “Heading/Subheading”, “Article Description”, “Rates of Duty 1—General”, “Rates of Duty 1—Special” and “Rates of Duty 2”, respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
“9903.91.06	Effective with respect to entries on or after January 1, 2026, articles the product of China, as provided for in subdivision (g) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 25%.		
9903.91.07	Effective with respect to entries on or after January 1, 2026, articles the product of China, as provided for in subdivision (h) of U.S. note 31 to this subchapter.	The duty provided in the applicable subheading + 50%.		
9903.91.08	Effective with respect to entries on or after January 1, 2026, articles the product of China, as provided for in subdivision (i) of U.S. note 31 to this subchapter.			

4. Effective on September 27, 2024, subchapter III of chapter 99 of the HTSUS is modified by inserting the following new U.S. note 31 in numerical sequence:

“31. (a) As provided in headings 9903.91.01, 9903.91.02, 9903.91.03, 9903.91.04, 9903.91.05, 9903.91.06, 9903.91.07 and 9903.91.08 and subheading 9903.92.10, products of China shall be subject to additional *ad valorem* rates of duty, as provided for in this note. The products of China that are subject to additional *ad valorem* rates of duty in accordance with this note are products of China that are classified in the subheadings, or described in the statistical reporting numbers, enumerated in this note.

“Notwithstanding U.S. note 1 to this subchapter, all products of China that are subject to the additional *ad valorem* rate of duty imposed by headings 9903.91.01, 9903.91.02, 9903.91.03, 9903.91.04, 9903.91.05, 9903.91.06, 9903.91.07 and 9903.91.08 and subheading 9903.92.10, shall also be subject to the general rates of duty imposed on products of China classified in the subheadings, or described in the statistical reporting numbers, enumerated in this note.

“Products of China that are classified in the subheadings, or described in the statistical reporting numbers, enumerated in this note that are eligible for special tariff treatment under general note 3(c)(i) to the HTSUS, or that are eligible for temporary duty exemptions or reductions under subchapter II to chapter 99, shall be subject to the additional *ad valorem* rate of duty imposed by headings 9903.91.01, 9903.91.02, 9903.91.03, 9903.91.04, 9903.91.05, 9903.91.06, 9903.91.07 and 9903.91.08 and subheading 9903.92.10.

“The additional duties imposed by headings 9903.91.01, 9903.91.02, 9903.91.03, 9903.91.04, 9903.91.05, 9903.91.06, 9903.91.07 and 9903.91.08

and subheading 9903.92.10, do not apply to goods for which entry is properly claimed under a provision of chapter 98 of the HTSUS, except for goods entered under subheadings 9802.00.40, 9802.00.50, and 9802.00.60, and heading 9802.00.80. For subheadings 9802.00.40, 9802.00.50, and 9802.00.60, the additional duties apply to the value of repairs, alterations, or processing performed abroad, as described in the applicable subheading. For heading 9802.00.80, the additional duties apply to the value of the article less the cost or value of such products of the United States, as described in heading 9802.00.80.

“Products of China that are provided for in headings 9903.91.01, 9903.91.02, 9903.91.03, 9903.91.04, 9903.91.05, 9903.91.06, 9903.91.07 and 9903.91.08 and subheading 9903.92.10 and classified in one of the subheadings, or described in the statistical reporting numbers, enumerated in this note shall continue to be subject to antidumping, countervailing, or other duties, fees, exactions and charges that apply to such products, as well as to the additional *ad valorem* rate of duty imposed by headings 9903.91.01, 9903.91.02, 9903.91.03, 9903.91.04, 9903.91.05, 9903.91.06, 9903.91.07, and 9903.91.08 and subheading 9903.92.10.”

“(b) Heading 9903.91.01 applies to products of China that are classified in the 8-digit subheadings, or described in the 10-digit statistical reporting numbers, enumerated in this subdivision, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on September 27, 2024:

- (1) N95 respirators of textiles, described in statistical reporting numbers 6307.90.9842 or 6307.90.9844
- (2) Respirators of textiles, other than N95 respirators, described in

statistical reporting number 6307.90.9850

- (3) Face masks of textiles, other than disposable, described in statistical reporting number 6307.90.9875
- (4) Lithium-ion batteries of a kind used as the primary source of electrical power for electrically powered vehicles of subheadings 8703.40, 8703.50, 8703.60, 8703.70 or 8703.80, described in statistical reporting number 8507.60.0010
- (5) 2602.00.00
- (6) 2605.00.00
- (7) 2606.00.00
- (8) 2608.00.00
- (9) 2610.00.00
- (10) 2611.00.60
- (11) 2825.90.30
- (12) 2841.80.00
- (13) 2844.41.00
- (14) 2844.42.00
- (15) 2844.43.00
- (16) 2844.44.00
- (17) 2849.90.30
- (18) 7202.60.00
- (19) 7202.93.40
- (20) 7202.93.80
- (21) 7206.10.00
- (22) 7206.90.00
- (23) 7207.11.00
- (24) 7207.12.00
- (25) 7207.19.00
- (26) 7207.20.00
- (27) 7208.10.15
- (28) 7208.10.30
- (29) 7208.10.60
- (30) 7208.25.30
- (31) 7208.25.60
- (32) 7208.26.00
- (33) 7208.27.00
- (34) 7208.36.00
- (35) 7208.37.00
- (36) 7208.38.00
- (37) 7208.39.00
- (38) 7208.40.30
- (39) 7208.40.60
- (40) 7208.51.00
- (41) 7208.52.00
- (42) 7208.53.00

(43) 7208.54.00	(112) 7216.21.00	(181) 7225.40.11
(44) 7208.90.00	(113) 7216.22.00	(182) 7225.40.30
(45) 7209.15.00	(114) 7216.31.00	(183) 7225.40.51
(46) 7209.16.00	(115) 7216.32.00	(184) 7225.40.70
(47) 7209.17.00	(116) 7216.33.00	(185) 7225.50.11
(48) 7209.18.15	(117) 7216.40.00	(186) 7225.50.60
(49) 7209.18.25	(118) 7216.50.00	(187) 7225.50.70
(50) 7209.18.60	(119) 7216.99.00	(188) 7225.50.80
(51) 7209.25.00	(120) 7217.10.10	(189) 7225.91.00
(52) 7209.26.00	(121) 7217.10.20	(190) 7225.92.00
(53) 7209.27.00	(122) 7217.10.30	(191) 7225.99.00
(54) 7209.28.00	(123) 7217.10.50	(192) 7226.11.10
(55) 7209.90.00	(124) 7217.10.60	(193) 7226.11.90
(56) 7210.11.00	(125) 7217.10.70	(194) 7226.19.10
(57) 7210.12.00	(126) 7217.10.80	(195) 7226.19.90
(58) 7210.20.00	(127) 7217.10.90	(196) 7226.20.00
(59) 7210.30.00	(128) 7217.20.15	(197) 7226.91.05
(60) 7210.41.00	(129) 7217.20.30	(198) 7226.91.15
(61) 7210.49.00	(130) 7217.20.45	(199) 7226.91.25
(62) 7210.50.00	(131) 7217.20.60	(200) 7226.91.50
(63) 7210.61.00	(132) 7217.20.75	(201) 7226.91.70
(64) 7210.69.00	(133) 7217.30.15	(202) 7226.91.80
(65) 7210.70.30	(134) 7217.30.30	(203) 7226.92.10
(66) 7210.70.60	(135) 7217.30.60	(204) 7226.92.30
(67) 7210.90.10	(136) 7217.30.75	(205) 7226.92.50
(68) 7210.90.60	(137) 7217.90.10	(206) 7226.92.70
(69) 7210.90.90	(138) 7217.90.50	(207) 7226.92.80
(70) 7211.13.00	(139) 7218.10.00	(208) 7226.99.01
(71) 7211.14.00	(140) 7218.91.00	(209) 7227.10.00
(72) 7211.19.15	(141) 7218.99.00	(210) 7227.20.00
(73) 7211.19.20	(142) 7219.11.00	(211) 7227.90.10
(74) 7211.19.30	(143) 7219.12.00	(212) 7227.90.20
(75) 7211.19.45	(144) 7219.13.00	(213) 7227.90.60
(76) 7211.19.60	(145) 7219.14.00	(214) 7228.20.10
(77) 7211.19.75	(146) 7219.21.00	(215) 7228.20.50
(78) 7211.23.15	(147) 7219.22.00	(216) 7228.30.40
(79) 7211.23.20	(148) 7219.23.00	(217) 7228.30.60
(80) 7211.23.30	(149) 7219.24.00	(218) 7228.30.80
(81) 7211.23.45	(150) 7219.31.00	(219) 7228.40.00
(82) 7211.23.60	(151) 7219.32.00	(220) 7228.50.10
(83) 7211.29.20	(152) 7219.33.00	(221) 7228.50.50
(84) 7211.29.45	(153) 7219.34.00	(222) 7228.60.10
(85) 7211.29.60	(154) 7219.35.00	(223) 7228.60.60
(86) 7211.90.00	(155) 7219.90.00	(224) 7228.60.80
(87) 7212.10.00	(156) 7220.12.10	(225) 7228.70.30
(88) 7212.20.00	(157) 7220.12.50	(226) 7228.70.60
(89) 7212.30.10	(158) 7220.20.10	(227) 7229.20.00
(90) 7212.30.30	(159) 7220.20.60	(228) 7229.90.10
(91) 7212.30.50	(160) 7220.20.70	(229) 7229.90.50
(92) 7212.40.10	(161) 7220.20.80	(230) 7229.90.90
(93) 7212.40.50	(162) 7220.90.00	(231) 7301.10.00
(94) 7212.50.00	(163) 7221.00.00	(232) 7302.10.10
(95) 7212.60.00	(164) 7222.11.00	(233) 7302.10.50
(96) 7213.10.00	(165) 7222.19.00	(234) 7302.40.00
(97) 7213.20.00	(166) 7222.20.00	(235) 7302.90.10
(98) 7213.91.30	(167) 7222.30.00	(236) 7302.90.90
(99) 7213.91.45	(168) 7222.40.30	(237) 7304.11.00
(100) 7213.91.60	(169) 7222.40.60	(238) 7304.19.10
(101) 7213.99.00	(170) 7223.00.10	(239) 7304.19.50
(102) 7214.20.00	(171) 7223.00.50	(240) 7304.22.00
(103) 7214.30.00	(172) 7223.00.90	(241) 7304.23.30
(104) 7214.91.00	(173) 7224.10.00	(242) 7304.23.60
(105) 7214.99.00	(174) 7224.90.00	(243) 7304.24.30
(106) 7215.10.00	(175) 7225.11.00	(244) 7304.24.40
(107) 7215.50.00	(176) 7225.19.00	(245) 7304.24.60
(108) 7215.90.10	(177) 7225.30.11	(246) 7304.29.10
(109) 7215.90.30	(178) 7225.30.30	(247) 7304.29.20
(110) 7215.90.50	(179) 7225.30.51	(248) 7304.29.31
(111) 7216.10.00	(180) 7225.30.70	(249) 7304.29.41

(250) 7304.29.50	(319) 7604.29.10	warehouse for consumption, on or after 12:01 a.m. eastern standard time on January 1, 2025, and before January 1, 2026.”
(251) 7304.29.61	(320) 7604.29.30	“(f) Heading 9903.91.05 applies to products of China that are classified in the following 8-digit subheadings, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern standard time on January 1, 2025:
(252) 7304.31.30	(321) 7604.29.50	(1) 4015.12.10
(253) 7304.31.60	(322) 7605.11.00	(2) 8541.10.00
(254) 7304.39.00	(323) 7605.19.00	(3) 8541.21.00
(255) 7304.49.00	(324) 7605.21.00	(4) 8541.29.00
(256) 7304.51.10	(325) 7605.29.00	(5) 8541.30.00
(257) 7304.51.50	(326) 7606.11.30	(6) 8541.49.10
(258) 7304.59.10	(327) 7606.11.60	(7) 8541.49.70
(259) 7304.59.20	(328) 7606.12.30	(8) 8541.49.80
(260) 7304.59.60	(329) 7606.12.60	(9) 8541.49.95
(261) 7304.59.80	(330) 7606.91.30	(10) 8541.51.00
(262) 7304.90.10	(331) 7606.91.60	(11) 8541.59.00
(263) 7304.90.70	(332) 7606.92.30	(12) 8541.90.00
(264) 7305.11.10	(333) 7606.92.60	(13) 8542.31.00
(265) 7305.11.50	(334) 7607.11.30	(14) 8542.32.00
(266) 7305.12.10	(335) 7607.11.60	(15) 8542.33.00
(267) 7305.12.50	(336) 7607.11.90	(16) 8542.39.00
(268) 7305.19.10	(337) 7607.19.60	(17) 8542.90.00”.
(269) 7305.19.50	(338) 7607.20.10	“(g) Heading 9903.91.06 applies to products of China that are classified in the following 8-digit subheadings, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern standard time on January 1, 2026:
(270) 7305.20.20	(339) 7608.10.00	(1) 2504.10.10
(271) 7305.20.40	(340) 7608.20.00	(2) 2504.10.50
(272) 7305.20.60	(341) 7609.00.00	(3) 2504.90.00
(273) 7305.20.80	(342) 7901.11.00	(4) 8505.11.00
(274) 7305.31.20	(343) 7901.12.10	(5) 8507.60.00”.
(275) 7305.31.40	(344) 7901.12.50	“(h) Heading 9903.91.07 applies to products of China that are described in the following 10-digit statistical reporting numbers, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern standard time on January 1, 2026:
(276) 7305.31.60	(345) 7901.20.00	(1) N95 respirators of textiles, described in statistical reporting numbers 6307.90.9842 or 6307.90.9844
(277) 7305.39.10	(346) 8001.10.00	(2) Respirators of textiles, other than N95 respirators, described in statistical reporting number 6307.90.9850
(278) 7305.39.50	(347) 8001.20.00	(3) Face masks of textiles, described in statistical reporting numbers 6307.90.9870 or 6307.90.9875”.
(279) 7305.90.10	(348) 8101.10.00	“(i) Heading 9903.91.08 applies to products of China classified in 8-digit subheading 4015.12.10, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after
(280) 7305.90.50	(349) 8103.20.00	
(281) 7306.11.00	(350) 8112.21.00	
(282) 7306.19.10	(351) 8112.92.30	
(283) 7306.19.51	(352) 8507.90.40”.	
(284) 7306.21.30	“(c) Heading 9903.91.02 applies to products of China that are classified in the following 8-digit subheadings, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on September 27, 2024:	
(285) 7306.21.40	(1) 8541.42.00	
(286) 7306.21.80	(2) 8541.43.00”.	
(287) 7306.29.10	“(d) Heading 9903.91.03 applies to products of China that are classified in the following 8-digit subheadings, effective with respect to goods entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on September 27, 2024:	
(288) 7306.29.20	(1) 8702.40.31	
(289) 7306.29.31	(2) 8702.40.61	
(290) 7306.29.41	(3) 8702.90.31	
(291) 7306.29.60	(4) 8702.90.61	
(292) 7306.29.81	(5) 8703.60.00	
(293) 7306.30.10	(6) 8703.70.00	
(294) 7306.30.30	(7) 8703.80.00	
(295) 7306.30.50	(8) 8703.90.01	
(296) 7306.40.10	(9) 9018.31.00	
(297) 7306.40.50	(10) 9018.32.00”.	
(298) 7306.50.10	“(e) Heading 9903.91.04 applies to facemasks of textiles, disposable, of China, described in statistical reporting number 6307.90.9870, effective with respect to goods entered for consumption, or withdrawn from	
(299) 7306.50.30		
(300) 7306.50.50		
(301) 7306.61.10		
(302) 7306.61.30		
(303) 7306.61.50		
(304) 7306.61.70		
(305) 7306.69.10		
(306) 7306.69.30		
(307) 7306.69.70		
(308) 7306.90.10		
(309) 7306.90.50		
(310) 7601.10.30		
(311) 7601.10.60		
(312) 7601.20.30		
(313) 7601.20.60		
(314) 7601.20.90		
(315) 7604.10.10		
(316) 7604.10.30		
(317) 7604.10.50		
(318) 7604.21.00		

12:01 a.m. eastern standard time on January 1, 2026.”

5. Effective with respect to goods of China entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on September 27,

2024, subchapter III of chapter 99 of the HTSUS is modified by inserting the following new heading 9903.92 and new subheadings 9903.92.10 and 9903.92.80 in numerical sequence, with the material in the new headings and

subheadings inserted in the columns of the HTSUS labeled “Heading/Subheading”, “Article Description”, “Rates of Duty 1—General”, “Rates of Duty 1—Special” and “Rates of Duty 2”, respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
“9903.92	Effective with respect to entries, on or after September 27, 2024, of overhead traveling cranes, transporter cranes, gantry cranes, bridge cranes and mobile lifting frames, other than overhead traveling cranes on fixed support and other than mobile lifting frames on tires, articles the product of China (provided for in subheading 8426.19.00):			
9903.92.10	Except as provided in heading 9903.91.09, ship-to-shore gantry cranes, configured as a high- or low-profile steel superstructure and designed to unload intermodal containers from vessels with coupling devices for containers, including spreaders or twist-locks (provided for in subheading 8426.19.00).	The duty provided in the applicable subheading + 25%.		
9903.92.80	Other (provided for in subheading 8426.19.00)	The duty provided in the applicable subheading”.		

6. Effective with respect to products of China that are entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on September 27, 2024, and before May 14,

2026, subchapter III of chapter 99 of the HTSUS is modified by inserting the following new heading 9903.91.09 in numerical sequence, with the material in the new heading inserted in the columns of the HTSUS labeled

“Heading/Subheading”, “Article Description”, “Rates of Duty 1—General”, “Rates of Duty 1—Special” and “Rates of Duty 2”, respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
“9903.91.09	Notwithstanding subheading 9903.92.10, effective with respect to entries, on or after September 27, 2024, of ship-to-shore gantry cranes, configured as a high- or low-profile steel superstructure and designed to unload intermodal containers from vessels with coupling devices for containers, including spreaders or twist-locks, articles the product of China (provided for in subheading 8426.19.00), that are fulfilling in whole or in part an executed contract for sale dated prior to May 14, 2024 for goods that are entered for consumption, or withdrawn from warehouse for consumption, in the United States prior to May 14, 2026.	The duty provided in the applicable subheading”.		

7. Effective with respect to products of China that are entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on September 27, 2024, and before January

1, 2026, subchapter III of chapter 99 of the HTSUS is modified by inserting the following new heading 9903.91.10 in numerical sequence, with the material in the new heading inserted in the columns of the HTSUS labeled

“Heading/Subheading”, “Article Description”, “Rates of Duty 1—General”, “Rates of Duty 1—Special” and “Rates of Duty 2”, respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
"9903.91.10	Notwithstanding heading 9903.91.03, effective with respect to entries of enteral syringes, of China, on or after September 27, 2024, and before January 1, 2026 (described in statistical reporting number 9018.31.0080).	The duty provided in the applicable sub-heading".		

8. Effective with respect to products of China that are entered for consumption, or withdrawn from warehouse for consumption, on or after 12:01 a.m. eastern daylight time on

January 1, 2024, and before June 1, 2025, subchapter III of chapter 99 of the HTSUS is modified:

(a) by inserting the following new heading 9903.88.70 in numerical sequence, with the material in the new

heading inserted in the columns of the HTSUS labeled "Heading/Subheading", "Article Description", "Rates of Duty 1—General", "Rates of Duty 1—Special" and "Rates of Duty 2", respectively:

Heading/ subheading	Article description	Rates of duty		
		1		2
		General	Special	
"9903.88.70	Effective with respect to entries on or after January 1, 2024, and before June 1, 2025, articles the product of China, as provided in U.S. note 20(www) to this subchapter, each covered by an exclusion granted by the U.S. Trade Representative.	The duty provided in the applicable sub-heading".		

(b) by inserting the following new U.S. note 20(www) to subchapter III of chapter 99 in numerical sequence:
 "(www) The U.S. Trade Representative determined to establish a process by which particular products classified in heading 9903.88.02 and provided for in U.S. notes 20(c) and (d) to this subchapter could be excluded from the additional duties imposed by heading 9903.88.02. See 83 FR 40823 (August 16, 2018) and 83 FR 47236 (September 18, 2018). Pursuant to the product exclusion process, the U.S. Trade Representative has determined that the additional duties imposed by heading 9903.88.02 and U.S. note 20(d) to this subchapter shall not apply to the products of China described herein and classified in the specified subheadings of heading 8486 of the tariff schedule, when such products of China are entered with a claim for the tariff treatment provided in heading 9903.88.70 of this subchapter:

- (1) Silicon growth furnaces, including Czochralski crystal growth furnaces, designed for growing monocrystalline silicon ingots (boules) of a mass exceeding 700 kg, for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000)
- (2) Band saws designed for cutting or slicing cylindrical monocrystalline silicon ingots (boules) of an initial

mass exceeding 400 kg into square or rectangular ingots (boules), for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000)

- (3) Machines designed to align and adhere square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 200 kg to plastic support boards on metal mounting plates to provide support during diamond wire sawing, for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000)
- (4) Diamond wire saws designed for cutting or slicing square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into solar wafers of a thickness not exceeding 200 micrometers (described in statistical reporting number 8486.10.0000)
- (5) Wire guide roller machines, presented with diamond wire saws designed for slicing square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into solar wafers of a thickness not exceeding 200 micrometers, all of the foregoing for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000)

- (6) Coolant fluid recycling machines, presented with diamond wire saws designed for slicing square or rectangular monocrystalline silicon ingots (boules) of an initial mass exceeding 400 kg into solar wafers of a thickness not exceeding 200 micrometers, all of the foregoing for use in solar wafer manufacturing (described in statistical reporting number 8486.10.0000)
- (7) Degumming machines designed to remove adhesives from solar wafers (described in statistical reporting number 8486.10.0000)
- (8) Texturing, etching, polishing, and cleaning machines designed to prepare, repair, clean, etch, polish or texture the solar wafer substrate, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, all the foregoing for use in solar wafer manufacturing (described in statistical reporting number 8486.20.0000)
- (9) Thermal diffusion quartz-tube furnaces, designed to diffuse dopant impurities into square or rectangular silicon wafers, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next or boat loading or unloading machines, all the

- foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000)
- (10) Plasma-enhanced or low-pressure chemical vapor deposition machines designed to deposit amorphous or nanocrystalline layers on one or both surfaces of a solar wafer, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000)
- (11) Physical vapor deposition (PVD) machines, designed to deposit a thin film of transparent conducting oxide on one or both surfaces of a solar wafer, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000)
- (12) Screen printing line machines, including sintering furnaces for printing conducting contacts on both surfaces of a solar wafer, whether or not integrated with automation equipment for transferring solar wafers from one process station to the next, and whether or not integrated with equipment for solar cell testing, all the foregoing for use in solar cell manufacturing (described in statistical reporting number 8486.20.0000)
- (13) Machines designed for transporting polysilicon material to growth furnaces and machines designed for transporting monocrystalline ingots (boules) and wafers throughout the solar wafer manufacturing process, including machines for loading or unloading solar wafers during the diamond wire slicing process (described in statistical reporting number 8486.40.0030)
- (14) Machines designed for lifting, handling, loading, or unloading of solar wafers of a thickness not exceeding 200 micrometers, for use in solar wafer manufacturing (described in statistical reporting number 8486.40.0030)
9. Effective on September 27, 2024, subdivision (s)(i) of note 20 to subchapter III of chapter 99 of the HTSUS is modified by deleting “6307.90.98” and subdivision (s)(ii) of note 20 to subchapter III of chapter 99 of the HTSUS is modified by inserting the following in numerical order: “5.
- Other made-up articles of textile materials, provided for in subheading 6307.90.98, except for respirators of textiles, described in statistical reporting numbers 6307.90.9842, 6307.90.9844 or 6307.90.9850, and except for face masks of textiles, other than disposable, described in statistical reporting number 6307.90.9875;”.
10. Effective on September 27, 2024, subdivision (s)(i) of note 20 to subchapter III of chapter 99 of the HTSUS is modified by deleting “8507.60.00” and subdivision (s)(ii) of note 20 to subchapter III of chapter 99 of the HTSUS is modified by inserting the following in numerical order: “6. Lithium-ion batteries, provided for in subheading 8507.60.00, except for lithium-ion batteries of a kind used as the primary source of electrical power for electrically powered vehicles of subheadings 8703.40, 8703.50, 8703.60, 8703.70 or 8703.80, described in statistical reporting number 8507.60.0010”.
11. Effective on September 27, 2024, note 20(b) to subchapter III of chapter 99 is modified by deleting the following 8-digit subheading numbers:
- (1) 8702.40.31
 - (2) 8702.40.61
 - (3) 8702.90.31
 - (4) 8702.90.61
 - (5) 8703.60.00
 - (6) 8703.70.00
 - (7) 8703.80.00
 - (8) 8703.90.01
12. Effective on September 27, 2024, note 20(d) to subchapter III of chapter 99 is modified by deleting the following 8-digit subheading numbers:
- (1) 8541.42.00
 - (2) 8541.43.00
13. Effective on September 27, 2024, note 20(s)(i) to subchapter III of chapter 99 is modified by deleting the following 8-digit subheading numbers:
- (1) 7206.10.00
 - (2) 7206.90.00
 - (3) 7207.11.00
 - (4) 7207.12.00
 - (5) 7207.19.00
 - (6) 7207.20.00
 - (7) 7208.10.15
 - (8) 7208.10.30
 - (9) 7208.10.60
 - (10) 7208.25.30
 - (11) 7208.25.60
 - (12) 7208.26.00
 - (13) 7208.27.00
 - (14) 7208.36.00
 - (15) 7208.37.00
 - (16) 7208.38.00
 - (17) 7208.39.00
 - (18) 7208.40.30
 - (19) 7208.40.60
 - (20) 7208.51.00
 - (21) 7208.52.00
 - (22) 7208.53.00
 - (23) 7208.54.00
 - (24) 7208.90.00
 - (25) 7209.15.00
 - (26) 7209.16.00
 - (27) 7209.17.00
 - (28) 7209.18.15
 - (29) 7209.18.25
 - (30) 7209.18.60
 - (31) 7209.25.00
 - (32) 7209.26.00
 - (33) 7209.27.00
 - (34) 7209.28.00
 - (35) 7209.90.00
 - (36) 7210.11.00
 - (37) 7210.12.00
 - (38) 7210.30.00
 - (39) 7210.41.00
 - (40) 7210.49.00
 - (41) 7210.50.00
 - (42) 7210.61.00
 - (43) 7210.69.00
 - (44) 7210.70.30
 - (45) 7210.70.60
 - (46) 7210.90.10
 - (47) 7210.90.60
 - (48) 7210.90.90
 - (49) 7211.13.00
 - (50) 7211.14.00
 - (51) 7211.19.15
 - (52) 7211.19.20
 - (53) 7211.19.30
 - (54) 7211.19.45
 - (55) 7211.19.60
 - (56) 7211.19.75
 - (57) 7211.23.15
 - (58) 7211.23.20
 - (59) 7211.23.30
 - (60) 7211.23.45
 - (61) 7211.23.60
 - (62) 7211.29.20
 - (63) 7211.29.45
 - (64) 7211.29.60
 - (65) 7211.90.00
 - (66) 7212.10.00
 - (67) 7212.20.00
 - (68) 7212.30.10
 - (69) 7212.30.30
 - (70) 7212.30.50
 - (71) 7212.40.10
 - (72) 7212.40.50
 - (73) 7212.50.00
 - (74) 7212.60.00
 - (75) 7213.10.00
 - (76) 7213.20.00
 - (77) 7213.91.30
 - (78) 7213.91.45
 - (79) 7213.91.60
 - (80) 7213.99.00
 - (81) 7214.20.00
 - (82) 7214.30.00
 - (83) 7214.91.00
 - (84) 7214.99.00
 - (85) 7215.10.00
 - (86) 7215.50.00
 - (87) 7215.90.10
 - (88) 7215.90.50
 - (89) 7216.10.00

(90) 7216.21.00	(159) 7225.40.11	(228) 7304.31.30
(91) 7216.22.00	(160) 7225.40.30	(229) 7304.31.60
(92) 7216.31.00	(161) 7225.40.51	(230) 7304.39.00
(93) 7216.32.00	(162) 7225.40.70	(231) 7304.49.00
(94) 7216.33.00	(163) 7225.50.11	(232) 7304.51.10
(95) 7216.40.00	(164) 7225.50.60	(233) 7304.51.50
(96) 7216.50.00	(165) 7225.50.70	(234) 7304.59.10
(97) 7216.99.00	(166) 7225.50.80	(235) 7304.59.20
(98) 7217.10.10	(167) 7225.91.00	(236) 7304.59.60
(99) 7217.10.20	(168) 7225.92.00	(237) 7304.59.80
(100) 7217.10.30	(169) 7225.99.00	(238) 7304.90.10
(101) 7217.10.50	(170) 7226.11.10	(239) 7304.90.70
(102) 7217.10.60	(171) 7226.11.90	(240) 7305.11.10
(103) 7217.10.70	(172) 7226.19.10	(241) 7305.11.50
(104) 7217.10.80	(173) 7226.19.90	(242) 7305.12.10
(105) 7217.10.90	(174) 7226.20.00	(243) 7305.12.50
(106) 7217.20.15	(175) 7226.91.05	(244) 7305.19.10
(107) 7217.20.30	(176) 7226.91.15	(245) 7305.19.50
(108) 7217.20.45	(177) 7226.91.25	(246) 7305.20.20
(109) 7217.20.60	(178) 7226.91.50	(247) 7305.20.40
(110) 7217.20.75	(179) 7226.91.70	(248) 7305.20.60
(111) 7217.30.15	(180) 7226.91.80	(249) 7305.20.80
(112) 7217.30.30	(181) 7226.92.10	(250) 7305.31.20
(113) 7217.30.60	(182) 7226.92.30	(251) 7305.31.40
(114) 7217.30.75	(183) 7226.92.50	(252) 7305.31.60
(115) 7217.90.10	(184) 7226.92.70	(253) 7305.39.10
(116) 7217.90.50	(185) 7226.92.80	(254) 7305.39.50
(117) 7218.10.00	(186) 7226.99.01	(255) 7305.90.10
(118) 7218.91.00	(187) 7227.10.00	(256) 7305.90.50
(119) 7218.99.00	(188) 7227.20.00	(257) 7306.11.00
(120) 7219.11.00	(189) 7227.90.10	(258) 7306.19.10
(121) 7219.12.00	(190) 7227.90.20	(259) 7306.19.51
(122) 7219.13.00	(191) 7227.90.60	(260) 7306.21.30
(123) 7219.14.00	(192) 7228.20.10	(261) 7306.21.40
(124) 7219.21.00	(193) 7228.20.50	(262) 7306.21.80
(125) 7219.22.00	(194) 7228.30.40	(263) 7306.29.10
(126) 7219.23.00	(195) 7228.30.60	(264) 7306.29.20
(127) 7219.24.00	(196) 7228.30.80	(265) 7306.29.31
(128) 7219.31.00	(197) 7228.40.00	(266) 7306.29.41
(129) 7219.32.00	(198) 7228.50.10	(267) 7306.29.60
(130) 7219.33.00	(199) 7228.50.50	(268) 7306.29.81
(131) 7219.34.00	(200) 7228.60.10	(269) 7306.30.10
(132) 7219.35.00	(201) 7228.60.60	(270) 7306.30.30
(133) 7219.90.00	(202) 7228.60.80	(271) 7306.30.50
(134) 7220.12.10	(203) 7228.70.30	(272) 7306.40.10
(135) 7220.12.50	(204) 7228.70.60	(273) 7306.40.50
(136) 7220.20.10	(205) 7229.20.00	(274) 7306.50.10
(137) 7220.20.60	(206) 7229.90.10	(275) 7306.50.30
(138) 7220.20.70	(207) 7229.90.50	(276) 7306.50.50
(139) 7220.20.80	(208) 7229.90.90	(277) 7306.61.10
(140) 7220.90.00	(209) 7301.10.00	(278) 7306.61.30
(141) 7221.00.00	(210) 7302.10.10	(279) 7306.61.50
(142) 7222.11.00	(211) 7302.10.50	(280) 7306.61.70
(143) 7222.19.00	(212) 7302.90.10	(281) 7306.69.10
(144) 7222.20.00	(213) 7302.90.90	(282) 7306.69.30
(145) 7222.30.00	(214) 7304.11.00	(283) 7306.69.70
(146) 7222.40.30	(215) 7304.19.10	(284) 7306.90.10
(147) 7222.40.60	(216) 7304.19.50	(285) 7306.90.50
(148) 7223.00.10	(217) 7304.22.00	(286) 7601.10.30
(149) 7223.00.50	(218) 7304.23.60	(287) 7601.10.60
(150) 7223.00.90	(219) 7304.24.30	(288) 7601.20.30
(151) 7224.10.00	(220) 7304.24.40	(289) 7601.20.60
(152) 7224.90.00	(221) 7304.24.60	(290) 7601.20.90
(153) 7225.11.00	(222) 7304.29.10	(291) 7604.10.10
(154) 7225.19.00	(223) 7304.29.20	(292) 7604.10.30
(155) 7225.30.11	(224) 7304.29.31	(293) 7604.10.50
(156) 7225.30.30	(225) 7304.29.41	(294) 7604.21.00
(157) 7225.30.51	(226) 7304.29.50	(295) 7604.29.10
(158) 7225.30.70	(227) 7304.29.61	(296) 7604.29.30

(297) 7604.29.50
 (298) 7605.11.00
 (299) 7605.19.00
 (300) 7605.21.00
 (301) 7605.29.00
 (302) 7606.11.30
 (303) 7606.11.60
 (304) 7606.12.30
 (305) 7606.12.60
 (306) 7606.91.30
 (307) 7606.91.60
 (308) 7606.92.30
 (309) 7606.92.60
 (310) 7607.11.30
 (311) 7607.11.60
 (312) 7607.11.90
 (313) 7607.19.60
 (314) 7607.20.10
 (315) 7608.10.00
 (316) 7608.20.00
 (317) 7609.00.00
 (318) 8507.90.40

14. Effective on September 27, 2024, note 20(s)(ii)(4) to subchapter III of chapter 99 is modified by deleting “9401.71.00031” and by inserting “9401.71.0031” in lieu thereof.

15. Effective on September 27, 2024, note 20(u)(i) to subchapter III of chapter 99 is modified by deleting the following 8-digit subheading numbers:

(1) 7210.20.00
 (2) 7215.90.30
 (3) 7302.40.00
 (4) 7304.23.30

16. Effective on January 1, 2025, note 20(b) to subchapter III of chapter 99 is modified by deleting the following 8-digit subheading numbers:

(1) 8541.21.00
 (2) 8541.29.00
 (3) 8541.30.00
 (4) 8541.49.70
 (5) 8541.49.80
 (6) 8541.49.95
 (7) 8541.51.00
 (8) 8541.59.00
 (9) 8541.90.00

17. Effective on January 1, 2025, note 20(d) to subchapter III of chapter 99 is modified by deleting the following 8-digit subheading numbers:

(1) 8541.10.00
 (2) 8541.49.10
 (3) 8542.31.00
 (4) 8542.32.00
 (5) 8542.33.00
 (6) 8542.39.00
 (7) 8542.90.00

18. Effective on January 1, 2025, note 20(s)(i) to subchapter III of chapter 99 is modified by deleting “4015.12.10”.

19. Effective on January 1, 2025, subparagraph 5 of subdivision (s)(ii) of note 20 to subchapter III of chapter 99 of the HTSUS is modified by deleting “and except for face masks of textiles, other than disposable, described in statistical reporting number 6307.90.9875” and by inserting “and except for face masks of textiles, described in statistical reporting numbers 6307.90.9870 or 6307.90.9875” in lieu thereof.

20. Effective on January 1, 2026, subdivision (s)(ii) of note 20 to subchapter III of chapter 99 of the HTSUS is modified by deleting subparagraph number 6 and its associated tariff language. Subparagraph number 5 of such subdivision is modified by deleting the semicolon at the end of the subparagraph and inserting a period in lieu thereof.

21. Effective on January 1, 2026, subdivision (b) of note 31 to subchapter III of chapter 99 of the HTSUS is modified by deleting subparagraph numbers 1, 2, 3, and 4, and their associated tariff language.

22. Effective on January 1, 2026, subdivision (f) of note 31 to subchapter III of chapter 99 of the HTSUS is modified by deleting “(1) 4015.12.10”.

23. Effective on January 1, 2024:

(1) subdivisions (c) and (d) of note 20 to subchapter III of chapter 99 are each modified: (a) by deleting “or (11)” and by inserting “(11)” in lieu thereof; and (b) by inserting “or (12) heading 9903.88.70 and U.S. note 20(www) to subchapter III of chapter 99” after “U.S. note 20(vvv)(ii) to subchapter III of chapter 99”; and

(2) the article description of heading 9903.88.02 is modified by deleting “or 9903.88.69,” and by inserting in lieu thereof “9903.88.69, or 9903.88.70,” in lieu thereof.

Annex D—Importer Certification

I hereby certify that:

(A) My name is [IMPORTER OF RECORD OFFICIAL’S NAME] and I am an official of [NAME OF IMPORTER OF RECORD], located at [ADDRESS OF IMPORTER OF RECORD].

(B) I hereby certify that the ship-to-shore crane(s) that was entered into the Customs territory of the United States under the entry summary number(s) identified below are fulfilling in whole or in part a contract for sale, purchase, or delivery in the United States of such ship-to-shore crane(s) that was in effect and dated as executed prior to May 14, 2024, that specifies that the ship-to-shore crane(s) is to be imported to or delivered within the United States before May 14, 2026, and that has not been modified on or later than May 14, 2024, with regard to delivery date.

(C) This certification applies to the following entries (repeat this block as many times as necessary):

Entry Number:

Applicable Line Item Number of the Entry (Declared Under 9903.91.09, HTSUS):

(D) I understand that [NAME OF IMPORTER OF RECORD] is required to provide U.S. Customs and Border Protection (CBP) with this certification at the time the entry summary is filed and that any additional supporting documentation must be provided upon request by CBP.

Signature

[NAME OF COMPANY OFFICIAL]

[TITLE OF COMPANY OFFICIAL]

Date

Annex E—Subheadings Eligible for Machinery Exclusion Process

HTSUS subheading	Product description
8417.10.00	Furnaces and ovens for the roasting, melting or other heat treatment of ores, pyrites or of metals.
8417.80.00	Industrial or laboratory furnaces and ovens nesoi (not elsewhere specified or included), including incinerators, nonelectric.
8418.69.01	Refrigerating or freezing equipment nesoi.
8419.33.10	Lyophilization apparatus; freeze drying units; spray dryers, for agricultural products.
8419.33.50	Lyophilization apparatus; freeze drying units; spray dryers, other than for agricultural products, nesoi.
8419.34.00	Other dryers for agricultural products (other than lyophilization apparatus; freeze drying units; spray dryers).
8419.35.10	Dryers for wood.
8419.35.50	Dryers for paper pulp, paper or paperboard.
8419.39.02	Other dryers other than of a kind used for domestic purposes, nesoi (other than lyophilization apparatus; freeze drying units; spray dryers).
8419.40.00	Distilling or rectifying plant, not used for domestic purposes.
8419.50.10	Brazed aluminum plate-fin heat exchangers.
8419.50.50	Heat exchange units, nesoi.
8419.60.10	Machinery for liquefying air or gas containing brazed aluminum plate-fin heat exchangers.
8419.60.50	Machinery for liquefying air or gas, nesoi.

HTSUS subheading	Product description
8419.89.10	Machinery and equipment for the treatment of materials (by a process which changes temperatures), for making paper pulp, paper or paperboard.
8419.89.60	Industrial machinery, plant or equip. for the treat. of mat., involving a change in temp., for molten-salt-cooled acrylic acid reactors.
8419.89.95	Industrial machinery, plant or equipment for the treatment of materials, by process involving a change in temperature, nesoi.
8420.10.10	Textile calendering or rolling machines.
8420.10.20	Calendering or similar rolling machines for making paper pulp, paper or paperboard.
8420.10.90	Calendering or other rolling machines, other than for metals or glass, nesoi.
8420.91.10	Cylinders for textile calendering or rolling machines.
8420.91.20	Cylinders for paper pulp, paper or paperboard calendering or rolling machines.
8420.91.90	Cylinders for calendering and similar rolling machines, nesoi.
8421.21.00	Machinery and apparatus for filtering or purifying water.
8421.29.00	Filtering or purifying machinery and apparatus for liquids, nesoi.
8421.39.01	Filtering or purifying machinery and apparatus for gases, other than intake air filters or catalytic conv. for internal combustion engines.
8422.19.00	Dishwashing machines other than of the household type.
8422.20.00	Machinery for cleaning or drying bottles or other containers.
8422.30.11	Can-sealing machines.
8422.30.91	Machinery for filling, closing, sealing, capsuling or labeling bottles, cans, boxes or other containers; machinery for aerating beverages; nesoi.
8422.40.11	Machinery for packing or wrapping pipe tobacco, candy and cigarette packages; combination candy cutting and wrapping machines.
8422.40.91	Packing or wrapping machinery, nesoi.
8428.70.00	Industrial robots.
8429.11.00	Self-propelled bulldozers and angledozers, for track laying.
8429.19.00	Self-propelled bulldozers and angledozers other than track laying.
8429.20.00	Self-propelled graders and levelers.
8429.30.00	Self-propelled scrapers.
8429.40.00	Self-propelled tamping machines and road rollers.
8429.51.10	Self-propelled front-end shovel loaders, wheel-type.
8429.51.50	Self-propelled front-end shovel loaders, other than wheel-type.
8429.52.10	Self-propelled backhoes, shovels, clamshells and draglines with a 360 degree revolving superstructure.
8429.52.50	Self-propelled machinery with a 360 degree revolving superstructure, other than backhoes, shovels, clamshells and draglines.
8429.59.10	Self-propelled backhoes, shovels, clamshells and draglines not with a 360 degree revolving superstructure.
8429.59.50	Self-propelled machinery not with a 360 degree revolving superstructure, other than backhoes, shovels, clamshells and draglines.
8430.10.00	Pile-drivers and pile-extractors.
8430.31.00	Self-propelled coal or rock cutters and tunneling machinery.
8430.39.00	Coal or rock cutters and tunneling machinery, not self-propelled.
8430.41.00	Self-propelled boring or sinking machinery.
8430.49.40	Offshore oil and natural gas drilling and production platforms.
8430.49.80	Boring or sinking machinery, not self-propelled, nesoi.
8430.50.10	Self-propelled peat excavators.
8430.50.50	Self-propelled machinery for working earth, minerals or ores, nesoi.
8430.61.00	Tamping or compacting machinery, not self-propelled.
8430.69.01	Machinery for working earth, minerals or ores, not self-propelled, nesoi.
8432.10.00	Plows for soil preparation or cultivation.
8432.21.00	Disc harrows for soil preparation or cultivation.
8432.29.00	Harrows (other than disc), scarifiers, cultivators, weeders and hoes for soil preparation or cultivation.
8432.31.00	No-till direct seeders, planters and transplanters.
8432.39.00	Seeders, planters and transplanters, nesoi.
8432.41.00	Manure spreaders.
8432.42.00	Fertilizer distributors.
8432.80.00	Agricultural, horticultural or forestry machinery for soil preparation or cultivation, nesoi; lawn or sports ground rollers.
8433.30.00	Haymaking machinery other than mowers.
8433.40.00	Straw or fodder balers, including pick-up balers.
8433.51.00	Combine harvester-threshers.
8433.52.00	Threshing machinery other than combine harvester-threshers.
8433.53.00	Root or tuber harvesting machines.
8433.59.00	Harvesting machinery or threshing machinery, nesoi.
8433.60.00	Machines for cleaning, sorting or grading eggs, fruit or other agricultural produce.
8435.10.00	Presses, crushers and similar machinery used in the manufacture of wine, cider, fruit juices or similar beverages.
8436.10.00	Machinery for preparing animal feeds.
8436.21.00	Poultry incubators and brooders.
8436.29.00	Poultry-keeping machinery.
8436.80.00	Agricultural, horticultural, forestry or bee-keeping machinery, nesoi.
8437.10.00	Machines for cleaning, sorting or grading seed, grain or dried leguminous vegetables.
8437.80.00	Machinery used in the milling industry or for the working of cereals or dried leguminous vegetables, other than farm type machinery.
8438.10.00	Bakery machinery and machinery for the manufacture of macaroni, spaghetti or similar products, nesoi.
8438.20.00	Machinery for the manufacture of confectionery, cocoa or chocolate, nesoi.
8438.30.00	Machinery for sugar manufacture, nesoi.

HTSUS subheading	Product description
8438.40.00	Brewery machinery, nesoi.
8438.50.00	Machinery for the preparation of meat or poultry, nesoi.
8438.60.00	Machinery for the preparation of fruits, nuts or vegetables, nesoi.
8438.80.00	Machinery for the industrial preparation or manufacture of food or drink, nesoi.
8439.10.00	Machinery for making pulp of fibrous cellulosic material.
8439.20.00	Machinery for making paper or paperboard.
8439.30.00	Machinery for finishing paper or paperboard.
8441.10.00	Cutting machines of all kinds used for making up paper pulp, paper or paperboard.
8441.20.00	Machines for making bags, sacks or envelopes of paper pulp, paper or paperboard.
8441.30.00	Machines for making cartons, boxes, cases, tubes, drums or similar containers, other than by molding, of paper pulp, paper or paperboard.
8441.40.00	Machines for molding articles in paper pulp, paper or paperboard.
8441.80.00	Machinery for making up paper pulp, paper or paperboard, nesoi.
8442.30.01	Machinery, apparatus and equipment of heading 8442.
8442.50.10	Printing plates.
8442.50.90	Printing type, blocks, cylinders and other printing components; blocks, cylinders and lithographic stones, prepared for printing purposes.
8443.19.30	Printing machinery, nesoi.
8444.00.00	Machines for extruding, drawing, texturing or cutting man-made textile materials.
8445.11.00	Carding machines for preparing textile fibers.
8445.12.00	Combing machines for preparing textile fibers.
8445.13.00	Drawing or roving machines for preparing textile fibers.
8445.19.00	Machines for preparing textile fibers, nesoi.
8445.20.00	Textile spinning machines.
8445.30.00	Textile doubling or twisting machines.
8445.40.00	Textile winding (including weft-winding) or reeling machines.
8445.90.00	Machinery for producing textile yarns nesoi; machines for preparing textile yarns for use on machines of heading 8446 or 8447.
8446.10.00	Weaving machines (looms) for weaving fabrics of a width not exceeding 30 cm.
8446.21.50	Shuttle type power looms for weaving fabrics of a width exceeding 30 cm, but not exceeding 4.9 m.
8446.29.00	Weaving machines for weaving fabrics of a width exceeding 30 cm, shuttle type, nesoi.
8446.30.10	Shuttleless type power looms, for weaving fabrics of a width exceeding 4.9 m, nesoi.
8446.30.50	Shuttleless type weaving machines (looms), for weaving fabrics of a width exceeding 30 cm, nesoi.
8447.11.10	Circular knitting machines with cylinder diameter not exceeding 165 mm, for knitting hosiery.
8447.11.90	Circular knitting machines with cylinder diameter not exceeding 165 mm, other than for knitting hosiery.
8447.12.10	Circular knitting machines with cylinder diameter exceeding 165 mm, for knitting hosiery.
8447.12.90	Circular knitting machines with cylinder diameter exceeding 165 mm, other than for knitting hosiery.
8447.20.20	V-bed flat knitting machines, power driven, over 50.8 mm in width.
8447.20.30	V-bed flat knitting machines, nesoi.
8447.20.40	Warp knitting machines.
8447.20.60	Flat knitting machines, other than V-bed or warp; stitch-bonding machines.
8447.90.10	Braiding and lace-braiding machines.
8447.90.50	Embroidery machines.
8447.90.90	Knitting machines other than circular or flat knitting; machines for making gimped yarn, tulle, trimmings or net; machines for tufting.
8448.11.00	Dobbies and Jacquards, card reducing, copying, punching or assembling machines for use with machines of heading 8444, 8445, 8446 or 8447.
8448.19.00	Auxiliary machinery for machines of heading 8444, 8445, 8446 or 8447, nesoi.
8448.31.00	Card clothing as parts and accessories of machines of heading 8445 or of their auxiliary machinery.
8448.33.00	Spindles, spindle flyers, spinning rings and ring travellers of machines of heading 8445 or of their auxiliary machines.
8448.42.00	Reeds for looms, healds and heald-frames of weaving machines (looms) or their auxiliary machinery.
8448.51.10	Latch needles for knitting machines.
8448.51.20	Spring-beard needles for knitting machines.
8448.51.30	Needles for knitting machines other than latch needles or spring-beard needles.
8448.51.50	Sinkers, needles and other articles used to form stitches, nesoi, for machines of heading 8447.
8449.00.10	Finishing machinery for felt or nonwovens and parts thereof.
8449.00.50	Machinery for making felt hats; blocks for making hats; parts thereof.
8451.29.00	Drying machines for yarns, fabrics or made up textile articles, each of a dry linen capacity exceeding 10 kg.
8451.30.00	Ironing machines and presses (including fusing presses) for textile fabrics or made up textile articles.
8451.40.00	Washing, bleaching or dyeing machines for textile yarns, fabrics or made up textile articles.
8451.50.00	Machines for reeling, unreeling, folding, cutting or pinking textile fabrics.
8451.80.00	Machinery for the handling of textile yarns, fabrics or made up textile articles, nesoi.
8452.21.10	Sewing machines specially designed to join footwear soles to uppers, automatic.
8452.21.90	Sewing machines, automatic, nesoi.
8452.29.10	Sewing machines, other than automatic, specially designed to join footwear soles to uppers.
8452.29.90	Sewing machines, other than automatic, nesoi.
8453.10.00	Machinery for preparing, tanning or working hides, skins or leather.
8453.20.00	Machinery for making or repairing footwear.
8453.80.00	Machinery, nesoi, for making or repairing articles of hides, skins or leather.
8454.10.00	Converters of a kind used in metallurgy or in metal foundries.
8454.20.00	Ingot molds and ladles, of a kind used in metallurgy or in metal foundries.
8454.30.00	Casting machines, of a kind used in metallurgy or in metal foundries.
8455.10.00	Metal-rolling tube mills.
8455.21.00	Metal-rolling mills, other than tube mills, hot or combination hot and cold.

HTSUS subheading	Product description
8455.22.00	Metal-rolling mills, other than tube mills, cold.
8455.30.00	Rolls for metal-rolling mills.
8456.11.10	Machine tools operated by laser, for working metal.
8456.11.70	Machine tools operated by laser, of a kind used solely or principally for manufacture of printed circuits.
8456.11.90	Machine tools operated by laser, nesoi.
8456.12.10	Machine tools operated by light or photon beam processes, for working metal.
8456.12.70	Machine tools operated by light or photon beam processes, of a kind used solely or principally for the manufacture of printed circuits.
8456.12.90	Machine tools operated by light or photon beam processes, nesoi.
8456.20.10	Machine tools operated by ultrasonic processes, for working metal.
8456.20.50	Machine tools operated by ultrasonic processes, other than for working metal.
8456.30.10	Machine tools operated by electro-discharge processes, for working metal.
8456.30.50	Machine tools operated by electro-discharge processes, other than for working metal.
8456.40.10	Machine tools operated by plasma arc process, for working metal.
8456.40.90	Machine tools operated by plasma arc process, other than for working metal.
8456.50.00	Water-jet cutting machines.
8456.90.31	Machine tools operated by electro-chemical or ionic-beam processes, for working metal.
8456.90.71	Machine tools operated by electro-chemical or ionic-beam processes, other than for working metal.
8457.10.00	Machining centers for working metal.
8457.20.00	Unit construction machines (single station), for working metal.
8457.30.00	Multistation transfer machines for working metal.
8458.11.00	Horizontal lathes (including turning centers) for removing metal, numerically controlled.
8458.19.00	Horizontal lathes (including turning centers) for removing metal, other than numerically controlled.
8458.91.10	Vertical turret lathes (including turning centers) for removing metal, numerically controlled.
8458.91.50	Lathes (including turning centers), other than horizontal or vertical turret lathes, for removing metal, numerically controlled.
8458.99.10	Vertical turret lathes (including turning centers) for removing metal, other than numerically controlled.
8458.99.50	Lathes (including turning centers), other than horizontal or vertical turret lathes, for removing metal, other than numerically controlled.
8459.10.00	Way-type unit head machines for drilling, boring, milling, threading or tapping by removing metal, other than lathes of heading 8458.
8459.21.00	Drilling machines, numerically controlled, nesoi.
8459.29.00	Drilling machines, other than numerically controlled, nesoi.
8459.31.00	Boring-milling machines, numerically controlled, nesoi.
8459.39.00	Boring-milling machines, other than numerically controlled, nesoi.
8459.41.00	Boring machines, numerically controlled, nesoi.
8459.49.00	Boring machines, not numerically controlled, nesoi.
8459.51.00	Milling machines, knee type, numerically controlled, nesoi.
8459.59.00	Milling machines, knee type, other than numerically controlled, nesoi.
8459.61.00	Milling machines, other than knee type, numerically controlled, nesoi.
8459.69.00	Milling machines, other than knee type, other than numerically controlled, nesoi.
8459.70.40	Other threading or tapping machines, numerically controlled.
8459.70.80	Other threading or tapping machines nesoi.
8460.12.00	Flat-surface grinding machines, numerically controlled.
8460.19.01	Flat-surface grinding machines, not numerically controlled.
8460.22.00	Centerless grinding machines, numerically controlled.
8460.23.00	Other cylindrical grinding machines, numerically controlled.
8460.24.00	Other grinding machines, numerically controlled.
8460.29.01	Other grinding machines, other than numerically controlled.
8460.31.00	Sharpening (tool or cutter grinding) machines for working metal or cermets, numerically controlled.
8460.39.00	Sharpening (tool or cutter grinding) machines for working metal or cermets, other than numerically controlled.
8460.40.40	Honing or lapping machines for working metal or cermets, numerically controlled.
8460.40.80	Honing or lapping machines for working metal or cermets, other than numerically controlled.
8460.90.40	Other machine tools for deburring, polishing or otherwise finishing metal or cermets, nesoi, numerically controlled.
8460.90.80	Other machine tools for deburring, polishing or otherwise finishing metal or cermets, nesoi, other than numerically controlled.
8461.20.40	Shaping or slotting machines for working by removing metal or cermets, numerically controlled.
8461.20.80	Shaping or slotting machines for working by removing metal or cermets, other than numerically controlled.
8461.30.40	Broaching machines for working by removing metal or cermets, numerically controlled.
8461.30.80	Broaching machines for working by removing metal or cermets, other than numerically controlled.
8461.40.10	Gear cutting machines for working by removing metal or cermets.
8461.40.50	Gear grinding or finishing machines for working by removing metal or cermets.
8461.50.40	Sawing or cutting-off machines for working by removing metal or cermets, numerically controlled.
8461.50.80	Sawing or cutting-off machines for working by removing metal or cermets, other than numerically controlled.
8461.90.30	Machine-tools for working by removing metal or cermets, nesoi, numerically controlled.
8461.90.60	Machine-tools for working by removing metal or cermets, nesoi, other than numerically controlled.
8462.11.00	Hot forming machines for forging, die forging (including presses) and hot hammers, closed die forging machines.
8462.19.00	Other hot forming machines for forging, die forging (including presses) and hot hammers (other than closed die forging machines), nesoi.
8462.22.00	Profile forming machines.
8462.23.00	Numerically controlled press brakes.
8462.24.00	Numerically controlled panel benders.
8462.25.00	Numerically controlled roll forming machines.
8462.26.00	Other numerically controlled bending, folding, straightening or flattening machines (o/t press brakes, panel benders, roll forming machines).

HTSUS subheading	Product description
8462.29.00	Other bending folding straightening or flattening machines (other than numerically controlled or profile forming machines), nesoi.
8462.32.10	Numerically controlled sitting lines and cut-to-length lines.
8462.32.50	Sitting lines and cut-to-length lines (other than numerically controlled), nesoi.
8462.33.00	Numerically controlled shearing machines.
8462.39.00	Shearing machines (other than numerically controlled), nesoi.
8462.42.00	Numerically controlled punching, notching or nibbling machines (excluding presses) for flat products.
8462.49.00	Other punching, notching or nibbling machines (excluding presses) for flat products, other than numerically controlled.
8462.51.00	Numerically controlled machines for working tube, pipe, hollow section and bar (excluding presses).
8462.59.00	Other machines for working tube, pipe, hollow section and bar (excluding presses), other than numerically controlled.
8462.61.40	Hydraulic presses, numerically controlled.
8462.61.80	Hydraulic presses, not numerically controlled.
8462.62.40	Numerically controlled mechanical cold metal working presses.
8462.62.50	Other mechanical cold metal working presses, other than numerically controlled.
8462.63.40	Numerically controlled cold metal working servo-presses.
8462.63.80	Other cold metal working servo-presses, other than numerically controlled.
8462.69.40	Numerically controlled other cold metal working presses, nesoi.
8462.69.80	Other cold metal working presses, other than numerically controlled, nesoi.
8462.90.40	Other numerically controlled machines tools for working metal, nesoi.
8462.90.80	Other machines tools for working metal, other than numerically controlled, nesoi.
8463.10.00	Draw-benches for bars, tubes, profiles, wire or the like, for working metal or cermets, without removing material.
8463.20.00	Thread rolling machines for working metal or cermets, without removing material.
8463.30.00	Machines for working wire of metal or cermets, without removing material.
8463.90.00	Machine tools for working metal or cermets, without removing material, nesoi.
8464.10.01	Sawing machines for working stone, ceramics, concrete, asbestos-cement or like mineral materials or for cold working glass.
8464.20.01	Grinding or polishing machines for working stone, ceramics, concrete, asbestos-cement or like mineral materials, or glass, nesoi.
8464.90.01	Machine tools for working stone, ceramics, concrete, asbestos-cement or like mineral materials or for cold working glass, nesoi.
8465.10.00	Machines for working certain hard materials which can carry out different types of machining operations w/o tool change between operations.
8465.20.10	Machine centers for sawing, planing, milling, molding, grinding, sanding, polishing, drilling or mortising.
8465.20.50	Machine centers for bending or assembling.
8465.20.80	Machine centers, nesoi.
8465.91.00	Sawing machines for working wood, cork, bone, hard rubber, hard plastics or similar hard materials.
8465.92.00	Planing, milling or molding (by cutting) machines for working wood, cork, bone, hard rubber, hard plastics or similar hard materials.
8465.93.00	Grinding, sanding or polishing machines for working wood, cork, bone, hard rubber, hard plastics or similar hard materials.
8465.94.00	Bending or assembling machines for working wood, cork, bone hard rubber, hard plastics or similar hard materials.
8465.95.00	Drilling or mortising machines for working wood, cork, bone, hard rubber, hard plastics or similar hard materials.
8465.96.00	Splitting, slicing or paring machines for working wood, cork, bone, hard rubber, hard plastics or similar hard materials.
8465.99.02	Machine tools for working wood, cork, bone, hard rubber, hard plastics and similar hard materials, nesoi.
8468.20.10	Gas-operated machinery, apparatus and appliances, hand-directed or -controlled, used for soldering, brazing, welding or tempering, nesoi.
8468.20.50	Gas-operated machinery, apparatus and appliances, not hand-directed or -controlled, used for soldering, brazing, welding or tempering, nesoi.
8468.80.10	Machinery and apparatus, hand-directed or -controlled, used for soldering, brazing or welding, not gas-operated.
8468.80.50	Machinery and apparatus other than hand-directed or -controlled, used for soldering, brazing or welding, not gas-operated.
8474.10.00	Sorting, screening, separating or washing machines for earth, stones, ores or other mineral substances in solid form.
8474.20.00	Crushing or grinding machines for earth, stones, ores or other mineral substances.
8474.31.00	Concrete or mortar mixers.
8474.32.00	Machines for mixing mineral substances with bitumen.
8474.39.00	Mixing or kneading machines for earth, stones, ores or other mineral substances, nesoi.
8474.80.00	Machinery for agglomerating, shaping or molding solid mineral fuels, or other mineral products; machines for forming sand foundry molds.
8475.10.00	Machines for assembling electric or electronic lamps, tubes or flashbulbs, in glass envelopes.
8475.21.00	Machines for making glass optical fibers and preforms thereof.
8475.29.00	Machines for manufacturing or hot working glass or glassware, nesoi.
8477.10.30	Injection-molding machines for manufacturing shoes of rubber or plastics.
8477.10.40	Injection-molding machines for use in the manufacture of video laser discs.
8477.10.90	Injection-molding machines of a type used for working or manufacturing products from rubber or plastics, nesoi.
8477.20.00	Extruders for working rubber or plastics or for the manufacture of products from these materials, nesoi.
8477.30.00	Blow-molding machines for working rubber or plastics or for the manufacture of products from these materials.
8477.40.01	Vacuum-molding and other thermoforming machines for working rubber or plastics or for manufacture of products from these materials, nesoi.
8477.51.00	Machinery for molding or retreading pneumatic tires or for molding or otherwise forming inner tubes.
8477.59.01	Machinery for molding or otherwise forming rubber or plastics other than for molding or retreading pneumatic tires, nesoi.
8477.80.01	Machinery for working rubber or plastics or for the manufacture of products from these materials, nesoi.
8478.10.00	Machinery for preparing or making up tobacco, nesoi.
8479.10.00	Machinery for public works, building or the like, nesoi.
8479.20.00	Machinery for the extraction or preparation of animal or fixed vegetable fats or oils, nesoi.

HTSUS subheading	Product description
8479.30.00	Presses for making particle board or fiber building board of wood or other ligneous materials, and mach. for treat. wood or cork, nesoi.
8479.40.00	Rope- or cable-making machines nesoi.
8479.50.00	Industrial robots, nesoi.
8479.81.00	Machines and mechanical appliances for treating metal, including electric wire coil-winders, nesoi.
8479.82.00	Machines for mixing, kneading, crushing, grinding, screening, sifting, homogenizing, emulsifying or stirring, nesoi.
8479.83.00	Cold isostatic presses, nesoi.
8479.89.83	Machines for the manufacture of optical media.
8479.89.92	Automated electronic component placement machines for making printed circuit assemblies.
8479.89.95	Other machines and mechanical appliances having individual functions, not specified or included elsewhere in chapter 84, nesoi.
8486.10.00	Machines and apparatus for the manufacture of boules or wafers.
8486.20.00	Machines and apparatus for the manufacture of semiconductor devices or electronic integrated circuits.
8486.30.00	Machines and apparatus for the manufacture of flat panel displays.
8486.40.00	Machines and apparatus for the manufacture of masks and reticles and for the assembly of electronic integrated circuits.
8514.11.00	Hot isostatic presses.
8514.19.00	Other resistance heated industrial or laboratory furnaces and ovens, other than hot isostatic presses.
8514.20.40	Industrial or laboratory microwave ovens for making hot drinks or for cooking or heating food.
8514.20.60	Industrial or laboratory microwave ovens, nesoi.
8514.20.80	Industrial or laboratory furnaces and ovens (other than microwave) functioning by induction or dielectric loss.
8514.31.10	Electron beam furnaces for making printed circuits or printed circuit assemblies.
8514.31.90	Electron beam furnaces, other than for making printed circuits or printed circuit assemblies.
8514.32.10	Plasma and vacuum arc furnaces for making printed circuits or printed circuit assemblies.
8514.32.90	Plasma and vacuum arc furnaces, other than for making printed circuits or printed circuit assemblies.
8514.39.10	Other industrial furnaces and ovens for making printed circuits or printed circuit assemblies.
8514.39.90	Other industrial or laboratory electric industrial or laboratory furnaces and ovens nesoi.
8514.40.00	Industrial or laboratory induction or dielectric heating equipment nesoi.
8515.11.00	Electric soldering irons and guns.
8515.19.00	Electric brazing or soldering machines and apparatus, other than soldering irons and guns.
8515.21.00	Electric machines and apparatus for resistance welding of metal, fully or partly automatic.
8515.29.00	Electric machines and apparatus for resistance welding of metal, other than fully or partly automatic.
8515.31.00	Electric machines and apparatus for arc (including plasma arc) welding of metals, fully or partly automatic.
8515.39.00	Electric machines and apparatus for arc (including plasma arc) welding of metals, other than fully or partly automatic.
8515.80.00	Electric welding apparatus nesoi, and electric machines and apparatus for hot spraying metals or sintered metal carbides.
8543.30.20	Electrical machines and apparatus for electroplating, electrolysis, or electrophoresis for making printed circuits.
8543.30.90	Other electrical machines and apparatus for electroplating, electrolysis, or electrophoresis.
8543.70.20	Physical vapor deposition apparatus, nesoi.
8543.70.60	Electrical machines and apparatus nesoi, designed for connection to telegraphic or telephonic apparatus, instruments or networks.
8543.70.71	Electric luminescent lamps.
8543.70.97	Plasma cleaner machines that remove organic contaminants from electron microscopy specimens and holders.
8543.70.98	Other electrical machines and apparatus, having individual functions, nesoi.

[FR Doc. 2024-21217 Filed 9-17-24; 8:45 am]

BILLING CODE 3390-F4-P

DEPARTMENT OF TRANSPORTATION**Federal Aviation Administration**

[Docket No. FAA-2024-2158]

**Agency Information Collection
Activities: Requests for Comments;
Clearance of a Renewed Approval of
Information Collection: Unmanned
Aircraft Systems (UAS) BEYOND and
Partnership for Safety Plan (PSP)
Programs**

AGENCY: Federal Aviation
Administration (FAA), DOT.

ACTION: Notice and request for
comments.

SUMMARY: In accordance with the
Paperwork Reduction Act of 1995, FAA
invites public comments about our
intention to request the Office of

Management and Budget (OMB)
approval to renew an information
collection. The collection involves
operational data submissions by
proponents who have been granted
exemptions and operational and report
submissions by State, local, Tribal, and
territorial (SLTT) participants in the
UAS BEYOND program. The
information to be collected will be used
to inform FAA policy and decision-
making regarding integrating UAS into
the National Airspace System (NAS).
DATES: Written comments should be
submitted by November 18, 2024.

ADDRESSES: Please send written
comments:

By Electronic Docket:
www.regulations.gov (Enter docket
number into search field).

By mail: Kim Merchant, c/o Tammie
Meadows, Federal Aviation
Administration, 800 Independence
Avenue SW, Rm. 127, Washington, DC
20591-0001.

By fax: 202-267-4193.

FOR FURTHER INFORMATION CONTACT: Kim
Merchant by email at: kim.merchant@faa.gov; phone: 202-267-6148.

SUPPLEMENTARY INFORMATION:

Public Comments Invited: You are
asked to comment on any aspect of this
information collection, including (a)
Whether the proposed collection of
information is necessary for FAA's
performance; (b) the accuracy of the
estimated burden; (c) ways for FAA to
enhance the quality, utility and clarity
of the information collection; and (d)
ways that the burden could be
minimized without reducing the quality
of the collected information. The agency
will summarize and/or include your
comments in the request for OMB's
clearance of this information collection.

OMB Control Number: 2120-0800.

Title: Unmanned Aircraft Systems
(UAS) BEYOND and Partnership for
Safety Plan (PSP) Programs.

Form Numbers:

- UAS Monthly Flight Report (Pending)

- UAS Exemption Monthly Flight Report (Pending)
- Automated Data Service Provider (ADSP) Monthly Report (Pending)
- UAS Flight Anomaly Report (Pending)
- BEYOND Semi-Annual Report (Pending)
- BEYOND Program Withdrawal Report (Pending)

Type of Review: Renewal of an information collection.

Background: The data collected during the Unmanned Aircraft Systems (UAS) BEYOND program is delineated as part of the Memorandum of Agreement (MOA) each Lead Participant signs with the FAA, and entered into under the authority of 49 U.S.C. 106(l) and (m). The data collected from proponents granted exemptions is specified in the conditions and limitations of the exemptions under the authority provided by 49 U.S.C. 106(f), 40113, 44701, and 44807. The data collected from proponents granted certificates of authorization is specified in the conditions and limitations of the authorizations under the authority provided by 49 U.S.C. 40102(a) or 49 U.S.C. 40125. The data collected from

proponents granted part 107 waivers is specified in the conditions and limitations of the waivers under the authority provided by 14 CFR part 107.

There are two types of data collection. First, BEYOND program participants submit narrative reports to inform the FAA of operational trends, and highlight successes and failures and their causes. The purpose of the narrative reports is to help the FAA make policy and resource decisions, especially in regard to the challenges and opportunities in integrating UAS into the National Airspace System (NAS). The narrative reports include semi-annual reports and, if needed, program withdrawal reports.

Second, BEYOND participants and other select proponents submit operational data, including monthly flight data, Automated Data Service Provider (ADSP) monthly data, and anomaly data. The purpose of these submissions is to monitor the safety of the flights and the effectiveness of the safety mitigations in place, and inform policy and decision-making related to the risks associated with operations involving command and control (C2) links, detect and avoid (DAA)

capabilities, ADSP reliability, anomaly detection, and a host of other categories, to solve challenges in enabling UAS beyond visual line of sight (BVLOS) operations.

Respondents: Depending on the submission, the respondents are two groups:

1. State, local, Tribal, or territorial government—BEYOND Lead Participants
2. Business or other for-profit—Team members of the BEYOND Lead Participants and proponents with reporting conditions and limitations in their operational approvals

Frequency: The frequency depends on the report. See the table below for details.

Estimated Average Burden per Response: Depending on the submission, the overall estimated average burden per response varies from 1 to 80 hours. See the table below for details.

Estimated Total Annual Burden: The estimated total annual burden for all submissions is 1,755 hours. See the following table for a breakdown by report or form.

Report/form	Affected public	Frequency	Number of respondents	Total number of responses	Estimated average burden per response (hours)	Estimated total annual burden (hours)
Narrative Reports:						
BEYOND Semi-Annual Reports	State, Local, Tribal, or Territorial Government, BEYOND participants only.	Semi-Annually	8.00	16.00	80.00	1,280.00
BEYOND Program Withdrawal Reports	State, Local, Tribal, or Territorial Government, BEYOND participants only.	One-Time Submission	8.00	1.00	40.00	40.00
Narrative Reports Sub-Totals			16.00	17.00	77.65	1,320.00
Operational Data:						
UAS Monthly Flight Reports	Proponents with approval documents that include flight reporting C&Ls and BEYOND participants.	Monthly	15.00	180.00	1.00	180.00
ADSP Monthly Reports	ADSPs that have service level agreements with proponents that submit UAS Monthly Flight Reports.	Monthly	10.00	120.00	1.50	180.00
UAS Anomaly Reports	Proponents with approval documents that include event reporting C&Ls and BEYOND participants.	On Occasion—Assuming 5 annually per participant	15.00	75.00	1.00	75.00
Operational Data Sub-Totals			40.00	375.00	1.16	435.00
Totals			56.00	392.00	4.48	1,755.00

Issued in Washington, DC, on August 12, 2024.

Kim Merchant,

Manager, Special Projects Branch, Unmanned Aircraft Systems Integration Office, Federal Aviation Administration.

[FR Doc. 2024-21264 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-13-P

DEPARTMENT OF TRANSPORTATION**Federal Aviation Administration****Notice of Intent of Waiver With Respect to Land; Rantoul National Aviation Center—Frank Elliott Field, Rantoul, IL**

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice.

SUMMARY: The FAA is considering a proposal to change 109.91 acres of airport land from aeronautical use to non-aeronautical use and to authorize the sale of airport property located at Rantoul National Aviation Center—Elliott Field, Rantoul, IL. The aforementioned land is not needed for aeronautical use. The subject parcels (13 in total) are located in the western half of the airport, all being west of Runway 18/36, south of Urbana Avenue, east of Century Boulevard, and north of Township Highway 154 S. Many of the subject parcels have old industrial buildings that supported the United States military mission (Chanute Air Force Base) and now are in a state of disrepair. The proposed sale would allow the cost of the repair and maintenance of these old structures to be transferred to the buyers of the parcels and the proceeds of the sale to be used for airport purposes. The parcels would be used for non-aeronautical purposes that are compatible with airport operations.

DATES: Comments must be received on or before October 18, 2024.

ADDRESSES: All requisite and supporting documentation will be made available for review by appointment at the FAA Chicago Airports District Office, Azra Hussain, Program Manager, 2300 E. Devon Ave, Des Plaines, IL 60018 Telephone: (847) 294-7315/Fax: (847) 294-7046 and Illinois Department of Transportation—Division of Aeronautics, 1 Langhorne Bond Drive, Springfield, IL 62707—8415.

Written comments on the Sponsor's request may be submitted using any of the following methods:

- *Federal eRulemaking Portal:* Go to <http://www.regulations.gov>, and follow the instructions for sending your comments electronically.
- *Mail:* Azra Hussain, Program Manager, Federal Aviation Administration, Chicago Airports District Office, 2300 E. Devon Ave, Des Plaines, IL 60018.
- *Hand Delivery:* Deliver to mail address above between 8 a.m. and 5 p.m. Monday through Friday, excluding Federal holidays.
- *Fax:* (847) 294-7046.

FOR FURTHER INFORMATION CONTACT: Azra Hussain, Program Manager, Federal Aviation Administration, Chicago Airports District Office, 2300 E. Devon Ave, Des Plaines, IL 60018. Telephone Number: (847) 294-7340/FAX Number: (847) 294-7046.

SUPPLEMENTARY INFORMATION: In accordance with section 47107(h) of title 49, United States Code, this notice is required to be published in the **Federal Register** 30 days before modifying the land-use assurance that requires the property to be used for an aeronautical purpose.

The subject property is currently not needed for aeronautical purposes, nor are there future plans for aeronautical use. Portions of the land proposed for release and disposal were originally transferred by quitclaim deed to the Village of Rantoul (on July 23, 2007 for Parcel A2d-1; on August 12, 2007 for Parcels A2c-3a, A2c-3b, A2c-3c, A2d-2 and 802; and on March 6, 2008 for Parcels A1b-6, A2b-1, A2b-2, and A2b-3a), by and between the United States of America, acting by and through the Secretary of the Air Force, under and pursuant to the powers and authority of the Defense Base Closure and Realignment Acts of 1988 and 1990 (10 U.S.C. 2687 note), as amended; Article 4, section 3, clause 2 of the Constitution of the United States; the provisions of the Federal Property and Administrative Services Act of 1949 (40 U.S.C. subtitle I, chapters 1 and 5), as amended, and related promulgated regulations and orders, and the Surplus Property Act of 1944 (50 U.S.C. app. sec. 1622(g), as amended, repealed and recodified without substantive change at 49 U.S.C. 47151-47153); and related promulgated regulations and orders. The remaining parcels were transferred by quitclaim deed to the Village of Rantoul (on July 9, 2018 for Parcel A1b-3:2, and on August 17, 2018 for Parcels A2c-7:1 and A2c-7:2), by and between the United States of America, acting by and through the Secretary of the Air Force, under and pursuant to the powers and authority contained in the Base Closure and Realignment Act of 1988, Public Law 100-526, as amended (10 U.S.C. 2687 note), and delegations and regulations promulgated thereunder. The Village of Rantoul plans to sell the subject property at fair market value to reduce annual expenditures required for repair and maintenance of existing non-aeronautical buildings.

The disposition of proceeds from the sale of the airport property will be in accordance with FAA's Policy and Procedures Concerning the Use of Airport Revenue, published in the

Federal Register on February 16, 1999 (64 FR 7696).

This notice announces that the FAA is considering the release of the subject airport property at the Rantoul National Aviation Center—Elliott Field, Rantoul, IL from federal land covenants, subject to a reservation for continuing right of flight as well as restrictions on the released property as required in FAA Order 5190.6B section 22.16. Approval does not constitute a commitment by the FAA to financially assist in the disposal of the subject airport property nor a determination of eligibility for grant-in-aid funding from the FAA.

The legal descriptions (metes and bounds) of the subject 13 land parcels are as follow:

Parcel A1b-6

A TRACT OF LAND BEING PART OF SECTION 2, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN, CHAMPAIGN COUNTY, ILLINOIS, DESCRIBED AS FOLLOWS, WITH BEARINGS REFERENCED TO THE ILLINOIS STATE PLANE COORDINATE SYSTEM—EAST ZONE:

COMMENCING AT AN IRON PIN AT THE NORTHWEST CORNER OF THE SOUTHEAST QUARTER OF SAID SECTION 2, PROCEED NORTH 89 DEGREES 39 MINUTES 02 SECONDS EAST ALONG THE NORTH LINE OF SAID SOUTHEAST QUARTER, 24.16 FEET; THENCE SOUTH 00 DEGREES 45 MINUTES 46 SECONDS EAST, 100.00 FEET TO THE POINT OF BEGINNING; THENCE NORTH 89 DEGREES 39 MINUTES 02 SECONDS EAST ALONG A LINE BEING PARALLEL WITH SAID NORTH LINE OF THE SOUTHEAST QUARTER, 290.67 FEET; THENCE SOUTH 07 DEGREES 05 MINUTES 20 SECONDS EAST, 191.02 FEET; THENCE AROUND THE ARC OF A CIRCULAR CURVE TO THE RIGHT, HAVING A RADIUS OF 500.00 FEET, A CHORD LENGTH OF 27.11 FEET, A CHORD BEARING OF SOUTH 88 DEGREES 29 MINUTES 31 SECONDS WEST FOR AN ARC LENGTH OF 27.11 FEET; THENCE TANGENT SOUTH 89 DEGREES 59 MINUTES 14 SECONDS WEST, 180.73 FEET; THENCE AROUND THE ARC OF A CIRCULAR CURVE TO THE LEFT, HAVING A RADIUS OF 600.00 FEET, A CHORD LENGTH OF 87.27 FEET, A CHORD BEARING OF SOUTH 85 DEGREES 48 MINUTES 04 SECONDS WEST FOR AN ARC LENGTH OF 87.35 FEET; THENCE NORTH 12 DEGREES 58 MINUTES 03 SECONDS WEST, 27.26 FEET; THENCE AROUND THE ARC OF A CIRCULAR CURVE TO THE RIGHT, HAVING A RADIUS OF 500.00 FEET, A CHORD

LENGTH OF 104.67 FEET, A CHORD BEARING OF NORTH 06 DEGREES 48 MINUTES 18 SECONDS WEST FOR AN ARC LENGTH OF 104.86 FEET; THENCE NORTH 00 DEGREES 45 MINUTES 46 SECONDS WEST, 64.44 FEET TO THE POINT OF BEGINNING, ENCOMPASSING 1.296 ACRES MORE OR LESS:

Parcel A2b-2

A TRACT OF LAND BEING PART OF SECTION 2, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN, CHAMPAIGN COUNTY, ILLINOIS, DESCRIBED AS FOLLOWS, WITH BEARINGS REFERENCED TO THE ILLINOIS STATE PLANE COORDINATE SYSTEM—EAST ZONE:

COMMENCING AT AN IRON PIN AT THE NORTHEAST CORNER OF THE SOUTHWEST QUARTER OF SAID SECTION 2, PROCEED SOUTH 89 DEGREES 38 MINUTES 35 SECONDS WEST, ALONG THE NORTH LINE OF SAID SOUTHWEST QUARTER, 78.85 FEET; THENCE SOUTH 0 DEGREES 46 MINUTES 35 SECONDS EAST, 100.00 FEET TO THE TRUE POINT OF BEGINNING; THENCE SOUTH 0 DEGREES 46 MINUTES 35 SECONDS EAST, 65.18 FEET; THENCE AROUND THE ARC OF A TANGENT CIRCULAR CURVE TO THE LEFT HAVING A RADIUS OF 600.00 FEET, A CHORD LENGTH OF 125.60 FEET, A CHORD BEARING OF SOUTH 06 DEGREES 47 MINUTES 04 SECONDS EAST FOR AN ARC LENGTH OF 125.83 FEET; THENCE SOUTH 12 DEGREES 47 MINUTES 32 SECONDS EAST, 27.87 FEET; THENCE AROUND THE ARC OF A NON-TANGENT CIRCULAR CURVE TO THE LEFT HAVING A RADIUS OF 600.00 FEET, A CHORD LENGTH OF 87.66 FEET, A CHORD BEARING OF SOUTH 67 DEGREES 53 MINUTES 36 SECONDS WEST FOR AN ARC LENGTH OF 87.74 FEET; THENCE AROUND THE ARC OF A TANGENT CIRCULAR CURVE TO THE RIGHT HAVING A RADIUS OF 500.00 FEET, A CHORD LENGTH OF 224.47 FEET, A CHORD BEARING OF SOUTH 76 DEGREES 40 MINUTES 30 SECONDS WEST FOR AN ARC LENGTH OF 226.40 FEET; THENCE TANGENT SOUTH 89 DEGREES 38 MINUTES 45 SECONDS WEST, 781.66; THENCE NORTH 44 DEGREES 13 MINUTES 29 SECONDS EAST, 140.39 FEET; THENCE SOUTH 89 DEGREES 38 MINUTES 45 SECONDS WEST, 851.06 FEET; THENCE NORTH 67 DEGREES 35 MINUTES 31 SECONDS WEST, 61.48 FEET; THENCE NORTH 0 DEGREES 33 MINUTES 27 SECONDS WEST, 176.20 FEET; THENCE NORTH

89 DEGREES 38 MINUTES 35 SECONDS EAST PARALLEL WITH SAID NORTH LINE OF THE SOUTHWEST QUARTER, 766.36 FEET; THENCE NORTH 0 DEGREES 21 MINUTES 32 SECONDS WEST, 60.00 FEET; THENCE NORTH 89 DEGREES 38 MINUTES 35 SECONDS EAST PARALLEL WITH SAID NORTH LINE OF THE SOUTHWEST QUARTER, 700.04 FEET; THENCE SOUTH 0 DEGREES 23 MINUTES 10 SECONDS EAST, 60.00 FEET; THENCE NORTH 89 DEGREES 38 MINUTES 5 SECONDS EAST PARALLEL WITH SAID NORTH LINE OF THE SOUTHWEST QUARTER, 404.69 FEET TO THE TRUE POINT OF BEGINNING, ENCOMPASSING 11.719 ACRES MORE OR LESS.

Parcel A1b-3:2

A TRACT OF LAND BEING PART OF SECTION 11, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN, CHAMPAIGN COUNTY, ILLINOIS, DESCRIBED AS FOLLOWS:

COMMENCING AT A RANTOUL BRASS MONUMENT FOUND STAMPED “RANTOUL SURVEY MONUMENT IPLS 2280” FOUND AT THE INTERSECTION OF THE SOUTHEASTERLY RIGHT-OF-WAY LINE OF GALAXY DRIVE AND THE NORTHEASTERLY RIGHT-OF-WAY LINE OF PACESETTER DRIVE, SAID CORNER BEING DESIGNATED POINT NUMBER 288 AND SHOWN AS SUCH ON PLAT OF SURVEY BY DAVID P. PHILIPPE, ILLINOIS PROFESSIONAL LAND SURVEYOR 2591, DATED JULY 9, 2007 AND RECORDED AS DOCUMENT NUMBER 2007R22404 IN THE RECORDER’S OFFICE OF CHAMPAIGN COUNTY, ILLINOIS; THENCE NORTH 44 DEGREES 16 MINUTES 24 SECONDS EAST ALONG THE SOUTHEASTERLY RIGHT-OF-WAY LINE OF SAID GALAXY DRIVE, A DISTANCE OF 836.86 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE SOUTH 45 DEGREES 42 MINUTES 05 SECONDS EAST, A DISTANCE OF 1,351.83 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE SOUTH 00 DEGREES 32 MINUTES 38 SECONDS EAST, A DISTANCE OF 695.34 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE SOUTH 44 DEGREES 25 MINUTES 02 SECONDS WEST, A DISTANCE OF 1,225.29 FEET; THENCE NORTH 45 DEGREES 38 MINUTES 48 SECONDS WEST, A DISTANCE OF 80.00 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE CONTINUE NORTH 45 DEGREES 38 MINUTES 48 SECONDS WEST, A DISTANCE OF 132.22 FEET TO AN

IRON PIPE SURVEY MONUMENT SET; THENCE NORTH 44 DEGREES 35 MINUTES 13 SECONDS EAST, A DISTANCE OF 306.46 FEET TO AN IRON PIPE SURVEY MONUMENT SET AT A POINT OF BEGINNING; THENCE CONTINUE NORTH 44 DEGREES 35 MINUTES 13 SECONDS EAST, A DISTANCE OF 359.47 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE SOUTH 61 DEGREES 03 MINUTES 57 SECONDS EAST, A DISTANCE OF 135.16 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE SOUTH 44 DEGREES 25 MINUTES 02 SECONDS WEST, A DISTANCE OF 395.46 FEET TO AN IRON PIPE SURVEY MONUMENT SET; THENCE NORTH 45 DEGREES 37 MINUTES 27 SECONDS WEST, A DISTANCE OF 131.32 FEET TO THE POINT OF BEGINNING, ENCOMPASSING 1.13 ACRES, MORE OR LESS, SITUATED IN THE VILLAGE OF RANTOUL, CHAMPAIGN COUNTY, ILLINOIS.

Parcel A2b-1

A TRACT OF LAND BEING PART OF SECTION 2, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN, CHAMPAIGN COUNTY, ILLINOIS, DESCRIBED AS FOLLOWS, WITH BEARINGS REFERENCED TO THE ILLINOIS STATE PLANE COORDINATE SYSTEM—EAST ZONE:

COMMENCING AT THE NORTHWEST CORNER OF THE SOUTHWEST QUARTER OF SAID SECTION 2, PROCEED NORTH 89 DEGREES 38 MINUTES 35 SECONDS EAST, ALONG THE NORTH LINE OF SAID SOUTHWEST QUARTER, 507.81 FEET; THENCE SOUTH 0 DEGREES 33 MINUTES 08 SECONDS EAST, 499.98 FEET TO THE SOUTH LINE OF VETERAN’S PARKWAY; THENCE NORTH 89 DEGREES 38 MINUTES 45 SECONDS EAST ALONG SAID SOUTH LINE OF VETERAN’S PARKWAY, 950.12 FEET TO THE TRUE POINT OF BEGINNING; THENCE NORTH 89 DEGREES 38 MINUTES 45 SECONDS EAST, ALONG SAID SOUTH LINE OF VETERAN’S PARKWAY, 695.61 FEET TO THE WEST LINE OF COOK STREET; THENCE SOUTH 0 DEGREES 28 MINUTES 51 SECONDS EAST ALONG SAID WEST LINE OF COOK STREET, 152.62; THENCE NORTH 45 DEGREES 33 MINUTES 41 SECONDS WEST, 13.80 FEET; THENCE SOUTH 44 DEGREES 26 MINUTES 19 SECONDS WEST, 332.02 FEET; THENCE NORTH 45 DEGREES 33 MINUTES 41 SECONDS WEST, 380.92 FEET; THENCE SOUTH 44 DEGREES 26 MINUTES 19 SECONDS WEST, 190.00

FEET; THENCE NORTH 45 DEGREES 33 MINUTES 41 SECONDS WEST, 142.00 FEET; THENCE NORTH 44 DEGREES 26 MINUTES 19 SECONDS EAST, 140.00 FEET; THENCE NORTH 45 DEGREES 33 MINUTES 41 SECONDS WEST, 64.69 FEET TO THE TRUE POINT OF BEGINNING, ENCOMPASSING 3.754 ACRES MORE OR LESS.

Parcel A2b-3a

A TRACT OF LAND BEING PART OF SECTION 2, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN, CHAMPAIGN COUNTY, ILLINOIS, DESCRIBED AS FOLLOWS, WITH BEARINGS REFERENCED TO THE ILLINOIS STATE PLANE COORDINATE SYSTEM-EAST ZONE:

COMMENCING AT THE NORTHWEST CORNER OF THE SOUTHWEST QUARTER OF SAID SECTION 2, PROCEED NORTH 89 DEGREES 38 MINUTES 35 SECONDS EAST, ALONG THE NORTH LINE OF SAID SOUTHWEST QUARTER, 507.81 FEET; THENCE SOUTH 0 DEGREES 33 MINUTES 08 SECONDS EAST, 563.08 FEET TO A POINT ON THE EAST LINE OF EAGLE DRIVE, BEING THE TRUE POINT OF BEGINNING; THENCE SOUTH 45 DEGREES 33 MINUTES 46 SECONDS EAST, 84.61 FEET; THENCE NORTH 44 DEGREES 16 MINUTES 19 SECONDS EAST, 64.00 FEET; THENCE NORTH 89 DEGREES 16 MINUTES 19 SECONDS EAST, 84.86 FEET; THENCE SOUTH 45 DEGREES 33 MINUTES 46 SECONDS EAST, 469.04 FEET; THENCE SOUTH 44 DEGREES 26 MINUTES 13 SECONDS WEST, 396.12 FEET TO THE NORTHERLY LINE OF PACESETTER DRIVE; THENCE NORTH 45 DEGREES 33 MINUTES 46 SECONDS WEST ALONG SAID NORTHERLY LINE OF PACESETTER DRIVE, 338.80 FEET TO THE EAST LINE OF EAGLE DRIVE; THENCE NORTH 0 DEGREES 33 MINUTES 08 SECONDS WEST ALONG SAID EAST LINE OF EAGLE DRIVE, 384.51 FEET TO SAID TRUE POINT OF BEGINNING, ENCOMPASSING 4.447 ACRES MORE OR LESS.

Parcel A2c-3c

BEGINNING AT AN IRON PIPE SURVEY MONUMENT FOUND AT THE INTERSECTION OF THE SOUTHEASTERLY RIGHT OF WAY OF PACESETTER DRIVE WITH THE SOUTHWESTERLY RIGHT OF WAY OF ARENDS BOULEVARD IN THE VILLAGE OF RANTOUL, CHAMPAIGN COUNTY, ILLINOIS, SAID POINT ALSO BEING THE MOST SOUTHWESTERLY CORNER OF

MINOR SUBDIVISION 1; THENCE SOUTH 45 DEGREES 39 MINUTES 10 SECONDS EAST 495.44 FEET ALONG THE SOUTH RIGHT OF WAY LINE OF SAID ARENDS AVENUE; THENCE SOUTHEASTERLY 77.90 FEET ALONG SAID RIGHT OF WAY, BEING A CIRCULAR CURVE TO THE LEFT HAVING A RADIUS OF 180.00 FEET AND A CHORD OF 77.30 FEET THAT BEARS SOUTH 58 DEGREES 01 MINUTE 00 SECONDS EAST; THENCE SOUTH 44 DEGREES 24 MINUTES 27 SECONDS WEST 595.70 FEET; THENCE NORTH 46 DEGREES 00 MINUTES 25 SECONDS WEST 171.79 FEET; THENCE SOUTH 44 DEGREES 29 MINUTES 20 SECONDS WEST 105.53 FEET TO THE NORTHEASTERLY RIGHT OF WAY OF AVIATION ROAD; THENCE NORTH 45 DEGREES 32 MINUTES 50 SECONDS WEST 400.01 FEET TO THE SOUTHEASTERLY RIGHT OF WAY OF PACESETTER DRIVE; THENCE NORTH 44 DEGREES 29 MINUTES 34 SECONDS EAST 685.01 FEET ALONG SAID PACESETTER DRIVE TO THE POINT OF BEGINNING, CONTAINING 373,894 SQUARE FEET (8.583 ACRES), MORE OR LESS, ALL SITUATED IN CHAMPAIGN COUNTY, ILLINOIS.

Parcel A2c-3b

COMMENCING AT THE NORTHWEST CORNER OF SECTION 11, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN; THENCE SOUTH 0 DEGREES 30 MINUTES 52 SECONDS EAST, ALONG THE WEST LINE OF THE NORTHWEST QUARTER OF SAID SECTION 11 AND THE CENTERLINE OF CENTURY BOULEVARD, 327.65 FEET TO THE CENTERLINE OF NEAL DRIVE; THENCE NORTH 89 DEGREES 26 MINUTES 00 SECONDS EAST, ALONG THE CENTERLINE OF NEAL DRIVE, 463.67 FEET TO A POINT ON THE CENTERLINE OF EAGLE DRIVE; THENCE SOUTH 0 DEGREES 31 MINUTES 45 SECONDS EAST, ALONG THE CENTERLINE OF EAGLE DRIVE, 16.79 FEET; THENCE SOUTH 66° 44' 05" EAST, 38.25 FEET TO POINT OF BEGINNING; THENCE CONTINUING SOUTH 66 DEGREES 44 MINUTES 05 SECONDS EAST, 205.94 FEET; THENCE NORTH 89 DEGREES 28 MINUTES 19 SECONDS EAST, 504.79 FEET TO A POINT SITUATED 40.00 FEET NORTHWEST OF THE CENTERLINE OF PACESETTER DRIVE; THENCE SOUTH 44 DEGREES 30 MINUTES 44 SECONDS WEST, ON A LINE SITUATED 40.00 FEET NORTHWEST OF AND PARALLEL WITH SAID CENTERLINE, 705.93 FEET TO A POINT SITUATED 40.00 FEET

NORTH OF THE CENTERLINE OF FLESSNER AVENUE; THENCE SOUTH 89 DEGREES 27 MINUTES 44 SECONDS WEST ALONG A LINE 40.00 FEET NORTH OF AND PARALLEL WITH THE CENTERLINE OF FLESSNER AVENUE, 193.69 FEET TO A POINT SITUATED 35.00 FEET EAST OF THE CENTERLINE OF EAGLE DRIVE; THENCE NORTH 00 DEGREES 31 MINUTES 45 SECONDS WEST ALONG A LINE SITUATED 35.00 FEET EAST OF AND PARALLEL WITH SAID CENTERLINE 581.93 FEET TO THE POINT OF BEGINNING, SAID PARCEL CONTAINING 5.258 ACRES MORE OR LESS, ALL SITUATED IN CHAMPAIGN COUNTY, ILLINOIS.

Parcel A2c-7:1

BEGINNING AT THE SOUTHEAST CORNER OF CENTURY BOULEVARD AND FLESSNER AVENUE AS SHOWN AND DESCRIBED IN A QUITCLAIM DEED RECORDED AS DOCUMENT NO. 2007R22404 IN THE CHAMPAIGN COUNTY RECORDER'S OFFICE, PROCEED NORTH 89 DEGREES 26 MINUTES 26 SECONDS EAST ALONG THE SOUTH LINE OF SAID FLESSNER AVENUE, 675.63 FEET; THENCE SOUTH 45 DEGREES 32 MINUTES 38 SECONDS EAST 28.87 FEET TO THE POINT OF BEGINNING; THENCE SOUTH 45 DEGREES 32 MINUTES 38 SECONDS EAST, 233.03 FEET; THENCE SOUTH 44 DEGREES 28 MINUTES 10 SECONDS WEST, A DISTANCE OF 175.46 FEET TO A POINT ON THE NORTHERLY LINE OF PARCEL A1b-1; THENCE SOUTH 89 DEGREES 26 MINUTES 31 SECONDS WEST 70.83 FEET ALONG SAID NORTHERLY LINE OF SAID PARCEL A1b-1 AND A WEST EXTENSION OF SAID NORTHERLY LINE; THENCE NORTH 05 DEGREES 24 MINUTES 58 SECONDS EAST, 290.41 FEET; TO SAID POINT OF BEGINNING, ENCOMPASSING 0.704 ACRES MORE OR LESS.

Parcel A2c-7:2

BEGINNING AT THE SOUTHEAST CORNER OF CENTURY BOULEVARD AND FLESSNER AVENUE AS SHOWN AND DESCRIBED IN A QUITCLAIM DEED RECORDED AS DOCUMENT NO. 2007R22404 IN THE CHAMPAIGN COUNTY RECORDER'S OFFICE, PROCEED NORTH 89 DEGREES 26 MINUTES 26 SECONDS EAST ALONG THE SOUTH LINE OF SAID FLESSNER AVENUE, 525.65 FEET TO POINT OF BEGINNING; NORTH 89 DEGREES 26 MINUTES 26 SECONDS EAST 149.99 FEET; THENCE SOUTH 45 DEGREES 32 MINUTES 38 SECONDS EAST 28.87 FEET; THENCE SOUTH 05 DEGREES 24

MINUTES 58 SECONDS WEST, 290.41 FEET; THENCE SOUTH 89 DEGREES 26 MINUTES 31 SECONDS WEST, A DISTANCE OF 89.69 FEET; THENCE NORTH 56 DEGREES 34 MINUTES 16" WEST, 60.46 FEET; THENCE SOUTH 00 DEGREES 37 MINUTES 56 SECONDS EAST 275.45 FEET TO SAID POINT OF BEGINNING, ENCOMPASSING 1.08 ACRES MORE OR LESS.

Parcel A2c-3a

COMMENCING AT THE NORTHWEST CORNER OF SECTION 11, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL MERIDIAN; THENCE SOUTH 0 DEGREES 30 MINUTES 52 SECONDS EAST, ALONG THE WEST LINE OF THE NORTHWEST QUARTER OF SAID SECTION 11 AND THE CENTERLINE OF CENTURY BOULEVARD, 327.65 FEET TO THE CENTERLINE OF NEAL DRIVE; THENCE NORTH 89 DEGREES 26 MINUTES 00 SECONDS EAST, ALONG SAID CENTERLINE OF NEAL DRIVE, 50.00 FEET TO THE POINT OF BEGINNING; THENCE CONTINUING NORTH 89 DEGREES 26 MINUTES 00 SECONDS EAST, ALONG SAID CENTERLINE, 378.67 FEET TO A POINT SITUATED 35.00 WEST OF THE CENTERLINE OF EAGLE DRIVE; THENCE SOUTH 0 DEGREES 31 MINUTES 45 SECONDS EAST, ALONG A LINE 35.00 FEET WEST OF AND PARALLEL WITH SAID CENTERLINE, 614.14 FEET TO A POINT SITUATED 40.00 FEET NORTH OF THE CENTERLINE OF FLESSNER AVENUE; THENCE SOUTH 89 DEGREES 27 MINUTES 44 SECONDS WEST ALONG A LINE 40.00 FEET NORTH OF AND PARALLEL WITH THE CENTERLINE OF FLESSNER AVENUE, 378.83 FEET TO A POINT SITUATED 50.00 FEET EAST OF THE CENTERLINE OF CENTURY BOULEVARD AND THE WEST LINE OF SAID NORTHWEST QUARTER; THENCE NORTH 0 DEGREES 30 MINUTES 52 SECONDS WEST, ALONG A LINE 50 FEET EAST OF AND PARALLEL WITH SAID CENTERLINE, 612.54 FEET TO THE POINT OF BEGINNING, SAID DESCRIBED PARCEL CONTAINING 5.339 ACRES, MORE OR LESS, ALL SITUATED IN CHAMPAIGN COUNTY, ILLINOIS.

Parcels A2d-2, A2d-1 & 802

CONSISTING OF ALL OF PARCEL A2D-1, PARTS OF A2D-2, ALL OF BUILDING 802 PARCEL AND PARTS OF THE AIRFIELD AREA.

COMMENCING AT THE SOUTHWEST CORNER OF SECTION 11, TOWNSHIP 21 NORTH, RANGE 9 EAST OF THE THIRD PRINCIPAL

MERIDIAN, AS RECORDED IN BOOK 1598 PAGE 897 IN THE OFFICE OF THE CHAMPAIGN COUNTY RECORDER, THENCE NORTH 00 DEGREES 31 MINUTES 49 SECONDS WEST, ALONG THE WEST LINE OF THE SOUTHWEST QUARTER OF SAID SECTION 11 AND THE CENTERLINE OF CENTURY BOULEVARD, 179.73 FEET; THENCE NORTH 89 DEGREES 28 MINUTES 11 SECONDS EAST, PERPENDICULAR TO SAID WEST LINE, 50.00 FEET TO THE INTERSECTION OF THE NORTH RIGHT-OF-WAY LINE OF CHANDLER ROAD AND THE EAST RIGHT-OF-WAY LINE OF CENTURY BOULEVARD AND THE POINT OF BEGINNING; THENCE NORTH 00 DEGREES 31 MINUTES 49 SECONDS WEST, PARALLEL WITH SAID WEST LINE, ALONG SAID EAST RIGHT-OF-WAY LINE, 2283.81 FEET; THENCE NORTH 89 DEGREES 36 MINUTES 36 SECONDS EAST, 1242.33 FEET; THENCE SOUTH 00 DEGREES 41 MINUTES 55 SECONDS EAST 803.97 FEET; THENCE SOUTH 07 DEGREES 40 MINUTES 28 SECONDS EAST, 343.34 FEET; THENCE SOUTH 00 DEGREES 37 MINUTES 26 SECONDS EAST 1143.44 FEET TO THE NORTH RIGHT OF WAY OF CHANDLER ROAD; THENCE SOUTH 89 DEGREES 47 MINUTES 40 SECONDS WEST 1289.28 FEET TO THE POINT OF BEGINNING, SAID PARCEL CONTAINING 66.65 ACRES, MORE OR LESS, ALL SITUATED IN CHAMPAIGN COUNTY, ILLINOIS.

Issued in Des Plaines, IL on September 12, 2024.

Robert J Esquivel,

Acting Manager, Chicago Airports District Office, FAA, Great Lakes Region.

[FR Doc. 2024-21142 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-13-P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

Notice of Intent To Rule on a Land Release Request at Malden Regional Airport & Industrial Park (MAW), Malden, MO

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice of request to release of airport land.

SUMMARY: The FAA proposes to rule and invites public comment on the request to release and sell a 0.46 acre parcel of federally obligated airport property at the Malden Regional Airport & Industrial Park (MAW), Malden, Missouri.

DATES: Comments must be received on or before October 18, 2024.

ADDRESSES: Comments on this application may be mailed or delivered to the FAA at the following address: Amy J. Walter, Airports Land Specialist, Federal Aviation Administration, Airports Division, ACE-620G, 901 Locust, Room 364, Kansas City, MO 64106.

In addition, one copy of any comments submitted to the FAA must be mailed or delivered to: David Blalock, Airport Manager, City of Malden Regional Airport & Industrial Park, 3077 Mitchell Drive, P.O. Box 411, Malden, MO 63863-0411, (573) 276-2279.

FOR FURTHER INFORMATION CONTACT:

Amy J. Walter, Airports Land Specialist, Federal Aviation Administration, Airports Division, ACE-620G, 901 Locust, Room 364, Kansas City, MO 64106, (816) 329-2603, amy.walter@faa.gov. The request to release property may be reviewed, by appointment, in person at this same location.

SUPPLEMENTARY INFORMATION: The FAA invites public comment on the request to release a 0.46 acre parcel of airport property at the Malden Regional Airport & Industrial Park (MAW) under the provisions of 49 U.S.C. 47107(h)(2). This is a Surplus Property Airport. The City of Malden requested a release from the FAA to sell a 0.46 acre parcel to be developed by Telephone Switching. The FAA determined this request to release and sell property at the Malden Regional Airport & Industrial Park (MAW) submitted by the Sponsor meets the procedural requirements of the FAA and the release and sale of the property does not and will not impact future aviation needs at the airport. The FAA may approve the request, in whole or in part, no sooner than thirty days after the publication of this notice.

The following is a brief overview of the request:

The Malden Regional Airport & Industrial Park (MAW) is proposing the release from obligations and sale of a 0.46 acre parcel of airport property. The release of land is necessary to comply with Federal Aviation Administration Grant Assurances that do not allow federally acquired airport property to be used for non-aviation purposes. The sale of the subject property will result in the land at the Malden Regional Airport & Industrial Park (MAW) being changed from aeronautical to non-aeronautical use and release the lands from the conditions of the Airport Improvement Program Grant Agreement Grant Assurances in order to sell the land. In accordance with 49 U.S.C.

47107(c)(2)(B)(i) and (iii), the airport will receive fair market value for the property, which will be subsequently reinvested in another eligible airport improvement project for general aviation use.

Any person may inspect, by appointment, the request in person at the FAA office listed above under **FOR FURTHER INFORMATION CONTACT**. In addition, any person may request an appointment to inspect the application, notice and other documents determined by the FAA to be related to the application in person at the Malden City Hall.

Issued in Kansas City, MO, on September 13, 2024.

Rodney N. Joel,

Acting Director, FAA Central Region, Airports Division.

[FR Doc. 2024–21256 Filed 9–17–24; 8:45 am]

BILLING CODE 4910–13–P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

[Docket No. FAA–2021–0067]

Agency Information Collection Activities: Requests for Comments; Clearance of a Renewed Approval of Information Collection: FAA Runway Slot Administration and Schedule Analysis

AGENCY: Federal Aviation Administration (FAA), Department of Transportation (DOT).

ACTION: Notice and request for comments.

SUMMARY: In accordance with the Paperwork Reduction Act of 1995, the FAA invites public comments about our intention to request approval from the Office of Management and Budget (OMB) to renew a currently approved information collection. The FAA collects information from U.S. and foreign air carriers holding a slot at Ronald Reagan Washington National Airport (DCA), John F. Kennedy International Airport (JFK), LaGuardia Airport (LGA), Los Angeles International Airport (LAX), Newark Liberty International Airport (EWR), O'Hare International Airport (ORD), and San Francisco International Airport (SFO). The information collected is necessary to support the advance management of air traffic demand by the FAA Slot Administration in an effort to reduce potential delays.

DATES: Written comments should be submitted by November 18, 2024.

ADDRESSES: You may submit comments at <https://www.regulations.gov> to Docket

No. FAA–2021–0067. You may also send comments to the U.S. Department of Transportation, Docket Operations, 1200 New Jersey Avenue SE, West Building Ground Floor, Room W12–140, Washington, DC 20590–0001; telephone: (800) 647–5527, or (202) 366–9826. You must identify Docket Number FAA–2021–0067 at the beginning of your comments.

FOR FURTHER INFORMATION CONTACT: Al Meilus, Manager, Slot Administration and Capacity Analysis, AJR–G, Federal Aviation Administration, 800 Independence Avenue SW, Washington, DC 20591; telephone (202) 267–2822; email Al.Meilus@faa.gov.

SUPPLEMENTARY INFORMATION:

Public Comments Invited: You are asked to comment on any aspect of this information collection, including: (a) Whether the proposed collection of information is necessary for the FAA's performance; (b) the accuracy of the estimated burden; (c) ways for the FAA to enhance the quality, utility, and clarity of the information collection; and (d) ways that the burden could be minimized without reducing the quality of the collected information. The agency will summarize and/or include your comments in the request for OMB's clearance of this information collection.

OMB Control Number: 2120–0524.

Title: FAA Runway Slot Administration and Schedule Analysis (previously “High Density Traffic Airports; Slot Allocation and Transfer Methods”).

Form Numbers: There are no FAA forms associated with this collection.

Type of Review: Renewal of an information collection.

Background: The FAA has implemented several initiatives to address air traffic congestion and delay at certain airports within the National Airspace System (NAS). DCA slot rules are established under 14 CFR part 93, subparts K and S. The FAA has issued Orders limiting operations at JFK and LGA.¹ These Orders resulted from increasing congestion and delays at the airports requiring the FAA to allocate arrival and departure slots at JFK and LGA. In addition, the FAA has designated EWR, ORD, SFO, and LAX as Level 2 schedule-facilitated airports under the IATA Worldwide Slot Guidelines (WSG) now known as the Worldwide Airport Slot Guidelines

¹ Operating Limitations at John F. Kennedy International Airport, 73 FR 3510 (Jan. 18, 2008), as most recently amended 89 FR 41486 (May 13, 2024); Operating Limitations at New York LaGuardia Airport, 71 FR 77854 (Dec. 27, 2006), as most recently amended 89 FR 41484 (May 13, 2024).

(WASG).² At Level 2 airports, the FAA seeks the cooperation of all carriers planning operations, on a voluntary basis, to maintain close communications on runway schedules and facilitate adjustments, as needed. At DCA, U.S. and foreign air carriers, including commuter operators, must notify the FAA of: (1) Written consent and requests for confirmation of slot transfers; (2) slots required to be returned and slots voluntarily returned; (3) requests to be included in a lottery for the permanent allocation of available slots; (4) reports on usage of slots on a bi-monthly basis; and (5) requests for slots in low-demand hours or other temporary allocations. Operators must obtain a reservation from the FAA prior to conducting an unscheduled operation. At LGA, U.S. and foreign air carriers must notify the FAA of: (1) Written consent and requests for confirmation of slot transfers; (2) slots required to be returned and slots voluntarily returned; (3) requests to be included in a lottery for the permanent allocation of available slots; and (4) reports usage of slots on a bi-monthly basis. Carriers must also request and obtain a reservation from the FAA prior to conducting an unscheduled operation. At JFK, U.S. and foreign air carriers must notify the FAA of: (1) Written consent and requests for confirmation of slot transfers; (2) requests for seasonal allocation of historic and additional available slots; (3) reports on usage of slots on a seasonal basis; (4) the return of slots; and (5) changes to allocated slots. At EWR, LAX, ORD, and SFO, all carriers are asked to notify the FAA of their intended operating schedules during designated hours on a semiannual basis (for each winter and summer scheduling season) based on the IATA WASG Calendar of Coordination Activities and provide updates throughout the year when there are significant schedule changes.

The FAA estimates that all information from carriers is submitted

² Notice of Submission Deadline for Schedule Information for O'Hare International, John F. Kennedy International, and Newark Liberty International Airports for the Summer 2009 Scheduling Season, 73 FR 54659 (Sept. 22, 2008); Notice of Submission Deadline for Schedule Information for San Francisco International Airport for the Summer 2012 Scheduling Season, 76 FR 64163 (Oct. 17, 2011); Notice of Submission Deadline for Schedule Information for Los Angeles International Airport for the Summer 2015 Scheduling Season 80 FR 12253 (Mar. 6, 2015); Notice of Change of Newark Liberty International Airport Designation, 81 FR 19861 (Apr. 6, 2016). The FAA reaffirmed the Level 2 designations by 89 FR 68236 (August 23, 2024). These designations remain effective until the FAA announces a change in the **Federal Register**.

electronically from data stored in carrier scheduling databases. Requests for unscheduled flight reservations are submitted electronically via the internet.

Respondents: 127 unique carriers; unknown number of operators conducting unscheduled operations at LGA and DCA.

Frequency: Information is collected as needed; some reporting on bimonthly or semiannual basis.

Estimated Average Burden per Response: 6 minutes per slot transaction per respondent (*i.e.*, transferor and transferee); 6 minutes per slot return; 6 minutes per schedule update; 6 minutes per request for inclusion in a lottery; 2 minutes per unscheduled slot request; 1.5 hours per schedule submission; and 1 hour per slot usage report.

Estimated Total Annual Burden: 5,616.7 hours.

Issued in Washington, DC, on September 12, 2024.

Bryan A. Baszczewski.

Acting Director, Performance Analysis, FAA ATO System Operations Services.

[FR Doc. 2024-21268 Filed 9-13-24; 4:15 pm]

BILLING CODE 4910-13-P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

[FAA Docket number: FAA-2024-2362]

NextGen Advisory Committee; Notice of Public Meeting

AGENCY: Federal Aviation Administration (FAA), Department of Transportation.

ACTION: Notice of public meeting.

SUMMARY: This notice announces a meeting of the NextGen Advisory Committee (NAC).

DATES: The meeting will be held on December 10, 2024, from 9 a.m.–12 p.m. ET. Requests to attend the meeting virtually must be received by December 3, 2024. Requests for accommodations for a disability must be received by December 3, 2024. Written materials requested to be reviewed by NAC Members before the meeting must be received no later than December 3, 2024.

ADDRESSES: The meeting will be held at the Federal Aviation Administration, 800 Independence Avenue SW, Washington, DC 20591, with a virtual option. Virtual meeting information will be provided on the NAC internet website at least one week in advance of the meeting. Information on the NAC, including copies of previous meeting

minutes, is available on the NAC internet website at https://www.faa.gov/about/office_org/headquarters_offices/ang/nac/. Members of the public who wish to observe the meeting virtually or in person must send the required information listed in the **SUPPLEMENTARY INFORMATION** section to 9-AWA-ANG-NACRegistration@faa.gov.

FOR FURTHER INFORMATION CONTACT: Michele Murner, NAC Coordinator, U.S. Department of Transportation, at michele.murner@faa.gov or 202-510-8570. Any requests or questions not regarding attendance registration should be sent to the person listed in this section.

SUPPLEMENTARY INFORMATION:

I. Background

The Secretary of Transportation established the NAC under agency authority in accordance with the provisions of the Federal Advisory Committee Act, as amended, Public Law 92-463, 5 U.S.C. ch. 10, to provide independent advice and recommendations to the FAA and to respond to specific taskings received directly from the FAA. The NAC recommends consensus-driven advice for FAA consideration relating to Air Traffic Management System modernization.

II. Agenda

At the meeting, the agenda will cover the following topics:

- NAC Chair's Report
- FAA Report
- NAC Subcommittee Chair's Report
 - Risk and Mitigations update for the following focus areas: Data Communications, Performance Based Navigation, Surface and Data Sharing, and Northeast Corridor
 - Final Report on NAC Tasking 23-2: National Airspace System (NAS) Airspace Efficiencies
 - Final Report on NAC Tasking 23-3: En Route Data Communication: Joint Analysis Team Assessment
- NAC Chair Closing Comments

The detailed agenda will be posted on the NAC internet website at least one week in advance of the meeting.

III. Public Participation

The meeting is open to the public. Members of the public who wish to attend are asked to register via email by submitting their full legal name, country of citizenship, contact information (telephone number and email address), name of their industry association or applicable affiliation, and if they would like to attend the meeting in person or virtually. Please email this information

to the email address listed in the **ADDRESSES** section. When registration is confirmed, registrants who requested to attend virtually will be provided the virtual meeting information/teleconference call-in number and passcode. Callers are responsible for paying associated long-distance charges (if any).

Note: Only NAC Members, NAC working group members, and FAA staff who are providing briefings will have the ability to speak. All other attendees will only be able to listen.

The U.S. Department of Transportation is committed to providing equal access to this meeting for all participants. If you need alternative formats or services because of a disability, please contact the person listed in the **FOR FURTHER INFORMATION CONTACT** section.

Any member of the public may present a written statement to the committee at any time. Written statements submitted by the deadline will be provided to the NAC members before the meeting. Written statements must be submitted to the person listed under the heading **FOR FURTHER INFORMATION CONTACT**. Comments received after the due date listed in the **DATES** section will be distributed to the members but may not be reviewed prior to the meeting.

Signed in Washington, DC

Kimberly Noonan,

Manager, Office of Stakeholder Collaboration, Management Services Office, ANG-A, Office of the Assistant Administrator for NextGen, Federal Aviation Administration.

[FR Doc. 2024-21243 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-13-P

DEPARTMENT OF TRANSPORTATION

Federal Highway Administration

[Docket No. FHWA-2024-0064]

Agency Information Collection Activities: Request for Comments for a New Information Collection

AGENCY: Federal Highway Administration (FHWA), DOT.

ACTION: Notice and request for comments.

SUMMARY: The FHWA has forwarded the information collection request described in this notice to the Office of Management and Budget (OMB) to approve a new information collection. We are required to publish this notice in the **Federal Register** by the Paperwork Reduction Act of 1995.

DATES: Please submit comments by October 18, 2024.

ADDRESSES: You may submit comments identified by DOT Docket ID Number 0064 by any of the following methods:

Website: For access to the docket to read background documents or comments received go to the Federal eRulemaking Portal: Go to <http://www.regulations.gov>.

Follow the online instructions for submitting comments.

Fax: 1-202-493-2251.

Mail: Docket Management Facility, U.S. Department of Transportation, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590-0001.

Hand Delivery or Courier: U.S. Department of Transportation, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590, between 9 a.m. and 5 p.m. ET, Monday through Friday, except Federal holidays.

FOR FURTHER INFORMATION CONTACT: Mr. Michael Dougherty, (667) 668-1781, Office of Policy and Governmental Affairs, Office of Highway Policy Information, 1200 New Jersey Avenue SE, Washington, DC 20590. Office hours are from 8 a.m. to 4:30 p.m., Monday through Friday, except Federal holidays.

SUPPLEMENTARY INFORMATION: We published a **Federal Register** Notice with a 60-day public comment period on this information collection on June 21, 2024, at [89 FR 52200]. There were no comments received.

Title: Highway Use Tax Evasion Discretionary Grant Program.

Background: The Highway Use Tax Evasion Projects (HUTE) program provides funding to the Internal Revenue Service (IRS) and the States to carry out intergovernmental enforcement efforts, along with training and research, to reduce evasion of payment of motor fuel and other highway use taxes, which are the principal sources for Federal and State highway funding. Under the current Surface Transportation Authorization, the Infrastructure Investment and Jobs Act (IIJA), \$2 million is available to make grants for intergovernmental enforcement efforts, including research and training. The intergovernmental enforcement efforts grants are awarded to State agencies through a competitive application process from which FHWA and the IRS make selections based on the most innovative, intergovernmental proposals. The States then perform various tasks, including increased enforcement, enhancement of data systems, and coordination with other State agencies.

The remaining funding may, at the discretion of the Secretary of

Transportation, either be awarded for intergovernmental enforcement efforts grants, or allocated to the IRS for their enforcement efforts.

While the statute allows for the IRS to determine the use of their allocations, they must be used in some fashion related to the identification and elimination of highway use tax evasion. For both the States and the IRS, the initiatives may include, but are not limited to, office examinations, refinery and terminal examinations, and on-road enforcement in areas such as the illegal use of dyed diesel fuel by motor vehicles.

Respondents: There are 51 respondents, including 50 State Transportation Departments, and the District of Columbia. While the applications are open to all those organizations, on average, about 16 applications are received each year for grant requests, some of which include multiple States, which brings the total individual projects to around 30.

Frequency: On an on-going basis as grant opportunities are announced.

Estimated Average Burden per Response: There are an average of 16 applications filed each cycle. It takes approximately 40 hours to gather the information and upload it through the grants.gov system.

Estimated Total Annual Burden Hours: Total estimated average annual burden is 800 hours.

Public Comments Invited: You are asked to comment on any aspect of this information collection, including: (1) Whether the proposed collection is necessary for the FHWA's performance; (2) the accuracy of the estimated burdens; (3) ways for the FHWA to enhance the quality, usefulness, and clarity of the collected information; and (4) ways that the burden could be minimized, including the use of electronic technology, without reducing the quality of the collected information. The agency will summarize and/or include your comments in the request for OMB's clearance of this information collection.

Authority: The Paperwork Reduction Act of 1995; 44 U.S.C. chapter 35, as amended; and 49 CFR 1.48.

Issued on: September 13, 2024.

Jazmyne Lewis,

Information Collection Officer.

[FR Doc. 2024-21253 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-22-P

DEPARTMENT OF TRANSPORTATION

Federal Highway Administration

[Docket No. FHWA-2024-0063]

Agency Information Collection Activities: Notice of Request for Renewal of Currently Approved Information Collection

AGENCY: Federal Highway Administration (FHWA), DOT.

ACTION: Notice of request for extension of currently approved information collection.

SUMMARY: The FHWA has forwarded the information collection request described in this notice to the Office of Management and Budget (OMB) for a renewal an information collection. We are required to publish this notice in the **Federal Register** by the Paperwork Reduction Act of 1995.

DATES: Please submit comments by October 18, 2024.

ADDRESSES: You may submit comments identified by DOT Docket ID Number 0063 by any of the following methods:

Website: For access to the docket to read background documents or comments received go to the Federal eRulemaking Portal: Go to <http://www.regulations.gov>.

Follow the online instructions for submitting comments.

Fax: 1-202-493-2251.

Mail: Docket Management Facility, U.S. Department of Transportation, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590-0001.

Hand Delivery or Courier: U.S. Department of Transportation, West Building Ground Floor, Room W12-140, 1200 New Jersey Avenue SE, Washington, DC 20590, between 9 a.m. and 5 p.m. ET, Monday through Friday, except Federal holidays.

FOR FURTHER INFORMATION CONTACT: Mr. Michael Dougherty, (667) 668-1781, Office of Policy & Governmental Affairs, Office of Highway Policy Information, 1200 New Jersey Avenue SE, Washington, DC 20590. Office hours are from 8 a.m. to 4:30 p.m., Monday through Friday, except Federal holidays.

SUPPLEMENTARY INFORMATION: We published a **Federal Register** Notice with a 60-day public comment period on this information collection on June 21, 2024, at 89 FR 52203. There were no comments received.

Title: Certification of Enforcement of the Heavy Vehicle Use Tax.

OMB Control: 2125-0541.

Background: Title 23 United States Code, section 141(c), provides that a

State's apportionment of funds under 23 U.S.C. 104(b)(1) shall be reduced in an amount up to 8 percent of the amount to be apportioned during any fiscal year beginning after September 30, 1984, if vehicles subject to the Federal heavy vehicle use tax are lawfully registered in the State without having presented proof of payment of the tax. The annual certification by the State Governor or designated official regarding the collection of the heavy vehicle use tax serves as the FHWA's primary means of determining State compliance. The FHWA has determined that an annual certification of compliance by each State is the least obtrusive means of administering the provisions of the legislative mandate. In addition, States are required to retain for 1 year a Schedule 1, IRS Form 2290, Heavy Vehicle Use Tax Return (or other suitable alternative provided by regulation). The FHWA conducts compliance reviews at least once every 3 years to determine if the annual certification is adequate to ensure effective administration of 23 U.S.C. 141(c).

Respondents: 50 State Transportation Departments, and the District of Columbia for a total of 51 respondents.

Frequency: Annually.

Estimated Average Burden per Response: The average burden to submit the certification and to retain required records is 12 hours per respondent.

Estimated Total Annual Burden Hours: Total estimated average annual burden is 918 hours.

Public Comments Invited: You are asked to comment on any aspect of this information collection, including: (1) Whether the proposed collection is necessary for the FHWA's performance; (2) the accuracy of the estimated burdens; (3) ways for the FHWA to enhance the quality, usefulness, and clarity of the collected information; and (4) ways that the burden could be minimized, including the use of electronic technology, without reducing the quality of the collected information. The agency will summarize and/or include your comments in the request for OMB's clearance of this information collection.

Authority: The Paperwork Reduction Act of 1995; 44 U.S.C. chapter 35, as amended; and 49 CFR 1.48.

Issued on: September 13, 2024.

Jazmyne Lewis,

Information Collection Officer.

[FR Doc. 2024-21249 Filed 9-17-24; 8:45 am]

BILLING CODE 4910-22-P

DEPARTMENT OF VETERANS AFFAIRS

[OMB Control No. 2900-0798]

Agency Information Collection Activity Under OMB Review: Veteran/Beneficiary Claim for Reimbursement of Travel Expenses

AGENCY: Veterans Health Administration, Department of Veterans Affairs.

ACTION: Notice.

SUMMARY: In compliance with the Paperwork Reduction Act (PRA) of 1995, this notice announces that the Veterans Health Administration, Department of Veterans Affairs (VA), will submit the collection of information abstracted below to the Office of Management and Budget (OMB) for review and comment. The PRA submission describes the nature of the information collection and its expected cost and burden, and it includes the actual data collection instrument.

DATES: Comments and recommendations for the proposed information collection should be sent by October 18, 2024.

ADDRESSES: To submit comments and recommendations for the proposed information collection, please type the following link into your browser: www.reginfo.gov/public/do/PRAMain, select "Currently under Review—Open for Public Comments," then search the list for the information collection by Title or "OMB Control No. 2900-0798."

FOR FURTHER INFORMATION CONTACT: VA PRA Information: Maribel Aponte, 202-462-8900, vacopaperworkreduact@va.gov.

SUPPLEMENTARY INFORMATION:

Title: Veteran/Beneficiary Claim for Reimbursement of Travel Expenses (VA Form 10-3542 and BTSSS).

OMB Control Number: 2900-0798.
<https://www.reginfo.gov/public/do/PRAsearch>.

Type of Review: Reinstatement, with change, of a previously approved collection.

Abstract: Pursuant to 38 U.S.C. 111 and 38 CFR part 70, subpart A, the Veterans Health Administration (VHA) Beneficiary Travel (BT) Program provides payments for authorized travel expenses to help Veterans and other beneficiaries obtain care or services from VHA or VA-authorized providers in the community. VHA must administer payments according to statutory mandates, including the Payment Integrity Information Act of

2019 (PIIA) (Pub. L. 116-117). In compliance with the PIIA and other program requirements, VHA must gather certain information to determine whether BT eligibility and other criteria for approval have been met, and the amount of payment or reimbursement that is authorized under the BT program. To improve the claimant experience, VHA made some revisions to the Instructions section of VA Form 10-3542 to clarify required information for claims, such as proof of attendance at appointments when applicable, as well as online submission options.

Claimants may include Veterans and other BT beneficiaries, as well as entities or individuals who provided or paid for travel. Claimants may apply for BT reimbursement orally or in writing through VA Form 10-3542 or the Beneficiary Travel Self-Service System (BTSSS). Based upon program data since the last PRA clearance, VHA has adjusted the estimated annual number of respondents and responses and increased the average time per claim submission. These changes have resulted in an increase in the estimated annual burden hours. This standard collection of information is necessary to enable VHA to provide this benefit and appropriately ensure that funds are being paid to the correct claimant.

An agency may not conduct or sponsor, and a person is not required to respond to a collection of information unless it displays a currently valid OMB control number. The **Federal Register** Notice with a 60-day comment period soliciting comments on this collection of information was published at 89 FR 15928, March 5, 2024.

Total Annual Burden: 1,216,667 hours.

Total Annual Responses: 7,300,000.

Affected Public: Individuals or Households.

Estimated Annual Burden: 1,216,667 hours.

Estimated Average Burden per Response: 10 minutes.

Frequency of Response: Average of 5 times per year.

Estimated Number of Respondents: 1,460,000.

Authority: 44 U.S.C. 3501 *et seq.*

Dorothy Glasgow,

VA PRA Clearance Officer, (Alt.) Office of Enterprise and Integration, Data Governance Analytics, Department of Veterans Affairs.

[FR Doc. 2024-21141 Filed 9-17-24; 8:45 am]

BILLING CODE 8320-01-P



FEDERAL REGISTER

Vol. 89

Wednesday,

No. 181

September 18, 2024

Part II

Securities and Exchange Commission

Self-Regulatory Organizations; Financial Industry Regulatory Authority, Inc.;
Notice of Filing and Immediate Effectiveness of a Proposed Rule Change
To Amend FINRA Rule 6897 To Establish Fees for Industry Members
Related to Certain Historical Costs of the National Market System Plan
Governing the Consolidated Audit Trail; Notice

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34–101012; File No. SR–FINRA–2024–013]

Self-Regulatory Organizations; Financial Industry Regulatory Authority, Inc.; Notice of Filing and Immediate Effectiveness of a Proposed Rule Change To Amend FINRA Rule 6897 To Establish Fees for Industry Members Related to Certain Historical Costs of the National Market System Plan Governing the Consolidated Audit Trail

September 12, 2024.

Pursuant to the provisions of Section 19(b)(1) of the Securities Exchange Act of 1934 (the “Act”) ¹ and Rule 19b–4 thereunder,² notice is hereby given that on September 5, 2024, the Financial Industry Regulatory Authority, Inc. (“FINRA”) filed with the Securities and Exchange Commission (“SEC” or “Commission”) the proposed rule change as described in Items I and II below, which Items have been prepared by FINRA. FINRA has designated the proposed rule change as “establishing or changing a due, fee or other charge” under Section 19(b)(3)(A)(ii) of the Act³ and Rule 19b–4(f)(2) thereunder,⁴ which renders the proposal effective upon receipt of this filing by the Commission. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization’s Statement of the Terms of Substance of the Proposed Rule Change

FINRA is proposing to amend FINRA Rule 6897 (Consolidated Audit Trail Funding Fees) to establish fees for Industry Members⁵ related to certain historical costs of the National Market System Plan Governing the Consolidated Audit Trail (the “CAT NMS Plan” or “Plan”) incurred prior to January 1, 2022. These fees would be payable to Consolidated Audit Trail, LLC (“CAT LLC” or “the Company”)⁶

and referred to as Historical CAT Assessment 1.

The fee rate for Historical CAT Assessment 1 will be \$0.000013 per executed equivalent share. CAT Executing Brokers will receive their first monthly invoice for Historical CAT Assessment 1 in November 2024 calculated based on their transactions as CAT Executing Brokers for the Buyer (“CEBB”) and/or CAT Executing Brokers for the Seller (“CEBS”) in October 2024.

The text of the proposed rule change is available on FINRA’s website at <http://www.finra.org>, at the principal office of FINRA and at the Commission’s Public Reference Room.

II. Self-Regulatory Organization’s Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, FINRA included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. FINRA has prepared summaries, set forth in sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization’s Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

On July 11, 2012, the Commission adopted Rule 613 of Regulation NMS, which required the self-regulatory organizations (“SROs”) to submit a national market system (“NMS”) plan to create, implement and maintain a consolidated audit trail that would capture customer and order event information for orders in NMS securities across all markets, from the time of order inception through routing, cancellation, modification or execution.⁷ On November 15, 2016, the Commission approved the CAT NMS Plan.⁸ Under the CAT NMS Plan, the Operating Committee has the discretion to establish funding for CAT LLC to operate the CAT, including establishing fees for Industry Members to be assessed by CAT LLC that would be implemented on behalf of CAT LLC by the Participants.⁹ The Operating Committee

adopted a revised funding model to fund the CAT (“CAT Funding Model”). On September 6, 2023, the Commission approved the CAT Funding Model, after concluding that the model was reasonable and that it satisfied the requirements of Section 11A of the Exchange Act and Rule 608 thereunder.¹⁰

The CAT Funding Model provides a framework for the recovery of the costs to create, develop and maintain the CAT, including providing a method for allocating costs to fund the CAT among Participants and Industry Members. The CAT Funding Model establishes two categories of fees: (1) CAT fees assessed by CAT LLC and payable by certain Industry Members to recover a portion of historical CAT costs previously paid by the Participants (“Historical CAT Assessment” fees); and (2) CAT fees assessed by CAT LLC and payable by Participants and Industry Members to fund prospective CAT costs (“Prospective CAT Costs” fees).¹¹

Under the CAT Funding Model, “[t]he Operating Committee will establish one or more fees (each a ‘Historical CAT Assessment’) to be payable by Industry Members with regard to CAT costs previously paid by the Participants (‘Past CAT Costs’).”¹² In establishing a Historical CAT Assessment, the Operating Committee will determine a “Historical Recovery Period” and calculate a “Historical Fee Rate” for that Historical Recovery Period. Then, for each month in which a Historical CAT Assessment is in effect, each CEBB and CEBS would be required to pay the fee—the Historical CAT Assessment—for each transaction in Eligible Securities executed by the CEBB or CEBS from the prior month as set forth in CAT Data, where the Historical CAT Assessment for each transaction will be calculated by multiplying the number of executed equivalent shares in the

¹⁰ See Securities Exchange Act Release No. 98290 (September 6, 2023), 88 FR 62628 (September 12, 2023) (“CAT Funding Model Approval Order”).

¹¹ Under the CAT Funding Model, the Operating Committee may establish one or more Historical CAT Assessments. See Section 11.3(b) of the CAT NMS Plan. This filing only establishes Historical CAT Assessment 1 related to certain Historical CAT Costs as described herein; it does not address any other potential Historical CAT Assessment related to other Historical CAT Costs. In addition, under the CAT Funding Model, the Operating Committee also may establish CAT Fees related to CAT costs going forward. See Section 11.3(a) of the CAT NMS Plan. This filing does not address any potential CAT Fees related to CAT costs going forward. Any such other fee for any other Historical CAT Assessment or CAT Fee for Prospective CAT Costs will be subject to a separate fee filing.

¹² Section 11.3(b) of the CAT NMS Plan.

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b–4.

³ 15 U.S.C. 78s(b)(3)(A)(ii).

⁴ 17 CFR 240.19b–4(f)(2).

⁵ An “Industry Member” is defined as “a member of a national securities exchange or a member of a national securities association.” See FINRA Rule 6810(u). See also Section 1.1 of the CAT NMS Plan. Unless otherwise specified, capitalized terms used in this rule filing are defined as set forth in the CAT NMS Plan and/or the CAT Compliance Rule. See FINRA Rule 6800 Series (Consolidated Audit Trail Compliance Rule).

⁶ The term “CAT LLC” may be used to refer to Consolidated Audit Trail, LLC or CAT NMS, LLC, depending on the context.

⁷ See Securities Exchange Act Release. No. 67457 (July 18, 2012), 77 FR 45721 (August 1, 2012) (“Rule 613 Adopting Release”).

⁸ See Securities Exchange Act Release. No. 79318 (November 15, 2016), 81 FR 84696 (November 23, 2016) (“CAT NMS Plan Approval Order”).

⁹ Section 11.1(b) of the CAT NMS Plan.

transaction by one-third and by the Historical Fee Rate.¹³

Each Historical CAT Assessment to be paid by CEBBs and CEBSSs is designed to contribute toward the recovery of two-thirds of the Historical CAT Costs. Because the Participants previously have paid Past CAT Costs via loans to the Company, the Participants would not be required to pay any Historical CAT Assessment. In lieu of a Historical CAT Assessment, the Participants' one-third share of Historical CAT Costs will be paid by the cancellation of loans made by the Participants to the Company on a pro rata basis based on the outstanding loan amounts due under the loans, instead of through the payment of a CAT fee.¹⁴ In addition, the Participants also will be 100% responsible for certain Excluded Costs (as discussed below).

CAT LLC proposes to charge CEBBs and CEBSSs (as described in more detail below) Historical CAT Assessment 1 to recover certain historical CAT costs incurred prior to January 1, 2022, in accordance with the CAT Funding Model.¹⁵ To implement this fee on behalf of CAT LLC, the CAT NMS Plan requires the Participants to "file with the SEC under Section 19(b) of the Exchange Act any such fees on Industry Members that the Operating Committee approves, and such fees shall be labeled

as 'Consolidated Audit Trail Funding Fees.'" ¹⁶ The Plan further states that "Participants will be required to file with the SEC pursuant to Section 19(b) of the Exchange Act a filing for each Historical CAT Assessment." ¹⁷ Accordingly, the purpose of this filing is to implement a Historical CAT Assessment on behalf of CAT LLC for Industry Members, referred to as Historical CAT Assessment 1, in accordance with the CAT NMS Plan.¹⁸ FINRA previously filed a fee filing to implement Historical CAT Assessment 1. On January 17, 2024, the SEC published this prior filing for Historical CAT Assessment 1, temporarily suspended the fee filing, and instituted proceedings to determine whether to approve or disapprove the fee filing.¹⁹ FINRA has withdrawn its previous fee filing for Historical CAT Assessment 1.²⁰ This Historical CAT Assessment 1 replaces the previous Historical CAT Assessment 1 that was previously filed with the Commission.

1. CAT Executing Brokers

Historical CAT Assessment 1 will be charged to each CEBB and CEBSS for each applicable transaction in Eligible Securities.²¹ The CAT NMS Plan defines a "CAT Executing Broker" to mean:

(a) with respect to a transaction in an Eligible Security that is executed on an exchange, the Industry Member identified as

the Industry Member responsible for the order on the buy-side of the transaction and the Industry Member responsible for the sell-side of the transaction in the equity order trade event and option trade event in the CAT Data submitted to the CAT by the relevant exchange pursuant to the Participant Technical Specifications; and

(b) with respect to a transaction in an Eligible Security that is executed otherwise than on an exchange and required to be reported to an equity trade reporting facility of a registered national securities association, the Industry Member identified as the executing broker and the Industry Member identified as the contra-side executing broker in the TRF/ORF/ADF transaction data event in the CAT Data submitted to the CAT by FINRA pursuant to the Participant Technical Specifications; provided, however, in those circumstances where there is a non-Industry Member identified as the contra-side executing broker in the TRF/ORF/ADF transaction data event or no contra-side executing broker is identified in the TRF/ORF/ADF transaction data event, then the Industry Member identified as the executing broker in the TRF/ORF/ADF transaction data event would be treated as CAT Executing Broker for the Buyer and for the Seller.²²

Fields Nos. 26 and 28 of the Participant Technical Specifications, listed below, indicate the CAT Executing Brokers for transactions executed otherwise than on an exchange.

TRF/ORF/ADF Transaction Data Event.²³

No.	Field name	Data type	Description	Include key
26	reportingExecutingMpid	Member Alias	MPID of the executing party	R
28	contraExecutingMpid	Member Alias	MPID of the contra-side executing party	C

(2) Calculation of Historical Fee Rate 1

The Operating Committee determined the Historical Fee Rate to be used in calculating Historical CAT Assessment 1 ("Historical Fee Rate 1") by dividing the Historical CAT Costs for Historical CAT Assessment 1 ("Historical CAT Costs 1") by the projected total executed share volume of all transactions in Eligible Securities for the Historical Recovery Period for Historical CAT

Assessment 1 ("Historical Recovery Period 1"), as discussed in detail below. Based on this calculation, the Operating Committee has determined that Historical Fee Rate 1 would be \$0.00003994969693072937 per executed equivalent share. This rate is then divided by three and rounded to determine the fee rate of \$0.000013 per executed equivalent share that will be

assessed to CEBBs and CEBSSs, as also discussed in detail below.

(A) Executed Equivalent Shares for Transactions in Eligible Securities

Under the CAT NMS Plan, for purposes of calculating each Historical CAT Assessment, executed equivalent shares in a transaction in Eligible Securities will be reasonably counted as follows: (1) each executed share for a transaction in NMS Stocks will be

¹³ In approving the CAT Funding Model, the Commission stated that, "[i]n the Commission's view, the proposed recovery of the Past CAT Costs via the Historical CAT Assessment is reasonable." See CAT Funding Model Approval Order, 88 FR 62628, 62662.

¹⁴ Section 11.3(b)(ii) of the CAT NMS Plan.

¹⁵ See CAT Funding Model Approval Order.

¹⁶ Section 11.1(b) of the CAT NMS Plan.

¹⁷ Section 11.3(b)(iii)(B)(I) of the CAT NMS Plan.

¹⁸ Note that there may be one or more Historical CAT Assessments. Section 11.3(b) of the CAT NMS Plan.

¹⁹ See Securities Exchange Act Release No. 99372 (January 17, 2024), 89 FR 11153 (February 13, 2024) (Notice of Filing of File No. SR-FINRA-2024-003).

²⁰ See *supra* note 19.

²¹ In its approval of the CAT Funding Model, the Commission determined that charging CAT fees to CAT Executing Brokers was reasonable. In reaching this conclusion the Commission noted that the use of CAT Executing Brokers is appropriate because the CAT Funding Model is based upon the calculation of executed equivalent shares, and, therefore, charging CAT Executing Brokers would reflect their executing role in each transaction. Furthermore, the Commission noted that, because CAT Executing Brokers are already identified in

transaction reports from the exchanges and FINRA's equity trade reporting facilities recorded in CAT Data, charging CAT Executing Brokers could streamline the billing process. See CAT Funding Model Approval Order, 88 FR 62628, 62629.

²² Section 1.1 of the CAT NMS Plan. Note that CEBBs and CEBSSs may, but are not required to, pass-through their CAT fees to their clients, who may, in turn, pass their fees to their clients until they are imposed ultimately on the account that executed the transaction. See CAT Funding Model Approval Order, 88 FR 62628, 62649.

²³ See Table 61, Section 6.1 (TRF/ORF/ADF Transaction Data Event) of the CAT Reporting Technical Specifications for Plan Participants.

counted as one executed equivalent share; (2) each executed contract for a transaction in Listed Options will be counted based on the multiplier applicable to the specific Listed Options (*i.e.*, 100 executed equivalent shares or such other applicable multiplier); and (3) each executed share for a transaction in OTC Equity Securities shall be counted as 0.01 executed equivalent share.²⁴

(B) Historical CAT Costs 1

The CAT NMS Plan states that “[t]he Operating Committee will reasonably determine the Historical CAT Costs sought to be recovered by each Historical CAT Assessment, where the Historical CAT Costs will be Past CAT Costs minus Past CAT Costs reasonably excluded from Historical CAT Costs by the Operating Committee. Each Historical CAT Assessment will seek to recover from CAT Executing Brokers two-thirds of Historical CAT Costs incurred during the period covered by the Historical CAT Assessment.”²⁵ As described in detail below, Historical CAT Costs 1 would be \$318,059,819. This figure includes Past CAT Costs of

\$401,312,909 minus certain Excluded Costs of \$83,253,090. Participants collectively will remain responsible for one-third of Historical CAT Costs 1 (which is \$106,019,939.67), plus the Excluded Costs of \$83,253,090. CEBBs collectively will be responsible for one-third of Historical CAT Costs 1 (which is \$106,019,939.67), and CEBBs collectively will be responsible for one-third of Historical CAT Costs 1 (which is \$106,019,939.67).

The following describes in detail Historical CAT Costs 1 with regard to four separate historical time periods as well as Past CAT Costs excluded from Historical CAT Costs 1 (“Excluded Costs”). The following cost details are provided in accordance with the requirement in the CAT NMS Plan to provide in the fee filing “a brief description of the amount and type of Historical CAT Costs, including (1) the technology line items of cloud hosting services, operating fees, CAIS operating fees, change request fees, and capitalized developed technology costs, (2) legal, (3) consulting, (4) insurance, (5) professional and administration and (6) public relations costs.”²⁶ Each of the

costs described below are reasonable, appropriate and necessary for the creation, implementation and maintenance of CAT.

(i) Historical CAT Costs Incurred Prior to June 22, 2020 (Pre-FAM Costs)

Historical CAT Costs 1 would include costs incurred by CAT prior to June 22, 2020 (“Pre-FAM Period”) and already funded by the Participants, excluding Excluded Costs (described further below). Historical CAT Costs 1 would include costs for the Pre-FAM Period of \$124,290,730. The Participants would remain responsible for one-third of this cost (which they have previously paid) (\$41,430,243.33), and Industry Members would be responsible for the remaining two-thirds, with CEBBs paying one-third (\$41,430,243.33) and CEBBs paying one-third (\$41,430,243.33). These costs do not include Excluded Costs, as discussed further below. The following table²⁷ breaks down Historical CAT Costs 1 for the Pre-FAM Period into the categories set forth in Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

Operating expense	Historical CAT costs 1 for Pre-FAM Period (prior to June 22, 2020)
Capitalized Developed Technology Costs *	\$51,847,150
Technology Costs	33,568,579
Cloud Hosting Services	10,268,840
Operating Fees	21,085,485
CAIS Operating Fees	2,072,908
Change Request Fees	141,346
Legal	19,674,463
Consulting	17,013,414
Insurance	880,419
Professional and administration	1,082,036
Public relations	224,669
Total Operating Expenses	124,290,730

* The non-cash amortization of these capitalized developed technology costs of \$2,115,545 incurred during the period prior to June 22, 2020 have been appropriately excluded from the above table.²⁸

The Pre-FAM Period includes a broad range of CAT-related activity from 2012 through June 22, 2020, including the evaluation of the requirements of SEC Rule 613, the development of the CAT NMS Plan, the evaluation and selection of the initial and successor Plan

Processors, the commencement of the creation and implementation of the CAT to comply with Rule 613 and the CAT NMS Plan, including technical specifications for transaction reporting and regulatory access, and related technology and the commencement of

reporting to the CAT. The following describes the costs for each of the categories for the Pre-FAM Period.

(a) Technology Costs—Cloud Hosting Services

The \$10,268,840 in technology costs for cloud hosting services represent

²⁴ Section 11.3(a)(i)(B) and 11.3(b)(i)(B) of the CAT NMS Plan. In approving the CAT Funding Model, the Commission concluded that “the use of executed equivalent share volume as the basis of the proposed cost allocation methodology is reasonable and consistent with the approach taken by the funding principles of the CAT NMS Plan.” See CAT Funding Model Approval Order, 88 FR 62628, 62640.

²⁵ Section 11.3(b)(i)(C) of the CAT NMS Plan.

²⁶ Section 11.3(b)(iii)(B)(II)(B) of the CAT NMS Plan.

²⁷ The costs described in this table of costs for the Pre-FAM Period were calculated based upon CAT LLC’s review of applicable bills and invoices and related financial statements. CAT LLC financial statements are available on the CAT website. In addition, in accordance with Section 6.6(a)(i) of the CAT NMS Plan, in 2018 CAT LLC provided the SEC with “an independent audit of fees, costs, and expenses incurred by the Participants on behalf of the Company prior to the Effective Date of the Plan

that will be publicly available.” The audit is available on the CAT website.

²⁸ With respect to certain costs that were “appropriately excluded,” such excluded costs relate to the amortization of capitalized technology costs, which are amortized over the life of the Plan Processor Agreement. As such costs have already been otherwise reflected in the filing, their inclusion would double count the capitalized technology costs. In addition, amortization is a non-cash expense.

costs incurred for services provided by the cloud services provider for the CAT, Amazon Web Services, Inc. (“AWS”), during the Pre-FAM Period.

As part of its proposal for acting as the successor Plan Processor for the CAT, FINRA CAT, LLC (“FCAT”) selected AWS as a subcontractor to provide cloud hosting services. In 2019, after reviewing the capabilities of other cloud services providers, FCAT determined that AWS was the only cloud services provider at that time sufficiently mature and capable of providing the full suite of necessary cloud services for the CAT, including, for example, the security, resiliency and complexity necessary for the CAT computing requirements. The use of cloud hosting services is standard for this type of high-volume data activity and reasonable and necessary for implementation of the CAT, particularly given the substantial data volumes associated with the CAT.

Under the Plan Processor Agreement with FCAT, CAT LLC is required to pay FCAT the fees incurred by the Plan Processor for cloud hosting services provided by AWS as FCAT’s subcontractor [sic] on a monthly basis for the cloud hosting services, and FCAT, in turn, pays such fees to AWS. The fees

for cloud hosting services were negotiated by FCAT on an arm’s length basis with the goals of managing cost and receiving services required to comply with the CAT NMS Plan and Rule 613, taking into consideration a variety of factors, including the expected volume of data, the breadth of services provided and market rates for similar services. The fees for cloud hosting services during the Pre-FAM Period were paid to FCAT by CAT NMS LLC²⁹ and subsequently Consolidated Audit Trail, LLC (as previously noted, both entities are referred to generally as “CAT LLC”),³⁰ and FCAT, in turn, paid AWS. CAT LLC was funded via loan contributions by the Participants.³¹

AWS was engaged by FCAT to provide a broad array of cloud hosting services for the CAT, including data ingestion, data management, and analytic tools. Services provided by AWS include storage services, databases, compute services and other services (such as networking, management tools and DevOps tools). AWS also was engaged to provide various environments for CAT, such as development, performance testing, test and production environments.

The cost for AWS services for the CAT is a function of the volume of CAT

Data. The greater the amount of CAT Data, the greater the cost of AWS services to the CAT. During the Pre-FAM Period from the engagement of AWS in February 2019 through June 2020, AWS provided cloud hosting services for volumes of CAT Data far in excess of the volume predictions set forth in the CAT NMS Plan. The CAT NMS Plan states, when all CAT Reporters are submitting their data to the CAT, it “must be sized to receive[,] process and load more than 58 billion records per day,”³² and that “[i]t is expected that the Central Repository will grow to more than 29 petabytes of raw, uncompressed data.”³³ However, the volume of CAT Data for the Pre-FAM Period was far in excess of these predicted levels. By the end of this period, data submitted to the CAT included options and equities Participant Data,³⁴ Phase 2a and Phase 2b Industry Member Data³⁵ (including certain linkages), as well as SIP Data,³⁶ reference data and other types of Other Data.³⁷ The following chart provides data regarding the average daily volume, cumulative total events, total compute hours and storage footprint of the CAT during the Pre-FAM Period.³⁸

	Date Range: 3/29/19 to 4/12/20 *	Date Range: 4/13/20 to 6/21/20 **
Average Daily Volume in Billions		
Participant—Equities	5	5
Participant—Options	80	981
Industry Member—Equities		3
Industry Member—Options		0.04
SIP—Options & Equities	64	70
Average Total Daily Volume	149	166
Cumulative Total Events for the Period	3,890	4,990
Total Compute Hours for the Period	*** N/A	5,663,247
Storage Footprint at End of Period (Petabytes)	30.57	47.96

* The Participant Equities in RSA format.

** Start of Industry Member reporting on 4/13/2020

*** Although there were compute hours during this period, data related to such compute hours are no longer available in current data.

(b) Technology Costs—Operating Fees

The \$21,085,485 in technology costs related to operating fees represent costs incurred with regard to activities of FCAT as the Plan Processor. Operating fees are those fees paid by CAT LLC to

FCAT as the Plan Processor to operate and maintain the CAT and to perform business operations related to the system, including compliance, security, testing, training, communications with the industry (e.g., management of the

FINRA CAT Helpdesk, FAQs, website and webinars) and program management as required by the CAT NMS Plan.

FCAT was selected to assume the role of the successor Plan Processor. Prior to this selection, the Participants engaged

²⁹ CAT NMS, LLC was formed by FINRA and the U.S. national securities exchanges to implement the requirements of SEC Rule 613 under the Exchange Act. SEC Rule 613 required the SROs to jointly submit to the SEC the CAT NMS Plan to create, implement and maintain the CAT. The SEC approved the CAT NMS Plan on November 15, 2016. See CAT NMS Plan Approval Order, *supra* note 8.

³⁰ On August 29, 2019, the Participants formed a new Delaware limited liability company named Consolidated Audit Trail, LLC for the purpose of conducting activities related to the CAT from and

after the effectiveness of the proposed amendment of the CAT NMS Plan to replace CAT NMS, LLC. See Securities Exchange Act Release No. 87149 (September 27, 2019), 84 FR 52905 (October 3, 2019).

³¹ For each of the costs paid by CAT NMS, LLC and Consolidated Audit Trail, LLC as discussed throughout this filing, CAT NMS, LLC and Consolidated Audit Trail, LLC paid these costs via loan contributions by the Participants to CAT NMS, LLC and Consolidated Audit Trail, LLC, respectively.

³² CAT NMS Plan, Appendix D–4 n.262.

³³ CAT NMS Plan, Appendix D–5.

³⁴ See Section 6.3(d) of the CAT NMS Plan.

³⁵ See Securities Exchange Release No. 88702 (April 20, 2020), 85 FR 23075 (April 24, 2020) (“Phased Reporting Exemptive Relief Order”) for a description of Phase 2a and Phase 2b Industry Member Data.

³⁶ See Section 6.5(a)(ii) of the CAT NMS Plan.

³⁷ See CAT NMS Plan, Appendix C–108.

³⁸ Note that the volume data described in this table does not include CAIS data.

in discussions with two prior Bidders³⁹ for the successor Plan Processor role. The Operating Committee formed a Selection Subcommittee in accordance with Section 4.12 of the CAT NMS Plan to evaluate and review Bids and to make a recommendation to the Operating Committee with respect to the selection of the successor Plan Processor. In an April 9, 2019 letter to the Commission, the Participants described the reasons for its selection of the successor Plan Processor:

The Selection Subcommittee considered factors including, but not limited to, the following, in recommending FINRA to the Operating Committee as the successor Plan Processor:

a. FINRA's specialized technical expertise and capabilities in the area of broker-dealer technology;

b. The need to appoint a successor Plan Processor with specialized expertise to develop, implement, and maintain the CAT System in accordance with the CAT NMS Plan and SEC Rule 613;

c. FINRA's detailed proposal in response to CAT LLC's recent inquiries; and

d. FINRA's data query and analytics systems demonstration to the Participants.

Based on these and other factors, the Selection Subcommittee determined that FINRA was the most appropriate Bidder to become the successor Plan Processor.⁴⁰

On February 26, 2019, the Operating Committee (with FINRA recusing itself) voted to select FINRA as the successor Plan Processor pursuant to Section 6.1(t) of the CAT NMS Plan.⁴¹ On March 29, 2019, CAT LLC and FCAT (a wholly owned subsidiary of FINRA) entered into a Plan Processor Agreement pursuant to which FCAT would perform the functions and duties of the Plan Processor contemplated by the CAT NMS Plan, including the management and operation of the CAT.

Under the Plan Processor Agreement with FCAT, CAT LLC is required to pay FCAT a negotiated monthly fixed price for the operation of the CAT. This fixed price contract was negotiated on an arm's length basis with the goals of managing costs and receiving services required to comply with the CAT NMS Plan and Rule 613, taking into consideration a variety of factors, including the breadth of services provided and market rates for similar types of activity. The operating fees during the Pre-FAM Period were paid to FCAT by CAT LLC.

From March 29, 2019 (the commencement of the Plan Processor Agreement with FCAT) through June 22, 2020 (the end of the Pre-FAM Period), the Plan Processor's activities with respect to the CAT included the following:

- Commenced user acceptance testing with market data provided by Exegy Incorporated ("Exegy"), a market data provider;⁴²

- Published Technical Specifications and related reporting scenarios documents for Phase 2a, 2b, and 2c reporting for Industry Members, after substantial engagement with SEC staff, Industry Members and Participants on the Technical Specifications;

- Facilitated testing for Phase 2a and 2b reporting for Industry Members;

- Began developing Technical Specifications and related reporting scenarios documents for Phase 2d reporting for Industry Members, after substantial engagement with SEC staff, Industry Members and Participants on the Technical Specifications;

- Published Central Repository Access Technical Specifications, and provided regulator access to test data from Industry Members;

- Facilitated Participant exchanges that support options market makers sending Quote Sent Time to the CAT;

- Facilitated the introduction of OPRA and Options NBBO Other Data to CAT;

- Addressed compliance items, including drafting CAT policies and procedures, and addressing requirements under Regulation SCI;

- Provided support to the Operating Committee, the Compliance Subcommittee and CAT working groups;

- Assisted with interpretive efforts and exemptive requests regarding the CAT NMS Plan;

- Oversaw the security of the CAT;

- Monitored the operation of the CAT, including with regard to Participant and Industry Member reporting;

- Provided support to subcontractors under the Plan Processor Agreement;

- Provided support in discussions with, Participants, SEC and its staff;

- Operated the FINRA CAT Helpdesk, which is the primary source for answers to questions about CAT, including questions regarding: clock synchronization, firm reporting responsibilities, interpretive questions, technical specifications for reporting to CAT and more;

- Facilitated communications with the industry, including via FAQs, CAT Alerts, meetings, presentations and webinars;

- Administered the CAT website and all of its content;⁴³ and

- Provided technical support and assistance with connectivity, data access, and user support, including the use of CAT Data and query tools, for Participants and the SEC staff.

(c) Technology Costs—CAIS Operating Fees

The \$2,072,908 in technology costs related to CAIS operating fees represent the fees paid for FCAT's subcontractor charged with the development and operation of CAT's Customer and Account Information System ("CAIS"). The CAT is required under the CAT NMS Plan to capture and store Customer Identifying Information and Customer Account Information in a database separate from the transactional database and to create a CAT-Customer-ID for each Customer.

During the Pre-FAM Period, the CAIS-related services were provided by the Plan Processor through the Plan Processor's subcontractor, Kingland Systems Incorporation ("Kingland"). Kingland had experience operating in the securities regulatory technology space, and as a part of its proposal for acting as the Plan Processor for the CAT, FCAT selected Kingland as a subcontractor to provide certain CAIS-related services.

Under the Plan Processor Agreement with FCAT, CAT LLC is required to pay to the Plan Processor the fees incurred by FCAT for CAIS-related services provided by FCAT through Kingland on a monthly basis. FCAT negotiated the fees for Kingland's CAIS-related services on an arm's length basis with the goals of managing costs and receiving services required to comply with the CAT NMS Plan, taking into consideration a variety of factors, including the services to be provided and market rates for similar types of activity. The fees for CAIS-related services during the Pre-FAM Period were paid by CAT LLC to FCAT. FCAT, in turn, paid Kingland.

During the Pre-FAM Period, Kingland began development of the CAIS Technical Specifications and the building of CAIS. In addition, Kingland also worked on the build related to the CCID Alternative, an alternative approach to customer information that was not included in the CAT NMS Plan

³⁹ The term "Bidder" is defined in Section 1.1 of the CAT NMS Plan.

⁴⁰ See Letter from Michael J. Simon, Chair, CAT NMS, LLC Operating Committee, to Brent J. Fields, Secretary, SEC, dated April 9, 2019, <https://www.sec.gov/divisions/marketreg/rule613-info-notice-of-plan-processor-selection-040919.pdf>.

⁴¹ See *supra* note 40.

⁴² The use of Exegy to provide market data, including the costs and market data provided, is discussed below in Item II.A.1.(2)(B)(i)(i).

⁴³ The CAT website is <https://www.catnmsplan.com>.

as originally adopted.⁴⁴ Furthermore, Kingland also worked on the acceleration of the reporting of large trader identifiers (“LTID”) earlier than originally contemplated during this period, in accordance with exemptive relief granted by the SEC.⁴⁵

(d) Technology Costs—Change Request Fees

The technology costs related to change request fees include costs related to certain modifications, upgrades or other changes to the CAT. Change requests are standard practice and necessary to reflect operational changes, including changes related to new market developments, such as new market participants. In general, if CAT LLC determines that a modification, upgrade or other change to the functionality or service is necessary and appropriate, CAT LLC will submit a request for such a change to the Plan Processor. The Plan Processor will then respond to the request with a proposal for implementing the change, including the cost (if any) of such a change. CAT LLC then determines whether to approve the proposed change. The change request costs were paid by CAT LLC to FCAT. During the Pre-FAM Period, CAT LLC incurred costs of \$141,346 related to change requests implemented by FCAT. Such change requests related to a development fee regarding the OPRA and SIP data feeds, and the reprocessing of certain exchange data.⁴⁶

(e) Technology Costs—Capitalized Developed Technology Costs

This category of costs includes capitalizable application development costs incurred in the development of the CAT. The capitalized developed technology costs for the Pre-FAM Period of \$51,847,150 relate to technology provided by the Initial Plan Processor and the successor Plan Processor.

Initial Plan Processor: Thesys CAT, LLC. The capitalized developed technology costs related to the Initial Plan Processor include costs incurred with regard to testing for Participant reporting, Participant reporting to the CAT, a security assessment of the CAT, and the development of the billing function for the CAT.

On, January 17, 2017, the Selection Committee of the CAT NMS Plan

selected the Initial Plan Processor, Thesys Technologies, LLC, for the CAT NMS Plan pursuant to Article V of the CAT NMS Plan.⁴⁷ The Participants utilized a request for proposal (“RFP”) to seek proposals to build and operate the CAT, receiving a number of proposals in response to the RFP. The Participants carefully reviewed and considered each of the proposals, including holding in-person meetings with each of the Bidders. After several rounds of review, the Participants selected the Initial Plan Processor in accordance with the CAT NMS Plan, taking into consideration that the Initial Plan Processor had experience operating in the securities regulatory technology space, among other considerations. On April 6, 2017, CAT LLC entered into an agreement with Thesys CAT LLC (“Thesys CAT”), a Thesys affiliate, to perform the functions and duties of the Plan Processor contemplated by the CAT NMS Plan, including the management and operation of the CAT. Under the agreement, CAT LLC would pay Thesys CAT a negotiated, fixed price fee for its role as the Initial Plan Processor. Effective January 30, 2019, the Plan Processor Agreement with Thesys CAT was terminated, and FCAT was subsequently selected as the successor Plan Processor.

From January 17, 2017 through January 30, 2019, the time in which the Thesys CAT was engaged for the CAT, but excluding the period from November 15, 2017 through January 30, 2019, the Initial Plan Processor engaged in various activities with respect to the CAT, including preparing iterative drafts of Participant Technical Specifications, Industry Member Technical Specifications and the Central Repository Access Technical Specifications. In addition, Thesys CAT also developed CAT technology, addressed compliance items, including drafting CAT policies and procedures, addressing Regulation SCI requirements, establishing a CAT Compliance Officer and a Chief Information Security Officer, addressed security-related matters for the CAT, and worked towards the initiation of Participant reporting per the Participant Technical Specifications.

Successor Plan Processor: FCAT. The capitalized developed technology costs related to FCAT include: (1) development costs incurred during the application development stage to meet various agreed-upon milestones

regarding the CAT, including the completion of go-live functionality related to options ingestion and validation, equities regulatory services agreement query tool updates and unlinked options data query, options linkages release, Industry Member Phase 2a file submission and data integrity (including error corrections), and Industry Member testing, including reporting relationships, ATS order type management, basic reporting statistics, SFTP data integrity feedback and error correction; (2) costs related to certain modifications, upgrades, or other changes to the CAT that were not contemplated by the agreement between CAT LLC and the Plan Processor, including a one-time development fee for a secure analytics workspace, a one-time development fee of an Industry Member connectivity solution; and a one-time development fee for the acceleration of multi-factor authentication; (3) CAIS implementation fees; and (4) license fees.

(f) Legal Costs

The legal costs of \$19,674,463 represent the fees paid for legal services provided by two law firms, Wilmer Cutler Pickering Hale and Dorr LLP (“WilmerHale”) and Pillsbury Winthrop Shaw Pittman LLP (“Pillsbury”), during the Pre-FAM Period. The legal costs exclude those costs incurred from November 15, 2017 through November 15, 2018.

Law Firm: WilmerHale. Following the adoption of Rule 613, the Participants determined it was necessary to engage external legal counsel to advise the Participants with respect to corporate and regulatory legal matters related to the CAT, including drafting and developing the CAT NMS Plan. The Participants considered a variety of factors in their analysis of prospective law firms, including (1) the firm’s qualifications, resources, and expertise, (2) the firm’s relevant experience and understanding of the regulatory matters raised by the CAT and in advising on matters of similar scope, (3) the composition of the legal team, and (4) professional fees. Following a series of interviews, the Participants acting as a consortium determined that WilmerHale was well qualified given the balance of these considerations and engaged WilmerHale in February 2013.

WilmerHale’s billing rates are negotiated on an annual basis and are determined with reference to the rates charged by other leading law firms for similar work. The Participants assess WilmerHale’s performance and review prospective budgets and staffing plans

⁴⁴ For a discussion of the CCID Alternative, see Securities Exchange Act Release No. 88393 (March 17, 2020), 85 FR 16152 (March 20, 2020).

⁴⁵ See Phased Reporting Exemptive Relief Order, 85 FR 23075, 23079–80.

⁴⁶ Note that CAT LLC also has incurred costs related to specific Industry Members (e.g., reprocessing costs related to Industry Member reporting errors).

⁴⁷ See Letter from the Participants to Brent J. Fields, Secretary, SEC, dated January 18, 2017, <https://www.sec.gov/divisions/marketreg/rule613-info-notice-of-plan-processor-selection.pdf>.

submitted by WilmerHale on an annual basis. WilmerHale's compensation arrangements are reasonable and appropriate, and in line with the rates charged by other leading law firms for similar work.

The legal costs for WilmerHale during the Pre-FAM Period included costs incurred from 2013 until June 22, 2020 to address corporate and regulatory legal matters related to the CAT. The legal fees for this law firm during the period from February 2013 until the formation of the CAT NMS, LLC on November 15, 2016 were paid directly by the exchanges and FINRA to WilmerHale. After the formation of CAT NMS LLC, the legal fees were paid by CAT LLC to WilmerHale.

After WilmerHale was engaged in 2013 through the end of the Pre-FAM Period on June 22, 2020 (excluding the legal costs from November 15, 2017 through November 15, 2018), WilmerHale provided legal assistance to the CAT on a variety of matters, including with regard to the following:

- Analyzed various legal matters associated with the Selection Plan, and drafted an amendment to the Selection Plan;
- Assisted with the RFP and bidding process for the CAT Plan Processor;
- Analyzed legal matters related to the Development Advisory Group ("DAG");
- Drafted the CAT NMS Plan, analyzed various items related to the CAT NMS Plan, and responded to comment letters on CAT NMS Plan;
- Provided legal support for the formation of the legal entity, the governance of the CAT, including governance support prior to the adoption of the CAT NMS Plan, which involved support for the full committee of exchanges and FINRA as well as subcommittees of this group (e.g., Joint Subcommittee Group, Technical, Industry Outreach, Cost and Funding and Other Products) and the DAG, governance support during the transition to the new governance structure under the CAT NMS Plan; and governance support after the adoption of the CAT NMS Plan, which involved support for the Operating Committee, Advisory Committee, Compliance Subcommittee, and CAT working groups;
- Assisted with the development of the CAT funding model and drafted related amendments of the CAT NMS Plan and related filings;
- Negotiated and drafted the plan processor agreements with the Initial Plan Processor and the successor Plan Processor;

- Provided assistance with compliance with Regulation SCI;
- Assisted with clock synchronization study;
- Provided assistance with respect to the establishment of CAT security;
- Drafted exemptive requests from CAT NMS Plan requirements, including with regard to options market maker quotes, Customer IDs, CAT Reporter IDs, linking allocations to executions, CAT reporting timeline, FDIDs, customer and account information, timestamp granularity, small industry members, data facility reporting and linkage, allocation reports, SRO-assigned market participant identifiers and cancelled trade indicators, thereby seeking to implement changes that would be cost effective and benefit of Industry Members and Participants;
- Assisted with the Implementation Plan required pursuant to Section 6.6(c)(i) of the CAT NMS Plan;
- Provided advice regarding CAT policies and procedures;
- Analyzed the SEC's amendment of the CAT NMS Plan regarding financial accountability;
- Provided interpretations of and related to the CAT NMS Plan;
- Provided support with regard to discussions with the SEC and its staff, including with respect to addressing interpretive and implementation issues; and
- Assisted with third-party vendor agreements.

Law Firm: Pillsbury. The legal costs for CAT during the Pre-FAM Period include costs related to the legal services performed by Pillsbury. The Participants interviewed this law firm as well as other potential law firms to provide legal assistance regarding certain liability matters. After considering a variety of factors in its analysis, including the relevant expertise and fees of the firm, CAT LLC determined to hire Pillsbury in April 2019. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees were paid by CAT LLC to Pillsbury. The legal costs for Pillsbury during the Pre-FAM Period included costs incurred from April 2019 until June 22, 2020 to address legal matters regarding the agreements between CAT Reporters and CAT LLC concerning certain terms associated with CAT Reporting (the "Reporter Agreement"). During that period, Pillsbury advised CAT LLC regarding applicable legal matters, participated in negotiations between the Participants and Industry Members, participated in meetings with senior SEC staff, the Chairman, and Commissioners, represented CAT LLC

and the Participants in an SEC administrative proceeding, and drafted a proposed amendment to the CAT NMS Plan regarding liability matters. Liability issues related to the CAT are important matters that needed to be resolved and clarified. CAT LLC's efforts to seek such resolution and clarity work to the benefit of Participants, Industry Members and other market participants. Moreover, litigation involving CAT LLC is an expense of operating the CAT, and, therefore, is appropriately an obligation of both Participants and Industry Members under the CAT Funding Model.

(g) Consulting Costs

The consulting costs of \$17,013,414 represent the fees paid to the consulting firm Deloitte & Touche LLP ("Deloitte") as project manager during the Pre-FAM Period, from October 2012 until June 22, 2020. These consulting costs include costs for advisory services related to the operation of the CAT, and meeting facilitation and communications coordination, vendor support and financial analyses.

To help facilitate project management given the unprecedented complexity and scope of the CAT project, the Participants determined it was necessary to engage a consulting firm to assist with the CAT project in 2012, following the adoption of Rule 613. A variety of factors were considered in the analysis of prospective consulting firms, including (1) the firm's qualifications, resources, and expertise, (2) the firm's relevant experience and understanding of the regulatory issues raised by the CAT and in coordinating matters of similar scope, (3) the composition of the consulting team, and (4) professional fees. Following a series of interviews, the exchanges and FINRA as a consortium determined that Deloitte was well qualified given the balance of these considerations and engaged Deloitte on October 1, 2012.

Deloitte's fee rates are negotiated on an annual basis and are in line with market rates for this type of specialized consulting work. CAT LLC assesses Deloitte's performance and reviews prospective budgets and staffing plans submitted by Deloitte on an annual basis. Deloitte's compensation arrangements are reasonable and appropriate, and in line with the rates charged by other leading consulting firms for similar work.

The consulting costs for CAT during the period from 2012 until the formation of the CAT NMS, LLC were paid directly by the Participants to Deloitte. After the formation of CAT NMS, LLC, the consulting fees were paid by CAT

LLC to Deloitte. CAT LLC reviewed the consulting fees each month and approved the invoices.

After Deloitte was hired in 2012 through the end of the Pre-FAM Period on June 22, 2020 (excluding the consulting costs from November 15, 2017 through November 15, 2018), Deloitte provided a variety of consulting services, including the following:

- Established and implemented program operations for the CAT project, including the program management [sic] office and workstream design;

- Assisted with the Plan Processor selection process, including but not limited to, the development of the RFP and the bidder evaluation process, and facilitation and consolidation of the Participant's independent reviews;

- Assisted with the development and drafting of the CAT NMS Plan, including conducting cost-benefit studies, analyzing the Order Audit Trail System ("OATS") and CAT requirements, and drafting appendices to the Plan;

- Assisted with cost and funding-related activities for the CAT, including the development of the CAT funding model and assistance with loans and the CAT bank account for CAT funding;

- Provided governance support to the CAT, including governance support prior to the adoption of the CAT NMS Plan, which involved support for the full committee of exchanges and FINRA as well as subcommittees of this group (e.g., Joint Subcommittee Group, Technical, Industry Outreach, Cost and Funding and Other Products) and the DAG, governance support during the transition to the new governance structure under the CAT NMS Plan and governance support after the adoption of the CAT NMS Plan, which involved support for the Operating Committee, Advisory Committee, Compliance Subcommittee and CAT working groups;

- Provided support to the Operating Committee, the Chair of the Operating Committee and the Leadership Team, including project management support, coordination and planning for meetings and communications, and interfacing with law firms and the SEC;

- Assisted with industry outreach and communications regarding the CAT, including assistance with industry outreach events, the development of the CAT website, frequently asked questions, and coordinating with the CAT LLC's public relations firm;

- Provided support for updating the SEC on the progress of the development of the CAT;

- Provided active planning and coordination with and support for the

Initial Plan Processor with regard to the development of the CAT, and reported to the Participants on the progress;

- Coordinated efforts regarding the selection of the successor Plan Processor;

- Assisted with the transition from the Initial Plan Processor to the successor Plan Processor, including support for the Operating Committee and successor Plan Processor for the new role; and

- Provided support for third-party vendors for the CAT, including FCAT, Anchin and the law firms engaged by CAT LLC.

(h) Insurance

The insurance costs of \$880,419 represent the cost incurred for insurance for CAT during the Pre-FAM Period. Commencing in 2020, CAT LLC performed an evaluation of various potential alternatives for CAT insurance policies, which included engaging in discussions with different insurance companies and conducting cost comparisons of various alternative approaches to insurance. Based on an analysis of a variety of factors, including coverage and premiums, CAT LLC determined to purchase cyber security liability insurance, directors' and officers' liability insurance, and errors and omissions liability insurance from USI Insurance Services LLC ("USI"). Such policies are standard for corporate entities, and cyber security liability insurance is important for the CAT System. The annual premiums for these policies were competitive for the coverage provided. The annual premiums were paid by CAT LLC to USI.

(i) Professional and Administration Costs

In adopting the CAT NMS Plan, the Commission amended the Plan to add a requirement that CAT LLC's financial statements be prepared in compliance with GAAP, audited by an independent public accounting firm, and made publicly available.⁴⁸ The professional and administration costs include costs related to accounting and accounting advisory services to support the operating and financial functions of CAT, financial statement audit services by an independent accounting firm, preparation of tax returns, and various cash management and treasury functions. In addition, professional and administration costs for the Pre-FAM Period include costs related to the receipt of market data and a security assessment. The costs for these

professional and administration services were \$1,082,036 for the Pre-FAM Period.

Financial Advisory Firm: Anchin Accountants & Advisors ("Anchin"). CAT LLC determined to hire a financial advisory firm, Anchin, to assist with financial matters for the CAT in April 2018. CAT LLC interviewed Anchin as well as other potential financial advisory firms to assist with the CAT project, considering a variety of factors in its analysis, including the firm's relevant expertise and fees. The hourly fee rates for this firm were in line with market rates for these financial advisory services. The fees for these services were paid by CAT LLC to Anchin.

After Anchin was hired in April 2018 through the end of the Pre-FAM Period on June 22, 2020 (excluding the period from April 2018 through November 15, 2018), Anchin provided a variety of services, including the following:

- Developed, updated and maintained internal controls;

- Provided cash management and treasury functions;

- Facilitated bill payments;

- Provided monthly bookkeeping;

- Reviewed vendor invoices and documentation in support of cash disbursements;

- Provided accounting research and consultations on various accounting, financial reporting and tax matters;

- Addressed not-for-profit tax and accounting considerations;

- Prepared tax returns;

- Addressed various accounting, financial and operating inquiries from Participants;

- Developed and maintained quarterly and annual operating and financial budgets, including budget to actual fluctuation analyses;

- Addressed accounting and financial reporting matters relating to the transition from CAT NMS, LLC to Consolidated Audit Trail, LLC, including supporting the dissolution of CAT NMS, LLC;

- Supported compliance with the CAT NMS Plan;

- Worked with and provided support to the Operating Committee and various CAT working groups;

- Prepared monthly, quarterly and annual financial statements;

- Supported the annual financial statement audits by an independent auditor;

- Reviewed historical costs from inception; and

- Provided accounting and financial information in support of SEC filings.

Accounting Firm: Grant Thornton LLP ("Grant Thornton"). In February 2020, CAT LLC determined to engage an

⁴⁸ Section 9.2 of the CAT NMS Plan.

independent accounting firm, Grant Thornton, to complete the audit of CAT LLC's financial statements, in accordance with the requirements of the CAT NMS Plan. CAT LLC interviewed this firm as well as another potential accounting firm to audit CAT LLC's financial statements, considering a variety of factors in its analysis, including the relevant expertise and fees of each of the firms. CAT LLC determined that Grant Thornton was well-qualified for the proposed role given the balance of these considerations. Grant Thornton's fixed fee rate compensation arrangement was reasonable and appropriate, and in line with the market rates charged for these types of accounting services. The fees for these services were paid by CAT LLC to Grant Thornton.

Market Data Provider: Exegy. The professional and administrative costs for the Pre-FAM Period included costs related to the receipt of certain market data for the CAT pursuant to an agreement with the CAT LLC, and then with FCAT. Exegy provided SIP Data required by the CAT NMS Plan.

After performing an analysis of the available market data vendors to confirm that the data provided met the SIP Data requirements of the CAT NMS Plan and comparing the costs of the vendors providing the required SIP Data, CAT LLC determined to purchase market data from Exegy from July 2018 through March 2019. CAT LLC determined that, unlike certain other vendors, Exegy provided market data that included all data elements required by the CAT NMS Plan.⁴⁹ In addition, the fees were reasonable and in line with market rates for the market data received. Accordingly, the professional and administrative costs for the Pre-FAM Period include the Exegy costs from November 2018 through March 2019. The cost of the market data was reasonable for the market data received. The fees for the market data were paid directly by CAT LLC to Exegy.

Upon the termination of the contract between CAT LLC and Exegy, FCAT entered into a contract with Exegy to purchase the required market data from Exegy in July 2019. All costs under the contract were treated as a direct pass through cost to CAT LLC. Therefore, the fees for the market data were paid by CAT LLC to FCAT, who, in turn, paid Exegy for the market data.

Security Assessment: RSM US LLP ("RSM"). The operating costs for the Pre-FAM Period include costs related to a third-party security assessment of the CAT performed by RSM. The

assessment was designed to verify and validate the effective design, implementation, and operation of the controls specified by NIST Special Publication 800-53, Revision 4 and related standards and guidelines. Such a security assessment is in line with industry practice and important given the data included in the CAT. CAT LLC determined to engage RSM to perform the security assessment, after considering a variety of factors in its analysis, including the firm's relevant expertise and fees. The fees were reasonable and in line with market rates for such an assessment. RSM performed the assessment from October 2018 through December 2018. Accordingly, the costs for the Pre-FAM Period include the costs incurred in November and December 2018. The cost for the security assessment were paid directly to RSM by CAT LLC.

(j) Public Relations Costs

The public relations costs of \$224,669 represent the fees paid to public relations firms during the Pre-FAM Period for professional communications services to CAT, including media relations consulting, strategy and execution. By engaging a public relations firm, CAT LLC was better positioned to understand and address CAT matters to the benefit of all market participants. Specifically, the public relations firms provided services related to communications with the public regarding the CAT, including monitoring developments related to the CAT (e.g., congressional efforts, public comments and reaction to proposals, press coverage of the CAT), reporting such developments to CAT LLC, and drafting and disseminating communications to the public regarding such developments as well as reporting on developments related to the CAT (e.g., amendments to the CAT NMS Plan). Public relations services were important for various reasons, including monitoring comments made by market participants about CAT and understanding issues related to the CAT discussed on the public record.

The services performed by each of the public relations firms were comparable. The fees for such services were reasonable and in line with market rates. Only one public relations firm was engaged at a time; the three firms were engaged sequentially as the primary public relations contact moved among the three firms during this time period.

Public Relations Firm: Peppercomm, Inc. ("Peppercomm"). The national securities exchanges and FINRA, acting as a consortium, determined to hire the

public relations firm Peppercomm in October 2014 and continued to engage this firm through September 2017. The exchanges and FINRA made this engagement decision after considering a variety of factors in its analysis, including the firm's relevant expertise and fees. The fee rates for this public relations firm were negotiated on an arm's length basis and were in line with market rates for these types of services. The public relations costs during the period from October 2014 until the formation of the CAT NMS LLC were paid directly by the exchanges and FINRA to the public relations firm. After the formation of CAT NMS, LLC, the consulting fees were paid by CAT LLC.

Public Relations Firm: Sloane & Company ("Sloane"). CAT LLC determined to hire a new public relations firm, Sloane, in March 2018, based on, among other things, their expertise and the primary contact's history with the project. The fee rates for this public relations firm were in line with market rates for these types of services. The fees during the Pre-FAM Period were paid by CAT LLC to Sloane. CAT LLC continued the engagement with Sloane until February 2020.

Public Relations Firm: Peak Strategies. CAT LLC determined to hire a new public relations firm, Peak Strategies, in March 2020, based on, among other things, their expertise and the primary contact's history with the project. The fee rates for this public relations firm were in line with market rates for these types of services. The fees during the Pre-FAM Period were paid by CAT LLC to Peak Strategies.

(ii) Historical CAT Costs Incurred in Financial Accountability Milestone Period 1

Historical CAT Costs 1 would include costs incurred by CAT and already funded by the Participants during Period 1 of the Financial Accountability Milestones ("FAM Period 1"),⁵⁰ which covers the period from June 22, 2020—July 31, 2020. Historical CAT Costs 1 would include costs for FAM Period 1 of \$6,377,343. The Participants would remain responsible for one-third of this cost (which they have previously paid) (\$2,125,781), and Industry Members would be responsible for the remaining two-thirds, with CEBBs paying one-third (\$2,125,781) and CEBBs paying one-third (\$2,125,781). The following table breaks down Historical CAT Costs 1 for FAM Period 1 into the categories

⁴⁹ See Section 6.5(a)(ii) of the CAT NMS Plan.

⁵⁰ Section 11.6(a)(i)(A) of the CAT NMS Plan.

set forth in Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.⁵¹

Operating expense	Historical CAT costs for FAM Period 1
Capitalized Developed Technology Costs *	\$1,684,870
<i>Technology Costs</i>	3,996,800
Cloud Hosting Services	2,642,122
Operating Fees	1,099,680
CAIS Operating Fees	254,998
Change Request Fees	
Legal	481,687
Consulting	137,209
Insurance	
Professional and administration	69,077
Public relations	7,700
Total Operating Expenses	6,377,343

* The non-cash amortization of these capitalized developed technology costs of \$362,121 incurred during FAM Period 1 have been appropriately excluded from the above table.⁵²

By the completion of FAM Period 1, CAT LLC was required to implement the reporting by Industry Members (excluding Small Industry Members that are not OATS reporters) of equities transaction data and options transaction data, excluding Customer Account Information, Customer-ID and Customer Identifying Information.⁵³ CAT LLC completed the requirements of FAM Period 1 by July 31, 2020. The following describes the costs for each of the categories for FAM Period 1.

(a) Technology Costs—Cloud Hosting Services

CAT LLC continued to utilize AWS in FAM Period 1 to provide a broad array of cloud hosting services for the CAT, including data ingestion, data management, and analytic tools. AWS

continued to provide storage services, databases, compute services and other services (such as networking, management tools and DevOps tools), as well as various environments for CAT, such as development, performance testing, test, and production environments, during the FAM 1 Period. Accordingly, the \$2,642,122 in technology costs for cloud hosting services represent costs incurred for services provided by AWS, as the cloud services provider, during FAM Period 1. The fee arrangement for AWS described above with regard to the Pre-FAM Period continued in place during FAM Period 1 pursuant to the Plan Processor Agreement. Moreover, CAT LLC continued to believe that AWS's maturity in the cloud services space as well as the significant cost and time

necessary to move the CAT to a different cloud services provider supported the continued engagement of AWS.

The cost for AWS cloud services for the CAT continued to be a function of the volume of CAT Data. During the FAM 1 Period, the volume of CAT Data continued to far exceed the original predictions for the CAT as set forth in the CAT NMS Plan. During this period, data submitted to the CAT included options and equities Participant Data, Phase 2a and Phase 2b Industry Member Data (including certain linkages) as well as SIP Data, reference data and other types of Other Data. The following chart provides data regarding the average daily volume, cumulative total events, total compute hours and storage footprint of the CAT during FAM Period 1.⁵⁴

	Date Range: 6/22/20–7/31/20
Average Daily Volume in Billions:	
Participant—Equities	6
Participant—Options	103
Industry Member—Equities	7
Industry Member—Options	0.31
SIP—Options & Equities	74
Average Total Daily Volume	185
Cumulative Total Events for the Period	5,190
Total Compute Hours for the Period	2,612,082
Storage Footprint at End of Period (Petabytes)	57.47

(b) Technology Costs—Operating Fees

Pursuant to the Plan Processor Agreement discussed above, FCAT continued in its role as the Plan

Processor for the CAT during FAM Period 1. Accordingly, the \$1,099,680 in technology costs for operating fees represent costs incurred for the services

provided by FCAT under the Plan Processor Agreement, during FAM Period 1. The fee arrangement for FCAT described above with regard to the Pre-

⁵¹ The costs described in this table of costs for FAM Period 1 were calculated based upon CAT LLC's review of applicable bills and invoices and related financial statements. CAT LLC financial statements are available on the CAT website.

⁵² As discussed above, with respect to certain costs that were "appropriately excluded," such

excluded costs relate to the amortization of capitalized technology costs, which are amortized over the life of the Plan Processor Agreement. As such costs have already been otherwise reflected in the filing, their inclusion would double count the capitalized technology costs. In addition, amortization is a non-cash expense.

⁵³ See definition of "Initial Industry Member Core Equity and Options Reporting" in Section 1.1 of the CAT NMS Plan.

⁵⁴ Note that the volume data described in this table does not include CAIS data.

FAM Period continued in place during FAM Period 1 pursuant to the Plan Processor Agreement. During FAM Period 1, FCAT's activities with respect to the CAT included the following:

- Published iterative drafts of Technical Specifications for Phase 2d, after substantial engagement with SEC staff, Industry Members and Participants on the Technical Specifications;
- Published iterative drafts of CAIS Technical Specifications, after substantial engagement with SEC staff, Industry Members and Participants on the Technical Specifications;
- Facilitated Industry Member reporting of Quote Sent Time on Options Market Maker quotes;
- Addressed compliance items, including drafting CAT policies and procedures, and addressing Regulation SCI requirements;
- Provided support to the Operating Committee, the Compliance Subcommittee and CAT working groups;
- Assisted with interpretive efforts and exemptive requests regarding the CAT NMS Plan;
- Oversaw the security of the CAT;
- Monitored the operation of the CAT, including with regard to Participant and Industry Member reporting;
- Provided support to subcontractors under the Plan Processor Agreement;
- Provided support in discussions with Participants and the SEC and its staff;
- Operated the FINRA CAT Helpdesk;
- Facilitated communications with the industry, including via FAQs, CAT Alerts, meetings, presentations and webinars;
- Administered the CAT website and all of its content; and
- Provided technical support and assistance with connectivity, data access, and user support, including the use of CAT Data and query tools, for Participants and the SEC staff.

(c) Technology Costs—CAIS Operating Fees

Pursuant to the Plan Processor Agreement discussed above, Kingland continued in its role as a subcontractor for the development and implementation of CAIS during FAM Period 1. Accordingly, the \$254,998 in technology costs for CAIS operating fees represent costs incurred for services provided by Kingland during FAM Period 1. The fee arrangement for Kingland described above with regard to the Pre-FAM Period continued in place during FAM Period 1 pursuant to the Plan Processor Agreement. During FAM Period 1, Kingland continued the

development of the CAIS Technical Specifications and building of CAIS. In addition, Kingland continued to work on the CAIS Technical Specifications and build related to CCID Alternative, as well as the acceleration of the reporting of LTIDs.

(d) Technology Costs—Change Request Fees

CAT LLC did not incur costs related to change requests during FAM Period 1.

(e) Technology Costs—Capitalized Developed Technology Costs

Capitalized developed technology costs for FAM Period 1 of \$1,684,870 include capitalizable application development costs incurred in the development of the CAT by FCAT. Such costs include: (1) costs related to certain modifications, upgrades, or other changes to the CAT that were not contemplated by the agreement between CAT LLC and the Plan Processor, including separate production and industry test entitlements, and reprocessing of exchange event timestamps; (2) implementation fees; and (3) license fees.

(f) Legal Costs

The legal costs of \$481,687 represent the fees paid for legal services provided by two law firms, WilmerHale and Pillsbury during FAM Period 1.

Law Firm: WilmerHale. CAT LLC continued to employ WilmerHale during FAM Period 1 based on, among other things, their expertise and long history with the project. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees during FAM Period 1 were paid by CAT LLC to WilmerHale. During FAM Period 1, WilmerHale provided legal assistance to the CAT including with regard to the following:

- Assisted with the development of the CAT funding model and drafted related amendments and fee filings;
- Drafted exemptive requests from CAT NMS Plan requirements regarding, for example, verbal activity, options market maker quote sent time, TRF linkages, and allocations;
- Provided interpretations related to CAT NMS Plan requirements, including the Financial Accountability Milestone amendment;
- Assisted with compliance with Regulation SCI;
- Provided support for the Operating Committee, Compliance Subcommittee, working groups and Leadership Team, including with regard to meetings with the SEC staff;

• Assisted with the drafting of the Implementation Plan required pursuant to Section 6.6(c)(i) of the CAT NMS Plan;

- Assisted with communications and presentations for the industry regarding CAIS;
- Drafted SRO rule filings related to the CAT Compliance Rule;
- Provided support for Compliance Subcommittee, including with regard to response to OCIE examinations and the annual assessment;
- Provided guidance regarding CAT technical specifications;
- Assisted with third-party vendor agreements; and
- Provided support with regard to discussions with the SEC and its staff, including with respect to addressing interpretive and implementation issues.

Law Firm: Pillsbury. CAT LLC continued to employ Pillsbury during FAM Period 1 based on, among other things, their expertise and history with the project. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees during FAM Period 1 were paid by CAT LLC to Pillsbury. During FAM Period 1, Pillsbury provided legal assistance to the CAT regarding the CAT Reporter Agreement. During that period, Pillsbury advised CAT LLC regarding applicable legal matters and drafted a proposed amendment to the CAT NMS Plan regarding liability matters. Liability issues related to the CAT are important matters that needed to be resolved and clarified. CAT LLC's efforts to seek such resolution and clarity work to the benefit of Participants, Industry Members and other market participants.

(g) Consulting Costs

The consulting costs of \$137,209 represent the fees paid to Deloitte as project manager during FAM Period 1. CAT LLC continued to employ Deloitte during FAM Period 1 based on, among other things, their expertise and cumulative experience with the CAT. The fee rates for Deloitte during FAM Period 1 were negotiated and in line with market rates for this type of specialized consulting work. The consulting fees during FAM Period 1 were paid by CAT LLC to the consulting firm. CAT LLC reviewed the consulting fees each month and approved the invoices. During FAM Period 1, Deloitte's CAT-related activities included the following:

- Implemented program operations for the CAT project;
- Provided support to the Operating Committee, the Chair of the Operating Committee and the Leadership Team, including project management support,

coordination and planning for meetings and communications, and interfacing with law firms and the SEC;

- Assisted with cost and funding matters for the CAT, including the development of the CAT funding model and assistance with loans and the CAT bank account for CAT funding;
- Provided support for updating the SEC on the progress of the development of the CAT;
- Assisted with the transition from the Initial Plan Processor to the successor Plan Processor; and
- Provided support for third-party vendors for the CAT, including FCAT, Anchin and the law firms engaged by CAT LLC.

(h) Insurance

Although insurance was in effect during FAM Period 1, CAT LLC did not incur costs related to insurance during FAM Period 1.

(i) Professional and Administration Costs

Financial Advisory Firm: Anchin. The professional and administration costs of \$69,077 represent the fees paid to Anchin during FAM Period 1. CAT LLC continued to employ Anchin during FAM Period 1 based on, among other things, their expertise and history with the project. The hourly fee rates for this firm were in line with market rates for these type of financial advisory services. The fees for these services during FAM Period 1 were paid by CAT LLC to Anchin. During FAM Period 1, Anchin provided a variety of services, including the following:

- Maintained internal controls;
- Provided cash management and treasury functions;
- Facilitated bill payments;

- Provided monthly bookkeeping;
- Reviewed vendor invoices and documentation in support of cash disbursements;
- Provided accounting research and consultations on various accounting, financial reporting and tax matters;
- Addressed various accounting, financial reporting and operating inquiries from Participants;
- Developed and maintained quarterly and annual operating and financial budgets, including budget to actual fluctuation analyses;
- Supported compliance with the CAT NMS Plan;
- Worked with and provided support to the Operating Committee and various CAT working groups; and
- Prepared monthly and quarterly financial statements.

(j) Public Relations Costs

The public relations costs of \$7,700 represent the fees paid to Peak Strategies during FAM Period 1. CAT LLC continued to employ Peak Strategies during FAM Period 1 based on, among other things, their expertise and history with the project. The fee rates for this firm were reasonable and in line with market rates for these types of services. The fees for these services during FAM Period 1 were paid by CAT LLC to Peak Strategies. During FAM Period 1, Peak Strategies continued to provide professional communications services to CAT LLC, including media relations consulting, strategy and execution. Specifically, the public relations firm provided services related to communications with the public regarding the CAT, including monitoring developments related to the CAT (*e.g.*, congressional efforts, public

comments and reaction to proposals, press coverage of the CAT), reporting such developments to CAT LLC, and drafting and disseminating communications to the public regarding such developments as well as reporting on developments related to the CAT (*e.g.*, amendments to the CAT NMS Plan). As discussed above, such public relations services were important for various reasons, including monitoring comments made by market participants about the CAT and understanding issues related to the CAT discussed on the public record. By engaging a public relations firm, CAT LLC was better positioned to understand and address CAT matters to the benefit of all market participants.

(iii) Historical CAT Costs Incurred in Financial Accountability Milestone Period 2

Historical CAT Costs 1 would include costs incurred by CAT LLC and already funded by Participants during Period 2 of the Financial Accountability Milestones ("FAM Period 2"),⁵⁵ which covers the period from August 1, 2020—December 31, 2020. Historical CAT Costs 1 would include costs for FAM Period 2 of \$42,976,478. The Participants would remain responsible for one-third of this cost (which they have previously paid) (\$14,325,493), and Industry Members would be responsible for the remaining two-thirds, with CEBBs paying one-third (\$14,325,493) and CEBBs paying one-third (\$14,325,493). The following table breaks down Historical CAT Costs 1 for FAM Period 2 into the categories set forth in Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.⁵⁶

Operating expense	Historical CAT costs for FAM Period 2
Capitalized Developed Technology Costs *	\$6,761,094
Technology Costs	31,460,033
Cloud Hosting Services	20,709,212
Operating Fees	9,108,700
CAIS Operating Fees	1,590,298
Change Request Fees	51,823
Legal	2,766,644
Consulting	532,146
Insurance	976,098
Professional and administration	438,523
Public relations	41,940
Total Operating Expenses	42,976,478

* The non-cash amortization of these capitalized developed technology costs of \$1,892,505 incurred during FAM Period 2 have been appropriately excluded from the above table.⁵⁷

⁵⁵ Section 11.6(a)(i)(B) of the CAT NMS Plan.

⁵⁶ The costs described in this table of costs for FAM Period 2 were calculated based upon CAT LLC's review of applicable bills and invoices and related financial statements. CAT LLC financial statements are available on the CAT website.

⁵⁷ As discussed above, with respect to certain costs that were "appropriately excluded," such excluded costs relate to the amortization of capitalized technology costs, which are amortized over the life of the Plan Processor Agreement. As such costs have already been otherwise reflected in

the filing, their inclusion would double count the capitalized technology costs. In addition, amortization is a non-cash expense.

By the completion of FAM Period 2, CAT LLC was required to implement the following with regard to the CAT:

(a) Industry Member reporting (excluding reporting by Small Industry Members that are not OATS reporters) for equities transactions, excluding Customer Account Information, CustomerID, and Customer Identifying Information, is developed, tested, and implemented at a 5% Error Rate or less and with sufficient intra-firm linkage, inter-firm linkage, national securities exchange linkage, and trade reporting facilities linkage to permit the Participants and the Commission to analyze the full lifecycle of an order across the national market system, excluding linkage of representative orders, from order origination through order execution or order cancellation; and (b) the query tool functionality required by Section 6.10(c)(i)(A) and Appendix D, Sections 8.1.1–8.1.3 and Section 8.2.1 incorporates the Industry Member equities transaction data described in condition (a) and is available to the Participants and to the Commission.⁵⁸

CAT LLC completed the requirements of FAM Period 2 by December 31, 2020. The following describes the costs for each of the categories for FAM Period 2.

(a) Technology Costs—Cloud Hosting Services

CAT LLC continued to utilize AWS in FAM Period 2 to provide a broad array of cloud hosting services for the CAT, including data ingestion, data management, and analytic tools. AWS continued to provide storage services, databases, compute services and other services (such as networking, management tools and DevOps tools), as well as various environments for CAT, such as development, performance testing, test, and production environments, during FAM Period 2. Accordingly, the \$20,709,212 in technology costs for cloud hosting services represent costs incurred for services provided by AWS, as the cloud services provider, during FAM Period 2.

The fee arrangement for AWS described above with regard to the Pre-FAM Period and FAM Period 1 continued in place during FAM Period 2 pursuant to the Plan Processor Agreement.

The cost for AWS cloud services for the CAT continued to be a function of the volume of CAT Data. During the FAM Period 2, the volume of CAT Data continued to far exceed the original predictions for the CAT as set forth in the CAT NMS Plan. During this period, data submitted to the CAT included options and equities Participant Data, Phase 2a and Phase 2b Industry Member Data (including certain linkages) as well as SIP Data, and Other Data, including reference data. In addition, Industry Members began reporting LTID account information. The following chart provides data regarding the average daily volume, cumulative total events, total compute hours and storage footprint of the CAT during FAM Period 2.⁵⁹

	Date range: 8/1/20–12/31/20
Average Daily Volume in Billions:	
Participant—Equities	6
Participant—Options	116
Industry Member—Equities	11
Industry Member—Options	0.98
SIP—Options & Equities	80
Average Total Daily Volume	282
Cumulative Total Events for the Period	2,170
Total Compute Hours for the Period	15,660,392
Storage Footprint at End of Period (Petabytes)	114.59

(b) Technology Costs—Operating Fees

Pursuant to the Plan Processor Agreement discussed above, FCAT continued in its role as the Plan Processor for the CAT during FAM Period 2. Accordingly, the \$9,108,700 in technology costs for operating fees represent costs incurred for the services provided by FCAT under the Plan Processor Agreement during FAM Period 2. The fee arrangement for FCAT described above with regard to the Pre-FAM Period and FAM Period 1 continued in place during FAM Period 2 pursuant to the Plan Processor Agreement. During FAM Period 2, FCAT's activities with respect to the CAT included publishing the Technical Specifications for Phase 2d and overseeing the reporting of firm to firm and intrafirm linkages by Industry Members. In addition, FCAT also continued to engage in the following activities during FAM Period 2:

- Addressed compliance items, including drafting CAT policies and procedures, and addressing Regulation SCI requirements;
- Provided support to the Operating Committee, Compliance Subcommittee and CAT working groups;
- Assisted with interpretive efforts and exemptive requests regarding the CAT NMS Plan;
- Oversaw the development and implementation of the security of the CAT;
- Monitored the operation of the CAT, including with regard to Participant and Industry Member reporting;
- Provided support to subcontractors under the Plan Processor Agreement;
- Provided support in discussions with the Participants and the SEC and its staff;
- Operated the FINRA CAT Helpdesk;
- Facilitated communications with the industry, including via FAQs, CAT

Alerts, meetings, presentations and webinars);

- Administered the CAT website and all of its content; and

- Provided technical support and assistance with connectivity, data access, and user support, including the use of CAT Data and query tools, for Participants and the SEC staff.

(c) Technology Costs—CAIS Operating Fees

Pursuant to the Plan Processor Agreement discussed above, Kingland continued in its role as a subcontractor for the development and implementation of CAIS during FAM Period 2. Accordingly, the \$1,590,298 in technology costs for CAIS operating fees represent costs incurred for services provided by Kingland during FAM Period 2. The fee arrangement for Kingland described above with regard to the Pre-FAM Period and FAM Period 1 continued in place during FAM Period

⁵⁸ See definition of “Full Implementation of Core Equity Reporting Requirements” in Section 1.1 of the CAT NMS Plan.

⁵⁹ Note that the volume data described in this table does not include CAIS data.

2 pursuant to the Plan Processor Agreement. During FAM Period 2, Kingland continued the development of the CAIS Technical Specifications and building of CAIS. In addition, Kingland continued to work on the CAIS Technical Specifications and build related to the CCID Alternative, as well as the acceleration of the reporting of LTIDs.

(d) Technology Costs—Change Request Fees

During FAM Period 2, CAT LLC engaged FCAT to pursue certain change requests in accordance with the Plan Processor Agreement. The change request costs were paid by CAT LLC to FCAT. Specifically, during the FAM Period 2, CAT incurred costs of \$51,823 related to a change request regarding the addition of functionality for exchange Participants to report rejected messages to the CAT.

(e) Technology Costs—Capitalized Developed Technology Costs

Capitalized developed technology costs for FAM Period 2 of \$6,761,094 include capitalizable application development costs incurred in the development of the CAT by FCAT. Such costs include (1) development costs incurred during the application development stage to meet various agreed-upon milestones regarding the CAT, as defined in the agreement between CAT LLC and the Plan Processor; (2) costs related to certain modifications, upgrades, or other changes to the CAT that were not contemplated by the agreement between CAT LLC and the Plan Processor, including costs related to separate production and industry test entitlements, market maker reference data, and back-processing of exchange exception logic; (3) implementation fees; and (4) license fees.

(f) Legal Costs

The legal costs of \$2,766,644 represent the fees paid for legal services provided by two law firms, WilmerHale and Pillsbury during FAM Period 2.

Law Firm: WilmerHale. CAT LLC continued to employ WilmerHale during FAM Period 2 based on, among other things, their expertise and long history with the project. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees during FAM Period 2 were paid by CAT LLC to WilmerHale. During FAM Period 2, the legal assistance provided by WilmerHale included providing legal advice regarding the following:

- Assisted with the development of the CAT funding model and drafting related amendments and rule filings;
- Drafted exemptive requests from CAT NMS Plan requirements regarding, for example, allocations, exchange activity, OTQT, initial data validation, error corrections and recordkeeping;
- Provided interpretations related to CAT NMS Plan requirements, including with regard to the Financial Accountability Milestone amendment, FAQs and technical specifications;
- Provided support for the Operating Committee, Compliance Subcommittees, working groups and Leadership Team, including with regard to meetings with the SEC staff;
- Assisted with the Implementation Plan and Quarterly Progress Reports required pursuant to Section 6.6 of the CAT NMS Plan;
- Drafted SRO rule filings related to the CAT Compliance Rule;
- Provided support for the Compliance Subcommittee, including with regard to responses to OCIE examinations and the annual assessment;
- Provided guidance regarding the SEC's proposed security amendments to the CAT NMS Plan;
- Provided guidance regarding SRO rule filings for the retirement of systems;
- Provided legal support for Operating Committee meetings, including drafting resolutions and other materials and voting advice;
- Assisted with third-party vendor agreements (e.g., with regard to Anchin, Grant Thornton and insurance policies);
- Assisted with change requests; and
- Provided support with regard to discussions with the SEC and its staff, including with respect to addressing interpretive and implementation issues.

Law Firm: Pillsbury. CAT LLC continued to employ Pillsbury during FAM Period 2 based on, among other things, their expertise and history with the project. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees during FAM Period 2 were paid by CAT LLC to Pillsbury. During FAM Period 2, Pillsbury provided legal assistance to the CAT regarding the CAT Reporter Agreement. During that period, Pillsbury advised CAT LLC regarding applicable legal matters and drafted and filed a proposed amendment to the CAT NMS Plan regarding liability matters. As discussed above, liability issues related to the CAT are important matters that needed to be resolved and clarified. CAT LLC's efforts to seek such resolution and clarity work to the benefit of Participants, Industry Members and other market participants.

(g) Consulting Costs

The consulting costs of \$532,146 represent the fees paid to Deloitte as project manager during FAM Period 2. CAT LLC continued to employ Deloitte during FAM Period 2 based on, among other things, their expertise and long history with the project. The fee rates for Deloitte during FAM Period 2 were negotiated and in line with market rates for this type of specialized consulting work. The consulting fees during FAM Period 2 were paid to Deloitte by CAT LLC. CAT LLC reviewed the consulting fees each month and approved the invoices. During FAM Period 2, Deloitte's CAT-related activities included the following:

- Implemented program operations for the CAT project;
- Provided support to the Operating Committee, the Chair of the Operating Committee and the Leadership Team, including project management support, coordination and planning for meetings and communications, and interfacing with law firms and the SEC;
- Assisted with cost and funding matters for the CAT, including the development of the CAT funding model and assistance with loans and the CAT bank account for CAT funding;
- Provided support for updating the SEC on the progress of the development of the CAT; and
- Provided support for third-party vendors for the CAT, including FCAT, Anchin and the law firms engaged by CAT LLC.

(h) Insurance

The insurance costs of \$976,098 represent the fees paid for insurance during FAM Period 2. CAT LLC continued to maintain cyber security liability insurance, directors' and officers' liability insurance, and errors and omissions liability insurance offered by USI. After engaging in a process for renewing the coverage, CAT LLC determined to purchase these insurance policies from USI. The annual premiums for these policies were competitive for the coverage provided. The annual premiums were paid by CAT LLC to USI.

(i) Professional and Administration Costs

The professional and administration costs of \$438,523 represent the fees paid to Anchin and Grant Thornton for financial services provided during FAM Period 2.

Financial Advisory Firm: Anchin. CAT LLC continued to engage Anchin during FAM Period 2 based on, among other things, their expertise and history

with the project. The hourly fee rates for this firm were in line with market rates for these types of financial advisory services. The fees for these services during FAM Period 2 were paid by CAT LLC to Anchin. During FAM Period 2, Anchin provided a variety of services, including the following:

- Updated and maintained internal controls;
- Provided cash management and treasury functions;
- Facilitated bill payments;
- Provided monthly bookkeeping;
- Reviewed vendor invoices and documentation in support of cash disbursements;
- Provided accounting research and consultations on various accounting, financial reporting and tax matters;
- Addressed not-for-profit tax and accounting considerations;
- Prepared tax returns;
- Addressed various accounting, financial reporting and operating inquiries from the Participants;
- Developed and maintained quarterly and annual operating and financial budgets, including budget to actual fluctuation analyses;
- Supported compliance with the CAT NMS Plan;
- Worked with and provided support to the Operating Committee and various CAT working groups;
- Prepared monthly, quarterly and annual financial statements;
- Supported the annual financial statement audit by an independent auditor; and
- Reviewed historical costs from inception.

Accounting Firm: Grant Thornton. CAT LLC continued to employ the accounting firm Grant Thornton during FAM Period 2 based on, among other things, its expertise and cumulative knowledge of CAT LLC. CAT LLC continued to believe that Grant Thornton was well qualified for its role and its fee rates were in line with market rates for these accounting services. The fees for these services during FAM Period 2 were paid by CAT LLC to Grant Thornton. During FAM Period 2, Grant Thornton performed a financial statement audit for CAT LLC as an independent accounting firm.

(j) Public Relations Costs

The public relations costs of \$41,940 represent the fees paid to Peak Strategies during FAM Period 2. CAT LLC continued to employ Peak Strategies during FAM Period 2 based on, among other things, their expertise and history with the project. The fee rates for this firm were in line with market rates for these types of services. The fees for these services during FAM Period 2 were paid by CAT LLC to Peak Strategies. During FAM Period 2, Peak Strategies continued to provide professional communications services to CAT, including media relations consulting, strategy and execution. Specifically, the public relations firm provided services related to communications with the public regarding the CAT, including monitoring developments related to the CAT (e.g., congressional efforts, public comments and reaction to proposals, press coverage of the CAT), reporting

such developments to CAT LLC, and drafting and disseminating communications to the public regarding such developments as well as reporting on developments related to the CAT (e.g., amendments to the CAT NMS Plan). As discussed above, such public relations services were important for various reasons, including monitoring comments made by market participants about the CAT and understanding issues related to the CAT discussed on the public record. By engaging a public relations firm, CAT LLC was better positioned to understand and address CAT matters to the benefit of all market participants.

(iv) Historical CAT Costs Incurred in Financial Accountability Milestone Period 3

Historical CAT Costs 1 would include costs incurred by CAT and already funded by the Participants during Period 3 of the Financial Accountability Milestones ("FAM Period 3"),⁶⁰ which covers the period from January 1, 2021–December 31, 2021. Historical CAT Costs 1 would include costs for FAM Period 3 of \$144,415,268. The Participants would remain responsible for one-third of this cost (which they have previously paid) (\$48,138,423), and Industry Members would be responsible for the remaining two-thirds, with CEBBs paying one-third (\$48,138,423) and CEBBs paying one-third (\$48,138,423). The following table breaks down Historical CAT Costs 1 for FAM Period 3 into the categories set forth in Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.⁶¹

Operating expense	Historical CAT costs for FAM Period 3
Capitalized Developed Technology Costs *	\$10,763,372
<i>Technology Costs</i>	123,639,402
Cloud Hosting Services	94,574,759
Operating Fees	23,106,091
CAIS Operating Fees	5,562,383
Change Request Fees	396,169
Legal	6,333,248
Consulting	1,408,209
Insurance	1,582,714
Professional and administration	595,923
Public relations	92,400
Total Operating Expenses	144,415,268

* The non-cash amortization of these capitalized developed technology costs of \$5,108,044 incurred during FAM Period 3 have been appropriately excluded from the above table.⁶²

⁶⁰ Section 11.6(a)(i)(C) of the CAT NMS Plan.

⁶¹ The costs described in this table of costs for FAM Period 3 were calculated based upon CAT LLC's review of applicable bills and invoices and related financial statements. CAT LLC financial statements are available on the CAT website.

⁶² As discussed above, with respect to certain costs that were "appropriately excluded," such excluded costs relate to the amortization of capitalized technology costs, which are amortized over the life of the Plan Processor Agreement. As such costs have already been otherwise reflected in

the filing, their inclusion would double count the capitalized technology costs. In addition, amortization is a non-cash expense.

By the completion of FAM Period 3, CAT LLC was required to implement the following requirements with regard the CAT:

(a) reporting to the Order Audit Trail System ("OATS") is no longer required for new orders; (b) Industry Member reporting for equities transactions and simple electronic options transactions, excluding Customer Account Information, Customer-ID, and Customer Identifying Information, with sufficient intra-firm linkage, inter-firm linkage, national securities exchange linkage, trade reporting facilities linkage, and representative order linkages (including any equities allocation information provided in an Allocation Report) to permit the Participants and the Commission to analyze the full lifecycle of an order across the national market system, from order origination through order execution or

order cancellation, including any options allocation information provided in an Allocation Report, is developed, tested, and fully implemented; (d) the query tool functionality required by Section 6.10(c)(i)(A) and Appendix D, Sections 8.1.1–8.1.3, Section 8.2.1, and Section 8.5 incorporates the data described in conditions (b)-(c) and is available to the Participants and to the Commission; and (e) the requirements of Section 6.10(a) are met.⁶³

CAT LLC completed the requirements of FAM Period 3 by December 31, 2021. The following describes the costs for each of the categories for FAM Period 3.

(a) Technology Costs—Cloud Hosting Services

CAT LLC continued to utilize AWS in FAM Period 3 to provide a broad array of cloud hosting services for the CAT, including data ingestion, data management, and analytic tools. AWS continued to provide storage services, databases, compute services and other services (such as networking, management tools and DevOps tools), as well as various environments for CAT, such as development, performance testing, test, and production

environments, during the FAM Period 3. Accordingly, the \$94,574,759 in technology costs for cloud hosting services represents costs incurred for services provided by AWS, as the cloud services provider, during FAM Period 3. The fee arrangement for AWS described above for the earlier periods continued in place during FAM Period 3 pursuant to the Plan Processor Agreement.

The cost for AWS cloud services for the CAT continued to be a function of the volume of CAT Data. During FAM Period 3, the volume of CAT Data continued to far exceed the original predictions for the CAT as set forth in the CAT NMS Plan. During this period, data submitted to the CAT included options and equities Participant Data, Phase 2a, Phase 2b, Phase 2c and Phase 2d Industry Member Data (including certain linkages), SIP Data, Other Data, including reference data, and LTID account information. The following chart provides data regarding the average daily volume, cumulative total events, total compute hours and storage footprint of the CAT during FAM Period 3.⁶⁴

	Date range: 1/1/21 to 4/25/21	Date range: 4/26/21 to 12/31/21 *
Average Daily Volume in Billions:		
Participant—Equities	9	9
Participant—Options	135	136
Industry Member—Equities	20	19
Industry Member—Options	2	2
SIP—Options & Equities	129	137
Average Total Daily Volume	297	304
Cumulative Total Events for the Period	7,480	5,310
Total Compute Hours for the Period	15,860,304	33,487,318
Storage Footprint at End of Period (Petabytes)	180.22	284.62

* Start of Participant Equities in CAT format and SIP Equities on 4/26/21.

(b) Technology Costs—Operating Fees

Pursuant to the Plan Processor Agreement discussed above, FCAT continued in its role as the Plan Processor for the CAT during FAM Period 3. Accordingly, the \$23,106,091 in technology costs for operating fees represent costs incurred for the services provided by FCAT under the Plan Processor Agreement, during FAM Period 3. The fee arrangement for FCAT described above with regard to the prior Periods continued in place during FAM Period 3 pursuant to the Plan Processor Agreement. During FAM Period 3, FCAT's activities with respect to the CAT included the following:

- Facilitated Phase 2c and Phase 2d testing for Industry Members;
- Oversaw creation of linkages of the lifecycle of order events based on the received data through Phase 2d;
- Addressed compliance items, including drafting CAT policies and procedures, and addressing Regulation SCI requirements;
- Provided support to the Operating Committee, the Compliance Subcommittee and CAT working groups;
- Assisted with interpretive efforts and exemptive requests regarding the CAT NMS Plan;
- Oversaw the security of the CAT;
- Monitored the operation of the CAT, including with regard to

Participant and Industry Member reporting;

- Provided support to subcontractors under the Plan Processor Agreement;
- Provided support in discussions with the Participants and the SEC and its staff;
- Operated the FINRA CAT Helpdesk;
- Facilitated communications with the industry, including via FAQs, CAT Alerts, meetings, presentations and webinars;
- Administered the CAT website and all of its content; and
- Provided technical support and assistance with connectivity, data access, and user support, including the use of CAT Data and query tools, for Participants and the SEC staff.

⁶³ See definition of "Full Availability and Regulatory Utilization of Transactional Database Functionality" in Section 1.1 of the CAT NMS Plan.

⁶⁴ Note that the volume data described in this table does not include CAIS data.

(c) Technology Costs—CAIS Operating Fees

Pursuant to the Plan Processor Agreement with FCAT discussed above, Kingland continued in its role as a subcontractor for the development and implementation of CAIS during FAM Period 3. Accordingly, the \$5,562,383 in technology costs for CAIS operating fees represents costs incurred for services provided by Kingland during FAM Period 3. The fee arrangement for Kingland described above with regard to the prior Periods continued in place during FAM Period 3 pursuant to the Plan Processor Agreement. During FAM Period 3, Kingland continued the development of the CAIS Technical Specifications and building of CAIS. In addition, Kingland continued to work on the CAIS Technical Specifications and build related to the CCID Alternative, as well as the acceleration of the reporting of LTIDs. The full CAIS Technical Specifications were published during FAM Period 3.

(d) Technology Costs—Change Request Fees

During FAM Period 3, CAT LLC engaged FCAT to pursue certain change requests in accordance with the Plan Processor Agreement. The change request costs were paid by CAT LLC to FCAT. Specifically, during the FAM Period 3, CAT incurred costs of \$396,169 related to change requests, including the following: (1) the addition of functionality for exchange Participants to report rejected messages to the CAT; (2) the migration of MIRS query engine to AWS to reduce operational costs and increase resiliency; and (3) updating the Participant Technical Specifications to allow for two-sided Participant option quote reporting.

(e) Technology Costs—Capitalized Developed Technology Costs

Capitalized developed technology costs for FAM Period 3 of \$10,763,372 include capitalizable application development costs incurred in the development of the CAT by FCAT. Such costs include (1) development costs incurred during the application development stage to meet various agreed-upon milestones regarding the CAT, as defined in the agreement between CAT LLC and the Plan Processor, including the transition from equity data received by FINRA pursuant to various regulatory services agreements between FINRA and Participant exchanges to the equity CAT Data, and the completion of the Industry Member Phase 2d options manual and

complex orders go-live requirements; (2) costs related to certain modifications, upgrades, or other changes to the CAT that were not contemplated by the agreement between CAT LLC and the Plan Processor, including costs related to off-exchange volume concentration, Participant 24-hour trading and an external metastore; (3) implementation fees; and (4) license fees.

(f) Legal Costs

The legal costs of \$6,333,248 represent the fees paid for legal services provided by three law firms, WilmerHale, Pillsbury and Covington & Burling LLP (“Covington”) during FAM Period 3.

Law Firm: WilmerHale. CAT LLC continued to employ WilmerHale during FAM Period 3 based on, among other things, their expertise and long history with the project. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees during FAM Period 3 were paid by CAT LLC to WilmerHale. During FAM Period 3, the legal assistance provided by WilmerHale included providing legal advice regarding the following:

- Assisted with the development of the CAT funding model and drafting related amendments and rule filings;
- Drafted exemptive requests from CAT NMS Plan requirements, including, for example, verbal activity regarding Phase 2c cutover; error reports, error corrections, Phase 2d Reporting; unique Order-ID on internal route events; reporting addresses; recordkeeping, and unique CCID for foreign customers;
- Provided interpretations related to CAT NMS Plan requirements, including with regard to the Financial Accountability Milestone amendment, FAQs, CAIS requirements, ADF, and technical specifications;
- Provided support for the Operating Committee, Compliance Subcommittee, working groups and Leadership Team, including with regard to meetings with the SEC staff;
- Assisted with the Implementation Plan and Quarterly Progress Reports required pursuant to Section 6.6(c) of the CAT NMS Plan;
- Drafted SRO rule filings related to the CAT Compliance Rule;
- Provided support for Compliance Subcommittee, including with regard to responses to OCIE examinations and the annual assessment;
- Provided guidance regarding the SEC’s proposed security amendments to the CAT NMS Plan;
- Provided guidance regarding SRO rule filings for the retirement of systems;

- Provided legal support for Operating Committee meetings, including drafting resolutions and other materials and voting advice;
- Provided assistance with change requests;
- Provided guidance and regulatory support for litigation regarding the response to the SEC’s exemptive orders;
- Assisted with communications with the industry, including CAT Alerts and presentations;
- Provided guidance regarding the confidentiality of CAT Data, including third-party information requests;
- Assisted with cost management analysis and proposals; and
- Provided support with regard to discussions with the SEC and its staff, including with respect to addressing interpretive and implementation issues.

Law Firm: Pillsbury. CAT LLC continued to employ Pillsbury during FAM Period 3 based on, among other things, their expertise and history with the project. The hourly fee rates for this law firm were in line with market rates for specialized legal expertise. The legal fees during FAM Period 3 were paid by CAT LLC to Pillsbury. During FAM Period 3, Pillsbury provided legal assistance to the CAT regarding the CAT Reporter Agreement. During this period, Pillsbury advised CAT LLC regarding applicable legal matters, reviewed and responded to comment letters regarding the proposed Plan amendment, participated in meetings with senior SEC staff, responded to comments submitted following the SEC’s April 6, 2021 order instituting proceedings,⁶⁵ and assessed legal matters regarding the SEC’s October 29, 2021 order denying the proposed Plan amendment.⁶⁶

Law Firm: Covington. CAT LLC hired Covington for litigation with the SEC regarding certain exemptive orders related to the CAT, including orders issued in December 2020.⁶⁷ CAT LLC interviewed this law firm as well as other potential law firms, considering a variety of factors in its analysis for choosing legal assistance, including the relevant expertise and fees of the potential lawyers. CAT LLC approved the engagement of Covington in January 2021. The fee rates for this law firm, which were calculated based on hourly rates, were in line with market rates for

⁶⁵ Securities Exchange Act Release. No. 91487 (April 6, 2021), 86 FR 19054 (April 12, 2021).

⁶⁶ Securities Exchange Act Release. No. 93484 (October 29, 2021), 86 FR 60933 (November 4, 2021).

⁶⁷ See Securities Exchange Act Release No. 90688 (December 16, 2020), 85 FR 83634 (December 22, 2020); and Securities Exchange Act Release No. 90689 (December 16, 2020), 85 FR 83667 (December 22, 2020) (collectively, the “2020 Orders”).

specialized services. The legal fees for FAM Period 3 for this firm were paid by CAT LLC to Covington.

After Covington was hired in 2021 through the end of 2021, the firm provided legal assistance regarding the litigation with the SEC regarding the 2020 Orders. These services included researching, drafting, and filing motions to stay the 2020 Orders and related materials in proceedings before the SEC, as well as researching, drafting, and filing petitions for judicial review of the 2020 Orders in proceedings before the U.S. Court of Appeals for the D.C. Circuit. Covington oversaw ongoing litigation proceedings on these matters, and also supported WilmerHale with respect to settlement negotiations with the SEC staff regarding the 2020 Orders.

In addition to these services, CAT LLC engaged Covington in November 2021 to provide assistance with respect to the SEC's disapproval of CAT NMS Plan amendments concerning a proposed limitation on liability in the event of a data breach or similar event. Covington provided advice concerning CAT's response to the SEC's disapproval order. This work accounted for a minority of Covington's fees in 2021.⁶⁸

(g) Consulting Costs

The consulting costs of \$1,408,209 represent the fees paid to Deloitte as project manager during FAM Period 3. CAT LLC continued to employ Deloitte during FAM Period 3 based on, among other things, their expertise and long history with the project. The fee rates for Deloitte during FAM Period 3 were negotiated and in line with market rates for this type of specialized consulting work. The consulting fees during FAM Period 3 were paid to Deloitte by CAT LLC. CAT LLC reviewed the consulting fees each month and approved the invoices. During FAM Period 3, Deloitte's CAT-related activities included the following:

- Implemented program operations for the CAT project;
- Provided support to the Operating Committee, the Chair of the Operating Committee and the Leadership Team, including project management support, coordination and planning for meetings and communications, and interfacing with law firms and the SEC;
- Assisted with cost and funding matters for the CAT, including the

development of the CAT funding model and assistance with loans and the CAT bank account for CAT funding;

- Provided support for updating the SEC on the progress of the development of the CAT; and
- Provided support for third-party vendors for the CAT, including FCAT, Anchin and the law firms engaged by CAT LLC.

(h) Insurance

The insurance costs of \$1,582,714 represent the fees paid for insurance during FAM Period 3. CAT LLC continued to maintain cyber security liability insurance, directors' and officers' liability insurance, and errors and omissions liability insurance offered by USI. After engaging in a process for renewing the coverage, CAT LLC determined to purchase these insurance policies from USI. The annual premiums for these policies were competitive for the coverage provided. The annual premiums were paid by CAT LLC to USI.

(i) Professional and Administration Costs

The professional and administration costs of \$595,923 represent the fees paid to Anchin and Grant Thornton for financial services during FAM Period 3.

Financial Advisory Firm: Anchin. CAT LLC continued to employ Anchin during FAM Period 3 based on, among other things, their expertise and history with the project. The hourly fee rates for this firm were in line with market rates for these financial advisory services. The fees for these services during FAM Period 3 were paid by CAT LLC to Anchin. During FAM Period 3, Anchin provided a variety of services, including the following:

- Updated and maintained internal controls;
- Provided cash management and treasury functions;
- Facilitated bill payments;
- Provided monthly bookkeeping;
- Reviewed vendor invoices and documentation in support of cash disbursements;
- Provided accounting research and consultations on various accounting, financial reporting and tax matters;
- Addressed not-for-profit tax and accounting considerations;
- Prepared tax returns;
- Addressed various accounting, financial reporting and operating inquiries from Participants;
- Developed and maintained quarterly and annual operating and financial budgets, including budget to actual fluctuation analyses;
- Supported compliance with the CAT NMS Plan;

• Worked with and provided support to the Operating Committee and various CAT working groups;

- Prepared monthly, quarterly and annual financial statements;
- Supported the annual financial statement audits by an independent auditor;
- Reviewed historical costs from inception; and
- Provided accounting and financial information in support of SEC filings.

Accounting Firm: Grant Thornton. CAT LLC continued to employ the accounting firm Grant Thornton during FAM Period 3 based on, among other things, their expertise and cumulative knowledge of CAT LLC. CAT LLC determined that Grant Thornton was well qualified for its role and that its fixed fee rates were in line with market rates for these accountant services. The fees for these services during FAM Period 3 were paid by CAT LLC to Grant Thornton. During FAM Period 3, Grant Thornton provided audited financial statements for CAT LLC.

(j) Public Relations Costs

The public relations costs of \$92,400 represent the fees paid to Peak Strategies during FAM Period 3. CAT LLC continued to employ Peak Strategies during FAM Period 3 based on, among other things, their expertise and history with the project. The fee rates for this firm were in line with market rates for these types of services. The fees for these services during FAM Period 3 were paid by CAT LLC to Peak Strategies. During FAM Period 3, Peak Strategies continued to provide professional communications services to CAT, including media relations consulting, strategy and execution. Specifically, the public relations firm provided services related to communications with the public regarding the CAT, including monitoring developments related to the CAT (e.g., congressional efforts, public comments and reaction to proposals, press coverage of the CAT), reporting such developments to CAT LLC, and drafting and disseminating communications to the public regarding such developments as well as reporting on developments related to the CAT (e.g., amendments to the CAT NMS Plan). As discussed above, such public relations services were important for various reasons, including monitoring comments made by market participants about the CAT and understanding issues related to the CAT discussed on the public record. By engaging a public relations firm, CAT LLC was better positioned to understand and address

⁶⁸ As discussed above with regard to Pillsbury's work on liability matters, liability issues related to the CAT are important matters that needed to be resolved and clarified. CAT LLC's efforts to seek such resolution and clarity work to the benefit of Participants, Industry Members and other market participants. Moreover, such activity is a necessary part of the operation of the CAT.

CAT matters to the benefit of all market participants.

(v) *Excluded Costs*

Historical CAT Costs 1 would not include three categories of CAT costs (“Excluded Costs”): (1) \$14,749,362 of costs related to the termination of the relationship with the Initial Plan Processor; (2) \$48,874,937, which are all CAT costs incurred from November 15, 2017 through November 15, 2018; and (3) \$19,628,791, which are costs paid to the Initial Plan Processor from November 16, 2018 through February 2019 when the relationship with the Initial Plan Processor was concluded. The Participants would remain responsible for 100% of these costs, which total \$83,253,090. CAT LLC

determined to exclude these Excluded Costs from Historical CAT Costs 1 because these costs relate to the delay in the start of reporting to the CAT and the conclusion of the relationship with the Initial Plan Processor.⁶⁹

(a) *Costs Related to Conclusion of Relationship With Initial Plan Processor*

First, Historical CAT Costs 1 would not include \$14,749,362 of costs related to the conclusion of the relationship with the Initial Plan Processor. Such costs include costs related to the American Arbitration Association, the legal assistance of Pillsbury with regard to the arbitration with the Initial Plan Processor, and the settlement costs related to the arbitration with the Initial Plan Processor. The Participants would

remain responsible for 100% of these \$14,749,362 in costs.

(b) *Costs Incurred From November 15, 2017 through November 15, 2018*

Second, Historical CAT Costs 1 would not include all CAT costs incurred from November 15, 2017 through November 15, 2018. CAT LLC determined to exclude all costs during this one-year period of \$48,874,937 from fees charged to Industry Members due to the delay in the start of reporting to the CAT. The Participants would remain responsible for 100% of these \$48,874,937 in costs. The following table breaks down these costs into the categories set forth in Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.⁷⁰

Operating expense	Excluded costs for November 15, 2017– November 15, 2018
Capitalized Developed Technology Costs	\$37,852,083
<i>Technology Costs.</i>	
Cloud Hosting Services.	
Operating Fees.	
CAIS Operating Fees.	
Change Request Fees.	
Legal	6,143,278
Consulting	4,452,106
Insurance.	
Professional and administration	340,145
Public relations	87,325
Total Operating Expenses	48,874,937

The following provides additional detail regarding the Excluded Costs.

(I) *Technology Costs—Cloud Hosting Services, Operating Fees, CAIS Operating Fees and Change Request Fees*

CAT LLC did not incur technology costs related to the categories of cloud hosting services, operating fees, CAIS operating fees or change requests during the period from November 15, 2017 through November 15, 2018.

(II) *Technology Costs—Capitalized Developed Technology Costs*

Capitalized developed technology costs for the period from November 15, 2017 through November 15, 2018 include capitalizable application development costs of \$37,852,083 incurred in the development of the CAT by the Initial Plan Processor. Such costs

include development costs incurred during the application development stage to meet various agreed-upon milestones regarding the CAT, as defined in the agreement between CAT LLC and the Initial Plan Processor. Such costs include costs related to Industry Member technical specifications for orders and transactions, the system security plan, testing and production for Participant CAT reporting, third-party security assessment and response, query portal, onboarding of the Chief Information Security Officer, and ingestion of FINRA TRF data and FINRA data related to halts and corporate actions.

(III) *Legal Costs*

The legal costs of \$6,143,278 represent the fees paid to WilmerHale for legal services from November 15, 2017 through November 15, 2018.

During this period, WilmerHale provided legal assistance to the CAT including with regard to the following:

- Provided legal support for the governance of the CAT, including governance support for the Operating Committee, Advisory Committee, Compliance Subcommittee, and CAT working groups;
- Assisted with the development of the CAT funding model and drafted related amendments of the CAT NMS Plan;
- Provided assistance related to CAT security;
- Drafted exemptive requests, including requests related to PII;
- Assisted with the Implementation Plan required pursuant to Section 6.6(c)(i) of the CAT NMS Plan;
- Provided interpretations of and related to the CAT NMS Plan;
- Provided advice with regard to regulator access to the CAT;

would exclude all costs paid to the Initial Plan Processor after November 15, 2018.

⁷⁰ The costs described in this table of Excluded Costs were calculated based upon CAT LLC’s review of applicable bills and invoices and related financial statements. CAT LLC financial statements are available on the CAT website.

⁶⁹ In approving the CAT Funding Model, the Commission states that the proposed exclusion of the first two categories of Excluded Costs “is reasonable in the Commission’s view because it would not require all costs incurred by the Participants to be recovered from Industry Members through the Historical CAT Assessment, specifically

excluding those costs related to the delay in the start of reporting to the CAT and costs related to the conclusion of the relationship with the Initial Plan Processor.” See CAT Funding Model Approval Order, 88 FR 62628, 62663. In addition to the first two categories of Excluded Costs, CAT LLC is now proposing a third category of Excluded Costs that

- Assisted with the Plan Processor transition;
- Provided assistance regarding communications with the industry regarding the CAT;
- Provided advice regarding Customer Account Information and PII;
- Provided support for litigation related to SEC exemptive orders; and
- Provided support with regard to discussions with the SEC and its staff, including with respect to addressing interpretative and implementation issues.

(IV) Consulting Costs

The consulting costs of \$4,452,106 represent the fees paid to Deloitte for their role as project manager for the CAT from November 15, 2017 through November 15, 2018. During this period, Deloitte engaged in the following activities with respect to the CAT:

- Implemented program operations for the CAT project;
- Provided governance support to the Operating Committee, including support for Subcommittees and working groups of the Operating Committee (e.g., Compliance Subcommittee, Cost and Funding Working Group, Technical Working Group, Industry Outreach Working Group, Security Working Group and Steering Committee);
- Assisted with cost and funding issues for the CAT, including the development of the CAT funding model and assistance with loans and the CAT bank account for CAT funding;
- Provided support for updating the SEC on the progress of the development of the CAT; and
- Provided active planning and coordination with and support for the Initial Plan Processor with regard to the development of the CAT, and reported to the Participants on the progress.

(V) Insurance

CAT LLC did not incur costs related to insurance during the period from November 15, 2017 through November 15, 2018.

(VI) Professional and Administration Costs

The professional and administration costs of \$340,145 represent the fees paid to Anchin, Exegy and RSM from November 15, 2017 through November 15, 2018.

Financial Advisory Firm: Anchin. From the commencement of its engagement in April 2018 through November 15, 2018, Anchin engaged in the following activities with respect to the CAT:

- Developed, updated and maintained internal controls;

- Provided cash management and treasury functions;
- Facilitated bill payments;
- Provided monthly bookkeeping;
- Reviewed vendor invoices and documentation in support of cash disbursements;
- Provided accounting research and consultations on various accounting, financial reporting and tax matters;
- Addressed not-for-profit tax and accounting considerations;
- Prepared tax returns;
- Addressed various accounting, financial reporting and operating inquiries from Participants;
- Developed and maintained quarterly and annual operating and financial budgets, including budget to actual fluctuation analyses;
- Addressed accounting and financial matters relating to the transition from CAT NMS, LLC to Consolidated Audit Trail, LLC, including supporting the dissolution of CAT NMS, LLC;
- Supported compliance with the CAT NMS Plan;
- Worked with and provided support to the Operating Committee and various CAT working groups;
- Prepared monthly, quarterly and annual financial statements;
- Supported the annual financial statement audits by an independent auditor;
- Reviewed historical costs from inception; and
- Provided accounting and financial information in support of SEC filings.

Market Data Provider: Exegy. From July 2018 through November 15, 2018, CAT LLC purchased market data from Exegy (as described in more detail above).

Security Assessment: RSM. From October 2018 through November 15, 2018, CAT LLC incurred costs for RSM's performance of a security assessment (as described in more detail above).

(VII) Public Relations Costs

The public relations costs of \$87,325 represent the fees paid to Sloane from November 15, 2017 through November 15, 2018. From the commencement of its engagement in March 2018 through November 15, 2018, Sloane provided professional communications services to CAT, including media relations consulting, strategy and execution. Specifically, Sloane provided services related to communications with the public regarding the CAT, including monitoring developments related to the CAT (e.g., congressional efforts, public comments and reaction to proposals, press coverage of the CAT), reporting such developments to CAT LLC, and drafting and disseminating

communications to the public regarding such developments as well as reporting on developments related to the CAT (e.g., amendments to the CAT NMS Plan).

(c) Costs Paid to Initial Plan Processor From November 16, 2018 Through February 2019

Third, Historical CAT Costs 1 would not include the \$19,628,791 in costs paid to the Initial Plan Processor from November 16, 2018 through February 2019 when CAT LLC's relationship with the Initial Plan Processor concluded. CAT LLC determined that Historical CAT Costs 1 would not include any fees paid to the Initial Plan Processor after November 15, 2017,⁷¹ which was the date by which Participants were required to begin reporting to the CAT.⁷² As discussed above, the Participants determined that Historical CAT Costs 1 would not include all CAT costs incurred from November 15, 2017 through November 15, 2018 (as well as other CAT costs during this period). The remaining Initial Plan Processor costs incurred from November 15, 2017 through November 15, 2018 (as well as other CAT costs during this period) are the \$19,628,791 in costs for the period from November 16, 2018 through February 2019 incurred in the development of the CAT by the Initial Plan Processor, as well as a transition fee for the transition from the Initial Plan Processor to the successor Plan Processor. The Participants would remain responsible for 100% of these \$19,628,791 in costs.

(C) Historical Recovery Period 1

Under the CAT NMS Plan, the Operating Committee is required to reasonably establish the length of the Historical Recovery Period used in calculating each Historical Fee Rate based upon the amount of the Historical CAT Costs to be recovered by the Historical CAT Assessment, and to describe the reasons for its length.⁷³ The Historical Recovery Period used in calculating the Historical Fee Rate may not be less than 24 months or more than

⁷¹ As discussed below, CAT LLC believes that it is appropriate to recover costs related to the services performed by the Initial Plan Processor prior to November 15, 2017. See Item 3(a)(10)(E) below.

⁷² The SEC approved the CAT NMS Plan on November 15, 2016, and Participant reporting was required to begin on the first anniversary of this date, November 15, 2017. See Section 6.3 of the CAT NMS Plan and CAT NMS Plan Approval Order.

⁷³ Section 11.3(b)(i)(D)(I) and Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

five years.⁷⁴ The Operating Committee has determined to establish a Historical Recovery Period 1 of 24 months for Historical CAT Assessment 1.

The Operating Committee determined that the length of Historical Recovery Period 1 appropriately weighs the need for a reasonable Historical Fee Rate 1 that spreads the Historical CAT Costs over an appropriate amount of time and the need to repay the loans to the Participants in a timely fashion. The Operating Committee determined that 24 months for Historical Recovery Period 1 would establish a fee rate that is lower than other transaction-based fees, including fees assessed pursuant to Section 31.⁷⁵ In addition, in establishing a Historical Recovery Period of 24 months, the Operating Committee recognized that the total costs for Historical CAT Assessment 1 were less than the total costs for 2022 and 2023,⁷⁶ and therefore it would be reasonable and appropriate to recover costs subject to this filing over an approximate two-year period.

The length of the Historical Recovery Period 1 and the reasons for its length are provided in this filing in accordance with the requirement in the CAT NMS Plan to provide such information in a fee filing for a Historical CAT Assessment.⁷⁷

(D) Projected Total Executed Equivalent Share Volume

The calculation of Historical Fee Rate 1 also requires the determination of the projected total executed equivalent share volume of transactions in Eligible Securities for Historical Recovery Period 1. Under the CAT NMS Plan, the Operating Committee is required to “reasonably determine the projected total executed equivalent share volume of all transactions in Eligible Securities for each Historical Recovery Period based on the executed equivalent share volume of all transactions in Eligible Securities for the prior twelve months.”⁷⁸ The Operating Committee is

required to base its projection on the prior twelve months, but it may use its discretion to analyze the likely volume for the upcoming year. Such discretion would allow the Operating Committee to use its judgment when estimating projected total executed equivalent share volume if the volume over the prior twelve months was unusual or otherwise unfit to serve as the basis of a future volume estimate.⁷⁹

The total executed equivalent share volume of transactions in Eligible Securities for the 12-month period from June 2023 through May 2024 was 3,980,753,840,905.21 executed equivalent shares. The Operating Committee has determined to calculate the projected total executed equivalent share volume for the 24 months of Historical Recovery Period 1 by doubling the executed equivalent share volume for the prior 12 months. The Operating Committee determined that such an approach was reasonable as the CAT’s annual executed equivalent share volume has remained relatively constant. For example, the executed equivalent share volume for 2021 was 3,963,697,612,395, the executed equivalent share volume for 2022 was 4,039,821,841,560.31, and the executed equivalent share volume for 2023 was 3,868,940,345,680.6. Accordingly, the projected total executed equivalent share volume for Historical Recovery Period 1 is projected to be 7,961,507,681,810.42 executed equivalent shares.⁸⁰

The projected total executed equivalent share volume of all transactions in Eligible Securities for Historical Recovery Period 1 and a description of the calculation of the projection is provided in this filing in accordance with the requirement in the CAT NMS Plan to provide such information in a fee filing for a Historical CAT Assessment.⁸¹

(E) Historical Fee Rate 1

Historical Fee Rate 1 would be calculated by dividing Historical CAT Costs 1 by the reasonably projected total executed equivalent share volume of all transactions in Eligible Securities for Historical Recovery Period 1, as described in detail above.⁸² Specifically,

Historical Fee Rate 1 would be calculated by dividing \$318,059,819 by 7,961,507,681,810.42. As a result, the Historical Fee Rate 1 would be \$0.00003994969693072937 per executed equivalent share. Historical Fee Rate 1 is provided in this filing in accordance with the requirement in the CAT NMS Plan to provide the Historical Fee Rate in a fee filing for a Historical CAT Assessment.⁸³

(3) Past CAT Costs and Participants

Participants would not be required to pay any fees associated with Historical CAT Assessment 1 as the Participants previously have paid all Past CAT Costs. The CAT NMS Plan explains that:

Because Participants previously have paid Past CAT Costs via loans to the Company, Participants would not be required to pay any Historical CAT Assessment. In lieu of a Historical CAT Assessment, the Participants’ one-third share of Historical CAT Costs and such other additional Past CAT Costs as reasonably determined by the Operating Committee will be paid by the cancellation of loans made to the Company on a pro rata basis based on the outstanding loan amounts due under the loans.⁸⁴

The CAT NMS Plan further states that “Historical CAT Assessments are designed to recover two-thirds of the Historical CAT Costs.”⁸⁵

(4) Monthly Fees

CEBBs and CEBSs would be required to pay fees for Historical CAT Assessment 1 on a monthly basis for the period in which Historical CAT Assessment 1 is in effect.⁸⁶ A CEBB or CEBS’s fee for each month would be calculated based on the transactions in Eligible Securities executed by the CEBB or CEBS from the prior month.⁸⁷ Proposed paragraph (a)(1)(A)(i) of Rule 6897 would state that each CAT Executing Broker would receive its first invoice in November 2024, and “would receive an invoice each month thereafter in which Historical CAT Assessment 1

Securities for the Historical Recovery Period is reasonable.” See CAT Funding Model Approval Order, 88 FR 62628, 62664.

⁸³ Section 11.3(b)(iii)(B)(II)(A) of the CAT NMS Plan.

⁸⁴ Section 11.3(b)(ii) of the CAT NMS Plan.

⁸⁵ See *supra* note 84. In approving the CAT Funding Model, the Commission stated that “[t]he proposed allocation of the Historical CAT Assessment solely to CEBBs and CEBSs, and ultimately Industry Members, is reasonable. The Historical CAT Assessment will still be divided into thirds,” as the Participants’ one-third share of Historical CAT Costs will be paid by the cancellation of loans made to the Company. CAT Funding Model Approval Order, 88 FR 62628, 62666.

⁸⁶ See Section 11.3(b)(iii)(A) of the CAT NMS Plan.

⁸⁷ See proposed paragraph (a)(1)(A)(ii) of proposed Rule 6897.

⁷⁴ Section 11.3(b)(i)(D)(I) of the CAT NMS Plan. In the CAT Funding Model Approval Order, the SEC stated that “[i]n the Commission’s view, it is reasonable for the Operating Committee to establish the length of the Historical Recovery Period to be no less than 24 months and no more than five years.” CAT Funding Model Approval Order, 88 FR 62628, 62664.

⁷⁵ As the SEC noted in the CAT Funding Model Approval Order, recent Section 31 fees ranged from \$0.00009 per share to \$0.0004 per share. CAT Funding Model Approval Order, 88 FR 62628, 62682.

⁷⁶ The total CAT costs for 2022 were approximately \$186 million and the total CAT costs for 2023 were approximately \$233 million.

⁷⁷ Section 11.3(b)(iii)(B)(II)(C) of the CAT NMS Plan.

⁷⁸ Section 11.3(b)(i)(E) of the CAT NMS Plan.

⁷⁹ See CAT Funding Model Approval Order, 88 FR 62628, 62664.

⁸⁰ This projection was calculated by multiplying 3,980,753,840,905.21 executed equivalent shares by two.

⁸¹ Section 11.3(b)(iii)(B)(II)(D) of the CAT NMS Plan.

⁸² In approving the CAT Funding Model, the Commission stated that “[t]he calculation of the Historical Fee Rate by dividing the Historical CAT Costs by the projected total executed equivalent share volume of all transactions in Eligible

is in effect.” Proposed paragraph (a)(1)(A)(ii) would state that “Consolidated Audited Trail, LLC shall provide each CAT Executing Broker with an invoice for Historical CAT Assessment 1 on a monthly basis.” In addition, proposed paragraph (a)(2)(A) states that each CEBB and CEBS is required to pay its CAT fees “each month.”

(5) Actual Recovery Period for Historical CAT Assessment 1

The CAT NMS Plan states that, “[n]otwithstanding the length of the Historical Recovery Period used in calculating the Historical Fee Rate, each Historical CAT Assessment calculated using the Historical Fee Rate will remain in effect until all Historical CAT Costs for the Historical CAT Assessment are collected.”⁸⁸ Accordingly, Historical CAT Assessment 1 will remain in effect until all Historical CAT Costs 1 have been collected. The actual recovery period for Historical CAT Assessment 1 may be shorter or longer than Historical Recovery Period 1 depending on the actual executed equivalent share volumes during the time that Historical CAT Assessment 1 is in effect.⁸⁹

(6) Consolidated Audit Trail Funding Fees

To implement Historical CAT Assessment 1, FINRA proposes to adopt FINRA Rule 6897(a)(1)(A) (Historical CAT Assessment 1), including the proposed paragraphs described below.

(A) Historical CAT Assessment 1

The CAT NMS Plan states that:

Each month in which a Historical CAT Assessment is in effect, each CEBB and each CEBS shall pay a fee for each transaction in Eligible Securities executed by the CEBB or CEBS from the prior month as set forth in CAT Data, where the Historical CAT Assessment for each transaction will be calculated by multiplying the number of executed equivalent shares in the transaction by one-third and by the Historical Fee Rate reasonably determined pursuant to paragraph (b)(i) of this Section 11.3.⁹⁰

Accordingly, based on the factors discussed above, FINRA proposes to adopt paragraph (a)(1)(A) of FINRA Rule 6897, which would state that:

(i) Each CAT Executing Broker shall receive its first invoice for Historical CAT

Assessment 1 in November 2024, which shall set forth the Historical CAT Assessment 1 fees calculated based on transactions in October 2024, and shall receive an invoice for Historical CAT Assessment 1 for each month thereafter in which Historical CAT Assessment 1 is in effect.

(ii) Consolidated Audit Trail, LLC shall provide each CAT Executing Broker with an invoice for Historical CAT Assessment 1 on a monthly basis. Each month, such invoices shall set forth a fee for each transaction in Eligible Securities executed by the CAT Executing Broker in its capacity as a CAT Executing Broker for the Buyer (“CEBB”) and/or the CAT Executing Broker for the Seller (“CEBS”) (as applicable) from the prior month as set forth in CAT Data. The fee for each such transaction will be calculated by multiplying the number of executed equivalent shares in the transaction by the fee rate of \$0.000013 per executed equivalent share.

(iii) Historical CAT Assessment 1 will remain in effect until \$212,039,879.34 (two-thirds of Historical CAT Costs 1) are collected from CAT Executing Brokers collectively, which is estimated to be approximately two years, but could be for a longer or shorter period of time. Consolidated Audit Trail, LLC will provide notice when Historical CAT Assessment 1 will no longer be in effect.

(iv) Each CAT Executing Broker shall be required to pay each invoice for Historical CAT Assessment 1 in accordance with paragraph (a)(2) of this Rule.

As noted in the Plan amendment for the CAT Funding Model, as a practical matter, the fee filing for a Historical CAT Assessment would provide the exact fee per executed equivalent share to be paid for each Historical CAT Assessment, by multiplying the Historical Fee Rate by one-third and describing the relevant number of decimal places for the fee rate.⁹¹ Accordingly, proposed paragraph (a)(1)(A)(ii) of Rule 6897 would set forth a fee rate of \$0.000013 per executed equivalent share. This fee rate is calculated by multiplying Historical Fee Rate 1 of \$0.00003994969693072937 by one-third, and rounding the result to 6 decimal places.⁹² The Operating Committee determined to use six decimal places to balance the accuracy of the calculation with the potential systems and other impracticalities of using additional decimal places in the calculation.

The proposed language in paragraph (a)(1)(A)(i) would describe when CAT Executing Brokers would receive their first monthly invoice for Historical CAT Assessment 1. Specifically, CAT

Executing Brokers would receive their first monthly invoice for Historical CAT Assessment 1 in November 2024 and the fees set forth in that invoice would be calculated based on transactions executed in the prior month, that is, transactions executed in October 2024. The payment for the first invoice would be required within 30 days after the receipt of the first invoice (unless a longer period is indicated), as described in paragraph (a)(2)(B) of proposed Rule 6897.

Proposed paragraph (a)(1)(A)(i) also would describe the monthly cadence of the invoices for Historical CAT Assessment 1. Specifically, after the first invoices are provided to CAT Executing Brokers in November 2024, invoices will be sent to CAT Executing Brokers each month thereafter while Historical CAT Assessment 1 is in effect.

Proposed paragraph (a)(1)(A)(ii) would describe the invoices for Historical CAT Assessment 1. Proposed paragraph (a)(1)(A)(ii) would state that “Consolidated Audit Trail, LLC shall provide each CAT Executing Broker with an invoice for Historical CAT Assessment 1 on a monthly basis.” Proposed paragraph (a)(1)(A)(ii) also would describe the fees to be set forth in the invoices for Historical CAT Assessment 1. Specifically, it would state that “[e]ach month, such invoices shall set forth a fee for each transaction in Eligible Securities executed by the CAT Executing Broker in its capacity as a CAT Executing Broker for the Buyer (“CEBB”) and/or the CAT Executing Broker for the Seller (“CEBS”) (as applicable) from the prior month as set forth in CAT Data. The fee for each such transaction will be calculated by multiplying the number of executed equivalent shares in the transaction by the fee rate of \$0.000013 per executed equivalent share.”

Furthermore, proposed paragraph (a)(1)(A)(iii) would describe how long Historical CAT Assessment 1 would remain in effect. It would state that “Historical CAT Assessment 1 will remain in effect until \$212,039,879.34 (two-thirds of Historical CAT Costs 1) are collected from CAT Executing Brokers collectively, which is estimated to be approximately two years, but could be for a longer or shorter period of time.” This proposed paragraph would further state that “Consolidated Audit Trail, LLC will provide notice when Historical CAT Assessment 1 will no longer be in effect.”

Historical CAT Assessment 1 will be assessed for all transactions executed in each month through the end of the month in which two-thirds of Historical CAT Costs 1 are assessed, and then CAT

⁸⁸ Section 11.3(b)(i)(D)(II) of the CAT NMS Plan.

⁸⁹ In approving the CAT Funding Model, the Commission stated that “[i]n the Commission’s view, it is reasonable for Industry Members to be charged a Historical CAT Assessment until all Historical CAT Costs for the Historical CAT Assessment are collected.” See CAT Funding Model Approval Order, 88 FR 62628, 62665.

⁹⁰ Section 11.3(b)(iii)(A) of the CAT NMS Plan.

⁹¹ See CAT Funding Model Approval Order, 88 FR 62628, 62658 n.658.

⁹² Dividing \$0.00003994969693072937 by three equals \$0.00001331656564357646. Rounding \$0.00001331656564357646 to six decimal places equals \$0.000013.

LLC will provide notice that Historical CAT Assessment 1 is no longer in effect. Since Historical CAT Assessment 1 is a monthly fee based on transaction volume from the prior month, Historical CAT Assessment 1 may collect more than two-thirds of Historical CAT Costs 1. To the extent that occurs, any excess money collected during the final month in which Historical CAT Assessment 1 is in effect will be used to offset future fees and/or to fund the reserve for the CAT.

Finally, proposed paragraph (a)(1)(A)(iv) sets forth the requirement for the CAT Executing Brokers to pay the invoices for Historical CAT Assessment 1. It would state that “[e]ach CAT Executing Broker shall be required to pay each invoice for Historical CAT Assessment 1 in accordance with paragraph (a)(2) of this Rule.”

(B) Manner of Payment

Paragraph (a)(2) of Rule 6897 (Consolidated Audit Trail Funding Fees) describes the manner of payment of Industry Member CAT fees. Paragraph (a)(2)(A) states that “[e]ach CAT Executing Broker shall pay its CAT fees as required pursuant to paragraph (a)(1) of this Rule each month to the Consolidated Audit Trail, LLC in the manner prescribed by the Consolidated Audit Trail, LLC.” The CAT NMS Plan requires the Operating Committee to establish a system for the collection of CAT fees.⁹³ The Plan Processor has established a billing system for CAT fees.⁹⁴ Therefore, FINRA proposes to require CAT Executing Brokers to pay Historical CAT Assessment 1 in accordance with such system.

(C) Failure To Pay CAT Fees

The CAT NMS Plan further states that:

Participants shall require each Industry Member to pay all applicable fees authorized under this Article XI within thirty (30) days after receipt of an invoice or other notice indicating payment is due (unless a longer payment period is otherwise indicated). If an Industry Member fails to pay any such fee when due (as determined in accordance with the preceding sentence), such Industry Member shall pay interest on the outstanding balance from such due date until such fee is paid at a per annum rate equal to the lesser

of: (a) the Prime Rate plus 300 basis points; or (b) the maximum rate permitted by applicable law.⁹⁵

Accordingly, FINRA previously has added this requirement to Rule 6897. Paragraph (a)(2)(B) of Rule 6897 states:

Each CAT Executing Broker shall pay the CAT fees required pursuant to paragraph (a)(1) of this Rule within 30 days after receipt of an invoice or other notice indicating payment is due (unless a longer payment period is otherwise indicated). If a CAT Executing Broker fails to pay any such CAT fee when due, such CAT Executing Broker shall pay interest on the outstanding balance from such due date until such fee is paid at a per annum rate equal to the lesser of (i) the Prime Rate plus 300 basis points, or (ii) the maximum rate permitted by applicable law.

The requirements of paragraph (a)(2)(B) would apply to Historical CAT Assessment 1.

(7) Historical CAT Assessment Details

The CAT NMS Plan states that:

Details regarding the calculation of a CAT Executing Broker's Historical CAT Assessment will be provided upon request to such CAT Executing Broker. At a minimum, such details would include each CAT Executing Broker's executed equivalent share volume and corresponding fee by (1) Listed Options, NMS Stocks and OTC Equity Securities, (2) by transactions executed on each exchange and transactions executed otherwise than on an exchange, and (3) by buy-side transactions and sell-side transactions.⁹⁶

Such information would provide CEBBs and CEBs with the ability to understand the details regarding the calculation of their Historical CAT Assessment.⁹⁷ CAT LLC will provide CAT Executing Brokers with these details regarding the calculation of their Historical CAT Assessments on their monthly invoice for the Historical CAT Assessment.

In addition, CAT LLC will make certain aggregate statistics regarding Historical CAT Assessments publicly available. Specifically, the CAT NMS Plan states that, “[f]or each Historical CAT Assessment, at a minimum, CAT LLC will make publicly available the aggregate executed equivalent share volume and corresponding aggregate fee by (1) Listed Options, NMS Stocks and OTC Equity Securities, (2) by transactions executed on each exchange

and transactions executed otherwise on an exchange, and (3) by buy-side transactions and sell-side transactions.”⁹⁸ Such aggregate statistics will be available on the CAT website. Furthermore, CAT LLC will make publicly available on the CAT website the total amount invoiced each month that Historical CAT Assessment 1 is in effect as well as the total amount invoiced for Historical CAT Assessment 1 for all months since its commencement. CAT LLC also will make publicly available on the CAT website the total costs to be collected from Industry Members for Historical CAT Assessment 1. By reviewing statistics regarding how much has been invoiced and how much remains to be invoiced for Historical CAT Assessment 1, Industry Members would have sufficient information to reasonably track how much longer Historical CAT Assessment 1 is likely to be in place.

(8) Implementation Assistance

To assist Industry Members with compliance with the commencement of Historical CAT Assessment 1, CAT LLC has been making available to CAT Executing Brokers mock invoices prior to the commencement of Historical CAT Assessment 1. Specifically, CAT Executing Brokers have received mock invoices based on transaction data each month since November 2023. The mock invoices are in the same form as the actual, payable invoices, including both the relevant transaction data and the corresponding fee. However, no payments have been required in response to such mock invoices; they have been used solely to assist CAT Executing Brokers with the development of their processes for paying the CAT fees. Such data has provided CAT Executing Brokers with a preview of the transaction data used in creating the invoices for Historical CAT Assessment 1 fees, as the data is the same as data provided in actual invoices. Such data preview is intended to facilitate the payment of Historical CAT Assessment 1.

(9) Financial Accountability Milestones

The CAT NMS Plan states that “[n]o Participant will make a filing with the SEC pursuant to Section 19(b) of the Exchange Act regarding any Historical CAT Assessment until any applicable

⁹³ Section 11.4 of the CAT NMS Plan.

⁹⁴ The billing process and system are described in CAT Alert 2023-02 as well as the CAT FAQs related to the billing of CAT fees, the Industry Member CAT Reporter Portal User Guide, the FCAT Industry Member Onboarding Guide, the FCAT Connectivity Supplement for Industry Members and the CAT Billing Webinars (dated Sept. 28, 2023, and Nov. 7, 2023), each available on the CAT website.

⁹⁵ Section 11.4 of the CAT NMS Plan.

⁹⁶ Section 11.3(a)(iv)(A) of the CAT NMS Plan.

⁹⁷ In approving the CAT Funding Model, the Commission stated that, “[i]n the Commission's view, providing CAT Execut[ing] Brokers information regarding the calculation of their CAT Fees will aid in transparency and permit CAT Execut[ing] Brokers to confirm the accuracy of their invoices for CAT Fees.” See CAT Funding Model Approval Order, 88 FR 62628, 62667.

⁹⁸ Section 11.3(a)(iv)(B) of the CAT NMS Plan. In approving the CAT Funding Model, the Commission stated that “[t]he publication of the aggregate executed equivalent share volume and aggregate fee is appropriate because it would allow Participants and CAT Executing Brokers a high-level validation of executed volume and fees.” See CAT Funding Model Approval Order, 88 FR 62628, 62667.

Financial Accountability Milestone described in Section 11.6 has been satisfied.”⁹⁹ The CAT NMS Plan further states that “in all filings submitted by the Participants to the Commission under Section 19(b) of the Exchange Act, to establish or implement Post-Amendment Industry Member Fees pursuant to this Article, . . . the Participants shall clearly indicate whether such fees are related to Post-Amendment Expenses incurred during Period 1, Period 2, Period 3, or Period 4.”¹⁰⁰ As discussed in detail below, all applicable Financial Accountability Milestones for Historical CAT Assessment 1—that is, Period 1, Period 2 and Period 3 of the Financial Accountability Milestones—have been satisfied. Furthermore, as discussed below, this filing clearly indicates that Historical CAT Assessment 1 relates to Post-Amendment Expenses incurred during Periods 1, 2 and 3 of the Financial Accountability Milestones.

(A) Period 1 of the Financial Accountability Milestones

In accordance with Section 11.6(b) of the CAT NMS Plan, Historical CAT Assessment 1 seeks to recover costs that are related to “all fees, costs, and expenses (including legal and consulting fees, costs, and expenses) incurred by or for the Company in connection with the development, implementation and operation of the CAT from the effective date of [Section 11.6 of the CAT NMS Plan] until such time as Full Implementation of CAT NMS Plan Requirements has been achieved”¹⁰¹ (“Post-Amendment Expenses”) incurred during FAM Period 1. FAM Period 1 began on June 22, 2020, the effective date of Section 11.6 of the CAT NMS Plan, and concluded on July 31, 2020, the date of Initial Industry Member Core Equity and Options Reporting. Section 1.1 of the CAT NMS Plan defines “Initial Industry Member Core Equity and Options Reporting” as:

The reporting by Industry Members (excluding Small Industry Members that are not OATS reporters) of both: (a) equities transaction data, excluding Customer Account Information, Customer-ID, and Customer Identifying Information; and (b) options transaction data, excluding Customer Account Information, Customer-ID and Customer Identifying Information.”

Under Section 1.1 of the CAT NMS Plan, this Financial Accountability Milestone is considered complete as of

the date identified in the Participants’ Quarterly Progress Reports.¹⁰² As indicated by the Participants’ Quarterly Progress Report for the third quarter of 2020,¹⁰³ Initial Industry Member Core Equity and Option Reporting was completed on schedule on July 22, 2020, which is prior to the July 31, 2020 deadline.

Under the FAM Period 1 requirement of Initial Industry Member Core Equity and Options Reporting, Industry Members—excluding Small Industry Members that are not OATS reporters—were required to report two categories of data to the CAT: equities transaction data and options transaction data (both excluding Customer Account Information, Customer-ID, and Customer Identifying Information) by July 31, 2020. Pursuant to exemptive relief provided by the Commission, the Commission authorized the Participants’ Compliance Rules to allow core equity reporting for Industry Members (Phase 2a) to begin on June 22, 2020 and core options reporting for Industry Members (Phase 2b) to begin on July 20, 2020.¹⁰⁴

In adopting the FAMs, the Commission stated that the equities transaction reporting required for FAM Period 1 “is consistent with the functionality that the Participants describe on the CAT NMS Plan website as ‘Production Go-Live for Equities 2a file submission and data integrity validations.’”¹⁰⁵ The Phase 2a Industry Member Data is described in detail in the SEC’s Phased Reporting Exemptive Relief Order, and includes the following

¹⁰² The Quarterly Progress Reports are available at <https://www.catnmsplan.com/implementation-plan>.

¹⁰³ See CAT Q3 2020 Quarterly Progress Report (October 30, 2020), <https://catnmsplan.com/sites/default/files/2020-10/CAT-Q3-2020-QPR.pdf> and Updated CAT Q3 2020 Quarterly Progress Report (January 29, 2021), <https://catnmsplan.com/sites/default/files/2021-02/CAT-Q3-2020-QPR-Updated.pdf>.

¹⁰⁴ See Phased Reporting Exemptive Relief Order, *supra*, note 35. Under the CAT NMS Plan as adopted, the Participants were required, through their Compliance Rules, to require their Large Industry Members to commence reporting Industry Member Data to the Central Repository by November 15, 2018, and to require their Small Industry Members to commence reporting Industry Member Data to the Central Repository by November 15, 2019. See Sections 6.7(a)(v) and (vi) of the CAT NMS Plan. The SEC granted exemptive relief from these provisions of the CAT NMS Plan to allow for the phased implementation of Industry Member reporting via five phases addressing the reporting requirements for Phase 2a Industry Member Data, Phase 2b Industry Member Data, Phase 2c Industry Member Data, Phase 2d Industry Member Data and Phase 2e Industry Member Data.

¹⁰⁵ See Securities Exchange Act Release. No. 88890 (May 15, 2020), 85 FR 31322, 31330 n.97 (May 22, 2020) (“FAM Adopting Release”).

data related to Eligible Securities that are equities:

- All events and scenarios covered by OATS, which includes information related to the receipt or origination of orders, order transmittal, and order modifications, cancellations and executions;

- Reportable Events for: (1) proprietary orders, including market maker orders, for Eligible Securities that are equities; (2) electronic quotes in listed equity Eligible Securities (*i.e.*, NMS stocks) sent to a national securities exchange or FINRA’s Alternative Display Facility (“ADF”); (3) electronic quotes in unlisted Eligible Securities (*i.e.*, OTC Equity Securities) received by an Industry Member operating an interdealer quotation system (“IDQS”); and (4) electronic quotes in unlisted Eligible Securities sent to an IDQS or other quotation system not operated by a Participant or Industry Member;

- Firm Designated IDs (“FDIDs”), which Industry Members must report to the CAT as required by Sections 6.3(d)(i)(A) and 6.4(d)(ii)(C) of the CAT NMS Plan;

- Industry Members would be required to report all street side representative orders, including both agency and proprietary orders and mark such orders as representative orders, except in certain limited exceptions as described in the Industry Member Technical Specifications;

- The link between the street side representative order and the order being represented when: (1) the representative order was originated specifically to represent a single order received either from a customer or another broker-dealer; and (2) there is (a) an existing direct electronic link in the Industry Member’s system between the order being represented and the representative order and (b) any resulting executions are immediately and automatically applied to the represented order in the Industry Member’s system;

- Manual and Electronic Capture Time for Manual Order Events;

- Special handling instructions for the original receipt or origination of an order during Phase 2a; and

- When routing an order, whether the order was routed as an intermarket sweep order (“ISO”).

In Phase 2a, Industry Members were not required to report modifications of a previously routed order in certain limited instances, nor were they required to report a cancellation of an order received from a Customer after the order has been executed.¹⁰⁶

¹⁰⁶ See Phased Reporting Exemptive Relief Order, 85 FR 23075, 23076–78.

⁹⁹ Section 11.3(b)(iii)(B)(III) of the CAT NMS Plan.

¹⁰⁰ Section 11.6(b) of the CAT NMS Plan.

¹⁰¹ Section 11.6 of the CAT NMS Plan

The Quarterly Progress Report for the third quarter of 2020 states that “Interim Step: Production Go-Live for Equities 2a file submission and data integrity validation (Large Industry Members and Small OATS Reporters)” was completed on June 22, 2020. Accordingly, the FAM Period 1 requirement of reporting by Industry Members (excluding Small Industry Members that are not OATS reporters) of “equities transaction data, excluding Customer Account Information, Customer-ID, and Customer Identifying Information” was completed on June 22, 2020.

In adopting the FAMs, the Commission stated that the options transaction reporting required for FAM Period 1 is “consistent with the functionality that the Participants describe on the CAT NMS Plan website as ‘Production Go-Live for Options 2b file submission and data integrity validations.’”¹⁰⁷ The Phase 2b Industry Member Data is described in detail in the SEC’s Phased Reporting Exemptive Relief Order, and includes the Industry Member Data related to Eligible Securities that are options and related to simple electronic option orders, excluding electronic paired option orders. A simple electronic option order is an order to buy or sell a single option that is not related to or dependent on any other transaction for pricing and timing of execution that is either received or routed electronically by an Industry Member. Electronic receipt of an order is defined as the initial receipt of an order by an Industry Member in electronic form in standard format directly into an order handling or execution system. Electronic routing of an order is the routing of an order via electronic medium in standard format from one Industry Member’s order handling or execution system to an exchange or another Industry Member. An electronic paired option order is an electronic option order that contains both the buy and sell side that is routed to another Industry Member or exchange for crossing and/or price improvement as a single transaction on an exchange. Responses to auctions of simple orders and paired simple orders would be reportable in Phase 2b. Furthermore, combined orders in options would be treated in Phase 2b in the same way as equity representative orders are treated in Phase 2a. A combined order would mean, as permitted by SRO rules, a single, simple order in Listed Options created by combining individual, simple orders in Listed Options from a customer with the same exchange origin code before routing to an exchange.

During Phase 2b, the single combined order sent to an exchange must be reported and marked as a combined order, but the linkage to the underlying orders is not required to be reported until Phase 2d.¹⁰⁸

The Quarterly Progress Report for the third quarter of 2020 states that “Interim Step: Production Go-Live for Options 2b file submission and data integrity validations” was completed on July 20, 2020. Accordingly, the FAM Period 1 requirement of reporting by Industry Members (excluding Small Industry Members that are not OATS reporters) of “options transaction data, excluding Customer Account Information, Customer-ID and Customer Identifying Information” was completed on July 20, 2020.

As discussed above, the Historical CAT Costs 1 to be recovered via Historical CAT Assessment 1 would include fees, costs and expenses incurred by or for the Company in connection with the development, implementation and operation of the CAT during the period from June 22, 2020 through July 31, 2020. The total costs for this period, as discussed above, are \$6,377,343. Participants would remain responsible for one-third of this cost (which they have previously paid), and Industry Members would be responsible for the remaining two-thirds, with CEBBs paying one-third (\$2,125,781) and CEBBs paying one-third (\$2,125,781).

(B) Period 2 of the Financial Accountability Milestones

Historical CAT Assessment 1 seeks to recover costs that are related to Post-Amendment Expenses incurred during FAM Period 2. FAM Period 2 began on August 1, 2020, and concluded on December 31, 2020, the date of the Full Implementation of Core Equity Reporting. Section 1.1 of the CAT NMS Plan defines “Full Implementation of Core Equity Reporting” as:

the point at which: (a) Industry Member reporting (excluding reporting by Small Industry Members that are not OATS reporters) for equities transactions, excluding Customer Account Information, Customer-ID, and Customer Identifying Information, is developed, tested, and implemented at a 5% Error Rate or less and with sufficient intra-firm linkage, inter-firm linkage, national securities exchange linkage, and trade reporting facilities linkage to permit the Participants and the Commission to analyze the full lifecycle of an order across the national market system, excluding linkage of representative orders, from order origination through order execution or order

cancellation; and (b) the query tool functionality required by Section 6.10(c)(i)(A) and Appendix D, Sections 8.1.1–8.1.3 and Section 8.2.1 incorporates the Industry Member equities transaction data described in condition (a) and is available to the Participants and to the Commission. This Financial Accountability Milestone shall be considered complete as of the date identified in a Quarterly Progress Report meeting the requirements of Section 6.6(c).

Under Section 1.1 of the CAT NMS Plan, this Financial Accountability Milestone is considered complete as of the date identified in the Participants’ Quarterly Progress Reports. As indicated by the Participants’ Quarterly Progress Report for the fourth quarter of 2020,¹⁰⁹ Full Implementation of Core Equity Reporting was completed on schedule by December 31, 2020.

Specifically, the Full Implementation of Core Equity Reporting requires the satisfaction of two prongs. The first prong requires Participants to have fully implemented the first phase of equities transaction reporting for Industry Members (excluding Small Industry Members that are not OATS reporters) at an Error Rate of less than 5%. In addition, equities transaction data produced by the CAT at this stage must also be sufficiently interlinked so as to permit full analysis of an order’s lifecycle across the national market, excluding full linkage of representative orders. As CAT LLC reported on its Quarterly Progress Reports, Phase 2a was fully implemented as of October 26, 2020, including intra-firm, inter-firm, national securities exchange, and trade reporting facilities linkages.¹¹⁰ In addition to the reporting of Phase 2a Industry Member Data as described above with regard to FAM Period 1, the following linkage data was added to the CAT as described in the Quarterly Progress Reports for the third and fourth quarter of 2020:

- “Production Go-Live for Equities 2a Intrafirm Linkage validations” was completed on 7/27/2020;¹¹¹
- “Production Go-Live for Firm to Firm Linkage validations for Equities 2a (Large Industry Members and Small OATS Reporters)” was completed on October 26, 2020; and
- “Production Go-Live for Equities 2a Exchange and TRF Linkage validations (Large Industry Members and Small

¹⁰⁹ See CAT Q4 2020 Quarterly Progress Report (January 29, 2021), <https://catnmsplan.com/sites/default/files/2021-02/CAT-Q4-2020-QPR.pdf>.

¹¹⁰ For a description of the requirements of Phases 2a, see Phased Reporting Exemptive Relief Order, *supra* note 35.

¹¹¹ See CAT Q3 2020 Quarterly Progress Report (October 30, 2021), <https://catnmsplan.com/sites/default/files/2020-10/CAT-Q3-2020-QPR.pdf>.

¹⁰⁷ See *supra* note 105 at 31322, 31330 n.98.

¹⁰⁸ See Phased Reporting Exemptive Relief Order, 85 FR 23075, 23078.

OATS Reporters)” was completed on October 26, 2020.

Furthermore, as CAT LLC reported on its Quarterly Progress Report for the fourth quarter of 2020, the average overall error rate for Phase 2a Industry Member Data was less than 5% as of December 31, 2020. The average overall error rate was calculated by dividing the compliance errors by processed records.

The second prong of this FAM requires that the equities transaction data collected by the CAT at this stage be made available to regulators through two basic query tools required by the CAT NMS Plan—a targeted query tool that will enable regulators to retrieve data via an online query screen with a variety of predefined selection criteria, and a user-defined direct query tool that will provide regulators with the ability to query data using all available attributes and data sources.¹¹² As CAT LLC reported on its Quarterly Progress Reports, the query tool functionality incorporating the data from Phase 2a was available to the Participants and the Commission as of December 31, 2020.¹¹³

The Commission has determined that the Participants have sufficiently complied with the conditions set forth in the 2020 Orders and with the technical requirements for Quarterly Progress Reports set forth in Section 6.6(c) of the CAT NMS Plan for purposes of determining compliance with this FAM.¹¹⁴

As discussed above, Historical CAT Costs 1 to be recovered via Historical CAT Assessment 1 would include fees, costs and expenses incurred by or for the Company in connection with the development, implementation and operation of the CAT during the period from August 1, 2020 through December 31, 2020. The total costs for this period, as discussed above, are \$42,976,478. Participants would remain responsible for one-third of this cost (which they have previously paid), and Industry Members would be responsible for the

remaining two-thirds, with CEBBs paying one-third (\$14,325,492.70) and CEBBs paying one-third (\$14,325,492.70).

(C) Period 3 of the Financial Accountability Milestones

Historical CAT Assessment 1 seeks to recover costs that are related to Post-Amendment Expenses incurred during FAM Period 3. FAM Period 3 began on January 1, 2021, and concluded on December 31, 2021, the date of the Full Availability and Regulatory Utilization of Transactional Database Functionality. Section 1.1 of the CAT NMS Plan defines “Full Availability and Regulatory Utilization of Transactional Database Functionality” as:

the point at which: (a) reporting to the Order Audit Trail System (“OATS”) is no longer required for new orders; (b) Industry Member reporting for equities transactions and simple electronic options transactions, excluding Customer Account Information, Customer-ID, and Customer Identifying Information, with sufficient intra-firm linkage, inter-firm linkage, national securities exchange linkage, trade reporting facilities linkage, and representative order linkages (including any equities allocation information provided in an Allocation Report) to permit the Participants and the Commission to analyze the full lifecycle of an order across the national market system, from order origination through order execution or order cancellation, is developed, tested, and implemented at a 5% Error Rate or less; (c) Industry Member reporting for manual options transactions and complex options transactions, excluding Customer Account Information, Customer-ID, and Customer Identifying Information, with all required linkages to permit the Participants and the Commission to analyze the full lifecycle of an order across the national market system, from order origination through order execution or order cancellation, including any options allocation information provided in an Allocation Report, is developed, tested, and fully implemented; (d) the query tool functionality required by Section 6.10(c)(i)(A) and Appendix D, Sections 8.1.1–8.1.3, Section 8.2.1, and Section 8.5 incorporates the data described in conditions (b)–(c) and is available to the Participants and to the Commission; and (e) the requirements of Section 6.10(a) are met. This Financial Accountability Milestone shall be considered complete as of the date identified in a Quarterly Progress Report meeting the requirements of Section 6.6(c).

Under Section 1.1 of the CAT NMS Plan, this Financial Accountability Milestone is considered complete as of the date identified in the Participants’ Quarterly Progress Reports. As indicated by the Participants’ Quarterly Progress Report for the fourth quarter of 2021,¹¹⁵

Full Availability and Regulatory Utilization of Transactional Database Functionality was completed on schedule by December 31, 2021.

Specifically, the “Full Availability and Regulatory Utilization of Transactional Database Functionality” requires the satisfaction of five prongs. The first prong requires that reporting to OATS is no longer required for new orders. As CAT LLC reported on its Quarterly Progress Report for the fourth quarter of 2021,¹¹⁶ FINRA retired OATS effective September 1, 2021.¹¹⁷ Accordingly, after the retirement of OATS, reporting to OATS was no longer required.

In addition to Phase 2a and Phase 2b Industry Member Data, the second and third prongs of “Full Availability and Regulatory Utilization of Transactional Database Functionality” require Industry Member reporting of Phase 2c Industry Member Data and Phase 2d Industry Member Data. The Phase 2c Industry Member Data is described in detail in the SEC’s Phased Reporting Exemptive Relief Order. That Order states that “Phase 2c Industry Member Data” is Industry Member Data related to Eligible Securities that are equities other than Phase 2a Industry Member Data, Phase 2d Industry Member Data, or Phase 2e Industry Member Data. Specifically, the Phase 2c Industry Member Data includes Industry Member Data that is related to Eligible Securities that are equities and that is related to: (1) Allocation Reports as required to be recorded and reported to the Central Repository pursuant to Section 6.4(d)(ii)(A)(1) of the CAT NMS Plan; (2) quotes in unlisted Eligible Securities sent to an IDQS operated by a CAT Reporter (reportable by the Industry Member sending the quotes) (except for quotes reportable in Phase 2d, as discussed below); (3) electronic quotes in listed equity Eligible Securities (*i.e.*, NMS stocks) that are not sent to a national securities exchange or FINRA’s Alternative Display Facility; (4) reporting changes to client instructions regarding modifications to algorithms; (5) marking as a representative order any order originated to work a customer order in price guarantee scenarios, such as a guaranteed VWAP; (6) flagging rejected external routes to indicate a route was not accepted by the receiving destination; (7) linkage of duplicate electronic messages related to a Manual Order Event between the electronic

¹¹² Section 6.10(c)(i)(A) of the CAT NMS Plan requires the Plan Processor to “provide Participants and the SEC with access to all CAT Data stored in the Central Repository” via an “online targeted query tool.” Appendix D, Sections 8.1.1–8.1.3 of the CAT NMS Plan describes the required functionality associated with this regulatory tool. Appendix D, Section 8.2.1 describes the required functionality associated with a user-defined direct query tool that will “deliver large sets of data that can then be used in internal surveillance or market analysis applications.”

¹¹³ See Q3 2020 Quarterly Progress Report (October 30, 2020); Updated Q3 2020 Quarterly Progress Report (January 29, 2021); and Q4 2020 Quarterly Progress Report (January 29, 2021).

¹¹⁴ See Securities Exchange Act Release No. 98848 (November 2, 2023), 88 FR 77128, 77129 n.13 (November 8, 2023) (“Settlement Exemptive Order”).

¹¹⁵ See CAT Q4 2021 Quarterly Progress Report (January 27, 2022), <https://catnmsplan.com/sites/default/files/2022-01/CAT-Q4-2021-QPR.pdf>.

¹¹⁶ See *supra* note 115.

¹¹⁷ See Securities Exchange Act Release No. 92239 (June 23, 2021), 86 FR 34293 (June 29, 2021) (Notice of Filing and Immediate Effectiveness of File No. SR-FINRA-2021-017).

event and the original manual route; (8) special handling instructions on order route reports (other than the ISO, which is required to be reported in Phase 2a); (9) quote identifier on trade events; (10) reporting of LTIDs (if applicable) for accounts with Reportable Events that are reportable to CAT as of and including Phase 2c; (11) reporting of date account opened or Account Effective Date (as applicable) for accounts and reporting of a flag indicating the Firm Designated ID type as account or relationship; (12) order effective time for orders that are received by an Industry Member and do not become effective until a later time; (13) the modification or cancellation of an internal route of an order; and (14) linkages to the customer orders(s) being represented for representative order scenarios, including agency average price trades, net trades, aggregated orders, and disconnected Order Management System (“OMS”)—Execution Management System (“EMS”) scenarios, as required in the Industry Member Technical Specifications.¹¹⁸

Phase 2c Industry Member Data also includes electronic quotes that are provided by or received in a CAT Reporter’s order/quote handling or execution systems in Eligible Securities that are equities and are provided by an Industry Member to other market participants off a national securities exchange under the following conditions: (1) an equity bid or offer is displayed publicly or has been communicated (a) for listed securities to the ADF operated by FINRA; or (b) for unlisted equity securities to an “interdealer quotation system,” as defined in FINRA Rule 6420(c); or (2) an equity bid or offer which is accessible electronically by customers or other market participants and is immediately actionable for execution or routing; *i.e.*, no further manual or electronic action is required by the responder providing the quote in order to execute or cause a trade to be executed). With respect to OTC Equity Securities, OTC Equity Securities quotes sent by an Industry Member to an IDQS operated by an Industry Member CAT Reporter (other than such an IDQS that does not match and execute orders) are reportable by the Industry Member sending them in Phase 2c. Accordingly, any response to a request for quote or other form of solicitation response provided in a standard electronic format (*e.g.*, FIX) that meets this quote definition (*i.e.*, an equity bid or offer which is accessible electronically by customers or other

market participants and is immediately actionable for execution or routing) would be reportable in Phase 2c.¹¹⁹

The Phase 2d Industry Member Data is described in detail in the SEC’s Phased Reporting Exemptive Relief Order. “Phase 2d Industry Member Data” is Industry Member Data that is related to Eligible Securities that are options other than Phase 2b Industry Member Data, Industry Member Data that is related to Eligible Securities that are equities other than Phase 2a Industry Member Data or Phase 2c Industry Member Data, and Industry Member Data other than Phase 2e Industry Member Data. Phase 2d Industry Member Data includes with respect to the Eligible Securities that are options: (1) simple manual orders; (2) electronic and manual paired orders; (3) all complex orders with linkages to all CAT-reportable legs; (4) LTIDs (if applicable) for accounts with Reportable Events for Phase 2d; (5) date account opened or Account Effective Date (as applicable) for accounts with an LTID and flag indicating the Firm Designated ID type as account or relationship for such accounts; (6) Allocation Reports as required to be recorded and reported to the Central Repository pursuant to Section 6.4(d)(ii)(A)(1) of the CAT NMS Plan; (7) the modification or cancellation of an internal route of an order; and (8) linkage between a combined order and the original customer orders. Phase 2d Industry Member Data also would include electronic quotes that are provided by or received in a CAT Reporter’s order/quote handling or execution systems in Eligible Securities that are options and are provided by an Industry Member to other market participants off a national securities exchange under the following conditions: a listed option bid or offer which is accessible electronically by customers or other market participants and is immediately actionable (*i.e.*, no further action is required by the responder providing the quote in order to execute or cause a trade to be executed). Accordingly, any response to a request for quote or other form of solicitation response provided in standard electronic format (*e.g.*, FIX) that meets this definition is reportable in Phase 2d for options.¹²⁰

Phase 2d Industry Member Data also includes with respect to Eligible Securities that are options or equities (1) receipt time of cancellation and modification instructions through Order Cancel Request and Order Modification Request events; (2) modifications of

previously routed orders in certain instances; and (3) OTC Equity Securities quotes sent by an Industry Member to an IDQS operated by an Industry Member CAT Reporter that does not match and execute orders. In addition, subject to any exemptive or other relief, Phase 2d Industry Member Data will include verbal or manual quotes on an exchange floor or in the over-the-counter market, where verbal quotes and manual quotes are defined as bids or offers in Eligible Securities provided verbally or that are provided or received other than via a CAT Reporter’s order handling and execution system (*e.g.*, quotations provided via email or instant messaging).¹²¹

The Quarterly Progress Report for the fourth quarter of 2021 states that “Phase 2a was fully implemented as of October 26, 2020;” “Phase 2b was fully implemented as of January 4, 2021;” “Phase 2c was implemented as of April 26, 2021;” and “Phase 2d was fully implemented as of December 13, 2021.”¹²² The Quarterly Progress Reports for 2021 provide additional detail regarding the implementation of these steps including the following:

- “Production Go-Live for Equities 2c reporting requirements (Large Industry Members)” was completed on April 26, 2021;
- “LTID Account Information Reporting Go-Live for Phases 2a, 2b and 2c (Large Industry Members)” was completed on April 26, 2021;
- “FCAT Plan Processor creates linkages of the lifecycle of order events based on the received data through Phase 2d Production Go-Live for Options 2d reporting requirements (Large Industry Members)” was completed on December 13, 2021;
- “Production Go-Live for Options 2d reporting requirements (Large Industry Members)” was completed on December 13, 2021;
- “Production Go-Live for Options 2b reporting requirements (Small OATS Reporters and Small Non-OATS Reporters)” was completed on December 13, 2021;
- “Production Go-Live for Equities 2c reporting requirements (Small OATS Reporters and Small Non-OATS Reporters)” was completed on December 13, 2021;
- “Production Go-Live for Options 2d reporting requirements (Small OATS Reporters and Small Non-OATS Reporters)” was completed on December 13, 2021;

¹²¹ See *supra* note 118, at 23079–80.

¹²² See CAT Q4 2021 Quarterly Progress Report (January 27, 2022), <https://catnmsplan.com/sites/default/files/2022-01/CAT-Q4-2021-QPR.pdf>.

¹¹⁸ See Phase Reporting Exemptive Relief Order, 85 FR 23075, 23078–79.

¹¹⁹ See *supra* note 118, at 23079.

¹²⁰ See *supra* note 118.

- “LTID Account Information Reporting Go-Live for Phases 2d (Large Industry Members)” was completed on December 13, 2021; and

- “LTID Account Information Reporting Go-Live for Phases 2a, 2b, 2c and 2d (Small Industry Members)” was completed on December 13, 2021.¹²³

The third prong of “Full Availability and Regulatory Utilization of Transactional Database Functionality” also imposes an Error Rate requirement of 5% or less. The Quarterly Progress Report for the fourth quarter of 2021 states the average overall error rate was less than 5% as of December 31, 2021. The average overall error rate was calculated by dividing the compliance errors by processed records.

The fourth prong of “Full Availability and Regulatory Utilization of Transactional Database Functionality” requires that the data collected by the CAT at this stage be made available to regulators through an online targeted query tool, and a user-defined direct query tool. As CAT LLC reported on its Quarterly Progress Report for the fourth quarter of 2021, the query tool functionality incorporating the data from Phases 2a, 2b, 2c and 2d was available to the Participants and to the Commission as of December 31, 2021.¹²⁴

The fifth prong requires the requirements of Section 6.10(a) of the CAT NMS Plan to have been met. Section 6.10(a) of the CAT NMS Plan requires the Participants to use the tools described in Appendix D to “develop and implement a surveillance system, or enhance existing surveillance systems, reasonably designed to make use of the consolidated information contained in the Central Repository.” FINRA implemented a surveillance system, or enhanced existing surveillance systems, reasonably designed to make use of the consolidated information contained in the Central Repository as of December 31, 2021 in accordance with Section 6.10(a) of the CAT NMS Plan.¹²⁵

The Commission has determined that the Participants have sufficiently complied with the conditions set forth in the 2020 Orders and with the technical requirements for Quarterly

Progress Reports set forth in Section 6.6(c) of the CAT NMS Plan for purposes of determining compliance with this FAM.¹²⁶

As discussed above, Historical CAT Costs 1 to be recovered via Historical CAT Assessment 1 would include fees, costs and expenses incurred by or for the Company in connection with the development, implementation and operation of the CAT during the period from January 1, 2021 through December 31, 2021. The total costs for this period, as discussed above, are \$144,415,268. Participants would remain responsible for one-third of this cost (which they have previously paid), and Industry Members would be responsible for the remaining two-thirds, with CEBBs paying one-third (\$48,138,422.70) and CEBBs paying one-third (\$48,138,422.70).

(D) Additional Considerations Related to the Financial Accountability Milestones

As discussed above, CAT LLC has satisfied the Financial Accountability Milestones (“FAMs”) for Periods 1 through 3.¹²⁷ As discussed below, none of the circumstances related to NIA Electronic RFQ Responses, the 2023 Verbal Quotes Exemption, the November 2023 Order, or Executing Broker reporting, affect the conclusion that the FAMs for Periods 1 through 3 were satisfied in a timely fashion.

(i) NIA Electronic RFQ Responses

CAT LLC does not believe that the exemptive relief relating to the reporting of electronic responses for quotes (“RFQs”) that are not immediately actionable (“NIA Electronic RFQ Responses”) affect the conclusion that FAMs 1 through 3 have been satisfied. The only reason CAT LLC pursued this relief is because certain Industry Members introduced concerns that NIA Electronic RFQ Responses could be considered “orders” reportable pursuant to Rule 613(j)(8) and some Industry Members were not prepared to report such orders to CAT. Thus, the relief was requested on behalf of Industry Members. CAT LLC itself has not taken any position on whether NIA Electronic RFQ Responses are “orders,” as the definition of “order” is an SEC rule and

the trading processes for NIA Electronic RFQ Responses are the Industry Members’, not those of the Participants or CAT LLC. Accordingly, CAT LLC stated in its letter that “Industry Members must determine whether trading interest falls within the definition of an ‘order’ for CAT purposes. To the extent an NIA Electronic RFQ Response is not considered an ‘order’ as defined in Rule 613(j)(8) and the CAT NMS Plan, it would not be reportable to CAT.”¹²⁸

Only “orders” as defined in SEC Rule 613(j)(8) are reportable to CAT. There is no agreement across the industry or among regulators as to whether NIA Electronic RFQ Responses are “orders” reportable to CAT. Certain Industry Members have raised the question as to whether NIA Electronic RFQ Responses are orders, but others have argued that they are not orders under Rule 613(j)(8).¹²⁹ Indeed, members of the Advisory Committee, which CAT LLC relies upon for guidance with regard to Industry Member issues, have not had a definitive view on whether NIA Electronic RFQ Responses are orders. As Rule 613(j)(8) is an SEC rule, CAT LLC believes that only the SEC can provide a definitive determination as to if, and under what circumstances, an NIA Electronic RFQ Response is considered an “order” reportable to CAT. The issue has persisted for some time. As a result, CAT LLC filed an exemptive request regarding NIA Electronic RFQ Responses for clarity on the interpretive issue. As recently as April 2024, Industry Members have re-raised this issue stating that the SEC agrees that it must provide additional guidance on this interpretive issue to resolve the CAT reporting issue for NIA Electronic RFQ Responses:

As further discussed in the prior FIF letters, even if the Commission had the legal authority to require the reporting of NIA RFQ responses to CAT without an amendment to Rule 613, the Commission has not provided guidance to industry members as to the conditions under which NIA RFQ responses would be reportable to CAT. In subsequent discussions with industry members, Commission representatives have agreed that, prior to NIA RFQ responses being reportable to CAT, it would be necessary for the Commission to provide further guidance to industry members as to the conditions under

¹²³ See CAT Q2 2021 Quarterly Progress Report (July 27, 2021), <https://catnmsplan.com/sites/default/files/2021-07/CAT-Q2-2021-QPR.pdf>; and CAT Q4 2021 Quarterly Progress Report (Jan. 27, 2022), <https://catnmsplan.com/sites/default/files/2022-01/CAT-Q4-2021-QPR.pdf>.

¹²⁴ See CAT Q4 2021 Quarterly Progress Report (Jan. 27, 2022), <https://catnmsplan.com/sites/default/files/2022-01/CAT-Q4-2021-QPR.pdf>.

¹²⁵ See Q1 2021 Quarterly Progress Report (Apr 30, 2021); Q2 2021 Quarterly Progress Report (July 27, 2021); Q3 2021 Quarterly Progress Report (November 1, 2021); Q4 2021 Quarterly Progress Report (January 27, 2022).

¹²⁶ See Settlement Exemptive Order, 88 FR 77128, 77129 n.13.

¹²⁷ In May 2020, the Commission adopted amendments to the CAT NMS Plan that establish four Financial Accountability Milestones and set target deadlines by which these milestones must be achieved. These amendments also reduce the amount of any fees, costs, and expenses that may be recovered from Industry Members if the Participants fail to meet the target deadlines. See FAM Adopting Release.

¹²⁸ See Letter from Brandon Becker, Chair, CAT NMS Plan Operating Committee, to Vanessa Countryman, Secretary, SEC, dated February 13, 2024, at 2.

¹²⁹ See, e.g., Letter from Howard Meyerson, Managing Director, FIF, to Sai Rao, Counsel for Trading and Markets, Office of the Chair, SEC, dated April 25, 2024.

which NIA RFQ responses would be reportable to CAT.¹³⁰

On May 20, 2024, the Commission granted CAT LLC's request for exemptive relief from certain CAT reporting requirements pertaining to NIA Electronic RFQ Responses to the extent such responses are considered "orders" reportable pursuant to Rule 613(j)(8).¹³¹ The Commission, however, did not provide additional guidance regarding the conditions under which NIA Electronic RFQ Responses would be reportable to CAT. The Commission stated in its exemptive order that "[t]o the extent that the Participants are availing themselves of exemptive relief from a CAT NMS Plan requirement, such requirement shall not be included in the requirements for the Financial Accountability Milestones, provided that any conditions of the exemption are satisfied."¹³²

When the Commission proposed the FAMs, the Participants expressed concern that, "by conditioning the ability of CAT LLC and the Participants to collect Post-Amendment Industry Member Fees on factors dependent on the efforts of Industry Members, the Commission's proposals inadvertently establish a perverse incentive for Industry Members to devote less than maximum efforts to comply with their obligations related to the CAT as they will pay less fees in such instances."¹³³ The Participants further warned that "Industry Members may request or require unanticipated reporting delays to address Industry Member implementation issues or concerns," but that, "[f]aced with financial penalties for missed deadlines, the Participants may not be able to fully address legitimate industry concerns or accommodate requests for delays with respect to future deadlines."¹³⁴ CAT LLC has engaged in good faith to help address NIA Electronic RFQ Responses and other concerns relevant to the ability of Industry Members to meet their CAT reporting obligations. CAT LLC should not be penalized financially for seeking in good faith to resolve a difficult interpretive issue for the benefit of Industry Members.

(ii) 2023 Verbal Quotes Exemption

CAT LLC does not believe that the Commission's May 19, 2023 order

granting temporary exemptive relief relating to certain verbal floor activity and unstructured verbal and electronic upstairs activity (the "2023 Verbal Quotes Exemption") affects the conclusion that FAMs 1 through 3 have been satisfied. The 2023 Verbal Quotes Exemption, which was issued on May 19, 2023, is not relevant for purposes of FAM Periods 1 through 3, which only cover the period through December 31, 2021. The relevant exemption for this time period is the Commission's November 12, 2020 order, which granted relief for the same activity through July 31, 2023 (the "2020 Verbal Quotes Order").¹³⁵ The Commission has stated that, "[t]o the extent that the Participants are availing themselves of exemptive relief from a CAT NMS Plan requirement, such requirement shall not be included in the requirements for a Financial Accountability Milestone, provided that the conditions of the exemption are satisfied."¹³⁶ Here, the 2020 Verbal Quotes Order was in effect and the conditions of the exemption were satisfied as of December 31, 2021, and therefore may be relied upon for purposes of determining compliance with FAM Periods 1 through 3.¹³⁷

(iii) November 2023 Order

CAT LLC does not believe that the Commission's November 2, 2023 order granting relief from certain CAT NMS Plan requirements (the "November 2023 Order")¹³⁸ affects the conclusion that FAMs 1 through 3 have been satisfied. The November 2023 Order is not relevant for purposes of FAM Periods 1 through 3, which only cover the period through December 31, 2021. As

described in the November 2023 Order, the relevant exemptive orders for this time period were issued on December 16, 2020, which also states that "the Commission has determined that the Participants have sufficiently complied with the conditions set forth in the prior Orders and with the technical requirements for Quarterly Progress Reports set forth in section 6.6(c) of the CAT NMS Plan, including for purposes of determining compliance with any applicable Financial Accountability Milestones."¹³⁹ The November 2023 Exemption Order is consistent with the Commission's repeated statements in the FAM adopting release that it would have "authority to grant exemptive relief from any requirement associated with a particular Financial Accountability Milestone," citing Section 36 of the Exchange Act and Rule 608.¹⁴⁰ Similarly, the CAT NMS Plan expressly contemplates the

Commission's ability to grant exemptive relief from any CAT NMS Plan requirement.¹⁴¹

(iv) Executing Broker Reporting

CAT LLC also completed the requirements of FAM Period 2, including the required linkages, by December 31, 2020. Although Participant exchanges may report the Executing Broker to CAT differently in certain situations, these reporting differences are irrelevant for linkage purposes as the fields used for CAT Executing Broker are not used for linkage.

¹³⁹ See November 2023 Order, 88 FR 77128, 77129 n.13.

¹⁴⁰ See FAM Adopting Release at 31335 (May 22, 2020). Section 36 of the Exchange Act grants the Commission the authority to "conditionally or unconditionally exempt any person, security, or transaction . . . from any provision or provisions of [the Exchange Act] or of any rule or regulation thereunder, to the extent that such exemption is necessary or appropriate in the public interest, and is consistent with the protection of investors." 15 U.S.C. 78mm(a)(1). Under Rule 608(e) of Regulation NMS, the Commission may "exempt from [Rule 608], either unconditionally or on specified terms and conditions, any self-regulatory organization, member thereof, or specified security, if the Commission determines that such exemption is consistent with the public interest, the protection of investors, the maintenance of fair and orderly markets and the removal of impediments to, and perfection of the mechanism of, a national market system." 17 CFR 242.608(e).

¹⁴¹ Section 12.3 of the CAT NMS Plan ("[T]o the extent the SEC grants exemptive relief applicable to any provision of this Agreement, Participants and Industry Members shall be entitled to comply with such provision pursuant to the terms of the exemptive relief so granted at the time such relief is granted irrespective of whether this Agreement has been amended.")

¹³⁰ See *supra* note 129.

¹³¹ Securities Exchange Act Release No. 100181 (May 20, 2024), 89 FR 45715 (May 23, 2024).

¹³² See *supra* note 131, 89 FR 45715, 45716 n.11.

¹³³ See Letter from Michael Simon, CAT NMS Plan Operating Committee Chair, to Vanessa Countryman, Secretary, SEC, dated October 28, 2019, at 9.

¹³⁴ See *supra* note 133 at 10.

¹³⁵ See Securities Exchange Act Release No. 90405 (November 12, 2020), 85 FR 73544 (November 18, 2020) (the "2020 Verbal Quotes Exemption").

¹³⁶ See, e.g., Securities Exchange Act Release No. 89051 (June 11, 2020), 85 FR 36631, 36633 (June 17, 2020). The straightforward reading of the Commission's statement is that compliance with the conditions of an exemption will be measured as of the deadline for a particular FAM Period.

¹³⁷ As a condition to the 2020 Verbal Quotes Exemption, the Commission required that the Participants provide a written status update on the reporting of these quotes and orders by July 31, 2022, including the estimated costs of reporting these quotes and orders and an implementation plan for the reporting of these quotes and orders. As noted, the 2020 Verbal Quotes Order was in effect and the conditions of the exemption were satisfied as of December 31, 2021, and therefore may be relied upon for purposes of determining compliance with FAM Periods 1 through 3. In any event, on June 3, 2022, the Participants provided the required written status update. See Letter from Michael Simon, CAT NMS Plan Operating Committee Chair, to Vanessa Countryman, Secretary, SEC, dated June 3, 2022.

¹³⁸ See Securities Exchange Act Release No. 98848 (November 2, 2023), 88 FR 77128 (November 8, 2023) (the "November 2023 Order").

(10) Additional Support for Reasonableness of Historical CAT Costs

The CAT Funding Model approved by the Commission permits the recovery of reasonable costs in each of the categories of CAT costs sought to be recovered via Historical CAT Assessment 1.¹⁴² As described in detail above and in further detail below, the CAT costs to be recovered for each category are reasonable. The following discusses in further detail how each of the following costs are reasonable: (1) costs incurred prior to the effective date of the CAT NMS Plan; (2) cloud hosting services costs; (3) costs related to funding model filings; (4) costs related to litigation with the SEC regarding the CAT NMS Plan; (5) costs related to the Initial Plan Processor; (6) CAIS implementation costs; (7) public relations costs; (8) legal costs related to the limitation of liability provision in the CAT Reporter agreements; and (9) costs for the Chair of CAT Operating Committee. As discussed in detail below, each of these costs is reasonable and should be recoverable in accordance with the CAT Funding Model.

(A) Costs Incurred Prior to the Effective Date of CAT NMS Plan

CAT LLC believes that it is reasonable to seek recovery of costs incurred prior to when the CAT NMS Plan became effective in November 2016, such as legal and consulting fees incurred to create the CAT NMS Plan. Rule 613 specifically mandates that the CAT be created, implemented and maintained, and further provides that the CAT NMS Plan include a proposed allocation of estimated costs to fund the creation, implementation and maintenance of the CAT among the Participants (referred to as “plan sponsors”), and between the Participants and Industry Members (referred to as “members of the plan sponsors”).¹⁴³ Consistent with Rule 613, the CAT NMS Plan, as approved by the Commission, specifically authorizes charging Industry Members fees for costs reasonably incurred prior to the date of the approval of the CAT NMS Plan by the Commission in November 2016, including legal and consulting costs. Section 11.1(c) of the CAT NMS Plan states that:

[i]n determining fees on Participants and Industry Members the Operating Committee shall take into account fees, costs and expenses (including legal and consulting fees and expenses) reasonably incurred by

Participants on behalf of the Company prior to the Effective Date in connection with the creation and implementation of the CAT.

Accordingly, the CAT NMS Plan specifically permits the recovery of costs, including legal and consulting costs, reasonably incurred prior to November 2016 in connection with the creation and implementation of the CAT.

Furthermore, the costs incurred to create and implement the CAT prior to the effective date of the CAT NMS Plan (“Pre-Formation Costs”) were reasonable both in scope and amount, in accordance with the requirements of Section 11.1(c) of the CAT NMS Plan. During the four-year period from 2012 to 2016, a total of \$13,842,881 in Pre-Formation Costs were incurred. This is an average of approximately \$3.5 million per year over this period. The Pre-Formation Costs fell into three categories: legal costs, consulting costs and public relations costs. This includes legal costs of \$3,196,434; consulting costs of \$10,589,273; and public relations costs of \$57,174. The legal, consulting and public relations services were performed by WilmerHale, Deloitte and Peppercomm, respectively. The selection considerations and fees for these three firms are described in detail above and are described further below. The Pre-Formation Costs are direct costs of CAT, which have been funded entirely by the Participants through non-interest-bearing notes. The Pre-Formation Costs do not include the significant costs incurred by each of the individual Participants in responding to the adoption of Rule 613.

The Pre-Formation Costs are reasonable and appropriate as they reflect the extensive efforts that were necessary to create the CAT NMS Plan as mandated after the SEC’s adoption of Rule 613. As described in more detail below, these efforts included, among other things, developing a plan for selecting the Plan Processor, soliciting and evaluating bids, engaging a diverse set of market participants and the SEC in the development of the Plan, interacting with the SEC in their oversight of the development of the Plan, and seeking appropriate exemptive relief to address areas of concern in Rule 613.¹⁴⁴

¹⁴⁴ The Participants described in detail the process for drafting the CAT NMS Plan in its original filing of the CAT NMS Plan. See Letter from Mike Simon, on behalf of the Participants of the CAT NMS Plan, to Brent J. Fields, Secretary, SEC, dated September 30, 2014. A non-exclusive list of filings and activities associated with CAT, including certain pre-2016 filings, are available on the SEC’s website: <https://www.sec.gov/divisions/marketreg/rule613-info>.

(i) Request for Proposal (“RFP”)

The Participants determined to utilize an RFP to ensure that potential alternative solutions for creating the Plan could be presented and considered, and that a detailed and meaningful cost-benefit analysis could be performed. The SEC supported the use of an RFP, and approved its use as it is described in extensive detail in the CAT NMS Plan.¹⁴⁵

In the context of the SEC’s adoption of Rule 613, commenters urged the Commission to utilize an RFP process to assist in the planning and design of the NMS plan.¹⁴⁶ Specifically, the Commission explained:

In this regard, several commenters suggested that the Commission undergo a RFP or request for information (“RFI”) process to create and implement a consolidated audit trail. Specifically, FIF urged the Commission to perform a RFP process “to determine the best technical solution for developing a consolidated audit trail.” FIF suggested that the Commission “should outline a set of goals and guiding principles they are striving to achieve as part of the adopted CAT filing and leave the determination of data elements and other technical requirements to [an] industry working group.” Similarly, Direct Edge suggested that Commission staff should form and engage in a working group to develop an RFP for publication by the Commission. DirectEdge explained that an RFP process would facilitate the identification of the costs and benefits of the audit trail, as well as the consideration of a wider range of technological solutions. Further, commenters, including Broadridge Financial Solutions, Inc., a technology provider, also requested more specific information about the audit trail system to better assess the Commission’s initial cost estimates and to determine the best approach to the consolidated audit trail.¹⁴⁷

In response to these comments, the Commission modified Rule 613 to require the Participants to address certain important considerations regarding the features and details of the NMS plan and to extend the timeframe for submission of the CAT NMS Plan by the Participants from the 90 days as originally proposed to 270 days, in part, to accommodate a process that would address these considerations.¹⁴⁸ As the

¹⁴⁵ See detailed discussion of RFP questions in Appendix C of the CAT NMS Plan, and incorporation of RFP requirements in Appendix D at D–2.

¹⁴⁶ For example, in its comments on proposed Rule 613, FIF suggested “that the SROs should select the processor through a ‘request for proposal.’” See Rule 613 Adopting Release at 45785.

¹⁴⁷ See Rule 613 Adopting Release, 77 FR 45722, 45738–39.

¹⁴⁸ See Rule 613 Adopting Release, 77 FR 45722, 45739.

¹⁴² See Sections 11.1(a)(i) and 11.3(b)(iii)(B)(III) of the CAT NMS Plan.

¹⁴³ See, e.g., Rule 613(a)(1)(vii)(D) of SEC Regulation NMS.

SEC noted, “[i]n light of the numerous specific requirements of Rule 613, the Participants concluded that publication of a request for proposal (‘RFP’) was necessary to ensure that potential alternative solutions to creating the consolidated audit trail can be presented and considered by the Participants and that a detailed and meaningful cost/benefit analysis can be performed, both of which are required considerations to be addressed in the CAT NMS Plan.”¹⁴⁹

The SEC specifically recognized that the Participants planned to use an RFP when it approved the Selection Plan, and stated that the RFP was a reasonable approach.¹⁵⁰ As the SEC described in its approval order for the Selection Plan, “[t]he Participants filed the [Selection] Plan to govern how the SROs will proceed with formulating and submitting the CAT NMS Plan—and, as part of that process, how to review, evaluate, and narrow down the bids submitted in response to the RFP (‘Bids’)—and ultimately choosing the plan processor that will build, operate, and maintain the consolidated audit trail (‘Plan Processor’).”¹⁵¹ After evaluating the Selection Plan, including the use of an RFP process, the Commission stated that it “believes the [Selection] Plan is reasonably designed to govern the process by which the SROs will formulate and submit the CAT NMS Plan, including the review, evaluation, and narrowing down of Bids in response to the RFP, and ultimately choosing the Plan Processor that will build, operate, and maintain the consolidated audit trail.”¹⁵² On February 26, 2013, the Participants published an RFP soliciting bids from parties interested in serving as the plan processor for the CAT. Initially, 31 firms submitted intentions to bid. In the following months, the Participants engaged with potential bidders with respect to, among other things, the selection process, selection criteria, and potential bidders’ questions and concerns. On March 21, 2014, the Participants received ten bids in response to the RFP.

(ii) Selection Plan

On September 4, 2013, the Participants filed with the Commission a national market system plan to govern

the process for Participant review of the bids submitted in response to the RFP, the procedures for evaluating the bids, and, ultimately, selection of the plan processor (the “Selection Plan”).¹⁵³ The Commission approved the Selection Plan as filed on February 21, 2014.¹⁵⁴ In approving the Selection Plan, the Commission concluded that “it is reasonably designed to achieve its objective of facilitating the development of the CAT NMS Plan and the selection of the Plan Processor.”¹⁵⁵

The Selection Plan divided the review and evaluation of bids, and the selection of the plan processor, into various stages. Specifically, pursuant to the Selection Plan, a selection committee reviewed all bids and determined which bids contained sufficient information to allow the Participants to meaningfully assess and evaluate the bids. The ten submitted bids were deemed “Qualified Bids,” and so passed to the next stage, in which each bidder presented its bids to the Participants on a confidential basis. On July 1, 2014, after conducting careful analysis and comparison of the bids, the Selection Committee voted and selected a shortlist of six eligible bidders. The Selection Committee determined which shortlisted bidders would be provided the opportunity to revise their bids. After the Selection Committee assessed and evaluated the revised bids, the Selection Committee selected the plan processor via two rounds of voting by the Participants, as described in the Selection Plan.

The Selection Plan established an Operating Committee responsible for formulating, drafting, and filing with the Commission the CAT NMS Plan and for ensuring that the Participants’ joint obligations under Rule 613 were met in a timely and efficient manner. In formulating the CAT NMS Plan, the Participants also engaged multiple persons across a wide range of roles and expertise, engaged the consulting firm Deloitte as project manager, and engaged the law firm WilmerHale to serve as legal counsel in drafting the Plan. Within this structure, the Participants focused on, among other things, comparative analyses of the proposed technologies and operating models, development of funding models to support the building and operation of the CAT, and detailed review of governance considerations. Given the complexity and scope of developing the

CAT NMS Plan, these efforts were extensive.

When it approved the CAT NMS Plan in 2016, the Commission reiterated its belief that the Selection Plan remains a “reasonable approach,” that “the competitive bidding process to select the Plan Processor is a reasonable and effective way to choose a Plan Processor,” and that “the process set forth in the Selection Plan should be permitted to continue”:

In approving the Selection Plan, the Commission stated that the Selection Plan is reasonably designed to achieve its objective of facilitating the development of the CAT NMS Plan and the selection of the Plan Processor. The Commission also found that the Selection Plan is reasonably designed to govern the process by which the SROs will formulate and submit the CAT NMS Plan, including the review, evaluation, and narrowing down of Bids in response to the RFP, and ultimately choosing the Plan Processor that will build, operate, and maintain the consolidated audit trail. The Commission believes that the process set out in the Selection Plan for selecting a Plan Processor remains a reasonable approach, which will facilitate the selection of Plan Processor through a fair, transparent and competitive process and that no modifications to the Selection Plan are required to meet the approval standard. . . . In response to the comment that offered support for a specific Bidder, the Commission agrees with the Participants that the competitive bidding process to select the Plan Processor is a reasonable and effective way to choose a Plan Processor and thus believes that the process set forth in the Selection Plan should be permitted to continue.¹⁵⁶

(iii) Engagement With Market Participants and SEC

During the process of developing the CAT NMS Plan, the Participants engaged in extensive and meaningful dialogue with market participants and the SEC. To this end, the Participants created a website to update the public on the progress of the CAT NMS Plan, published a request for comment on multiple issues related to the Plan, held multiple public events to inform the industry of the progress of the CAT and to address inquiries, and formed, and later expanded, a DAG to solicit more input from a representative industry group.¹⁵⁷

The DAG included representatives of Participants and Industry Members and conducted meetings to discuss, among other things, technical and operational aspects the Participants were considering for the Plan. The

¹⁴⁹ See Securities Exchange Act Release No. 71596 (February 21, 2014), 79 FR 11152, 11152 (February 27, 2014) (“Selection Plan Approval Order”).

¹⁵⁰ See *supra* note 149.

¹⁵¹ See Selection Plan Approval Order, 79 FR 11152, 11153.

¹⁵² See Selection Plan Approval Order, 79 FR 11152, 11159.

¹⁵³ See Securities Exchange Act Release No. 70892 (November 15, 2013), 78 FR 69910 (November 21, 2013).

¹⁵⁴ See Selection Plan Approval Order.

¹⁵⁵ See Selection Plan Approval Order, 79 FR 11152, 11160.

¹⁵⁶ See CAT NMS Plan Approval Order, 81 FR 84696, 84737.

¹⁵⁷ See Section D(11) of Appendix C of the CAT NMS Plan.

Participants issued press releases soliciting participants for the DAG, and a wide spectrum of firms was deliberately chosen to provide insight from various industry segments affected by CAT. The DAG meetings included discussions of topics such as option market maker quote reporting, requirements for capturing Customer IDs, timestamps and clock synchronization, reporting requirements for order handling scenarios, costs and funding, error handling and corrections, and potential elimination of systems made redundant by the CAT. From the inception of the DAG through September 2014, the DAG participated in 36 meetings, as well as a variety of DAG subcommittee meetings.

(iv) Request for Exemption From Certain Requirements Under Rule 613

Following multiple discussions between the Participants and both the DAG and the bidders, as well as among the Participants themselves, the Participants recognized that some provisions of Rule 613 would not permit certain solutions to be included in the Plan that the Participants, in coordination with the DAG, determined advisable to effectuate the most efficient and cost-effective CAT. Specifically, “the SROs reached the conclusion that additional flexibility in certain of the minimum requirements specified in Rule 613 would allow them to propose a more efficient and cost-effective approach without adversely affecting the reliability or accuracy of CAT Data, or its security and confidentiality.”¹⁵⁸ Consequently, the Participants submitted a request for exemptive relief from certain provisions of Rule 613 regarding: (1) options market maker quotes; (2) Customer-IDs; (3) CAT-Reporter-IDs; (4) CAT-Order-IDs on allocation reports; and (5) timestamp granularity.¹⁵⁹ The Participants filed two supplements to the request for exemptive relief.¹⁶⁰

After reviewing the exemptive request, the Commission determined that it was appropriate in the public interest and consistent with the protection of investors to grant the requested exemptive relief.¹⁶¹ In

granting the exemptive relief, the Commission stated:

[T]he Commission is persuaded to provide flexibility in the discrete areas discussed in the Exemption Request so that the alternative approaches can be included in the CAT NMS Plan and subject to notice and comment. Doing so could allow for more efficient and cost-effective approaches than otherwise would be permitted. The Commission at this stage is not deciding whether the proposed approaches detailed below are more efficient or effective than those in Rule 613. However, the Commission believes the proposed approaches should be within the permissible range of alternatives available to the SROs.¹⁶²

The Commission further stated that the requested exemptive relief is consistent with the protection of investors. The Commission noted that:

Doing so will provide the public an opportunity to consider and comment on whether these proposed alternative approaches would indeed be more efficient and cost-effective than those otherwise required by Rule 613, and whether such approaches would adversely affect the reliability or accuracy of CAT Data or otherwise undermine the goals of Rule 613. Moreover, if—as the SROs represent—efficiency gains and cost savings would result from including the proposed approaches in the CAT NMS Plan without adverse effects, then the resultant benefits could potentially flow to investors (*e.g.*, lower broker-dealer reporting costs resulting in fewer costs passed on to Customers).¹⁶³

The Participants incorporated the exemptive relief into the proposed CAT NMS Plan, which was noticed for comment, and the Commission ultimately approved the CAT NMS Plan with the more efficient and cost-effective alternative approaches described in the exemptive relief. Accordingly, the Participants believe that the costs incurred in developing the exemptive request were critical to the creation of a better CAT than was originally contemplated by Rule 613, and therefore should be recoverable as part of Historical CAT Assessment 1.

(v) Request for Extensions for Filing the CAT NMS Plan

Rule 613(a)(1) under Regulation NMS required the Participants to jointly file the CAT NMS Plan on or before April 28, 2013, less than a year after the adoption of Rule 613. In recognition of the complexity of the project to create the CAT NMS Plan as well as industry interest in limiting or eliminating certain requirements of Rule 613 (*e.g.*, addressing the reporting of options market maker quotes), the Participants requested two extensions of the

deadline to file the CAT NMS Plan. The Participants described the need for additional time as follows:

The SROs stated in their Request Letter that they do not believe that the 270-day time period provided for in Rule 613(a)(1) provides sufficient time for the development of the RFP, formulation and submission of bids, and review and evaluation of such bids. The SROs also stated that they believe additional time beyond the 270 days provided for in Rule 613(a)(1) is necessary in order to provide sufficient time for effective consultation with and input from the industry and the public on the proposed solution chosen by the SROs for the creation of the consolidated audit trail at the conclusion of the RFP process and the NMS plan itself.¹⁶⁴

In recognition of the need for additional time to refine the technical description of and requirements for the CAT and to allow for additional evaluation of the proposed cost and funding considerations, the SEC granted two extensions of this deadline.¹⁶⁵ The SEC determined that both extensions were appropriate, in the public interest, and consistent with the protection of investors.¹⁶⁶ In reaching this conclusion, the Commission stated that “it understands that the creation of a consolidated audit trail is a significant undertaking and that a proposed NMS plan must include detailed information and discussion about many things.”¹⁶⁷ The SEC also noted the following:

This additional time to complete the RFP process should allow the SROs to engage in a more thoughtful and comprehensive process for the development of an NMS plan. In this regard, the Commission notes that the additional time to solicit comment from the industry and the public at certain key points in the development of the NMS plan could identify issues that can be resolved earlier in the development of the consolidated audit trail and prior to filing the NMS plan with the Commission.¹⁶⁸

Given the Commission’s recognition of the reasonableness and value of the extension of the deadline to file the CAT NMS Plan, the Participants believe that the costs incurred in developing the extension request were important to the process of developing the CAT NMS Plan, and therefore should be

¹⁵⁸ Securities Exchange Release No. 77265 (March 1, 2016), 81 FR 11856, 11856 (March 7, 2016) (“2016 Exemptive Order”).

¹⁵⁹ See Letter from Robert Colby, FINRA, on behalf of the SROs, to Brent J. Fields, Secretary, SEC, dated January 30, 2015.

¹⁶⁰ See Letter from Robert Colby, FINRA, on behalf of the SROs, to Brent J. Fields, Secretary, SEC, dated April 3, 2015; Letter from the SROs to Brent J. Fields, Secretary, SEC, dated September 2, 2015.

¹⁶¹ See 2016 Exemptive Order.

¹⁶² See 2016 Exemptive Order, 81 FR 11856, 11857.

¹⁶³ See *supra* note 162.

¹⁶⁴ See Securities Exchange Act Release No. 69060 (March 7, 2013), 78 FR 15771, 15772 (March 12, 2013) (“March 2013 Exemptive Order”).

¹⁶⁵ See March 2013 Exemptive Order; Securities Exchange Act Release No. 71018 (December 6, 2013), 78 FR 75669 (December 12, 2013) (“December 2013 Exemptive Order”).

¹⁶⁶ March 2013 Exemptive Order, 78 FR 15771, 15772; December 2013 Exemptive Order, 78 FR 75669, 75670.

¹⁶⁷ March 2013 Exemptive Order, 78 FR 15771, 15772.

¹⁶⁸ See *supra* note 167, at 15773.

recoverable as part of Historical CAT Assessment 1.

(vi) Submission and Approval of the CAT NMS Plan

After extensive analyses and discussions with the DAG, bidders, market participants and the SEC staff, the Participants finalized the draft of the CAT NMS Plan and filed the CAT NMS Plan with the SEC on September 30, 2014. Following additional discussions, the Participants filed several amendments to the CAT NMS Plan during 2015 and 2016. With these additional changes, the SEC published the CAT NMS Plan for notice and comment in May 2016.¹⁶⁹ Following the comment period, the SEC approved the Plan in November 2016.¹⁷⁰

(vii) Legal Costs Incurred Prior to the Effective Date of the CAT NMS Plan

The Pre-Formation Costs include legal costs of \$3,196,434. The legal services were performed by WilmerHale. The selection considerations and fees for WilmerHale were described in detail above. Prior to the creation of CAT LLC, WilmerHale was engaged to represent the consortium of SROs, not the individual Participants. For administrative purposes, FINRA agreed to receive such legal bills, although such costs were shared among the Participants. Therefore, the legal costs incurred with respect to WilmerHale do not include legal costs incurred by the individual Participants. These pre-formation legal costs are described in detail above and are further described below:

- Analyzed various legal matters associated with the Selection Plan and drafted an amendment to Selection Plan;
- Assisted with the RFP and bidding process for the CAT Plan Processor;
- Analyzed legal matters related to the DAG;
- Drafted the CAT NMS Plan, analyzed various items related to the CAT NMS Plan, and responded to comment letters on the CAT NMS Plan;
- Provided legal support for the formation of the legal entity, the governance of the CAT, including governance support prior to the adoption of the CAT NMS Plan, which involved support for the full committee of exchanges and FINRA as well as subcommittees of this group (e.g., Joint Subcommittee Group, Technical, Industry Outreach, Cost and Funding, and Other Products) and the DAG, and

governance support during the transition to the new governance structure under the CAT NMS Plan;

- Drafted exemptive requests;
- Provided interpretations related to the CAT NMS Plan;
- Provided support with regard to discussions among the exchanges, FINRA and other third parties, such as Deloitte;
- Provided tax advice with regard to CAT's status as a tax-exempt organization; and
- Provided support with regard to discussions with the SEC and its staff, including with respect to addressing interpretive and implementation issues.

(viii) Consulting Costs Incurred Prior to the Effective Date of the CAT NMS Plan

The Pre-Formation Costs include consulting costs of \$10,589,273. The consulting services were performed by Deloitte. The selection considerations and fees for Deloitte were described in detail above. Prior to the creation of CAT LLC, for administrative purposes, Deloitte was engaged by FINRA to provide consulting services related to CAT, but the costs were shared by the consortium of SROs per agreement. Therefore, the consulting costs incurred with respect to Deloitte do not include consulting costs incurred by the individual Participants. The pre-formation consulting costs include the following:

- Established and implemented program operations for the CAT project, including the program management office and workstream design;
- Assisted with the Plan Processor selection process, including but not limited to, the development of the RFP and the bidder evaluation process, and facilitation and consolidation of the Participants' independent reviews;
- Assisted with the development and drafting of the CAT NMS Plan, including conducting cost-benefit studies, reviewing technical requirements of other NMS plans, analyzing OATS and CAT requirements, and drafting appendices to the Plan;
- Provided governance support to the CAT, including governance support prior to the adoption of the CAT NMS Plan, which involved support for the full committee of exchanges and FINRA as well as subcommittees of this group (e.g., Joint Subcommittee Group, Technical, Industry Outreach, Cost and Funding, and Other Products) and the DAG;
- Provided support for updating the SEC on the progress of the development of the CAT;
- Provided support for industry outreach sessions, including with regard

to program design and agenda development, program support and logistics and coordination; and

- Provided support in fact finding, drafting content and meeting coordination for WilmerHale with regard to the CAT and the development of the CAT NMS Plan.

Such Pre-Formation Costs did not include costs related to the Chair of the CAT NMS Plan Operating Committee, as the CAT NMS Plan had not yet been adopted.

(ix) Public Relations Costs Incurred Prior to the Effective Date of the CAT NMS Plan

The Pre-Formation Costs include public relations costs of \$57,174. The public relations services were performed by Peppercomm. The selection considerations and fees for Peppercomm are described in detail above. The costs related to Peppercomm were shared among the SROs. Therefore, the public relations costs do not include public relations costs incurred by the individual Participants. The pre-formation public relations costs include services related to communications with the public regarding the CAT, including monitoring developments related to the CAT (e.g., congressional efforts, public comments and reaction to proposals, press coverage of the CAT), reporting such developments to CAT LLC, and drafting and disseminating communications to the public regarding such developments as well as reporting on developments related to the CAT.

(B) Cloud Hosting Services

In approving the CAT Funding Model, the Commission recognized that it is appropriate to recover reasonable costs related to cloud hosting services as a part of Historical CAT Assessments. CAT LLC believes that the costs related to cloud hosting services described in detail above are reasonable and appropriate given the strict data processing timelines and storage requirements imposed by the Commission-approved CAT NMS Plan and should be recoverable as a part of Historical CAT Assessment 1.

(i) Reasonableness of AWS Costs Given the Requirements of the CAT NMS Plan

CAT LLC believes that the costs for the cloud hosting services are reasonable, both in terms of the level of the fees paid by CAT LLC for cloud hosting services provided by AWS and the scope of the services performed by AWS for CAT LLC. CAT LLC believes that both the scope and amount of the costs for cloud hosting services are reasonable given the current

¹⁶⁹ See Securities Exchange Act Release No. 77724 (April 27, 2016), 81 FR 30614 (May 17, 2016).

¹⁷⁰ See CAT NMS Plan Approval Order.

requirements of the CAT NMS Plan adopted pursuant to Rule 613, including the strict data processing timeline, storage and other technical requirements under the Commission-approved CAT NMS Plan.

CAT LLC believes that the level of fees for the cloud hosting services is reasonable, taking into consideration a variety of factors, including the expected volume of data and the breadth of services provided and market rates for similar services.

CAT LLC also believes that the scope of services provided by AWS for the CAT are appropriate given the current requirements of the Commission-approved CAT NMS Plan. As described above, the cloud hosting services costs reflect a variety of factors including, among other things:

- **Breadth of Cloud Activities.** AWS was engaged by FCAT, the Plan Processor, to provide a broad range of services to the CAT, including data ingestion, data management, and analytic tools. Services provided by AWS necessary to the CAT include storage services, databases, compute services, and other services (such as networking, management tools and development operations (“DevOps”) tools). AWS also was engaged to provide the various environments for CAT, such as the development, performance testing, test and production environments, which are required by the CAT NMS Plan.

- **High Data Volume.** The cost for AWS services for the CAT is a function of the volume of CAT Data. While it is not linear, the greater the amount of CAT Data, the greater the cost of AWS services to the CAT. The data volume handled by AWS now far exceeds the original volume estimates for the CAT.

- **Plan Requirements.** The cost for AWS services also reflects the technical requirements necessary to meet the stringent performance and other requirements for processing CAT Data. These Plan-dictated processing timelines, storage, testing, security and other technical requirements are significant drivers of AWS costs.

- **Cost Avoidance Efforts.** CAT LLC and FCAT have engaged in ongoing efforts to seek to avoid and minimize AWS costs where permissible under the Plan. Accordingly, these cost avoidance efforts have limited the extent of AWS costs.

In addition, various requirements of the CAT NMS Plan adopted pursuant to Rule 613 contribute to the significant cloud hosting services costs, and that various Plan requirements could be amended or removed without affecting the regulatory purpose of the CAT.

Indeed, CAT LLC has repeatedly sought exemptive relief and filed amendments to the CAT NMS Plan, and has even filed suit against the Commission, to seek to revise or eliminate certain costly requirements related to the CAT. However, despite these efforts, absent the Commission granting exemptive relief or approving cost savings amendments to the CAT NMS Plan, CAT LLC, the Participants and Industry Members are all required to comply with such requirements.

(ii) Effect of CAT Design on CAT Costs

(a) Efficient CAT Design

CAT is reasonably designed to efficiently and effectively utilize cloud computing and storage services, given the requirements of the Commission-approved CAT NMS Plan, including requirements related to security, operational reliance and quality assurance, and maintainability.

The Plan Processor uses state-of-the-art software that meets the strict security standards of the CAT NMS Plan. CAT utilizes a big data processing framework that is extensively used by large data processing companies, such as Apple, Meta, Netflix, IBM and Google. As such, it has substantial commercial support and support in the open-source community. It is also well suited for use with regard to iterative types of algorithms and query functions and analytics that the CAT requires, and it provides the heightened security necessary for the CAT.

The development and implementation of the design of CAT is not and has not been static. CAT LLC and the Plan Processor are always evaluating new innovations and service offerings from AWS and other providers to seek to maximize efficiency and cost avoidance while still satisfying the requirements of the CAT NMS Plan. These efforts have led to substantial savings to date. The cloud hosting costs for 2023 were less than the cloud hosting costs for 2022 by \$8 million despite processing seven trillion more events in 2023 due to the efficiency and cost avoidance efforts for cloud hosting services. For example, when AWS introduced new storage options, FCAT adopted the cost-efficient new storage option after establishing that the new offering would satisfy the security and other standards of the CAT NMS Plan. This change led to millions of dollars of savings in storage costs. Similarly, when AWS introduced a new compute processor, FCAT adopted this new compute processor, which led to millions of dollars in savings in compute costs. However, in other cases, new cloud technology developments

could not be implemented in CAT because they would not satisfy the security or other requirements of the CAT NMS Plan.

When evaluating the design of the CAT, it must be kept in mind that the CAT is not a typical commercial technology project. The ability to make use of technology approaches that may lead to cost avoidance is also subject to the restrictive requirements of the CAT NMS Plan, such as processing timeframes, requirements for retention of data versions, query requirements, and security standards. Because such requirements are set forth in the CAT NMS Plan, any modification of such requirements are subject to the time-consuming process of amending the CAT NMS Plan or seeking an exemption from the relevant requirement. For example, CAT LLC recently has filed an amendment to address several of these expensive Plan requirements.¹⁷¹

(b) CAT Was Designed To Minimize Industry Member Effort

The CAT System also was designed to minimize the extent to which Industry Members would need to alter their systems to report to CAT. During the design process, Industry Member groups argued that it would make more sense financially for the CAT to accommodate differences in industry systems, than for all Industry Members to change their systems. Moreover, such design choices would facilitate consistency, uniformity and accuracy in reporting. Requiring the CAT to make such accommodations may increase CAT costs while accommodating CAT Reporters.

Based on the requirements in the CAT NMS Plan and/or in response to industry requests for functionality to be embedded with the Plan Processor to streamline or limit Industry Member system changes, the CAT has been designed to limit the effect on Industry Members. The following provides examples of such accommodations:

- **Industry Member Reporting.** In light of the complexity of Industry Member market activity, the CAT’s order reporting and linkage scenarios document for Industry Members is over 800 pages in length, addressing nearly 200 scenarios.¹⁷² The Industry Member

¹⁷¹ See, e.g., Securities Exchange Act Release No. 99938 (April 10, 2024), 89 FR 26983 (April 16, 2024); Letter from Brandon Becker, CAT NMS Plan Operating Committee Chair, to Vanessa Countryman, Secretary, SEC, dated March 27, 2024 (proposing amendments to the CAT NMS Plan for \$23 million in annual savings).

¹⁷² See CAT Industry Member Reporting Scenarios v. 4.10 (October 21, 2022), <https://www.catnmsplan.com/sites/default/files/2022-10/>

Technical Specifications allow for dozens of specific event types, which drive complexity for the Plan Processor, but streamline reporting for Industry Members. Furthermore, the Plan Processor greatly expanded Industry Member linkage requirements to support, among other things, child events and supplemental events, allowing for “stateless as-you-go” and “batch end-of-day” reporting when all data is available. Accordingly, CAT takes on the significant cost and effort of providing the required linkages between CAT events; correspondingly, Industry Members are not required to perform this costly task.

- **File Submission Process.** The CAT was designed to accommodate the varying needs of CAT Reporters with regard to the file submission process. For example, in a 2018 letter, FIF stated that “[t]he SFTP-based submission process is cumbersome, exposes industry members to unnecessary complexity, and puts the burden of support on the CAT Reporter rather than imbedding more functionality into the Plan Processor.”¹⁷³ Currently, FCAT provides two mechanisms for submitting files: SFTP via a private network, and the Web via Reporter Web Portal.

- **Error Corrections.** The industry also emphasized the need for the CAT to provide error correction tools and functionalities to identify, rectify and re-submit corrections within the required timeframe. For example, FIF stated in a 2018 letter the following:

To be clear, if OATS-like error correction tools are not made available on Day 1, hundreds of firms will be required to create and test their own tools or obtain vendor alternatives prior to the CAT Go-Live Date. Proprietary tools will require additional system builds, access to and ingestion of CAT data to perform system validation, and testing which will further stress the limited number of subject matter experts (“SMEs”) dedicated to the implementation of CAT reporting. Should this occur, inevitably firms (especially small firms who lack the necessary IT staff to write code and develop proprietary systems), may be put in the position of passing onto investors the cost required to build hundreds of redundant systems.¹⁷⁴

CAT provides various tools to help Industry Members identify and rectify errors.

- **Data Ingestion Format.** The industry also recommended that CAT adopt a

flexible input format that provides an option for Industry Members to submit data in formats that are already in use to reduce costs and potential reporting errors. For example, FIF argued the following:

FIF CAT WG is not proposing a specific format; rather, we are proposing flexibility of input formats which includes support of existing formats (e.g., OATS, FIX) as well as a baseline specification where all fields are defined, and normalized. The input formats must be clearly and thoroughly defined in Technical Specifications, including FAQs.

Mandating a uniform format for reporting data to the CAT simplifies the task for the Central Repository of consolidating/storing data, but it puts the burden on each CAT Reporter to accurately translate their current (e.g., OATS) reporting information into a uniform CAT interface. However, that is likely to yield more errors because it is very dependent on accurate, complete and timely information (Technical Specifications, FAQs, meta-data, competent CAT help desk) available to CAT Reporters, availability of sophisticated CAT test tools to validate interface protocols, and the skill levels of the estimated 300+ unique CAT Reporters/Submitters during Phase 1 of CAT. Concentrating the responsibility of data conversions with the Central Repository is a reasonable trade-off that should yield fewer errors, and greater accuracy.¹⁷⁵

CAT provides such a flexible input format.

(c) Effect of Initial Plan Processor Design

The costs for cloud hosting services are appropriate and have not been adversely affected by the original design and approaches of the Initial Plan Processor. FCAT’s design costs are the result of the requirements of the Commission-approved CAT NMS Plan.

When FCAT took over as the Plan Processor from Thesys, it utilized certain aspects of the technical specifications created by Thesys in its design. However, FCAT has not maintained aspects of the original design that would not be appropriate for the CAT. FCAT revised and enhanced the original technical specifications of the CAT System to increase its efficiency and efficacy, and to ensure its compliance with the CAT NMS Plan. For example, the Initial Plan Processor’s approach utilized many more fields than FCAT’s approach, which relies on additional linkages. With the additional linkages, the CAT System takes on more of the CAT-related burdens than the Industry Members. Such an approach serves to facilitate consistency, uniformity and accuracy in reporting.

Moreover, FCAT did not utilize the system built by the Initial Plan Processor; it rebuilt the CAT System based on revised technical specifications. For example, the Initial Plan Processor used an on-premises processing approach which was not geared toward the huge amounts of data stored in the CAT, while FCAT adopted a cloud-based solution in response to such data demands.

Furthermore, given the very short timeframe to develop the CAT System and the prior optimization of certain query tools (e.g., Diver) for regulatory use with significant amounts of data, FCAT determined to rely upon certain existing FINRA tools and adapt them for use with the CAT.

(iii) Consideration of AWS Alternatives

CAT LLC continues to support the selection of AWS as the cloud hosting services provider for CAT given the compliance, operational, and security requirements of the CAT. Independent analyses confirm these conclusions, noting that “AWS is an excellent choice for either strategic or tactical use and recommends considering AWS for almost all cloud IaaS or IaaS+PaaS scenarios.”¹⁷⁶ AWS provides the following benefits to CAT, among others:

- **Broad Suitability.** AWS has a long track record of successfully serving cloud customers with mission-critical projects.

- **Proven Scalability.** AWS has demonstrated that it is capable of building and delivering services on a large scale.

- **Track Record of Innovation.** AWS continues to rapidly innovate, both in terms of new domains of capability and at a fundamental level, thereby facilitating innovation for its customers.

- **Resiliency/Dependability.** Another benefit of AWS is its resiliency; it has a strong track record of stable services. As noted in a review of cloud service providers, “[c]ustomers like to have a broad set of options for resilience and for their cloud providers to have a strong track record of stable services (continuously available, without operational quirks). Only AWS fulfills both desires.”¹⁷⁷

- **Technical and Customer Support.** AWS consistently provides high-quality technical and customer support and engagement. Given the size, scope and regulatory importance of CAT, customer support and engagement that CAT has

¹⁷⁰ 21.22 *Industry Member Tech Specs Reporting Scenarios_v4.10_CLEAN.pdf*.

¹⁷³ See Letter from Janet Early, FIF, to Thesys CAT, dated March 29, 2018.

¹⁷⁴ See Letter from Christopher Bok, FIF, to Jay Clayton, Chair, SEC, dated December 11, 2018, at 4.

¹⁷⁵ See Letter from Mary Lou Von Kaenel, Managing Director, FIF, to Brent Fields, Secretary, SEC, dated July 18, 2016, at 92, <https://www.sec.gov/comments/4-698/4698-13.pdf>.

¹⁷⁶ See, e.g., Lydia Leong & Adrian Wong, *Solution Comparison for Strategic Cloud Integrated IaaS and PaaS Providers* (July 28, 2023) (“Strategic Cloud Assessment Article”).

¹⁷⁷ See *supra* note 176.

with the highest levels of AWS are very important to the success of the CAT.

- **Scale.** AWS is capable of supporting large-scale solutions, which is critical given the size and magnitude of the CAT.

- **Security.** AWS provides the security features necessary for the CAT.

In addition, the nature of the CAT, including the amount of data it must process and the size of its data footprint, does not allow for a multi-cloud solution as this would be cost prohibitive and greatly increase the security boundary and associated risk profile of the CAT. For example, a multi-cloud hosting option would increase costs, complexity, and risk for operations with regard to, for example, DevOps, production support, and networking. Similarly, with regard to security, a multi-cloud solution would increase risk, including with regard to the need for data transfers between cloud providers and the expansion of the security boundary. With regard to labor, a multi-cloud solution would lose economies of scale due to the need to support unique cloud requirements. Accordingly, the use of single-cloud solution continues to provide advantages with regard to cost, complexity, and risk. Indeed, “[t]he best practice is to focus on a single primary strategic provider.”¹⁷⁸

Furthermore, if another cloud service provider were determined to be a better match for the CAT at some future date, switching cloud service providers would be a very significant, expensive and time-consuming effort. Such an effort would likely be a 10- to-15-year commitment at a substantial expense. Such a move would require the replication or redesign of the underlying cloud environments (e.g., organizational setup, identify management, accounts, environments, DevOps tooling like release management/config management/network management), as the new provider likely would not have the same infrastructure and software. Once that process has been completed, an exabyte of CAT data would need to be securely migrated to the new platform.

(C) Funding Model Filings

CAT LLC believes that the recovery of costs related to the development of the funding model is appropriate, and that the amount and scope of such costs, as described above, are reasonable.

Funding the CAT is a critical aspect of Rule 613 and the CAT NMS Plan. Article XI of the CAT NMS Plan describes in detail the requirements for

funding the CAT, and the Participants are required to comply with and enforce compliance with the funding requirements of the CAT NMS Plan, just as with other aspects of the Plan.

Accordingly, the development and implementation of a funding model for the CAT is as much a part of the requirements of the CAT NMS Plan as the development and operation of the CAT System. CAT LLC sees no reason to distinguish the efforts to develop a funding model from, for example, efforts to develop the CAT System, in seeking to recover reasonable CAT costs.

Moreover, in approving the CAT Funding Model, the Commission recognized that it is appropriate to recover reasonable costs for legal services as a part of Historical CAT Assessments. As approved by the SEC, the CAT NMS Plan states that “the reasonably budgeted CAT costs shall include . . . legal . . . costs.”¹⁷⁹ In addition, the CAT NMS Plan also requires Participants to include in their fee filings “a brief description of the amount and type of the Historical CAT Costs, including . . . legal . . . costs.”¹⁸⁰ In keeping with these provisions, this filing provides a brief description of reasonably budgeted legal costs above. These legal costs include costs related to the development of the CAT Funding Model.

In addition, the legal costs incurred for the assistance in developing the CAT Funding Model are reasonable in both amount and scope and should be recoverable as a part of Historical CAT Assessment 1. As described above, the specialized services were performed by experienced counsel at negotiated rates for such services that reflect both the extent of the services and market rates. Moreover, the scope of the legal costs associated with the development of the funding model reflect the complexity of the task in satisfying the detailed requirements of the CAT NMS Plan, the standards of the Exchange Act, and the many perspectives of the different market constituents potentially affected by or interested in the funding model, including Industry Members, Participants and investors. The many and varied comments by market participants on CAT funding over the years demonstrate the complexity of the task.

(D) Costs Related to Litigation With the SEC

CAT LLC believes that the recovery of legal costs related to the litigation with

the SEC regarding the CAT NMS Plan is appropriate, and that the amount and scope of such costs, as described above, are reasonable.

As a preliminary matter, as discussed above, the Commission recognized that it is appropriate to recover reasonable costs for legal services as a part of Historical CAT Assessments.¹⁸¹ Moreover, CAT LLC initiated such litigation, and incurred the related legal costs, because it was critical to address the Commission’s interpretations of the CAT NMS Plan. Among other things, CAT LLC initiated the litigation because such interpretations threatened to impose unnecessary costs on the CAT, which would be borne by the Participants and Industry Members. Indeed, in response to the litigation, the Commission provided exemptive relief that allowed alternative, more cost-effective approaches to the implementation of the CAT. Specifically, in the 2023 exemptive order, the Commission stated:

The conditional exemptive relief in this Order allows for the implementation of alternative regulatory solutions that continue to advance the regulatory goals that Rule 613 and the CAT NMS Plan were intended to promote, while reducing the implementation and operational costs, burdens, and/or difficulties that would otherwise be incurred by the Participants and Industry Members that must fund the CAT.¹⁸²

CAT LLC believes it is reasonable and appropriate to incur costs to limit the need to incur even greater costs due to certain interpretations of the Plan.

In addition, the legal costs incurred during the litigation are reasonable in both amount and scope and should be recoverable as a part of Historical CAT Assessment 1. As described above, the specialized services were performed by experienced counsel at market rates for such services. As such, the legal costs related to this litigation incurred during the period covered by Historical CAT Assessment 1 were reasonable.

Finally, Industry Members will directly benefit from the result of the litigation because it has addressed CAT NMS Plan requirements that would have imposed significantly greater costs on the CAT. Accordingly, it is reasonable and appropriate that the costs of such litigation be included in the Historical CAT Costs 1.

(E) Costs Related to the Initial Plan Processor

CAT LLC believes that it is appropriate to recover costs related to

¹⁷⁹ Section 11.1(a)(i) of the CAT NMS Plan.

¹⁸⁰ Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

¹⁸¹ See Sections 11.1(a)(i) and 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

¹⁸² See Settlement Exemptive Order at 77129–30.

¹⁷⁸ See *supra* note 176.

the services performed by the Initial Plan Processor prior to November 15, 2017, which was the date by which Participants were required to begin reporting to the CAT, due to the delay in the commencement of reporting to the CAT. As discussed above, the Participants determined to exclude all CAT costs incurred from November 15, 2017 through November 15, 2018, which includes \$37,852,083 in Thesys costs incurred from November 15, 2017 through November 15, 2018 (as well as other CAT costs during this period). The remaining Thesys costs incurred after November 15, 2018 are the \$19,628,791 in capitalized developed technology costs for the period from November 16, 2018 through February 2019 incurred in the development of the CAT by the Initial Plan Processor, as well as a transition fee for the transition from the Initial Plan Processor to the successor Plan Processor. The Participants would remain responsible for 100% of these \$19,628,791 in costs.

CAT LLC believes that it is appropriate to recover costs related to the services performed by the Initial Plan Processor prior to November 15, 2017. CAT LLC notes that the development and implementation of the CAT System, while unprecedented in scope and design, is like any other large and innovative technology project in that, inevitably, there were adjustments and refinements in the technical approach as the project developed, even with substantial planning efforts and oversight prior to the build. This is even more likely when the project faces a very tight implementation schedule, such as the one imposed by the Commission in Rule 613 and the CAT NMS Plan. However, an adjusted approach does not mean that the funds were not valid expenditures and should not be recovered.

The reasonableness of Thesys costs should be evaluated by the Commission as of the time they were incurred, not in hindsight. As detailed above, the Commission concluded in 2016 that “the competitive bidding process to select the Plan Processor is a reasonable and effective way to choose a Plan Processor,” and that “the process set forth in the Selection Plan should be permitted to continue.”¹⁸³ Following this process, the Participants notified the Commission of the selection of Thesys as the Initial Plan Processor on January 17, 2017.¹⁸⁴ At the time, neither

the Commission nor the industry argued that the selection of the Initial Plan Processor was unreasonable or otherwise inconsistent with the CAT NMS Plan, nor did they predict the selection would result in unanticipated delays in the implementation of the CAT System. On the contrary, on April 4, 2017, the President of SIFMA wrote that “SIFMA looks forward to commencing work with the SROs and Thesys.”¹⁸⁵

As noted in the CAT Funding Model Approval Order, “[i]n Rule 613, the Commission made the determination that the costs of the CAT should be shared by the Participants and Industry Members.”¹⁸⁶ If the CAT Funding Model had existed on day 1, the risk of any unanticipated costs or challenges associated with the Initial Plan Processor would have been fairly and reasonably shared among the Participants and Industry Members on an ongoing basis. Given that the Commission concluded in 2012 that the costs of the CAT would be shared by the Participants and Industry Members, it is not fair or reasonable to determine in hindsight that all of the risk involved in developing the CAT should be allocated entirely to the Participants.

(F) CAIS Implementation Costs

CAT LLC believes that the recovery of CAIS-related costs is appropriate, and that the amount and scope of such costs, as described above, are reasonable, and that the reasonableness of historical costs should be evaluated by the Commission as of the time they were incurred, not in hindsight.

In approving the CAT Funding Model, the Commission recognized that it is appropriate to recover reasonable CAIS operating costs as a part of Historical CAT Assessments. As approved by the SEC, the CAT NMS Plan states that “the reasonably budgeted CAT costs shall include . . . CAIS operating fees.”¹⁸⁷ In addition, the CAT NMS Plan also requires Participants to include in their fee filings “a brief description of the amount and type of the Historical CAT Costs, including . . . CAIS operating fees.”¹⁸⁸ In keeping with these provisions, this filing provides a brief

description of reasonably budgeted CAIS operating fees.

In addition, CAT LLC determined that the CAIS operating fees described above are reasonable in both amount and scope and should be recoverable as a part of Historical CAT Assessment 1. The “CAIS Operating Costs” for Historical CAT Assessment 1 total \$9,480,587, with Pre-FAM costs of \$2,072,908, FAM 1 costs of \$254,998, FAM 2 costs of \$1,590,298, and FAM 3 costs of \$5,562,383. As described above, the CAIS operating fees were incurred with regard to two categories of CAIS-related efforts: (1) the acceleration of the reporting of LTIDs; and (2) the development of the CAIS Technical Specifications and the building of CAIS. These two categories of costs are discussed in more detail below.

(i) LTID Reporting

During the period covered by Historical CAT Assessment 1, the CAIS operating costs included costs related to the acceleration of the reporting of LTIDs earlier than originally contemplated during this period at the request of the SEC and in accordance with exemptive relief granted by the SEC.¹⁸⁹ As the SEC approved in this exemptive relief, the Participants proposed “to require the reporting of LTIDs to the CAT in Phases 2c and 2d, instead of with the rest of Customer Account Information in Phase 2e, which potentially could result in an earlier elimination of broker-dealer recordkeeping, reporting and monitoring requirements of the Large Trader Rule.”¹⁹⁰ To implement the reporting of LTIDs to the CAT, the following steps were taken during the period covered by Historical CAT Assessment 1:

- After FCAT developed the LTID Technical Specifications, the LTID Technical Specifications were published on January 31, 2020, with additional updates provided to the LTID Technical Specifications through April 2021.¹⁹¹
- The LTID account information testing environment opened on August 24, 2020.
- The LTID account information reporting production environment opened on December 14, 2020.
- CAT Reporters were required to request their production readiness

¹⁸⁹ See Phased Reporting Exemptive Relief Order, 85 FR 23075, 23079–80.

¹⁹⁰ See *supra* note 189, at 23078–79, n.70.

¹⁹¹ The LTID Technical Specifications, including original drafts and updated versions, are available on the Industry Member Specifications page of the CAT website (<https://www.catnmsplan.com/specifications/im>).

¹⁸³ CAT NMS Plan Approval Order, 81 FR 84696, 84737.

¹⁸⁴ See Letter from the Participants to Brent J. Fields, Secretary, SEC, dated January 18, 2017, <https://www.sec.gov/divisions/marketreg/rule613-info-notice-of-plan-processor-selection.pdf>.

¹⁸⁵ See Letter from Kenneth E. Bentsen, Jr., President and CEO, SIFMA, to Participants, dated April 4, 2017) (re: Selection of Thesys as CAT Processor), <https://www.sifma.org/wp-content/uploads/2017/05/SIFMA-Submits-Comment-Letter-to-SRO-on-the-selection-of-Thesys-as-the-CAT-Processor.pdf>.

¹⁸⁶ CAT Funding Model Approval Order, 88 FR 62628, 62650.

¹⁸⁷ Section 11.1(a)(i) of the CAT NMS Plan.

¹⁸⁸ Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

certification for account information related to LTIDs by the deadline of April 9, 2021.

- The LTID account information reporting for Phases 2a, 2b and 2c for Large Industry Members went live on April 26, 2021.

- The LTID account information reporting for Phases 2d for Large Industry Members went live on December 13, 2021.

- The LTID account information reporting for Phases 2a, 2b, 2c and 2d for Small Industry Members went live on April 26, 2021.

Throughout this project, FCAT and CAT LLC worked closely with the industry on LTID and CAIS reporting. Between December 2019 and December 2021, at least 57 checkpoint calls, webinars, and technical working group meetings with industry representatives were hosted to address issues and to educate CAT Reporters regarding LTID and CAIS reporting.¹⁹²

The LTID reporting project was successfully completed in a timely fashion, and the fees related to the project were reasonable. Accordingly, CAT LLC appropriately seeks to recover such costs via Historical CAT Assessment 1.

(ii) CAIS Reporting

During the period covered by Historical CAT Assessment 1, FCAT began the development of the full CAIS Technical Specifications and the building of CAIS. The CAIS Technical Specifications were developed during this period as follows:

- Iterative drafts of the CAIS Technical Specifications were published on June 30, 2020, December 1, 2020, and January 1, 2021.¹⁹³

- The full, final CAIS Technical Specifications were published on January 29, 2021.

- Updated versions of the CAIS Technical Specifications were published throughout 2021.¹⁹⁴

As discussed above, FCAT and CAT LLC frequently engaged with the industry regarding the development of CAIS, hosting regular checkpoint calls, webinars, and technical working group meetings with industry representatives to address any issues, including addressing the interplay between

Industry Members' existing customer systems and CAIS, and to educate CAT Reporters regarding LTID and CAIS reporting. Such engagement was critical to the CAIS development process as the CAIS project was unprecedented in terms of its content, scope and complexity.

During this period, FCAT also commenced the building of the CAIS system in accordance with the CAIS Technical Specifications during the period covered by Historical CAT Assessment 1. The CAIS system was ready for industry testing shortly after the end of this period in January 2022.

The CAIS Technical Specifications and the CAIS system, as developed during this period, continue to be in use today. Industry Members have been required to report, and have continuously reported, required data to CAIS on a daily basis since November 7, 2022, consistent with interim reporting obligations. The CAIS system accepts and validates the CAIS data submitted by Industry Members and provides Industry Members with initial feedback on data errors. In light of the unprecedented nature of the CAIS system, certain changes to the system, such as changes related to error corrections and the CAIS regulatory portal, were necessary to finalize CAIS reporting. FCAT worked to address these remaining issues,¹⁹⁵ and, as of May 31, 2024, FCAT indicated that it had achieved the final CAIS reporting milestone. Accordingly, CAT LLC appropriately seeks to recover CAIS operating costs via Historical CAT Assessment 1.

(G) Public Relations Costs

CAT LLC believes that the recovery of public relations costs is appropriate and that the amount and scope of such costs, as described above, are reasonable.

The Commission has long recognized that external public relations costs are reasonably associated with creating, implementing and maintaining the CAT. In the CAT NMS Plan Approval Order, the Commission estimated that the Participants had collectively spent approximately \$2,400,000 in preparation of the CAT NMS Plan on external public relations, legal, and consulting costs, and estimated that the Participants would continue to incur external public relations costs associated with maintaining the CAT upon approval of the CAT NMS Plan.¹⁹⁶

¹⁹⁵ See, e.g., CAT Q4 2023 Quarterly Progress Report (Jan 30, 2024), <https://www.catnmsplan.com/sites/default/files/2024-01/CAT-Q4-2023-QPR.pdf>.

¹⁹⁶ See CAT NMS Plan Approval Order, 81 FR 84696, 84917–18.

In approving the CAT Funding Model, the Commission recognized that it is appropriate to recover reasonable costs for public relations services as a part of Historical CAT Assessments. As approved by the SEC, the CAT NMS Plan states that “the reasonably budgeted CAT costs shall include . . . public relations costs.”¹⁹⁷ In addition, the CAT NMS Plan also requires Participants to include in their fee filings “a brief description of the amount and type of the Historical CAT Costs, including . . . public relations costs.”¹⁹⁸ In keeping with these provisions, a brief description of reasonable public relations costs are described above.

In addition, CAT LLC determined that the public relations costs described above are reasonable in both amount and scope and should be recoverable as a part of Historical CAT Assessment 1. The services performed by the public relations firms through 2021 were limited in scope to assist CAT LLC, which has no employees of its own, to be better positioned to understand and address CAT matters to the benefit of all market participants and to communicate on important CAT topics with the public. In addition, the costs for these services were appropriately limited. During the 10-year period covered by Historical CAT Assessment 1, the average cost per year for these services was approximately \$36,000.

(H) Legal Costs Related to the Limitation of Liability Provision in CAT Reporter Agreements

CAT LLC believes that the recovery of legal costs related to the limitation of liability provision, including costs related to the proceedings before the SEC and costs related to the proposed amendment to the Consolidated Audit Trail Reporter Agreement and the Consolidated Audit Trail Reporting Agent Agreement (the “Reporting Agreements”) is appropriate and that the amount and scope of such costs as described above are reasonable.

As a preliminary matter, as discussed above, the Commission recognized that it is appropriate to recover reasonable costs for legal services as a part of Historical CAT Assessments.¹⁹⁹ In addition, CAT LLC determined that the legal costs incurred for the assistance with regard to the limitation of liability provisions are reasonable in both amount and scope and should be

¹⁹⁷ Section 11.1(a)(i) of the CAT NMS Plan.

¹⁹⁸ See Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

¹⁹⁹ See Sections 11.1(a)(i) and 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

¹⁹² Such contact points with the industry are described in detail on the Events web page of the CAT website (<https://www.catnmsplan.com/events>).

¹⁹³ The CAIS Technical Specifications, including original drafts and updated versions, are available on the Industry Member Specifications page of the CAT website (<https://www.catnmsplan.com/specifications/im>).

¹⁹⁴ Six updated versions of the CAIS Technical Specifications were published during 2021, in March, May, June, August, October and December.

recoverable as a part of Historical CAT Assessment 1.

Moreover, it is critical that CAT LLC, which has no employees of its own, have the ability to fund a legal defense in litigation and other legal proceedings against it. In response to CAT LLC requiring Industry Members to agree to the limitation of liability provision to submit data to the CAT, SIFMA filed an application for review of actions taken by CAT LLC and the Participants pursuant to Sections 19(d) and 19(f) of the Exchange Act. Contemporaneously with the filing of this proceeding, SIFMA moved for a stay of the requirement that Industry Members sign a Reporter Agreement, or in the alternative, asked the Commission to further delay the launch of CAT reporting on June 22, 2020. CAT LLC must have the resources to defend itself from litigious actions by others, like these.

Although a limitation of liability provision ultimately was not adopted as proposed, it was a reasonable provision to propose for the CAT Reporter Agreements, given that such provisions are in accordance with industry norms. Limitations of liability are ubiquitous within the securities industry and have long governed the economic relationships between self-regulatory organizations and the entities that they regulate. For example, U.S. securities exchanges have adopted rules to limit their liability for losses that Industry Members incur through their use of exchange facilities.²⁰⁰ Similarly, FINRA's former order audit trail, OATS, which has functioned as an integrated audit trail of order, quote, and trade data for equity securities, required FINRA members to acknowledge an agreement that includes a limitation of liability provision.²⁰¹ In addition, such a provision was intended to ensure the financial stability of the CAT. Accordingly, it was reasonable for CAT LLC to propose the use of such a provision.²⁰²

Furthermore, as described above, the specialized services were performed by experienced counsel at market rates for such services. Accordingly, the legal

costs for the efforts related to the limitation of liability provision were reasonable.

(I) Costs for the Chair of CAT Operating Committee

CAT LLC believes that the recovery of consulting costs related to the Chair of the CAT Operating Committee is appropriate and that the amount and scope of such costs are reasonable.

As a preliminary matter, the selection of the Chair of the Operating Committee complies with the requirements of Section 4.2 of the CAT NMS Plan. The initial Chair that served during the period covered by Historical CAT Assessment was designated by a Participant as the Participant's alternate voting member. Accordingly, the Chair is a representative of the Participants, as required by the CAT NMS Plan.

In addition, in approving the CAT Funding Model, the Commission recognized that it is appropriate to recover reasonable costs for consulting as a part of Historical CAT Assessments. As approved by the SEC, the CAT NMS Plan states that "the reasonably budgeted CAT costs shall include . . . consulting . . . costs."²⁰³ In addition, the CAT NMS Plan also requires Participants to include in their fee filings "a brief description of the amount and type of the Historical CAT Costs, including . . . consulting . . . costs."²⁰⁴ In keeping with these provisions, a brief description of reasonable consulting costs is included in this filing, and such reasonable consulting costs include the costs related to the Chair position.

The Participants determined that the position of the Chair was a critical role for the implementation of the CAT, and an independent Chair would appropriately consider and address the views of each of the Participants. The Participants also determined that it was important to have a Chair with a strong background regarding issues related to the regulatory obligations of self-regulatory organizations, including their obligations under national market system plans. The compensation paid to the Chair is appropriate for a person with such background and skills. The average annual amount paid to the Chair from 2017 through the end of FAM 3 was \$292,733.30. Separate from the Chair, CAT LLC relies upon a Leadership Team of representatives of the SROs to oversee the day-to-day implementation of the CAT NMS Plan.

CAT LLC does not compensate any member of the Leadership Team.

(11) Fee Implementation Assistance for Industry Members

(A) Reconciliation of CAT Invoices

(i) Reconciliation of CAT Invoices to Underlying Trades Provided by CAT

CAT LLC understands that there are three types of reconciliation processes related to the invoices:

- Reconciliation of CAT Invoices to Underlying Trades: Reconciling the CAT invoice amount to the underlying trades provided by CAT;
- Matching Trades to Books and Records: Providing the means to match the underlying trades provided by CAT with CAT invoices to other books and records independently maintained by individual CAT Reporters (*e.g.*, exchange trade journals/acknowledgements) and data sources of self-regulatory organizations independent of CAT; and
- Order Originator Identification: Providing the ability to identify the order originator for the underlying trades provided by CAT with CAT invoices, which would facilitate firms' ability to pass through CAT Fees to their customers.

As discussed further below, CAT LLC only considers the first type of process to be a "reconciliation" and the only type of process that is required under the CAT NMS Plan. CAT LLC provides the means to reconcile the CAT invoice amount to the underlying trades provided by CAT.

The CAT NMS Plan does not require CAT LLC to facilitate the second type of process: matching underlying trades for a CAT invoice with a firm's internal books and records. CAT LLC has access only to the underlying trades provided by CAT; it does not have access to a firm's internal books and records. Although beyond the requirements of the CAT NMS Plan and involving firm specific considerations, CAT LLC voluntarily has provided guidance and processes to assist CAT Reporters in their efforts to match the underlying trades with their own books and records.

The CAT NMS Plan also does not require CAT LLC to provide the ability to identify the order originator for the underlying trades for the CAT invoices. Accordingly, the billing guidance and processes do not provide CAT Reporters with the ability to identify the order originator for the underlying trades provided by CAT with CAT invoices. CAT LLC has been working closely with CAT Reporters to explain its billing approach and to address any

²⁰⁰ See, *e.g.*, NASDAQ Equities Rule 4626.

²⁰¹ FINRA Rule 1013(a)(1)(R) requires all applicants for FINRA Membership to acknowledge the FINRA Entitlement Program Agreement and Terms of Use, which applies to OATS. Industry Members click to indicate that they agree to its terms—including its limitation of liability provision—every time they access FINRA's OATS system to report trade information (*i.e.*, repeatedly over the course of a trading day for many Industry Members).

²⁰² See Letter from Michael Simon, Chair, CAT Operating Committee, to Vanessa Countryman, Secretary, SEC, dated December 18, 2020.

²⁰³ Section 11.1(a)(i) of the CAT NMS Plan.

²⁰⁴ Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan.

outstanding billing questions. But, it should not be lost that CAT LLC provides information sufficient to allow CAT Reporters to reconcile CAT invoice amounts with the underlying trades provided by CAT LLC.

(ii) Match the Underlying Trades Provided by CAT With CAT Invoices to Firms' Internal Books and Records Independent of CAT

The CAT NMS Plan does not require CAT LLC to facilitate the matching of underlying trades for a CAT invoice with a firm's internal books and records, which may consist of trading data from various sources external to CAT. Although beyond the requirements of the CAT NMS Plan and involving firm specific considerations, CAT LLC voluntarily has provided guidance and processes to assist CAT Reporters in their efforts to match the underlying trades with their own books and records.

In this regard, it is important to recognize that CAT LLC has developed a billing approach that greatly improves upon existing billing practices for other regulatory fees (*e.g.*, fees related to Section 31). Accordingly, with the additional information voluntarily provided by CAT LLC, CAT Reporters generally will have sufficient information to match their underlying trades provided by CAT with their own internal books and records that are independent of CAT or to SRO data that is independent of CAT data. However, CAT LLC emphasizes that providing such additional information is not required by the CAT NMS Plan.

To facilitate the introduction of CAT fees, CAT LLC has worked with FCAT to develop an approach to CAT billing that is consistent with existing billing constructs used with regard to Section 31-related sales values fees, subject to certain enhancements. Under this billing approach, FCAT is providing additional linkage elements, not necessarily provided in the Section 31-sales value fee context, to facilitate CAT Reporters' ability to match the underlying trades provided by CAT with their internal books and records and to reduce the complexity of that process. Specifically, FCAT is providing various key elements of the trade itself, such as the tradeID and branch sequence,²⁰⁵ to CAT Reporters in the trade billing details provided with their

CAT invoices ("Additional Trade Details"). As a result, CAT Reporters now have numerous alternative methods for matching a trade with their internal books and records where they previously did not have such matching methods in other fee contexts.

With the Additional Trade Details, CAT LLC and FCAT believe that the overwhelming majority of underlying trades provided by CAT bills can be matched with a CAT Reporter's internal books and records. CAT LLC recognizes that there may be certain cases in which such matching is more difficult given various firm-specific considerations, but believes that such instances are significantly more limited than with regard to the SRO fees charged in relation to Section 31.²⁰⁶ By providing Additional Trade Details that are not available in other fee contexts, FCAT enhances the Industry Members' ability to match the underlying trades provided with CAT invoices with books and records and SRO data, both of which are independent of CAT data.

(iii) CAT LLC is Not Required To Facilitate CAT Reporters' Ability to Pass Through Fees to Their Customers

Similar to other regulatory fees, the CAT NMS Plan does not address the manner or extent to which CAT Executing Brokers may seek to pass any CAT fees on to their customers, nor does it impose any obligation on CAT LLC or the Plan Processor to facilitate firms' ability to do so. Accordingly, Historical CAT Assessment 1 does not address the process by which any CAT Reporters may pass through the fee to their customers. Likewise, the CAT billing approach provided by the Plan Processor is designed to address the needs of CAT Reporters with regard to the reconciliation of CAT invoices with the underlying trades provided by CAT LLC with the invoices; they are not designed to address issues related to any pass-through fees. Accordingly, facilitating CAT Reporters' ability to pass through fees to their clients is outside the scope of this fee filing. Nevertheless, as described below, CAT LLC and the Plan Processor have

expended significant efforts to provide technical assistance to Industry Members regarding the implementation of Historical CAT Assessment 1, including providing Additional Trade Details that provide significant details about each underlying trade.

(a) Originating Brokers Versus Executing Brokers

In its approval of the CAT Funding Model, the Commission approved charging CAT fees to the CAT Executing Broker, rather than the originating broker. This fee filing must comply with the requirements of the CAT Funding Model, and, therefore, charges the Historical CAT Assessment 1 to CAT Executing Brokers.

Moreover, charging originating brokers would introduce significant complexity to the billing process from the CAT's perspective, and would increase the costs of implementing CAT fees. Charging the CAT Executing Broker is simple and straightforward, and leverages a one-to-one relationship between billable events (trades) and billable parties, similar to other transaction-based fees. In contrast, for a single trade event, there may be many originating brokers, and each trade must be broken down on a pro-rata basis, to account for one or more layers of aggregation, disaggregation, and representation of the underlying orders. While CAT is indeed designed to capture and unwind complex aggregation scenarios, the data and linkages are structured to facilitate regulatory use, and not a billing mechanism that assesses fees on a distinct set of executed trades; it is not simply a matter of using existing CAT linkages. Furthermore, charging originating brokers would implicate issues related to lifecycle linkage rates, and issues related to corrections, cancellations and allocations, while charging CAT Executing Brokers would avoid such issues.

(b) Identification of Order Originator for Underlying Trades

As noted, the CAT NMS Plan does not address the manner or extent to which CAT Executing Brokers may seek to pass any CAT Fees on to their customers, nor does it impose any obligation on CAT LLC or the Plan Processor to facilitate firms' ability to do so. Nevertheless, the Additional Trade Details provided with regard to the underlying trades on CAT invoices may assist with this process. Like with Section 31-related sales value fees, however, it is not always possible to trace every fee on a transaction back to the originating party. However, with the Additional Trade Details provided

²⁰⁵ See CAT Technical Specifications for Billing Trade Details; Trade Details Schema (<https://catnmsplan.com/sites/default/files/2024-02/02.05.24-Billing-Trade-Details-Schema.json>); CAT Billing Scenarios, Version 1.0 (Nov. 30, 2023), <https://www.catnmsplan.com/sites/default/files/2024-01/01.12.2024-CAT-Billing-Scenarios-v1.0.pdf>.

²⁰⁶ For years, broker-dealers have faced similar reconciliation issues with regard to SRO fees related to Section 31. Broker-dealers have responded to this issue in the Section 31 context by exercising their discretion as to whether and the manner and extent to which they pass on those fees (*e.g.*, by rounding up its fees to the nearest cent, or decide to charge for, or not charge for, certain transactions, or assess a specific fee or incorporate the costs into other fee programs). See, *e.g.*, Securities Exchange Act Release No. 49928 (June 28, 2004), 69 FR 41060, 41072 (July 7, 2004) (noting that broker-dealers may "over-collect" Section 31-related fees charged to their clients due to rounding practices, and double-counting with regard to certain transactions).

under the CAT billing approach, in many cases, CAT Reporters will be able to identify the order originator for the underlying trades provided by CAT with CAT invoices. In some cases, CAT LLC believes that certain issues related to certain types of market activity may implicate CAT Reporters' ability to identify the order originator for a limited set of underlying trades for the CAT invoices. Although CAT LLC does not believe that it is required to address these issues, CAT LLC and FCAT have been carefully researching and analyzing these types of issues as they are identified, and have been working voluntarily to assist CAT Reporters with these issues as necessary and when possible. In addition, CAT LLC intends to continue to provide CAT Reporters with billing guidance through FAQs, CAT Alerts and Helpdesk responses to address outstanding billing questions.

(B) Significant Technical Assistance

CAT LLC has worked with FCAT to provide significant technical assistance to Industry Members to allow the Industry Members to understand how Historical CAT Assessment 1 will be implemented and billed, including webinars, CAT alerts, mock invoices, and responses to questions posed to the FCAT Help Desk.

- **Technical Specifications and Scenarios.** CAT LLC has provided detailed technical documentation for CAT billing, including (1) technical specifications, which describe the CAT Billing Trade Details Files associated with monthly CAT invoices, including detailed information about data elements and file formats as well as access instructions, network and transport options;²⁰⁷ (2) trade details schemas;²⁰⁸ and (3) CAT billing scenarios.²⁰⁹

- **Industry Webinars.** CAT LLC has hosted two industry webinars specifically dedicated to CAT billing. The first webinar, hosted on September 28, 2023, discussed the operational implementation of the CAT Reporter billing process.²¹⁰ The second webinar, hosted on November 7, 2023, provided

(1) a demonstration of the CAT Reporter Portal and how to access CAT billing documents, including CAT invoices; and (2) additional information on underlying trade details in relation to the CAT Reporter billing process and an overview of the CAT Contact Management System.²¹¹ 485 participants and 394 participants attended the two webinars, respectively.

- **CAT Alert.** CAT LLC has published a detailed CAT Alert that describes how FCAT, as the Plan Processor acting on behalf of CAT LLC, will calculate applicable fees, issue invoices to and collect payment from CAT Executing Brokers.²¹²

- **Frequently Asked Questions (FAQs).** CAT LLC also has continued to engage with the industry on billing issues by making responses to billing FAQs available on the CAT website. The FAQs address a broad range of frequently asked questions, including, for example, which Industry Members will receive invoices, how fees are calculated, when and how fees are required to be paid, how to access invoices, and how to update the billing contact. To date, responses to 26 FAQs are available on the CAT website, and CAT LLC will provide additional responses to FAQs as warranted.²¹³

- **Mock Invoices.** To assist Industry Members with compliance with the commencement of Historical CAT Assessment 1, CAT LLC has been making available to CAT Executing Brokers mock invoices for Historical CAT Assessment 1 since December 2023 for billable activity occurring in November 2023. The mock invoices are in the same form as the actual, payable invoices, including both the relevant transaction data and the corresponding fee (as originally contemplated). However, no payments are required in response to such mock invoices; they are to be used solely to assist CAT Executing Brokers with the development of their processes for paying the CAT fees. Such data provides CAT Executing Brokers with a preview of the transaction data used in creating the invoices for Historical CAT Assessment 1 fees, as the data will be the same as data provided in actual invoices. Such data preview is intended to facilitate the payment of Historical

CAT Assessment 1. For the November, December, and January billing periods, FCAT has generated trade detail files for 569 distinct firms that are CAT Executing Brokers. As such, CAT Reporters have actively engaged in the billing process via the mock invoices.

- **Help Desk Assistance.** CAT LLC also provides detailed, individualized assistance to Industry Members regarding CAT fees and the billing process through the FCAT Help Desk.²¹⁴ For example, the Help Desk has assisted with 406 cases related to the billing of CAT fees from July 2023 through March 2024.

By providing such detailed and sustained assistance to Industry Members regarding CAT fees and billing, CAT LLC has successfully addressed questions raised by Industry Members regarding the CAT fees and billing processes.

(C) Ample Preparation Time

CAT LLC has provided Industry Members with ample time to comply with the implementation of Historical CAT Assessment 1. CAT LLC originally proposed issuing the first invoices for Historical CAT Assessment 1 in December 2023 based on transactions in Eligible Securities in November 2023. In consideration of the feedback about the need for additional time to implement the new fee, CAT LLC pushed back this timeline by four months, proposing to issue the first Historical CAT Assessment 1 in April 2024 based on transactions in March 2024.²¹⁵ This filing pushes this timeline back even further for implementing Historical CAT Assessment 1, proposing to issue the first invoices for Historical CAT Assessment 1 in November 2024 based on transactions in Eligible Securities in October 2024. Moreover, as discussed above, during these additional months, FCAT has been working closely with Industry Members to provide guidance regarding their mock bills and reconciliation efforts related thereto.

FINRA has filed the proposed rule change for immediate effectiveness.

2. Statutory Basis

FINRA believes that the proposed rule change is consistent with the provisions of Section 15A(b)(6) of the Act,²¹⁶ which requires, among other things, that

²⁰⁷ See CAT Technical Specifications for Billing Trade Details, Version 1.0 r1 (December 8, 2023), https://catnmsplan.com/sites/default/files/2023-12/12.07.2023-CAT-Technical-Specifications-for-Billing-Trade-Details-v1.0r1_CLEAN.pdf.

²⁰⁸ See Trade Details Schema, <https://catnmsplan.com/sites/default/files/2024-02/02.05.24-Billing-Trade-Details-Schema.json>.

²⁰⁹ See CAT Billing Scenarios, Version 1.0 (November 30, 2023), <https://www.catnmsplan.com/sites/default/files/2024-01/01.12.2024-CAT-Billing-Scenarios-v1.0.pdf>.

²¹⁰ See CAT Billing Webinar, Part 1 (September 28, 2023), <https://www.catnmsplan.com/events/part-1-cat-billing-webinar>.

²¹¹ See CAT Billing Webinar, Part 2 (November 7, 2023), <https://www.catnmsplan.com/events/part-2-cat-billing-webinar>.

²¹² See CAT Alert 2023-02 (October 12, 2023) (Updated July 31, 2024), <https://www.catnmsplan.com/sites/default/files/2024-07/07.31.24-CAT-Alert-2023-02.pdf>.

²¹³ See CAT Billing FAQs, Section V of CAT FAQs, https://www.catnmsplan.com/faq?search_api_fulltext=&field_topics=271&sort_by=field_faq_number.

²¹⁴ The CAT NMS Plan requires that the Plan Processor "staff a CAT help desk, as described in Appendix D, CAT Help Desk, to provide technical expertise." Section 6.10(c)(vi) of the CAT NMS Plan. See also Section 10.3 of Appendix D of the CAT NMS Plan for a description of the Plan requirements for the CAT Help Desk.

²¹⁵ See *supra* note 19.

²¹⁶ 15 U.S.C. 78o-3(b)(6).

FINRA rules must be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, and, in general, to protect investors and the public interest, and not designed to permit unfair discrimination between customers, issuers, brokers and dealers. FINRA also believes that the proposed rule change is consistent with the provisions of Section 15A(b)(5) of the Act,²¹⁷ which requires, among other things, that FINRA rules provide for the equitable allocation of reasonable dues, fees and other charges among members and issuers and other persons using any facility or system that FINRA operates or controls. FINRA further believes that the proposed rule change is consistent with Section 15A(b)(9) of the Act,²¹⁸ which requires that FINRA rules not impose any burden on competition that is not necessary or appropriate. Section 15A(b)(2) of the Act also requires that FINRA be “so organized and [have] the capacity to be able to carry out the purposes” of the Act and “to comply, and . . . to enforce compliance by its members, and persons associated with its members,” with the provisions of the Exchange Act.²¹⁹

FINRA believes that this proposed rule change is consistent with the Act because it implements provisions of the Plan and is designed to assist FINRA in meeting regulatory obligations pursuant to the Plan. In approving the Plan, the SEC noted that the Plan “is necessary and appropriate in the public interest, for the protection of investors and the maintenance of fair and orderly markets, to remove impediments to, and perfect the mechanism of a national market system, or is otherwise in furtherance of the purposes of the Act.”²²⁰ To the extent that this proposed rule change implements the Plan and applies specific requirements to Industry Members, FINRA believes that this proposed rule change furthers the objectives of the Plan, as identified by the SEC, and is therefore consistent with the Act.

FINRA also believes that the proposed fees to be paid by the CEBBs and CEBSS are reasonable, equitably allocated and not unfairly discriminatory. FINRA has already incurred development and implementation costs and the proposed Historical CAT Assessment 1 fees, therefore, would allow FINRA to collect certain of such costs in a fair and reasonable manner from Industry

Members, as contemplated by the CAT NMS Plan.

The proposed Historical CAT Assessment 1 fees would be charged to Industry Members in support of the maintenance of a consolidated audit trail for regulatory purposes. The proposed fees, therefore, are consistent with the Commission’s view that regulatory fees be used for regulatory purposes. The proposed fees would not cover FINRA services unrelated to the CAT. In addition, any surplus would be used as a reserve to offset future fees.

As further discussed below, the SEC approved the CAT Funding Model, finding it was reasonable and that it equitably allocates fees among Participants and Industry Members. Thus, FINRA believes that the proposed fees adopted pursuant to the CAT Funding Model approved by the SEC are reasonable, equitably allocated and not unfairly discriminatory.

(1) Implementation of CAT Funding Model in CAT NMS Plan

Section 11.1(b) of the CAT NMS Plan states that “[t]he Participants shall file with the SEC under Section 19(b) of the Exchange Act any such fees on Industry Members that the Operating Committee approves.” Per Section 11.1(b) of the CAT NMS Plan, FINRA has filed this fee filing to implement the Industry Member CAT fees included in the CAT Funding Model. FINRA believes that this proposed rule change is consistent with the Exchange Act because it is consistent with, and implements, the CAT Funding Model in the CAT NMS Plan, and is designed to assist FINRA and its Industry Members in meeting regulatory obligations pursuant to the CAT NMS Plan. In approving the CAT NMS Plan, the SEC noted that the Plan “is necessary and appropriate in the public interest, for the protection of investors and the maintenance of fair and orderly markets, to remove impediments to, and perfect the mechanism of a national market system, or is otherwise in furtherance of the purposes of the Act.”²²¹ Similarly, in approving the CAT Funding Model, the SEC concluded that the CAT Funding Model met this standard.²²² As this proposed rule change implements the Plan and the CAT Funding Model described therein, and applies specific requirements to Industry Members in compliance with the Plan, FINRA believes that this proposed rule change furthers the objectives of the Plan, as

identified by the SEC, and is therefore consistent with the Exchange Act.

(2) Calculation of Fee Rate for Historical CAT Assessment 1 Is Reasonable

The SEC has determined that the CAT Funding Model is reasonable and satisfies the requirements of the Exchange Act. Specifically, the SEC has concluded that the method for determining Historical CAT Assessments as set forth in Section 11.3 of the CAT NMS Plan, including the formula for calculating the Historical Fee Rate, the identification of the parties responsible for payment and the transactions subject to the fee rate for the Historical CAT Assessment, is reasonable and satisfies the Exchange Act.²²³ In each respect, as discussed above, Historical CAT Assessment 1 is calculated, and would be applied, in accordance with the requirements applicable to Historical CAT Assessments as set forth in the CAT NMS Plan and, therefore, is reasonable and consistent with the Exchange Act. Calculation of the Historical Fee Rate for Historical CAT Assessment 1 requires the figures for the Historical CAT Costs 1, the executed equivalent share volume for the prior twelve months, the determination of Historical Recovery Period 1, and the projection of the executed equivalent share volume for Historical Recovery Period 1. Each of these variables is reasonable and satisfies the Exchange Act, as discussed throughout this filing.

(A) Historical CAT Costs 1

The formula for calculating a Historical Fee Rate requires the amount of Historical CAT Costs to be recovered. Specifically, Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan requires a fee filing to provide:

a brief description of the amount and type of the Historical CAT Costs, including (1) the technology line items of cloud hosting services, operating fees, CAIS operating fees, change request fees, and capitalized developed technology costs, (2) legal, (3) consulting, (4) insurance, (5) professional and administration and (6) public relations costs.

In accordance with this requirement, FINRA has set forth the amount and type of Historical CAT Costs 1 for each of the categories of costs above.

Section 11.3(b)(iii)(B)(II) of the CAT NMS Plan also requires that the fee filing provide “sufficient detail to demonstrate that the Historical CAT Costs are reasonable and appropriate.” As discussed below, FINRA believes

²¹⁷ 15 U.S.C. 78o-3(b)(5).

²¹⁸ 15 U.S.C. 78o-3(b)(9).

²¹⁹ See 15 U.S.C. 78o-3(b)(2).

²²⁰ See CAT NMS Plan Approval Order, 81 FR 84696, 84697.

²²¹ See *supra* note 220.

²²² See CAT Funding Model Approval Order, 88 FR 62628, 62686.

²²³ See CAT Funding Model Approval Order, 88 FR 62628, 62662–63.

that the amounts set forth in this filing for each of these cost categories is “reasonable and appropriate.” Each of the costs included in Historical CAT Costs 1 are reasonable and appropriate because the costs are consistent with standard industry practice, based on the need to comply with the requirements of the CAT NMS Plan, incurred subject to negotiations performed on an arm’s length basis, and/or are consistent with the needs of any legal entity, particularly one with no employees.

(i) Technology: Cloud Hosting Services

In approving the CAT Funding Model, the Commission recognized that it is appropriate to recover costs related to cloud hosting services as a part of Historical CAT Assessments.²²⁴ CAT LLC determined that the costs related to cloud hosting services described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. As described above, the cloud hosting services costs reflect, among other things, the breadth of the CAT cloud activities, data volume far in excess of the original volume estimates, the need for specialized cloud services given the volume and unique nature of the CAT, the processing time requirements of the Plan, and regular efforts to seek to minimize costs where permissible under the Plan. CAT LLC determined that use of cloud hosting services is necessary for implementation of the CAT, particularly given the substantial data volumes associated with the CAT, and that the fees for cloud hosting services negotiated by FCAT were reasonable, taking into consideration a variety of factors, including the expected volume of data and the breadth of services provided and market rates for similar services.²²⁵ Indeed, the actual costs of the CAT are far in excess of the original estimated costs of the CAT due to various factors, including the higher volumes and greater complexity of the CAT than anticipated when Rule 613 was originally adopted.

To comply with the requirements of the Plan, the breadth of the cloud activities related to the CAT is substantial. The cloud services not only include the production environment for the CAT, but they also include two industry testing environments, support environments for quality assurance and stress testing and disaster recovery capabilities. Moreover, the cloud storage

costs are driven by the requirements of the Plan, which requires the storage of multiple versions of the data, from the original submitted version of the data through various processing steps, to the final version of the data.

Data volume is a significant driver of costs for cloud hosting services. When the Commission adopted the CAT NMS Plan in 2016, it estimated that the CAT would need to receive 58 billion records per day²²⁶ and that annual operating costs for the CAT would range from \$36.5 million to \$55 million.²²⁷ Through 2021, the actual data volumes have been five times that original estimate. The data volumes for each period are set forth in detail above.²²⁸

In addition to the effect of the data volume on the cloud hosting costs, the processing timelines set forth in the Plan contribute to the cloud hosting costs. Although CAT LLC has proactively sought to manage cloud hosting costs while complying with the Plan, including through requests to the Commission for exemptive relief and an amendment to the CAT NMS Plan, stringent CAT NMS Plan requirements do not allow for any material flexibility in cloud architecture design choices, processing timelines (e.g., the use of non-peak processing windows), or lower-cost storage tiers. As a result, the required CAT processing timelines contribute to the cloud hosting costs of the CAT.

The costs for cloud hosting services also reflect the need for specialized cloud hosting services given the data volume and unique processing needs of the CAT. The data volume as well as the data processing needs of the CAT necessitate the use of cloud hosting services. The equipment, power and services required for an on-premises data model, the alternative to cloud hosting services, would be cost prohibitive. Moreover, as CAT was being developed, there were limited cloud hosting providers that could satisfy all the necessary CAT requirements, including the operational and security criteria. Over time more providers offering cloud hosting services that would satisfy these criteria have entered the market. CAT LLC will continue to evaluate alternative cloud hosting services, recognizing that the time and cost to move to an alternative cloud provider would be substantial.

The reasonableness of the cloud hosting services costs is further

supported by key cost discipline mechanisms for the CAT—cost transparency, cost management efforts (including regular efforts to lower compute and storage costs where permitted by the Plan) and oversight. Together, these mechanisms help ensure the ongoing reasonableness of the CAT’s costs and the level of fees assessed to support those costs.²²⁹

(ii) Technology: Operating Fees

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover costs related to operating fees as a part of Historical CAT Assessments.²³⁰ CAT LLC determined that the costs related to the operating fees described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. The operating fees include the negotiated fees paid by CAT LLC to the Plan Processor to operate and maintain the system for order-related information and to perform business operations related to the system, including compliance, security, testing, training, communications with the industry (e.g., management of the FINRA CAT Helpdesk, FAQs, website and webinars) and program management. CAT LLC determined that the selection of FCAT as the Plan Processor was reasonable and appropriate given its expertise with securities regulatory reporting, after a process of considering other potential candidates.²³¹ CAT LLC also determined that the fixed price contract, negotiated on an arm’s length basis with the goals of managing costs and receiving services required to comply with the CAT NMS Plan and Rule 613, was reasonable and appropriate, taking into consideration a variety of factors, including the breadth of services provided and market rates for similar types of activity.²³² The services performed by FCAT for each period and the costs related to such services are described above.²³³

(iii) Technology: CAIS Operating Fees

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover costs related to CAIS operating fees as a part of Historical CAT Assessments.²³⁴ CAT LLC

²²⁴ Section 11.3(b)(iii)(B)(II)(B)(1) of the CAT NMS Plan.

²²⁵ For a discussion of the amount and type of cloud hosting services fees, see Items II.A.1.(2)(B)(i)(a), II.A.1.(2)(B)(ii)(a), II.A.1.(2)(B)(iii)(a) and II.A.1.(2)(B)(iv)(A) above.

²²⁶ See CAT NMS Plan, Appendix D—4 n.262.

²²⁷ See CAT NMS Plan Approval Order, 81 FR 84696, 84801.

²²⁸ See Items II.A.1.(2)(B)(i)(a), II.A.1.(2)(B)(ii)(a), II.A.1.(2)(B)(iii)(a) and II.A.1.(2)(B)(iv)(A) above.

²²⁹ See Securities Exchange Act Release No. 97151 (March 15, 2023), 88 FR 17086, 17117 (March 21, 2023) (describing key cost discipline mechanisms for the CAT).

²³⁰ Section 11.3(b)(iii)(B)(II)(1) of the CAT NMS Plan.

²³¹ See Item II.A.1.(2)(B)(i)(b) above.

²³² See Items II.A.1.(2)(B)(i)(b), II.A.1.(2)(B)(ii)(b), II.A.1.(2)(B)(iii)(b) and II.A.1.(2)(B)(iv)(b) above.

²³³ See *supra* note 232.

²³⁴ Section 11.3(b)(iii)(B)(II)(B)(1) of the CAT NMS Plan.

determined that the costs related to CAIS operating fees described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. The CAIS operating fees include the fees paid to the Plan Processor to operate and maintain CAIS and to perform the business operations related to the system, including compliance, security, testing, training, communications with the industry (e.g., management of the FINRA CAT Helpdesk, FAQs, website and webinars) and program management. CAT LLC determined that the FCAT-negotiated fees for Kingland's CAIS-related services, negotiated on an arm's length basis with the goals of managing costs and receiving services required to comply with the CAT NMS Plan, taking into consideration a variety of factors, including the services to be provided and market rates for similar types of activity, were reasonable and appropriate.²³⁵ The services performed by Kingland for each period and the costs for each period are described above.²³⁶

(iv) Technology: Change Request Fees

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover costs related to change request fees as a part of Historical CAT Assessments.²³⁷ CAT LLC determined that the costs related to change request fees described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. It is common practice to utilize a change request process to address evolving needs in technology projects. This is particularly true for a project like CAT that is the first of its kind, both in substance and in scale. The substance and costs of each of the change requests are evaluated by the Operating Committee, and approved in accordance with the requirements for Operating Committee meetings. In each case, CAT LLC determined that the change requests were necessary to implement the CAT. As described above, the change requests cover various technology changes, including, for example, changes related to CAT reporting, data feeds and exchange functionality. CAT LLC also determined that the costs for each change request were appropriate for the relevant technology change. A description of the change requests for each FAM Period and their total costs are described

above.²³⁸ As noted above, the total costs for change requests through FAM Period 3 represent a small percentage of Historical CAT Costs 1—that is, 0.25% of Historical CAT Costs 1.

(v) Capitalized Developed Technology Costs

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover costs related to capitalized developed technology costs as a part of Historical CAT Assessments.²³⁹ Capitalized developed technology costs include costs related to certain development costs, costs related to certain modifications, upgrades and other changes to the CAT, CAIS implementation fees and license fees. The amount and type of costs for each period are described in more detail above.²⁴⁰ CAT LLC determined that these costs are reasonable and should be included as a part of Historical CAT Costs 1.

These costs involve the activity of both the Initial Plan Processor and FCAT, as the successor Plan Processor.²⁴¹ With regard to the Initial Plan Processor, the Participants utilized an RFP to seek proposals to build and operate the CAT, receiving a number of proposals in response to the RFP. The Participants carefully reviewed and considered each of the proposals, including holding in-person meetings with each of the Bidders. After several rounds of review, the Participants selected the Initial Plan Processor in accordance with the CAT NMS Plan. CAT LLC entered into an agreement with the Initial Plan Processor in which CAT LLC would pay the Initial Plan Processor a negotiated, fixed price fee.²⁴² In addition, as described above, CAT LLC determined that it was appropriate to enter into an agreement with FCAT as the successor Plan Processor.²⁴³

(vi) Legal

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover costs related to legal fees as a part of Historical CAT Assessments.²⁴⁴ CAT LLC determined that the legal costs described in this filing are reasonable and should be included as a part of

Historical CAT Costs 1. Given the unique nature of the CAT, the number of parties involved with the CAT (including, for example, the SEC, Participants, Industry Members, and vendors) and the many regulatory issues associated with the CAT, the scope of the necessary legal services are substantial. CAT LLC determined that the scope of the legal services is necessary to implement and maintain the CAT and that the legal rates reflect the specialized services necessary for such a project. When hiring each law firm for a CAT project, CAT LLC interviewed multiple firms, and determined to hire each firm based on a variety of factors, including the relevant expertise and fees. In each case, CAT LLC determined that the hourly fee rates were in line with market rates for the specialized legal expertise. In addition, CAT LLC determined that the total costs incurred for each CAT project were appropriate given the breadth of services provided. The services performed by each law firm for each period and the costs related to such services are described above.²⁴⁵

(vii) Consulting

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover consulting costs as a part of Historical CAT Assessments.²⁴⁶ CAT LLC determined that the consulting costs described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. Because there are no CAT employees²⁴⁷ and because of the significant number of issues associated with the CAT, the consultants provided assistance in the management of various CAT matters and the processes related to such matters.²⁴⁸ CAT LLC considered a variety of factors in choosing a consulting firm and determined to select Deloitte after an interview process.²⁴⁹ CAT LLC also determined that the consulting services were provided at reasonable market rates, as the fees were negotiated annually and comparable to the rates charged by other consulting

²⁴⁵ See Items II.A.1.(2)(B)(i)(f), II.A.1.(2)(B)(ii)(f), II.A.1.(2)(B)(iii)(f) and II.A.1.(2)(B)(iv)(f) above.

²⁴⁶ Section 11.3(b)(iii)(B)(II)(B)(3) of the CAT NMS Plan.

²⁴⁷ As stated in the filing of the proposed CAT NMS Plan, "[i]t is the intent of the Participants that the Company have no employees." See Securities Exchange Act Release No. 77724 (April 27, 2016), 81 FR 30614, 30621 (May 17, 2016).

²⁴⁸ CAT LLC uses certain third parties to perform tasks that may be performed by administrators for other NMS Plans. See, e.g., CTA Plan and CQ Plan.

²⁴⁹ See Item II.A.1.(2)(B)(i)(g) above.

²³⁵ See Items II.A.1.(2)(B)(i)(c), II.A.1.(2)(B)(ii)(c), II.A.1.(2)(B)(iii)(c) and II.A.1.(2)(B)(iv)(c) above.

²³⁶ See *supra* note 235.

²³⁷ Section 11.3(b)(iii)(B)(II)(B)(1) of the CAT NMS Plan.

²³⁸ See Items II.A.1.(2)(B)(i)(d), II.A.1.(2)(B)(ii)(d), II.A.1.(2)(B)(iii)(d) and II.A.1.(2)(B)(iv)(d) above.

²³⁹ Section 11.3(b)(iii)(B)(II)(B)(1) of the CAT NMS Plan.

²⁴⁰ See Items II.A.1.(2)(B)(i)(e), II.A.1.(2)(B)(ii)(e), II.A.1.(2)(B)(iii)(e) and II.A.1.(2)(B)(iv)(e) above.

²⁴¹ See *supra* note 240.

²⁴² See Item II.A.1.(2)(B)(i)(e) above.

²⁴³ See Item II.A.1.(2)(B)(i)(b) above.

²⁴⁴ Section 11.3(b)(iii)(B)(II)(B)(2) of the CAT NMS Plan.

firms for similar work.²⁵⁰ Moreover, the total costs for such consulting services were appropriate in light of the breadth of services provided by Deloitte. The services performed by Deloitte and the costs related to such services are described above.²⁵¹

(viii) Insurance

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover insurance costs as a part of Historical CAT Assessments.²⁵² CAT LLC determined that the insurance costs described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. CAT LLC determined that it is common practice to have directors' and officers' liability insurance, and errors and omissions liability insurance. CAT LLC further determined that it was important to have cyber security insurance given the nature of the CAT, and such a decision is consistent with the CAT NMS Plan, which states that the cyber incident response plan may include "[i]nsurance against security breaches."²⁵³ In selecting the insurance providers for these policies, CAT LLC engaged in an evaluation of alternative insurers, including a comparison of the pricing offered by the alternative insurers.²⁵⁴ Based on this analysis, CAT LLC determined that the selected insurance policies provided appropriate coverage at reasonable market rates.²⁵⁵

(ix) Professional and Administration

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover professional and administration costs as a part of Historical CAT Assessments.²⁵⁶ CAT LLC determined that the professional and administration costs described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. Because there are no CAT employees, all required accounting, financial, tax, cash management and treasury functions for CAT LLC have been outsourced at market rates. In addition, the required annual financial statement audit of CAT LLC is included in professional and administration

costs, which costs are also at market rates.

CAT LLC determined to hire a financial advisory firm, Anchin, to assist with financial matters for the CAT. CAT LLC interviewed Anchin as well as other potential financial advisory firms to assist with the CAT project, considering a variety of factors in its analysis, including the firm's relevant expertise and fees.²⁵⁷ The hourly fee rates for this firm were in line with market rates for the financial advisory services provided.²⁵⁸ Moreover, the total costs for such financial advisory services was appropriate in light of the breadth of services provided by Anchin. The services performed by Anchin and the costs related to such services are described above.²⁵⁹

CAT LLC also determined to engage an independent accounting firm, Grant Thornton, to complete the audit of CAT LLC's financial statements, in accordance with the requirements of the CAT NMS Plan. CAT LLC interviewed this firm as well as another potential accounting firm to audit CAT LLC's financial statements, considering a variety of factors in its analysis, including the relevant expertise and fees of each of the firms. CAT LLC determined that Grant Thornton was well-qualified for the role given the balance of these considerations.²⁶⁰ Grant Thornton's fixed fee rate compensation arrangement was reasonable and appropriate, and in line with the market rates charged for these types of accounting services.²⁶¹ Moreover, the total costs for such financial advisory services was appropriate in light of the breadth of services provided by Grant Thornton. The services performed by Grant Thornton and the costs related to such services are described above.²⁶²

The professional and administrative costs also include costs related to the receipt of certain market data from Exegy. After performing an analysis of the available market data vendors to confirm that the data provided met the SIP Data requirements of the CAT NMS Plan and comparing the costs of the vendors providing the required SIP Data, CAT LLC determined to purchase market data from Exegy. Exegy provided the data elements required by the CAT NMS Plan, and the fees were reasonable

and in line with market rates for the market data received.²⁶³

The professional and administrative costs also include costs related to a third-party security assessment of the CAT performed by RSM. The assessment was designed to verify and validate the effective design, implementation, and operation of the controls specified by NIST Special Publication 800–53, Revision 4 and related standards and guidelines. Such a security assessment is in line with industry practice and important given the data included in the CAT. CAT LLC determined to engage RSM to perform the security assessment, after considering a variety of factors in its analysis, including the firm's relevant expertise and fees. The fees were reasonable and in line with market rates for such an assessment.²⁶⁴

(x) Public Relations Costs

In approving the CAT Funding Model, the SEC recognized that it is appropriate to recover public relations costs as a part of Historical CAT Assessments.²⁶⁵ CAT LLC determined that the public relations costs described in this filing are reasonable and should be included as a part of Historical CAT Costs 1. CAT LLC determined that the types of public relations services utilized were beneficial to the CAT and market participants more generally. Public relations services were important for various reasons, including monitoring comments made by market participants about CAT and understanding issues related to the CAT discussed on the public record.²⁶⁶ By engaging a public relations firm, CAT LLC was better positioned to understand and address CAT issues to the benefit of all market participants.²⁶⁷ Moreover, CAT LLC determined that the rates charged for such services were in line with market rates.²⁶⁸ As noted above, the total public relations costs through FAM Period 3 represent a small percentage of Historical CAT Costs 1—that is, 0.1% of Historical CAT Costs 1.

(B) *Total Executed Equivalent Share Volume for the Prior 12 Months*

The total executed equivalent share volume of transactions in Eligible Securities for the 12-month period from June 2023 through May 2024 was 3,980,753,840,905.21 executed

²⁵⁰ See Items II.A.1.(2)(B)(i)(g), II.A.1.(2)(B)(ii)(g), II.A.1.(2)(B)(iii)(g) and II.A.1.(2)(B)(iv)(g) above.

²⁵¹ See *supra* note 250.

²⁵² Section 11.3(b)(iii)(B)(II)(B)(4) of the CAT NMS Plan.

²⁵³ Section 4.1.5 of Appendix D of the CAT NMS Plan.

²⁵⁴ See Items II.A.1.(2)(B)(i)(h), II.A.1.(2)(B)(ii)(h), II.A.1.(2)(B)(iii)(h) and II.A.1.(2)(B)(iv)(h) above.

²⁵⁵ See *supra* note 254.

²⁵⁶ See Section 11.3(b)(iii)(B)(II)(B)(5) of the CAT NMS Plan.

²⁵⁷ See Item II.A.1.(2)(B)(i)(i) above.

²⁵⁸ See Items II.A.1.(2)(B)(i)(i), II.A.1.(2)(B)(ii)(i), II.A.1.(2)(B)(iii)(i) and II.A.1.(2)(B)(iv)(i) above.

²⁵⁹ See *supra* note 258.

²⁶⁰ See Item II.A.1.(2)(B)(i)(i) above.

²⁶¹ See Items II.A.1.(2)(B)(i)(i), II.A.1.(2)(B)(ii)(i), II.A.1.(2)(B)(iii)(i) and II.A.1.(2)(B)(iv)(i) above.

²⁶² See *supra* note 261.

²⁶³ See Item II.A.1.(2)(B)(i)(i) above.

²⁶⁴ See *supra* note 263.

²⁶⁵ Section 11.3(b)(iii)(B)(II)(B)(6) of the CAT NMS Plan.

²⁶⁶ See Item II.A.1.(2)(B)(i)(j) above.

²⁶⁷ See Items II.A.1.(2)(B)(i)(j), II.A.1.(2)(B)(ii)(j), II.A.1.(2)(B)(iii)(j) and II.A.1.(2)(B)(iv)(j) above.

²⁶⁸ See *supra* note 267.

equivalent shares. CAT LLC determined the total executed equivalent share volume for the prior twelve months by counting executed equivalent shares in the same manner as it will count executed equivalent shares for CAT billing purposes.

(C) Historical Recovery Period 1

CAT LLC has determined to establish a Historical Recovery Period of 24 months for Historical CAT Assessment 1 and that such length is reasonable. CAT LLC determined that the length of Historical Recovery Period 1 appropriately weighs the need for a reasonable Historical Fee Rate 1 that spreads the Historical CAT Costs over an appropriate amount of time and the need to repay the loans notes to the Participants in a timely fashion. CAT LLC determined that 24 months for Historical Recovery Period 1 would establish a fee rate that is lower than other transaction-based fees, including fees assessed pursuant to Section 31.²⁶⁹ In addition, in establishing a Historical Recovery Period of 24 months, CAT LLC recognized that the total costs for Historical CAT Assessment 1 was less than the total costs for 2022 and 2023, and therefore it would be appropriate to recover those costs in two years.

(D) Projected Executed Equivalent Share Volume for Historical Recovery Period 1

CAT LLC has determined to calculate the projected total executed equivalent share volume for the 24 months of Historical Recovery Period 1 by doubling the executed equivalent share volume for the prior 12 months. CAT LLC determined that such an approach was reasonable as the CAT's annual executed equivalent share volume has remained relatively constant in recent years. For example, the executed equivalent share volume for 2021 was 3,963,697,612,395, the executed equivalent share volume for 2022 was 4,039,821,841,560.31, and the executed equivalent share volume for 2023 was 3,868,940,345,680.6. Accordingly, the projected total executed equivalent share volume for Historical Recovery Period 1 is projected to be 7,961,507,681,810.42 executed equivalent shares.²⁷⁰

²⁶⁹ As the SEC noted in the CAT Funding Model Approval Order, recent Section 31 fees ranged from \$0.00009 per share to \$0.0004 per share. CAT Funding Model Approval Order, 88 FR 62628, 62682.

²⁷⁰ This projection was calculated by multiplying 3,980,753,840,905.21 executed equivalent shares by two.

(E) Actual Fee Rate for Historical CAT Assessment 1

(i) Decimal Places

As noted in the Plan amendment for the CAT Funding Model, as a practical matter, the fee filing for a Historical CAT Assessment would provide the exact fee per executed equivalent share to be paid for each Historical CAT Assessment, by multiplying the Historical Fee Rate by one-third and describing the relevant number of decimal places for the fee rate.²⁷¹ Accordingly, proposed paragraph (a)(1)(A)(ii) of Rule 6897 would set forth a fee rate of \$0.000013 per executed equivalent share. This fee rate is calculated by multiplying Historical Fee Rate 1 by one-third, and rounding the result to 6 decimal places. CAT LLC determined that the use of six decimal places is reasonable as it balances the accuracy of the calculation with the potential systems and other impracticalities of using additional decimal places in the calculation.

(ii) Reasonable Fee Level

FINRA believes that imposing Historical CAT Assessment 1 with a fee rate of \$0.000013 per executed equivalent share is reasonable because it provides for a revenue stream for the Company that is aligned with Historical CAT Costs 1 and such costs would be spread out over an appropriate recovery period, as discussed above. Moreover, FINRA believes that the level of the fee rate is reasonable in that it is calculated in accordance with the SEC-approved CAT Funding Model. Historical CAT Assessment 1 is significantly lower than fees assessed pursuant to Section 31 (e.g., \$0.0009 per share to 0.0004 per share),²⁷² and, as a result, the magnitude of Historical CAT Assessment 1 is small, and therefore will mitigate any potential adverse economic effects or inefficiencies.²⁷³ Furthermore, the reasonable fee rate for Historical CAT Assessment 1 further supports CAT LLC's decision to seek to recover all Historical CAT Costs prior to 2022, rather than establishing separate Historical CAT Assessments for pre-FAM, FAM 1, FAM 2 and FAM 3 costs.

(3) Historical CAT Assessment 1 Provides for an Equitable Allocation of Fees

Historical CAT Assessment 1 provides for an equitable allocation of fees, as it equitably allocates CAT costs between

²⁷¹ See CAT Funding Model Approval Order, 88 FR 62628, 62658 n.658.

²⁷² See CAT Funding Model Approval Order, 88 FR 62628, 62663, 62682.

²⁷³ See *supra* note 272.

and among the Participants and Industry Members, in accordance with the SEC-approved CAT Funding Model. The SEC approved the CAT Funding Model, finding that each aspect of the CAT Funding Model satisfied the requirements of the Exchange Act, including the formula for calculating Historical CAT Assessments as well as the Industry Members to be charged the Historical CAT Assessments.²⁷⁴ In approving the CAT Funding Model, the SEC stated that "[t]he Participants have sufficiently demonstrated that the proposed allocation of fees is reasonable."²⁷⁵ Accordingly, the CAT Funding Model sets forth the requirements for allocating fees related to Historical CAT Costs among Participants and Industry Members, and the fee filings for Historical CAT Assessments must comply with those requirements.

Historical CAT Assessment 1 provides for an equitable allocation of fees as it complies with the requirements regarding the calculation of Historical CAT Assessments as set forth in the CAT NMS Plan. For example, as described above, the calculation of Historical CAT Assessment 1 complies with the formula set forth in Section 11.3(b) of the CAT NMS Plan. In addition, Historical CAT Assessment 1 would be charged to CEBBs and CEBSSs in accordance with Section 11.3(b) of the CAT NMS Plan. Furthermore, the Participants would continue to remain responsible for their designated share of Past CAT Costs through the cancellation of loans made by the Participants to CAT LLC.

In addition, as discussed above, each of the inputs into the calculation of Historical CAT Assessment 1—Historical CAT Costs 1 (including Excluded Costs), the count for the executed equivalent share volume for the prior 12 months, the length of the Historical Recovery Period, and the projected executed equivalent share volume for the Historical Recovery Period—are reasonable. Moreover, these inputs lead to a fee rate for Historical CAT Assessment 1 that is reasonable as it is consistent with the SEC-approved CAT Funding Model and is lower than other fee rates for transaction-based fees. A reasonable fee rate allocated in accordance with the requirements of the CAT Funding Model provides for an equitable allocation of fees.

²⁷⁴ See Section 11.3(b) of the CAT NMS Plan.

²⁷⁵ CAT Funding Model Approval Order, 88 FR 62628, 62629.

(4) Historical CAT Assessment 1 Is Not Unfairly Discriminatory

Historical CAT Assessment 1 is not an unfairly discriminatory fee. The SEC approved the CAT Funding Model, finding that each aspect of the CAT Funding Model satisfied the requirements of the Exchange Act. In reaching this conclusion, the SEC analyzed the potential effect of Historical CAT Assessments calculated pursuant to the CAT Funding Model on affected categories of market participants, including Participants (including exchanges and FINRA), Industry Members (including subcategories of Industry Members, such as alternative trading systems, CAT Executing Brokers and market makers), and investors generally, and considered market effects related to equities and options, among other things. Historical CAT Assessment 1 complies with the requirements regarding the calculation of Historical CAT Assessments as set forth in the CAT NMS Plan. In addition, as discussed above, each of the inputs into the calculation of Historical CAT Assessment 1 and the resulting fee rate for Historical CAT Assessment 1 is reasonable, consistent with the SEC-approved CAT Funding Model. Therefore, Historical CAT Assessment 1 does not impose an unfairly discriminatory fee on Industry Members.

FINRA believes the proposed fees established pursuant to the CAT Funding Model promote just and equitable principles of trade, and, in general, protect investors and the public interest, and are provided in a transparent manner and with specificity in proposed Rule 6897. FINRA also believes that the proposed fees are reasonable in that they would provide ease of calculation, ease of billing and other administrative functions, and predictability of a fee based on fixed rate per executed equivalent share and are consistent with the SEC-approved Funding Model. Such factors are crucial to estimating a reliable revenue stream for CAT LLC and for permitting Industry Members to reasonably predict their payment obligations for budgeting purposes.

B. Self-Regulatory Organization's Statement on Burden on Competition

FINRA does not believe that the proposed rule change will result in any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act. Section 15A(b)(9) of the Act²⁷⁶ requires that

FINRA's rules not impose any burden on competition that is not necessary or appropriate in furtherance of the purpose of the Exchange Act. FINRA notes that Historical CAT Assessment 1 implements provisions of the CAT NMS Plan that were approved by the Commission and is designed to assist FINRA in meeting its regulatory obligations pursuant to the Plan.

In addition, all Participants (including exchanges and FINRA) are proposing to introduce Historical CAT Assessment 1 on behalf of CAT LLC to implement the requirements of the CAT NMS Plan. Therefore, this is not a competitive fee filing, and, therefore, it does not raise competition issues between and among the Participants.

Furthermore, in approving the CAT Funding Model, the SEC analyzed the potential competitive impact of the CAT Funding Model, including competitive issues related to market services, trading services and regulatory services, efficiency concerns, and capital formation.²⁷⁷ The SEC also analyzed the potential effect of CAT fees calculated pursuant to the CAT Funding Model on affected categories of market participants, including Participants (including exchanges and FINRA), Industry Members (including subcategories of Industry Members, such as alternative trading systems, CAT Executing Brokers and market makers), and investors generally, and considered market effects related to equities and options, among other things. Based on this analysis, the SEC approved the CAT Funding Model as compliant with the Exchange Act. Historical CAT Assessment 1 is calculated and implemented in accordance with the CAT Funding Model as approved by the SEC.

As discussed above, each of the inputs into the calculation of Historical CAT Assessment 1 is reasonable and the resulting fee rate for Historical CAT Assessment 1 calculated in accordance with the CAT Funding Model is reasonable. Therefore, Historical CAT Assessment 1 would not impose any burden on competition that is not necessary or appropriate in furtherance of the purpose of the Exchange Act.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

Written comments were neither solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3)(A)(ii) of the Exchange Act²⁷⁸ and Rule 19b-4(f)(2) thereunder,²⁷⁹ because it establishes or changes a due, or fee.

At any time within 60 days of the filing of the proposed rule change, the Commission summarily may temporarily suspend the rule change if it appears to the Commission that the action is necessary or appropriate in the public interest, for the protection of investors, or would otherwise further the purposes of the Act. If the Commission takes such action, the Commission shall institute proceedings to determine whether the proposed rule should be approved or disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing, including whether the proposed rule change is consistent with the Act. Comments may be submitted by any of the following methods:

Electronic Comments

- Use the Commission's internet comment form (<https://www.sec.gov/rules/sro.shtml>); or
- Send an email to rule-comments@sec.gov. Please include file number SR-FINRA-2024-013 on the subject line.

Paper Comments

- Send paper comments in triplicate to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.
- All submissions should refer to file number SR-FINRA-2024-013. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's internet website (<https://www.sec.gov/rules/sro.shtml>). Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be

²⁷⁶ 15 U.S.C. 78o-3(b)(9).

²⁷⁷ See CAT Funding Model Approval Order, 88 FR 62628, 62676-86.

²⁷⁸ 15 U.S.C. 78s(b)(3)(A)(ii).

²⁷⁹ 17 CFR 240.19b-4(f)(2).

available for website viewing and printing in the Commission's Public Reference Room, 100 F Street NE, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. Copies of the filing also will be available for inspection and copying at the principal office of FINRA. Do not include personal identifiable information in submissions;

you should submit only information that you wish to make available publicly. We may redact in part or withhold entirely from publication submitted material that is obscene or subject to copyright protection.

All submissions should refer to file number SR-FINRA-2024-013 and should be submitted on or before October 9, 2024.

For the Commission, by the Division of Trading and Markets, pursuant to delegated authority.²⁸⁰

Sherry R. Haywood,

Assistant Secretary.

[FR Doc. 2024-21169 Filed 9-17-24; 8:45 am]

BILLING CODE 8011-01-P

²⁸⁰ 17 CFR 200.30-3(a)(12).



FEDERAL REGISTER

Vol. 89

Wednesday,

No. 181

September 18, 2024

Part III

Department of Homeland Security

Coast Guard

33 CFR Part 149

46 CFR Parts 2, 31, 32, et al.

Marine Equipment on Board Vessels and Offshore Units or Facilities; Final Rule

DEPARTMENT OF HOMELAND SECURITY**Coast Guard****33 CFR Part 149**

46 CFR Parts 2, 31, 32, 34, 35, 39, 56, 76, 77, 95, 96, 105, 107, 108, 109, 115, 116, 118, 132, 147, 159, 160, 161, 162, 163, 164, 167, 169, 181, 195, and 199

[Docket No. USCG–2020–0519]

RIN 1625–AC76

Marine Equipment on Board Vessels and Offshore Units or Facilities

AGENCY: Coast Guard, DHS.

ACTION: Final rule.

SUMMARY: The Coast Guard is revising regulations associated with the approval, carriage, and maintenance of certain safety equipment required on board vessels and offshore units or facilities. We are taking this action to align these regulations with current industry practice and provide more transparent regulations for the regulated industry. These revisions eliminate outdated requirements, reduce inspection and testing requirements, and update standards incorporated by reference. Additionally, these revisions remove obsolete sections and align conflicting sections with the International Convention for the Safety of Life at Sea.

DATES: This final rule is effective October 18, 2024.

The incorporation by reference of certain publications listed in the rule is approved by the Director of the Federal Register beginning October 18, 2024. The incorporation by reference of certain other publications listed in the rule was approved by the Director of the Federal Register as of August 22, 2016.

ADDRESSES: To view documents mentioned in this preamble as being available in the docket, go to <https://www.regulations.gov>, type USCG–2020–0519 in the search box and click “Search.” Next, in the Document Type column, select “Supporting & Related Material.”

FOR FURTHER INFORMATION CONTACT: For information about this document, call or email Lieutenant Jeff Bors, Lifesaving and Fire Safety Division (CG–ENG–4), U.S. Coast Guard; telephone 571–610–2849, email Jeffrey.S.Bors@uscg.mil.

SUPPLEMENTARY INFORMATION:**Table of Contents for Preamble**

- I. Abbreviations
- II. Basis, Purpose, and Regulatory History

- III. Background
- IV. Discussion of Comments
- V. Discussion of the Final Rule and Changes From NPRM
- VI. Incorporation by Reference
- VII. Regulatory Analyses
 - A. Regulatory Planning and Review
 - B. Small Entities
 - C. Assistance for Small Entities
 - D. Collection of Information
 - E. Federalism
 - F. Unfunded Mandates
 - G. Taking of Private Property
 - H. Civil Justice Reform
 - I. Protection of Children
 - J. Indian Tribal Governments
 - K. Energy Effects
 - L. Technical Standards
 - M. Environment

I. Abbreviations

ASTM ASTM International
 CFR Code of Federal Regulations
 CG–ENG Coast Guard Office of Design and Engineering Standards
 COMDTINST Commandant Instruction
 COSPAS Space System for the Search of Vessels in Distress
 DHS Department of Homeland Security
 EPIRB Emergency Position Indicating Radio Beacon
 FCC Federal Communications Commission
 FR Federal Register
 FTP Code Fire Test Procedures Code
 IBR Incorporation by reference
 IMO International Maritime Organization
 ISO International Organization for Standardization
 LSA Life-Saving Appliances
 MISLE Marine Information for Safety and Law Enforcement
 MODU Mobile offshore drilling unit
 MSC Maritime Safety Committee
 MSHA Mine Safety and Health Administration
 NIOSH National Institute for Occupational Safety and Health
 NFPA National Fire Protection Association
 NRTL Nationally Recognized Testing Laboratory
 NPRM Notice of proposed rulemaking
 NVIC Navigation and Vessel Inspection Circular
 OCMI Officer in Charge, Marine Inspection
 OCS Outer Continental Shelf
 OMB Office of Management and Budget
 PHS Public Health Service
 RTCM Radio Technical Commission for Maritime Services
 SRSAT Search and Rescue Satellite-Aided Tracking
 SCBA Self-contained breathing apparatus
 § Section
 SME Subject matter expert
 SOLAS International Convention for the Safety of Life at Sea
 UL Underwriters Laboratories, Inc.
 U.S.C. United States Code

II. Basis, Purpose, and Regulatory History

The statutory authority for these regulations can be found in Title 46 of the United States Code (U.S.C.), Sections 3306 and 3703. The authority

to issue regulations, pursuant to these sections, is delegated to the Commandant of the Coast Guard under Department of Homeland Security (DHS) Delegation No. 00170.1, Revision No. 01.4, paragraph (II)(92).

Under 46 U.S.C. 3306, the Secretary of DHS is required to prescribe necessary regulations to ensure safety of individuals and property on board vessels subject to inspection. This final rule ensures the proper design, construction, alteration, repair, and operation of vessels subject to inspection.

Under 46 U.S.C. 3703, the Secretary of DHS is required to prescribe regulations for the design, construction, alteration, repair, maintenance, operation, equipping, personnel qualification, and manning of tank and cargo vessels that may be necessary for increased protection against hazards to life and property, navigation and vessel safety, and enhanced protection of the marine environment.

The Coast Guard issued a notice of proposed rulemaking (NPRM) on May 23, 2023, and solicited public comment on the proposed rule during a comment period of 62 days.¹ The comment period closed on July 24, 2023. The Coast Guard received six comment submissions, which are discussed later in this document.

This final rule amends title 33 of the Code of Federal Regulations (CFR), chapter I, subchapters NN, and 46 CFR, chapter I, subchapters A, D, F, H, I, I–A, K, L, N, Q, R, T, U, and W. These subchapters are associated with approving, carrying, and maintaining certain safety equipment required on board vessels and offshore units or facilities. The revisions in this final rule eliminate outdated requirements, reduce inspection and testing requirements, modify submission requirements for equipment approval to allow materials to be submitted electronically, and update standards incorporated by reference. Additionally, this final rule removes numerous obsolete CFR sections and updates other CFR sections to bring them into compliance with the International Convention for the Safety of Life at Sea (SOLAS) and related regulations.

III. Background

The Coast Guard conducted a comprehensive review of regulations regarding the approval, carriage, and maintenance of marine equipment on U.S.-flagged vessels. The Coast Guard continues to review regulations with the following goals: updating references to

¹ 88 FR 33026.

incorporated standards that have been modified; clarifying language; providing additional regulatory flexibility where possible; minimizing the regulatory burden on affected vessels; and removing obsolete rules to ensure marine equipment requirements are current with emerging technology and industry standards.

IV. Discussion of Comments

In response to the NPRM published on May 23, 2023, we received six written submissions during the comment period. These written submissions are available in the public docket for this rulemaking, where indicated under **ADDRESSES**, or at the direct link: <https://www.regulations.gov/docket/USCG-2020-0519/comments>. The Coast Guard appreciates the comments from the public, as these insights continue to inform Coast Guard actions and programs. We summarize the comments and our responses in the paragraphs that follow.

One commenter noted that the proposed changes to 46 CFR 116.400(c) would create an unintentional application of subchapter H's egress requirements found in § 72.05–20 for all subchapter K vessels that use SOLAS Structural Fire Protection requirements as equivalent. The intent of the amendments to § 116.400 was to clarify the egress requirements and not to impose additional egress requirements. All subchapter K vessels that use SOLAS Structural Fire Protection requirements as equivalent must comply with the egress requirements for stairtowers, stairways, ladders, and elevators in § 116.438. In accordance with § 116.438(a), those subchapter K vessels that carry more than 600 passengers or with overnight accommodations for more than 49 passengers must meet the egress requirements in subchapter H for stairtowers, stairways, ladders, and elevators in § 72.05–20. In response to this comment, in § 116.400(c) we removed the direct reference to § 72.05–20 from the proposed rule and added a reference to § 116.438 in this final rule so as not to apply § 72.05–20 to all subchapter K vessels.

A commenter noted the rulemaking's intent to “align the regulations with the current industry practice and provide more transparent regulations for the regulated industry” and suggested revising and updating the regulations for 46 CFR subchapter W. The commenter offered a number of suggestions to revise regulations for Emergency Position Indicating Radio Beacons (EPIRBs), distress signals, lifebuoys, survival craft, line throwing

appliances, and provide clarity to the definitions of accommodation and workstation. The updates to subchapter W in this rule were specifically drafted to align davit maintenance intervals with SOLAS requirements, and not to update regulations in subchapter W in general. Therefore, this commenter's suggestions are outside the scope of this rulemaking. We cannot make those updates in this final rule; however, the Coast Guard acknowledges that the application of subchapter W to barges that are not self-propelled is ambiguous and is working to address it. Additionally, as of July 2023, there is a newly published Change 2 to Navigation and Vessel Inspection Circular (NVIC) 02–81² that has exemptions for life-saving requirements on integrated and articulated tug and barge combinations.

We received a comment regarding Coast Guard requirements for nonmetallic (plastic) piping used in various engineering systems for different types of vessels. The comment suggested that, because all nonmetallic piping used in the building industry essentially meets the same ASTM International (ASTM) D1784 standard requirements, piping that also meets this standard should be acceptable for use in vessel systems without more requirements from the Coast Guard. The intent of this rule on this particular subject is to remove redundant fire testing requirements for nonmetallic piping, specifically for vessels under 46 CFR subchapter K. A proposal to newly incorporate an industry standard on this subject is beyond the scope of this rulemaking, as piping requirements vary between the regulations applicable to specific vessel types. We note that manufacturers and vessel designers may submit specific material test results for general approval by the Coast Guard, or acceptance to an equivalent level of safety to the CFR for a particular vessel or project. As a result, the Coast Guard made no changes from the proposed rule in response to this comment.

We received a comment that concurred with the proposed edits to 46 CFR 56.60–25(a)(4), but also recommended that § 56.60–25(a)(7) be modified to include other laboratory accreditation bodies for potable water piping. Specifically, the comment recommended inclusion of accreditation entities signatory to the International Laboratory Accreditation Cooperation Mutual Recognition Arrangement. The

² U.S. Coast Guard NVIC 02–81 Ch-2, <https://www.dco.uscg.mil/Portals/9/DCO%20Documents/5p/5ps/NVIC/1981/NVIC%2002-81%20Ch.2%20CG%20Inspec%20Guidance%20Integrated%20and%20Articulated%20Tug%20&%20Barges.pdf>, accessed January 23, 2024.

Coast Guard's proposed change to remove repetitive wording was editorial in nature. As the commenter's recommended modification of acceptable accreditation entities is a substantial change that was not considered in the NPRM, we cannot make that change in this final rule; however, the recommendation may be considered for a future rulemaking.

We also received a comment regarding the carpet requirements for vessels under subchapter K in 46 CFR 116.423. The comment stated that the rugs and carpets requirements in § 116.423(a)(4) are applicable to all spaces, not just rooms containing fire resistant furnishings under § 116.423(a) and suggests that the carpet requirements should be its own paragraph, not a subparagraph of § 116.423(a). The Coast Guard acknowledges this comment. It is outside the scope of this rulemaking because this section was not part of the changes proposed in the NPRM. However, we will consider this revision for inclusion in a future rulemaking. For these reasons, we have made no changes from the proposed rule in response to this comment.

We received one comment on the regulatory analysis (RA) related to the affected population for the lifeboats listed in table 2 of the NPRM. The commenter expressed concern that the table did not provide enough clarity to determine if floating Outer Continental Shelf (OCS) facilities were included. We did not include floating OCS facilities in our population of vessels carrying lifeboats because the proposed change is not applicable to floating OCS facilities. We made the recommended changes to reflect the affected population of vessels carrying lifeboats by subchapter, and we listed the affected population by inspection subchapter, for vessels carrying lifeboats, in table 7 of the RA in this final rule.

V. Discussion of the Final Rule and Changes From NPRM

In order to decrease likelihood of introducing errors, to improve efficiency during the publication process, and to meet drafting and formatting requirements for publication, we are revising or revising and republishing several sections and tables, as appropriate. This final rule makes no substantive changes from the NPRM; it makes effective the following changes to various subchapters in titles 33 and 46 of the CFR:

(1) Modifies equipment approval submission requirements to allow for materials to be submitted electronically to typeapproval@uscg.mil, instead of the

existing requirement of paper submissions in triplicate;

(2) Removes obsolete regulations for pilot hoists that are no longer allowed on U.S.-flagged vessels;

(3) Allows vessel owners and operators to use a third party to test the properties and quality of their firefighting foam;

(4) Revises the requirements for pressure vacuum relief valves to align with international consensus standards;

(5) Updates requirements for lifeboat and rescue boat releasing mechanisms on board mobile offshore drilling units (MODUs) to allow for lifeboats that serve as rescue boats to carry lifeboat releasing mechanisms. We note that this does not apply to OCS facilities as incorrectly stated in the NPRM;

(6) Removes prescriptive design requirements for lifeboat, rescue boat, and liferaft winch limit switches and aligns requirements with the Life-Saving Appliances (LSA) Code;

(7) Removes a redundant flame-spread testing requirement for nonmetallic piping used in certain vessels;

(8) Revises the “end-for-ending” requirement for launching appliance

falls (wire ropes) to align with SOLAS, which allows for a fall replacement interval of 5 years without end-for-ending;

(9) Changes the interval for hydrostatic testing of all inert gas firefighting extinguishing system bottles to align with the hydrostatic testing intervals for carbon dioxide and Halon firefighting extinguishing systems. The interval will change from at least once every 5 or 10 years (depending on bottle size) to once every 12 years;

(10) Removes the Mine Safety and Health Administration’s (MSHA) approval requirement for self-contained breathing apparatuses (SCBAs) because MSHA no longer certifies this type of equipment for marine use;

(11) Revises the standards of fire-resistant fiber-reinforced plastic resin used to manufacture survival craft and rescue boats to allow the use of additional international standards;

(12) Removes the requirement for Coast Guard approval of EPIRBs and codifies the current policy in which the Coast Guard reviews test data, instruction manuals, drawings, and specifications of the EPIRB and issues a

letter to the manufacturer stating whether the EPIRB satisfies all Radio Technical Commission for Maritime Services (RTCM) Recommended Standards. This aligns with the requirements as set out in 47 CFR 80.1061;

(13) Adds an option for the use of fire detection systems as excess equipment for MODUs and a grandfathering clause for fire extinguishers on board nautical school vessels;

(14) Makes editorial changes to clarify language, correct typographical errors, and delete repetitive words;

(15) Updates incorporations by reference (IBRs), removes outdated IBRs, and revises CFR citations to the correct IBRs;

(16) Corrects errors in fire extinguisher quantities and ratings from a previous rulemaking; and

(17) Clarifies structural fire protection requirements for means of egress on 46 CFR subchapter K vessels.

Table 1 provides a list of the types of changes, summaries of the changes, and the subparts affected by this final rule. Further explanation for each of these categories can be found after the table.

TABLE 1—SUMMARY OF CHANGES AND CFR SUBPARTS AND SECTIONS AFFECTED

Equipment involved or type of change	Changes	Affected CFR subparts and sections
CFR References and Changes to IBRs.	1. Deletes references to outdated IBRs and corrects improper IBRs in regulation text. 2. Corrects improper CFR references.	46 CFR 115.810(b)(1), 46 CFR 118.500(d), 46 CFR 160.171–3, 46 CFR 160.174–3, 46 CFR 161.002–18(a)(3), 46 CFR 161.002–19(a)(3), 46 CFR 161.002–19(b)(3), 46 CFR 162.017–0, 46 CFR 164.106–3(a), 46 CFR 164.137–2(b)(2), 46 CFR 164.137–3(a), 46 CFR 164.138–2(a), 46 CFR 164.138–2(b)(2), 46 CFR 164.138–3(a), 46 CFR 164.139–2(a), 46 CFR 164.139–2(b)(2), 46 CFR 164.139–3(a).
Editorial	1. Clarifies language. 2. Corrects typographical errors. 3. Deletes repetitive words and wording.	33 CFR 149.410, 46 CFR 56.60–25(a)(4), 46 CFR 108.495, 46 CFR subpart 162.017, 46 CFR 181.500(b).
Electronic Submissions	1. Adds option to submit equipment approval materials electronically. 2. Removes requirement for multiple copies of submissions for equipment approval, if submitted electronically.	46 CFR 2.75–10(b), 46 CFR 159.001–5, 46 CFR 160.115–9(b), 46 CFR 160.115–13(g)(2), 46 CFR 160.132–9(b), 46 CFR 160.132–13(g)(2), 46 CFR 160.133–9(b), 46 CFR 160.133–13(g)(2), 46 CFR 160.135–9(b), 46 CFR 160.135–13(g)(2), 46 CFR 160.156–9(b), 46 CFR 160.156–13(g)(2), 46 CFR 160.170–9(b), 46 CFR 160.170–13(g)(2), 46 CFR 161.002–18(a), 46 CFR 161.002–19(a)(2), 46 CFR 161.012–5(a), 46 CFR 161.012–5(b)(2), 46 CFR 161.013–11(c)(1), 46 CFR 161.013–17, 46 CFR 162.050–15(a), 46 CFR 162.060–40(b), 46 CFR 164.009–9(a), 46 CFR 164.018–7(a), 46 CFR 164.018–7(b)(2).
End-for-Ending Launching Appliance Falls.	1. Removes requirement for “end-for-ending” for launching appliance falls, to align with SOLAS. 2. Revises interval for launching appliance falls replacement to 5 years.	46 CFR 109.301(j), 46 CFR 199.190(j)
EPIRB	Aligns Coast Guard acceptance of EPIRBs in 46 CFR with Federal Communications Commission (FCC) requirements in 47 CFR and standards established by the Space System for the Search of Vessels in Distress (COSPAS), Search and Rescue Satellite-Aided Tracking (SARSAT), and RTCM.	46 CFR 161.011–1, 46 CFR 161.011–5, 46 CFR 161.011–10.

TABLE 1—SUMMARY OF CHANGES AND CFR SUBPARTS AND SECTIONS AFFECTED—Continued

Equipment involved or type of change	Changes	Affected CFR subparts and sections
Equipment Deletion	Deletes pilot hoist approval series, § 163.002 and associated references in various subchapters.	46 CFR 32.90–1(h), 46 CFR 77.40–1(h), 46 CFR 96.40–1(h), 46 CFR 108.719(h), 46 CFR subpart 163.002, 46 CFR 195.40–1(h).
Fire Protection and Other Conforming Amendments.	1. Corrects fire extinguisher ratings. 2. Clarifies fire extinguisher quantities. 3. Adds option to allow use of nationally recognized testing laboratory (NRTL) listed and labeled fire detection systems as excess equipment for MODUs. 4. Adds grandfathering provision for fire extinguishers for public nautical school ships and sailing school ships.	46 CFR 34.10–90(a)(3), 46 CFR 34.50–10(a), 46 CFR 76.50–10(a), 46 CFR 95.50–10(a), 46 CFR 105.14(a), 46 CFR 108.103, 46 CFR 108.489(a)(3), 46 CFR 118.500(c), 46 CFR 167.45–40, 46 CFR 167.45–65, 46 CFR 167.45–70, 46 CFR 167.45–71, 46 CFR 167.45–75, 46 CFR 169.567(a), 46 CFR 169.568.
Foam Testing	1. Adds option for third-party testing for foam concentrates. 2. Aligns testing processes with requirements in SOLAS and Coast Guard Office of Design and Engineering Standards (CG-ENG) Policy Letter 01–20, Third Party Foam Concentrate Analysis.	46 CFR 31.10–18(c), 46 CFR 107.235(b)(4).
Hydrostatic Testing for Inert Gas Cylinders.	Revises hydrostatic testing requirements for inert gas bottles to every 12 years.	46 CFR 147.66(a), 46 CFR 147.66(c).
MODU Lifesaving Appliance Release Mechanism.	1. Adds an option in 46 CFR subchapter I–A to allow lifeboats also serving as rescue boats to have lifeboat release mechanisms instead of rescue boat release mechanisms. 2. Aligns this regulation with a similar regulation in 46 CFR subchapter W.	46 CFR 108.570(c)(3).
Nonmetallic Piping	Removes redundant fire testing requirements for non-metallic piping in 46 CFR subchapter K.	46 CFR 116.405(f).
Pressure-Vacuum Relief Valves.	1. Revises requirements for approving pressure-vacuum relief valves. 2. Updates IBR edition.	46 CFR 39.1005, 46 CFR 39.2011(b)(1), 46 CFR 162.017–1, 46 CFR 162.017–2, 46 CFR 162.017–3(n), 46 CFR 162.017–3(r), 46 CFR 162.017–6.
Resins for Lifeboats and Rescue Boats.	Removes approval series for fire-retardant resins and incorporates approval of these resins into approvals for lifeboats and rescue boats.	46 CFR 160.135–5(d), 46 CFR 160.135–7(b)(3)(iv)(A), 46 CFR 160.156–5(d), 46 CFR 160.156–7(b)(3)(iv)(A), 46 CFR subpart 164.120.
Self-Contained Breathing Apparatus.	Removes obsolete requirement for MSHA approval for SCBAs.	46 CFR 35.30–20(c)(1), 46 CFR 77.35–5(b), 46 CFR 96.35–5(b), 46 CFR 108.497(a), 46 CFR 132.365(b)(1), 46 CFR 167.45–60(a), 46 CFR 169.717(a)(1).
Stairwell Structural Fire Protection and Means of Egress.	Clarifies the stairwell structural fire protection and means of egress requirements for 46 CFR subchapter K vessels.	46 CFR 116.400(c).
Winches and Davits	1. Removes prescriptive design requirements for winch and davit safety devices under the LSA Code. 2. Aligns the safety device requirement with the LSA Code.	46 CFR 160.115–7(b)(6)(vi).

CFR References and Changes to IBRs

This final rule deletes references to outdated IBR material in regulation text, deletes corresponding IBR titles and information listed in centralized IBR section(s), corrects improper IBR cites in regulatory text, and corrects improper CFR references, as outlined in table 1. See table 4 for additional information.

Editorial

Editorial changes in this final rule clarify language, correct typographical errors, and delete repetitive language in various subchapters in titles 33 and 46 of the CFR, as noted in table 1.

Electronic Submissions

Current regulations require manufacturers that produce marine safety equipment needing approval to mail their paper application and supporting documentation in triplicate. The requirement for submitting paper

plans in triplicate allows the office reviewing the plans to mark the plans as “approved” and return one copy to the submitter, retain one copy in the office’s files, and forward the third copy to the cognizant Officer in Charge, Marine Inspection (OCMI). However, in current practice, manufacturers submit their applications electronically via typeapproval@uscg.mil. When plans are submitted electronically, they can be stamped electronically and filed or distributed, as described above, without the need for printing or duplication. According to internal mail tracking data, in the last 5 years, 99.2 percent of all submissions related to applications for equipment approval were submitted electronically.

This final rule modifies the submission requirements for equipment approval to codify the use of electronic submissions. The CFR sections listed in table 1 have been updated to include

optional electronic submissions and remove requirements to submit multiple copies of plans or test reports. If a manufacturer desires a stamped hard copy of plans, the hard copy plans can be submitted in triplicate, or accompanied by electronic plans, so that the copies can be filed or distributed as described above.

End-for-Ending Launching Appliance Falls

Currently, 46 CFR 109.301(j) and 199.190(j) require that falls for launching appliances be replaced when necessary due to deterioration or at least every 5 years, whichever is earlier. Additionally, the falls must be turned end-for-end not more than 30 months after installation (the phrase, “turned end-for-end” means rotating the wire ropes so the ropes wear evenly). These regulations allow an alternative to the end-for-ending requirements; however,

in that case, the falls must be replaced at least every 4 years. This final rule removes the “end-for-ending” requirement for these launching appliance falls and requires falls to be replaced at least every 5 years to align with SOLAS Chapter III, which allows for a fall replacement interval of 5 years without end-for-ending. This final rule keeps the requirement to replace falls when they show signs of deterioration. It has been Coast Guard policy per Commandant Instruction (COMDTINST) M16000.7B, *USCG Marine Safety Manual Vol. II B1 P.3.a(1)(c)*,³ that falls may be replaced in 5-year intervals if they are serviced in accordance with SOLAS Chapter III, Regulation 20.4.

EPIRB

Section 161.011–10 of title 46 of the CFR requires Coast Guard approval of EPIRBs. However, the FCC in its “Maritime Communications” final rule (68 FR 46957, 46974, Aug. 7, 2003), changed the approval process for EPIRBs in 47 CFR 80.1061. This update, which is still in effect, requires FCC approval for EPIRBs, but requires the Coast Guard to accept EPIRBs compliant with COSPAS, SARTSAT, and RTCM standards before the FCC begins its review. Currently, the Coast Guard issues a letter stating compliance with these standards and does not issue approvals for EPIRBs. This final rule removes the requirement for Coast Guard approval of EPIRBs and aligns the Coast Guard’s responsibility in 46 CFR 161.011–10 with the process in 47 CFR 80.1061.

Deletion of References to Outdated Equipment

This final rule deletes references to pilot hoists as approved equipment in 46 CFR subpart 163.002 by removing this subpart from the CFR. In 2010, an International Maritime Organization (IMO) Resolution of the Maritime Safety Committee (MSC), Resolution MSC.308(88),⁴ banned the use of pilot hoists on SOLAS vessels and updated SOLAS Chapter V requirements

accordingly. Further, pilots in the United States do not use pilot hoists to embark a vessel. There are currently no Coast Guard-approved pilot hoists, and there has not been a Coast Guard-approved pilot hoist since 2000. This final rule also removes references to pilot hoists in 46 CFR subchapters D, H, I, I–A, and U.

Fire Protection and Other Conforming Amendments

NVIC 7–80, *Use of Fire Detection Systems Which are Not Approved Under 46 CFR 161.002*,⁵ allows the use of non-approved fire detection systems as excess equipment on board vessels if the system is listed and labeled by a Nationally Recognized Testing Laboratory (NRTL). This final rule adds the allowance for a fire detection system listed and labeled by an NRTL to be used as excess equipment for 46 CFR subchapter I–A, aligned with the guidance set forth in NVIC 7–80.

The 2016 final rule, “Harmonization of Standards for Fire Protection, Detection, and Extinguishing Equipment” (81 FR 48219, July 22, 2016), updated the design and approval standards for fire extinguishing equipment by changing the portable fire extinguisher ratings system from a weight-based rating system to the Underwriters Laboratories, Inc. (UL) performance-based rating system. That 2016 rule added a grandfathering clause to several sections in titles 33 and 46 of the CFR;⁶ however, this clause was mistakenly left out for public nautical school ships and sailing school ships in 46 CFR subchapter R. This final rule corrects the oversight.

The previously mentioned “Harmonization of Standards for Fire Protection, Detection, and Extinguishing Equipment” rule also updated the portable fire extinguisher ratings system throughout title 46 of the CFR. In implementing that complex rule, there were errors in extinguisher quantities and ratings in 46 CFR subchapters H, I, K, and R, as listed in table 1. This final rule corrects those errors.

Foam Testing

Tank vessels and MODUs fitted with deck foam systems are required by 46

CFR 31.10–18(c) and 107.235(b)(4) to submit a representative sample of foam concentrate to the foam manufacturer to test foam gravity, pH, percentage of water dilution, and solid content. There are numerous laboratories other than those owned by foam manufacturers that can test firefighting foam concentrates. This final rule adds an option to allow third-party testing for firefighting foam concentrate. Allowing third parties that are accepted by the Coast Guard to test firefighting foam concentrates could be less burdensome to the vessel owners and operators and provide a level of safety similar to the current requirements that the manufacturer of the firefighting foam be the sole tester. Additionally, using a third party to test the properties of firefighting foam increases the number of companies available to test firefighting foam properties. This final rule also aligns with SOLAS requirements and codifies CG–ENG Policy Letter 01–20, *Third Party Foam Concentrate Analysis*.⁷

Hydrostatic Testing for Inert Gas Cylinders

This final rule changes the interval for hydrostatic testing of all inert gas fire extinguishing system bottles in 46 CFR 147.66 from at least once in every 5 or 10 years (depending on bottle size) to once in every 12 years. This change aligns the hydrostatic testing intervals for inert gas fire extinguishing system bottles with the intervals for carbon dioxide and halocarbon fire extinguishing system bottles in 46 CFR 147.65 and 147.67, respectively. The Coast Guard is not aware of any data or studies that demonstrate the need for a shorter hydrostatic testing interval for inert gas extinguishing system bottles compared to carbon dioxide or halocarbon extinguishing system bottles. Further, this change reduces servicing costs for vessel owners or operators without increasing risk.

MODU Lifesaving Appliance Release Mechanism

Per 46 CFR 108.570(c)(3), single fall lifeboats also serving as rescue boats on board MODUs are required to have an automatic release mechanism approved

³ U.S. Coast Guard, Marine Safety Manual Volume II: Materiel Inspection, “CH–2 to Marine Safety Manual Volume II, COMDTINST M16000.7B,” <https://www.dco.uscg.mil/Portals/9/DCO%20Documents/5p/CSNCOE/USCG%20Marine%20Safety%20Manual%20Volume%20II%20-%20Material%20Inspection.pdf>, accessed January 23, 2024.

⁴ Resolution MSC.308(88), “Amendments to the International Convention for the Safety of Life at Sea, 1974, as amended,” adopted December 3, 2010, [https://wwwcdn.imo.org/localresources/en/KnowledgeCentre/IndexofIMOResolutions/MSCResolutions/MSC.308\(88\).pdf](https://wwwcdn.imo.org/localresources/en/KnowledgeCentre/IndexofIMOResolutions/MSCResolutions/MSC.308(88).pdf), accessed January 23, 2024.

⁵ Department of Transportation and U.S. Coast Guard, NVIC 7–80, “Use of Fire Detection Systems Which are Not Approved Under 46 CFR 161.002,” <https://www.dco.uscg.mil/Portals/9/DCODocuments/5p/5ps/NVIC/1980/n7-80.pdf>, accessed January 23, 2024.

⁶ The 2016 final rule applied the grandfathering clause for vessels identified in 33 CFR 145.15 and 149.410, and 46 CFR 25.30–80, 34.50–80, 76.50–80, 95.50–80, 108.491(b), 132.250, and 193.50–90.

⁷ U.S. Coast Guard, CG–ENG Policy Letter 01–20 *Third Party Foam Concentrate Analysis*, June 23, 2020, <https://www.dco.uscg.mil/Portals/9/DCO%20Documents/5p/5ps/Design%20and%20Engineering%20Standards/Life%20Saving%20and%20Fire%20Safety/Docs/CG-ENG%20PL%2001-20%20Foam%20Testing.pdf?ver=2020-07-09-142932-267>, accessed January 23, 2024.

under approval series 46 CFR subpart 160.170 rather than a lifeboat release mechanism (non-automatic). This final rule adds an option in 46 CFR 108.570(c)(3) to allow single fall lifeboats also serving as rescue boats on board MODUs to have lifeboat release mechanisms (non-automatic) or automatic release mechanisms. This allows owners and operators of MODUs the choice to select from a broader range of equipment options available to non-SOLAS lifeboat and rescue boat-releasing mechanisms. This change aligns this regulation with a similar regulation in 46 CFR 199.160(d)(2). There is no reason to treat lifeboats that also serve as rescue boats on offshore units differently than those units installed on board ships.

Nonmetallic Piping

Title 46 CFR 116.405(f) requires that nonmetallic (that is, plastic) piping in concealed spaces of small passenger vessels subject to 46 CFR subchapter K be tested under the ASTM E84 standard and meet required flame spread and smoke development ratings. However, plastic piping is already required to be approved by the Coast Guard under 46 CFR subpart 164.141 to meet flame spread and smoke and toxicity requirements under the FTP code. Although the test apparatus and procedures differ, the same material properties are tested. Requiring two different testing standards is redundant and provides no additional benefits, adds confusion by preventing approved piping from being used, and increases the cost for pipe manufacturers and purchasers. Therefore, the Coast Guard is removing the requirement to test nonmetallic pipes under the ASTM E84 standard and to clarify that, if nonmetallic piping is used in concealed spaces, it must be approved under approval series 46 CFR 164.141.

Pressure-Vacuum Relief Valves

Pressure-vacuum relief valves for tank vessels required in 46 CFR 32.20–5 and 39.2011(b) must be Coast Guard-approved pursuant to 46 CFR subpart 162.017. Currently, in 46 CFR subpart 162.017, International Organization for Standardization (ISO) standard 15364 is incorporated by reference and is an alternative standard to the prescriptive requirements in 46 CFR subpart 162.017 for approval of pressure-vacuum relief valves (see 46 CFR 162.107–3(r)). This final rule amends 46 CFR 39.2011(b) to

allow ISO 15364 valves, or valves otherwise accepted by foreign-flag Administrations, as acceptable alternatives to the type-approval requirements of 46 CFR subpart 162.017. This final rule aligns our regulations for pressure-vacuum relief valves with SOLAS requirements. This final rule also amends 46 CFR 162.017–3(g) to replace the words “overhauling and repairs” with “maintenance,” 46 CFR 162.017–3(n) to correct an editorial error, and 46 CFR 162.017–6 to clarify the application process.

Resins for Lifeboats and Rescue Boats

Manufacturers of fiber-reinforced plastic survival craft and rescue boats who seek Coast Guard equipment approval are required to use resin accepted in 46 CFR subpart 164.120. This final rule revises the regulations for survival craft and rescue boats (46 CFR subparts 160.135 and 160.156) to incorporate by reference IMO MSC/Circular 1006, “Guidelines on Fire Test Procedures for Acceptance of Fire-Retardant Materials for the Construction of Lifeboats,”⁸ an international standard for fire retardant resins that is already incorporated by reference in 46 CFR subpart 164.120. This final rule deletes 46 CFR subpart 164.120 and adds a review of fire-retardant resins in 46 CFR subparts 160.135 and 160.156. The Coast Guard will no longer maintain a list of accepted resins. Currently, there are 15 standards (4 ISO and 11 ASTM) incorporated by reference in 46 CFR subpart 164.120 that are out of date. There is no indication that using the standards for resins specified in the regulations, instead of other standards, is necessary for safely constructing fiberglass-reinforced plastic survival craft and rescue boats.

Self-Contained Breathing Apparatus

All vessels regulated in 46 CFR subchapters D, K, I, I–A, L, R, and U are required to carry an SCBA as a part of a firefighting or emergency outfit. Currently, the regulations require these SCBAs to hold an MSHA approval. However, MSHA has not approved this equipment since 1995, when the Public Health Service (PHS) published the “Respiratory Protective Devices” final rule (60 FR 30336, June 8, 1995). This final rule deletes the obsolete

requirement for SCBAs on inspected vessels to be approved by MSHA and aligns title 46 of the CFR with MSHA and PHS regulations.

Stairwell Structural Fire Protection and Means of Egress

The “Harmonization of Standards for Fire Protection, Detection, and Extinguishing Equipment” rule (81 FR 48219), published on July 22, 2016, added an option for inspected domestic vessels to meet either the structural fire protection requirements of SOLAS Chapter II–2, or the structural protection requirements found in the subchapter under which the vessel is inspected. The 2016 rule was intended to allow any U.S.-flagged vessel to be built to the requirements in SOLAS Chapter II–2, even if it is not certificated to SOLAS, which allows greater flexibility in design. However, the Coast Guard believes the 2016 rule used ambiguous language regarding the means of egress requirements for 46 CFR subchapter K vessels that used the SOLAS Chapter II–2 option for structural fire protection. This final rule adds language to clarify the means of egress requirements if subchapter K vessels use the SOLAS Chapter II–2 structural fire protection requirements for a design basis. This final rule also harmonizes stairways and ladders that meet SOLAS’s structural and nonstructural fire protection requirements with U.S. design, structural, and nonstructural fire protection requirements.

Winches and Davits

This final rule removes prescriptive design requirements of safety devices for lifeboat, rescue boat, and liferaft winches, and aligns the safety device requirement with the LSA Code. Currently, 46 CFR 160.115–7(b)(6)(vi) requires that winches for survival craft or rescue boats have a limit switch on each davit arm to prevent damage to the launching equipment. However, requiring one limit switch for each davit arm is inconsistent with the IMO’s LSA Code, which requires a safety device to prevent overstressing the falls, but does not prescribe that the device must be a limit switch. The Coast Guard is removing this prescriptive design requirement and aligning the safety device requirement with the LSA Code. This final rule allows launching appliance manufacturers to use different technologies to achieve the safety performance criteria of the LSA Code.

⁸ IMO MSC/Circular 1006, “Guidelines on Fire Test Procedures for Acceptance of Fire-Retardant Materials for the Construction of Lifeboats” is available to view in the docket (USCG–2020–0519).

VI. Incorporation by Reference

Material for IBR appears in 46 CFR 39.1005, 39.2011, 160.135–5, 160.135–7, 160.156–5, 160.156–7, 160.171–3, 160.171–17, 160.174–3, 160.174–17, 162.017–1, and 162.017–3. The standards are summarized in section VII. L. Technical Standards, of this preamble. For information about how to view this material, see the ADDRESSES section of this preamble. Copies of the material are reasonably available from the sources listed in §§ 39.1005, 160.135–5, 160.156–5, 160.171–3, 160.174–3, and 162.017–1. The following standards have already been approved for the locations where they appear in the amendatory text, and there will be no change to the incorporation by reference: SOLAS, Chapter II–2, National Fire Protection Association (NFPA) 2001, and the Fire Test Procedures (FTP) Code.

VII. Regulatory Analyses

We developed this final rule after considering numerous statutes and

Executive orders related to rulemaking. Below we summarize our analyses based on these statutes or Executive orders.

A. Regulatory Planning and Review

Executive Orders 12866 (Regulatory Planning and Review), as amended by Executive Order 14094 (Modernizing Regulatory Review), and 13563 (Improving Regulation and Regulatory Review) direct agencies to assess the costs and benefits of available regulatory alternatives and, if regulation is necessary, to select regulatory approaches that maximize net benefits (including potential economic, environmental, public health and safety effects, distributive impacts, and equity). Executive Order 13563 emphasizes the importance of quantifying both costs and benefits, of reducing costs, of harmonizing rules, and of promoting flexibility.

The Office of Management and Budget (OMB) has not designated this final rule a significant regulatory action under section 3(f) of Executive Order 12866, as

amended by Executive Order 14094. This final rule will result in additional cost savings to industry with no reduction or change in safety benefits. Details on the estimated cost savings of this final rule can be found in the RA that follows.

The Coast Guard received one public comment on the affected population in the RA for the proposed rule. The commenter stated that in the NPRM, the RA did not provide clarity on whether the population included floating OCS facilities. We excluded floating OCS facilities because the proposed change is not applicable to floating OCS facilities and we addressed the comment in the RA of this final rule by clarifying the population of vessels carrying lifeboats (see table 7). We discuss our response to this comment in section IV., Discussion of Comments, in the preamble of this final rule. We are incorporating the commenter’s suggestions into the RA for this final rule in the section discussing end-for-ending launching appliance falls (see table 7).

TABLE 2—SUMMARY OF CHANGES TO THE RA FROM THE NPRM TO THE FINAL RULE

Description	NPRM	Final rule	Reason for change	Resulting change in RA
Affected population of U.S.-flagged vessels.	The Coast Guard estimated that the proposed rule would affect 435 vessels carrying lifeboats.	In the final rule, we revised this estimate to 442 vessels.	Based on public comment, we revised this estimate using a new data pull.	The increase in the affected population of vessels carrying lifeboats increases the cost savings.
46 CFR 116.400(c)	The Coast Guard intended to clarify the stairwell structural fire protection and means of egress requirements for 46 CFR subchapter K vessels.	In the final rule, we revised the referenced citation to eliminate unnecessary case-by-case evaluations for certain vessels.	Based on public comment, we determined the proposed text change unintentionally required case-by-case evaluation for certain vessels.	No impact; clarification.

The Coast Guard is revising the requirements in 33 CFR subchapter NN and 46 CFR subchapters A, D, F, H, I, I–A, K, L, N, Q, R, T, U, and W. These subchapters are associated with approving, carrying, and maintaining certain safety equipment required on board vessels, offshore units, deepwater ports, and recreational vessels. These revisions eliminate outdated

requirements, update standards incorporated by reference, and reduce the frequency of inspection and testing requirements for foam fire extinguishing systems, inert gas cylinders, and lifeboat wire falls. Additionally, this final rule removes obsolete sections and aligns conflicting sections with codes associated with SOLAS. The quantified cost savings of this final rule is

associated with three items: hydrostatic testing of inert gas bottles, testing firefighting foam concentrates for fixed-foam fire-extinguishing systems, and replacing the fall wire ropes associated with lifeboats. Table 3 provides a summary of the impacts of this final rule.

TABLE 3—SUMMARY OF IMPACTS OF THE FINAL RULE

Category	Summary
Applicability	Update 33 CFR, chapter I, subchapter NN, and 46 CFR, chapter I, subchapters A, D, F, H, I, I–A, K, L, N, Q, R, T, U, and W.
Affected Population	588 U.S.-flagged vessels: • 132 carrying foam fire extinguishing systems, • 14 carrying inert gas bottles, and • 442 carrying lifeboats.
Costs	There will be no costs to industry or the Federal Government because this final rule reduces burden and generates cost savings.
Benefits	Provide flexibility by offering third-party testing options for certain safety equipment. Reduce confusion and administrative burdens by (1) removing obsolete regulations, IBRs, and outdated references; and (2) updating standards to align with SOLAS, related regulations, and current industry practice.

TABLE 3—SUMMARY OF IMPACTS OF THE FINAL RULE—Continued

Category	Summary
Cost savings (7% discount rate)*.	Cost savings to industry: 10-year: \$2,532,521. Annualized: \$360,574.

* Totals may not sum due to independent rounding.

Regulatory Changes of the Final Rule by CFR Subparts and Sections impact of the changes to titles 33 and 46 of the CFR. The table shows the category of each change, descriptions of the changes, affected CFR subparts and sections, and the economic impact (cost savings or no impact) from the changes.

Table 4 presents regulatory changes with an assessment of the economic

TABLE 4—REGULATORY CHANGES OF THE FINAL RULE BY CFR SUBPARTS AND SECTIONS

Equipment involved or type of change	Changes	Affected CFR subparts and sections	Economic impact
CFR References and Changes to IBRs.	1. Deletes references to outdated IBRs and corrects improper IBRs in regulation text. 2. Corrects improper CFR references.	46 CFR 115.810(b)(1), 46 CFR 118.500(d), 46 CFR 160.171–3, 46 CFR 160.174–3, 46 CFR 161.002–18(a)(3), 46 CFR 161.002–19(a)(3), 46 CFR 161.002–19(b)(3), 46 CFR 162.017–0, 46 CFR 164.106–3(a), 46 CFR 164.137–2(b)(2), 46 CFR 164.137–3(a), 46 CFR 164.138–2(a), 46 CFR 164.138–2(b)(2), 46 CFR 164.138–3(a), 46 CFR 164.139–2(a), 46 CFR 164.139–2(b)(2), 46 CFR 164.139–3(a).	No impact; editorial.
Editorial	1. Clarifies language. 2. Corrects typographical errors. 3. Deletes repetitive words and wording.	33 CFR 149.410, 46 CFR 56.60–25(a)(4), 46 CFR 108.495, 46 CFR subpart 162.017, 46 CFR 181.500(b).	No impact; editorial.
Electronic Submissions	1. Adds option to submit equipment approval materials electronically. 2. Removes requirement for multiple copies of submissions for equipment approval, if submitted electronically.	46 CFR 2.75–10(b), 46 CFR 159.001–5, 46 CFR 160.115–9(b), 46 CFR 160.115–13(g)(2), 46 CFR 160.132–9(b), 46 CFR 160.132–13(g)(2), 46 CFR 160.133–13(g)(2), 46 CFR 160.135–9(b), 46 CFR 160.135–13(g)(2), 46 CFR 160.156–9(b), 46 CFR 160.156–13(g)(2), 46 CFR 160.170–9(b), 46 CFR 160.170–13(g)(2), 46 CFR 161.002–18(a), 46 CFR 161.002–19(a)(2), 46 CFR 161.012–5(a), 46 CFR 161.012–5(b)(2), 46 CFR 161.013–11(c)(1), 46 CFR 161.013–17, 46 CFR 162.050–15(a), 46 CFR 162.060–40(b), 46 CFR 164.009–9(a), 46 CFR 164.018–7(a), 46 CFR 164.018–7(b)(2).	No impact; aligns with current industry practice. Over the past 5 years, the Coast Guard has received 99.2 percent of the submissions electronically. So, this final rule codifies the use of electronic submission.
End-for-Ending Launching Appliance Falls.	1. Removes requirement for “end-for-ending” for launching appliance falls, to align with SOLAS. 2. Revises interval for launching appliance falls replacement to 5 years.	46 CFR 109.301(j), 46 CFR 199.190(j)	Cost savings; reduces testing burdens by allowing owners and operators to replace the falls every 5 years without the end-for-ending requirement.
EPIRB	Aligns Coast Guard acceptance of EPIRBs in 46 CFR with Federal Communications Commission (FCC) requirements in 47 CFR and standards established by the Space System for the Search of Vessels in Distress (COSPAS), Search and Rescue Satellite-Aided Tracking (SARSAT), and RTCM.	46 CFR 161.011–1, 46 CFR 161.011–5, 46 CFR 161.011–10.	No impact; aligns with, current industry practice.
Equipment Deletion	Deletes pilot hoist approval series, § 163.002, and associated references in various subchapters.	46 CFR 32.90–1(h), 46 CFR 77.40–1(h), 46 CFR 96.40–1(h), 46 CFR 108.719(h), 46 CFR subpart 163.002, 46 CFR 195.40–1(h).	No impact; aligns with current industry practice.
Fire Protection and Other Conforming Amendments.	1. Corrects fire extinguisher ratings. 2. Clarifies fire extinguisher quantities. 3. Adds option to allow use of nationally recognized testing laboratory (NRTL) listed and labeled fire detection systems as excess equipment for MODUs. 4. Adds grandfathering provision for fire extinguishers for public nautical school ships and sailing school ships.	46 CFR 34.10–90(a)(3), 46 CFR 34.50–10(a), 46 CFR 76.50–10(a), 46 CFR 95.50–10(a), 46 CFR 105.14(a), 46 CFR 108.103, 46 CFR 108.489(a)(3), 46 CFR 118.500(c), 46 CFR 167.45–40, 46 CFR 167.45–65, 46 CFR 167.45–70, 46 CFR 167.45–71, 46 CFR 167.45–75, 46 CFR 169.567(a), 46 CFR 169.568.	No impact; editorial and aligns with current industry practice.

TABLE 4—REGULATORY CHANGES OF THE FINAL RULE BY CFR SUBPARTS AND SECTIONS—Continued

Equipment involved or type of change	Changes	Affected CFR subparts and sections	Economic impact
Foam Testing	1. Adds option for third-party testing for foam concentrates. 2. Aligns testing processes with requirements in SOLAS and Coast Guard Office of Design and Engineering Standards (CG-ENG) Policy Letter 01–20, Third Party Foam Concentrate Analysis.	46 CFR 31.10–18(c), 46 CFR 107.235(b)(4)	Cost savings; reduces testing burdens via the use of other test alternatives from the third party.
Hydrostatic Testing for Inert Gas Cylinders.	Revises hydrostatic testing requirements for inert gas bottles to every 12 years.	46 CFR 147.66(a), 46 CFR 147.66(c)	Cost savings; changes the interval for hydrostatic testing for all vessels with inert gas bottles for fire protection systems from at least once in every 5 years for large bottles and 10 years for small bottles to once in every 12 years for all bottle types.
MODU Lifesaving Appliance Release Mechanism.	1. Adds an option in 46 CFR subchapter I–A to allow lifeboats also serving as a rescue boat to have lifeboat release mechanisms instead of rescue boat release mechanisms. 2. Aligns this regulation with a similar regulation in 46 CFR subchapter W.	46 CFR 108.570(c)(3)	No impact; editorial and aligns with current industry practice.
Nonmetallic Piping	Removes redundant fire testing requirements for nonmetallic piping in 46 CFR subchapter K.	46 CFR 116.405(f)	No impact; editorial.
Pressure-Vacuum Relief Valves.	1. Revises requirements for approving pressure-vacuum relief valves. 2. Updates IBR edition.	46 CFR 39.1005, 46 CFR 39.2011(b)(1), 46 CFR 162.017–1, 46 CFR 162.017–2, 46 CFR 162.017–3(n), 46 CFR 162.017–3(r), 46 CFR 162.017–6.	No impact; editorial and aligns with current industry practice.
Resins for Lifeboats and Rescue Boats.	Removes approval series for fire-retardant resins and incorporates approval of these resins into approvals for lifeboats and rescue boats.	46 CFR 160.135–5(d), 46 CFR 160.135–7(b)(3)(iv)(A), 46 CFR 160.156–5(d), 46 CFR 160.156–7(b)(3)(iv)(A), 46 CFR subpart 164.120.	No impact; editorial.
Self-Contained Breathing Apparatus.	Removes obsolete requirement for MSHA approval for SCBAs.	46 CFR 35.30–20(c)(1), 46 CFR 77.35–5(b), 46 CFR 96.35–5(b), 46 CFR 108.497(a), 46 CFR 132.365(b)(1), 46 CFR 167.45–60(a), 46 CFR 169.717(a)(1).	No impact; editorial.
Stairwell Structural Fire Protection and Means of Egress.	Clarifies the stairwell structural fire protection and means of egress requirements for 46 CFR subchapter K vessels.	46 CFR 116.400(c)	No impact; editorial.
Winches and Davits	1. Removes prescriptive design requirements for winch and davit safety devices under the LSA Code. 2. Aligns the safety device requirement with the LSA Code.	46 CFR 160.115–7(b)(6)(vi)	No impact; editorial.

Affected Population

For this final rule, we obtained the affected population of vessels and the items they carry primarily from our Marine Information for Safety and Law Enforcement (MISLE) database and from supplemental information provided to us by subject matter experts (SMEs) in CG-ENG. The affected population is the total number of U.S.-flagged vessels carrying foam fire-extinguishing systems, lifeboat wire falls, and inert gas bottles for extinguishing fires. Based on MISLE database information from October 2023, and as noted in table 3, the total number of affected vessels is 588, made up of 132 vessels carrying foam fire-extinguishing systems, 14 vessels carrying inert gas bottles, and 442 vessels carrying lifeboats. Vessels can be carrying more than one type of equipment at a time, so there is some overlap in the number of vessels that, for example, carry a foam fire-extinguishing system and also carry lifeboats. For the purposes of our cost

analysis, however, we assume there is no overlap.

Cost Analysis

This final rule imposes no cost on industry because it eliminates outdated requirements and reduces inspection and testing requirements on certain safety equipment required on board vessels and offshore units or facilities. As a result, this final rule generates cost savings to the industry. The cost savings are associated with reducing the maintenance intervals for hydrostatic testing of inert gas bottles and lifeboat wire falls and expanding testing parties for fixed-foam fire-extinguishing systems.

Regulatory Baseline

To obtain the cost savings associated with this final rule, we first calculated the current costs to mariners for firefighting foam testing, hydrostatic testing of inert gas bottles, and lifeboat wire falls. Then, we compared the current and the final rule costs to obtain

the cost savings. The baseline costs for these items are as follows:

Foam Testing

Owners and operators of vessels that carry foam fire-extinguishing systems are required in 46 CFR 31.10–18(c) and 107.235(b)(4) to submit a representative sample of firefighting foam concentrate, if carried, to the manufacturer to test for specific properties such as gravity, pH, percentage of water dilution, and solid content. The testing is required before the inspection for certification and periodic inspection, which is twice in a 5-year period. From information obtained in MISLE and discussions with SMEs, there are a total of 132 vessels carrying foam fire-extinguishing systems in our affected population, because each vessel carries 1 foam fire-extinguishing system on board.

Based on information we obtained from a Coast Guard-approved third-party company that tests foam fire-extinguishing systems, and from consultations with SMEs, the cost to

perform the test is about \$150, which includes the cost for a vessel owner or operator to submit a foam sample to a manufacturer for testing. We estimate the total annual undiscounted cost for

foam testing to be approximately \$7,920. We calculate this by assuming that, in any given year, 40 percent (or 2 divided by 5 to represent the testing interval of 2 tests every 5 years) of the 132 foam

systems require testing. We then multiply the result (132×0.40) by the cost per test (\$150). Table 5 presents the baseline total undiscounted cost for fire extinguishing foam testing.

TABLE 5—BASELINE COST FOR FOAM TESTING

Period	Foam testing population for each period	Cost per test	Total cost
	(A)	(B)	(C) = (A) × (B)
1	$132 \times (0.40)$	\$150	\$7,920
2	$132 \times (0.40)$	150	7,920
3	$132 \times (0.40)$	150	7,920
4	$132 \times (0.40)$	150	7,920
5	$132 \times (0.40)$	150	7,920
6	$132 \times (0.40)$	150	7,920
7	$132 \times (0.40)$	150	7,920
8	$132 \times (0.40)$	150	7,920
9	$132 \times (0.40)$	150	7,920
10	$132 \times (0.40)$	150	7,920
Total			79,200

Note: Totals may not sum due to independent rounding.

* This test occurs twice in a 5-year period.

Hydrostatic Testing for Inert Gas Cylinders

Under 46 CFR subpart 147.66, vessel owners or operators of vessels that carry inert gas fire extinguishing bottles must have the bottles hydrostatically tested at least once every 10 years for bottles with an equivalent water capacity of 125 pounds or less or once every 5 years for larger bottles with an equivalent water capacity of greater than 125 pounds. The water capacity of a bottle is used to obtain the volumetric size of the bottle for testing purposes because testing cannot be performed when the bottle contains an inert gas. This testing is necessary to ensure the integrity of the bottles. The Coast Guard contacted a company that hydrostatically tests inert gas bottles to obtain the costs associated with testing and discharging these

bottles, recharging the bottles with an inert gas, and delivering the bottles to a vessel when the testing is completed.⁹

The cost to discharge and test the bottle, rebuild the valve on the bottle, and recharge the bottle with an inert gas is about \$1,220—a lump-sum amount provided to us by the testing company. The pickup and delivery costs are about \$600. The company we contacted for this cost estimate provided a lump-sum figure, which includes the time it takes to drive to a vessel, disconnect the bottles, load the bottles onto the delivery vehicle, and transport the bottles to the testing facility and back to the vessel.

Therefore, the total cost a testing company charges a vessel owner or operator is about \$1,820 ($\$1,220 + \600) to hydrostatically test inert gas bottles. Based on MISLE data and discussions

with SMEs, the total number of inert gas bottles for the 14 vessels that have inert gas bottles on board is approximately 169, or approximately 12 bottles per vessel. We found no bottles that had a capacity of more than 125 pounds of equivalent water capacity in our population.

As a result, the testing cost once in a 10-year period is about \$307,580 ($169 \text{ bottles} \times \$1,820$). We estimate the total annual undiscounted cost for inert gas testing to be approximately \$30,758. We calculate this by assuming that 10 percent (or 1 divided by 10 to represent the testing interval of 1 test every 10 years) of the 169 inert gas cylinders require testing over a 10-year period. We then multiply the result (169×0.10) by the cost per test (\$1,820). Table 6 presents the baseline total undiscounted cost for inert gas cylinders.

TABLE 6—BASELINE COST FOR INERT GAS CYLINDERS

Period	Inert gas population for each period	Cost per test	Total cost
	(A)	(B)	(C) = (A) × (B)
1	$169 \times (0.10)$	\$1,820	\$30,758
2	$169 \times (0.10)$	1,820	30,758
3	$169 \times (0.10)$	1,820	30,758
4	$169 \times (0.10)$	1,820	30,758
5	$169 \times (0.10)$	1,820	30,758
6	$169 \times (0.10)$	1,820	30,758
7	$169 \times (0.10)$	1,820	30,758

⁹ An inert gas is a gas that has low chemical reactivity under certain conditions, which makes it suitable for firefighting purposes either alone or with other gases. Inert gases extinguish fires by

displacing oxygen in the air. The field of chemistry generally recognizes that six (naturally occurring) gases make up the list of inert gases: helium, argon, neon, krypton, xenon, and radon. See <https://>

www.Britannica.com/science/noble-gas, accessed January 23, 2024.

TABLE 6—BASELINE COST FOR INERT GAS CYLINDERS—Continued

Period	Inert gas population for each period (A)	Cost per test (B)	Total cost (C) = (A) × (B)
8	169 × (0.10)	1,820	30,758
9	169 × (0.10)	1,820	30,758
10	169 × (0.10)	1,820	30,758
Total			307,580

Note: Totals may not sum due to independent rounding.

* This test occurs once every 10 years.

End-for-Ending Launching Appliance Falls

U.S.-flagged vessel owners and operators are required to replace lifeboat launching appliance falls (wire ropes)

every 5 years, according to 46 CFR 109.301 and 199.190. According to current regulations, these falls must be turned end-for-end not more than 30 months, or 2.5 years, after installation during a 5-year period (the phrase

“turned end-for-end” means rotating the wire ropes so the ropes wear evenly). There are two falls for each lifeboat, and there are two lifeboats per vessel. Using the MISLE database, we identified 442 U.S.-flagged vessels that carry lifeboats.

TABLE 7—U.S.-FLAGGED VESSEL POPULATION BY INSPECTION SUBCHAPTER FOR LIFEBOATS

Subchapter	Description	Population
D	Tank Vessels	20
H	Passenger Vessels (≥100 gross tons)	3
I	Cargo and Miscellaneous Vessels	311
I-A	Mobile Offshore Drilling Units (MODUs)	1
K	Small Passenger Vessels Carrying More Than 49 Passengers	5
M	Towing Vessels	45
O & D Combination (tank barge or freight barge)	Combination Bulk Cargo-including chemicals	19
R	Nautical Schools	8
U	Oceanographic Research Vessels	17
T	Small Passenger Vessels (under 100 gross tons)	13
Total		442

Each affected vessel has 2 lifeboats on board; therefore, we estimate there are 884 lifeboats that have fall wire ropes.

For cost savings purposes, we assume that each lifeboat has two fall wire ropes. The cost to turn two falls end-for-end on each launching appliance is about \$2,000, based on information

provided to us from a company that performs this function. Because there are 2 lifeboats per vessel, the population of lifeboat wire rope falls is 884. The total annual cost to turn falls end-for-end 2.5 years after installation for 884 lifeboat wire falls is about \$353,600. We calculate this by assuming that in any

given year, 20 percent (or 2 divided by 10 to represent the turning interval of 1 turn every 5 years) of the 884 lifeboat wire falls require turning. We then multiply the result (884×0.20) by the cost per turning (\$2,000). Table 8 presents the baseline total undiscounted cost for lifeboat wire falls.

TABLE 8—BASELINE COST FOR LIFEBOAT WIRE FALLS

Period	Lifeboat wire falls population for each period (A)	Cost per turning (B)	Total cost (C) = (A) × (B)
1	$884 \times (0.20)$	\$2,000	\$353,600
2	$884 \times (0.20)$	2,000	353,600
3	$884 \times (0.20)$	2,000	353,600
4	$884 \times (0.20)$	2,000	353,600
5	$884 \times (0.20)$	2,000	353,600
6	$884 \times (0.20)$	2,000	353,600
7	$884 \times (0.20)$	2,000	353,600
8	$884 \times (0.20)$	2,000	353,600
9	$884 \times (0.20)$	2,000	353,600
10	$884 \times (0.20)$	2,000	353,600
Total			3,536,000

Note: Totals may not sum due to independent rounding.

* This test occurs twice in a 5-year period.

We estimate the baseline total undiscounted cost to owners and operators of U.S.-flagged vessels for all three items to be about \$3,922,780 (\$79,200 + \$3,536,000 + \$307,580) (see table 9).

TABLE 9—SUMMARY OF BASELINE COSTS ASSOCIATED WITH EACH ITEM

Period	Foam testing	Lifeboat wire falls	Inert gas testing	Undiscounted cost
1	\$7,920	\$353,600	\$30,758	\$392,278
2	7,920	353,600	30,758	392,278
3	7,920	353,600	30,758	392,278
4	7,920	353,600	30,758	392,278
5	7,920	353,600	30,758	392,278
6	7,920	353,600	30,758	392,278
7	7,920	353,600	30,758	392,278
8	7,920	353,600	30,758	392,278
9	7,920	353,600	30,758	392,278
10	7,920	353,600	30,758	392,278
Total	79,200	3,536,000	307,580	3,922,780

Note: Totals may not sum due to independent rounding.

This final rule generates cost savings as follows:

Cost Savings

The cost savings originate from eliminating outdated requirements, reducing inspection, and testing requirements, and updating standards. The cost savings of this final rule are associated with three items: testing concentrates for fixed-foam fire-extinguishing systems, hydrostatic testing for inert gas bottles, and eliminating the end-for-ending requirement for launching appliance falls (wire ropes) when replaced at an interval of 5 years.

Foam Testing

There are numerous laboratories, other than those owned by foam manufacturers, that can test foam concentrates used for firefighting. Allowing a Coast Guard-accepted independent laboratory to test foam concentrates provides a similar level of safety to the current requirements and may be less burdensome to the vessel owners or operators. Additionally, the use of a third party to test the properties of the firefighting foam allows for increased availability in the number of companies able to test firefighting foam systems.

In this final rule, a Coast Guard-accepted independent laboratory, in place of a manufacturer, is permitted to perform the foam fire-extinguishing concentrates test. The charge for this service will be about \$115 per system.¹⁰ This results in a total annual cost of \$6,072. We calculate this by assuming that, in any given year, 40 percent (or 2 divided by 5 to represent the testing interval of 2 tests every 5 years) of the 132 foam systems require testing. We then multiply the result (132×0.40) by the projected cost per test (\$115) (see table 10).

TABLE 10—COST CHANGE FOR FOAM TESTING

Period	Foam testing population for each period	Cost per test	Total cost
	(A)	(B)	(C) = (A) × (B)
1	$132 \times (0.40)$	\$115	\$6,072
2	$132 \times (0.40)$	115	6,072
3	$132 \times (0.40)$	115	6,072
4	$132 \times (0.40)$	115	6,072
5	$132 \times (0.40)$	115	6,072
6	$132 \times (0.40)$	115	6,072
7	$132 \times (0.40)$	115	6,072
8	$132 \times (0.40)$	115	6,072
9	$132 \times (0.40)$	115	6,072
10	$132 \times (0.40)$	115	6,072
Total			60,720

Note: Totals may not sum due to independent rounding.

* This test occurs twice in a 5-year period.

We compared the current per-unit cost for firefighting foam testing of \$150 when performed by a manufacturer with the projected per-unit cost of \$115 when performed by a third party. We estimate

the per-unit cost savings to be \$35 (\$150 – \$115). As we presented earlier in this analysis, the baseline and the projected costs for firefighting foam testing are \$7,920 and \$6,072,

respectively (see tables 5 and 9). Therefore, the cost savings per year are about \$1,848 (\$7,920 – \$6,072), and the total cost savings for the firefighting foam testing part of this final rule are

¹⁰ This price was obtained from the industry.

about \$18,480 (\$79,200 – \$60,720),
undiscounted (see table 11).

TABLE 11—NET COST SAVINGS FOR FOAM TESTING

Period	Baseline cost *	Cost **	Total cost savings
	(A)	(B)	(C) = (A) – (B)
1	\$7,920	\$6,072	\$1,848
2	7,920	6,072	1,848
3	7,920	6,072	1,848
4	7,920	6,072	1,848
5	7,920	6,072	1,848
6	7,920	6,072	1,848
7	7,920	6,072	1,848
8	7,920	6,072	1,848
9	7,920	6,072	1,848
10	7,920	6,072	1,848
Total	79,200	60,720	18,480

Note: Totals may not sum due to independent rounding.

* Table 5.

** Table 10.

Hydrostatic Testing for Inert Gas Cylinders

We are changing the hydrostatic testing interval of all inert gas firefighting extinguishing system bottles from the current requirement of once every 10 years or once every 5 years, depending on size, to at least once every 12 years, which aligns with the hydrostatic testing intervals for carbon dioxide and halon firefighting extinguishing system bottles in 46 CFR 147.65.

The cost savings are from less frequent testing of inert gas bottles. For vessels with inert gas bottles less than 125 pounds, the test interval will change from at least once in every 10 years to at least once in every 12 years. For large bottles with inert gas bottles equal or greater than 125 pounds, the test interval will change from once in every 5 years to once in every 12 years. We found no bottles that had a capacity of more than 125 pounds of equivalent water capacity in our population. Therefore, for the purpose of this analysis, the relevant change in testing

interval is from once every 10 years to once every 12 years. The total annual cost of hydrostatic testing for inert gas cylinders are approximately \$25,632. We calculate this by assuming that, in any given year, 8.3 percent (or 1 divided by 12 to represent the testing interval of 1 test every 12 years) of the 169 inert gas cylinders require testing. We then multiply the result (169×0.083) by the cost per test (\$1,820) (see table 12). As a result, vessel owners and operators will save \$51,260 (\$307,580 – \$256,320) in testing costs over a 10-year period (see table 13).

TABLE 12—COST CHANGE FOR INERT GAS CYLINDERS

Period	Inert gas population for each period	Cost per test	Total cost
	(A)	(B)	(C) = (A) × (B)
1	$169 \times (0.083)$	\$1,820	\$25,632
2	$169 \times (0.083)$	1,820	25,632
3	$169 \times (0.083)$	1,820	25,632
4	$169 \times (0.083)$	1,820	25,632
5	$169 \times (0.083)$	1,820	25,632
6	$169 \times (0.083)$	1,820	25,632
7	$169 \times (0.083)$	1,820	25,632
8	$169 \times (0.083)$	1,820	25,632
9	$169 \times (0.083)$	1,820	25,632
10	$169 \times (0.083)$	1,820	25,632
Total			256,320

Note: Totals may not sum due to independent rounding.

TABLE 13—NET COST SAVINGS FOR INERT GAS CYLINDERS

Period	Baseline cost *	Cost **	Total cost saving
	(A)	(B)	(C) = (A) – (B)
1	\$30,758	\$25,632	\$5,126
2	30,758	25,632	5,126
3	30,758	25,632	5,126
4	30,758	25,632	5,126

TABLE 13—NET COST SAVINGS FOR INERT GAS CYLINDERS—Continued

Period	Baseline cost *	Cost **	Total cost saving
	(A)	(B)	(C) = (A) – (B)
5	30,758	25,632	5,126
6	30,758	25,632	5,126
7	30,758	25,632	5,126
8	30,758	25,632	5,126
9	30,758	25,632	5,126
10	30,758	25,632	5,126
Total	307,580	256,320	51,260

Note: Totals may not sum due to independent rounding.

* Table 6.

** Table 12.

End-for-Ending Launching Appliance Falls

The Coast Guard is revising the “end-for-ending” requirement for lifeboat launching appliance falls to align with SOLAS, which allows for a fall replacement interval of 5 years without turning the wires end-for-end. Current

regulations require that falls must be replaced in 5-year intervals if they are serviced in accordance with IMO Circular MSC.1/Circ.1206 (Rev.1) and MSC.402(96).

The cost savings are from eliminating the requirement to turn the ropes end-for-end every 2.5 years over a 10-year period of analysis. As shown in table 8,

the annual cost to turn falls end-for-end 2.5 years after installation for 884 lifeboat wire falls is about \$353,600 ($884 \times 0.20 \times \$2,000$). This results in cost savings for vessel owners and operators of about \$3,536,000 ($\$353,600 \times 10$ -year period) for the 442 U.S.-flagged vessels that have lifeboats on board. See table 14.

TABLE 14—NET COST SAVINGS FOR LIFEBOAT WIRE FALLS

Period	Baseline cost *	Cost	Total cost saving
	(A)	(B)	(C) = (A) – (B)
1	\$353,600	\$0	\$353,600
2	353,600	0	353,600
3	353,600	0	353,600
4	353,600	0	353,600
5	353,600	0	353,600
6	353,600	0	353,600
7	353,600	0	353,600
8	353,600	0	353,600
9	353,600	0	353,600
10	353,600	0	353,600
Total	3,536,000	0	3,536,000

Note: Totals may not sum due to independent rounding.

* Table 8.

Table 15 shows the total cost savings for owners and operators of U.S.-flagged vessels to be about \$3.6 million, undiscounted, over a 10-year period of

analysis. We estimate the total present value or discounted cost savings of this final rule over a 10-year period of analysis to be between \$2.5 and \$3

million, at 7- and 3-percent discount rates, respectively. We estimate the annualized cost savings to be about \$360,574 at each discount rate.

TABLE 15—SUMMARY OF COST SAVINGS OF THE FINAL RULE

[10-Year period of analysis, 7- and 3-percent discount rates]

Period	Foam testing *	Inert gas testing **	Lifeboat wire falls ***	Undiscounted cost savings	7% Discount	3% Discount
1	\$1,848	\$5,126	\$353,600	\$360,574	\$336,985	\$350,072
2	1,848	5,126	353,600	360,574	314,939	339,876
3	1,848	5,126	353,600	360,574	294,336	329,976
4	1,848	5,126	353,600	360,574	275,080	320,365
5	1,848	5,126	353,600	360,574	257,084	311,034
6	1,848	5,126	353,600	360,574	240,266	301,975
7	1,848	5,126	353,600	360,574	224,547	293,180
8	1,848	5,126	353,600	360,574	209,857	284,640
9	1,848	5,126	353,600	360,574	196,128	276,350
10	1,848	5,126	353,600	360,574	183,298	268,301

TABLE 15—SUMMARY OF COST SAVINGS OF THE FINAL RULE—Continued
[10-Year period of analysis, 7- and 3-percent discount rates]

Period	Foam testing *	Inert gas testing **	Lifeboat wire falls ***	Undiscounted cost savings	7% Discount	3% Discount
Total	18,480	51,260	3,536,000	3,605,740	2,532,521	3,075,769
Annualized					360,574	360,574

Note: Totals may not sum due to independent rounding.

* Table 11.

** Table 13.

*** Table 14.

Electronic Submission

Current regulations require manufacturers that produce marine safety equipment needing approval to mail their paper application and supporting documentation in triplicate. The requirement for submitting paper plans in triplicate allows the office reviewing them to mark the approved plans and return one copy to the submitter, retain one copy in their files, and to forward the third copy to the cognizant OCMI. However, current industry practice is for manufacturers to submit their applications electronically, get them stamped electronically, and then distributed as described above. With this final rule, the Coast Guard is providing, in regulations, an option for submitting plans electronically. There are several sections in the CFR where we are removing the “in triplicate” requirement for submissions for equipment approval if the manufacturer wishes to submit plans electronically (see the table 3 for the affected CFR sections). According to data from the Coast Guard’s Work Management System, 99.2 percent of all submissions related to applications for equipment approval were submitted electronically over the last 5 years. Consequently, this final rule adds an option for manufacturers to submit their applications and type approval materials electronically, to codify the current industry practice. There is no change in the hourly burden estimate and no impact to the information collection request.

Benefits

This final rule generates qualitative benefits. It reduces confusion and provides flexibility to industry by allowing third-party testing for certain safety equipment required on board vessels and offshore units or facilities. It also provides regulatory clarity by removing obsolete regulations, such as the MSHA approval for SCBAs for firefighters, and through updating standards to align with SOLAS.

Alternatives

The Coast Guard considered three alternatives to the final rule, as follows.

Alternative 1: No-Action Alternative

Under this alternative, the Coast Guard would have retained the status quo and not incorporate by reference industry standards into the CFR. This alternative would not have aligned conflicting sections of the CFR with SOLAS and related regulations. Furthermore, it would not have reduced the burden to industry, and would not have allowed the Coast Guard to perform retrospective review and updates to the regulations. We rejected this alternative because it would not generate cost savings for the marine industry, nor update standards in 33 CFR chapter I or 46 CFR chapter I.

Alternative 2: Policy Over Regulation

Under this alternative, the Coast Guard would have issued a NVIC or policy letter instead of proposing changes through an NPRM. As voluntary documents, neither NVICs nor policy letters are legally enforceable by the agency. A NVIC or a policy letter would not have updated the CFR, and the process of obtaining an equivalency test would still be needed. The Coast Guard rejected this alternative because industry would not benefit from current standards, and the public would not be given the opportunity to comment on current industry practice and standards.

Alternative 3: Preferred Alternative

With this alternative, the Coast Guard revises the regulations in 33 CFR chapter I and 46 CFR chapter I. This is the preferred alternative because it updates current standards and aligns conflicting sections of the CFR with SOLAS and related regulations, eliminates outdated standards, and reduces inspection and testing requirements. This alternative also allows the Coast Guard to perform retrospective reviews and updates to the regulations.

This alternative also reduces the workload for vessel owners and

operators by extending testing or maintenance intervals and expanding the range of allowable testers for three items: inert gas bottles, foam fire-extinguishing systems, and lifeboat launching appliances falls (wire ropes). In turn, this alternative generates cost savings for vessel owners and operators and manufacturers of marine equipment. We presented the cost saving impacts of this alternative earlier in this analysis.

B. Small Entities

Under the Regulatory Flexibility Act, 5 U.S.C. 601–612, we have considered whether this rule will have a significant economic impact on a substantial number of small entities. The term “small entities” comprises small businesses, not-for-profit organizations that are independently owned and operated and are not dominant in their fields, and governmental jurisdictions with populations of less than 50,000.

We expect this final rule to generate cost savings for vessel owners and operators who own vessels that carry lifeboats, bottles of inert gas, and foam fire-extinguishing systems. The cost savings are the result of reducing the maintenance intervals for hydrostatic testing for inert gas bottles and testing and maintaining lifeboat falls (wire ropes). The cost savings for vessel owners and operators who own vessels that carry foam fire-extinguishing systems are from allowing a third party to test the firefighting foam concentrates.

Using the Coast Guard’s MISLE database, we found this final rule affects 390 companies that own 531 distinct vessels. Of the 390 companies, 235 companies did not have company names in our MISLE database; therefore, we assumed these 235 companies to be small entities. We found that the remaining 155 companies own 296 vessels. Based on publicly available information from the online database “ReferenceUSA.gov” and other online searches of companies,¹¹ we found

¹¹ In addition to individual online searches of companies, the Coast Guard reviewed <https://>

revenue or employee information on 74 of the 155 companies. Using the Small Business Administration's "Table of Size Standards" and the North American Industry Classification System codes listed in the table, we identified 51 of the 74 companies to be small entities. We determined the other 23 companies were not small entities.¹² We did not find information on the remaining 81 companies; therefore, we assumed these companies were small entities.

Overall, we assume there are a total of 132 small entities (51 + 81) out of 155 companies that were named in the MISLE database, or approximately 85 percent. If we add the number of small entities that we could confirm are small entities based on revenue or employee information (51) to the number of companies without company information (235 + 81), we assume the total number of small entities to be 367 out of the 390 companies affected by this final rule.

For cost savings purposes, we differentiated the vessels that have different combinations of the equipment on board. MISLE's database offers data on company names, vessels, and equipment types. From MISLE's data and our small entity analysis, we found that there are six different combinations of equipment that affect the savings for each vessel (see table 16). As a result, the affected small entities overlap and are not exclusive throughout this analysis.

Based on MISLE's data and our small entity analysis discussed earlier, we determined that there are 367 small entities. Out of the 367 small entities, we found that 68 small entities own vessels that carry only foam fire-extinguishing systems. As described in the RA earlier, the cost savings for foam

fire-extinguishing systems is about \$35 for each vessel, and the foam fire-extinguishing systems will be tested 4 times during the analysis period. These small entities will save about \$952 annually per vessel (68 small entities × \$35 savings per vessel × 0.4 systems tested per year), or about \$14 per entity (\$952 ÷ 68 small entities).

Using MISLE's data and the small entity analysis, we identified 251 small entities that own vessels carrying lifeboats that have fall wire ropes. Each of these small entities will save about \$800 annually per vessel it owns (0.2 turns per year × \$2,000 cost per turn × 2 lifeboats per vessel).

Based on MISLE's database, we found that only 8 small entities own vessels carrying only inert gas bottles; there are 58 inert gas bottles on these vessels.¹³ As presented in the RA earlier, the annual cost savings on inert gas tests is \$30 [(\$1,820 (cost savings per inert gas test) ÷ 10 years—\$1,820 (cost savings per inert gas test) ÷ 12 years) = \$30], and the cost savings for the 8 entities is \$1,740 [58 (number of inert gas bottles) × \$30 (annual cost savings per inert gas bottle)]. These 8 small entities will save, on average, about \$218 (\$1,740 ÷ 8) annually per entity per vessel.

Using MISLE's data and the small entity analysis, we identified 36 small entities that own vessels carrying foam fire-extinguishing systems and lifeboats. As presented in the previous paragraphs, the annual cost savings per entity for the foam fire-extinguishing systems is \$14, and the annual cost saving per entity for fall wire ropes is \$800. Therefore, these 36 small entities will save about \$814 (\$14 + \$800) annually per entity per vessel.

Using MISLE's data and the small entity analysis described earlier, we identified two small entities that own

vessels carrying inert gas bottles and lifeboats that have fall wire ropes that need to be turned periodically. As presented in the previous paragraphs, the annual cost savings for these 2 entities that own vessels carrying inert gas bottles is \$180 [6 (number of inert gas bottles carried on board vessels for both entities) × \$30 (annual cost savings per inert gas bottle) = \$180] and the annual cost savings for these 2 entities on fall wire ropes is \$1,600 [2 (number of entities) × \$800 (cost saving per entity for fall wire ropes) = \$1,600]. Therefore, the annual cost savings for these 2 entities is \$1,780 (\$180 + \$1,600) and these 2 small entities will each save, on average, about \$890 (\$1,780 ÷ 2).

Lastly, based on MISLE's data and the small entity analysis we presented previously in the NPRM, we identified two small entities that carry all three items. The annual cost savings for these 2 entities that own vessels carrying inert gas bottles is \$3,000 [100 (number of inert gas bottles carried on board vessels for both entities) × \$30 (annual cost savings per inert gas bottle) = \$3,000]; the annual cost savings for these 2 entities for fall wire ropes is \$1,600 [2 (number of entities) × \$800 (cost saving per fall wire ropes) = \$1,600]; and the annual cost savings for these 2 entities for foam fire-extinguishing systems is \$28 [2 (number of entities) × \$14 (cost savings per foam fire-extinguishing systems) = \$28]. Therefore, the annual cost savings for these 2 entities is \$4,628 (\$3,000 + \$1,600 + \$28), and we estimate these 2 small entities will save, on average, about \$2,314 (\$4,628 ÷ 2 entities) annually per entity per vessel.

Table 16 shows the cost savings for small entities with each of the six different combinations of equipment described in the previous paragraphs.

TABLE 16—SUMMARY OF THE ANNUAL COST SAVINGS PER ENTITY PER VESSEL OF THE FINAL RULE

Item	Number of small entities (A)	Cost saving per entity per vessel (B)	Cost saving per vessel (C) = (A) × (B)
Foam Testing	68	\$14	\$952
Lifeboat Wire Falls	251	800	200,800
Inert Gas Testing	8	218	1,744
Foam Testing and Lifeboat Wire Falls	36	814	29,304
Lifeboat Wire Falls and Inert Gas Testing	2	890	1,780
Foam Testing, Lifeboat Wire Falls, and Inert Gas Testing	2	2,314	4,628
Total	367		239,208

www.manta.com/mb to find revenue or employee information for the 74 companies; accessed January 29, 2024.

¹² <https://www.sba.gov/document/support-table-size-standards>; effective December 19, 2022, accessed January 29, 2024.

¹³ Please note that the number of inert gas bottles carried on board vessels varies from one vessel to another depending on the size of the space protected by the fire suppression system.

From these 6 different combinations, the range of the annual cost savings that we estimate for small entities per vessel

in this analysis is between \$14 and \$2,314, and the total annual cost savings for the small entities is about \$239,208.

Table 17 shows the cost savings per revenue for the small entities for which we had revenue information.

TABLE 17—DISTRIBUTION OF REVENUE IMPACTS

Percent of revenue impact	Average annual impact per vessel					Small entities with known revenue
<1%	Foam Testing	Lifeboat Wire Falls	Inert Gas Testing ..	Foam Testing and Lifeboat Wire Falls.	Lifeboat Wire Falls and Inert Gas Testing.	51
Cost Savings per Vessel.	\$14	\$800	\$218	\$814	\$890	
Cost Savings per Small Entity.	\$28	\$1,600	\$436	\$1,628	\$1,780	

Using MISLE’s data, we found that 51 small entities, where we found revenue and employee information, own 92 vessels. Therefore, each small entity owns, on average, two vessels. Multiplying the cost savings per entity per vessel (see table 17) by the number of vessels owned by each entity or 2, yields the following cost savings per entity: \$28 for foam testing (\$14 × 2 vessels per entity = \$28); \$1,600 for lifeboat wire falls (\$800 × 2 vessels per entity = \$1,600); \$436 for inert gas testing (\$218 × 2 vessels per entity = \$436); \$1,628 for foam testing and lifeboats wire falls (\$814 × 2 vessels per entity = \$1,628); and \$1,780 for lifeboat wire falls and inert gas testing (\$890 × 2 vessels per entity = \$1,780). For each of the 51 small entities with known revenue, the average annual cost savings per equipment type per small entity is less than 1 percent of annual revenue. Based on this analysis, we found that 100 percent of the small entities with known revenues impacted by this final rule (all 51 entities) will have a cost savings that is less than 1 percent of their annual revenue. The Coast Guard’s economic analysis concluded that these changes generate cost savings and do not impose a significant impact on any entities affected by this final rule.

Therefore, the Coast Guard certifies under 5 U.S.C. 605(b) that this final rule will not have a significant economic impact on a substantial number of small entities. If you think that your business, organization, or governmental jurisdiction qualifies as a small entity and that this final rule has a significant economic impact on it, please submit a comment to the docket at the address listed in the ADDRESSES section of this preamble. In your comment, explain why you think it qualifies and how and to what degree this final rule will economically affect it.

C. Assistance for Small Entities

Under section 213(a) of the Small Business Regulatory Enforcement Fairness Act of 1996, Public Law 104–121, we offer to assist small entities in understanding this rule so that they can better evaluate its effects on them and participate in the rulemaking. The Coast Guard will not retaliate against small entities that question or complain about this rule or any policy or action of the Coast Guard.

Small businesses may send comments on the actions of Federal employees who enforce, or otherwise determine compliance with, Federal regulations to the Small Business and Agriculture Regulatory Enforcement Ombudsman and the Regional Small Business Regulatory Fairness Boards. The Ombudsman evaluates these actions annually and rates each agency’s responsiveness to small business. If you wish to comment on actions by employees of the Coast Guard, call 1–888–REG–FAIR (1–888–734–3247).

D. Collection of Information

This final rule calls for no new or revised collection of information under the Paperwork Reduction Act of 1995, 44 U.S.C. 3501–3520.

E. Federalism

A rule has implications for federalism under Executive Order 13132 (Federalism) if it has a substantial direct effect on States, on the relationship between the National Government and the States, or on the distribution of power and responsibilities among the various levels of government. We have analyzed this rule under Executive Order 13132 and have determined that it is consistent with the fundamental federalism principles and preemption requirements described in Executive Order 13132. Our analysis follows.

It is well settled that States may not regulate in categories reserved for regulation by the Coast Guard. It is also

well settled that all the categories covered in 46 U.S.C. 3306, 3703 (involving design, construction, alteration, repair, maintenance, operation, equipping, personnel qualification, and manning of vessels) and any other category in which Congress intended the Coast Guard to be the sole source of a vessel’s obligations, are within the field foreclosed from regulation by the States. *See United States v. Locke*, 529 U.S. 89 (2000) (finding that the states are foreclosed from regulating tank vessels); *see also Ray v. Atlantic Richfield Co.*, 435 U.S. 151, 157 (1978) (State regulation is preempted where “the scheme of federal regulation may be so pervasive as to make reasonable the inference that Congress left no room for the States to supplement it [or where] the Act of Congress may touch a field in which the federal interest is so dominant that the federal system will be assumed to preclude enforcement of state laws on the same subject” (citations omitted)). Because this final rule involves approving, carrying, and maintaining certain safety equipment required on board vessels and offshore units or facilities, it is part of a pervasive scheme of Federal regulation that forecloses regulation by the States. Because the States may not regulate within this field, this final rule is consistent with the principles of federalism and preemption requirements in Executive Order 13132.

While it is well settled that States may not regulate in categories in which Congress intended the Coast Guard to be the sole source of a vessel’s obligations, the Coast Guard recognizes the key role that State and local governments may have in making regulatory determinations. Additionally, for rules with federalism implications and preemptive effect, Executive Order 13132 specifically directs agencies to consult with State and local governments during the rulemaking

process. If you believe this final rule has implications for federalism under Executive Order 13132, please contact the person listed in the **FOR FURTHER INFORMATION** section of this preamble.

F. Unfunded Mandates

The Unfunded Mandates Reform Act of 1995, 2 U.S.C. 1531–1538, requires Federal agencies to assess the effects of their discretionary regulatory actions. In particular, the Act addresses actions that may result in the expenditure by a State, local, or Tribal government, in the aggregate, or by the private sector of \$100,000,000 (adjusted for inflation) or more in any one year. Although this rule will not result in such expenditure, we do discuss the effects of this rule elsewhere in this preamble.

G. Taking of Private Property

This final rule will not cause a taking of private property or otherwise have taking implications under Executive Order 12630 (Governmental Actions and Interference with Constitutionally Protected Property Rights).

H. Civil Justice Reform

This final rule meets applicable standards in sections 3(a) and 3(b)(2) of Executive Order 12988 (Civil Justice Reform) to minimize litigation, eliminate ambiguity, and reduce burden.

I. Protection of Children

We have analyzed this final rule under Executive Order 13045 (Protection of Children from Environmental Health Risks and Safety Risks). This rule is not an economically significant rule and will not create an environmental risk to health or risk to safety that might disproportionately affect children.

J. Indian Tribal Governments

This final rule does not have Tribal implications under Executive Order 13175 (Consultation and Coordination with Indian Tribal Governments), because it will not have a substantial direct effect on one or more Indian Tribes, on the relationship between the Federal Government and Indian Tribes, or on the distribution of power and responsibilities between the Federal Government and Indian Tribes.

K. Energy Effects

We have analyzed this final rule under Executive Order 13211 (Actions Concerning Regulations That Significantly Affect Energy Supply, Distribution, or Use). We have determined that it is not a “significant energy action” under that order because

it is not a “significant regulatory action” under Executive Order 12866 and is not likely to have a significant adverse effect on the supply, distribution, or use of energy.

L. Technical Standards

The National Technology Transfer and Advancement Act, codified as a note to 15 U.S.C. 272, directs agencies to use voluntary consensus standards in their regulatory activities unless the agency provides Congress, through OMB, with an explanation of why using these standards would be inconsistent with applicable law or otherwise impractical. Voluntary consensus standards are technical standards (for example, specifications of materials, performance, design, or operation; test methods; sampling procedures; and related management systems practices) that are developed or adopted by voluntary consensus standards bodies.

This final rule uses the following technical and voluntary consensus standards: ASTM D975–14, IMO MSC/Circular 1006, and ISO 15364. The sections that reference these standards and the locations where these standards are available are listed in 46 CFR 39.1005, 160.135–5, 160.156–5, 160.171–3, 160.174–3, and 162.017–1.

These standards provide internationally accepted and recognized parameters that equipment and material must meet to ensure its safety, proper usage, and preservation on the seas. The standards that will be incorporated were developed by either the ASTM, IMO, or ISO, which are voluntary consensus standard-setting organizations.

One ASTM standard will be incorporated by reference in this rulemaking: ASTM D975–14, “Standard Specification for Diesel Fuel Oils” (July 30, 2014). This ASTM specification classifies grades of diesel fuel oils suitable for various types of diesel engines. As incorporated, it defines the grade of fuel necessary to perform a test for oil resistance.

One IMO standard will be incorporated by reference in this rulemaking:

IMO MSC/Circular 1006 “Guidelines on Fire Test Procedures for Acceptance of Fire-Retardant Materials for the Construction of Lifeboats” (adopted on June 8, 2001). This test procedure is used for the acceptance of fire-retardant and flame-resistant materials used for the construction of lifeboats, which are required to be fire-retardant by the International Life-saving Code.

One ISO standard will be incorporated by reference in this rulemaking:

ISO 15364:2021(E) (February 2021)—“Ships and marine technology—Pressure-vacuum valves for cargo tanks and devices to prevent the passage of flame into cargo tanks.” This international standard specifies the minimum requirements for performance and testing of pressure-vacuum relief valves, with emphasis on selection of materials, internal finish, and surface requirements for pressure-vacuum relief valves installed on cargo tanks in tankers.

Consistent with incorporation by reference provisions in 1 CFR part 51, this material is reasonably available. Interested persons have access to it through their normal course of business; can purchase it from the organizations identified in 46 CFR 39.1005, 160.135–5, 160.156–5, 160.171–3, and 160.174–3; or may view a copy using the methods identified in those sections.

If you disagree with our analysis of these voluntary consensus standards or are aware of voluntary consensus standards that might apply but are not listed, please send a comment explaining your disagreement or identifying additional standards to the docket using one of the methods under **ADDRESSES**.

M. Environment

We have analyzed this final rule under DHS Management Directive 023–01, Rev. 1, associated implementing instructions, and Environmental Planning COMDTINST 5090.1 (series), which guide the Coast Guard in complying with the National Environmental Policy Act of 1969 (42 U.S.C. 4321–4370f), and have made a determination that this action is one of a category of actions that do not individually or cumulatively have a significant effect on the human environment. A Record of Environmental Consideration supporting this determination is available in the docket. For instructions on locating the docket, see the **ADDRESSES** section of this preamble.

This final rule is categorically excluded under paragraphs L52, L54, and L57 of Appendix A, Table 1 of DHS Instruction Manual 023–01–001–01, Rev. 01. Paragraph L52 pertains to regulations concerning vessel safety standards; Paragraph L54 pertains to regulations which are editorial and procedural; and Paragraph L57 pertains to regulations concerning manning, documentation, admeasurement, inspection, and equipping of vessels.

This final rule revises regulations associated with the approval, carriage, and maintenance of certain safety equipment required on board vessels

and offshore units or facilities. Some of these revisions are editorial or procedural actions that eliminate outdated requirements, reduce inspection and testing requirements, update standards incorporated by reference, remove obsolete sections, and align conflicting sections with codes associated with SOLAS. This final rule supports the Maritime Safety mission of the Coast Guard.

List of Subjects

33 CFR Part 149

Fire prevention, Harbors, Marine safety, Navigation (water), Occupational safety and health.

46 CFR Part 2

Marine safety, Reporting and recordkeeping requirements, Vessels.

46 CFR Part 31

Cargo vessels, Marine safety, Reporting and recordkeeping requirements.

46 CFR Part 32

Cargo vessels, Fire prevention, Marine safety, Navigation (water), Occupational safety and health, Reporting and recordkeeping requirements, Seamen.

46 CFR Part 34

Cargo vessels, Fire prevention, Marine safety.

46 CFR Part 35

Cargo vessels, Marine safety, Navigation (water), Occupational safety and health, Reporting and recordkeeping requirements, Seamen.

46 CFR Part 39

Cargo vessels, Fire prevention, Hazardous materials transportation, Incorporation by reference, Marine safety, Occupational safety and health, Reporting and recordkeeping requirements.

46 CFR Part 56

Reporting and recordkeeping requirements, Vessels.

46 CFR Part 76

Fire prevention, Marine safety, Passenger vessels.

46 CFR Part 77

Marine safety, Navigation (water), Passenger vessels.

46 CFR Part 95

Cargo vessels, Fire prevention, Marine safety.

46 CFR Part 96

Cargo vessels, Marine safety, Navigation (water).

46 CFR Part 105

Cargo vessels, Fishing vessels, Hazardous materials transportation, Marine safety, Petroleum, Seamen.

46 CFR Part 107

Marine safety, Oil and gas exploration, Reporting and recordkeeping requirements, Vessels.

46 CFR Part 108

Fire prevention, Marine safety, Occupational safety and health, Oil and gas exploration, Vessels.

46 CFR Part 109

Marine safety, Occupational safety and health, Oil and gas exploration, Reporting and recordkeeping requirements, Vessels.

46 CFR Part 115

Fire prevention, Marine safety, Passenger vessels, Reporting and recordkeeping requirements.

46 CFR Part 116

Fire prevention, Incorporation by reference, Marine safety, Passenger vessels, Reporting and recordkeeping requirements, Seamen.

46 CFR Part 118

Fire prevention, Marine safety, Passenger vessels, Reporting and recordkeeping requirements.

46 CFR Part 132

Cargo vessels, Fire prevention, Marine safety, Reporting and recordkeeping requirements.

46 CFR Part 147

Hazardous materials transportation, Incorporation by reference, Labeling, Marine safety, Packaging and containers, Reporting and recordkeeping requirements.

46 CFR Part 159

Business and industry, Laboratories, Marine safety, Reporting and recordkeeping requirements.

46 CFR Part 160

Incorporation by reference, Marine safety, Reporting and recordkeeping requirements.

46 CFR Part 161

Fire prevention, Incorporation by reference, Marine safety, Reporting and recordkeeping requirements.

46 CFR Part 162

Fire prevention, Incorporation by reference, Marine safety, Oil pollution, Reporting and recordkeeping requirements.

46 CFR Part 163

Marine safety.

46 CFR Part 164

Fire prevention, Incorporation by reference, Marine safety, Reporting and recordkeeping requirements.

46 CFR Part 167

Fire prevention, Marine safety, Reporting and recordkeeping requirements, Schools, Seamen, Vessels.

46 CFR Part 169

Fire prevention, Marine safety, Reporting and recordkeeping requirements, Schools, Vessels.

46 CFR Part 181

Fire prevention, Marine safety, Passenger vessels, Reporting and recordkeeping requirements.

46 CFR Part 195

Marine safety, Navigation (water), Oceanographic research vessels.

46 CFR Part 199

Cargo vessels, Marine safety, Oil and gas exploration, Passenger vessels, Reporting and recordkeeping requirements.

For the reasons discussed in the preamble, the Coast Guard amends 33 CFR part 149 and 46 CFR parts 2, 31, 32, 34, 35, 39, 56, 76, 77, 95, 96, 105, 107, 108, 109, 115, 116, 118, 132, 147, 159, 160, 161, 162, 163, 164, 167, 169, 181, 195, and 199 as follows:

Title 33—Navigation and Navigable Waters

PART 149—DEEPWATER PORTS: DESIGN, CONSTRUCTION, AND EQUIPMENT

■ 1. The authority citation for part 149 is revised to read as follows:

Authority: 33 U.S.C. 1504, 1509; DHS Delegation No. 00170.1, Revision No. 01.4.

■ 2. Amend § 149.410 by revising the section heading and the introductory text to read as follows:

§ 149.410 Location and number of fire extinguishers required for manned deepwater ports constructed before August 22, 2016.

Manned deepwater ports constructed before August 22, 2016, must meet the following requirements:

* * * * *

Title 46—Shipping

PART 2—VESSEL INSPECTIONS

■ 3. The authority citation for part 2 is revised to read as follows:

Authority: 33 U.S.C. 1903; 43 U.S.C. 1333; 46 U.S.C. 2103, 2110, 3306, 3316, 3703, 70034; DHS Delegation No. 00170.1, Revision No. 01.4; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277, sec. 1–105.

■ 4. Amend § 2.75–10 by revising paragraph (b) and adding paragraph (c) to read as follows:

§ 2.75–10 Procedures for obtaining approvals.

(b) Unless otherwise specified, correspondence concerning approvals should be submitted electronically to *typeapproval@uscg.mil*. When plans, drawings, test data, etc., are required to be submitted by the manufacturer, the material being transmitted with the application should be clearly identified.

(c) If the manufacturer requests that hard copy stamped plans be returned to them, or if product samples must be submitted, the plans or samples must be addressed to the Commandant (CG–ENG), Attn: Office of Design and Engineering Standards, U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7509. When submitted, hard copy plans must be accompanied by electronic drawings or must be submitted in triplicate.

PART 31—INSPECTION AND CERTIFICATION

■ 5. The authority citation for part 31 is revised to read as follows:

Authority: 33 U.S.C. 1321(j); 46 U.S.C. 2103, 3205, 3306, 3307, 3703; 46 U.S.C. Chapter 701; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; E.O. 12777, 56 FR 54757, 3 CFR, 1991 Comp., p. 351; DHS Delegation No. 00170.1, Revision No. 01.4. Section 31.10–21 also issued under the authority of Sect. 4109, Pub. L. 101–380, 104 Stat. 515.

■ 6. Amend § 31.10–18 by revising paragraph (c) to read as follows:

§ 31.10–18 Firefighting equipment: General—TB/ALL.

(c) Deck foam systems must be tested at the inspection for certification and the periodic inspection by discharging foam for approximately 15 seconds from any nozzle designated by the marine inspector. It is not required to deliver foam from all foam outlets, but all lines and nozzles must be tested with water to prove they are clear of obstruction. Before the inspection for certification and periodic inspection of deck foam systems utilizing a mechanical foam system, a representative sample of the foam concentrate must be submitted to the manufacturer, or its authorized representative, or an independent laboratory accepted for this purpose by the Coast Guard, who will issue a certificate indicating gravity, pH, percentage of water dilution, and solid content.

PART 32—SPECIAL EQUIPMENT, MACHINERY, AND HULL REQUIREMENTS

■ 7. The authority citation for part 32 is revised to read as follows:

Authority: 46 U.S.C. 2103, 3306, 3703, 3719; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4; Subpart 32.59 also issued under the authority of Sec. 4109, Pub. L. 101–380, 104 Stat. 515.

§ 32.90–1 [Amended]

■ 8. Amend § 32.90–1 by removing paragraph (h).

PART 34—FIREFIGHTING EQUIPMENT

■ 9. The authority citation for part 34 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3703; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4.

■ 10. Amend § 34.10–90 by revising paragraph (a)(3) to read as follows:

§ 34.10–90 Installations contracted for prior to May 26, 1965—T/ALL.

(a) * * *

(3) Tankships of less than 500 gross tons shall be equipped with an efficient hand pump capable of delivering 50 gallons per minute or a power-driven pump of equivalent capacity. However, on tankships of 20 gross tons or under, where it is impracticable to install a hand or power-operated fire pump, or on tankships with only one man in the crew, at least one additional 40-B fire extinguisher may be accepted in lieu of a fire pump.

* * * * *

■ 11. Amend § 34.50–10:

■ a. In paragraph (a), by removing the text “table 34.50–10(a) of this section”, wherever it appears, and adding in its place the text “table 1 to § 34.50–10(a)”;

■ b. In paragraph (h), by removing the text “Table 34.50–10(a) of this section” and adding in its place the text “Table 1 to § 34.50–10(a)”;

■ c. In the table following paragraph (h) by:

■ i. Redesignating the table as table 1 to § 34.50–10(a); and

■ ii. Revising and republishing table 1 to § 34.50–10(a).

The revision reads as follows:

§ 34.50–10 Location, number, and installation of fire extinguishers—TB/ALL.

* * * * *

(a) * * *

TABLE 1 TO § 34.50–10(a)—PORTABLE AND SEMI-PORTABLE EXTINGUISHERS

Tank ships		Area	Tank barges	
Quantity and location	Minimum required rating		Minimum required rating	Quantity and location
Safety Areas				
1 required	20–B:C	Wheelhouse and chartroom areas		None required.
1 required in the vicinity of the exit	20–B:C ¹	Radio room		None required.
Accommodation Areas				
1 required in each main passage-way on each deck, conveniently located, and so that no room is more than 75 ft from an extinguisher.	2–A	Staterooms, toilet spaces, public spaces, offices, etc., and associated lockers, storerooms, and pantries.	2–A	1 required in the vicinity of the exit.

TABLE 1 TO § 34.50–10(a)—PORTABLE AND SEMI-PORTABLE EXTINGUISHERS—Continued

Tank ships		Area	Tank barges	
Quantity and location	Minimum required rating		Minimum required rating	Quantity and location
Service Areas				
1 required for each 2,500 sq ft or fraction thereof.	40–B:C	Galleys	40–B:C	1 required, suitable for the hazard involved.
1 required for each 2,500 sq ft or fraction thereof.	40–B	Stores areas, including paint and lamp rooms.		None required.
Machinery Area ²				
2 required ³	40–B	Spaces containing oil fired boilers, either main or auxiliary, or any fuel oil units subject to the discharge pressure of the fuel oil service pump.	40–B	1 required. ¹²
1 required	and.	Spaces containing internal combustion or gas turbine propulsion machinery.		None required.
1 required for each 1,000 brake horsepower; not less than 2, not more than 6 ⁵ .	160–B ⁴ . 40–B			
1 required ^{6 7}	and.	Auxiliary spaces containing internal combustion or gas turbine units.	40–B	1 required in the vicinity of the exit. ^{7 9 12}
1 required in the vicinity of the exit ⁷ .	120–B. 40–B			
1 required in the vicinity of the exit ⁸ .	40–B:C	Auxiliary spaces containing emergency generators.		None required.
Cargo Areas				
1 required in the lower pumproom	40–B	Pumprooms	40–B	1 required in the vicinity of the exit. ^{9 12}
None required		Cargo tank area	40–B	2 required. ^{10 12 13}
			160–B	1 required. ^{9 11}
Spare Units				
10 percent of required units rounded up.	2–A		2–A	10 percent of required units rounded up.
10 percent of required units rounded up.	40–B:C		40–B:C	10 percent of required units rounded up.

¹ Vessels not on an international voyage may substitute two 5–B:C rated extinguishers.

² A 40–B:C must be immediately available to the service generator and main switchboard areas, and further, a 40–B:C must be conveniently located not more than 50 feet (15.25 meters) walking distance from any point in all main machinery operating spaces. These extinguishers need not be in addition to other required extinguishers.

³ Vessels of fewer than 1,000 GT require 1.

⁴ Vessels of fewer than 1,000 GT may substitute 1 120–B:C.

⁵ Only 1 required for vessels under 65 ft in length.

⁶ If an oil-burning donkey boiler is fitted in the space, the 160–B:C previously required for the protection of the boiler may be substituted. Not required where a fixed carbon dioxide system is installed.

⁷ Not required on vessels of fewer than 300 GT if the fuel has a flashpoint higher than 110 °F.

⁸ Not required on vessels of fewer than 300 GT.

⁹ Not required if fixed system installed.

¹⁰ If no cargo pump on barge, only one 40–B:C required.

¹¹ Manned barges of 100 GT and over only.

¹² Not required on unmanned barges except during the transfer of cargo, or operation of barge machinery or boilers when the barge is not underway.

¹³ An extinguisher brought on to unmanned barges during the transfer of cargo, or operation of barge machinery or boilers does not have to be Coast Guard approved, provided it is approved by a nationally recognized testing laboratory (NRTL) in accordance with 29 CFR 1910.7.

* * * * *

PART 35—OPERATIONS

■ 12. The authority citation for part 35 is revised to read as follows:

Authority: 33 U.S.C. 1321(j); 46 U.S.C. 3306, 3703, 6101, 70011, 70034; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; E.O. 12777, 56 FR 54757, 3 CFR, 1991 Comp., p.

351; DHS Delegation No. 00170.1, Revision No. 01.4.

§ 35.30–20 [Amended]

■ 13. Amend § 35.30–20 by removing the text “the Mine Safety and Health Administration (MSHA) and by” in paragraph (c)(1).

PART 39—VAPOR CONTROL SYSTEMS

■ 14. The authority citation for part 39 is revised to read as follows:

Authority: 42 U.S.C. 7511b(f)(2); 46 U.S.C. 3306, 3703, 3715(b), 70011, 70034; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4.

- 15. Amend § 39.1005 by:
 ■ a. Revising paragraph (a);
 ■ b. Redesignating paragraphs (g) through (i) as paragraphs (h) through (j); and
 ■ c. Adding new paragraph (g).
 The revision and addition read as follows:

§ 39.1005 Incorporation by reference—TB/ALL.

(a) Certain material is incorporated by reference into this part with the approval of the Director of the Federal Register under 5 U.S.C. 552(a) and 1 CFR part 51. All approved incorporation by reference (IBR) material is available for inspection at the Coast Guard and at the National Archives and Records Administration (NARA). Contact Coast Guard at: Commandant (CG-ENG-4), U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593-7509; email ypeapproval@uscg.mil or visit www.dco.uscg.mil/CG-ENG-4/. For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations.html or email fr.inspection@nara.gov. The material may be obtained from the sources in the following paragraphs of this section.

(g) International Organization for Standardization (ISO), ISO Central Secretariat Chemin de Blandonnet 8, CP 401—1214 Vernier, Geneva, Switzerland phone 41 22 749 01 11; www.iso.org/contact-iso.html.

(1) ISO 15364:2021(E), Ships and Marine Technology—Pressure-vacuum valves for cargo tanks and devices to

prevent the passage of flame into cargo tanks, Fourth Edition, February 2021 (“ISO 15364”); IBR approved for § 39.2011(b).

(2) [Reserved]

- 16. Amend § 39.2011 by revising paragraph (b)(1) to read as follows:

§ 39.2011 Vapor overpressure and vacuum protection—TB/ALL.

(b) * * *

(1) Be type approved under 46 CFR 162.017 for the pressure and vacuum relief setting desired. Pressure-vacuum relief valves that meet the requirements of ISO 15364 (incorporated by reference, see § 39.1005) or equivalent standards acceptable to the flag state are acceptable for installation on foreign-flagged vessels and do not require type approval;

PART 56—PIPING SYSTEMS AND APPURTENANCES

- 17. The authority citation for part 56 is revised to read as follows:

Authority: 33 U.S.C. 1321(j), 1509; 43 U.S.C. 1333; 46 U.S.C. 3306, 3703; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; E.O. 12777, 56 FR 54757, 3 CFR, 1991 Comp., p. 351; DHS Delegation No. 00170.1, Revision No. 01.4.

- 18. Amend § 56.60–25 by revising paragraph (a)(4) to read as follows:

§ 56.60–25 Nonmetallic materials.

(a) * * *

(4) Plastic pipe fitting and bonding techniques must follow the

manufacturer’s installation guidelines. Bonders must hold certifications required by the manufacturer’s guidelines and provide documentation of current certification to the Marine Inspector when requested.

PART 76—FIRE PROTECTION EQUIPMENT

- 19. The authority citation for part 76 is revised to read as follows:

Authority: 46 U.S.C. 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4.

- 20. Amend § 76.50–10 by revising and republishing paragraphs (a) and (b) to read as follows:

§ 76.50–10 Location.

(a) Approved portable and semi-portable extinguishers must be installed in accordance with table 1 to 76.50–10(b). The location of the equipment must be to the satisfaction of the Officer in Charge, Marine Inspection. Nothing in this paragraph should be construed as limiting the Officer in Charge, Marine Inspection, from requiring such additional equipment as he or she deems necessary for the proper protection of the vessel.

(b) Table 1 to 76.50–10(b) indicates the minimum required number and type of extinguisher for each space listed. Extinguishers with larger numerical ratings or multiple letter designations may be used if the extinguishers meet the requirements of the table.

TABLE 1 TO 76.50–10(b)—CARRIAGE OF PORTABLE AND SEMI-PORTABLE FIRE EXTINGUISHERS

Space	Fire extinguishing	
	Minimum required rating	Quantity and location
Safety Area ¹		
Wheelhouse or fire control room	2–A, 20–B:C	1 of each rating required for vessels over 1,000 GT. Only 1 extinguisher is required if it carries both 2–A and 20–B:C ratings.
Stairway and elevator enclosures		None required.
Communicating corridors	2–A	1 in each main corridor in each main vertical zone. (May be located in stairway enclosures.)
Lifeboat embarkation and lowering stations		None required.
Radio room	20–B:C ³	2 in the vicinity of the exit. ²
Accommodations ¹		
Staterooms, toilet spaces, isolated pantries, etc		None required.
Offices, lockers, and isolated storerooms		None required.
Public spaces	2–A	1 for each 2,500 sq ft or fraction thereof located in vicinity of the exits, except that none are required for spaces under 500 sq ft.
Open decks or enclosed promenades		None required.

TABLE 1 TO 76.50–10(b)—CARRIAGE OF PORTABLE AND SEMI-PORTABLE FIRE EXTINGUISHERS—Continued

Space	Fire extinguishing	
	Minimum required rating	Quantity and location
Service Spaces		
Galleys	40–B:C	1 for each 2,500 sq ft or fraction thereof suitable for hazards involved.
Main pantries	2–A	1 for each 2,500 sq ft or fraction thereof located in the vicinity of the exits.
Motion picture booths and film lockers	10–B:C ³	1 outside in the vicinity of the exit.
Paint and lamp rooms	40–B	1 outside space in the vicinity of the exit.
Inaccessible baggage, mail, and specie rooms, and storerooms.		None required.
Accessible baggage, mail, and specie rooms, and storerooms	2–A	1 for each 2,500 sq ft or fraction thereof located in the vicinity of the exits, either inside or outside the spaces.
Refrigerated storerooms	2–A	1 for each 2,500 sq ft or fraction thereof located in the vicinity of the exits, outside the spaces.
Carpenter, valet, photographic, printing shops sales rooms, etc..	2–A	1 outside the space in the vicinity of the exit.
Machinery Spaces		
Coal-fired boilers: Bunker and boiler space		None required.
Oil-fired boilers: Spaces, containing oil fired boilers, either main or auxiliary, or their fuel oil units.	40–B	2 required. ³
Internal combustion or gas turbine propelling machinery spaces.	160–B	1 required. ⁴
.....	40–B	1 for each 1,000 brake horsepower, but not less than 2 or more than 6.
.....	120–B	1 required. ⁵
Electric propulsive motors or generators of open type	40–B:C	1 for each propulsion motor or generator unit.
Enclosed ventilating systems for motors and generators of electric propelling machinery.		None required.
Auxiliary spaces, internal combustion or gas turbine	40–B	1 outside the space in the vicinity of the exit. ⁶
Auxiliary spaces, electric emergency motors or generators	40–B:C	1 outside the space in the vicinity of the exit. ⁶
Auxiliary spaces, steam		None required.
Trunks to machinery spaces		None required.
Fuel tanks		None required.
Cargo Spaces		
Inaccessible during voyage, including trunks (excluding tanks)		None required.
Accessible during voyage	2–A	1 for each 1,200 sq ft or fraction thereof.
Vehicular spaces (covered by a sprinkler system)	40–B	1, plus 1 for each 6,000 sq ft or fraction thereof.
Vehicular spaces (not covered by a sprinkler system)	40–B	1, plus 1 for each 1,500 sq ft or fraction thereof. ⁷
Cargo oil tanks		None required.
Spare Units		
.....	2–A	10 percent of the required number for public spaces rounded up.
.....	40–B	10 percent of the required number for cargo spaces rounded up.
.....	40–B:C	1.

¹ In any case, on vessels of 150 feet (45.72 meters) in length and over, there must be at least two 2–A units on each passenger deck.

² For vessels on an international voyage, substitute 1 20–B:C in the vicinity of the exit.

³ Vessels of less than 1,000 GT and not on an international voyage require 1.

⁴ Vessels of less than 1,000 GT and not on an international voyage may substitute one 120–B for one 160–B.

⁵ If an oil-burning donkey boiler is fitted in the space, the 160–B previously required for the protection of the boiler room may be substituted. Not required on vessels of less than 300 GT if the fuel has a flashpoint of 110 °F or lower except those on an international voyage.

⁶ Not required on vessels of less than 300 GT if the fuel has a flashpoint higher than 110 °F.

⁷ Two 10–B units may be substituted for one 40–B unit.

* * * * *

PART 77—VESSEL CONTROL AND MISCELLANEOUS SYSTEMS AND EQUIPMENT

■ 21. The authority citation for part 77 is revised to read as follows:

Authority: 46 U.S.C. 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4.

§ 77.35–5 [Amended]

■ 22. Amend § 77.35–5 by removing the text “the Mine Safety and Health Administration (MSHA) and” in paragraph (b).

§ 77.40–1 [Amended]

■ 23. Amend § 77.40–1 by removing paragraph (h).

PART 95—FIRE PROTECTION EQUIPMENT

■ 24. The authority citation for part 95 is revised to read as follows:

Authority: 46 U.S.C. 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4.

§ 95.50–10 [Amended]

■ 25. Amend § 95.50–10:

■ a. In paragraph (a), by removing the text “Table 95.50–10(a) of this section” and adding in its place the text “table 1 to § 95.50–10(b)”

■ b. In paragraph (b), by removing the text “Table 95.50–10(a)” and adding in its place the text “Table 1 to § 95.50–10(b)”;

■ c. Redesignating table 95.50–10(a) as table 1 to § 95.50–10(b); and

■ d. In footnote 4 to newly redesignated table 1 to § 95.50–10(b), removing the text “160–B” and adding in its place the text “120–B”.

PART 96—VESSEL CONTROL AND MISCELLANEOUS SYSTEMS AND EQUIPMENT

■ 26. The authority citation for part 96 is revised to read as follows:

Authority: 46 U.S.C. 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation No. 00170.1, Revision No. 01.4.

§ 96.35–5 [Amended]

■ 27. Amend § 96.35–5 by removing the text “the Mine Safety and Health Administration (MSHA) and by” in paragraph (b).

§ 96.40–1 [Amended]

■ 28. Amend § 96.40–1 by removing paragraph (h).

PART 105—COMMERCIAL FISHING VESSELS DISPENSING PETROLEUM PRODUCTS

■ 29. The authority citation for part 105 is revised to read as follows:

Authority: 6 U.S.C. 468(b); 33 U.S.C. 1321(j); 46 U.S.C. 2103, 3306, 3703, 4502; E.O. 12777, sec. 2(d)(2) and (f), 56 FR 54757, 3 CFR, 1991 Comp., p. 351; DHS Delegation No. 00170.1, Revision No. 01.4.

■ 30. Amend § 105.14 by revising paragraph (a) to read as follows:

§ 105.14 Fire Extinguishing Equipment.

(a) In addition to the extinguishers in the table to § 28.160 of this chapter, each vessel must carry at least two 40–B fire extinguishers that are approved under § 162.028 or § 162.039 of this chapter and must be located at or near the dispensing area. Extinguishers with larger numerical ratings or multiple letter designations may be used to meet this requirement. This equipment must be examined before issuing a letter of compliance.

* * * * *

PART 107—INSPECTION AND CERTIFICATION

■ 31. The authority citation for part 107 is revised to read as follows:

Authority: 43 U.S.C. 1333; 46 U.S.C. 3306, 3307, 3316; DHS Delegation No. 00170.1, Revision No. 01.4; § 107.05 also issued under the authority of 44 U.S.C. 3507.

■ 32. Amend § 107.235 by revising paragraph (b)(4) to read as follows:

§ 107.235 Servicing of portable fire extinguishers, semi-portable fire extinguishers and fixed fire extinguishing systems.

* * * * *

(b) * * *

(4) *Foam, except premix systems:* Discharge foam for approximately 15 seconds from a nozzle designated by the marine inspector. Discharge water from all other lines and nozzles. Submit a sample of the foam concentrate to the manufacturer or its authorized representative, or an independent laboratory accepted for the purpose by the Coast Guard for determination of specific gravity, pH, percentage of water dilution, and solid content and for certification as a suitable firefighting foam.

* * * * *

PART 108—DESIGN AND EQUIPMENT

■ 33. The authority citation for part 108 is revised to read as follows:

Authority: 43 U.S.C. 1333; 46 U.S.C. 3102, 3306; DHS Delegation No. 00170.1, Revision No. 01.4.

■ 34. Revise § 108.103 to read as follows:

§ 108.103 Equipment not required on a unit.

(a) Each item of lifesaving and firefighting equipment carried on board the unit in addition to equipment of the type required under this subchapter, must—

(1) Be approved; or

(2) Be acceptable to the cognizant OCMI, for use on the unit.

(b) Use of non-approved fire detection systems may be acceptable as excess equipment, provided that—

(1) Components are listed and labeled by an independent, nationally recognized testing laboratory as set forth in 29 CFR 1910.7, and are designed, installed, tested, and maintained in accordance with an appropriate industry standard and the manufacturer's specific guidance;

(2) Installation conforms to the requirements of subchapter J of this chapter, including the hazardous location electrical installation regulations in § 111.105 of this chapter; and

(3) Coast Guard plan review is completed for wiring plans.

■ 35. Amend § 108.489 by revising paragraph (a)(3) to read as follows:

§ 108.489 Helicopter fueling facilities.

(a) * * *

(3) A 160–B fire extinguisher approved under § 162.028 or § 162.039 of this chapter for each fueling facility up to 300 square feet (27.87 square meters). Extinguishers with larger numerical ratings or multiple letter designations may be used to meet this requirement.

* * * * *

■ 36. Amend § 108.495 by:

■ a. Removing the text “Table 108.495 of this section” and adding in its place the text “Table 1 to § 108.495” in the introductory text;

■ b. Redesignating table 108.495 as table 1 to § 108.495; and

■ c. Revising and republishing newly redesignated table 1 to § 108.495.

The revision reads as follows:

§ 108.495 Locations and number of fire extinguishers required.

* * * * *

TABLE 1 TO § 108.495—CARRIAGE OF PORTABLE FIRE EXTINGUISHERS

Space	Minimum required rating	Quantity and location
Safety Areas		
Wheelhouse and control room	20–B:C	2 in the vicinity of the exit.
Stairway and elevator enclosure		None required.

TABLE 1 TO § 108.495—CARRIAGE OF PORTABLE FIRE EXTINGUISHERS—Continued

Space	Minimum required rating	Quantity and location
Corridors	2-A	1 in each corridor not more than 150 ft (45 m) apart. (May be located in stairways.)
Lifeboat embarkation and lowering stations		None required.
Radio room	10-B:C	2 in the vicinity of the exit.
Accommodations		
Staterooms, toilet spaces, public spaces, offices, lockers, small storerooms, pantries, open decks, and similar spaces.		None required.
Service Spaces		
Galleys	40-B:C	1 for each 2,500 sq ft (232.2 sq m) or fraction thereof suitable for the hazards involved.
Paint and lamp rooms	40:B	1 outside each room in the vicinity of the exit.
Storerooms	2-A	1 for each 2,500 sq ft (232.2 sq m) or fraction thereof located in the vicinity of the exits, either inside or outside the spaces.
Workshop and similar spaces	20-B:C	1 outside each space in the vicinity of the exit.
Machinery Spaces		
Oil-fired boilers: Spaces containing oil-fired boilers, either main or auxiliary, or their fuel oil units.	40-B	2 required in each space.
Internal combustion or gas turbine propelling machinery spaces.	160-B	1 required in each space. See note 1.
	40-B	1 for each 1,000 brake horsepower but not less than 2 and not more than 6 in each space.
	120-B	1 required in each space. See note 1.
Motors or generators of electric propelling machinery that do not have an enclosed ventilating system.	40-B:C	1 for each motor or generator.
Motors and generators of electric propelling machinery that have enclosed ventilating systems.		None required.
Auxiliary Spaces		
Internal combustion engines or gas turbine	40-B	1 outside the space containing engines or turbines in the vicinity of the exit.
Electric emergency motors or generators	40-B:C	1 outside the space containing motors or generators in the vicinity of the exit.
Steam driven auxiliary machinery		None required.
Trunks to machinery spaces		None required.
Fuel tanks		None required.
Miscellaneous Areas		
Helicopter landing decks	160-B	1 at each access route.
Helicopter fueling facilities	160-B	1 at each fuel transfer facility. See note 2.
Drill floor	40-B:C	2 required.
Cranes with internal combustion engines	40-B:C	1 required.
Spare Units		
	2-A	10 percent of the total required rounded up.
	40-B:C	10 percent of the total required rounded up.

¹ Not required where a fixed gas extinguishing system is installed.² Not required where a fixed foam system is installed in accordance with § 108.489.**§ 108.497 [Amended]**

■ 37. Amend § 108.497 by removing the text “the Mine Safety and Health Administration (MSHA) and by” in paragraph (a).

§ 108.570 [Amended]

■ 38. Amend § 108.570 by removing the word “must” and adding in its place the word “may” in paragraph (c)(3).

§ 108.719 [Amended]

■ 39. Amend § 108.719 by removing paragraph (h).

PART 109—OPERATIONS

■ 40. The authority citation for part 109 is revised to read as follows:

Authority: 43 U.S.C. 1333; 46 U.S.C. 3306, 6101, 10104; DHS Delegation 00170.1, Revision No. 01.4.

■ 41. Amend § 109.301 by revising paragraph (j) to read as follows:

§ 109.301 Operational readiness, maintenance, and inspection of lifesaving equipment.

* * * * *

(j) *Maintenance of falls.* Each fall used in a launching appliance must be inspected annually with special regard for areas passing through sheaves and

must be renewed when necessary due to deterioration or at intervals of not more than 5 years, whichever is earlier.

* * * * *

PART 115—INSPECTION AND CERTIFICATION

- 42. The authority citation for part 115 is revised to read as follows:

Authority: 33 U.S.C. 1321(j); 46 U.S.C. 2103, 3205, 3306, 3307; 49 U.S.C. App. 1804; E.O. 11735, 38 FR 21243, 3 CFR, 1971–1975 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

§ 115.810 [Amended]

- 43. Amend § 115.810 by removing the text “Chapter 4 of” in paragraph (b)(1).

PART 116—CONSTRUCTION AND ARRANGEMENT

- 44. The authority citation for part 116 is revised to read as follows:

Authority: 46 U.S.C. 2103, 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277, DHS Delegation 00170.1, Revision No. 01.4.

- 45. Amend § 116.400 by revising paragraph (c) to read as follows:

§ 116.400 Application.

* * * * *

(c) Vessels meeting the structural fire protection requirements of SOLAS, Chapter II–2, Regulations 5, 6, 8, 9, and 11 (incorporated by reference, see § 114.600 of this chapter), when combined with the requirements in § 116.438, may be considered equivalent to the provisions of this subpart.

- 46. Amend § 116.405 by revising paragraph (f) to read as follows:

§ 116.405 General arrangement and outfitting.

* * * * *

(f) *Nonmetallic piping in concealed spaces.* The use of nonmetallic (plastic) pipe within a concealed space in a control space, accommodation space, or service space is permitted in nonvital service only if the piping material has been approved under § 164.141 of this chapter and meets both low flame spread rating and toxicity requirements.

* * * * *

PART 118—FIRE PROTECTION EQUIPMENT

- 47. The authority citation for part 118 is revised to read as follows:

Authority: 46 U.S.C. 2103, 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

§ 118.500 [Amended]

- 48. Amend § 118.500:

■ a. In paragraph (a), by removing the text “Table 118.500(a) of this section” and adding in its place the text “table 1 to § 118.500(b)”;

■ b. In paragraph (b), by removing the text “Table 118.500(a) of this section” and adding in its place the text “Table 1 to § 118.500(b)”;

■ c. By redesignating table 118.500(a) as table 1 to § 118.500(b);

■ d. In paragraph (c), by removing the text “10” and adding in its place the text “5”; and

■ e. In paragraph (d), by removing the text “(c)” and adding in its place the text “(b)”.

PART 132—FIRE PROTECTION EQUIPMENT

- 49. The authority citation for part 132 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3307; sec. 617, Pub. L. 111–281, 124 Stat. 2905; DHS Delegation 00170.1, Revision No. 01.4.

§ 132.365 [Amended]

- 50. Amend § 132.365 by removing the text “the Mine Safety and Health Administration and by” in paragraph (b)(1).

PART 147—HAZARDOUS SHIPS STORES

- 51. The authority citation for part 147 is revised to read as follows:

Authority: 46 U.S.C. 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

- 52. Amend § 147.66 by revising paragraphs (a) and (c) to read as follows:

§ 147.66 Inert gas fire extinguishing systems.

(a) Inert gas cylinders forming part of a clean agent fixed fire extinguishing system must be retested every 12 years.

(c) Flexible connections between cylinders and discharge piping for fixed inert gas fire extinguishing systems must be renewed or retested in accordance with section 7.3 of NFPA 2001 (incorporated by reference, see § 147.7), except that this renewal or retesting must occur when the cylinders are retested.

PART 159—APPROVAL OF EQUIPMENT AND MATERIALS

- 53. The authority citation for part 159 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3703; DHS Delegation 00170.1, Revision No. 01.4; Section 159.001–9 also issued under the authority of 44 U.S.C. 3507.

- 54. Revise § 159.001–5 to read as follows:

§ 159.001–5 Correspondence and applications.

(a) Unless otherwise specified, all correspondence and applications in connection with approval and testing of equipment and materials should be submitted electronically to *typeapproval@uscg.mil*. When plans, drawings, test data, etc., are required to be submitted by the manufacturer, the material being transmitted with the application should be clearly identified.

(b) If the manufacturer desires hard copy stamped plans be returned to them, or if product samples must be submitted, the plans or samples must be addressed to: Commandant (CG–ENG), Attn: Office of Design & Engineering Standards, U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7509. When submitted, hard copy plans must be accompanied by electronic drawings or must be submitted in triplicate.

PART 160—LIFESAVING EQUIPMENT

- 55. The authority citation for part 160 is revised to read as follows:

Authority: 46 U.S.C. 2103, 3306, 3703, 4302; E.O. 12234; 45 FR 58801; 3 CFR, 1980 Comp., p. 277; and DHS Delegation 00170.1, Revision No. 01.4.

- 56. Amend § 160.115–7 by revising paragraphs (b)(6)(vi) introductory text and (b)(6)(vi)(A) to read as follows:

§ 160.115–7 Design, construction, and performance of winches.

* * * * *

(b) * * *

(6) * * *

(vi) Limit switches must be provided to limit the travel of the davit arms as they approach the final stowed position and prevent overstressing the falls or davits. These switches must—

(A) Be arranged so that the activation of any limit switch will stop the travel of all of the davit arms;

* * * * *

§§ 160.115–9, 160.115–13, 160.132–9, 160.132–13, and 160.133–9 [Amended]

- 57. Amend §§ 160.115–9(b) introductory text, 160.115–13(g)(2), 160.132–9(b) introductory text, 160.132–13(g)(2), and 160.133–9(b) introductory text by removing the words “in triplicate”.

§ 160.133–13 [Amended]

- 58. Amend § 160.133–13 by removing the text “, in triplicate” in paragraph (g)(2).

- 59. Amend § 160.135–5 by adding paragraph (d)(7) to read as follows:

§ 160.135–5 Incorporation by reference.

* * * * *

(d) * * *

(7) MSC/Circ. 1006, Guidelines on Fire Test Procedures for Acceptance of Fire-Retardant Materials for the Construction of Lifeboats, June 18, 2001; IBR approved for § 160.135–7(b).

* * * * *

■ 60. Amend § 160.135–7 by revising paragraph (b)(3)(iv)(A) to read as follows:

§ 160.135–7 Design, construction, and performance of lifeboats.

* * * * *

(b) * * *

(3) * * *

(iv) * * *

(A) *Resin*. Any resin used for the hull, canopy, hatches, rigid covers, and enclosures for the engine, transmission, and engine accessories, must be fire retardant according to IMO MSC/Circ. 1006 (incorporated by reference, see § 160.135–5)

* * * * *

§ 160.135–9 [Amended]

■ 61. Amend § 160.135–9 by removing the words “in triplicate” in paragraph (b) introductory text.

§ 160.135–13 [Amended]

■ 62. Amend § 160.135–13 by removing the text “, in triplicate” in paragraph (g)(2) introductory text.

■ 63. Amend § 160.156–5 by adding paragraph (d)(7) to read as follows:

§ 160.156–5 Incorporation by reference.

* * * * *

(d) * * *

(7) MSC/Circ. 1006, Guidelines On Fire Test Procedures For Acceptance Of Fire-Retardant Materials For The Construction Of Lifeboats, June 18, 2001; IBR approved for § 160.156–7.

* * * * *

■ 64. Amend § 160.156–7 by revising paragraph (b)(3)(iv)(A) to read as follows:

§ 160.156–7 Design, construction, and performance of rescue boats and fast rescue boats.

* * * * *

(b) * * *

(3) * * *

(iv) * * *

(A) *Resin*. Any resin used for the hull, canopy, hatches, rigid covers, and enclosures for the engine, transmission, and engine accessories, must be fire retardant according to IMO MSC/Circ. 1006 (incorporated by reference, see § 160.156–5)

* * * * *

§ 160.156–9 [Amended]

■ 65. Amend § 160.156–9 by removing the words “in triplicate” in paragraph (b) introductory text.

§ 160.156–13 [Amended]

■ 66. Amend § 160.156–13 by removing the text “, in triplicate” in paragraph (g)(2) introductory text.

§ 160.170–9 [Amended]

■ 67. Amend § 160.170–9 by removing words “in triplicate” in paragraph (b) introductory text.

§ 160.170–13 [Amended]

■ 68. Amend § 160.170–13 by removing text “, in triplicate,” in paragraph (g)(2).

■ 69. Revise § 160.171–3 to read as follows:

§ 160.171–3 Incorporation by reference.

Certain material is incorporated by reference into this subpart with the approval of the Director of the Federal Register in accordance with 5 U.S.C. 552(a) and 1 CFR part 51. All approved incorporation by reference (IBR) material is available for inspection at the Coast Guard Headquarters and at the National Archives and Records Administration (NARA). Contact the Coast Guard at: Commandant (CG–ENG–4), U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7509; email typesapproval@uscg.mil or visit www.dco.uscg.mil/CG-ENG-4/. For information on the availability of this material at NARA, visit: www.archives.gov/federal-register/cfr/ibr-locations.html or email: fr.inspection@nara.gov. The material may be obtained from the following sources:

(a) *ASTM International (ASTM)*. 100 Barr Harbor Drive, P.O. Box C700, West Conshohocken, PA 19428–2959; phone: +1 610 832 9500; email: service@astm.org; web: www.astm.org.

(1) ASTM B117–97, Standard Practice for Operating Salt Spray (Fog) Apparatus (“ASTM B117”); IBR approved for § 160.171–17(k).

(2) ASTM C177–85 (1993), Standard Test Method for Steady-State Heat Flux Measurements and Thermal Transmission Properties by Means of the Guarded-Hot-Plate Apparatus (“ASTM C177”); IBR approved for § 160.171–17(e).

(3) ASTM C518–91, Standard Test Method for Steady-State Heat Flux Measurements and Thermal Transmission Properties by Means of the Heat Flow Meter Apparatus (“ASTM C518”); IBR approved for § 160.171–17(e).

(4) ASTM D975–14, Standard Specification for Diesel Fuel Oils, approved February 1, 2014 (“ASTM D975”); IBR approved for § 160.171–17(p).

(5) ASTM D1004–94a, Standard Test Method for Initial Tear Resistance of Plastic Film and Sheeting (“ASTM D1004”); IBR approved for § 160.171–17(n).

(b) *General Services Administration (GSA)*. email: GSAStandards@gsa.gov; web: <https://fedspecs.gsa.gov/s/federal-specifications>.

(1) Federal Test Method Standard No. 191a dated July 20, 1978, Method 5304.1, Abrasion Resistance of Cloth, Oscillatory Cylinder (Wyzenbeek) Method, dated July 9, 1971 (“Federal Test Method Standard 191, Method 5304.1”); IBR approved for § 160.171–17(o).

(2) Federal Standard No. 751a, Stitches, Seams, and Stitchings, dated January 25, 1965 (“Federal Standard No. 751”); IBR approved for § 160.171–9(c).

(c) *National Institution of Standards and Technology (NIST) (formerly National Bureau of Standards)*. U.S. Department of Commerce, National Institution of Standards and Technology, 100 Bureau Drive, Gaithersburg, MD 20899; phone: (301) 975–2000; web: www.nist.gov.

(1) National Bureau of Standards Special Publication 440—Color, Universal Language and Dictionary of Names; December 1976 (“National Bureau of Standards Publication 440”); IBR approved for § 160.171–9(h). (Available at <https://nvlpubs.nist.gov/nistpubs/Legacy/SP/nbsspecialpublication440.pdf>)

(2) [Reserved]

(d) *Underwriters Laboratories (UL)*. 1850 M. St. NW, Suite 1000, Washington, DC, District of Columbia, 20036–5833; phone: (202) 296–7840; fax: (202) 872–1576; web: www.ul.com.

(1) UL 1191, Standard for Components for Personal Flotation Devices, First Edition, as revised March 29, 1977; IBR approved for § 160.171–17(h).

(2) [Reserved]

■ 70. Revise § 160.174–3 to read as follows:

§ 160.174–3 Incorporation by reference.

Certain material is incorporated by reference into this subpart with the approval of the Director of the Federal Register in accordance with 5 U.S.C. 552(a) and 1 CFR part 51. All approved incorporation by reference (IBR) material is available for inspection at the Coast Guard Headquarters and at the National Archives and Records Administration (NARA). Contact the

Coast Guard at: Commandant (CG-ENG-4), U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593-7509; email typapproval@uscg.mil or visit www.dco.uscg.mil/CG-ENG-4/. For information on the availability of this material at NARA, email: fr.inspection@nara.gov, or go to: www.archives.gov/federal-register/cfr/ibr-locations.html. The material may be obtained from the sources in the following paragraphs of this section.

(a) *ASTM International (ASTM)*, 100 Barr Harbor Drive, P.O. Box C700, West Conshohocken, PA 19428-2959; phone: +1 610 832 9500; email: service@astm.org; web: www.astm.org.

(1) ASTM C177-85 (1993), Standard Test Method for Steady-State Heat Flux Measurements and Thermal Transmission Properties by Means of the Guarded-Hot-Plate Apparatus ("ASTM C 177"); IBR approved for § 160.174-17(f) and (g).

(2) ASTM C518-91, Standard Test Method for Steady-State Heat Flux Measurements and Thermal Transmission Properties by Means of the Heat Flow Meter Apparatus ("ASTM C 518"); IBR approved for § 160.174-17(f) and (g).

(3) ASTM D975-14, Standard Specification for Diesel Fuel Oils, approved February 1, 2014 ("ASTM D 975"); IBR approved for § 160.174-17(g).

(4) ASTM D1004-94a, Standard Test Method for Initial Tear Resistance of Plastic Film and Sheeting ("ASTM D 1004"); IBR approved for § 160.174-47(i).

(5) ASTM D1518-85 (1990), Standard Test Method for Thermal Transmittance of Textile Materials ("ASTM D 1518"); IBR approved for § 160.174-17(f).

(b) *General Services Administration (GSA)*, email: GSAStandards@gsa.gov; web: <https://fedspecs.gsa.gov/s/federal-specifications>.

(1) Federal Standard No. 751a, Stitches, Seams, and Stitchings, dated January 25, 1965 ("Federal Standard No. 751"); IBR approved for § 160.174-9(b).

(2) [Reserved]

(c) *National Institution of Standards and Technology (NIST) (formerly National Bureau of Standards)*, U.S. Department of Commerce, National Institution of Standards and Technology, 100 Bureau Drive, Gaithersburg, MD 20899; phone: (301) 975-2000; web: www.nist.gov.

(1) National Bureau of Standards Special Publication 440—Color, Universal Language and Dictionary of Names ("National Bureau of Standards Publication 440"); December 1976; IBR approved for § 160.174-9(f). (Available at <https://nvlpubs.nist.gov/nistpubs/>

Legacy/SP/nbsspecialpublication440.pdf)

(2) [Reserved]

PART 161—ELECTRICAL EQUIPMENT

■ 71. The authority citation for part 161 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3703, 4302; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

■ 72. Amend § 161.002-18 by revising the section heading and paragraph (a) to read as follows:

§ 161.002-18 System method of applications for equipment approval.

(a) The manufacturer must submit the following material to the Commandant (CG-ENG), according to § 159.001-5 of this subchapter:

(1) A formal written request that the system be reviewed for approval.

(2) The system's instruction manual, including information concerning installation, maintenance, limitations, programming, operation, and troubleshooting.

(3) Proof of listing the system devices meeting the requirements of § 161.002-6(a).

(4) The complete test report(s) meeting the requirements of § 161.002-6 generated by an independent laboratory accepted by the Commandant under part 159 of this subchapter or an NRTL as set forth in 29 CFR 1910.7. A current list of Coast Guard-accepted laboratories may be obtained from the following website: <https://cgmix.uscg.mil/eqlabs/>.

(5) A list prepared by the manufacturer that contains the name, model number, and function of each major component and accessory, such as the main control cabinet, remote annunciator cabinet, detector, zone card, isolator, central processing unit, zener barrier, special purpose module, or power supply. This list must be identified by the following information assigned by the manufacturer:

- (i) A document number;
- (ii) A revision number (the original submission being revision number 0); and
- (iii) The date that the manufacturer created or revised the list.

* * * * *

■ 73. Amend § 161.002-19 by revising the section heading and paragraphs (a) and (b) to read as follows:

§ 161.002-19 Device method of application for equipment approval.

(a) The manufacturer must submit the following material to the Commandant (CG-ENG) according to § 159.001-5 of this subchapter:

(1) A formal written request that the device be reviewed for approval;

(2) The device's instruction manual, including information concerning installation, maintenance, limitations, programming, operation, and troubleshooting;

(3) Proof of listing the device meeting the requirements of § 161.002-6(a); and

(4) The complete test report(s) meeting the requirements of § 161.002-6 generated by an independent laboratory accepted by the Commandant under part 159 of this subchapter or an NRTL as set forth in 29 CFR 1910.7. A current list of Coast Guard accepted laboratories may be obtained from the following website: <https://cgmix.uscg.mil/eqlabs/>.

(b) To apply for a revision, the manufacturer must submit—

(1) A written request under paragraph (a) of this section;

(2) Updated documentation under paragraph (a)(2) of this section;

(3) Proof of listing the device meeting the requirements of § 161.002-6(a); and

(4) A report by an independent laboratory accepted by the Commandant under part 159 of this subchapter or an NRTL as set forth in 29 CFR 1910.7 is required to document compliance with § 161.002-6.

* * * * *

§ 161.011-1 [Amended]

■ 74. Amend § 161.011-1 by removing the word "approval" and adding in its place the word "acceptance".

■ 75. Revise § 161.011-5 to read as follows:

§ 161.011-5 Types.

EPIRBs are typed as follows:

(a) Category 1—EPIRBs are capable of floating free of a vessel and activating automatically if the vessel sinks.

(b) Category 2—EPIRBs are manually removed from the mounting bracket and activated.

■ 76. Revise § 161.011-10 to read as follows.

§ 161.011-10 EPIRB acceptance.

(a) The Coast Guard reviews test reports from an accepted independent laboratory for EPIRBs accepted in § 161.011-5.

(b) An application for acceptance or type acceptance of an EPIRB should be submitted to the Coast Guard before the FCC in accordance with 47 CFR part 1061. When requested by the FCC, the Coast Guard reviews the test results in the application that concern installation and operation of the EPIRB. The Coast Guard provides the results of the review to the manufacturer, and to the FCC for its use in acting upon the application.

- 77. Amend § 161.012–5 by:
- a. Revising paragraph (a); and
 - b. In paragraph (b)(2), by removing the words “Two copies of plans” and adding in their place the word “Plans”.
- The revision reads as follows:

§ 161.012–5 Approval procedures.

(a) An application for approval of a PFD light under this subpart must be submitted to the Commandant (CG–ENG) according to § 159.001–5 of this subchapter.

* * * *

- 78. Amend § 161.013–11 by revising paragraph (c)(1) to read as follows:

§ 161.013–11 Prototype test.

* * * *

(c) * * *

(1) Forward the test results within 30 days to the Commandant (CG–ENG) according to § 159.005–1 of this subchapter; and

* * * *

- 79. Revise § 161.013–17 to read as follows:

§ 161.013–17 Manufacturer notification.

Each manufacturer certifying lights in accordance with the specifications of this subpart must send written notice to the Commandant (CG–ENG) according to § 159.005–1 of this subchapter within 30 days after first certifying the lights and send a new notice every 5 years thereafter as long as it certifies lights.

PART 162—ENGINEERING EQUIPMENT

- 80. The authority citation for part 162 is revised to read as follows:

Authority: 33 U.S.C. 1321(j), 1903; 46 U.S.C. 3306, 3703, 4104, 4302; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; E.O. 12777, 56 FR 54757, 3 CFR, 1991 Comp., p. 351; DHS Delegation 00170.1, Revision No. 01.4.

- 81. Add § 162.017–0 to read as follows:

§ 162.017–0 Preemptive effect.

The regulations in this part have preemptive effect over State or local regulations in the same field.

- 82. Revise § 162.017–1 to read as follows:

§ 162.017–1 Incorporation by reference.

Certain material is incorporated by reference into this part with the approval of the Director of the Federal Register under 5 U.S.C. 552(a) and 1 CFR part 51. All approved incorporation by reference (IBR) material is available for inspection at the Coast Guard and at the National Archives and Records Administration (NARA). Contact Coast

Guard at: Commandant (CG–ENG–4), U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7509; email typeapproval@uscg.mil or visit www.dco.uscg.mil/CG-ENG-4/. For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations.html or email fr.inspection@nara.gov. The material may be obtained from the International Organization for Standardization (ISO), ISO Central Secretariat, Chemin de Blandonnet 8, CP 401–1214 Vernier, Geneva, Switzerland; phone 41 22 749 01 11; www.iso.org/contact-iso.html.

(a) ISO 15364:2021(E), Ships and Marine Technology—Pressure-vacuum valves for cargo tanks and devices to prevent the passage of flame into cargo tanks, Fourth Edition, February 2021 (“ISO 15364”); IBR approved for § 162.017–3(r).

(b) [Reserved]

§ 162.017–2 [Amended]

- 83. Amend § 162.017–2 by removing the word “flammable” and adding in its place the word “flamable”.

- 84. Amend § 162.017–3 by revising paragraphs (g), (n), and (r) to read as follows:

§ 162.017–3 Materials, construction, and workmanship

* * * *

(g) The design and construction of the valves must permit maintenance without removal from the line.

* * * *

(n) Double flame screens of 20 × 20 corrosion-resistant wire mesh with a 1/2-inch corrosion-resistant separator, or a single screen of 30 × 30 corrosion-resistant wire mesh, shall be fitted on all openings to atmosphere. The net free area through the flame screens shall not be less than 1 1/2 times the cross-sectional area of the vent inlet from the cargo tanks.

* * * *

(r) Pressure-vacuum relief valves constructed in accordance with ISO 15364 (incorporated by reference; see § 162.017–1) meet the requirements of this subpart and are eligible to receive approval by submitting an application in accordance with § 162.017–6.

- 85. Amend § 162.017–6:

- a. By revising paragraph (a);
- b. In paragraph (b), by removing the words “in quadruplicate”; and
- c. In paragraph (c), by removing the text “, by the Underwriters’ Laboratories, the Factory Mutual Laboratories, or”.

The revision reads as follows.

§ 162.017–6 Procedure for approval.

(a) *General.* Applications for approval must be submitted to the Commanding Officer, U.S. Coast Guard Marine Safety Center. Applications may be submitted electronically, by mail or in-person. Mail or in-person submissions may be delivered to U.S. Coast Guard Stop 7430, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7430. Information for submitting applications electronically can be found at <https://www.uscg.mil/HQ/MS>.

* * * *

- 86. Amend § 162.050–15 by revising paragraph (a) to read as follows:

§ 162.050–15 Designation of facilities.

(a) Each request for designation as a facility authorized to perform approval tests must be submitted to the Commandant (CG–ENG) according to § 159.005–1 of this subchapter.

* * * *

- 87. Amend § 162.060–40 by revising paragraph (b) to read as follows:

§ 162.060–40 Requirements for Independent Laboratories (ILs).

* * * *

(b) Each request for designation as an independent laboratory authorized under paragraph (a) of this section must be submitted to the Commandant (CG–ENG) according to § 159.005–1 of this subchapter.

* * * *

PART 163—CONSTRUCTION

- 88. The authority citation for part 163 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3703, 5115; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

Subpart 163.002—[Removed and Reserved]

- 89. Remove and reserve subpart 163.002, consisting of §§ 163.002–1 through 163.002–27.

PART 164—MATERIALS

- 90. The authority citation for part 164 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3703, 4302; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

- 91. Amend § 164.009–9 by revising paragraph (a) to read as follows:

§ 164.009–9 Procedure for approval.

(a) An application for approval of a material under this subpart must be submitted to the Commandant (CG–

ENG) according to § 159.005–1 of this subchapter.

* * * * *

■ 92. Amend § 164.018–7 by revising paragraph (a) and in paragraph (b)(2), by removing the words “Two copies of plans” and adding in their place the word “Plans”.

The revision reads as follows:

§ 164.018–7 Approval procedures.

(a) An application for approval of retroreflective material must be submitted to the Commandant (CG–ENG) according to § 159.005–1 of this subchapter.

* * * * *

§ 164.106–3 [Amended]

■ 93. Amend § 164.106–3 by removing the text “Part 6” and adding in its place the text “Part 5” in paragraph (a).

Subpart 164.120—[Removed and Reserved]

■ 94. Remove and reserve subpart 164.120, consisting of §§ 164.120–1 through 164.120–15.

§ 164.137–2 [Amended]

■ 95. Amend § 164.137–2 by removing and reserving paragraph (b)(2).

■ 96. Amend § 164.137–3 by revising paragraph (a) to read as follows:

§ 164.137–3 Testing, marking, and inspection requirements.

(a) Windows submitted for type approval must be tested for fire resistance under Annex 1, Part 3 of the FTP Code (incorporated by reference, see § 164.137–2). Windows must also meet the thermal radiation test supplement to fire resistance, and hose stream test supplement, as outlined in Appendix 1 of Part 3 of the FTP Code.

* * * * *

■ 97. Revise § 164.138–2 to read as follows:

§ 164.138–2 Incorporation by reference.

Certain material is incorporated by reference into this subpart with the approval of the Director of the Federal Register under 5 U.S.C. 552(a) and 1 CFR part 51. All approved incorporation by reference (IBR) material is available for inspection at the Coast Guard and at the National Archives and Records Administration (NARA). Contact Coast Guard at: Commandant (CG–ENG–4), U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7509; email typeapproval@uscg.mil or visit www.dco.uscg.mil/CG-ENG-4/. For information on the availability of this material at NARA, visit

www.archives.gov/federal-register/cfr/ibr-locations.html or email

fr.inspection@nara.gov. The material may be obtained from the International Maritime Organization (IMO) Publishing, 4 Albert Embankment, London SE1 7SR, United Kingdom, +44 (0)20 7735 7611, www.imo.org.

(a) 2010 FTP, International Code for Application of Fire Test Procedures, 2010 (Resolution MSC.307(88)), 2012 Edition (“FTP Code”); IBR approved for § 164.138–3(a).

(b) [Reserved]

■ 98. Amend § 164.138–3 by revising paragraph (a) to read as follows:

§ 164.138–3 Testing, marking, and inspection requirements.

(a) Fire stops (penetration seals) submitted for type approval must be tested for fire resistance under Annex 1, Part 3 of the FTP Code (incorporated by reference, see § 164.138–2), including testing in accordance with Part 3, Appendix 3 and Appendix 4.

* * * * *

■ 99. Revise § 164.139–2 to read as follows:

§ 164.139–2 Incorporation by reference.

Certain material is incorporated by reference into this subpart with the approval of the Director of the Federal Register under 5 U.S.C. 552(a) and 1 CFR part 51. All approved incorporation by reference (IBR) material is available for inspection at the Coast Guard and at the National Archives and Records Administration (NARA). Contact Coast Guard at: Commandant (CG–ENG–4), U.S. Coast Guard Stop 7509, 2703 Martin Luther King Jr. Avenue SE, Washington, DC 20593–7509; email typeapproval@uscg.mil or visit www.dco.uscg.mil/CG-ENG-4/. For information on the availability of this material at NARA, visit www.archives.gov/federal-register/cfr/ibr-locations.html or email fr.inspection@nara.gov. The material may be obtained from International Maritime Organization (IMO) Publishing, 4 Albert Embankment, London SE1 7SR, United Kingdom, +44 (0)20 7735 7611, www.imo.org.

(a) 2010 FTP Code, International Code for the Application of Fire Test Procedures, 2010 (Resolution MSC.307(88)), 2012 Edition (“FTP Code”); IBR approved for § 164.139–3(a).

(b) [Reserved]

■ 100. Amend § 164.139–3 by revising paragraph (a) to read as follows:

§ 164.139–3 Testing, marking, and inspection requirements.

(a) Automatic fire dampers that are installed in A-class divisions that are submitted for type approval must be tested for fire resistance under Annex 1, Part 3 of the FTP Code (incorporated by reference, see § 164.139–2), including testing in accordance with Appendix 2.

* * * * *

PART 167—PUBLIC NAUTICAL SCHOOL SHIPS

■ 101. The authority citation for part 167 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3307, 6101, 8105; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

■ 102. Revise and republish § 167.45–40 to read as follows:

§ 167.45–40 Fire-fighting equipment on nautical school ships using oil as fuel.

Steam-propelled nautical school ships burning oil for fuel shall be fitted with the fire-fighting equipment of the following type and quantity:

(a) In each boiler room and in each of the machinery spaces of a nautical school ship propelled by steam, in which a part of the fuel-oil installation is situated, two or more approved 40–B fire extinguishers must be placed where accessible and ready for immediate use. On a nautical school ship of 1,000 gross tons and under, only one is required.

(b) In boiler and machinery spaces, at least two fire hydrants must have a firehose of a length that allows each part of the boiler and machinery spaces to be reached by water from a combination solid stream and water spray firehose nozzle.

(c) Each firehose under paragraph (b) of this section must have a combination solid stream and water spray firehose nozzle that meets subpart 162.027 of this chapter. Combination nozzles and low-velocity water spray applicators previously approved under subpart 162.027 of this chapter may remain so long as they are maintained in good condition to the satisfaction of the Officer in Charge, Marine Inspection.

(d) On every steam propelled nautical school ship of over 1,000 gross tons having one boiler room there shall be provided one 160–B fire extinguisher. If the nautical school ship has more than one boiler room, an extinguisher of the above type shall be provided in each boiler room. On every steam-propelled nautical school ship of 1,000 gross tons and under, a 120–B fire extinguisher may be used. Extinguishers fitted shall be equipped with suitable hose and

nozzles on reels or other practicable means for easy access, and of sufficient length to reach any part of the boiler room and spaces containing oil-fuel pumping units.

(e) All nautical school ships propelled by internal-combustion engines shall be equipped with the following fire extinguishers in the machinery spaces:

(1) One 120-B fire extinguisher.

(2) One 40-B fire extinguisher for each 1,000 BHP of the main engines, or fraction thereof. The total number of fire extinguishers carried shall not be less than two and not more than six.

(3) When a donkey boiler fitted to burn oil as fuel is located in the machinery space, there shall be a 160-B fire extinguisher installed instead of the 120-B fire extinguisher.

(f) In this section, any reference to a fire extinguisher means approved by the Coast Guard.

§ 167.45–60 [Amended]

■ 103. Amend § 167.45–60 by removing the text “the Mine Safety and Health Administration (MSHA) and by” in paragraph (a).

■ 104. Revise § 167.45–65 to read as follows:

§ 167.45–65 Portable fire extinguishers in accommodation spaces.

All nautical school ships shall be provided with such number of good and efficient portable fire extinguishers approved by the Coast Guard as follows:

(a) Nautical school ships less than 150 feet in length shall have at least two 2-A fire extinguishers on each passenger deck.

(b) Nautical school ships 150 feet and over in length shall be provided with at least one 2-A fire extinguisher for every 150 linear feet of corridor length or fraction thereof in the spaces occupied by passengers and crew.

(c) In all public spaces fire extinguishers shall be located not more than 150 feet apart.

■ 105. Revise § 167.45–70 to read as follows:

§ 167.45–70 Portable fire extinguishers, general requirements.

(a) Fire extinguishers shall be located in such places as in the judgment of the Officer in Charge, Marine Inspection, will be most convenient and serviceable in case of emergency and so arranged that they may be easily removed from their fastenings.

(b) Every fire extinguisher provided shall be examined at each annual inspection to determine that it is still in good condition. Soda-and-acid and foam fire extinguishers shall be tested by discharging the contents, cleaning thoroughly, and then refilling. Carbon dioxide fire extinguishers shall be checked by weighing to determine contents and if found to be more than 10 percent under required contents of carbon dioxide shall be recharged. Pump tank fire extinguishers shall be tested by pumping and discharging the contents, cleaning thoroughly, and then refilling or recharging. Cartridge-operated type fire extinguishers shall be checked by examining the extinguishing agents to determine if it is still in good condition and by examining the pressure cartridge. If the cartridge end is punctured, or if the cartridge is otherwise determined to have leaked or to be in an unsuitable condition, the pressure cartridge shall be rejected and a new one inserted. Stored pressure type extinguishers shall be checked by determining that the pressure gauge is in the operating range, and the full charge of extinguishing agent is in the chamber. The hoses and nozzles of all fire extinguishers shall be inspected to see that they are clear and in good condition.

(c) In addition to the required extinguishers in this part, each vessel must carry no less than 10 percent spare extinguishers or charges for each size and variety of fire extinguisher, with a minimum of one for each size and variety of extinguisher.

■ 106. Add § 167.45–71 to read as follows:

§ 167.45–71 Exemptions to the requirements of portable fire extinguishers required for vessels constructed before August 22, 2016.

Vessels contracted for before August 22, 2016, must meet the following requirements:

(a) Previously installed portable and semi-portable fire extinguishers with extinguishing capacities smaller than what is required in this part need not be replaced and may be continued in service so long as they are maintained in good condition to the satisfaction of the Officer in Charge, Marine Inspection.

(b) All new equipment and installations must meet the applicable requirements in this part for new vessels.

§ 167.45–75 [Amended]

■ 107. Amend § 167.45–75 by removing the words “or the Navy” after the words “approved by the Coast Guard”.

PART 169—SAILING SCHOOL VESSELS

■ 108. The authority citation for part 169 is revised to read as follows:

Authority: 33 U.S.C. 1321(j); 46 U.S.C. 3306, 6101; Pub. L. 103–206, 107 Stat. 2439; E.O. 11735, 38 FR 21243, 3 CFR, 1971–1975 Comp., p. 793; DHS Delegation 00170.1, Revision No. 01.4; § 169.117 also issued under the authority of 44 U.S.C. 3507.

■ 109. Amend § 169.567:

■ a. In paragraph (a) introductory text, by removing the text “Table 169.567(a) of this section” and adding in its place the text “table 1 to § 169.567(a)”;

■ b. Redesignating the table 169.567(a) as table 1 to § 169.567(a);

■ c. Revising and republishing table 1 to § 169.567(a); and

■ d. In paragraph (b), by removing the text “Table 169.567(a) of this section” and adding in its place the text “Table 1 to § 169.567(a)”.

The revision reads as follows:

§ 169.567 Portable fire extinguishers.

(a) * * *

TABLE 1 TO § 169.567(a)—REQUIRED PORTABLE FIRE EXTINGUISHERS

Space	Portable fire extinguishers	
	Minimum required rating	Quantity and location
Propulsion machinery space without fixed extinguishing system	40-B:C	2.
Propulsion machinery space with fixed extinguishing system	40-B:C	1 in the vicinity of the exit.
Living space and open boats	2-A	1 per 1,000 cubic foot of space.
Galley (without fixed system)	40-B:C	1 per 500 cubic foot.
Spare Units	2-A	10 percent of the required number rounded up.
	40-B:C	10 percent of the required number rounded up.

* * * * *

- 110. Add § 169.568 to read as follows:

§ 169.568 Exemptions to the requirements of portable fire extinguishers required for vessels constructed before August 22, 2016.

Vessels contracted for before August 22, 2016, must meet the following requirements:

(a) Previously installed portable and semi-portable fire extinguishers with extinguishing capacities smaller than what is required in this subpart need not be replaced and may be continued in service so long as they are maintained in good condition to the satisfaction of the Officer in Charge, Marine Inspection.

(b) All new equipment and installations must meet the applicable requirements in this part for new vessels.

- 111. Amend § 169.717 by revising paragraph (a)(1) to read as follows:

§ 169.717 Fireman's outfit.

* * * * *

(a) * * *

(1) One pressure-demand, open-circuit, self-contained breathing apparatus, approved by the National Institute for Occupational Safety and Health (NIOSH) and having at a minimum a 30-minute air supply and a full facepiece; but a self-contained compressed-air breathing apparatus previously approved under part 60, subpart 160.011, of this chapter may continue in use as required equipment if it was part of the vessel's equipment on November 23, 1992, and as long as it is maintained in good condition to the satisfaction of the Officer in Charge, Marine Inspection;

* * * * *

PART 181—FIRE PROTECTION EQUIPMENT

- 112. The authority citation for part 181 is revised to read as follows:

Authority: 46 U.S.C. 2103, 3306; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

- 113. Amend § 181.500:

■ a. In paragraph (a), by removing the text “Table 181.500(b)” and adding in its place the text “table 1 to § 181.500(b)”;

■ b. In paragraph (b), by removing the text “Table 181.500(b) of this section” and adding in its place the text “Table 1 to § 181.500(b)”;

■ c. By redesignating the table 181.500(b) as table 1 to § 181.500(b); and

■ d. By revising and republishing table 1 to § 181.500(b).

The revision and republication read as follows:

§ 181.500 Required number, type, and location.

* * * * *

(b) * * *

TABLE 1 TO § 181.500(b)—REQUIRED PORTABLE FIRE EXTINGUISHERS

Space	Portable fire extinguishers	
	Minimum required rating	Quantity and location
Operating Station	10-B:C	1.
Machinery Space	40-B:C	1 in the vicinity of the exit.
Open Vehicle Deck	40-B	1 for every 10 vehicles.
Accommodation Space	2-A	1 each for each 2,500 square feet (232.3 square meters) or fraction thereof.
Galley	40-B:C	1.
Pantry, concession stand	2-A	1 in the vicinity of the exit.

* * * * *

PART 195—VESSEL CONTROL AND MISCELLANEOUS SYSTEMS AND EQUIPMENT

- 114. The authority citation for part 195 is revised to read as follows:

Authority: 46 U.S.C. 2113, 3306, 3307; 49 U.S.C. App. 1804; E.O. 12234, 45 FR 58801, 3 CFR, 1980 Comp., p. 277; DHS Delegation 00170.1, Revision No. 01.4.

§ 195.40–1 [Amended]

- 115. Amend § 195.40–1 by removing paragraph (h).

PART 199—LIFESAVING SYSTEMS FOR CERTAIN INSPECTED VESSELS

- 116. The authority citation for part 199 is revised to read as follows:

Authority: 46 U.S.C. 3306, 3703; Pub. L. 103–206, 107 Stat. 2439; DHS Delegation 00170.1, Revision No. 01.4.

- 117. Amend § 199.190 by revising paragraph (j) to read as follows:

§ 199.190 Operational readiness, maintenance, and inspection of lifesaving equipment.

* * * * *

(j) *Maintenance of falls.* Each fall used in a launching appliance must—

(1) Be inspected annually with special regard for areas passing through sheaves; and

(2) Be renewed when necessary due to deterioration or at intervals of not more than 5 years, whichever is earlier.

* * * * *

Dated: September 5, 2024.

W.R. Arguin,

Rear Admiral, U.S. Coast Guard, Assistant Commandant for Prevention Policy.

[FR Doc. 2024–20380 Filed 9–17–24; 8:45 am]

BILLING CODE 9110–04–P

Reader Aids

Federal Register

Vol. 89, No. 181

Wednesday, September 18, 2024

CUSTOMER SERVICE AND INFORMATION

Federal Register/Code of Federal Regulations

General Information, indexes and other finding aids **202-741-6000****Laws** **741-6000**

Presidential Documents

Executive orders and proclamations **741-6000****The United States Government Manual** **741-6000**

Other Services

Electronic and on-line services (voice) **741-6020**Privacy Act Compilation **741-6050**

ELECTRONIC RESEARCH

World Wide Web

Full text of the daily Federal Register, CFR and other publications is located at: www.govinfo.gov.Federal Register information and research tools, including Public Inspection List and electronic text are located at: www.federalregister.gov.

E-mail

FEDREGTOC (Daily Federal Register Table of Contents Electronic Mailing List) is an open e-mail service that provides subscribers with a digital form of the Federal Register Table of Contents. The digital form of the Federal Register Table of Contents includes HTML and PDF links to the full text of each document.To join or leave, go to <https://public.govdelivery.com/accounts/USGPOOFR/subscriber/new>, enter your email address, then follow the instructions to join, leave, or manage your subscription.**PENS** (Public Law Electronic Notification Service) is an e-mail service that notifies subscribers of recently enacted laws.To subscribe, go to <http://listserv.gsa.gov/archives/publaws-l.html> and select *Join or leave the list (or change settings)*; then follow the instructions.**FEDREGTOC** and **PENS** are mailing lists only. We cannot respond to specific inquiries.**Reference questions.** Send questions and comments about the Federal Register system to: fedreg.info@nara.gov

The Federal Register staff cannot interpret specific documents or regulations.

FEDERAL REGISTER PAGES AND DATE, SEPTEMBER

71153-71794.....	3
71795-72278.....	4
72279-72714.....	5
72715-72956.....	6
72957-73248.....	9
73249-73554.....	10
73555-74104.....	11
74105-74828.....	12
74829-75444.....	13
75445-75944.....	16
75945-76388.....	17
76389-76708.....	18

CFR PARTS AFFECTED DURING SEPTEMBER

At the end of each month the Office of the Federal Register publishes separately a List of CFR Sections Affected (LSA), which lists parts and sections affected by documents published since the revision date of each title.

2 CFR

1800.....	75947
5900.....	75445

3 CFR

Proclamations:

10795.....	72279
10796.....	72283
10797.....	72285
10798.....	72287
10799.....	72289
10800.....	72291
10801.....	72293
10802.....	72295
10803.....	73249
10804.....	73555
10805.....	73557
10806.....	74105
10807.....	74829
10808.....	75945
10809.....	76389
10810.....	76391
10811.....	76393

Executive Orders:

14126.....	73559
------------	-------

Administrative Orders:

Memorandums:

Memorandum of August 9, 2024.....	71795
Memorandum of August 16, 2024.....	71799
Memorandum of August 23, 2024.....	71801
Notices:	
Notice of September 6, 2024.....	73251
Notice of September 9, 2024.....	74101
Notice of September 9, 2024.....	74103
Presidential Determinations:	
No. 2024-10 of August 9, 2024.....	71797
No. 2024-11 of September 13, 2024.....	76397

5 CFR

1200.....	72957
1201.....	72957
1203.....	72957
1209.....	72957
2641.....	74107

6 CFR

Proposed Rules:

37.....	74137
---------	-------

7 CFR

1205.....	75445
4284.....	75762

Proposed Rules:

989.....	74851
----------	-------

9 CFR

317.....	73253
381.....	73253
412.....	73253

10 CFR

72.....	72299, 72304
73.....	73257
1703.....	73258

Proposed Rules:

72.....	72342, 72344
1008.....	73312

11 CFR

Proposed Rules:

104.....	72346
----------	-------

12 CFR

Proposed Rules:

613.....	72759
----------	-------

13 CFR

121.....	74109
----------	-------

Proposed Rules:

126.....	72763
----------	-------

14 CFR

39.....	72309, 72312, 72966, 72968, 72971, 72974, 72976, 73260, 73262, 73264, 73267, 73269, 75460, 75462, 75464, 75470, 75472, 75949, 76399, 76401, 76403, 76406, 76408, 76411, 76413
61.....	73271
71.....	72981, 73272, 73273, 74131
97.....	75475

Proposed Rules:

25.....	73604
39.....	73003, 73009, 73014, 73316, 73608, 75507, 75977
71.....	71189, 71191, 71863, 72765, 73020, 73022, 75510

15 CFR

734.....	71803
736.....	72926
738.....	72926
740.....	71803, 72926
742.....	72926
743.....	72926
744.....	71803, 75476
746.....	71803
764.....	75477
766.....	75477
772.....	72926
774.....	71803, 72926

Proposed Rules:

702.....	73612
----------	-------

16 CFR	3280.....75704	33 CFR	10.....76312
Proposed Rules:	3282.....75704	100.....71821, 71823, 71824,	31.....76676
1112.....73024	3285.....75704	72323, 72327, 72721, 75968,	32.....76676
1226.....73320	3286.....75704	76416	34.....76676
1250.....73024	Proposed Rules:	117.....71184	35.....76676
	5.....72766	149.....76676	39.....76676
17 CFR	26 CFR	165.....71824, 72329, 72987,	56.....76676
1.....71803	1.....73568, 75984	72989, 73289, 73291, 74132,	76.....76676
3.....71803	301.....75984	74135, 75502, 75971, 76417,	77.....76676
5.....71803	Proposed Rules:	76419	95.....76676
9.....71803	1.....71193, 71214, 71864,	Proposed Rules:	96.....76676
10.....71803	75061, 75990, 76356	100.....72348	105.....76676
11.....71803	301.....71214, 72348	165.....73054, 73055	107.....76676
12.....71803			108.....76676
13.....71803	27 CFR	36 CFR	109.....76676
14.....71803	Proposed Rules:	214.....72990	115.....76676
15.....71803	4.....73050	251.....72990	116.....76676
16.....71803	5.....73050	Proposed Rules:	118.....76676
17.....71803	19.....73050	7.....75511	132.....76676
18.....71803	24.....73050	1191.....71215	147.....76676
20.....71803	26.....73050	37 CFR	159.....76676
23.....71803	27.....73050	42.....76421	160.....76676
30.....71803		38 CFR	161.....76676
31.....71803	30 CFR	Proposed Rules:	162.....76676
37.....71803	550.....71160	4.....74162	163.....76676
41.....71803	31 CFR	21.....72351	164.....76676
43.....71803	501.....74832	39 CFR	167.....76676
45.....71803	510.....75955	111.....75973	169.....76676
46.....71803	525.....75955	40 CFR	181.....76676
49.....71803	526.....75955	52.....71185, 71826, 71830,	195.....76676
140.....71803	536.....75955	72721, 73568, 74834, 74836,	199.....76676
142.....71803	542.....75955	74847, 75502, 75973	401.....76312
144.....71803	544.....75955	60.....74135	402.....76312
145.....71803	546.....75955	63.....73293	Proposed Rules:
146.....71803	547.....75955	81.....71830	401.....71877
147.....71803	548.....72717, 75955	84.....73588	
148.....71803	549.....75955	98.....71838	47 CFR
149.....71803	550.....75955	180.....72994	11.....72724
150.....71803	551.....75955	271.....73592	63.....73601
155.....71803	552.....75955	300.....72331	64.....71848
160.....71803	553.....75955	705.....72336	73.....72738, 75975
162.....71803	555.....75955	Proposed Rules:	Proposed Rules:
165.....71803	558.....75955	52.....71230, 71237, 71872,	Ch. 1.....76020
170.....71803	560.....75955	72353, 72770, 74165, 74171,	1.....74184
171.....71803	562.....75955	75517, 75524, 76013, 76442	54.....76016
270.....73764	569.....75955	55.....73617	64.....73321, 74184
274.....73764	576.....75955	63.....72355	90.....72780
	578.....75955	84.....75898	96.....72780
18 CFR	579.....75955	180.....72775	
Proposed Rules:	582.....75955	300.....72356	49 CFR
35.....74161	583.....75955	705.....72362	571.....76236
19 CFR	584.....75955	42 CFR	1002.....76434
12.....73274, 73280	585.....75955	88.....73592	Proposed Rules:
21 CFR	587.....72717, 72718, 72719,	93.....76280	595.....76035
573.....72315	75955	423.....72998	
862.....72982, 75489	588.....75955	1007.....76431	50 CFR
864.....72315	589.....75955	Proposed Rules:	17.....72739, 73308, 75976
866.....73565, 75491, 75953	590.....75955	121.....74174	300.....73602
870.....72317	591.....72986, 75955	43 CFR	622.....71860, 76438
872.....71153, 72320	594.....75955	8360.....72999	635.....75504
876.....72715, 72984, 75493	598.....75955	45 CFR	648.....72758
882.....71155	599.....75955	170.....72998	679.....71861, 72340, 73002,
886.....72322	1010.....72156	46 CFR	75505
888.....71157	1032.....72156	2.....76676	Proposed Rules:
890.....71159	32 CFR		17.....72362, 73330, 73512,
1141.....74831	Proposed Rules:		76196
Proposed Rules:	3.....71865		622.....72794
1308.....75979			635.....72796
24 CFR			
214.....75497			

LIST OF PUBLIC LAWS

Note: No public bills which have become law were received by the Office of the Federal Register for inclusion

in today's **List of Public Laws**.

Last List September 17, 2024

Public Laws Electronic Notification Service (PENS)

PENS is a free email notification service of newly

enacted public laws. To subscribe, go to https://portalguard.gsa.gov/__layouts/PG/register.aspx.

Note: This service is strictly for email notification of new laws. The text of laws is not available through this service. **PENS** cannot respond to specific inquiries sent to this address.